QUALIFICATION PROGRAMME

# Associate Module 1

# Accounting

FOURTH EDITION

CPA
Hong Kong Institute of
Certified Public Accountants
香港會計師公會

QP
Hong Kong's
CPA Qualification
香港會計師專業資格

# MODULE 1
# ACCOUNTING

Qualification Programme

Fourth Edition

Hong Kong Institute of
Certified Public Accountants
香港會計師公會

WILEY

Fourth edition 2023

ISBN 9781394154692

**Library of Congress Cataloging-in-Publication Data**
Library of Congress Cataloging-in-Publication data is available for this book

**Published by**

John Wiley & Sons, Inc.
111 River Street
Hoboken
NJ 07030, USA

www.wiley.com



Cover image: © lovelyday12

Set in 10/14pt OpenSans by Straive, Chennai, India



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# DIRECTOR'S MESSAGE

Congratulations on choosing the Qualification Programme ('QP') of the Hong Kong Institute of Certified Public Accountants ('HKICPA') as your pathway to becoming a CPA! You have joined thousands of others on this exciting and important journey to develop the knowledge, skills and perspectives you need to succeed in your career and becoming a valued member of the Institute.

The world is evolving rapidly, so too is the business environment. The Accounting profession faces a number of challenges and trends including technological enhancement, regulatory development, changing societal expectations and more.

Professional accountants are no longer left only to deal with numbers, but also to analyse and advise. We are also expected to be highly strategic, collaborative, and building trust by demonstrating relevance and value to many aspects of society.

The QP of the HKICPA aims at qualifying accountants with the agility needed to embrace the changing environment. You will grow and discover a plethora of relevant competencies through QP by completing training programmes, passing professional examinations and acquiring practical experience under an authorised employer or supervisor. In the longer term, we hope that you will succeed not only in accountancy but also in enhancing your employability and portability so that you will be able to help business and society move forward.

We are delighted to partner with you on your development journey.

The QP consists of three levels of designations:

- The Associate Level aims to build a solid foundation of technical accounting knowledge.
- The Professional Level aims to deepen your technical capabilities and develop core enabling competences in the workplace.
- The Capstone integrates your knowledge, skills and experiences to resolve business problems and emerge as a top tier accounting professional.

We have designed this Learning Pack to provide you with the valuable resources for your development on attaining your CPA designation under the QP. I trust you will be successful and enjoy your QP journey!

Should you require any assistance at any time, please feel free to contact us on (852) 2287 7228.

Kit Wong
Director of Education and Training
Hong Kong Institute of Certified Public Accountants

# INTRODUCTION

Successfully preparing for a career in accounting is a significant undertaking. To better prepare you for this challenging profession, the Hong Kong Institute of Certified Public Accountants (HKICPA) provides a qualification programme (QP) comprising three progressive levels: A 10-module Associate Level, a four-module Professional Level including workshops and a Capstone that includes three-day workshops and a final examination.

The Associate Level of the QP comprises 10 modules. Each of these modules involves approximately 80 hours of self-study and a closed-book module examination (except for Module 10: Business and Company Law in which the examination is open-book).

- **Module 1:** Accounting
- **Module 2:** Management Accounting
- **Module 3:** Business Economics
- **Module 4:** Business Management
- **Module 5:** Information Management
- **Module 6:** Financial Accounting
- **Module 7:** Financial Management
- **Module 8:** Principles of Auditing
- **Module 9:** Principles of Taxation
- **Module 10:** Business and Company Law

While each of the Associate Level and Professional Level modules stands on its own, the modules are also arranged in a series of 'verticals' that map to the CPA competence blueprint. These verticals are designed to develop an area of knowledge, through two or three modules, from basic understanding to professional excellence.

The Financial Accounting and Reporting vertical runs from Module 1, through Module 6 to Professional Level Module 11: Financial Reporting. A second vertical, Management Accounting, runs from Module 2, via Module 7 to Professional Level Module 12: Business Finance. The third vertical, Audit and Assurance, develops from Module 8 to Professional Level Module 13: Business Assurance. The fourth vertical, Taxation, takes students from Module 9 to Professional Level Module 14: Taxation.

Each Associate Level module of the new QP requires students to sit a three-hour examination. Two exam sittings are held each year in June session and December session. Please refer to the Student Handbook for the examination structure and the cut-off rule on the examinable content.

# HKICPA PROFICIENCY LEVELS AND TAXONOMY

The proficiency level indicated in the table below reflects the level at which the topics covered in particular learning outcome is tested. There are three levels of proficiency:

- Level 1 is the foundational level, covering the skills of knowledge and comprehension.
- Level 2 is the intermediate level, covering the skills of application and analysis.
- Level 3 is the advanced level, covering the skills of integration and evaluation.

You are expected to understand which skill is exercised based on the taxonomy verbs with which it is associated.

Please note that the list of taxonomy verbs below is for reference only and does not represent an exhaustive list.

| LEVEL 1: FOUNDATION | | |
|---|---|---|
| **Skill** | **Verb** | **Definition** |
| **Knowledge**<br>The remembering of previously learned material (recall of facts) | *Define* | Give the accepted meaning of |
| | *Identify* | List or ascertaining possibilities before analysis; Point to the essential part or parts |
| | *List* | Provide a concise summary of the relevant points, often in bullet point format |
| | *Outline* | Give the main facts about something |
| | *State* | Accurately articulate established principles, concepts, terms etc. |
| **Comprehension**<br>Demonstrative understanding of facts and ideas by organising, comparing, translating, interpreting, giving descriptions and stating main ideas | *Describe* | Communicate the key features of something, present a detailed account of something focusing on depth of knowledge |
| | *Explain* | Make clear the details of something; or show how the reason for, or underlying cause of, or the means by which something occurs |
| | *Illustrate* | Offer examples, to show how something happens, that something happens, or make concrete a concept by giving examples |
| | *Interpret* | Make clear the meaning of something and its implications |
| | *Summarise* | Describe something concisely; bring together the main facts |

| LEVEL 2: INTERMEDIATE | | |
|---|---|---|
| **Skill** | **Verb** | **Definition** |
| **Application**<br>Using new knowledge. Solve problems to new situations by applying acquired knowledge, facts, techniques and rules in a different way | *Account for / Demonstrate* | Give details of accounting entries to be made for in the context of financial reporting or justify (if used in a more general context); Demonstrate the accounting treatment by using a set of accounts |
| | *Apply* | Demonstrate knowledge, concepts or techniques; Use established methods / tools / procedures to resolve relatively straightforward scenarios or problems |
| | *Calculate / Compute* | Determine by computation or arrive at by mathematical means or processes |
| | *Prepare* | Follow established procedures / methods to create a report of financial information or commentary (e.g. using a proforma spreadsheet) |
| | *Solve* | To work out to a result or conclusion |
| | *Use* | Apply in a practical way |
| **Analysis**<br>Examine and break information into parts by identifying motives or causes. Make inferences and find evidence to support generalisation | *Analyse* | To examine methodically by separating into parts and studying the interrelationships in order to discover essential features |
| | *Compare* | Critically consider two or more things, emphasising their similarities |
| | *Contrast* | Critically consider two or more things, emphasising their differences |
| | *Classify / Categorise* | Apply concepts to categorise information or groups into categories |
| | *Justify* | Explain the reason for recommendation made, or underlying cause of, based on an analysis of a range of available options |
| | *Prioritise / Determine* | Determine the order for dealing with a series of items or tasks according to their relative importance e.g. Determine the priorities / determine the level of importance |

| LEVEL 3: ADVANCED | | |
|---|---|---|
| **Skill** | **Verb** | **Definition** |
| **Integration**<br>Compile information together in a different way by combining elements in a new pattern or proposing alternative solutions | *Construct* | To form an idea, a process, or procedure by bringing together various theoretical and conceptual elements |
| | *Design* | Develop a procedure/process or course of action based on selection of the optimum combination from a range of available options |
| | *Develop* | To bring something into existence that has not previously existed, or to reshape something from its initial position into something more refined; Use judgement to bring to a more advanced or effective state or to create a plan |
| | *Formulate* | Devise and put a plan into words |
| | *Integrate* | Combine one aspect of learning with another to form a holistic understanding of a process, procedure or course of action |
| | *Plan / Propose* | Formulate a detailed proposal for doing or achieving something |
| | *Produce* | Draw together similar or disparate items to form a report containing financial and/or non-financial information |
| **Evaluation**<br>The ability to judge the value of material for a given purpose | *Advise* | Communicate appropriately the recommended course of action based on an analysis of specific circumstances in a manner suited to the recipient |
| | *Appraise* | Assess the value or quality of something; or to assess its performance |
| | *Consider* | Think carefully about something before making a decision, to look closely or attentively at something through a process involving critical thinking |
| | *Evaluate* | Assess and determine the value, importance or qualities of something, normally with reference to specific criteria and draw conclusions |
| | *Recommend* | Select the best course of action or choice; Advocate a particular outcome or course of action based on an analysis of a range of available options |

## References

Anderson, L. W., Krathwohl, D. R., Airiasian, W., Cruikshank, K. A., Mayer, R. E., & Pintrich, P. R. (2001). *A taxonomy for learning, teaching and assessing: A revision of Bloom's Taxonomy of educational outcomes: Complete edition.* New York: Longman.

The International Federation of Accountants. (2016). *Framework for International Education Standards for Professional Accountants and Aspiring Professional Accountants.* (2015). Retrieved from https://www.ifac.org

The Government of the Hong Kong Special Administrative Region. (2016). *Qualification Framework – Generic Level Descriptors.* Retrieved from https://www.hkqf.gov.hk

# LEARNING OUTCOMES

Each module includes Principal Learning Outcomes and Supporting Learning Outcomes arranged along a series of proficiency levels.

## Module 1

| Syllabus area | Weighting (%) |
|---|---|
| Explain the purpose of accounting | 5–10 |
| Demonstrate an understanding of accounting principles | 10–15 |
| Prepare accounting records, demonstrate management and control | 40–60 |
| Prepare and present financial statements from a trial balance or incomplete records | 25–35 |

The syllabus weighting table indicates the relative weightings of the syllabus areas encompassed in this module. It serves as a guide to the percentage of study time spent on each syllabus area. In the long run, the marks allocation in the module examinations would conform to the weightings as shown above. The exact range of marks allocation in each module examination may deviate from the weightings for suitably robust questions to be set.

| Learning Outcomes | Proficiency Level | Chapter where covered |
|---|---|---|
| **PRINCIPAL LO1: EXPLAIN THE PURPOSE OF ACCOUNTING** | | |
| **LO1.01: Explain the role of accounting within a business entity** | **1** | |
| **1.01.01** Define accounting | **1** | **1** |
| **1.01.02** Describe the function of both financial and management accounting | **1** | **1** |
| **1.01.03** Identify the users of accounting information and their respective information needs | **1** | **1** |
| **1.01.04** Explain the qualitative characteristics of accounting information | **1** | **1** |
| **LO1.02: Explain the relationship between business activities and business transactions** | **1** | |
| **1.02.01** Identify principal types of business activities | **1** | **1** |
| **1.02.02** Explain how each type of business activity is recorded as a business transaction | **1** | **2** |
| **LO1.03: Identify the types of financial statements and explain their purpose** | **1** | |
| **1.03.01** Identify the types of financial statements produced by both financial and management accounting | **1** | **2** |
| **1.03.02** Explain the requirements of relevant accounting standards and legislation relating to the disclosures required in financial statements | **1** | **2** |

| Learning Outcomes | Proficiency Level | Chapter where covered |
|---|---|---|
| **1.03.03** Describe the purpose of financial statements | **1** | **2** |
| **1.03.04** Explain the difference between profit and other comprehensive income and their impact to the financial statements | **1** | **4** |
| **PRINCIPAL LO2: DEMONSTRATE AN UNDERSTANDING OF ACCOUNTING PRINCIPLES** | | |
| **LO2.01: Apply the principles of the double entry accounting system and analyse the nature of business transactions** | **2** | |
| **2.01.01** Classify entries arising from business transactions into:<br>• Assets<br>• Liabilities<br>• Equity<br>• Income<br>• Expenses | **2** | **2, 3** |
| **2.01.02** Explain the concept of capital | **1** | **2** |
| **2.01.03** Compare and contrast capital and revenue items, and apply the principle to determine the nature of the items | **2** | **2** |
| **2.01.04** Analyse the financial impact of incorrect classification between capital and revenue items | **2** | **2** |
| **2.01.05** Apply the accounting equation (Assets = Equity + Liabilities) | **2** | **2** |
| **LO2.02: Explain the general features in preparing financial statements** | **1** | |
| **2.02.01** Explain the general features in preparing financial statements:<br>• True and fair view and compliance with Hong Kong Financial Reporting Standards<br>• Going concern<br>• Accrual basis of accounting<br>• Materiality and aggregation<br>• Offsetting<br>• Frequency of reporting<br>• Comparative information<br>• Consistency of presentation | **1** | **1** |
| **PRINCIPAL LO3: PREPARE ACCOUNTING RECORDS, DEMONSTRATE MANAGEMENT AND CONTROL** | | |
| **LO3.01: Apply the accounting equation to business transactions and prepare a trial balance** | **2** | |
| **3.01.01** Prepare the following records of original entry from source records:<br>• Cash book<br>• Petty cash journal<br>• Sales and returns journal<br>• Purchase and returns journal<br>• General ledger journal | **2** | **3, 5, 7** |

| Learning Outcomes | | Proficiency Level | Chapter where covered |
|---|---|---|---|
| 3.01.02 | Prepare posting entries to general and subsidiary ledgers | 2 | 3 |
| 3.01.03 | Prepare control accounts for trade receivables and trade payables ledgers | 2 | 7 |
| 3.01.04 | Prepare reconciliations of control accounts and subsidiary ledgers | 2 | 3, 7 |
| 3.01.05 | Prepare a bank reconciliation statement | 2 | 5 |
| 3.01.06 | Describe the types of accounting errors and the purpose of a suspense account | 1 | 4 |
| 3.01.07 | Prepare journal entries to correct errors through control account reconciliations and suspense accounts | 2 | 4 |
| 3.01.08 | Prepare a trial balance from ledger accounts | 2 | 3, 4 |
| **LO3.02:** | **Account for property, plant and equipment** | **2** | |
| 3.02.01 | Define property, plant and equipment | 1 | 6 |
| 3.02.02 | Describe the recognition and derecognition criteria for property, plant and equipment | 1 | 6 |
| 3.02.03 | Describe the cost elements and the initial measurement of property, plant and equipment | 1 | 6 |
| 3.02.04 | Explain the difference between cost model and revaluation model | 1 | 6 |
| 3.02.05 | Explain depreciation and the factors to be considered in formulating depreciation policy | 1 | 6 |
| 3.02.06 | Calculate depreciation using various methods | 2 | 6 |
| 3.02.07 | Prepare the accounting entries for providing depreciation charges using various methods and for recognising and disposing of property, plant and equipment | 2 | 6 |
| 3.02.08 | Account for the revaluation of property, plant and equipment under revaluation model | 2 | 6 |
| **LO3.03:** | **Account for inventories and trade receivables** | **2** | |
| 3.03.01 | Define inventories and trade receivables | 1 | 7, 8 |
| 3.03.02 | Describe perpetual and periodic inventory systems | 1 | 8 |
| 3.03.03 | Calculate the carrying amount of inventories at the lower of cost or net realisable value using FIFO, LIFO and average cost methods | 2 | 8 |
| 3.03.04 | Prepare the accounting entries for inventory transactions | 2 | 8 |
| 3.03.05 | Calculate and account for bad debts and allowance for impairment loss on trade receivables | 2 | 7 |
| 3.03.06 | Prepare the accounting entries for trade receivables transactions | 2 | 7 |

| Learning Outcomes | Proficiency Level | Chapter where covered |
|---|---|---|
| **LO3.04: Prepare period end adjustments** | **2** | |
| **3.04.01** Prepare the accounting entries for the following period end adjustments:<br>• Accrued expenses<br>• Prepaid expenses<br>• Inventory<br>• Depreciation<br>• Bad debts<br>• Allowance for impairment loss on trade receivables<br>• Income in arrears/in advance | **2** | **4, 6, 7** |
| **PRINCIPAL LO4: PREPARE AND PRESENT FINANCIAL STATEMENTS FROM A TRIAL BALANCE OR INCOMPLETE RECORDS** | | |
| **LO4.01: Prepare financial statements from incomplete records** | **2** | |
| **4.01.01** Account for the incomplete information for preparation of financial statements | **2** | **14** |
| **LO4.02: Prepare financial statements for various common types of business entity** | **2** | |
| **4.02.01** Prepare a statement of profit or loss and comprehensive income and a statement of financial position from a trial balance for a sole trader | **2** | **10** |
| **4.02.02** Prepare a receipts and payments account, an income and expenditure account, and a statement of financial position for a club or society | **2** | **13** |
| **4.02.03** Prepare a statement of profit or loss and comprehensive income, an appropriation account and a statement of financial position for a partnership | **2** | **11** |
| **4.02.04** Prepare a statement of profit or loss and comprehensive income and a statement of financial position for a limited company | **2** | **12** |
| **4.02.05** Prepare a manufacturing account and a statement of profit or loss and comprehensive income showing prime cost; cost of goods produced; transfer price of finished goods and a statement of financial position for a manufacturing business | **2** | **9** |

# STUDY TEXT KEY FEATURES

Each of the Associate Level and Professional Module texts include a series of pedagogical features designed to help QP candidates better absorb the material, reach the required proficiency levels and meet the outlined Learning Outcomes (LOs).

The aim of these features is to help students understand the content while regularly reinforcing concepts and building the skills necessary to successfully complete each of the modules and progress through the Associate Level, the Professional Level and the Capstone.

Each chapter includes these features:

- **Chapter topic list:** A succinct list of the specific topics covered in the chapter.
- **Learning outcomes:** Outlines the specific knowledge points covered in the chapter and the specific skills related to each learning outcome (LO) discussed in the chapter.
- **Opening case:** A case study that aims to relate the material covered in the chapter to a real-life situation. At times, this opening case may be linked to opening cases in other chapters.
- **Overview:** Provides a more detailed preview of the material covered in the chapter.
- **Exhibits and charts:** Through illustrations and examples, exhibits and charts aim to convey information in graphic fashion or actual examples of accounting, reporting or calculations that are likely to be used in actual practice.
- **Illustrative examples:** Case studies that explore specific issues related to the chapter topics and further understanding of the LOs.
- **Apply and analyse:** Exam questions with analysis provided to show how to approach answering the question and apply what was learned from the concepts presented in the chapter.
- **Ethics in practice:** Ethical discussions on issues that may arise during professional practice.
- **Key learning point:** A concise summary of a salient point that is key to achieving chapter LOs.
- **Knowledge check questions:** A set of questions geared at furthering students understanding of specific topics, work through problems and meet the chapter LOs.
- **Summary:** A list of the concepts and topics covered in the chapter in an easy-to-review format.
- **Mind map:** A graphic depiction of the knowledge conveyed in the chapter to facilitate understanding of the LOs.
- **List of formulas:** A compilation of the equations introduced in the chapter.
- **Exam practice questions:** Questions similar to those likely to be featured in the examination paper required for each QP module.

# Part A

## What is Accounting?

# 1

# Overview of Accounting

## CHAPTER TOPIC LIST

# LEARNING OUTCOMES

| PRINCIPAL LO1: EXPLAIN THE PURPOSE OF ACCOUNTING |
|---|
| **LO1.01: Explain the role of accounting within a business entity** |
| **1.01.01** Define accounting |
| **1.01.02** Describe the function of both financial and management accounting |
| **1.01.03** Identify the users of accounting information and their respective information needs |
| **1.01.04** Explain the qualitative characteristics of accounting information |
| **LO1.02: Explain the relationship between business activities and business transactions** |
| **1.02.01** Identify principal types of business activities |
| **PRINCIPAL LO2: DEMONSTRATE AN UNDERSTANDING OF ACCOUNTING PRINCIPLES** |
| **LO2.02: Explain the general features in preparing financial statements** |
| **2.02.01** Explain the general features in preparing financial statements:<br>• True and fair view and compliance with Hong Kong Financial Reporting Standards<br>• Going concern<br>• Accrual basis of accounting<br>• Materiality and aggregation<br>• Offsetting<br>• Frequency of reporting<br>• Comparative information<br>• Consistency of presentation |

## OPENING CASE

# GREAT STATIONERY LIMITED, PART 1

Born with an entrepreneurial streak, the Wong brothers of Hong Kong decided to open their own business. They had little experience in running a business, but both were observant and thought they spotted an opportunity.

The two brothers noticed that demand for stationery products existed across all types of businesses. What's more, they lived in a part of Hong Kong populated by a myriad of small and medium enterprises that required plenty of stationery products to operate.

Having identified this need, the Wong brothers decided to start a retail and trading business, bringing in stationery products from mainland China and selling them to individuals and businesses in Hong Kong. Their plan was to begin in their neighbourhood and expand over time.

The two brothers officially started Great Stationery Limited ('Great Stationery') on 1 April 20X7. By that day, they had already registered their business as a private limited company in Hong Kong with a registered capital of HK$10,000 and the standard 10,000 shares split between the two of them.

The Wong brothers started operating Great Stationery with little knowledge of bookkeeping or accounting. They quickly realised that it was important to keep track of their business activities and took the time to learn how to understand and maintain their financial information. To simplify this task, they bought some accounting software. They continue to engage an accountant to advise them on compliance matters.

The Wong brothers began to keep reasonable accounting records, but they have told their accountant they know there are times they could do better.

# OVERVIEW

The field of accounting is diverse and extensive. The profession impacts virtually every facet of modern life. In business, accounting professionals ensure the healthy development of businesses and entire financial systems.

The term '**accounting**' can be traced back to a Latin word meaning 'to reckon'. A simple dictionary definition explains accounting as a 'system of recording and summarising business and financial transaction and analysing, verifying and reporting the results'. Short as this definition is, it covers a lot. This module explains how this information is compiled, organised and presented, starting with an overview of what accounting is and what it does for businesses.

There are many ways that company **stakeholders** use accounting information prepared by accountants to make informed decisions:

- Business owners use accounting to monitor and improve a company's financial performance.
- Investors use accounting information to assess potential risk and reward before they buy or sell shares.
- Banks review financial performance and projections before offering a loan.
- Taxation authorities impose taxes that are based on how income and expenses are accounted for.
- Employees also have a stake in knowing the condition of their employer, both for employment prospects and security, and for remuneration negotiations.

To make their work feasible, accountants organise business records into time periods that can range from one day to one month or even longer. Periods of three months, called *quarters*, are common in business and accounting.

For example, quarterly accounting records can show the amount of sales over a quarter, or the actual amount of inventory that a business has on hand. The accounts will also typically show debts paid, debts owed, cash on hand and any payments from customers that are expected to arrive but remain outstanding. Accounting reveals which areas of a business are doing well and which are not.

This chapter begins with a definition of accounting and a discussion of why accounting is important. It then explores the most common types of business organisations that exist in Hong Kong. Finally, it concludes with an overview of the general accounting principles that direct the creation of financial statements.

# 1.1 WHY IS ACCOUNTING IMPORTANT?

Businesses need relevant, factually based and timely data to operate effectively and to generate a profit. Good accounting provides the financial data that are required for day-to-day operations. It also produces the information that companies need to meet regulatory and taxation requirements and their obligations to shareholders and other stakeholders.

## 1.1.1 A Definition of Accounting

Accounting is focused on five activities, outlined here:

1. It identifies an organisation's economic transactions.
2. It records those transactions.
3. It prepares reports featuring those transactions.
4. It enables accountants and other parties to analyse and interpret the accounting reports.
5. It communicates information to various stakeholders.

Exhibit 1.1 illustrates these activities.


**EXHIBIT 1.1 Key tasks of accounting**

It is not unusual for people to confuse accounting with **bookkeeping**. Bookkeeping refers to the practical process of accumulating detailed accounting information. Accounting covers a very wide range of activities, including those that are deeply entwined with economic systems.

Accounting encompasses the design of the system that includes effective bookkeeping. This includes creating controls to ensure that the system works properly, and overseeing compliance with regulatory requirements. Accounting not only gathers information in a concise and comprehensive format, but also analyses all the information that bookkeeping generates. In other words, bookkeeping gathers the raw data that is needed to complete other accounting tasks.

Accounting is critical for the making of informed business decisions. The information that accounting provides must be relevant, factually based and timely. In Hong Kong, companies like Great Stationery must file tax returns. In addition to standardised annual financial statements, businesses produce more frequent reports for management and staff to track business performance. These are critical to making decisions and are vital to a company's survival, so they must cover the essential elements of the company's business, provide a picture of those elements and be available when decisions need to be made.

It may be useful to think of accounting as a thermometer that can record the temperature – in this case the health of a business – when needed, and display it in a way that is readily understood. The financial records produced by accountants should be able to show the health of an economic entity, regardless of its size or complexity. This is important not only for the owners of a business, but also for all stakeholders, including shareholders (i.e. members), regulators, creditors, investors and customers.

Note that, according to the New Company Ordinance, shareholders are referred to as 'members' in Hong Kong. The term 'stockholders' is also used in some parts of the world. We use the term 'shareholders' in this module because it is the term most commonly used worldwide.

Hong Kong is a global financial hub with a world-class business environment, so accounting is not only pervasive, but it is essential to the business reputation of Hong Kong. The more sophisticated an economy becomes, the greater the need for a system that can account for multiple, complex factors and present them clearly.

### 1.1.2 Objectives of Financial Accounting and Management Accounting

While bookkeeping represents the process of gathering and tracking information, **financial accounting** focuses on the preparation of various reports that a business must generate for internal and external stakeholders. Some of these reports must be prepared periodically in accordance with a country's laws and **accounting standards**, which specify the way in which financial statements should be prepared and presented.

In Hong Kong, reports must be prepared in accordance with Hong Kong Accounting Standards ('HKAS') and Hong Kong Financial Reporting Standards ('HKFRS'). There are 41 implemented standards as of 31 December 2018. The preparation of financial statements is generally guided by HKAS 1, which is supported by other standards. These financial accounting statements are created for a range of stakeholders; however, management requires more detailed information to monitor financial performance and make decisions about business activities.

**Management accounting** focuses on the generation and analysis of information that managers need to make business decisions. Typically, the goal of management accounting is to generate internal reports that help internal stakeholders to plan ahead, monitor performance and make business decisions. These can include performance comparisons between time periods, or, for example, how one production line would likely perform against an alternative. Management accounting also often includes projections for budgeted incomes and cash and accrual forecasts. The information generated for management accounting purposes is typically confidential and not intended for distribution outside the business.

### 1.1.3 Using Accounting Information

Accountants use systematic methods to record all economic and financial transactions and to prepare summaries of this information. By analysing, interpreting and communicating a business's economic events, an accountant can help identify significant financial trends and relationships. This allows the organisation to make key business decisions.

#### 1.1.3.1 Users of Accounting Information

Accounting information is used by many different kinds of stakeholders. The relationship a stakeholder has with the organisation will determine what kind of information a stakeholder receives.

The first major group of stakeholders are **internal users**. These are people who work within the organisation. Internal users include managers, supervisors, finance professionals, company officers and others who may be involved in decision making. Many departments rely on accounting information. Marketing, human resources, all levels of management and the board of directors require accounting information to execute their duties. Internal users are likely to use management accounting information to inform their business decisions.

The second major group are **external users**. This group includes any person or organisation with an interest in the financial information of the company. External users are most likely to use financial accounting information. It is not common for external users to have access to management accounting information.

There are many different types of external users.

- Investors are one main type of external user. Investors can be owners or prospective owners who may provide capital. They use accounting information to make decisions about whether to buy, hold or sell their stakes.
- Creditors are another main type of external user. Creditors use accounting information to make informed decisions about whether to lend to a business.
- Government and regulatory bodies are another main type of external user. Tax authorities such as Hong Kong Inland Revenue Department relies on accounting information to determine taxable income and to assess whether companies are paying the right amount of tax and following all the relevant rules.
- Other regulatory agencies may also require accounting information, particularly in the case of listed companies or trading companies regulated by the Companies Registry, which registers companies and monitors their compliance with relevant laws.

#### 1.1.3.2 Forms of Business Organisation

Accounting information is used to tell the story of the financial performance and financial position of a business organisation, which is also referred to as a business entity. Transactions related to the organisation or entity are identified, recorded and then put in the appropriate format to be presented to specific stakeholders needing to understand the financial situation facing the business.

There are different ways that businesses can be organised and each structure has different rules and regulations that apply to it. Accountants working in or engaged by entities need to understand each structure and any special rules with which people involved in the different kinds of entities must comply. The types of entities that most commonly exist in Hong Kong are outlined briefly below.

- **Sole proprietorship**: This type of entity will typically have one owner and a limited number of external stakeholders. This type of business is not a separate legal entity, which means that the owner and the business are one and the same. This type of entity has the least complicated accounting. It is also referred to as a sole trader.
- **Partnerships**: A **partnership**, which may be a general or limited partnership, is formed when individuals decide they want to do business together with a common profit objective. One partner shares in profits with other partners of the business but they also share debts and liabilities. There are special rules regulating each type of partnership

that are based on the liability for which each partner is responsible. These will be discussed in Chapter 11.

- **Limited companies**: Companies are a common business structure that have their own legal identity separate from the owner. There are four different types of companies that can be registered in Hong Kong. These entities are:
  - ***Company limited by guarantee***: This company is set up with a constitution, which is a set of company rules that limit the liability of company members or shareholders to a specific monetary amount.
  - ***Private company limited by shares***: This type of company has shares that are closely held, and shareholders are liable to pay any outstanding amounts on shares.
  - ***Public company limited by shares***: A public company limited by shares has a greater level of accountability and transparency under law. Entities using this structure are often listed on a stock exchange, such as Hong Kong Stock Exchange (HKEX).
  - ***Non-profit organisations***: These organisations, which can take the form of clubs and societies, have a constitutional objective that does not involve making a profit, although some of them will run an enterprise that helps meet their stated public, social or charitable objective. Stakeholders of not-for-profit organisations will want to understand how donations or membership monies are spent in meeting that objective. Ensuring all incoming and outgoing funds are accounted for appropriately provides them with that insight.

The specific rules and regulations that apply to each of these entity types will be explored later in this module.

### Illustrative Example 1

The Wong Brothers have begun to advertise Great Stationery more frequently and the products that the company offers to customers. They have spoken to suppliers of goods who are keen to enter into contracts with the brothers to supply the company. But they have not yet properly set up their accounting systems to reflect the money they are spending on advertising the company to attract customers. They have had a coffee with a local accountant who has explained to them that keeping track of what they spend and any money they receive from customers is critical to understanding how well the business is performing. 'I know you are enthusiastic about your new venture', the accountant said, 'but knowing your business financial situation is important. For example, you may need the information to secure a bank loan so this information needs to be easily available'.

The accountant tells the Wong brothers that a failure to have a proper accounting system will make it difficult to:

- Determine where to invest their assets, which products are most profitable, and which customer relationships are most valuable.
- Comply with requirements in laws administered by company registry and tax authorities and other regulators.

### Illustrative Example 1 *(continued)*

- Satisfy potential investors and creditors looking to provide capital that the business is properly run.
- Secure business partners if the company is unable to convince suppliers that the company is doing well.
- Obtain finance for the business from banks because they may not be prepared to provide funds without information about the company's financial health.

The accountant said that accurate and reliable accounting information will allow the brothers and external users to make informed decisions about Great Stationery.

'New business owners may believe they can't afford to waste time on accounting', the accountant told the Wong brothers. 'The truth is that good accounting pays for itself. And poor accounting can be disastrous'.

### Key Learning Point

Financial accounting is primarily concerned with the preparation of reports that track the activities of a business, while management accounting is more focused on the generation of information for internal use that aids in making effective management decisions.

### ▶ Knowledge Check Questions

**Question 1**

Identify the correct statement:

**A** A company keeps financial records only for internal parties.

**B** A company keeps financial records only for external parties.

**C** A company keeps financial records for internal and external parties.

**D** A company keeps financial records for everyone to review.

**Question 2**

Identify which of the following statements best explains the importance of accounting and bookkeeping.

**A** Accounting and bookkeeping provide the financial information that is needed not only for day-to-day operations, but also to produce the information that companies need to meet their various obligations.

**B** Accounting and bookkeeping record the economic transactions incurred by a business.

**C** Accounting and bookkeeping present the financial information to the owners of a business.

**D** Accounting and bookkeeping present the financial information to the government and tax authority.

## ▶ Knowledge Check Questions *(continued)*

**Question 3**

Identify who is/are the external user(s) of the financial statements presented by a business entity.

**A** Government

**B** Creditors

**C** Investors

**D** All of the above

**Question 4**

Identify which of the following statements best describes the definition of accounting.

**A** Accounting provides financial and non-financial information to management for planning, control and decision making.

**B** Accounting covers the design of the system necessary for effective bookkeeping, creates controls to ensure that the system works properly, oversees compliance with regulatory requirements and analyses all the information that bookkeeping generates.

**C** Accounting presents financial statements to the government and tax authority.

**D** Accounting compares the financial performance of a business entity from year to year.

**Question 5**

Identify which of the following statements is the best description of a sole proprietorship.

**A** It is listed on a stock exchange and has many shareholders.

**B** It is the same as a company limited by shares.

**C** A sole proprietorship is the simplest business structure for anybody wishing to start a business.

**D** A sole proprietorship has charitable objectives.

**Question 6**

Explain the differences between bookkeeping and accounting.

**Question 7**

Describe the purposes of financial and management accounting.

# 1.2 PRINCIPAL BUSINESS ACTIVITIES

Business owners receive payments for goods or services that they offer to customers. They also buy goods, pay for services and pay employees for work. Each of these is a principal business activity that must be reflected in accounting reports, so that internal managers can see how the business is performing:

- **Sales transactions** are transactions that result in **revenue** coming in to a business in exchange for goods and services.
- **Purchase transactions** are transactions that are payments by the business in exchange for goods and services.

The most common transactions an accountant will encounter that give rise to revenues and expenses are described below.

## 1.2.1 Sales and Other Income Transactions

There are two types of sales transactions that a business is likely to have when it sells goods or services to a customer. These are cash sales and credit sales. The relative importance of such sales depends on the business model of the seller. For example:

- Cash sales will usually be used more by over-the-counter sellers of lower priced items (e.g. newspapers).
- Credit sales will usually be more important for a seller of expensive furniture.

### 1.2.1.1 Cash Sales

A **cash sale** is a sale that takes place immediately and the purchaser uses notes and coins, a debit card, a credit card, cheque or other method to pay for a product when purchased. Cash sales are usually accompanied by a receipt (sometimes an invoice marked paid) for the customer and the sale needs to appear in the accounting records so that they are complete. Shops will have cash registers that record the details of cash sales and issue receipts to customers, often integrated with the accounting system.

### 1.2.1.2 Credit Sales

**Credit sales** can be described as sales where a customer buys a good but payment for the good is delayed. The customer will have a certain date by which to pay an amount that they owe after they have submitted an order for goods or had the goods delivered. A business will deliver the goods to a customer and provide them with a delivery note that states the type and quantity of goods delivered.

Credit sales also require a business to send out a **sales invoice** that provides:

- An invoice number so that the sale can be tracked in the system;
- A full description of goods purchased;
- The amount that the customer must pay;
- The deadline for payment;
- The name and address of the business; and
- Contact and account details for the customer should it be necessary to communicate with them after the sale.

### 1.2.1.3 Sales Returns, Credit Notes and Trade Discounts

There will be times when a customer returns goods to a store because the business charged the customer more for the goods in error, the goods were damaged or the goods purchased were of poor quality. The business may allow an exchange of goods or it may issue a credit note that reduces the amount to be paid by the customer as the result of the return of the good. Sometimes this may be a complete refund but at other times it will be a reduction in the price paid if the customer was overcharged.

Sometimes sellers will provide a discount for purchasers who achieve a certain level of purchases in a period. That rebate might be in cash or in credit for other purchases.

Each of the above leads to a reduction in revenue.

#### 1.2.1.4 Other Types of Income

Revenue from customers is only one form of income for a business. Other sources of income that a business may receive include:

- Income derived from investments;
- Interest on deposits held with a bank;
- Dividends from any shares a business may hold; and
- Gains from the sale of assets owned by the business.

Each of these needs to be accounted for in the accounting records so that business records reflect all the incoming cash and claims to cash that do not come from increased ownership interests or increased liabilities. To determine profit, which is the net of income and expenses, income must be known.

### 1.2.2 Purchase and Other Payment Transactions

Businesses buy goods and services. A shop owner needs to buy goods to place on display in a store so that they can sell goods to customers. The same shop owner also needs to pay for the internet connection and use of electricity and water to the store. Each of these transactions will need to be reflected in accounting records, so the business accounting records related to expenses are complete. Invoices or other supporting documents that provide evidence of payments for goods or services need to be appropriately filed.

A business can pay for purchases it makes on a cash basis or by credit. A supplier of the goods being purchased will issue a purchase invoice for a credit purchase, which would state the latest date by which a business must pay for the goods or services.

A business will need to pay for various other goods or services. Some of these will include:

- Employee salaries;
- Training for employees;
- Rental expenses;
- Office expenses; and
- Travel expenses.

These expenses will also need to be reflected in the accounting records.

### Illustrative Example 2

The Wong brothers sat down with their accountant for their monthly meeting to look at the progress of the company.

'I notice you have been spending a lot of money on equipment from your credit card statements, but this does not appear in your accounts', the accountant said.

The brothers looked at each other and shrugged their shoulders.

'You need to ensure that you properly record each transaction undertaken by the business. There are many things that you may spend money on, and each dollar spent is one dollar less that sits in the bank', their accountant elaborated. 'It is critical that each purchase transaction is accounted for properly as money that has been spent'.

'It is important that you remember that you may need to get a loan to help redesign the shop floor', the accountant said. 'I need your records to be up to date, so that I can help you present your accounts in a way that helps your bank understand your financial position'.

The Wong brothers had been trying to do the accounting on their own as well as run other aspects of the business. They decide to hire a bookkeeper who is instructed to ensure that all incoming funds from sales of goods and outgoing payments for purchases made by the business are properly accounted for, so that a proper set of financial statements can be compiled.

### Key Learning Point

A business needs to ensure it accounts for all transactions correctly. Sales represent an inflow of money (or a claim to money) into a business from a customer in exchange for goods or services. Payments (or promises to pay) include outflows of funds from a business in exchange for goods or services. Each of these purchases needs to be accounted for appropriately in the records of the business.

### ▶ Knowledge Check Questions

**Question 8**

Identify which of the following can be described as a sales transaction for a business.

**A** The business pays its phone bill.

**B** Ten boxes of capsules were bought by the owner for the coffee machine.

**C** A business sells five boxes of photocopying paper.

**D** The business owner paid his household water bill.

### ▶ Knowledge Check Questions *(continued)*

**Question 9**

Identify which of the following is *not* a transaction relating to revenue or other income for a business.

**A** The business receives interest from a deposit of funds at the bank.

**B** The business sells a delivery truck and receives money in exchange.

**C** The business pays a cleaner to clean its store once a week.

**D** A business receives HK$500 from a customer for repair work on a personal computer.

**Question 10**

Identify which of the following could be a reason for a customer to receive a credit note.

**A** The customer paid for a good with notes and coins.

**B** A good or goods were found to be overpriced and the customer requests a refund.

**C** The customer paid on a credit basis.

**D** The customer owed money to the store based on a sales invoice.

**Question 11**

Identify which of the following is a correct statement.

**A** Cash sales do not involve buying goods with credit cards.

**B** Credit sales involve deferred payment for goods.

**C** Cash sales are not paid for by cheque.

**D** Credit sales are paid for in notes and coins immediately.

## 1.3 ACCOUNTING PRINCIPLES

Think of any sport or board game that you have played at any point in your life. Each game has a set of rules and a playing area within which individuals or teams are expected to play. The rules set the norms or expectations for how people are to behave if they are playing football or tennis or competing in a track and field event.

Financial reporting is no different in this respect. There are principles for accounting that are commonly understood by preparers and knowledgeable users of accounting information contained in financial reports.

It is a professional obligation for accountants working for entities to be aware of core accounting principles that are contained in a conceptual framework and accounting standards. Accounting standards also provide guidance on how an entity should account for a specific kind of transaction that is to be included in a set of financial reports.

### 1.3.1 Conceptual Framework

The preparation and presentation of financial statements in Hong Kong is guided by the Conceptual Framework and the HKAS and HKFRS that Hong Kong Institute of Certified Public Accountants (‘HKICPA’) has prepared around them.

HKAS are the standards that relate specifically to accounting reports and tasks. The HKFRS establish how financial reports should be prepared. Both sets of requirements must be followed by business entities in Hong Kong. The goal of the conceptual framework is to support the development of future HKFRS, as well as the review of existing standards and accounting guidelines. It also provides valuable guidance for preparers and **auditors** when considering transactions or events not covered in existing reporting standards.

The Conceptual Framework for Financial Reporting 2018 explains that the:

*Objective of general purpose financial reporting is to provide financial information about the reporting entity that is useful to existing and potential investors, lenders and other creditors . . . Those decisions involve buying, selling or holding equity and debt instruments, and providing or settling loans and other forms of credit or exercising rights to vote on, or otherwise influence management's actions that affect the use of the entity's economic resources.*

The Conceptual Framework is not a standard (e.g., HKAS, HKFRS) or a set of accounting guidelines. Instead, it aims to explain the concepts that underlie the preparation and presentation of financial statements. As such, the Conceptual Framework deals with:

- The objective of financial reporting;
- The qualitative characteristics of useful financial information;
- The definition, recognition and measurement of the elements of financial statements;
- The principles for disclosure; and
- The concepts of capital and capital maintenance.

The Conceptual Framework provides a theoretical backbone for the application of accounting principles standards and practices in Hong Kong.

#### 1.3.1.1 True and Fair View and Compliance with HKFRS and HKAS

The various HKAS and HKFRS encompass a number of different documents, including the standards themselves and the various HKICPA interpretations. The HKAS and HKFRS include requirements for the recognition, measurement, presentation and disclosure associated with an entity and the economic transactions that an entity undertakes.

The ultimate purpose of the HKAS and HKFRS and the various documents that make up the standards is to present a context for the 'truth and fairness' or 'fair presentation' of the financial state of an organisation, while also ensuring compliance with reporting requirements.

This is why complying with HKAS and HKFRS is important. Widespread compliance in Hong Kong by all companies strengthens the Hong Kong Special Administrative Region's standing as a business and financial centre. Financial statements are expected to give a true and fair view, or be presented fairly in all material respects, in accordance with the applicable reporting framework. The use of 'true and fair' or 'presents fairly' depends upon the applicable law, but these are intended to be equivalent terms. The key is that truthfulness and fairness is determined under the context of the accounting framework.

The 'true and fair view' or 'presents fairly view' requires that companies apply accounting standards, and present their information in a way that meets the qualitative characteristics. This can mean that disclosures are required beyond those specified in particular accounting standards. It will also mean that when companies have a choice as to which accounting policies to adopt, they need to make their choices within the context of the accounting framework.

#### 1.3.1.2 Going Concern

One key consideration when preparing financial statements is to decide whether an organisation is able to continue running as a business in the foreseeable future. Accountants will ask whether an entity is a 'going concern', that is, whether the entity has sufficient resources to avoid becoming insolvent (whether it has the resources to meet its debts as and when they fall due). If the assessment is yes, the financial statements are prepared on the basis that the company will continue to operate for the foreseeable future.

There can be exceptions to the assumption of 'going concern'. For example, there could be a clear understanding that management plans to liquidate a company or to cease trading, or has no alternative but to do so (e.g. it is becoming insolvent, has been precluded from operating because of legal requirements or is undertaking an activity that cannot be continued or replaced).

If management is aware of any issue that could impact the ability of the business to continue operating, it has a responsibility to disclose the issue to readers of its financial statements. In making this decision, management takes not only the current standards into consideration, but also any information it may have about the future. As HKAS 1 points out:

> *The degree of consideration depends on the facts of each case. When an entity has a history of profitable operations and ready access to financial resources, the entity may reach a conclusion that the going concern basis of accounting is appropriate without detailed analysis. In other cases, management may need to consider a wide range of factors relating to current and expected profitability, debt repayment and potential sources of replacement financing before it can satisfy itself that the going concern basis is appropriate.*[1]

#### 1.3.1.3 Accrual Basis Accounting

Financial reporting in Hong Kong uses **accrual basis accounting** (**accrual accounting**). The various accounting standards and the Conceptual Framework reflect this requirement.

**Cash basis accounting** records only receipts and expenditures and the amount of cash held. It accounts for one asset – cash. Whilst businesses do need to manage this asset carefully, cash and cash movements cannot explain all of the economic events and transactions in which a company is involved. For example, strict cash accounting cannot cater for credit sales, impairments of assets or the incurrence of liabilities.

**Accrual basis accounting** provides a more accurate assessment of the performance of a business than information focused solely on cash payments and cash receipts. The use of information based on actual changes in the economic resources of a company is useful in determining the future ability of a company to generate cash inflows. Such information may also indicate how a company is reacting to changes in the market.

Accrual accounting brings to account the elements of a business (that is its assets, liabilities, income and expenses) and the changes in those elements. An example of this is a prepayment by a customer of a subscription that lasts for two years that appears in the accounts of a publisher.

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1 Page 14 of HKAS 1. See http://app1.hkicpa.org.hk/ebook/HKSA_Members_Handbook_Master/volumeII/hkas01revdec07.pdf

The publisher may receive HK$200 for a two-year subscription but only HK$100 of that prepayment becomes revenue in the first reporting period because the subscriber is owed another year's worth of publications. Accounting for the subscriptions by recording the entire HK$200 as being revenue to the entity in the first year fails to acknowledge that the entity has a liability or obligation to deliver another 12 months' worth of editorial content to a subscriber. Accrual basis accounting brings to account revenue as it arises and the expenses incurred to generate revenue.

#### 1.3.1.4 Aggregation and Materiality

In presenting their financial statements, businesses are expected to group (classify) together items that are similar and separate items that are different. Because financial statements include a large number of transactions and economic events, it is natural to present the information in a manner that is condensed and organised. This process is referred to as **aggregation**.

Aggregation takes place when accountants combine similarly classified kinds of transaction into one number that is reflected in a line item in the financial statements. For example, sales to different classes of customer (e.g. customers sorted by store) might be aggregated into sales to customers.

Individual line items may be significant on their own and they may also affect other information on a financial statement. A line item that does not have a great deal of impact on its own is typically grouped with other related information. Data can be presented either in the body of a statement or in the notes.

The HKAS and HKFRS Conceptual Framework for Financial Reporting describes information as being material, if its omission or misstatement could influence decisions of users of those financial statements.

Assume, for example, that a retail store has total inventory of HK$5 million. An inventory error of HK$300,000 may be determined to be material, because the amount would influence the decisions made by someone reading a financial statement. However, an inventory error of HK$500 would not, in the absence of exceptional circumstances, be considered to be a material amount for that inventory account.

It is important to take into account all relevant information when considering what to include and what to leave out. The way information is presented and decisions about materiality and aggregation should not make financial statements difficult to understand or less informative.

While HKAS and HKFRS often clearly state what should appear in financial statements, businesses must decide what is material, and what additional information needs to be included to make the financial statements more relevant.

#### 1.3.1.5 Offsetting

It may be tempting to treat accounting like a mathematical equation and seek to simplify things by cancelling entries with equal but opposite entries. For instance, it might be tempting to not report a transaction that represents a receivable from a party of HK$100,000 if it is matched by a debt to the same party of HK$100,000. This practice is referred to as **offsetting** (or **setting off**).

HKAS and HKFRS make it clear that organisations should not offset transactions on financial statements, unless a specific standard requires or permits them to do so. Entities are expected to report all assets and liabilities, as well as income and expenses, and offsetting guidelines must be followed.

Offsetting transactions can have the net effect of making the financial statements more difficult to understand. It can also detract from data that informs other transactions or provides additional context.

As an example, assume that a retail store generates a profit of HK$100,000 on clothing sales for the year, and a loss of HK$10,000 on the sale of store shelving. The shelves, which were a part of the store's equipment, were outdated and replaced. The financial statements should list the loss on sale separately, and not combine the loss with the profit on clothing sales. The former is the result of transactions with customers and suppliers, the latter is not a trading activity. The financial statement reader benefits from this level of detail.

*HKAS 1 Presentation of Financial Statements* allows for certain circumstances in which a group of transactions may be aggregated, seeming to offset them. In cases permitted by HKAS 1, the intended net effect of such grouping makes statements clearer. A business may frequently purchase supplies for an office, so the financial statements would become cluttered if every one of these transactions appeared as an individual line item.

### 1.3.1.6 Frequency of Reporting

Financial reports should be presented at regular intervals. HKAS 1 *Presentation of Financial Statements* states that entities are expected to present financial statements at least once a year, and that these reports should include comparative information.

At times, entities change their reporting intervals and may present financial statements for periods that are longer or shorter. When this happens, the financial statements should explain the reasons behind the change and note that the data is not entirely comparable across statements from different periods.

### 1.3.1.7 Comparative Information

To be useful, financial statements must include information for the current period and also allow for comparison with performance in earlier periods. The comparative information should be both narrative and descriptive, so readers can better understand the current financial statements.

If there are errors in the financial statements, at a minimum, businesses should fix them, and not withdraw past statements. This includes information about:

- financial position;
- profit or loss and other comprehensive income;
- cash flows;
- changes in equity; and
- related notes.

Often, narrative information from the previous year (i.e. the preceding reporting period) is relevant. For example, a discussion of an ongoing legal dispute may appear in a number of consecutive reports. The accounts may also reveal a material change in the mix of cash and credit sales that are important in understanding a change in a company's business model.

The ultimate goal is to make information comparable to information presented in the current and earlier periods, to the fullest extent possible. Anyone reading the statements should be able to effectively compare information from one period to the next.

#### 1.3.1.8 Comparability and Consistency of Presentation

A final general feature of financial statements is comparability of presentation. Broadly, this means that financial statements should be presented in a manner that enables users to identify and understand similarities in and differences between items. Users should be able to look across similar entities and compare them.

**Consistency** relates to an entity treating the same items in the same way over time. For example, a set of financial statements for Great Stationery for the year 20X9 that uses the same accounting policies, format and classification of items as used in 20X8 would be consistently prepared and presented. But consistency should not be at the cost of relevance and faithful representation.

The practical nature of business makes the consistent preparation and presentation of financial statements difficult at times. If, for example, a company grows substantially or enters into a new line of business, the firm may require a different or additional classification for some items. At times, changes to HKAS and HKFRS may require a change in how information is presented. When changes are made, it is also necessary to change comparative information in earlier reports.

**Illustrative Example 3**

Great Stationery is looking to refurbish its headquarters but the organisation has little in the way of funds. The Wong brothers have spoken with each other and they have agreed on a design for the shop floor. The issue of how to account for the new furniture comes up.

'It is important that you account for all of your expenditures consistently', the accountant said. 'You need to be able to track what you have done from year to year and also ensure that you are tracking your accounting for the wear and tear of significant equipment'.

The accountant noted that the Wong brothers already had most of their accounting sorted out properly. 'You need to account for these things in the same fashion as you have other purchases of equipment and furniture'.

The accountant also reminded them that consistent accounting for transactions is not the only thing to worry about. A company such as the one run by the Wong brothers may benefit from having an asset register so that all of the equipment is listed in one place.

### 1.3.2 Qualitative Characteristics of Accounting Information

To be useful to internal and external users, accounting information needs to have a number of qualitative characteristics. The HKAS and HKFRS *Conceptual Framework for Financial Reporting*, which was revised and implemented in 2018, describes the essential qualitative characteristics of useful financial information. It identifies the following qualitative characteristics for information to be useful:

- **Relevance**: Information should make a difference in the decision-making process of a business. This information should have predictive value, meaning it should help information users to predict future outcomes, or confirmatory value, meaning that the information provides feedback about previous evaluations.

- **Faithful representation**: Information should be based on facts and be neutral in its presentation. Accounting information should be unbiased and free of errors, complete and not aim to meet a particular agenda or position.
- **Materiality**: All material information should be included in financial reports. Information is material if omitting or misstating it could influence information users' decisions. Thus, what constitutes materiality is specific to individual entities.

The framework also includes a number of enhancing qualitative characteristics:

- **Comparability**: Information from one period should be comparable to the information from another period. To ensure comparability, accountants tend to use similar accounting methods and principles guided by accounting standards from one year to the next.
- **Verifiability**: All information should be verifiable through bookkeeping records, and the amounts recorded in the records must be supported by source documents, such as invoices, purchase orders and cancelled cheques.
- **Timeliness**: Information should be produced in a timely manner to be relevant. If a business wants to perform a physical count of items in inventory, for example, the count should be performed as close to the end of the reporting period (month or year) as possible.
- **Understandability**: Users with a 'reasonable degree of financial knowledge and a willingness to study the information with reasonable diligence' should be able to understand the reports.

### Key Learning Point

Financial statements should provide a true and fair view of the performance of a company and comply with HKAS and HKFRS. They should provide evidence that an entity is a going concern, be prepared using accrual basis accounting, be material and aggregated, avoid offsetting, be presented at least annually, provide comparable information and be consistent.

### ▶ Knowledge Check Questions

**Question 12**

Under a rental agreement with another company, Sun Ltd will pay rent for 2 years in advance to obtain a prime location for its shop front. Identify when rent paid should be reported as an expense in Sun's accounting records:

**A** In the period paid.

**B** In the period incurred.

**C** At the date the rental agreement began.

**D** At the date the rental agreement expired.

## ▶ Knowledge Check Questions *(continued)*

**Question 13**

Identify which of the following characteristics relates to both accounting relevance and faithful representation:

**A** Free from material error

**B** Complete

**C** Neutral

**D** Comparable

**Question 14**

Explain how the accounting principle 'going concern' applies to preparation of financial statements.

**Question 15**

Compare (a) Accrual basis accounting; and (b) Cash basis accounting.

**Question 16**

Define 'materiality' in accordance with HKAS and HKFRS.

## SUMMARY

- Accounting is important to the success of businesses, because it ensures that management and other stakeholders have access to all the accurate and timely information they need to make decisions.
- At its very core, accounting is focused on five key activities: identifying an organisation's economic transactions; recording those transactions; ensuring reports are prepared featuring those transactions; enabling accountants and other parties to analyse and interpret the accounting reports; and communicating information to various stakeholders.
- Accountants use systematic methods to record and present information.
- There are multiple users of the information that financial reporting and management accounting serve, but they fall under two broad categories: internal users (such as management) and external users (such as current and potential investors or creditors).
- All types of entities use accounting information. In Hong Kong, entities can fall under one of several categories that include sole proprietorships, partnerships, private and public limited companies as well as companies limited by guarantee and different types of societies and associations as well as charities.
- Principal business activities, that is, those related to the equity, assets, liabilities and income of a business, must be reflected in accounting records so that the financial statements are complete. In terms of business operations, transactions and events affecting revenue and expenses will be considered principal business activities.
- Financial statements have to follow the rules and guidelines set out in HKAS and various HKFRS.
- Financial statements should be prepared and presented on the basis of the principles that explain the accounting standards and Conceptual Framework. They have to be true and fair in accordance with that framework. This will mean that use of the going concern basis is justifiable, that accrual accounting has been fully applied and that the qualitative characteristics have been adhered to.
- Accounting information has to meet a certain number of qualitative characteristics that include relevance and faithful representation as well as comparability, verifiability, timeliness and understandability.

## MIND MAP

**OVERVIEW OF ACCOUNTING**

**WHY IS ACCOUNTING IMPORTANT?**

A definition of accounting

Objectives of financial accounting and management accounting

Using accounting information
- Uses of accounting information
- Forms of business organisation

**PRINCIPLE BUSINESS ACTIVITIES**

Sales and other income transactions
- Cash sales
- Credit sales
- Other types of income

Purchase and other payment transactions

**ACCOUNTING PRINCIPLES**

Qualitative characteristics of accounting information

Conceptual framework
- True and fair view and compliance with HKFRS and HKAS
- Going concern
- Accrual basis accounting
- Aggregation and materiality
- Offsetting
- Frequency of reporting
- Comparative information
- Comparability and consistency of presentation

## Answers to Knowledge Check Questions

### Question 1

Answer A is incorrect because it is not complete. Internal parties are only one group of stakeholders with an interest in financial statements.

Answer B is incorrect because it is not complete. External parties are only one group of stakeholders with an interest in financial statements.

Answer C is correct as financial records can be used by parties both internal and external to a company and not just one set of parties.

Answer D is incorrect because not all financial information is disclosed to everyone.

### Question 2

Answer A is correct because bookkeeping and accounting provide the financial information that is needed not only for day-to-day operations, but also to produce the information that companies need to meet their various obligations.

Answer B is incorrect because it is not complete. Bookkeeping records the economic transactions incurred by a business.

Answer C is incorrect because it is not complete. Accounting also presents the financial information to the owners of a business.

Answer D is incorrect because it is not complete. Accounting also presents the financial information to the government and tax authority.

### Question 3

Answer A is incorrect because it is not complete. Government is only one external stakeholder that uses financial statements presented by business entities. Creditors and investors also fit this description.

Answer B is incorrect because it is not complete. Creditors are only one type of external stakeholder that uses financial statements presented by business entities. Government and investors also fit this description.

Answer C is incorrect because it is not complete. Investors are only one type of external stakeholder that uses financial statements presented by business entities. Government and creditors also fit this description.

Answer D is correct. Government, creditors and investors are external stakeholders that use financial statements presented by business entities.

**Question 4**

Answer A is incorrect because it is not complete. Accounting also presents financial statements to the government and provides a year-to-year comparison.

Answer B is correct because it is the only comprehensive definition of accounting. Accounting covers the design of the system necessary for effective bookkeeping, creates controls to ensure that the system works properly, oversees compliance with regulatory requirements and analyses all the information that bookkeeping generates.

Answer C is incorrect because it is incomplete. Accounting also presents important information to management and provides a year-to-year comparison.

Answer D is incorrect because it is incomplete. Accounting also presents important information to management, government and the tax authority.

**Question 5**

Answer A is incorrect because it is a description of a public company.

Answer B is incorrect because it is a description of a limited company.

Answer C is correct because a sole proprietorship is a simple business structure that is not separate from the identity of an owner.

Answer D is incorrect because it is a description of a charitable organisation.

**Question 6**

Bookkeeping refers to the practical process of accumulating and tracking detailed accounting information. This information is used in accounting. Accountants analyse the information gathered by bookkeepers to prepare reports and records. That accounting output is critical for making informed business decisions. Accounting also includes activities related to system controls, regulatory compliance and oversight.

**Question 7**

The purpose of financial accounting is to prepare reports that are used by internal and external stakeholders. This includes mandatory reports like those required by HKAS and HKFRS. Financial accounting is also used by a range of stakeholders, including prospective investors and lenders. The purpose of management accounting is to prepare reports for internal stakeholders. These reports are analysed by internal managers so they can plan ahead, monitor performance, set forecasts and make informed business decisions.

**Question 8**

Answer A is incorrect because it describes a payment made for utilities.

Answer B is incorrect because it describes a payment made for goods purchased.

Answer C is correct because it is the only transaction that describes a sale. The other options describe payments made for goods purchased.

Answer D is incorrect because it describes a payment made for utilities.

**Question 9**

Answer A is incorrect because interest is a kind of revenue.

Answer B is incorrect because the money received represents revenue from a sale.

Answer C is correct because payment to a cleaner does not represent revenue; it is an expense.

Answer D is incorrect because the HK$500 received represents revenue from a sale.

**Question 10**

Answer A is incorrect because payment with notes and coins is not related to credit notes.

Answer B is correct because a customer may receive a credit note in circumstances where they paid too much for a good or goods.

Answer C is incorrect because paying on a credit basis is not related to credit notes.

Answer D is incorrect because money owed on a customer invoice is not related to credit notes.

**Question 11**

Answer A is incorrect because cash sales include people using credit cards to buy goods.

Answer B is correct because credit sales involve deferred payment for goods.

Answer C is incorrect because cash sales can be paid for by cheque.

Answer D is incorrect because cash, not credit, sales are paid for in notes and coins immediately.

**Question 12**

Answer A is incorrect because financial reporting in Hong Kong is done under accrual basis accounting.

Answer B is correct because under accrual accounting, expenses are recognised when incurred. This is the point in time when obligations come into existence. Often, rental payments occur at specified intervals that do not correspond to the period in which the rental amounts were earned.

Answer C is incorrect because the date when the agreement began is only relevant to that particular reporting period.

Answer D is incorrect because rents are paid on an ongoing basis and should be reported in the proper period.

**Question 13**

Answer A is incorrect because the lack of material error applies only to faithful representation. Information can be accurate but not relevant.

Answer B is incorrect because completeness is necessary to ensure all the relevant information is included but does not guarantee faithful representation.

Answer C is incorrect because neutrality does not ensure relevance, but it is necessary for faithful representation of information.

Answer D comparability is correct because comparability is the quality of information that enables users to identify similarities and differences between sets of information. For information to be comparable, it must be both relevant (make a difference to a user) and faithfully represented.

**Question 14**

One key consideration that goes into the preparation of financial statements is to decide whether an entity has the ability to continue operating as a going concern. With this in mind, financial statements are prepared based on the assumption that a company will continue to operate in the foreseeable future, unless there is a clear understanding that management has plans to liquidate a company or to cease trading or does not have any alternative but to do so.

**Question 15**

(a) According to HKAS 1, accrual basis accounting 'depicts the effects of transactions and other events and circumstances on a reporting entity's economic resources and claims in the periods in which those effects occur, even if the resulting cash receipts and payments occur in a different period'. In other words, accrual basis accounting tracks actual economic events, regardless of the timing of cash inflows and outflows. Accrual basis accounting matches revenue earned with the expenses incurred to generate revenue.

(b) Cash basis accounting posts revenue and expenses based on cash inflows and outflows. This is the main distinction between accrual and cash basis accounting. By tracking cash movements rather than economic events, cash basis accounting presents a distorted picture of a company's true financial position.

**Question 16**

HKAS and HKFRS use the following definition of what is 'material':

> *Omission or misstatements of items are material if they could, individually or collectively, influence the economic decisions that users make on the basis of the financial statements. Materiality depends on the size and nature of the omission or misstatement judged in the surrounding circumstances. The size or nature of the item, or a combination of both, could be the determining factor*.

## EXAM PRACTICE

### QUESTION 1

Identify the correct statement:

**A.** Bookkeeping is a subset of accounting.
**B.** Accounting is a subset of bookkeeping.
**C.** Bookkeeping and accounting are unrelated.
**D.** Accounting must take place before bookkeeping can begin.

### QUESTION 2

Relevance is a characteristic of financial information. Identify which of the following statements in relation to relevance is correct and explain:

**A.** Relevance means irrelevant information can be omitted from accounting records.
**B.** Relevance means information is to be prepared on the same basis each year.

**C.** Relevance means information must be useful and appropriate.
**D.** Relevance means information must be trustworthy.

### QUESTION 3

Identify which of these transactions represents a sales transaction for a business:

**A.** The business owner has bought a new chair for the store.
**B.** An account has arrived for the business owner to pay for internet access.
**C.** The business has sold a table to a customer that must be delivered to their home.
**D.** The business rental payments are due at the end of the month.

### QUESTION 4

Identify which of these is not a way a customer pays for a cash sale:

**A.** Coins and notes
**B.** Credit card
**C.** Debit card
**D.** Credit note

### QUESTION 5

Pacific Airlines has a net profit of HK$1,000,584. Identify which amount would be material to their financial statements:

**A.** HK$500,000
**B.** HK$50
**C.** HK$1,000
**D.** HK$600

### QUESTION 6

Identify one type of internal stakeholder and one type of external stakeholder. By using a table format, explain why each one might use accounting information and identify the type of financial document each one might need.

### QUESTION 7

Describe the key qualitative characteristics of useful financial information as documented in the HKICPA Conceptual Framework for Financial Reporting.

## ANSWERS TO EXAM PRACTICE

### QUESTION 1

Answer A is correct because accounting includes recording transactions (namely bookkeeping) as well using those records to prepare and analyse financial statements.

Answer B is incorrect because the reverse is true: bookkeeping is a subset of accounting.

Answer C is incorrect because bookkeeping and accounting are closely related. Accounting includes recording transactions via bookkeeping. It also encompasses using that information to prepare and analyse financial statements.

Answer D is incorrect because bookkeeping typically must take place before many accounting tasks.

### QUESTION 2

Answer A is incorrect because even transactions that seem to be immaterial or irrelevant can accumulate into material amounts.

Answer B is incorrect because preparing information on the same basis each year refers to consistency instead of relevance.

Answer C is correct. Relevance refers to the usefulness and appropriateness of information.

Answer D is incorrect because trustworthiness refers to reliability instead of relevance.

### QUESTION 3

Answer A is incorrect because if an owner buys a new chair for a store, the related transaction is considered an expense, not a sale.

Answer B is incorrect because when a business pays for internet service, the related transaction is considered an expense, not a sale.

Answer C is correct because the sale of a table represents a sales transaction for a business. The other answers all represent payments that a business must make to other parties.

Answer D is incorrect because business rental payments are considered expenses, not sales.

### QUESTION 4

Answer A is incorrect because cash sales are frequently paid for by coins and notes. So are sales paid for by credit cards, debit cards and cheques.

Answer B is incorrect because credit card sales are categorised as cash sales. So are sales paid for by coins, notes, debit cards and cheques.

Answer C is incorrect because debit card sales are considered cash sales. So are sales paid for by coins, notes, credit cards and cheques.

Answer D is correct because a credit note is only issued in circumstances where goods are faulty, or a consumer has been overcharged for a good or service. Cash sales are typically paid for by notes and coins, credit cards, debit cards and cheques.

### QUESTION 5

Answer A is correct because materiality is the threshold above which missing or incorrect information in financial statements is considered to have an impact on the decision making of financial statement users. So, a missing amount of HK$500,000 would materially affect the net profit of HK$1,000,584.

Answer B is incorrect because HK$50 would not have an impact on the decisions of the users of Pacific Airlines' financial statements. It is not enough to affect the net profit.

Answer C is incorrect because HK$1,000 would not have an impact on the decisions of the users of Pacific Airlines' financial statements. It is not enough to affect the net profit.

Answer D is incorrect because HK$600 would not have an impact on the decisions of the users of Pacific Airlines' financial statements. It is not enough to affect the net profit.

### QUESTION 6

A correct answer includes one stakeholder and corresponding type of financial document and use from both the internal and external stakeholder lists.

| Stakeholder Type | Examples | Information | Use |
|---|---|---|---|
| Internal | • Managers<br>• Supervisors<br>• Finance professionals<br>• Company officers<br>• Other internal decision makers | • Internal reports<br>• Metrics assessing business performance<br>• Forecasting reports<br>• Manufacturing efficiency reports | Business decisions related to:<br>• Staffing decisions<br>• Product line comparisons<br>• New product launches<br>• Manufacturing decisions<br>• Financial planning<br>• Forecasting |
| External | • Investors<br>• Lenders<br>• Regulators | • Mandatory reports<br>• Tax returns<br>• Statements of financial position<br>• Statements of profit or loss and other comprehensive income | Decisions related to:<br>• Making or maintaining investments<br>• Lending money<br>• Determining risk<br>• Determining tax liability<br>• Ensuring compliance |

## QUESTION 7

There are seven qualitative characteristics of useful accounting information. These characteristics are described by the HKAS and HKFRS Conceptual Framework for Financial Reporting. The three fundamental characteristics include relevance, faithful representation and materiality. The four enhancing characteristics are comparability, verifiability, timeliness and understandability. Each one is described as follows.

First we examine the three fundamental characteristics:

- Relevance indicates that information makes a difference in the decision-making process. Relevant information can help predict future outcomes (i.e. have predictive value) or provide feedback about past evaluations (i.e. have confirmatory value).
- Faithful representation means that information is based on facts and is free from errors. Accounting information should be presented completely and in an unbiased way that does not seek to advance any agenda.
- Materiality can be determined by the effects of omission of or errors in particular information. If decision making is impacted due to missing or incorrect information, that information is considered to be material. All material accounting information should be included in financial reports.

The four enhancing characteristics are described here:

- Comparability is the quality of being able to compare accounting information across reporting periods. This can be achieved by consistently using similar accounting methods and principles as set forth by the standards.

- Verifiability refers to the fact that users should be able to confirm accounting information by reviewing bookkeeping records. The recorded amounts must be supported by source documents.
- Timeliness describes how information relevance is affected by when it is produced. To avoid outdated information, businesses should use the most current and complete information available.
- Understandability requires that users with a ‘reasonable degree of financial knowledge and a willingness to study the information with reasonable diligence’ should be able to understand the reports.

# 2

# Framework of Accounting

## CHAPTER TOPIC LIST

# LEARNING OUTCOMES

| | |
|---|---|
| **PRINCIPAL LO1: EXPLAIN THE PURPOSE OF ACCOUNTING** | |
| **LO1.02: Explain the relationship between business activities and business transactions** | |
| 1.02.02 | Explain how each type of business activity is recorded as a business transaction |
| **LO1.03: Identify the types of financial statements and explain their purpose** | |
| 1.03.01 | Identify the types of financial statements produced by financial and management accounting |
| 1.03.02 | Explain the requirements of relevant accounting standards and legislation relating to the disclosures required in financial statements |
| 1.03.03 | Describe the purpose of financial statements |
| **PRINCIPAL LO2: DEMONSTRATE AN UNDERSTANDING OF ACCOUNTING PRINCIPLES** | |
| **LO2.01: Apply the principles of the double entry accounting system and analyse the nature of business transactions** | |
| 2.01.01 | Classify entries arising from business transactions into:<br>• Assets<br>• Liabilities<br>• Equity<br>• Income<br>• Expenses |
| 2.01.02 | Explain the concept of capital |
| 2.01.03 | Compare and contrast capital and revenue items, and apply the principle to determine the nature of the items |
| 2.01.04 | Analyse the financial impact of incorrect classification between capital and revenue items |
| 2.01.05 | Apply the accounting equation (Assets = Equity + Liabilities) |

## OPENING CASE

# GREAT STATIONERY LIMITED, PART 2

The Wong brothers started operating their stationery business on 1 April 20X7. Like many small business owners, they had a lot to learn about the accounting needs of running a small business.

They started thinking seriously about the need for preparing annual **financial statements** at the end of their first reporting period on 31 March 20X8. By then, Great Stationery Limited ('Great Stationery') had entered into a number of transactions.

With the help of their accountant, the brothers were able to analyse company transactions and record them in the right accounts. Key transactions that the company needed to account for were:

- HK$100,000 was subscribed by both Wong brothers and used as seed money or start-up funding for the business.
- Great Stationery purchased HK$7,000 worth of equipment for the store.
- HK$10,000 credit was given to Great Stationery by suppliers to help them commence trading.

A small company like Great Stationery may process hundreds of transactions each month. The accounting software that Wong brothers purchased helped them compile all the bookkeeping information necessary for preparing the company's financial statements:

- The accounting software allowed the brothers to post the **income** and expense information necessary to create the statement of profit or loss and other comprehensive income.
- The statement of changes in equity was relatively straightforward because neither of the brothers had subscribed further equity or had withdrawn money from the business.
- After a few months of successful operation, the statement of financial position required some careful attention, because both the assets and liabilities of Great Stationery had grown considerably.
- The statement of cash flows reported on cash inflows and outflows.

By early May 20X8, the Wong brothers had prepared the first full set of financial statements for their company for the first year of operation ended on 31 March 20X8.

## OVERVIEW

Two groups of people can make a claim on company assets:

- First, if a business owes money to creditors, the business records a liability balance.
- Second, when investors contribute capital and receive an ownership interest, the equity account increases.

Creditors and equity investors both have a claim on company assets. The critical difference is that creditors are to be repaid, while equity holders receive a return on their investment (a dividend).

Financial accounting can be explained in terms of what is called the **basic accounting equation**:

$$\boxed{\text{Assets} = \text{Liabilities} + \text{Equity}}$$

Each element of the equation has a special meaning in accounting. For accounting purposes:

- An asset is defined as a present economic resource controlled by the entity as a result of past events.
- A liability is defined as a present obligation of the entity to transfer an economic resource as a result of past events. Such an obligation may arise from employees for their services, or to a creditor who has supplied materials or from a bank loan.
- **Equity** is defined as the residual interest in the net assets of the entity, meaning what remains once liabilities are subtracted from total assets.

Remember that the equation must always be looked at from the perspective of the entity for which it is being reported. The personal assets and liabilities of shareholders should not be confused or mingled with those of the entity for which accounting is taking place.

The basic accounting equation can be expanded to create a framework that facilitates the reporting of information in financial statements. The understanding and use of the expanded accounting equation makes it possible to analyse the myriad economic transactions that companies undertake. The ability to analyse how transactions affect the accounting equation is key to understanding accrual accounting.

All transactions are recorded in accounts and later reported in financial statements. Financial statements provide information that allows all stakeholders in an economic entity to make decisions related to the entity.

A primary objective of this chapter is to identify the types of financial statements produced by financial accounting for external reporting, which can also be incorporated into management accounting information for planning, control and decision-making.

They do so by using four main financial statements:

1. The statement of profit or loss and other comprehensive income
2. The statement of changes in equity
3. The statement of financial position
4. The statement of cash flows

The financial statements also include **notes** and **disclosures**, which expand upon those statements, to enable readers to better understand the financial position and performance of a business.

The Hong Kong Accounting Standards (HKAS) and Hong Kong Financial Reporting Standards (HKFRS), created and governed by the Hong Kong Institute of Certified Public Accountants (HKICPA), are used to prepare financial statements in Hong Kong. Combined, these standards are the Conceptual Framework for financial reporting.

As you read this chapter, please keep these points in mind:

- Accountants may use a variety of terms internally, for items such as the accounts receivable and accounts payable, when preparing journal entries and performing bookkeeping functions. Note, however, that accounting standards such as HKAS 1 use tightly defined terms that are employed in the external financial accounting statements. Those terms may appear to be the same as those used internally, but care is needed to ensure that they are the same terms, or that they are reconcilable to each other.
- An accountant may sometimes refer to a balance sheet and income statement as financial statement titles. HKAS 1, however, requires accountants to refer to these financial statements as the **statement of financial position** and **statement of profit or loss and other comprehensive income** respectively.

## 2.1 THE ACCOUNTING MODEL

The **accounting model** represents the process used to prepare the financial statements. Accountants use the accounting equation as the basis for recording and summarising all transactions and events.

### 2.1.1 The Basic Accounting Equation: Assets = Liabilities + Equity

Users need information about the economic resources that are required to run a business, and the claims on those economic resources. Financial statements record the following elements, which together provide this information:

- Assets
- Liabilities
- Equity

In accounting, economic resources that are controlled by a business are called **assets**. In this context an asset is defined as a present economic resource controlled by the entity as a result of past events. For example, a piece of machinery which produces inventory that can be sold is one type of asset. Similarly, office equipment that supports an organisation's administration and operations is also considered an asset.

There are two types of claims on an organisation's assets:

- The first type includes any amounts the business owes to creditors or other third parties, such as employees. These are called **liabilities**.
- The second type of claim on an organisation's assets includes the shareholder's rights to the resources. This is referred to as **equity**.

The **basic accounting equation** connects assets, liabilities and equity, and can be expressed as follows:

$$\text{Assets} = \text{Liabilities} + \text{Equity}$$

This can also be displayed as:

$$\text{Equity} = \text{Assets} - \text{Liabilities}$$

Assets must equal the sum of liabilities and equity that fund them. In the accounting equation, it is useful to consider liabilities before equity because creditors have the right to receive payment before owners.

The accounting equation is the same for all businesses, regardless of their size, nature of business or form of business organisation. It applies equally to a small proprietorship such as a corner grocery store and to a large corporation like Coca-Cola. The statement of financial position is based on the basic accounting equation.

Look at Exhibit 2.1 to see how assets, liabilities and equity work in the Great Stationery case study you read earlier. You can see that:

- The Wong brothers' equity of HK$100,000 subscribed in cash, has been used to purchase HK$7,000 worth of office equipment, which reduces the amount of cash to HK$93,000.

| **Great Stationery Limited as at 30 April 20X7** | | | |
|---|---|---|---|
| **Assets** | | **Equity** | |
| Office equipment | 7,000 | Share capital | 100,000 |
| Inventory | 10,000 | | |
| Cash | 93,000 | | |
| | | **Liabilities** | |
| | | Trade payables | 10,000 |
| | | | |
| **Total assets** | 110,000 | **Total equity and liabilities** | 110,000 |

▶ **EXHIBIT 2.1** **A sample of Great Stationery's assets, liabilities and equity**

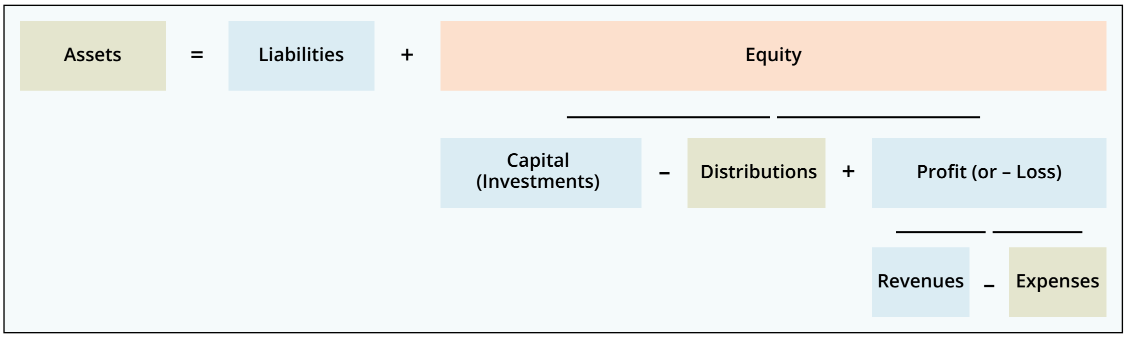
- You can also see the credit given to the company from the suppliers, and how it has been invested in inventory of HK$10,000.

HK$110, 000 funding is represented by office equipment HK$7,000, inventory HK$10,000 and cash HK$93,000.

## 2.1.2 The Expanded Accounting Equation

There are some adjustments that need to be made to the basic accounting equation, so that the economic elements of a business (i.e. beyond assets, liabilities and equity) are shown separately, namely income (**revenues** and gains), expenses (including losses) and other changes in equity. This requires the accounting equation to be expanded.

Expressed differently, it is possible to create a framework that can be used to report the information required in the statement of profit or loss and other comprehensive income and the **statement of changes in equity**, as well as in the statement of financial position. The components in the **expanded accounting equation** shown in Exhibit 2.2 are known as elements of financial statements.




▶ **EXHIBIT 2.2 The expanded accounting equation**

Revenue may arise when a business receives cash for the sale of goods. Great Stationery may sell a box of photocopy papers to a customer in a cash sale. The cash sale is business revenue. The notion of a 'profit or loss' also appears in the expanded accounting equation:

- A **profit** arises when total income, which is made up of revenue and other gains, exceeds total expenses.
- A **loss** arises when total expenses exceed total income.

One thing that is important to remember is that the equation must always balance. For example, the expanded equation makes it possible to see that, as income increases so does equity. This is because the income represents new assets (cash or trade receivables) and, all things being equal, that increase belongs to the shareholders – their equity has been increased.

The expanded accounting equation separates equity-related transactions from revenue, and the difference between these categories is important:

- Revenue-related transactions are considered in profits or losses (i.e. sales revenue, rental income).
- Equity-related transactions (i.e. increase invested capital by the shareholders) are referred to as **capital** and **distributions**.

The common equity-related transactions are defined in Exhibit 2.3.

| | |
|---|---|
| Equity | Equity can be invested in cash, equipment or other resources (assets) by the shareholders of a business. |
| | Example: A shareholder contributing HK$10,000 of his own savings to the business is providing the business with equity. |
| Distributions | Distributions are payments to the shareholders. |
| | Example: Dividends paid to shareholders as returns of their equity. |

**EXHIBIT 2.3 Equity-related transactions**

It is important to remember that accounting records need to be properly kept, so contributions of equity are not classified as a revenue transaction by mistake. This would misrepresent the economic transaction as well as make the accounting records misleading.

Assume the Wong brothers contributed a further HK$10,000 each into the business. It is an increase in capital, which means by default that it increases equity by HK$20,000. This is not revenue as it is contributed by shareholders.

Income = revenues plus gains. **Gains** are received from disposing of non-current assets for more than their net book value (also called the carrying amount).

Revenue = increases in assets due to sales to customers for goods or services.

Expenses = consumption of assets.

Equity = contributions in cash or in kind by shareholders + net profit (or minus a net loss) since inception – distributions to shareholders.

## Illustrative Example 1

The Wong brothers turned to their accountant for an explanation of what the accounting equation means for them. 'It is actually quite simple', the accountant told the bemused brothers. 'A liability relates to amounts that you owe to people. The inventory you buy creates an asset, but the funds you borrowed to buy that inventory create a liability that must be paid'.

The accountant explained that borrowing money to buy inventory has two effects:

- First, Great Stationery's total assets grow.
- Second, the debt – a liability – must be repaid in time.

Purchasing an asset with cash, however, has a separate effect. 'The purchase of an asset using cash means that you are paying for an asset with the company's existing resources. There is no immediate change in the accounting equation'.

### Key Learning Point

The basic accounting equation underpins much of the work of accountants. The equation can be adjusted to create an expanded accounting equation that accounts for more variables. The basic accounting equation is:

**Assets = Liabilities + Equity**

### ▶ Knowledge Check Questions

**Question 1**

Determine the correct expression of the accounting equation.

**A** Assets = Liabilities – Equity

**B** Equity = Revenue + Assets

**C** Capital = Expenses + Profit (or – Loss)

**D** Assets = Liabilities + Equity

**Question 2**

The following transactions were incurred by Great Stationery in April 20X7. Apply the basic accounting equation to determine the impact of each one:

(a) Received some credit from suppliers, which added up to HK$10,000.

(b) Each of the two shareholders put in cash HK$50,000 to start operation.

(c) Used cash HK$7,000 to purchase some equipment.

(d) Received cash payment HK$3,000 from a customer on the day of sale.

**Question 3**

Identify which of the following documents are created through financial reporting:

**A** Sales forecasts

**B** Statement of cash flows

**C** Cost of production reports

**D** All of the above

## 2.2 TRANSACTION ANALYSIS

The accounting equation is an expression of the flows of assets into and out of an entity through its operations (e.g. sales revenue and the cost of purchases), the incurrence and settlement of liabilities (claims on assets and uses of assets).

Once an accountant identifies a transaction that should appear in the accounts, the transaction must be analysed for its effect on the components of the accounting equation before it can be recorded. **Transaction analysis** is performed to identify the nature of the transaction, in order to determine the appropriate place for it to appear in the accounts of a business such as Great Stationery.

Each transaction must have a dual effect on the equation, so that the two sides of the accounting equation remain equal. This concept is referred to as the **double-entry bookkeeping system**. For example, if an asset is increased, there must be a corresponding movement in the accounting equation, such as:

- A decrease in another asset (e.g. cash purchase of inventory)
- An increase in a liability (e.g. purchase of inventory on credit)
- An increase in equity (e.g. injection of shareholder's capital in cash)
- A combination of the aforementioned changes

Remember that the accounts must balance at all times. Always use this principle to test your thinking on a transaction.

Properly analysing how transactions affect the elements in the accounting equation is essential for good accounting and for sensible use of accounting information. Let's expand on this concept by looking at a number of different transactions. To illustrate, we will look at hypothetical transactions of Great Stationery and their impacts on the accounting equation.

### 2.2.1 The Effects of Income (Revenue + Gains) and Equity Transactions

It is important to understand the nature of transactions that increase assets:

- The receiving of subscriptions from shareholders increases assets but does not result in profit or loss. It funds the business that might then make profits or losses.
- Revenue results from transactions with customers that increase the assets of the entity without any new claim on those assets.

So the reason for an increase in assets is key to determining whether a profit has been made, or whether the business has been upsized by equity holders so as to make profits in the future.

These two types of transactions give rise to different elements in financial statements, and any confusion between the two will result in inappropriate accounting and misleading information being provided to shareholders and other users of financial statements.

The first thing you must remember is that both revenue and increases in equity give rise to inflows of assets:

- Revenue is an inflow arising from business activities and will affect profit or loss (and consequently equity), while
- Inflows of equity from owners or shareholders are made to enable those activities but do not affect profit or loss.

Business activities may include sales of various types of goods, such as washing machines, televisions, electric toasters, mobile phones and clothing depending on the entity. They can also include the provision of services such as accounting, legal, engineering and medical advice by professionals.

Some companies, for example, may have funds in a deposit for a fixed term with a bank. That deposit will earn some income; the entity will need to ensure that this appears in the accounting records in the appropriate way. These forms of income, like revenue from customers (another form of income), result in increases in assets and equity.

#### 2.2.1.1 Shareholder Subscriptions as Equity and Revenue

Shareholders subscribe HK$150,000 to a company and that money is immediately spent on acquiring the sole licence to sell publications in a region in perpetuity. This licence is an asset. The company sells publications worth HK$800,000 in the first year and, in doing so, incurs expenses of HK$200,000:

- In this example, the shareholders' initial subscription increases both assets and equity by HK$150,000, as shown in the table below.
- The directly related sales activities increase assets by the net of HK$800,000 and HK$200,000. This results in a profit of HK$600,000, which was calculated by subtracting expenses from revenue. That profit accrues to the shareholders and further increases their equity by HK$600,000 to HK$750,000.

| **Assets** | **=** | **Liabilities** | **+** | **Equity** |
|---|---|---|---|---|
| Licence HK$150,000 | | | | Share capital HK$150,000 |
| Cash HK$800,000 | | | | Sales HK$800,000 |
| Inventories (HK$200,000) | | | | Cost of sales (HK$200,000) |
| **HK$750,000** | | | | **HK$750,000** |

Incorrectly expensing the cost of the licence would have a serious impact on the statement of financial position. In this case, it would understate profit by HK$150,000 and omit the asset (i.e. the licence) from the statement of financial position.

Wrongly treating the shareholders' subscription as income would mistakenly inflate by that same amount. Think about the distortion that would arise if the equity HK$150,000 was mistakenly classified as revenue. An error recording the equity HK$150,000 as revenue would appear as a profit in the financial statements. This could result in an overstatement of profit.

To better understand how equity should be classified, ask this question: Is the shareholder's contribution of HK$150,000 an indication of an entity's financial performance? The answer is probably not:

- The contribution of funds could be considered an indication that the business is performing poorly at that point in time.
- The contribution of equity could also indicate that the shareholders underestimated the amount of investment required when they first started the venture. This could also suggest a problem.

For such reasons, it is critical to remember that accounting seeks to communicate the financial state of an entity. When an entity's financial state is classified incorrectly, users of the erroneous reports do not have the information they need to make decisions:

- This can lead internal decision makers to take actions that do not benefit a company, given its true financial state.
- Such errors can also lead external stakeholders to incorrect conclusions about an organisation's finances. This can have many negative impacts on a business, including depriving it of important opportunities or opening it to accusations of fraud.

It is the accountants' ethical obligation to ensure that the information presented in all reports faithfully represents the true state of an entity's financial affairs.

### Illustrative Example 2

On 28 November, the Wong brothers each contributed equity HK$500 to Great Stationery. Then, they purchase 4,000 customisable invitations, for which they do not have to pay until the vendor sends an invoice. The invitations cost 10 cents each for a total of HK$400. Show what happens to the accounting equation as a result of each of these transactions.

| **Assets** | **=** | **Liabilities** | **+** | **Equity** |
|---|---|---|---|---|
| Bank HK$1,000 | | | | Share capital HK$1,000 |
| Inventories HK$400 | | Trade Payables HK$400 | | |
| **HK$1,400** | | **HK$400** | | **HK$1,000** |

On 1 December, Great Stationery sells half of the invitations for 50 cents each. The following day, the invoice for the invitations arrives and the Wong brothers use part of their profits to pay it.

| **Assets** | **=** | **Liabilities** | **+** | **Equity** |
|---|---|---|---|---|
| Cash HK$1,000 | | | | Sales HK$1,000 |
| Inventories (HK$200) | | | | Cost of sales (HK$200) |
| **HK$800** | | | | **HK$800** |

## 2.2.2 The Effects of Purchases and Payments

The outflows of assets from an entity take place either because the entity is acquiring assets, settling liabilities, incurring expenses or making distributions to shareholders. Purchases and payments need to be analysed to know which of these is occurring:

- When an entity purchases **inventory** (goods produced available for sale), it is exchanging one asset (cash) for another (inventory).
- When it makes payments to meet cash expenses, it is consuming the asset cash.

It should be borne in mind that not all purchases will be immediate expenses, as business management may buy assets for a business that will help to generate future revenues. Some purchases of assets will be non-current assets (e.g. plant and equipment).

Consider for a moment the notion of payments. Payments for utilities, for example, relate to payments for the use of services that enable the business to run. These could also be referred to as operating expenses. You receive electricity, gas, water and communication services, which are provided to you by a network that is owned by somebody else.

**Payment for utilities from cash:** Great Stationery pays HK$5,000 in cash. The transaction results in a decrease in cash and in equity of an equal amount.

| Assets | = | Liabilities | + | Equity |
|---|---|---|---|---|
| Cash (HK$5,000) | | No change | | Expenses (HK$5,000) |

How does this work? Great Stationery already had sufficient funds (assets) from subscribed equity to be able to pay its electricity account. No funds were borrowed by the business to pay this particular account. There is a decrease in both the asset (cash) and also a decrease in equity in these circumstances.

What would happen if a company had to take out a loan to purchase computer equipment for HK$10,000? The first thing you would need to deal with in the accounting records is the increase in liabilities as a result of the loan, and a corresponding increase in cash which is an asset.

| Assets | = | Liabilities | + | Equity |
|---|---|---|---|---|
| Cash HK$10,000 | | Loan HK$10,000 | | No change |

The company would then use the HK$10,000 to purchase the computer equipment, and so there is a reduction in the 'cash' asset and the purchase of computer equipment.

| Assets | = | Liabilities | + | Equity |
|---|---|---|---|---|
| Cash (HK$10,000) | | | | No change |
| Equipment HK$10,000 | | | | |

Bear in mind that purchasing supplies on credit – an agreement to defer payment by a future date – will be accounted for in a similar fashion. While it results in cash, it creates a corresponding liability.

### Key Learning Point

The process of transaction analysis is important to ensure that both sides of the accounting equation remain in balance.

### ▶ Knowledge Check Questions

**Question 4**

State the two classes of party who can make a claim on the assets of a company, and identify which accounts they make claims on.

**Question 5**

Great Stationery sells HK$20,000 worth of products to a customer. The customer pays HK$5,000 in cash and HK$15,000 is posted to trade receivables. Identify how this transaction is recorded.

**A** HK$20,000 increase Assets = HK$5,000 increase Liabilities + HK$15,000 increase Equity.

**B** HK$15,000 increase Assets = No change in Liabilities + HK$15,000 increase Equity.

**C** HK$20,000 increase Assets = No change in Liabilities + HK$20,000 increase Equity.

**D** HK$20,000 increase Assets = HK$15,000 increase Liabilities + HK$5,000 increase Equity.

**Question 6**

Compare and contrast the accounting treatment between an equity subscription received from a shareholder and cash proceeds received from a sale.

**Question 7**

Great Stationery pays HK$25,000 cash salary to the accountant. Analyse how this transaction is recorded.

**A** HK$25,000 decrease Assets = No change in Liabilities + HK$25,000 decrease Equity.

**B** HK$25,000 decrease Assets = HK$25,000 increase Liabilities + No change in Equity.

**C** HK$25,000 increase Assets = HK$25,000 decrease Liabilities + No change in Equity.

**D** HK$25,000 decrease Assets = No change in Liabilities + HK$25,000 increase Equity.

# 2.3 COMMUNICATING ECONOMIC ACTIVITIES USING FINANCIAL STATEMENTS

The main objective of the **financial statements** is to provide information to allow all stakeholders, particularly external ones such as investors and creditors, to make decisions about a business.

## 2.3.1 Overview of Financial Statements

Users of the financial statements want to understand the financial position and performance of a company. This requires information about assets, liabilities, equity and cash flows. They also want to know about the financial performance of a company, including income and expenses and the components of equity.

If, for example, Great Stationery issue new shares HK$20,000 to an investor, the investor would need information on how the company invested the HK$20,000. The investor would also want to know if Great Stationery is generating a profit, which produces a return on the investment.

This information needs to be reported in a way that is relevant (pertains to the decisions to be made by stakeholders like the investors) and representationally faithful (it is what it purports to be). Users need the information to both be confirmatory of their expectations and to assist in predicting future financial position and performance. They want the information to be comparable, verifiable, timely and understandable.

The information is provided in at least four different financial statements produced by financial accounting. These are:

1. Statement of profit or loss and other comprehensive income;
2. Statement of changes in equity;
3. Statement of financial position; and
4. Statement of cash flows.

These statements include supplementary disclosures that will mostly be prescribed by accounting standards and other laws.

The statements listed above are used by external users to understand the affairs of a business. The process of holding such financial statements out to external users is called financial reporting. Those statements are produced using financial accounting, and they will be used by shareholders, creditors, customers, potential investors, government and other stakeholders to understand the affairs of an entity.

### 2.3.2 Statement of Profit or Loss and Other Comprehensive Income

The main purpose of the statement of profit or loss and other comprehensive income is to report the profitability of the business's operations over a specified period of time, such as a month, quarter or year.

As illustrated in Exhibit 2.4, the statement of profit or loss and other comprehensive income is based on this formula:

$$\boxed{\text{Revenue} - \text{Expenses} = \text{Profit}}$$

Assume that Great Stationery has undertaken the following transactions at the end of March 20X8:

A. Sold HK$25,000 worth of goods to customers and generated HK$20,000 gross profit during the period.
B. Paid HK$1,000 for website management services for the current period.
C. Paid HK$7,000 for utilities.
D. Paid HK$4,000 for catering.

| Great Stationery Limited<br>Statement of Profit or Loss and Other Comprehensive Income<br>For the month ended 31 March 20X8 | | |
|---|---|---|
| **Revenue** | **HK$** | **HK$** |
| Sales | | 25,000 |
| Cost of sales | | (5,000) |
| Gross profit | | 20,000 |
| **Less: Expenses** | | |
| Website management fees | 1,000 | |
| Utility expenses | 7,000 | |
| Catering expenses | 4,000 | |
| Total expenses | | (12,000) |
| Profit for the month | | 8,000 |

▶ EXHIBIT 2.4 **Statement of profit or loss and other comprehensive income**

**Revenue** may come from different sources and be given different names, depending on the type of business. Common sources of revenue include sales, fees, services and commissions. Great Stationery, for instance, has two categories of revenue: sales of supplies in Hong Kong and sales of scrap paper in mainland China. Other forms of income besides revenue include interest income and gains from selling non-current assets.

**Expenses** represent the costs of assets that are consumed (including services) that are used in a company's business activities. As with revenues, there are many kinds of expenses and they are identified by various names, depending on the type of asset consumed or service used. For example, Great Stationery reports expenses related to the following: wages and salaries, bad debts, utilities, interest and repairs.

Profit is generated when revenue is greater than expenses, and conversely a loss results when expenses are greater than revenue.

Other comprehensive income may not relate to a company's typical business operations, and many businesses do not generate other comprehensive income each year. A change in the valuation of property, plant and equipment may generate income in this category, along with an adjustment made for a company-defined benefit pension plan liability.

Assume that Great Stationery generated an amount of income other than revenue for the period in relation to a gain on the revaluation of property, plant and equipment. That gain would be classified under accounting standards as 'other comprehensive income'. It would be shown in total comprehensive income, but separately from the profit or loss from operations. This is largely to enhance the analysis of users as the information has a different predictive value.

### 2.3.3 Statement of Changes in Equity

The next financial statement that is prepared is the **statement of changes in equity**. This statement reports on any changes in equity due to income for the period, dividend payments or returns of equity.

As illustrated in Exhibit 2.5, the Wong brothers each put in HK$50,000 in cash to start operations, and that transaction increased the cash account and Great Stationery's total equity.

| Great Stationery Limited<br>Statement of Changes in Equity<br>For the year ended 31 March 20X8 | |
|---|---|
| | **HK$** |
| **Balance at 1 April 20X7** | |
| Share capital | 100,000 |
| Retained earnings for the year (per Exhibit 2.4) | 8,000 |
| **Balance at 31 March 20X8** | 108,000 |

▶ **EXHIBIT 2.5 Statement of changes in equity**

**Investments** or subscriptions by shareholders are contributions of cash or other assets into the business, such as a vehicle or a computer:

- In a sole proprietorship, investments are recorded as increases to what is known as the owner's equity account.
- Similarly, investments by shareholders result in an increase in an asset and an increase in equity in the form of share capital.

Drawings result in a decrease in an asset and a decrease in equity:

- Owners may withdraw cash or other assets from a sole proprietor business, and this transaction is referred to as taking **drawings or distributions**.
- In a similar way, a dividend is a distribution of company earnings to a shareholder.
- The retained earnings balance, on the other hand, represents company profits that are retained by the company to fund business operations in the future.

## 2.3.4 Statement of Financial Position

The statement of financial position presents a company's financial condition at a specific point in time, usually the end of a month, quarter or year. The heading of a statement of financial position must identify the company, statement and date.

As you can see in Exhibit 2.6, the statement of financial position includes assets, liabilities and equity. In addition, assets and liabilities are categorised as either current or non-current for the initial balances for Great Stationery. Remember that? Read through it again if you need to refresh your memory.

Assets are present economic resources controlled by the entity as a result of past events. Assets are used to carry out activities, such as the production and distribution of merchandise:

- Equipment is considered an asset, because Great Stationery will use it to produce a product for customers.
- A company may own other assets, such as desks, chairs and computers.

| Great Stationery Limited<br>Statement of Financial Position<br>As at 31 March 20X8 | |
|---|---|
| | **HK$** |
| **Non-current assets** | |
| Office furniture and equipment | 7,000 |
| | |
| **Current Assets** | |
| Inventory for stores | 10,000 |
| Cash | 141,000 |
| | |
| **Total assets** | **158,000** |
| | |
| **Equity** | |
| Share capital | 100,000 |
| Retained earnings | 8,000 |
| | |
| **Current Liabilities** | |
| Trade payables | 50,000 |
| | |
| **Total liabilities and equity** | **158,000** |

▶ **EXHIBIT 2.6** **Statement of financial position**

- Trade receivables are any assets created when a company sells goods or services to customers who promise to pay cash in the future.
- Other common assets include merchandise held for resale (commonly referred to as inventory), investments, land, buildings, patents and copyrights.

In some cyclical businesses, the definition of current assets will be assets that an entity intends to sell or consume in the normal operating cycle. For example, a shipbuilding business may take, say, 15 months to construct its particular ships and need working capital structured for that period.

For most businesses, current assets will include cash and other assets that will be converted into cash within the next year. Trade receivable balances, on the one hand, will be those expected to be collected in cash from customers within a year. Equipment, on the other hand, will normally be used to generate revenue for years, and this asset is considered non-current.

Liabilities are present obligations of the entity to transfer an economic resource as a result of past events. For example, businesses of all sizes may sometimes borrow money and purchase merchandise inventory on credit. Obligations to pay cash to suppliers in the future are called trade payables.

Normally current liabilities will be paid in cash within a year:

- Trade payable balances, for example, are those expected to be paid within 12 months, along with the current portion of non-current debt.

- Bank loan balances, for example, will be classified as non-current because it is expected that they will be paid over a longer period of time (i.e. over one year). That is, they are not due within the same reporting period for which the report is relevant.

Again cyclical businesses may involve periods that differ from 12 months.

Shareholders' claim on company assets is defined as equity. Equity is equal to net assets (assets – liabilities). Since the claims of creditors must be paid before ownership claims, the equity is often called 'residual equity'. If the equity is negative – that is, if total liabilities are more than total assets – the term 'owner's deficiency' (or deficit) or similar describes the shortage.

Equity is a general accounting term that could be used for any type of organisation:

- 'Owner's equity' is used most frequently for sole proprietorships.
- Partnerships often use the term 'partners' equity'.
- Limited companies typically use 'shareholders' equity'.

### 2.3.5 Statement of Cash Flows

Investors and creditors need information on a company's ability to generate cash inflows from its business activities and how the business uses cash. The **statement of cash flows** gives information about the cash receipts and cash payments during a specific reporting period.

Note that 'cash' is shorthand for 'cash and cash equivalents'. Cash equivalents are near cash assets that are easily converted to cash.

The statement of cash flows gives answers to the following important questions:

- Where did the cash come from during the period?
- What was the cash used for during the period?
- What was the change in the cash balance during the period?

As illustrated in Exhibit 2.7, the sample statement of cash flows reports the following:

- Cash flows from operations: Most of a company's cash activity is considered operating activity.
- Cash flows from investing: These cash transactions relate to buying and selling assets.
- Cash flows from financing: This category includes financing transactions, such as borrowing or repaying debts, investments and withdrawals of equity.
- The net increase or decrease in cash during the period.
- The cash amount at the end of the period.

Exhibit 2.7 is the statement of cash flows for Cathay Pacific. What do you notice about the statement as you read it? You will notice that:

- Cash generated from operations and interest received represent positive cash flows.
- Net interest paid and tax paid represent funds that have flowed from the company.
- Payments for property, plant and equipment and intangible assets are amongst the investing activities resulted in net cash outflow HK$9 billion.

| Consolidated Statement of Cash Flows<br>For the six months ended 30th June 2017 – Unaudited | | | | |
|---|---|---|---|---|
| | **2017** | 2016 | **2017** | 2016 |
| | **HK$ m** | HK$ m | **US$ m** | US$ m |
| **Operating activities** | | | | |
| Cash generated from operations | **3,577** | 5,569 | **458** | 714 |
| Interest received | **106** | 97 | **14** | 12 |
| Net interest paid | **(711)** | (504) | **(91)** | (65) |
| Tax paid | **(186)** | (205) | **(24)** | (26) |
| **Net cash inflow from operating activities** | **2,786** | 4,957 | **357** | 635 |
| **Investing activities** | | | | |
| Net increase in liquid funds other than cash and cash equivalents | **(1,926)** | (1,020) | **(246)** | (131) |
| Proceeds from scrap/sales of property, plant and equipment | **25** | 12 | **3** | 2 |
| Proceeds from sales of assets held for sale | **8** | 279 | **1** | 36 |
| Proceeds from disposal of long-term investment | **633** | – | **81** | – |
| Net decrease/(increase) in other long-term receivables and investments | **465** | (47) | **60** | (6) |
| Payments for property, plant and equipment and intangible assets | **(8,235)** | (2,828) | **(1,056)** | (362) |
| Dividends received from associates | **11** | 345 | **1** | 44 |
| Repayment of loans to associates | **–** | 19 | **–** | 2 |
| Loans to associates | **–** | (12) | **–** | (2) |
| **Net cash outflow from investing activities** | **(9,019)** | (3,252) | **(1,156)** | (417) |
| **Financing activities** | | | | |
| New financing | **9,148** | 6,088 | **1,173** | 781 |
| Loan and finance lease repayments | **(7,857)** | (7,253) | **(1,007)** | (930) |
| Security deposits placed | **–** | (23) | **–** | (3) |
| Dividends paid | | | | |
| – to the shareholders of Cathay Pacific | **–** | (1,062) | **–** | (136) |
| – to non-controlling interests | **(254)** | (132) | **(33)** | (17) |
| **Net cash inflow/(outflow) from financing activities** | **1,037** | (2,382) | **133** | (305) |
| **Decrease in cash and cash equivalents** | **(5,196)** | (677) | **(666)** | (87) |
| Cash and cash equivalents at 1st January | **9,778** | 7,207 | **1,254** | 924 |
| Effect of exchange differences | **163** | 35 | **20** | 5 |
| **Cash and cash equivalents at 30th June** | **4,745** | 6,565 | **608** | 842 |

The financial statements are prepared and presented in HK$, the functional currency. The US$ figures are shown only as supplementary information and are translated at HK$7.8.

**EXHIBIT 2.7 Statement of cash flows** *(Source: Cathay Pacific Annual Report, 2017.)*

- Take a look at the financing activities and you will notice that there was new financing obtained during the reporting period of HK$9.1 billion, but that there was loan and finance lease repayments HK$7.9 billion.

The cash flow statement allows you to observe all of these elements of inflows and outflows of cash in and from the company.

### 2.3.6 Financial Statement Disclosures

Every set of financial statements includes explanatory notes and supporting schedules that are an essential and defined part of the statements. At the very least, the company will have to indicate that it follows a specific set of financial standards such as HKAS and HKFRS.

Public corporations issue their financial statements and supplementary materials within a periodic report (most notably **annual report** is used in this text as the generic term for periodic reports). The annual report is a document that includes useful financial and non-financial information about the company:

- Financial information may include a review of current operations and a historical summary of key financial figures and ratios, in addition to the financial statements.
- Non-financial information may include a management discussion of the company's mission, goals and objectives; market position; and key people.
- In Hong Kong, the financial statements of public companies and limited companies are audited, and an auditors' report is also included. There is also a statement of management responsibility for the financial statements included in the annual report.

HKAS 1 *Presentation of Financial Statements* outlines a series of disclosures that statements should include in the notes. These are:

- Information about the basis for presentation of the financial statement and accounting policies used;
- Any information required by HKAS and HKFRS that is not included elsewhere in the financial statements;
- Any information that is not presented elsewhere but is relevant to understanding the financial statements.

These notes must be systematic and help ensure that the statements meet the qualities expected of them, such as understandability and comparability. For instance, in the notes, a company would explain any changes to the reporting period or accounting practices.

There are other disclosures that companies are expected to make in their notes. These include any contingent liabilities and contractual commitments, as well as non-financial disclosures that could represent some kind of financial exposure or risk.

The HKAS and HKFRS standards include examples of how to order and group notes. They call for giving prominence to any activities that are relevant to understanding the financial performance and position of a company. They also cover grouping (classifying) of like items, including those that are 'measured similarly'. Line items should comply with definitions, and be consistently classified over time unless circumstances change.

### 2.3.7 Understanding the Connection between the Financial Statements

To understand the financial statements, it's important to remember that there are connections between them. Accountants use information from one statement to create others. Here are three examples that illustrate how the financial statements are connected:

- **Profit or loss and comprehensive income**: The statement of profit or loss and other comprehensive income reports on income (including revenue and gains), expenses (including losses) and net profit. Net profit increases total equity and is also shown as doing so in the statement of changes in equity.
- **Total equity**: Balances and movements in equity are shown in the statement of changes in equity, and reconcile with equity shown in the statement of financial position for the comparative and current year.
- **Cash and cash equivalents balances**: The statement of 'cash' flows reports a business cash inflows and outflows for a particular month or year. For example, the statement of cash flow for 31 March 20X8 starts with the cash balance on 1 April 20X7, and then lists cash inflows and outflows that occur during the financial year.

  Opening cash balance (cash and cash equivalents) + net change in 'cash' = Closing cash and cash equivalent balances in the statement of financial position.

When preparing the financial statements, accountants need to ensure that the information in one financial statement reconciles to information in another financial statement. For example, if the ending cash balance in the statement of cash flows does not equal the cash balance in the statement of financial position, there must be an error in one or more of the various statements.

#### Key Learning Point

There are four main financial statements that companies produce. They are: the statement of profit or loss and other comprehensive income, the statement of changes in equity, the statement of financial position and the statement of cash flows.

Accountants use the connections between the financial statements to facilitate the analysis of company results.

#### ▶ Knowledge Check Questions

**Question 8**

An accountant is creating the statement of cash flows and presents a closing cash balance of HK$20,000. The closing cash balance must equal the cash balance in another financial statement. Identify the relevant financial statement.

**A** Statement of profit or loss and other comprehensive income

**B** Statement of changes in equity

**C** Statement of financial position

**D** Statement of comparative analysis

## Knowledge Check Questions *(continued)*

**Question 9**

Identify the three kinds of activities that are reported in a statement of cash flows.

**Question 10**

Define general purpose financial statements.

**Question 11**

Identify the financial statement that enables a user to analyse an entity's liabilities and equity.

**A** Cost of production statement

**B** Statement of profit and loss and comprehensive income

**C** Incremental analysis reports

**D** Statement of financial position

## SUMMARY

- A simple equation known as the basic accounting equation explains the work of accountants in preparing financial statements. This basic equation is: Assets = Liabilities + Equity.
- The basic accounting equation can be displayed as the expanded accounting equation. The expanded accounting equation makes it possible to analyse the many economic transactions that companies undertake.
- The ability to analyse how transactions and events affect the accounting equation is key to understanding accounting.
- Transactions and events always impact the basic equation twice (via entering the debit and credit of double-entry bookkeeping). Both sides of the equation also remain in balance.
- Financial statements provide information that allows all stakeholders in a company to make informed decisions. In Hong Kong, the preparation of financial statements is guided by Hong Kong Accounting Standards (HKAS) and Hong Kong Financial Reporting Standards (HKFRS).
- There are four main financial statements: statement of profit or loss and other comprehensive income, statement of changes in equity, statement of financial position and statement of cash flows.
- The four main statements include additional notes and disclosures to ensure that they paint a comprehensive picture of the financial position and performance of a company.

## MIND MAP

**FRAMEWORK OF ACCOUNTING**

**THE ACCOUNTING MODEL**

The basic accounting equation:
Assets = Liabilities + Equity

The expanded accounting equation

**TRANSACTION ANALYSIS**

The effects of income (revenue + gains) and equity transactions

The effects of purchases and payments

**COMMUNICATING ECONOMIC ACTIVITIES USING FINANCIAL STATEMENTS**

Overview of financial statements

Statement of profit or loss and other comprehensive income

Statement of changes in equity

Statement of financial position

Statement of cash flows

Financial statement disclosures

Understanding the connection between the financial statements

## LIST OF FORMULAS

**Basic accounting equation**

$$\text{Assets} = \text{Liabilities} + \text{Equity}$$

**Expanded accounting equation**

$$\text{Assets} = \text{Liabilities} + [\text{Capital} - \text{Distributions} + (\text{Revenues} - \text{Expenses})]$$

### Answers to Knowledge Check Questions

**Question 1**

Answer A is incorrect because the formula should add liabilities and equity.

Answer B is incorrect because the accounting equation should calculate assets using liabilities and equity.

Answer C is incorrect because this equation calculates capital and expenses that are not part of the formula.

Answer D is correct because Assets = Liabilities + Equity.

**Question 2**

(a) HK$10,000 Asset increase = HK$10,000 Liability increase.

(b) HK$100,000 Asset increase = HK$100,000 Equity increase.

(c) No change Asset = No change Liability + No change Equity. (There is no change in assets, because equipment increased by HK$7,000 and cash decreased by HK$7,000).

(d) HK$3,000 Asset increase = HK$3,000 Equity increase.

**Question 3**

Answer A is incorrect because sales forecasts are created through management accounting. They are intended for internal audience.

Answer B is correct. The statement of cash flows is created through financial accounting.

Answer C is incorrect because cost of production reports are created through management accounting. They are intended for internal audience.

Answer D is incorrect because the statement of cash flows is the only item listed that is created through financial accounting.

**Question 4**

The two parties who can make a claim on assets are creditors and investors:

- Creditors are owed debts. They make claims on liability accounts.
- Investors own equity. They make claims on equity accounts.

**Question 5**

Answer A is incorrect because there should not be any entry posted to liabilities. Assets and equity both increase by HK$20,000.

Answer B is incorrect because both assets and equity increase by HK$20,000, not HK$15,000.

Answer C is correct because both assets and equity increase by HK$20,000.

Answer D is incorrect because there should not be any entry posted to liabilities. Assets and equity both increase by HK$20,000.

**Question 6**

Both the equity subscription and the cash proceeds received from a sale increase equity. However, only the cash proceeds increase revenue. The capital contribution does not affect revenue.

**Question 7**

Answer A is correct. The salary paid to the accountant by cash reduces the cash balance which results in a decrease in assets. The salary expense will result in a decrease in equity.

Answer B is incorrect. To keep the accounting equation in balance, the salary paid to the accountant reduces equity, not liabilities.

Answer C is incorrect. This causes the accounting balance to be unbalanced because there cannot be an increase in assets if liabilities decrease and equity remains the same. The salary paid to the accountant results in a decrease in assets and a corresponding decrease in equity.

Answer D is incorrect. This causes the accounting balance to be unbalanced because there cannot be a decrease in assets if equity increases and liabilities remain the same. The salary paid to the accountant results in a decrease in assets and a corresponding decrease in equity.

**Question 8**

Answer A is incorrect because the statement of profit or loss and other comprehensive income does not report the closing cash balance.

Answer B is incorrect because the statement of changes in equity does not report the closing cash balance.

Answer C is correct because the statement of financial position reports the closing cash balance.

Answer D is incorrect because the statement of comparative analysis is not a financial statement.

**Question 9**

The statement of cash flows reports operating, investing and financing activities.

**Question 10**

General purpose financial statements are defined as financial statements that are intended to meet the needs of users who are not in a position to require an entity to prepare reports tailored to their particular information needs.

**Question 11**

Answer A is incorrect because a cost of production statement does not reflect liabilities and equity.

Answer B is incorrect because a statement of profit and loss and comprehensive income focuses on income rather than equity.

Answer C is incorrect because incremental analysis reports are used in management accounting to make decisions that impact income.

Answer D is correct because it is the statement of financial position that allows users to analyse liabilities and equity.

## EXAM PRACTICE

### QUESTION 1

Identify which of the following is the best to describe the purpose of a set of financial statements:

**A.** To assist users in evaluating the financial position, profitability and future prospects of an entity.
**B.** To assist the tax authority in determining the amount of income taxes owed by a business organisation.
**C.** To include notes of disclosing information necessary for the proper interpretation of the statements.
**D.** All of the above.

## QUESTION 2

Heavy Machine Manufacturing Limited purchased a delivery truck for HK$240,000. To do so, they made a cash down payment of HK$100,000 and left the balance of HK$140,000 on account for a payment with terms of 60 days. Identify which of the following resulted from this transaction:

**A.** Total assets increased by HK$240,000.
**B.** Total liabilities increased by HK$140,000.
**C.** From the viewpoint of a short-term creditor, this transaction makes the business more liquid.
**D.** This transaction has no immediate effect on the equity of the business.

## QUESTION 3

Identify which of the following is correct about a company's statement of financial position:

**A.** It displays resources and uses of cash for the period.
**B.** It is an expression of the basic accounting equation: Assets = Liabilities + Equity and sometimes referred to as balance sheet.
**C.** It only shows the change in equity held by shareholders over an accounting period.
**D.** It does not add much if both a statement of profit or loss and other comprehensive income and a statement of cash flows are available.

## QUESTION 4

Account balances (in HK$'000) for QP Car Washing Limited at 31 December 20X8 are shown below. The figure for retained earnings is not given, but it can be determined when all the available information is assembled in the form of a statement of financial position:

| | HK$ |
|---|---|
| Trade payables | 280,000 |
| Trade receivables | 16,000 |
| Buildings | 1,040,000 |
| Cash | 184,000 |
| Share capital | 2,000,000 |
| *Retained earnings* | *?* |
| Land | 1,360,000 |
| Property, plant and equipment | 1,300,000 |
| Short-term borrowings | 580,000 |
| Salaries payable | 60,000 |
| Supplies | 8,000 |

**Required**

(a) Prepare a statement of financial position as at 31 December 20X8.

(b) Explain briefly whether the statement of financial position indicates the company is in a strong financial position.

(c) Explain how a statement of profit or loss and other comprehensive income and a statement of cash flows allow you to better respond to question (b).

### QUESTION 5

Explain: (a) why applying accounting principles is important in the preparation of financial statements, and (b) why professional judgement is important in applying those principles.

### QUESTION 6

Analyse how business transactions affect the different elements of the accounting equation: Assets = Liabilities + Equity.

### QUESTION 7

Explain how the statement of financial position is an expression of the basic accounting equation.

## ANSWERS TO EXAM PRACTICE

### QUESTION 1

Answer A is incorrect because it is not complete.

Answer B is incorrect because it is not complete.

Answer C is incorrect because it is not complete.

Answer D is correct because the financial statements are used for assisting users in evaluating the financial position, profitability and future prospects of an entity, and also assisting the tax authority in determining the amount of income taxes owed by a business organisation. Also, notes are included for disclosing information necessary for the proper interpretation of the statements.

### QUESTION 2

Answer A is incorrect because equipment will be increased by HK$240,000, but cash will be decreased by HK$100,000. Therefore net assets will be increased by HK$140,000.

Answer B is correct, and the other payables will be increased by HK$140,000.

Answer C is incorrect because net assets are increased by HK$140,000 but liabilities are increased by HK$140,000 as well, making no change to liquidity of the entity.

Answer D is incorrect because the newly purchased delivery truck will incur depreciation immediately, which is an expense reducing the equity.

### QUESTION 3

Answer A is incorrect because it refers to the statement of cash flows. Statement of financial position is a compulsory financial statement.

Answer B is correct.

Answer C is incorrect because it refers to the statement of changes in equity.

Answer D is incorrect because the statement of financial position adds to both the statement of profit or loss and other comprehensive income and the statement of cash flows.

## QUESTION 4

(a)

| QP Car Washing Limited<br>Statement of Financial Position as at 31 December 20X8 | | |
|---|---|---|
| **Assets** | **HK$'000** | **HK$'000** |
| **Non-current assets** | | |
| Land | | 1,360,000 |
| Buildings | | 1,040,000 |
| Property, plant and equipment | | 1,300,000 |
| | | 3,700,000 |
| **Current assets** | | |
| Supplies | 8,000 | |
| Trade receivables | 16,000 | |
| Cash | 184,000 | |
| | | 208,000 |
| **Total assets** | | 3,908,000 |

| **Equity and liabilities** | **HK$'000** | **HK$'000** |
|---|---|---|
| **Equity** | | |
| Share capital | | 2,000,000 |
| Retained earnings | | 988,000 |
| **Total equity** | | 2,988,000 |
| | | |
| **Current liabilities** | | |
| Trade payables | 280,000 | |
| Short-term borrowings | 580,000 | |
| Salaries payable | 60,000 | |
| **Total liabilities** | | 920,000 |
| **Total equity and liabilities** | | 3,908,000 |

(b) The statement of financial position indicates that QP Car Washing Limited is in a weak financial position. The only liquid assets – cash and receivables – total only HK$200,000, but the company has HK$920,000 in liabilities due in the near future (i.e. within one year).

(c) A statement of profit or loss and other comprehensive income for QP Car Washing Limited would show the company's revenues and expenses for the period (month, quarter, year) ending on the date of the statement of financial position as at 31 December 20X8.

In order for QP Car Washing to be successful and continue the business, it must sell enough car washing services to cover the cost of the service and earn a profit. The statement of profit or loss and other comprehensive income can provide the information needed to understand if QP Car Washing can stay in business.

The statement of cash flows for the same period also provides key information about QP Car Washing's success. It can show whether the company will have enough cash to fulfil its obligations, despite having a weak statement of financial position. Specifically, this statement reveals the company's sources of cash inflows and where the cash is spent (e.g., operations, investments, financing, etc.).

### QUESTION 5

(a) In order to prepare financial statements, accountants apply a set of standards or rules referred to as generally accepted accounting principles (e.g. HKAS, HKFRS). This is important because it allows users of financial statements to compare financial data. For example, an internal user might want to compare data across different periods to evaluate a department's performance. Similarly, an external user may want to compare the performance of two different companies over a similar period. In both cases, the users will be able to more easily draw comparisons if they know the financial statements are prepared in accordance with the same principles.

(b) Professional judgement is especially important because, even when generally accepted accounting principles are applied, they allow leeway in how some transactions may be accounted for. In such cases, an accountant's professional judgement and discretion is critical.

### QUESTION 6

The basic accounting equation (Assets = Liabilities + Equity) must remain in balance at all times. This means that financial transactions can impact the basic accounting equation in three different ways:

- Increase in total assets: requires corresponding increase in total liabilities and/or equity.
- Decrease in total assets: requires corresponding decrease in total liabilities and/or equity.
- Increase in one asset: requires a corresponding decrease in another asset to maintain the same total assets.

Regardless of the nature of the specific transaction, the accounting equation must stay in balance at all times.

### QUESTION 7

The statement of financial position presents in detail the elements of the basic accounting equation:

- Various types of assets are listed and totalled.
- The enterprise's liabilities are listed, totalled and added to the equity.
- The statement of financial position is balanced in the same way as the basic accounting equation: Equity = Assets – Liabilities.

This is very clear in the statement of financial position because the statement displays what is, in effect, an expression of the basic accounting equation.

# Part B

## Recording Business Transactions

# 3

# The Recording Process

## CHAPTER TOPIC LIST

# LEARNING OUTCOMES

| PRINCIPAL LO2: DEMONSTRATE AN UNDERSTANDING OF ACCOUNTING PRINCIPLES |
|---|
| **LO2.01: Apply the principles of the double entry accounting system and analyse the nature of business transactions** |
| **2.01.01** Classify entries arising from business transactions into:<br>• Assets<br>• Liabilities<br>• Equity<br>• Income<br>• Expenses |
| **PRINCIPAL LO3: PREPARE ACCOUNTING RECORDS, DEMONSTRATE MANAGEMENT AND CONTROL** |
| **LO3.01: Apply the accounting equation to business transactions and prepare a trial balance** |
| **3.01.01** Prepare the following records of original entry from source records:<br>• Cash book (*)<br>• Petty cash journal (*)<br>• Sales and returns journal (#)<br>• Purchase and returns journal (#)<br>• General ledger journal |
| **3.01.02** Prepare posting entries to general and subsidiary ledgers |
| **3.01.04** Prepare reconciliations of control accounts and subsidiary ledgers |
| **3.01.08** Prepare a trial balance from ledger accounts |

For the topics marked with (*), please refer to discussions in Chapter 5.
For the topics marked with (#), please refer to discussions in Chapter 7.

OPENING CASE

## GREAT STATIONERY LIMITED, PART 3

As Great Stationery Limited ('Great Stationery') becomes a reality, the Wong brothers lease a retail space, and begin buying inventory and selling merchandise.

Great Stationery buys stationery supplies from distributors or directly from factories. It sells these products to customers. After some trial and error, the Wong brothers determine which products generate the highest sales. As the business grows, the store is not big enough to house all the company's supplies, so the brothers lease warehousing space nearby.

Following advice from their uncle, who is also an accountant, the two brothers launch their company as a limited company. Their uncle explains that a partnership business structure has unlimited legal liability, and that a limited company structure is a better choice. Setting up the company as a limited company protects the brothers from lawsuits or other forms of liability. As a result, the leases for both their store and the warehouse are under contract with Great Stationery instead of with the brothers.

The Wong brothers are interested in operating the business rather than being concerned about the paperwork. They hire an accountant to ensure the accounting is properly done and kept up to date, while they focus on developing business strategy. At the end of each month, the accountant adjusts accounting records. Their goal is to use the accounting records to produce financial statements for decision-making purposes.

## OVERVIEW

As Great Stationery purchases inventory, pays employees and sells merchandise to customers, they record accounting transactions. That process is the focus of this chapter.

When Great Stationery purchases inventory, it receives an invoice from the supplier. The accountant uses these invoices as documentation to post purchases in the accounting system.

Each transaction in the stationery business is recorded in the accounting records and generates some types of output (receipts, cheques, etc.). At the end of the month, the accountant will review the transactions, make adjustments and use accounting records to produce different types of financial reports, including financial statements.

# 3.1 THE ACCOUNT

Exhibit 3.1 is an overview of the recording process used by accountants. The inventory purchase is a transaction (the box on the left). It requires Great Stationery to record the event (centre box). The output is a cheque payable to the supplier (top box).

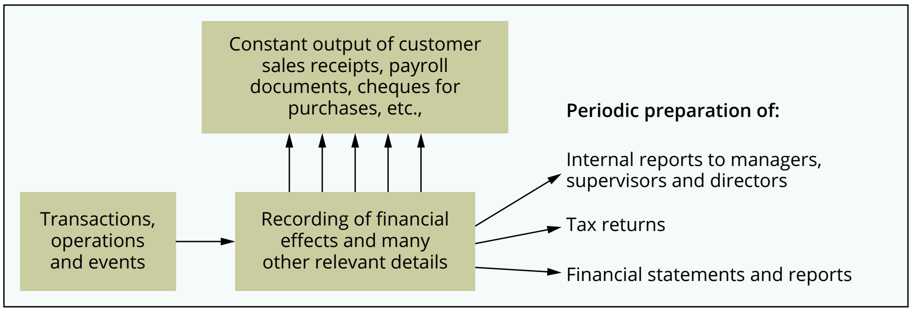



**EXHIBIT 3.1 The process of recording accounting transactions**
*(Source: Boyd et al., 2018. Reproduced with permission of John Wiley & Sons.)*

When the Wong brothers start the business on 1 April 20X7, they must decide on a **chart of accounts** before any transactions can be posted to the accounting records. A chart of accounts lists each account needed to operate the business, assigning each a classification, title and number.

As described in Chapter 2, two of the basic financial statements are the statement of financial position and the statement of profit or loss and other comprehensive income (profit or loss for short). A chart of accounts typically assigns account numbers to statement of financial position accounts first, followed by accounts from statement of profit or loss and other comprehensive income. For example, an inventory account in the statement of financial position may be numbered 1500, while a sales account in the profit and loss statement is numbered 7000.

Fortunately, most accounting software programs provide a standard set of accounts, and you can customise the chart of accounts for your company's needs. Since Great Stationery is a retailer, the company needs inventory accounts to post inventory purchases and sales, among other account types. Exhibit 3.2 displays an extract of a sample chart of accounts of Great Stationery:

**Assets**

| Account Number | Account Name |
|---|---|
| 1000 | Vehicles |
| 1010 | Furniture |
| 1020 | Equipment |
| 1030 | Shelves |
| 1040 | Computers |
| 1050 | Accumulated depreciation – shelves |
| 1051 | Accumulated depreciation – equipment |
| 1052 | Accumulated depreciation – computers |
| 1053 | Accumulated depreciation – vehicles |
| 1054 | Accumulated depreciation – furniture |
| 1060 | Wrapping paper |
| 1061 | Greeting cards |
| 1062 | Purchase returns |
| 1063 | Inventory |
| 1064 | Prepaid subscriptions |
| 1065 | Prepaid rent |
| 1070 | Accounts receivable |
| 1071 | Allowance for doubtful debts |
| 1090 | Petty cash |
| 1091 | Cash at bank |
| 1510 | Marketing materials |

**Liabilities**

| Account Number | Account Name |
|---|---|
| 2000 | Long-term loans |
| 2010 | Salaries payable |
| 2020 | Accounts payable |
| 2040 | Deferred revenue |
| 2050 | Income tax payable |

**Capital**

| Account Number | Account Name |
|---|---|
| 3000 | Share capital |
| 3010 | Retained earnings |

**Revenues**

| Account Number | Account Name |
|---|---|
| 4010 | Sales |
| 4020 | Sales returns and allowances |

**Expenses**

| Account Number | Account Name |
|---|---|
| 5000 | Salary expense |
| 5001 | Subscription expense |
| 5002 | Advertising expense |
| 5003 | Design fees |
| 5004 | Staff bonus expense |
| 5010 | Depreciation expense – vehicles |
| 5020 | Depreciation expense – equipment |
| 5030 | Depreciation expense – computers |
| 5040 | Depreciation expense – shelves |
| 5050 | Depreciation expense – furniture |
| 5060 | Cost of sales |
| 5070 | Bad and doubtful debt expense |
| 5080 | Loss on disposal |
| 5090 | Gain on disposal |
| 5100 | Loss on impairment |
| 5110 | Accumulated impairment losses |
| 5120 | Distribution expense |
| 5130 | Rent expenses |
| 5140 | Utilities expense |
| 5150 | Office supply expense |
| 5160 | Painting expense |
| 5170 | Postage expense |
| 6000 | Income tax expense |
| 6010 | Interest expense |
| 7000 | Income summary |

▶ EXHIBIT 3.2 **Sample chart of accounts**

The chart of accounts is used to code each transaction that comes in with its appropriate label. The right-hand column assists in determining the type of classification of the transaction. Take, for example, the capital account that has the number 3000 allocated to it. This account relates to equity. This will be discussed later in this chapter.

### 3.1.1 The Accounting Cycle and Steps in the Recording Process

Great Stationery needs a system that allows them to review all their business activities each month and year, and a process to produce financial statements. Financial statements, such as the statement of profit or loss and other comprehensive income and statement of financial position, can be thought of as a company's report card. The Wong brothers use the financial statements to make business decisions that improve their financial results.

The **accounting cycle** is a process that starts with a business transaction and ends when the company has sufficient information to produce financial statements (Exhibit 3.3).

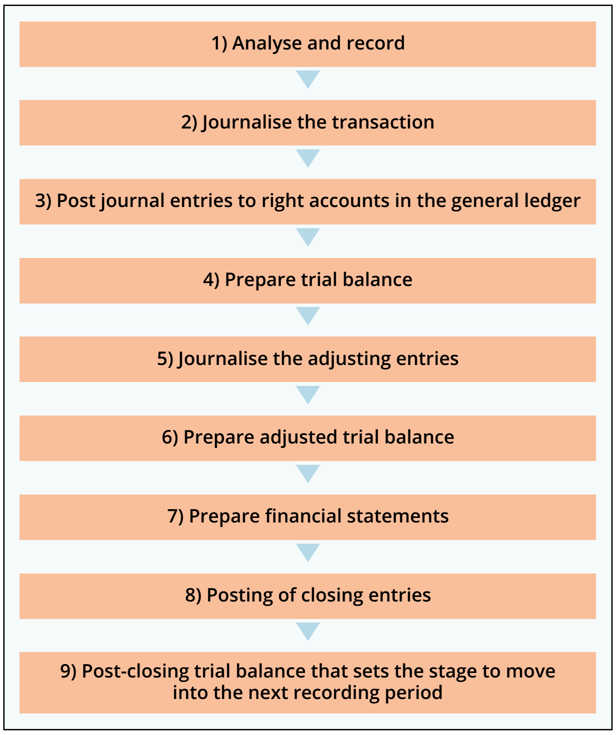



**EXHIBIT 3.3 Basic steps of the accounting cycle**

### 3.1.2 Single Accounting Entries: Debits and Credits

Once a business creates a chart of accounts, it can start to post accounting transactions using debits and credits. Understanding debits and credits is critically important, because the entire accounting cycle is built upon this concept.

The debit and credit system is designed based on the basic accounting equation:

$$\boxed{\text{Assets} = \text{Liabilities} + \text{Equity}}$$

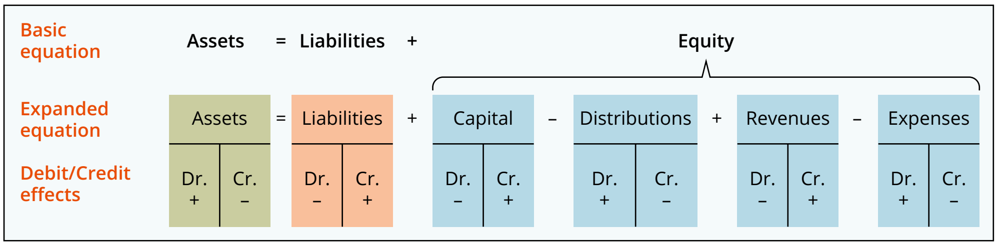
You will notice that these elements appear in the charts of accounts from Exhibit 3.2 and they are used throughout to guide the accounting process. Read the relevant sections of Chapter 2 if you need to before you move on.

### 3.1.2.1 Debit and Credit Rules

Accounting transactions are recorded in a **journal**. The journal is a record of a company's financial transactions in order of date. Each individual transaction is posted using a corresponding **journal entry**. The entry includes a transaction date, related accounts and the dollar amount expressed as either a debit or a credit.

Here is some guidance to help you start navigating your way through this part of accounting:

- Debits are always on the left, and credits are always on the right.
- Asset and Expense accounts are increased with a debit.
- Liability and Income (including revenue) accounts are increased with a credit.




If Great Stationery receives a customer payment of HK$5,000 for a sale on 1 May, the firm would post this journal entry:

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X8** | | | **HK$** | **HK$** |
| 1 May | Cash at bank | #1091 | 5,000 | |
| | Sales | #4010 | | 5,000 |
| | (To record cash sale) | | | |

In this entry, cash is increased HK$5,000 with a debit entry and sales revenue is increased HK$5,000 with a credit entry. The purpose of the entry is listed below the debits and credits. In this journal entry, the total debits equal total credits which means that the journal entry is in balance.

### 3.1.2.2 Impact on the Accounting Equation

As debits and credits are added to Great Stationery's journal entries, it is important to keep the accounting equation in balance. The debit and credit activity from Section 3.1.2.1 fits into the formula as follows:

| Assets | = | Liabilities | + | Equity |
|---|---|---|---|---|
| + HK$5,000 Cash at bank | | – | | + HK$5,000 Sales |

The equation is in balance because both sides are increased by HK$5,000. This is one way of understanding the impact on the accounting equation. You would not normally use this illustration in practice. It is, however, a good tool to reinforce the fact that your accounts must balance.

The concept of debits and credits provides the foundation for posting accounting transactions. To succeed as an accountant, you need to clearly understand debits and credits, and how they impact the accounting equation and the financial statements that flow from the accounting records you or others around you prepare.

## Apply and Analyse 1

Great Stationery hires a designer to prepare a two-page brochure to promote their store. The designer invoices the company HK$3,000 for services rendered. Looked at in the context of the accounting equation, this transaction reduces equity:

| Assets | = | Liabilities | + | Equity |
|---|---|---|---|---|
| – HK$3,000 | | – | | – HK$3,000 |

**Journal entry**

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X8** | | | **HK$** | **HK$** |
| 10 May | Design fees | #5003 | 3,000 | |
| | Cash at bank | #1091 | | 3,000 |
| | (Brochure designer fees) | | | |

The company then decides to print up copies of the brochure for their store, while putting up a copy of the brochure on the company website for online visitors. They engage a printer located in the same street that tells them the brochures will cost HK$250. The print job is done and they receive an invoice on 20 May that they must pay by 27 May.

| Assets | = | Liabilities | + | Equity |
|---|---|---|---|---|
| + HK$250 | | + HK$250 | | – |

**Journal entry**

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X8** | | | **HK$** | **HK$** |
| 20 May | Marketing materials | #1510 | 250 | |
| | Accounts payable | #2020 | | 250 |
| | (Printing of brochures) | | | |

The company accountant arranges to have payment transferred electronically to the printer on 26 May, which means that the payables account is debited at the same time as cash is paid to extinguish the liability.

## Apply and Analyse 1 *(continued)*

| Assets | = | Liabilities | + | Equity |
|---|---|---|---|---|
| – HK$250 | | – HK$250 | | – |

**Journal entry**

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X8** | | | **HK$** | **HK$** |
| 26 May | Accounts payable | #2020 | 250 | |
| | Cash at bank | #1091 | | 250 |
| | (Payment for brochures) | | | |

This sequence of entries provides you with an illustration of the different stages in the accounting process.

## 3.1.3 Compound Journal Entries and T-Accounts

The concept of debits and credits is a key component of double-entry accounting. **Double-entry accounting** requires that each journal entry must have a least one debit and one credit.

### 3.1.3.1 Compound Journal Entry

A **compound journal entry** involves more than one debit or credit, and the company accountant may use compound journal entries for their transactions. The same journal entry rules apply, including the requirement that the total dollar amount of debits equal credits.

## Apply and Analyse 2

How does this work?

Assume, for example, that Great Stationery spends HK$10,000 in greetings cards for resale on 5 May. Cash of HK$9,000 is paid on 5 May and the remaining amount is paid on account. Exhibit 3.4 shows the compound journal entry to record this economic event.

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X8** | | | **HK$** | **HK$** |
| 5 May | Inventory | #1063 | 10,000 | |
| | Cash at bank | #1091 | | 9,000 |
| | Accounts payable | #2020 | | 1,000 |
| | (To purchase greeting cards from vendor) | | | |

▶ EXHIBIT 3.4 **Compound journal entry**

## Apply and Analyse 2 *(continued)*

This compound entry involves three accounts: Inventory (asset), Cash (asset), and Accounts Payable (liabilities). Here is the impact on the accounting equation:

| Assets | = | Liabilities | + | Equity |
|---|---|---|---|---|
| + HK$10,000 Inventory<br>– HK$9,000 Cash at bank | | + HK$1,000 Accounts payable | | – |

Journal entries can be posted to the ledgers using **T-accounts**. T-accounts are an accounting format that is used to set out the debits and credits for specific accounts. Look at the example below, which deals with a compound transaction.

**#1063 Inventory**

| | | | |
|---|---|---|---|
| 5 May Cash at bank | 9,000 | | |
| Accounts payable | 1,000 | | |

**#1091 Cash at Bank**

| | | | |
|---|---|---|---|
| | | **20X8** | **HK$** |
| | | 5 May Inventory | 9,000 |

**#2020 Accounts payable**

| | | | |
|---|---|---|---|
| | | **20X8** | **HK$** |
| | | 5 May Inventory | 1,000 |

Each T-account has the name of the account at the top; debits are posted on the left and credits posted on the right. If the company accountants are thinking about how an accounting transaction should be posted, they can fill in T-accounts on notebook paper. Once they decide on an approach, they can prepare the journal entry.

### 3.1.3.2 Normal Account Balance

A **normal account balance** is an expected balance based on the type of account (asset, liability, etc.). The accounting equation will help you understand if a normal balance should be a debit or credit.

| Assets | = | Liabilities | + | Equity |
|---|---|---|---|---|
| Debit or left side | = | Credit or right side | | |

All accounts have a normal balance, which is the side that increases the account balance. Assets are on the left (debit) side of the accounting equation, so the normal balance of an asset is also on the left side of the account.

Remember that when the company first starts, there is a cash balance that equals the equity provided by the Wong brothers. Cash is reduced, or credited, when an asset is bought or an account for service such as water, electricity or the telephone service is paid.

The purchase of an asset such as store shelves results in a credit to the cash balance, but it lists a new asset (shelves) in the company's accounting records. Here's the impact on the accounting equation for the purchase of shelves:

| Assets | = | Liabilities | + | Equity |
|---|---|---|---|---|
| +HK$2,000 shelves<br>– HK$2,000 cash at bank | | – | | – |

The accounting equation remains in balance. Note that double-entry requires that at least two accounts are impacted when recording a transaction. Note also that both of these accounts can be on one side of the accounting equation.

Exhibit 3.5 shows the T-account for this journal entry.

**#1030 Shelves**

| 20X8 | HK$ | | | |
|---|---|---|---|---|
| 1 May Cash at bank | 2,000 | | | |

**#1091 Cash at Bank**

| | | 20X8 | HK$ |
|---|---|---|---|
| | | 1 May Shelves | 2,000 |

▶ **EXHIBIT 3.5 T-accounts: asset, cash**

### 3.1.3.3 General Ledger

Accountants frequently use a **general ledger** to review the accounting transactions for the business. A general ledger lists every journal entry posted, and the activity is grouped by account. Think of the general ledger as being an overview of all transactions, while a journal provides specific information about the transactions themselves.

Assume that Great Stationery needs to review the journal entries for cash. Exhibit 3.6 is the general ledger detail for account #1091 cash at bank for May. It records all the cash transactions stated from Section 3.1.2.1 to Section 3.1.3.2.

Assume that the opening balance in cash at bank is HK$50,000.

| General Ledger | | | | |
|---|---|---|---|---|
| Cash at bank | | | | Acct #1091 |
| **Date** | **Description** | **Debit (HK$)** | **Credit (HK$)** | **Balance (HK$)** |
| 1 May | Opening balance | 50,000 | | 50,000 |
| 1 May | Sales revenue | 5,000 | | 55,000 |
| 1 May | Shelves | | 2,000 | 53,000 |
| 5 May | Inventory | | 9,000 | 44,000 |
| 10 May | Design fees | | 3,000 | 41,000 |
| 26 May | Marketing materials brochure | | 250 | 40,750 |
| 31 May | Closing balance | | | 40,750 |

▶ **EXHIBIT 3.6 General ledger detail for account #1091 cash at bank**

The company will have a process to review all the accounting activities in the business, and to make corrections. This will include a review of all journals and the general ledger to ensure that records are appropriately kept.

## Apply and Analyse 3

### *Apply*

Great Stationery has the following transactions during the month of May 20X7:

- Received HK$5,000 in cash for a sale of greeting cards
- Purchase of HK$4,000 in shelves (a fixed asset) for cash
- Paid postage expenses for HK$50 in cash
- Paid salary for HK$3,000 using cash

Compute the dollar amount of increase or decrease for each transaction using the accounting equation:

$$\text{Assets} = \text{Liabilities} + \text{Equity}$$

### *Analysis*

- Received HK$5,000 in cash for a sale of greetings cards:

| | Assets | Liabilities | Equity |
|---|---|---|---|
| **Cash Sale** | ↑<br>HK$5,000<br>(Cash) | =<br>No change | ↑<br>HK$5,000<br>(Sales) |

- Purchase of shelves (a fixed asset) for HK$4,000 in cash:

| | Assets | Liabilities | Equity |
|---|---|---|---|
| **Shelves Acquired** | ↑<br>HK$4,000<br>(Shelves, an asset) | =<br>No change | =<br>No change |
| **Cash Paid for Shelves** | ↓<br>HK$4,000<br>(Cash) | =<br>No change | =<br>No change |
| **Net Change** | =<br>**No change** | =<br>**No change** | =<br>**No change** |

- Paid postage expense for HK$50 in cash:

| | Assets | Liabilities | Equity |
|---|---|---|---|
| **Cash Paid for Postage** | ↓<br>HK$50<br>(Cash) | =<br>No change | ↓<br>HK$50<br>(Expense) |

## Apply and Analyse 3 *(continued)*

- Paid salary for HK$3,000 using cash:

| | Assets | Liabilities | Equity |
|---|---|---|---|
| | ↓ | = | ↓ |
| **Cash Paid for Salary** | HK$3,000 (Cash) | No change | HK$3,000 (Expense) |

## ▶ Knowledge Check Questions

**Question 1**

Determine the purpose of a journal entry:

**A** The original chronological record of a transaction.

**B** A record that helps prepare the statement of financial position.

**C** A record that helps in the preparation of the statement of cash flows.

**D** Management reports are compiled using journal entries.

**Question 2**

Great Stationery orders HK$5,000 of greetings cards on 1 May 20X7. The company pays HK$2,000 in cash on 10 May when the cards are received, and owes HK$3,000. Demonstrate the compound journal entry for this transaction.

**Question 3**

Great Stationery incurs painting expenses HK$2,000 on 15 May 20X7, and is given an invoice for the work. Account for the journal entry posted on 21 May 20X7 when Great Stationery pays the invoice.

# 3.2 THE LEDGER

Transactions of the company are recorded in journals, and posted to the ledger accounts which are aggregated under specific classifications.

The first transaction that provides the entity with equity is the funding from the Wong brothers. The brothers agreed to pay HK$50,000 each with the amount being paid in a lump sum into the company's bank account. The journal entry for this amount appears below.

**Journal entry** **GJ1**

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X8** | | | **HK$** | **HK$** |
| 11 Jan | Cash at bank | #1091 | 100,000 | |
| | Share Capital | #3000 | | 100,000 |
| | Injection of share capital | | | |

The general ledger for cash reflects the transaction as an opening balance.

| **General Ledger** | | | | | |
|---|---|---|---|---|---|
| **Cash** | | | | | **Acct #1091** |
| **Date** | **Description** | **Ref No.** | **Debit (HK$)** | **Credit (HK$)** | **Balance (HK$)** |
| 11 Jan | Share Captial | GJ1 | 100,000 | | 100,000 |

The cash at bank that appears as a debit in the general ledger also needs another entry related to equity. This is a credit that will appear in the general ledger account.

| **General Ledger** | | | | | |
|---|---|---|---|---|---|
| **Share Capital** | | | | | **Acct #3000** |
| **Date** | **Description** | **Ref No.** | **Debit (HK$)** | **Credit (HK$)** | **Balance (HK$)** |
| 11 Jan | Cash | GJ1 | | 100,000 | 100,000 |

How does an accountant keep track of one transaction amongst many? Look at the reference number of the transaction. It is GJ1 in this instance, so that it is easy to track the differing aspects of the transactions as they appear in the company accounting records.

Look again that the first transactions in this example. There will be a reference number for the HK$7,000 spent on office equipment that will show a debit to office equipment and a credit to cash. Equipment used by managers and employees of the company will be regarded as an asset.

This task is usually performed by accounting software but it is important that you understand the key principles underlying the way in which transactions are coded for accounting purposes. The absence of some kind of invoice number or similar identifier may suggest further questions need to be asked about why a specific transaction appears in the accounting records.

### ▶ Knowledge Check Questions

**Question 4**

Contrast the general ledger with a source document by selecting the best answer from the following options:

**A** General ledger is a list of every account and the current account balance. A source document is paperwork that supports a particular accounting transaction.

**B** General ledger is a list of every account and the current account balance. A source document is a record of each accounting transaction by date.

**C** General ledger is a summary of each accounting transaction by year. A source document is paperwork that supports a particular accounting transaction.

**D** General ledger represents the trial balance after all adjusting entries are posted. A source document is paperwork that supports a particular accounting transaction.

**Question 5**

Great Stationery paid cash for office supplies, wrapping paper and shelves. Determine the impact of this transaction on the ledger accounts.

## 3.3 THE TRIAL BALANCE

The **trial balance** is a listing of each account and the corresponding current account balances that provides a picture of the accounts at a point in time.

This section explains how a trial balance is prepared, and the limitations of a trial balance. You'll also see an example of locating and correcting errors in the trial balance.

### 3.3.1 Preparing the Trial Balance

When an accountant generates a trial balance, the first step is to verify that total debits equal total credits. Fortunately, accounting software packages require that all journal entries are posted with an equal dollar amount of debits and credits. If the dollar amount of debits and credits do not equal, the software will alert you.

Once each ledger account is reviewed, the accountant should verify that each ledger account balance is correctly posted to the trial balance. The accountant should scan the account listing, and check to see that the account balances are reasonable and that they accord with general trends of the business based on their understanding of the business. This is a part of the task that will rely on the accountant using their knowledge of the business and professional judgement.

Exhibit 3.7 presents a trial balance on 31 May 20X8, after additional transactions have been posted to the general ledger.

| Great Stationery Limited<br>Trial Balance as at 31 May 20X8 | | | |
|---|---|---|---|
| | Account No. | Dr. | Cr. |
| | | HK$ | HK$ |
| Shelves | 1030 | 6,000 | |
| Inventory | 1063 | 200,000 | |
| Accounts receivables | 1070 | 20,000 | |
| Cash at bank | 1091 | 40,000 | |
| Marketing materials | 1050 | 1,000 | |
| Accounts payable | 2020 | | 130,000 |
| Deferred revenue | 2040 | | 5,000 |
| Sales | 4010 | | 800,000 |
| Cost of sales | 5060 | 600,000 | |
| Salary expense | 5000 | 100,000 | |
| Design fees | 5003 | 3,000 | |
| Office supply expenses | 5150 | 4,000 | |
| Postage expense | 5170 | 500 | |
| Share capital | 3000 | | 44,000 |
| | | 979,000 | 979,000 |

**EXHIBIT 3.7 Trial balance at 31 May 20X8**

## 3.3.2 Limitations of a Trial Balance

There are a series of limitations to a trial balance that need to be borne in mind. The trial balance is only an indication of a balance between debits and credits:

- It does not provide any degree of confirmation that the underlying transactions have been accounted for appropriately. An incorrect credit, for example, may be offset by a debit entry.
- There is also no guarantee that the trial balance reflects all of the possible transactions an entity has undertaken. The trial balance does not provide any links to **source documents** that support a particular account balance.

### Apply and Analyse 4

HKQP Consulting Services Limited opened for business on 25 January 20X8. The company maintains the following ledger accounts:

- Cash
- Share Capital
- Accounts Receivables
- Retained Earnings
- Office Supplies
- Consulting Revenue

## Apply and Analyse 4 *(continued)*

- Office Equipment
- Rent Expense
- Accounts Payable
- Utilities Expense

The company engaged in the following business activities in January 20X8:

| | |
|---|---|
| 20 January | Issued 5,000 ordinary shares for HK$100 per share. |
| 20 January | Paid office rent HK$4,000 for the remainder of January 20X8. |
| 21 January | Purchased office supplies for HK$2,000. The supplies will last for several months. |
| 22 January | Purchased office equipment for HK$150,000 cash. |
| 26 January | Performed consulting services and billed clients HK$20,000. The entire amount will not be collected until February 20X8. |
| 31 January | Recorded utilities expense HK$1,000. Payment is not due until 20 February 20X8. |

**Required:**

(a) Prepare the journal entry for each of the above transactions.

(b) Prepare appropriate ledger accounts based on the journal entries from (a).

(c) Prepare a trial balance as at 31 January 20X8.

(d) Explain why the Retained Earnings account has a zero balance in the trial balance.

**Answers:**

(a) General Journals from 20 to 31 January 20X8:

| Date | Account Titles and Explanation | Debit (HK$) | Credit (HK$) |
|---|---|---|---|
| 20 January | Cash | 500,000 | |
| | Share Capital | | 500,000 |
| | To record the issuance of 5,000 shares at HK$100 per share. | | |
| 20 January | Rent Expense | 4,000 | |
| | Cash | | 4,000 |
| | To record payment of January 20X8 rent expense. | | |
| 21 January | Office Supplies | 2,000 | |
| | Accounts Payable | | 2,000 |
| | To record purchase of office supplies on account. | | |
| 22 January | Office Equipment | 150,000 | |
| | Cash | | 150,000 |
| | To record the purchase of office equipment in cash. | | |

## Apply and Analyse 4 *(continued)*

| Date | Account Titles and Explanation | Debit (HK$) | Credit (HK$) |
|---|---|---|---|
| 26 January | Accounts Receivable | 20,000 | |
| | Consulting Revenue | | 20,000 |
| | Billed clients for consulting services rendered. | | |
| 31 January | Utilities Expense | 1,000 | |
| | Accounts Payable | | 1,000 |
| | To record January 20X8 utilities expenses due in February 20X8. | | |

(b) Prepare appropriate ledger accounts based on the journal entries from (a).

Asset Accounts:

**Cash**

| 20X8 | | HK$ | 20X8 | | HK$ |
|---|---|---|---|---|---|
| 20 January | Share Capital | 500,000 | 20 January | Rent expense | 4,000 |
| | | | 22 January | Office equipment | 150,000 |
| | | | 31 January | Closing balance | 346,000 |
| | | 500,000 | | | 500,000 |
| 1 February | Opening balance | 346,000 | | | |

**Accounts Receivable**

| 20X8 | | HK$ | 20X8 | | HK$ |
|---|---|---|---|---|---|
| 26 January | Consulting Revenue | 20,000 | 31 January | Closing balance | 20,000 |
| 1 February | Opening balance | 20,000 | | | |

**Office Supplies**

| 20X8 | | HK$ | 20X8 | | HK$ |
|---|---|---|---|---|---|
| 21 January | Accounts Payable | 2,000 | 31 January | Closing balance | 2,000 |
| 1 February | Opening balance | 2,000 | | | |

**Office Equipment**

| 20X8 | | HK$ | 20X8 | | HK$ |
|---|---|---|---|---|---|
| 22 January | Cash | 150,000 | 31 January | Closing balance | 150,000 |
| 1 February | Opening balance | 150,000 | | | |

Liability and Equity Accounts:

**Accounts Payable**

| 20X8 | | HK$ | 20X8 | | HK$ |
|---|---|---|---|---|---|
| | | | 21 January | Office Supplies | 2,000 |
| 31 January | Closing balance | 3,000 | 31 January | Utilities Expense | 1,000 |
| | | 3,000 | | | 3,000 |
| | | | 1 February | Opening balance | 3,000 |

## Apply and Analyse 4 *(continued)*

| Share Capital | | | | | |
|---|---|---|---|---|---|
| **20X8** | | **HK$** | **20X8** | | **HK$** |
| 31 January | Closing balance | 500,000 | 20 January | Cash | 500,000 |
| | | | 1 February | Opening balance | 500,000 |

| Consulting Revenue | | | | | |
|---|---|---|---|---|---|
| **20X8** | | **HK$** | **20X8** | | **HK$** |
| 31 January | Closing balance | 20,000 | 26 January | Accounts Receivable | 20,000 |
| | | | 1 February | Opening balance | 20,000 |

| Rent Expense | | | | | |
|---|---|---|---|---|---|
| **20X8** | | **HK$** | **20X8** | | **HK$** |
| 20 January | Cash | 4,000 | 31 January | Closing balance | 4,000 |
| 1 February | Opening balance | 4,000 | | | |

| Utilities Expense | | | | | |
|---|---|---|---|---|---|
| **20X8** | | **HK$** | **20X8** | | **HK$** |
| 31 January | Accounts Payable | 1,000 | 31 January | Closing balance | 1,000 |
| 1 February | Opening balance | 1,000 | | | |

(c) Prepare a HKQP Consulting Services Limited Trial Balance as at 31 January 20X8.

| | Debit (HK$) | Credit (HK$) |
|---|---|---|
| Office Equipment | 150,000 | |
| Office Supplies | 2,000 | |
| Accounts Receivable | 20,000 | |
| Cash | 346,000 | |
| Accounts Payable | | 3,000 |
| Share Capital | | 500,000 |
| Retaining Earnings | | 0 |
| Consulting Revenue | | 20,000 |
| Rent Expense | 4,000 | |
| Utilities Expense | 1,000 | |
| | 523,000 | 523,000 |

(d) Explain why the retained earnings account has a zero balance in the trial balance.

HKQP Consulting Services Limited's retained earnings account balance is zero, which is because the company has been in business for only one week and has not yet calculated the profit and loss for the week and updated the retained earnings account.

A preliminary trial balance can be prepared before adjusting entries are made, to ensure all **accruals** relevant to the period end will be brought to account by further journal entries. For example, the company may be entitled to interest income but not yet have received it. The preliminary trial balance would not have shown interest received:

- The adjusting entry would debit a receivable account, and credit interest income for the interest owed to the company at the end of reporting period.
- In the next period, the subsequent receipt of interest is debited to cash and credited to the receivable. It doesn't affect income for that second period.

## ▶ Knowledge Check Questions

**Question 6**

Describe the purpose of a trial balance.

**Question 7**

The following information was extracted from the books of Mr. Chan, a wholesaler, at the close of business on 31 December 20X8.

| | HK$ |
|---|---|
| Miscellaneous expenses | 440 |
| Trade payables | 43,700 |
| Premises | 60,120 |
| Rent and rates | 1,380 |
| Equipment, at cost | 272,820 |
| Drawings | 24,580 |
| Interest revenue | 760 |
| Wages and salaries | 86,400 |
| Trade receivables | 8,880 |
| Discounts allowed | 6,520 |
| Sales | 114,460 |
| Purchases | 17,200 |
| Water and electricity | 7,400 |
| Rent revenue | 42,000 |
| Returns inwards | 4,880 |
| Cash in hand | 6,280 |
| Returns outwards | 3,020 |
| Bank overdraft | 560 |
| Discounts received | 500 |
| Share capital | 291,900 |

**Required:**

Prepare a trial balance as at 31 December 20X8.

### ▶ Knowledge Check Questions *(continued)*

**Question 8**

If the total of the debit column in a trial balance equals the total value of the credit column, identify which of the following accounting error entries may still occur.

(i) Error of original entry

(ii) Error of omission

(iii) Error of commission

(iv) Error of principle

**A** (i), (ii) and (iii)

**B** (ii), (iii) and (iv)

**C** (i), (iii) and (iv)

**D** All of the 4 errors

## 3.4 SPECIAL JOURNALS AND SUBSIDIARY LEDGERS

Companies that grow their business will inevitably post more transactions and they may need to add new accounts to record activity. A journal with a large amount of activity may be difficult to use and to analyse. For that reason, most businesses use special journals, **subsidiary ledgers** and **control accounts**, to manage accounting transactions.

### 3.4.1 Special Journals

The general ledger collects all of the transactions that have occurred at the entity. It is the location for all transactions. There are, however, some situations where too many of one kind of transaction will occur in an entity. Those are the circumstances in which these special journals become useful.

The **general journal** is used to record unusual transactions in the accounting records, or transactions that are not a part of the day-to-day operations of a business. The general journal is also used for closing entries at the end of each accounting period and to correct errors. Further details are discussed in Chapter 4.

**Special journals** pool or group specific kinds of transactions together. Remember a part of the function of accounting is to communicate many transactions in a form that tells readers about the financial performance and financial position of an entity. The content of the special journals is what helps accountants aggregate certain kinds of transactions into a number that let readers know what an entity owns and owes, and how it has managed finances. That number is then recorded as a summary of the special journal into the general ledger.

There are some special journals that are used fairly frequently that are worth knowing about. These appear in Exhibit 3.8.

| Journal | Purpose |
|---|---|
| Sales journal | A journal that records credit sales. |
| Purchases journal | This journal is used to record all purchases of inventory, supplies and other assets on account. |
| Cash receipt journal | A journal used to record cash inflows. |
| Cash disbursement journal | A journal used to record cash payments. |

**EXHIBIT 3.8 Special journals and their purposes**

Each of the journals identified above provides further details on transactions involving the entity. The sales journal and purchase journal will be further illustrated in Chapter 7. Further illustration of the cash receipts journal and cash disbursement journal will be presented in Chapter 5.

## 3.4.2 Subsidiary Ledgers and Their Control Accounts

A large company may have hundreds of transactions in the general ledger during a particular month, and that amount of activity makes it difficult to find specific transactions.

It is important that you be aware that there are other different kinds of accounts that are used by companies and other entities, to ensure that the accounting that is produced by them is appropriate. These accounts are known as control accounts.

### 3.4.2.1 Control Accounts

A trial balance can be prepared in varying degrees of detail and summarisation. Accounting packages often give a choice of view in this regard. Some ledger accounts serve as control accounts and summarise many accounts for like items. For some entities, there may be hundreds or thousands of individual accounts that explain the control account. The trial balance would be unwieldly if they were all listed.

### 3.4.2.2 Ledger Accounts

The accounts receivable subsidiary ledger, for example, lists the name and dollar amount owed by each customer. The source document used to post an amount to this ledger is an invoice issued to a customer, and each dollar amount should make reference to an invoice number. If no invoice number is referenced, the accountant should check their sales records to determine if the customer owes money for a purchase.

It is important that the balances in subsidiary ledgers (like the accounts receivable subsidiary ledger) reconcile to the control account (e.g. accounts receivable control account). Otherwise serious errors can accumulate. Accountants will review the trial balance for reasonableness, ensure that the balances therein reconcile to any subsidiary ledgers and review all journal entries for possible mis-postings.

Exhibits 3.9 and 3.10 display the reconciliation of the Great Stationery accounts receivable subsidiary ledger and control accounts for March 20X8. Exhibit 3.9 depicts the accounts receivable subsidiary ledger, and Exhibit 3.10 shows the accounts receivable control account.

| T Cheng – AR1 | | | | |
|---|---|---|---|---|
| **Date** | **Ref.** | **Debit** | **Credit** | **Balance** |
| 20X8<br>21 March | | 1,500 | | 1,500 |
| **P Wong – AR2** | | | | |
| **Date** | **Ref.** | **Debit** | **Credit** | **Balance** |
| 20X8<br>21 March | | 1,000 | | 1,000 |
| **B Ting – AR3** | | | | |
| **Date** | **Ref.** | **Debit** | **Credit** | **Balance** |
| 20X8<br>26 March | | 750 | | 750 |
| **T Wen – AR4** | | | | |
| **Date** | **Ref.** | **Debit** | **Credit** | **Balance** |
| 20X8<br>29 March | | 500 | | 500 |

▶ **EXHIBIT 3.9 Accounts receivable subsidiary ledger**

| Accounts Receivable #1070 | | | | |
|---|---|---|---|---|
| **Date** | **Ref.** | **Debit** | **Credit** | **Balance** |
| 31 March | | 3,750 | | 3,750 |

▶ **EXHIBIT 3.10 Control account for accounts receivable**

Each line item in the subsidiary ledger should be supported by a journal entry. To post sales on credit, Great Stationery should debit accounts receivable and credit revenue. On 5 April, the accountant should see journal entries that post a total of HK$3,750 to accounts receivable and revenue.

The control account balances should agree with the subsidiary ledger details. In this case, the general ledger closing balance (HK$3,750) should agree with the balance in the accounts receivable subsidiary ledger listed by customer.

## ▶ Knowledge Check Questions

**Question 9**

Account for the difference between the accounts receivable subsidiary ledger, the accounts receivable balance in the trial balance and the accounts receivable control account.

**Question 10**

Identify the correct statement about the accounts receivable subsidiary ledger below.

**A** It is an accounting ledger that shows the transaction and payment history of each customer to whom the business extends credit.

**B** It is a record of daily sales transactions.

**C** It is a reconciliation statement of accounts receivable.

**D** It is an accounts receivable control account.

## SUMMARY

- Double-entry accounting provides a system to post accounting transactions and to create the financial statements.
- Journals and ledgers are used to record accounting transactions in detail, and accountants use these reports to review and correct transactions.
- A trial balance lists each account and the account's current balance.
- Accountants must post adjustments to the trial balance, so that the financial statements can be generated.
- While the general ledger collects all of an entity's transactions, it can be cumbersome to work with. This is especially true when an entity has a large number of one transaction type. If special journals are used, an aggregate number may be recorded instead.
- Special journals group specific types of transactions together. They are used to aggregate certain kinds of transactions, so readers can more easily see what an entity owes and owns, and how it has managed its finances.
- Subsidiary ledgers are used to make it easier to find specific transactions by grouping records of specific types of accounts. Each line item in subsidiary ledger should be supported by a journal entry.
- The specific accounts that appear in general ledger are called control accounts.

## MIND MAP

THE RECORDING PROCESS

**THE ACCOUNT**

Single accounting entries
• Debits and credits

Multiple journal entries and T-accounts

**ANALYSING AND RECORDING TRANSACTIONS**

The accounting cycle and steps in the recording process

The journal

**THE LEDGER**

The trial balance

Limitations of a trial balance

**SPECIAL JOURNALS AND SUBSIDIARY LEDGERS**

Special journals

Subsidiary ledgers and their control accounts

## ▶ Answers to Knowledge Check Questions

### Question 1

Answer A is correct because each individual transaction is recorded in a journal entry.

Answer B is incorrect because there are many steps before the journal entry leads to the statement of financial position.

Answer C is incorrect because there are many steps before the journal entry leads to the statement of cash flows.

Answer D is incorrect because there are many steps before management can use any reports from the journal entries.

### Question 2

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X7** | | | **HK$** | **HK$** |
| 10 May | Greetings cards | #1061 | 5,000 | |
| | Cash at bank | #1091 | | 2,000 |
| | Accounts payables | #2020 | | 3,000 |
| | (To record greetings cards purchased on 10 May) | | | |

### Question 3

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X7** | | | **HK$** | **HK$** |
| 21 May | Accounts payable | #2020 | 2,000 | |
| | Cash at bank | #1091 | | 2,000 |
| | (To pay for painting expenses incurred on 15 May) | | | |

### Question 4

Answer A is correct. The general ledger is a list of every account and the current account balance. A source document is paperwork that supports a particular accounting transaction.

Answer B is incorrect. A source document is paperwork that supports a particular accounting transaction.

Answer C is incorrect. The general ledger is a list of every account and the current account balance.

Answer D is incorrect. The general ledger is a list of every account and the current account balance.

**Question 5**

The office supplies, wrapping paper and shelves accounts are each increased with a debit entry. The cash account is reduced with a credit entry.

**Question 6**

The **trial balance** is a listing of each account and the current account balances that provides a picture.

**Question 7**

The following is a trial balance for Mr. Chan as at 31 December 20X8.

**Mr. Chan**

**Trial Balance as at 31 December 20X8**

| | ***Dr*** | ***Cr*** |
|---|---|---|
| | **HK$** | **HK$** |
| Miscellaneous expenses | 440 | |
| Trade payable | | 43,700 |
| Premises | 60,120 | |
| Rent and rates | 1,380 | |
| Equipment, at cost | 272,820 | |
| Drawings | 24,580 | |
| Interest revenue | | 760 |
| Wages and salaries | 86,400 | |
| Trade receivables | 8,880 | |
| Discounts allowed | 6,520 | |
| Sales | | 114,460 |
| Purchases | 17,200 | |
| Water and electricity | 7,400 | |
| Rent revenue | | 42,000 |
| Returns inwards | 4,880 | |
| Cash in hand | 6,280 | |
| Returns outwards | | 3,020 |
| Bank overdraft | | 560 |
| Discounts received | | 500 |
| Capital (balancing figure) | | 291,900 |
| | 496,900 | 496,900 |

**Question 8**

Answer A is incorrect because it is incomplete. All four choices are correct. Error of principle may still occur if the total of the debit column equals the total of the credit column.

Answer B is incorrect because it is incomplete. All four choices are correct. Error of original entry may still occur if the total of the debit column equals the total of the credit column.

Answer C is incorrect because it is incomplete. All four choices are correct. Error of omission may still occur if the total of the debit column equals the total of the credit column.

Answer D is correct because it is complete. All four errors may still occur.

**Question 9**

The accounts receivable subsidiary ledger lists the name and dollar amount owed by each client. The source document used to post an amount to this ledger is an invoice issued to a customer.

The accounts receivable control account lists closing balance should agree to the balance in the accounts receivable subsidiary ledger listed by customer. The general ledger closing balance should agree to the balance in the trial balance.

**Question 10**

Answer A is correct because it defines the purpose and function of an accounts receivable subsidiary ledger.

Answer B is incorrect because it is a daily sales journal or sales day book.

Answer C is incorrect because the reconciliation between the accounts receivable control account and accounts receivable subsidiary ledger is performed separately, or automatically done by the computerised bookkeeping system.

Answer D is incorrect because the accounts receivable control account is a separate account for summarising the transactions in the accounts receivable subsidiary ledger.

## EXAM PRACTICE

### QUESTION 1

A company's journal entry includes a debit of HK$5,000 for cash. Determine which of the following accounts typically could *not* make up the corresponding credit.

**A.** Asset account
**B.** Liability account
**C.** Revenue account
**D.** Expense account

### QUESTION 2

HKIC requires customers to prepay for all orders two months prior to service. Classify how HKIC's asset and liability accounts are affected when service is completed.

| **Assets** | **Liabilities** |
|---|---|
| **A.** Increase | Decrease |
| **B.** Decrease | Increase |
| **C.** No change | Decrease |
| **D.** Increase | No change |

### QUESTION 3

Identify what type of entry involves more than two accounts.

**A.** Complex entry
**B.** Compound entry
**C.** Complicated entry
**D.** Standardised entry

### QUESTION 4

To determine if a transaction four months ago was paid for in cash, the Tsang company could examine all of the following records **except**:

**A.** The statement of financial position
**B.** Cash receipt journal
**C.** General ledger
**D.** Source documents

### QUESTION 5

Identify the rules of debit and credit for accounts in the statement of financial position:

**A.** Increases in assets, liabilities and equity accounts are recorded by debits.
**B.** Decreases in asset and liability accounts are recorded by credits.
**C.** Increases in asset and equity accounts are recorded by debits.
**D.** Decreases in liability and equity accounts are recorded by debits.

### QUESTION 6

Great Stationery Limited has a HK$35,000 account receivable from ABC Company. On 20 January 20X9, ABC Company makes a partial payment of HK$21,000 to Great Stationery Limited. Identify part of the journal entry made by Great Stationery on 20 January 20X9 to record this transaction.

**A.** A credit to the cash account of HK$21,000.
**B.** A credit to the accounts receivable account of HK$21,000.
**C.** A debit to the cash account of HK$14,000.
**D.** A debit to the accounts receivable account of HK$14,000.

### QUESTION 7

A company debits its inventory account when it purchases HK$20,000 worth of inventory for its warehouse on credit. Identify the account that the company accountant will credit.

**A.** Accounts receivable
**B.** Cash at bank
**C.** Accounts payable
**D.** Office equipment

### QUESTION 8

Explain the purposes of subsidiary ledgers.

**A.** Collect transactions that are alike in one place.
**B.** Use them to determine an aggregate number for certain transactions.
**C.** Avoid recording large volumes of similar transactions on the general ledger.
**D.** All of the above.

### QUESTION 9

A company purchases office equipment costing HK$45,000 using cash on the 1 April 20X8.

**Required:**

Prepare the journal entry for the transaction above ensuring all relevant details appear in the entry.

### QUESTION 10

A company purchases some furniture and fixtures at a cost of HK$50,520 from a furniture store on 15 March 20X8. The company pays the furniture store HK$45,000 in cash on the day of purchase and the remaining amount by 30 March 20X8.

**Required:**

(a) Prepare a compound journal entry that reflects the transaction on 15 March 20X8.

(b) Prepare the journal entry that reflects the transaction on 30 March 20X8.

### QUESTION 11

Siu Chen Limited has conducted its first week of business and has noted the economic events (i.e. transactions) listed below.

i. On 4 January 20X8, Siu Chen sold HK$11,000 of merchandise on account.

ii. On 5 January 20X8, Siu Chen paid salary of HK$5,000 to its employees.

iii. On 6 January 20X8, customer returns of merchandise in a total of HK$1,000 previously sold on account.

<u>Chart of Accounts</u>

- Accounts Receivables
- Cash
- Sales
- Sales Returns
- Salary Expense

**Required:**

Using the above chart of accounts, prepare the journal entries for each of the above transactions.

## ANSWERS TO EXAM PRACTICE

### QUESTION 1

Answer A is incorrect because for disposal of asset in cash, the credit entry will be the asset account.

Answer B is incorrect because payment to settle credit will credit the liability account.

Answer C is incorrect because cash sales will credit the revenue account.

Answer D is correct because paying expenses entails debiting the expense and crediting cash.

### QUESTION 2

Answer A is incorrect because the assets remain unchanged.

Answer B is incorrect because payment to settle credit will credit the liability account.

Answer C is correct because when HKIC receives cash for an order, they must debit an asset (cash) and credit a liability (deferred revenue). When HKIC completes the service, they must debit the liability (deferred revenue) and credit revenue. Assets remain unchanged.

Answer D is incorrect because assets remain unchanged.

### QUESTION 3

Answer A is incorrect because complex entry may only involve two accounts.

Answer B is correct because compound entry refers to a transaction involving more than two entries.

Answer C is incorrect because complicated entry may only involve two accounts.

Answer D is incorrect because standardised entry may only involve two accounts.

### QUESTION 4

Answer A is correct because the statement of financial position would provide the cash balance, but would not provide information on a particular transaction. All of the other documents could help the company determine if a previous transaction included cash received.

Answer B is incorrect because cash receipt journal is a list of cash received on a daily basis.

Answer C is incorrect because general ledger (e.g. cash ledger) is an accounting book for keeping and recording the accounts which should be examined.

Answer D is incorrect because source documents should be verified before the cash payment.

### QUESTION 5

Answer A is incorrect because increase in liability and equity is recorded by credit.

Answer B is incorrect because decrease in liabilities is recorded by debit.

Answer C is incorrect because increase in equity accounts is recorded by credit.

Answer D is correct because for example, payments made to accounts payable in cash will debit the liability account whose normal balance is used to be the credit balance.

### QUESTION 6

Answer A is incorrect because the cash account should be debited by HK$21,000.

Answer B is correct because the double entry should be debiting the cash account for HK$21,000, and crediting the accounts receivable account for HK$21,000.

Answer C is incorrect because the cash account should be debited by HK$21,000.

Answer D is incorrect because accounts receivable of ABC Company should be credited by HK$21,000.

## QUESTION 7

Answer A is incorrect because accounts receivable would not be affected at all.

Answer B is incorrect because decrease in assets is recorded by credit.

Answer C is correct because inventory purchases are debited to the inventory account and credited to the accounts payable account.

Answer D is incorrect because the equipment account is a non-current asset, whereas inventory is a current asset account.

## QUESTION 8

Answer A is incorrect because it is only one of the functions of a subsidiary ledger.

Answer B is incorrect because it is only one of the functions of a subsidiary ledger (i.e. accounts receivable, accounts payable).

Answer C is incorrect because it is only one of the purposes of a subsidiary ledger.

Answer D is correct because subsidiary ledgers do all of these: collect similar transactions in one place, provide a means to determine an aggregate number for certain transactions, and provide a means to avoid recording large volumes of similar transactions in the general ledger.

## QUESTION 9

**Journal entry**

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X8** | | **HK$** | **HK$** |
| 1 April | Office equipment | 45,000 | |
| | Cash at bank | | 45,000 |
| | Purchase of office equipment | | |

## QUESTION 10

**a) Journal entry**

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X8** | | **HK$** | **HK$** |
| 15 March | Furniture and fixtures | 50,520 | |
| | Cash | | 45,000 |
| | Accounts payable | | 5,520 |
| | Purchase of furniture and fixtures | | |

**b) Journal entry**

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X8** | | **HK$** | **HK$** |
| 30 March | Accounts payable | 5,520 | |
| | Cash | | 5,520 |
| | Payment of the remaining balance of the furniture and fixtures | | |

## QUESTION 11

**(1)**

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X8** | | **HK$** | **HK$** |
| 4 January | Accounts Receivables | 11,000 | |
| | Sales | | 11,000 |
| | Sold merchandise on account | | |

**(2)**

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X8** | | **HK$** | **HK$** |
| 5 January | Salary Expense | 5,000 | |
| | Cash | | 5,000 |
| | Payment of salary to the employees | | |

**(3)**

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X8** | | **HK$** | **HK$** |
| 6 January | Sales Returns | 1,000 | |
| | Accounts Receivables | | 1,000 |
| | Return of merchanise previously sold on account | | |

# 4

# Period End Procedures – Completion of the Accounting Cycle

## CHAPTER TOPIC LIST

## LEARNING OUTCOMES

| PRINCIPAL LO1: EXPLAIN THE PURPOSE OF ACCOUNTING |
|---|
| **LO1.03: Identify the types of financial statements and explain their purpose** |
| **1.03.04** Explain the difference between profit and other comprehensive income and their impact to the financial statements |
| **PRINCIPAL LO3: PREPARE ACCOUNTING RECORDS, DEMONSTRATE MANAGEMENT AND CONTROL** |
| **LO3.01: Apply the accounting equation to business transactions and prepare a trial balance** |
| **3.01.06** Describe the types of accounting errors and the purpose of a suspense account |
| **3.01.07** Prepare journal entries to correct errors through control account reconciliations and suspense accounts |
| **3.01.08** Prepare a trial balance from ledger accounts |
| **LO3.04: Prepare period end adjustments** |
| **3.04.01** Prepare the accounting entries for the following period end adjustments:<br>• Accrued expenses<br>• Prepaid expenses<br>• Inventory (#)<br>• Depreciation (*)<br>• Bad debts (#)<br>• Allowance for impairment loss on trade receivables (#)<br>• Income in arrears/in advance |

For the topics marked with (*), please refer to discussions in Chapter 6.
For the topics marked with (#), please refer to discussions in Chapter 7.

## OPENING CASE

# GREAT STATIONERY LIMITED, PART 4

The Wong brothers have been operating Great Stationery Limited ('Great Stationery') since 1 April 20X7. In Hong Kong, the financial year for most companies runs from 1 April to 31 March of the following year. Great Stationery's first set of accounts covers the year ending 31 March 20X8.

Over the past year, the company has expanded their product offerings and their customer base. They have employed people to help them with ordering, storing, sales and distribution – and to keep a record of their financial transactions. However, they are not sure how much profit they have made – or if they have made a profit at all.

At the end of the year, they have a meeting with their accountant who is in the process of preparing the results for the year. After a lengthy discussion, the brothers learn the following:

- No entries have been processed for staff bonuses which remained unpaid at year-end. The Wong brothers were not sure how successful Great Stationery would be, so they agreed to pay their employees a relatively low basic salary, plus a year-end bonus based on the company's profitability.
- One of their customers has bought items on credit during the year but cannot be located. While the transaction was recorded as a sale and in accounts receivable and some cash was received, the Wong brothers are of the firm view that they will not get the rest of their money. The accounting records don't yet reflect this judgement by the brothers.

Despite setting up their accounts in a manner that facilitates processing, the company does not know whether adjustments should be made to the accounting records before preparing the required financial statements.

## OVERVIEW

The data collected for accounting is used to determine the performance and financial position of a company, including assessing if goals have been achieved and if budgets have been met. This helps management make decisions that will improve financial results and structure.

The prime purpose of external financial reporting is to provide stakeholders other than management, including investors and creditors, with the information they need to make decisions about performance and financial position.

This chapter expands on Chapter 3. It addresses how journals, ledgers and other steps in the bookkeeping process are brought together at the end of the period to produce financial statements. Two types of entries are introduced: adjusting and closing entries.

At the end of each reporting period, **adjusting entries** are needed to ensure all accruals are in place for the period. Adjusting entries stem from timing differences between cash and accrual accounting as to when transactions and events are recognised. They may also be needed to correct errors in the recording process.

Closing entries are used for those **ledger accounts** that only affect the profit or loss for a period (i.e. income and expenses). The flows recorded in the statement of profit or loss and other comprehensive income are purely relevant to a period (e.g. sales for the period). The transactions affecting those accounts will not have consequences for the future and will not affect the statement of financial position nor future accounting. In each period, a new accumulation process starts.

This chapter explains the period end procedures as they have been applied in a manual bookkeeping system but, where relevant, explains how automated accounting packages have changed bookkeeping processes.

## 4.1 PERIOD END ADJUSTMENTS

It is critically important that the company understand that the accrual basis of accounting, rather than the cash basis, is used to prepare a set of financial statements. It is rare for a recording of only cash receipts and payments and cash balances to explain the performance and financial position of an entity. For this to be so, there would need to be no assets other than cash and no outstanding liabilities.

### 4.1.1 Revenue and Expense Recognition

Under the accrual method of accounting, Great Stationery recognised revenue when the product was delivered to the customer. This is the simplest situation. When considering more complicated transactions, under a sales contract, customers might pay ahead of delivery, or upon delivery of parts of the sale, or in aggregate for multiple elements of a transaction. It is not just a case of accounting for delivering a single item at one point and being subsequently paid for it.

#### 4.1.1.1 Revenue

For many revenue transactions, a customer will receive the goods or service and then pay cash or on term of an invoice (e.g. in 30 days). The supplier will have performed its part of the transaction on delivery of the goods or service. It will recognise revenue for the sales price of the transaction (a credit) and either a debit for cash received or a debit for a trade receivable (which will be extinguished when cash is received). Even in these simple circumstances you can see that the point of revenue recognition and the receipt of cash may not coincide.

As will be shown in later modules, the accounting standards, when dealing with revenue from contracts with customers, have moved to an approach that recognises revenue when a supplier has met a performance obligation to the customer (HKFRS 15). In the above example, that is when the goods or services were delivered. However, not all transactions are so simple. Contracts need to be analysed to determine the obligations involved, as there may be a number stemming from one contract.

Consider a simple example of the customer paying fully for inventory before receiving it and before the company has started processing the product involved. The company is obliged to deliver the required inventory by a certain time in the future. Cash at bank would be debited (increased), but where should the credit go? The company has done nothing to generate revenue yet. The answer is to credit to a liability to either return the cash or to deliver the inventory.

Older revenue standards focused more on when the company had control over the consideration from the customer or over a right to that consideration. They focused on an increment in assets for the recognition of revenue. As will be seen in later modules, the newer performance obligation approach could be said to be a liability release model (in which revenue is recognised when liabilities in the form of performance obligations are met).

As you will be discovering, full accrual accounting needs to be able to deal with many and varied revenue transactions, which are far from being suitable for handling only on a cash basis.

#### 4.1.1.2 Expenses

Expenses (including losses) are recognised when the service potentials of assets are used up (or lost):

- That can be immediately when cash is paid for a service, the benefit of which service is enjoyed almost at the same time.
- Or it may be some time in the future before the benefit is realised (e.g. when a service agreement for 12 months is prepaid).

In theory, in almost all payments for goods and services, an asset is acquired. Some of those assets are consumed almost immediately. Wages and salaries of office staff are an example. Employee service is very valuable but is, in many cases, not capitalised as an asset. This is because the benefit is enjoyed (say, the services of office staff administration) in the same period in which it is acquired.

Where an expenditure leads to the acquisition of an asset that will provide service potential in the future, recognition of expenses is deferred. This deferral is sometimes referred to as the **matching principle**. But really, we are talking about only recognising an expense when those assets yield up their service. For example, wages incurred in producing processed inventories are contributing to the service potential of those inventories. They are expensed (as cost of sales) only when the inventories are delivered to customers.

As with revenue, expense recognition can be straightforward and closely parallel cash flows, or it can be quite complex, anticipating cash flows well into the future, making difficult estimates and needing to be varied in measurement over time as more information becomes available.

## 4.1.2 Accrual versus Cash Basis Accounting

The cash basis of accounting provides very limited financial statements, which fails to systematically record all assets, liabilities, income and expenses. It focuses only on cash and sometimes near-cash items. Only the most basic unregulated entities would use cash accounting.

Businesses should use the accrual basis of accounting because it provides a more relevant picture of their financial position and performance. Entities subject to accounting standards are required to use it.

### 4.1.2.1 Cash Basis Accounting

**Cash basis accounting** records revenue when cash is received and records expenses when cash is paid. This method of accounting is based on activity in the company cash account, and it only presents a partial picture of the economic activity taking place within the company.

It is important to remember that cash basis accounting does not record the full economic impact of transactions. Consider the example of a publisher that receives an electronic transfer of HK$3,000 for a two-year subscription to an online database from Great Stationery.

Cash basis accounting would reflect the fact that HK$3,000 was paid by a subscriber, but not the fact that the publisher must provide the service for the first year to earn half of that amount and then a second year of service to account for the remaining HK$1,500 as revenue.

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X8** | | | **HK$** | **HK$** |
| 16 April | Cash at bank | #1091 | 3,000 | |
| | Sales | #4010 | | 3,000 |
| | (To record a two-year subscription payment received) | | | |

While cash basis accounting accurately represents the amount that was paid by a subscriber, it does not represent the period over which the publisher should account for revenue. The economic nature of transactions is better reflected in the use of accrual accounting, which will be considered in the next section.

#### 4.1.2.2 Accrual Basis Accounting

Accounting for transactions when they occur rather than when cash is paid is known as **accrual basis accounting**.

Some of the common accounts that you will see when you use accrual accounting appear in Exhibit 4.1.

| **Prepayments** | |
|---|---|
| Prepaid expense | Prepayments from the perspective of a company are payments made in advance of an account being due. This would include prepayments for services or subscriptions over multiple years.<br>These give rise to an asset to the entity, because there is a right to use a service attached to a prepayment. |
| Deferred revenue | Deferred revenue represents payments that have been made by customers in advance in return for services or products to be provided over a period.<br>Deferred revenue gives rise to a liability because there is a service obligation that an entity must fulfil in return. |
| **Accruals** | |
| Accrued expenses | • Wages and salaries (where the work has been undertaken but the employees are not yet paid at period end);<br>• Accrued leave and pensions (to which employees have become entitled but which entitlements have yet to be used); and<br>• Interest payable on borrowings. |
| Accrued revenue | Interest receivable (to account for the company's entitlement to interest income not yet received). |

▶ EXHIBIT 4.1 **Common accounts in accrual accounting**

Consider again the HK$3,000 subscription payment that is made to a publisher of a database for two years' access. While Great Stationery might pay cash and receive access that they expect will last for two years, a publisher will need to concern itself with accounting for the two years of subscription for which Great Stationery, the subscriber, has given them cash in exchange for access to a service online.

It cannot be said that the publisher has earned the HK$3,000 revenue on the day cash has been received by the company. The HK$3,000 represents deferred revenue, which may also be referred to as unearned revenue. A liability arises.

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X8** | | | **HK$** | **HK$** |
| 16 April | Cash at bank | #1091 | 3,000 | |
| | Deferred revenue | #2040 | | 3,000 |
| | (To record prepaid database subscription payment) | | | |

Great Stationery has unlimited access for two years, so the first year revenue from that transaction would be reflected in this way in an adjusting journal entry.

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X9** | | | **HK$** | **HK$** |
| 16 April | Deferred revenue | #2040 | 1,500 | |
| | Sales | #4010 | | 1,500 |
| | (To reclassify a subscription payment from deferred revenue into sales) | | | |

Year two revenue from the transaction will be booked in the following reporting period. This is when the publisher will have fulfilled the obligation completely.

***Accrued Revenue***

On 16 December 20X8, Great Stationery transferred HK$10,000 of its surplus cash into a 1-month fixed bank deposit bearing 4 percent interest. Upon preparing the 20X8 year-end financial statement on 31 December 20X8, Great Stationery should take into account this accrued bank interest or interest revenue although the 1-month fixed bank deposit of HK$400 (HK$10,000 × 4%) will be received on 15 January 20X9. On 31 December 20X8, Great Stationery should accrue the half-a-month bank interest of HK$200 (HK$10,000 × 4% × ½) as follows:

**Journal entry**

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X8** | | | **HK$** | **HK$** |
| 31 December | Bank interest receivable | #1072 | 200 | |
| | Bank interest income | #4011 | | 200 |
| | (To accrue half month of bank interest income) | | | |

When the bank interest of HK$400 was received on 15 January 20X9, the following journal entries would be made.

**Journal entry**

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X9** | | | **HK$** | **HK$** |
| 15 January | Cash at bank | #1091 | 400 | |
| | Bank interest receivable | #1072 | | 200 |
| | Bank interest income | #4011 | | 200 |
| | (To record the bank interest received on 15 Jan 20X9) | | | |

Let us return to the situations faced by Great Stationery in the opening case. The brothers had agreed to pay staff bonuses, but the bonuses remained unpaid and unrecognised at year-end. Further, in the second circumstance described, they had made a sale for which they do not expect to be fully paid.

***Staff Bonuses***

Great Stationery has incurred an expense and a liability for the unpaid bonuses. Assume they amount to HK$10,000. The accrual of the expense should be recorded as follows.

**Journal entry**

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X8** | | | **HK$** | **HK$** |
| 31 March | Staff bonus expense | #5004 | 10,000 | |
| | Salaries payable | #2010 | | 10,000 |
| | (To accrue staff bonuses unpaid at year-end) | | | |

In a strictly cash-based system, the bonuses would be unrecorded until cash is paid. If in 20X9, the bonuses were paid by the 31 March year-end, the one year would bear the cost of two sets of bonuses even though one set related to 20X8. Accrual accounting aims to record transactions and events in the periods to which they relate. The expense would reduce the profit for the year, and the salaries payable would be shown as a current liability in the statement of financial position.

***Bad Debt***

Let us assume that the sale that Great Stationery made on 1 October 20X8 was for HK$15,000, and that HK$2,000 was received on 30 October 20X8 before the brothers assessed that they would not receive the balance owing of HK$13,000 by the fiscal year end. The accrual accounting would have been as follows.

**Journal entry**

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X8** | | | **HK$** | **HK$** |
| 1 October | Accounts receivable | #1070 | 15,000 | |
| | Sales | #4010 | | 15,000 |
| | (To record sale made to customer X) | | | |

**Journal entry**

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X8** | | | **HK$** | **HK$** |
| 30 October | Cash at bank | #1091 | 2,000 | |
| | Accounts receivable | #1070 | | 2,000 |
| | (To record cash received from customer X) | | | |

**Journal entry**

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X9** | | | **HK$** | **HK$** |
| 31 March | Bad and doubtful debts expense | #5070 | 13,000 | |
| | Allowance for impairment loss on trade receivables | #1071 | | 13,000 |
| | (To record bad debt expense for unpaid invoice issued to Customer X) | | | |

A strictly cash-based system would only have recorded a sale of HK$2,000. It would not have recorded the full story as it would have failed to capture the full amount of the credit sale. In the statement of profit or loss and other comprehensive income, the use of accrual accounting shows both the sale (HK$15,000) and an expense for the non-realisation of the full sales price (HK$13,000). The topic of bad and doubtful debt will be further discussed in Chapter 7.

#### 4.1.2.3 Different Approaches

It should be remembered that HKAS 1 calls for accrual basis accounting except for required cash flow information. This is how it is explained in the standard: 'When the accrual basis of accounting is used, an entity recognises items as assets, liabilities, equity, income and expenses (the elements of financial statements) when they satisfy the definitions and recognition criteria for those elements . . .'.

In a dynamic system, and in theory, all movements in the above elements would be recorded when they occur, rather than at period end. Such entities would not have the same need for period end adjustments. Their ledgers would be fully on an accrual basis throughout a period.

But most entities are not fully dynamic in their recording and let a cash system run to a certain point, at which the cash accounting is adjusted to arrive at accrual-based accounting and financial statements. This adjustment might be approached only using period end adjustments.

In some entities, standing journal entries will be used to account for some of the accrual adjustments. A standing journal entry is an entry that is repeated each period at a specified time (e.g. month end). Bringing to account depreciation of property, plant and equipment is sometimes done by standing journal entry (with adjustments from time to time for movements in the depreciable assets).

#### 4.1.2.4 Timing Differences

Many transactions can be accounted for on a cash basis within a period, but the consequences of doing this need to be adjusted at period end to arrive at the accrual accounting needed for financial statements.

For example, purchases might:

- For simplicity, be accounted for during a period when payments are made by debiting (increasing) the inventories and crediting (reducing) the cash at bank; or
- Use a full accrual system which would debit (increase) inventories and credit (increase) **trade payables** for every item purchased on credit for inventory during the period. Then trade payables would be debited and cash at bank credited when the supplier is paid.

If the short cut is used, at period end there may be purchased goods on hand for which payment is yet to be made. This means that:

- The recording of inventories needs to be adjusted (debited) to ensure that the inventories account is consistent with the count of inventories at period end; and

- Trade payables would need to be credited for the amount outstanding to ensure that all purchases are recorded and are consistent with the accounting for inventories.

#### 4.1.2.5 Other Adjusting Entries at Period End

Apart from inventory/purchases timing issues, other period-end accrual adjustments are needed for such items as:

1. **Prepaid expenses** where there has been a cash outlay, but the benefit of the expenditure will come later (e.g. rent in advance, subscriptions for future periods);
2. Accrued expenses for such matters as:
   a. Wages and salaries (where the work has been undertaken but the employees are not yet paid at period end);
   b. Accrued leave and pensions (to which employees have become entitled but which entitlements have yet to be used); and
   c. Interest payable on borrowings;
3. Interest receivable (to account for the company's entitlement to interest income not yet received); and
4. The receipt of cash, or an entitlement to cash, ahead of when revenue can be recognised (deferred or unearned revenue). Examples include subscriptions in advance (for a publisher or other access providers of various types [e.g. landlords]) and insurance premiums received by insurers ahead of providing coverage.

All these adjustments are examples of when the movement of cash does not coincide with accrual-based financial statements, and so is not a good measure of revenues, expenses, assets, liabilities and equity.

#### 4.1.2.6 Cut-Off Procedures at Period End

From the above example, you can see that when accounting for inventories and purchases is done on an accrual basis, they are consistently treated.

But how did the company know that the inventories in question were on hand? In many cases, inventories are physically counted, and the company then compares the result of this count with the records of beginning inventory, plus recorded purchases, less inventories sold. The two amounts should ideally coincide except for year-end purchases yet to be accrued.

The accountant must try to ensure that sales and debtors reconcile, and that purchases and inventories also reconcile. It is common therefore to specify when the various journals for sales, purchases, cash receipts and payments will close for the period, and what procedures are needed to ensure that period-end accrual entries bring about such reconciliations.

Auditors commonly apply procedures to check for 'cut-off' errors. Failure to align the accounting for purchases and inventories, sales and debtors, for example, can lead to serious errors in profit or loss for the period.

### Illustrative Example 1

Consider the situation in which Great Stationery receives an order from a paper trader called PaperTrader that will require it to import a certain quantity and quality of paper in February 20X8 (purchase price of HK$1,000) from PaperVendor. Note the following details:

- Great Stationery placed an order for the needed inventory on 3 February 20X8 with PaperVendor.
- The inventory is received in Hong Kong on 10 March 20X8 by Great Stationery and delivered to the customer (PaperTrader) on 15 March 20X8 (sale price of HK$1,200).
- The supplier of the inventory (PaperVendor) is paid on 10 April 20X8.
- According to the payment terms that have been worked out with PaperTrader, payment is not due until 14 April 20X8, 30 days after delivery.
- The period end is 31 March 20X8.
- The customer (PaperTrader) pays HK$1,200 on 14 April 20X8.

When should the elements of this transaction be recorded? The answer depends very much on the accounting method that Great Stationery chooses to use to achieve accrual accounting.

Note that some companies may use trade payables instead of trade creditors, and **trade receivables** instead of trade debtors.

Under a full accrual basis:

**Journal entry #1**

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X8** | | | **HK$** | **HK$** |
| 10 March | Inventory | #1063 | 1,000 | |
| | Accounts payables | #2020 | | 1,000 |
| | (To record inventory purchased from a trade creditor (PaperVendor) for HK$1,000) | | | |

**Journal entry #2**

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X8** | | | **HK$** | **HK$** |
| 15 March | Accounts receivable | #1070 | 1,200 | |
| | Sales | #4010 | | 1,200 |
| | (To record a sale for HK$1,200 to the customer PaperTrader) | | | |

## Illustrative Example 1 *(continued)*

### Journal entry #3

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X8** | | | **HK$** | **HK$** |
| 15 March | Cost of Sales | #5060 | 1,000 | |
| | Inventory | #1063 | | 1,000 |
| | (To record the cost of sales and reduction in inventory when supplied to the customer PaperTrader) | | | |

If financial statements were to be prepared as at 31 December 20X8, no adjusting entry would be needed because the purchase of paper from PaperVendor and its sale to PaperTrader would have been fully recorded.

The only elements of the transaction left at that date would be the amounts owed by the company to the supplier PaperVendor (HK$1,000), and by the customer PaperTrader, to the company (HK$1,200). These would both be shown in the statement of financial position (**balance sheet**), respectively as trade payables and trade receivables.

### Journal entry #4

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X8** | | | **HK$** | **HK$** |
| 10 April | Accounts payables | #2020 | 1,000 | |
| | Cash at bank | #1091 | | 1,000 |
| | (To record the payment of PaperVendor for the inventory supplied on 10 March) | | | |

### Journal entry #5

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X8** | | | **HK$** | **HK$** |
| 14 April | Cash at bank | #1091 | 1,200 | |
| | Accounts receivables | #1070 | | 1,200 |
| | (To record the payment by PaperTrader for the inventory supplied on 15 March) | | | |

Under a period-end adjustment basis:

(a) On a cash basis, none of the above steps involves cash before the payment of the creditor, PaperVendor, on 10 April 20X8, and the receipt of cash from the customer, PaperTrader, on 14 April 20X8.

(b) This means that an adjusting journal entry is needed at 31 March to record:

a. The accounts payable (HK$1,000) (entry #1)

b. The sale (HK$1,200) (credit) (entry #2)

c. The accounts receivable (HK$1,200) (debit) (entry #2)

d. The cost of sales (HK$1,000) (debit) (entry #3)

Note that no recording was needed for inventory at period end under this second approach – it had come and gone within March 20X8. But also note that under both approaches the financial statements at 31 March would show the same amounts for the debtor and creditor.

So why not just make period-end adjustments as there are fewer items in the above example to deal with?

The example is a very simple one and it is a single transaction. There could be thousands of such transactions and many could be at different stages at the period-end date (i.e. 31 March 20X8). For example:

- The inventory might not have been supplied to the customer, it may have been devoted to an unfinished process (e.g. the paper might have been still being treated at period-end date and still be an asset of the company).
- Returns of some of the inventory might have occurred for refunds.
- The debtor may have been assessed as unable to pay at 31 December 20X8.

The more complex the business, the less likely it is that period-end adjustments will be adequate by themselves. Rather, companies will put in place systems to track common transactions, minimising the need for period-end adjustments.

### Key Learning Point

The accrual basis recognises revenue when performance obligations to customers are met. This will not always coincide with when cash inflows occur. Expenses will be recognised when the service potential of assets is consumed. Again, this will not always coincide with when cash outflows occur.

If a cash-based system is used within a period, at period end there will be a need for adjusting journal entries to convert the cash flow information into accrual information. All but the simplest businesses should use the accrual basis method, because it records the economic elements of a transaction (i.e. income, expenses, assets, liabilities and equity) when they arise, regardless of the timing of cash inflows and outflows.

### ▶ Knowledge Check Questions

**Question 1**

In March, a furniture company takes a customer order to make a table. In April, the furniture company purchases wood for HK$3,000 and pays for it in cash. This wood was used to make the table, which was delivered to the customer in May. Using the cash basis method of accounting, determine when the 'expense' for the wood would be recognised.

**A** March

**B** April

**C** May

**D** The cost is deferred and posted at year end

### Knowledge Check Questions *(continued)*

**Question 2**

Great Stationery purchases inventory in March and sells the items to a customer in June. Justify the company's decision to expense the cost of the inventory in June.

**Question 3**

Describe what effect cash basis accounting has on record keeping for a company.

**Question 4**

Contrast accrual basis accounting with cash basis accounting and determine the time when they come to the same answers.

**Question 5**

Before month end adjustments are made, the 31 January 20X9 trial balance of HKQP Limited contains revenue of HK$27,900 and expenses of HK$17,340. Adjustments are necessary for the following items:

- Portion of prepaid rent applicable to January 20X9, HK$2,700
- Depreciation for January 20X9, HK$1,440
- Portion of fees collected in advance earned in January 20X9, HK$3,300
- Fees earned in January 20X9, not yet billed to customers, HK$1,950

Calculate the profit for the year ended 31 January 20X9.

**A** HK$10,560
**B** HK$17,070
**C** HK$7,770
**D** HK$11,670

## 4.2 THE BASICS OF ADJUSTING ENTRIES

Once the ledgers are fully posted from the journals, a listing of ledger accounts is produced. That listing is called a 'trial balance'.

In such bookkeeping the trial balance can serve to draw attention to incomplete processing of transactions (e.g. posting a credit without a debit). The trial balance, produced by double-entry bookkeeping, needs to have the total of all debit balances equal to the total of all credit balances. If it does not balance, an error had been made.

In a manual system it is possible to forget to post one side of an entry, or to make two debits or credits instead of a debit and credit, to make addition errors or to make various other types of clerical errors (including omission of one entry).

The trial balance also provides a tool to enable the accountant to review the makeup of the financial position and performance of the entity, albeit without the listing being complete in the manner of financial statements.

The accountant can look for unusual balances, check back into the ledgers and journals when necessary, and compare the trial balance for this period and the last. Thus, basic analytics can be facilitated using the trial balance (which represents one level of summation of the data recorded in the ledgers).

The original trial balance can be supplemented or annotated to record the end of period adjustments and corrections.

At period end, as explained above, adjusting entries will be posted to ensure that the ledger is recorded fully in accrual terms:

- Some entities will record such entries as a transaction or event takes place.
- Other entities will use shortcuts to adjust cash-based information to accrual information at period end.

### 4.2.1 Example of Adjusting Entries

In this section, we shall investigate some examples of adjusting entries, including accrued and prepaid expenses, and accrued and deferred revenues.

#### 4.2.1.1 Prepaid Expenses

One example of an adjusting entry is prepayment for a service (e.g. rent or subscriptions). The nature of the asset (the debit) is a right to a service. The credit entry records the cash outlay when the payment is made.

Assume, for example, that the company subscribes to *Greeting Card Retailer* magazine, an industry publication. On 1 January 20X8, the company pays HK$1,200 for 12 monthly issues of the 20X8 magazine and posts this entry:

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X8** | | | **HK$** | **HK$** |
| 1 January | Prepaid subscription (asset) | #1064 | 1,200 | |
| | Cash at bank | #1091 | | 1,200 |
| | (To record a prepayment for a magazine subscription) | | | |

As Great Stationery receive a magazine each month, they move one month (1/12th of the total payment) into an expense account because they have used up the right to a magazine for that month (assuming the magazine has no enduring benefit beyond the month). Here is the entry when the 1 February magazine is received:

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X8** | | | **HK$** | **HK$** |
| 1 February | Subscription expense | #5001 | 100 | |
| | Prepaid subscription | #1064 | | 100 |
| | (To expense one month of magazine subscription prepayment) | | | |

Over the entire year of 20X8, the HK$1,200 prepayment is reclassified into the subscription expense account. If the statement of financial position date intervened, the company would show the balance of prepayments as a current asset in the statement of financial position.

#### 4.2.1.2 Accrued Expenses

The nature of the accrued expenses is a liability account with a credit balance. A common example of an accrued expense is wages and salaries.

Assume Great Stationery pays salaries for one class of employee monthly (with payment in mid-month). At 31 December, the company will need to accrue an expense for the half month since the last payment.

Assume that the total monthly salaries in question is HK$44,000. At 31 December 20X8, HK$22,000 in employee service has been received but not been paid for. For the financial statements on 31 December 20X8, an expense will need to be accrued.

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X8** | | | **HK$** | **HK$** |
| 31 December | Salary expense | #5000 | 22,000 | |
| | Salaries payable | #2010 | | 22,000 |
| | (To accrue an expense for unpaid wages at period end) | | | |

On 15 January 20X9, the payment is made and recorded with the below journal entry:

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X9** | | | **HK$** | **HK$** |
| 15 January | Salaries payable | #2010 | 22,000 | |
| | Salary expense | #5000 | 22,000 | |
| | Cash at bank | #1091 | | 44,000 |
| | (To record payment of the wages and salaries for the period end) | | | |

#### 4.2.1.3 Deferred Revenue

**Deferred revenue** arises when a payment is received from a customer before a product or service is produced or delivered (i.e. before the performance obligation is met). Adjusting entries are required to ensure that revenue is taken when the performance obligation is met and not when the cash is received.

Assume that Great Stationery receives a refundable customer deposit for one of its products ahead of any performance by it. The company, for this transaction, faces two prospects:

1. Fulfilling the order.
2. Returning the deposit if Great Stationery does not produce the good in question or if the customer chooses to withdraw from the transaction.

In these narrow circumstances, Great Stationery has no revenue to account for but has a liability for the deposit until the order is met.

Assume that Mark orders HK$1,000 in greeting cards to announce the opening of his new business. Mark pays HK$200 as a deposit on 5 March 20X8 and will pay the remaining HK$800 when he receives the cards from Great Stationery. Here is Great Stationery's 5 March 20X8 journal entry:

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X8** | | | **HK$** | **HK$** |
| 5 March | Cash at bank | #1091 | 200 | |
| | Deferred revenue | #2040 | | 200 |
| | (To post a customer deposit) | | | |

On 20 March 20X8, Great Stationery delivers the greeting cards and the customer pays the HK$800 remaining balance for the greeting cards. Below is the compound journal entry to record this transaction:

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X8** | | | **HK$** | **HK$** |
| 20 March | Deferred revenue | #2040 | 200 | |
| | Cash at bank | #1091 | 800 | |
| | Sales | #4010 | | 1,000 |
| | (To recognise customer deposit and residual payment to sales) | | | |

#### 4.2.1.4 Accrued Revenue

As indicated above, an accrual is an entry posted to record any element (income including revenue, expenses including losses, assets and liabilities) that comes into existence, ceases to exist or is altered, without a cash equivalent flow.

A common accrual is for credit sales. The goods or services are provided to a customer before period end and the customer is to pay in, say, 30 days from delivery. An entry is needed to record the revenue generated by the sale (fully in the period), with the amount outstanding being shown as a receivable (an asset) at period end.

Accrued revenue is revenue recorded in the periods in which it is earned. Without adjusting entries for credit sales, the performance for both the current period and the next would be misstated.

An expense would also need to be recognised in the period for the cost of sales (that is the cost of the inventories provided). Thus, the statement of profit or loss and other comprehensive income would reflect the margin on the sale, and the statement of financial position would show the outstanding receivable.

### Illustrative Example 2

Minerva Consultancy ('Minerva') is an advisory firm that charges HK$100 an hour. In January 20X8, Minerva provided 8,000 hours consulting services, resulting in revenues of HK$800,000. Minerva will send those clients invoices in February 20X8.

Accordingly, Minerva should record the HK$800,000 accrued revenue in its January 20X8 statement of profit or loss and other comprehensive income. This way, it has a record of revenue in the month of January 20X8 even though it hasn't billed the clients yet or received payment for the work. Therefore, Minerva would record the following accounting entries on 31 January 20X8:

**Journal entry**

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X8** | | **HK$** | **HK$** |
| 31 January | Accounts receivable | 800,000 | |
| | Service revenue | | 800,000 |
| | (To accrue revenue for the service performed) | | |

When the clients pay in February 20X8, the journal entry would be as follows:

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X8** | | **HK$** | **HK$** |
| 28 February | Cash at bank | 800,000 | |
| | Accounts receivable | | 800,000 |
| | (To record the receipt of cash for the service performed) | | |

In this way, organisations can create financial statements that show sales, even if the actual cash transactions have not occurred. Accruing can support comparable financial data by recognising particular business events in specific periods, even if the corresponding cash transaction is completed at another time.

The accrual method is not as simple to use and maintain as the cash method. However, the extra work it entails offers particular benefits. As this example illustrates, the accrual method pairs revenues and their related expenses. Seeing these items together in the same reporting period, offers better insight into a company's business operations and performance.

## 4.2.2 Locating and Correcting Errors

As indicated above, under manual bookkeeping, the process of preparing the trial balance allows a business owner or accountant to find anomalies that might indicate errors and to correct for them. Automated packages remove the possibility of some forms of error that can occur in manual systems (particularly single side entries) simply because they will not let you proceed without a debit and matching credit being posted. But in both manual and automated systems it is still possible to post wrong debits and credits, to omit transactions and to duplicate them.

Accountants and auditors use analytical techniques to uncover unusual transactions and balances. They review size limits for different types of transactions, use trend analysis to find variations in trends and can delve into underlying transactions when reviewing financial statements.

Accountants also look to various forms of reconciliation to compare the accounting records with external sources of information. This includes bank reconciliations and debtors and creditors reconciliations when the company's statements of balances and those of customers or suppliers are not in agreement. Also, as indicated above, they review cut-off procedures to ensure that sales and debtors reconcile and so that purchases and creditors also reconcile. Accountants will also seek to clear any suspense accounts.

#### 4.2.2.1 Finding Errors in Other Accounts

As accountants review journals and ledgers, it is not unusual to find an error in one account that may affect other accounts. For example:

- The simple mis-posting of an expense to the wrong account (e.g. advertising instead of rent) means that at least two expense accounts are incorrect. Most of these types of error will be discovered through the use of analytics.
- Amounts can, for example, be misclassified between types of expense or revenue, treated as expenses when an asset has been purchased, or omitted as an expense and equivalent liability. Reviewing recurring and unusual transactions and balances can reveal such errors.

It is important that accountants remain vigilant and ensure that transactions are reflected appropriately in accounting records, so that financial statements can be put together with minimal errors.

#### 4.2.2.2 Bank Reconciliations

As indicated above, another way in which errors might be found is through monthly bank reconciliations. The bank reconciliation is prepared to explain any difference between the amount recorded for cash at bank in the company's ledger and the balance shown in the bank statements.

The usual reasons for differences are that:

- Deposits have been made but not yet processed to the company's account by the bank; or
- The company has issued cheques to suppliers or others and the cheques have yet to be banked by the recipients.

If these explain the differences, no further action is needed by the company and it can rely on its ledger balance for its accounting. No error is occurring in such circumstances.

But it can be found that transactions appear on bank statements that have yet to be brought to account in the ledger. Direct deposits by customers and charges by the bank for its services are two common examples of situations when bank statements show transactions for which correcting entries are needed to update the ledger.

It is also possible that bank statements will reveal errors in the bookkeeping for transactions recorded in the ledger. The amounts shown in those statements for presented cheques or deposits may disagree in amount with the ledger.

The Great Stationery accountant receives the May bank statement and compares each cheque number and the dollar amount on the statement to the accounting records.

Assume, for example, that cheque #3105 for HK$540 was recorded in the accounting records as HK$450. The cheque was written to a supplier of greeting cards, so both the cash at bank account and the greeting card (inventory) account are understated in the accounting records by HK$90. But the (actual) cash at bank and the accounting records will show different balances for cash.

The bank statement will show HK$90 less than the books. Pursuing that difference will eventually reveal the error in the books. It would be corrected as follows. Here is the entry to correct the error:

**Journal entry**

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X8** | | | **HK$** | **HK$** |
| 6 May | Greeting cards | #1061 | 90 | |
| | Cash at bank | #1091 | | 90 |
| | (To correct cheque #3105. The correct dollar amount is HK$540 per the bank statement) | | | |

Bank reconciliations are covered in more detail in Chapter 5. It is sufficient to know for now that there are entries that revise accounting records so that they reflect the right amounts. It is important to remember that these errors can occur through accountants or other staff transposing numbers.

#### 4.2.2.3 Other Reconciliations

It is normal practice for a company to issue invoices for sales when they occur, and to follow up those invoices with a monthly statement that brings those invoices, any payments and any other adjustments (e.g. allowances for damaged goods) together. The company will also receive such statements from its suppliers. The former is a case of the company telling customers what they owe as at the date of the statement, and the latter amounts to suppliers telling the company what they owe.

It is imperative that companies reconcile statements from customers and suppliers to the ledger. Such statements can reveal missing transactions; disagreements over quantities, qualities and prices; details of returned goods; claims for refunds and similar matters. These can impact the recording of revenues, expenses, assets and liabilities.

Auditors will review such reconciliations because they provide external evidence that can corroborate the company's assertions about its records and financial statements.

#### 4.2.2.4 Suspense Accounts

Attitudes to using suspense accounts vary between companies, with some companies limiting their use very significantly. The policy of these companies is to 'get it right' from the beginning.

Suspense accounts are accounts used by accountants to temporarily hold information until further analysis is carried out. For example, a cash receipt might appear directly in a bank statement, but the company may be unable to immediately discern the source:

- The company might debit cash at bank and credit a suspense account for unattributed receipts.
- When it is subsequently worked out what the cash is related to (e.g. interest from an investment), the suspense account would be debited and interest income would be credited.

The danger of suspense accounts is that they can multiply and remain unreconciled. If material, this can distort the accounts (e.g. revenue might be shown as liability in the absence of evidence to the contrary). Accountants need to keep any suspense accounts under scrutiny and clear balances on a timely basis.

### Key Learning Point

Adjustments to the ledgers ensure that all material income (including revenue), expenses (including losses), assets and liabilities are recorded, not just the effects of cash flows.

Various bookkeeping approaches, such as preparing and reviewing of trial balances, using analytics, ensuring bank accounts are reconciled, and reconciling debtors and creditors statements, and clearing suspense accounts are employed in accrual accounting to ensure that the accounting is complete and accurate. Their application is necessary before the accounting records can be used to create a complete set of financial statements.

### ▶ Knowledge Check Questions

**Question 6**

Identify the purpose of adjusting entries:

**A** Adjust the Retained Earnings account for the revenue, expenses and dividends during the accounting period.

**B** Adjust daily the balances in asset, liability, revenue and expense accounts for the effects of business transactions.

**C** Apply the matching principle to transactions affecting two or more accounting periods.

**D** Prepare revenue and expense accounts for recording the transactions of the next accounting period.

**Question 7**

Determine whether adjusting entries affect asset and liability accounts, income and expense accounts, or both groups of accounts.

# 4.3 DRAFT FINANCIAL STATEMENTS

## 4.3.1 The Role of the Trial Balance

Under manual systems there are many steps between the first point of entry for data and being able to see the resulting impacts on the financial statements. Thus, the trial balance in a manual system provides an accessible tool for review prior to the effort of producing financial statements.

Automated accounting packages have changed the process of bookkeeping quite markedly. For one thing, when making entries in the primary records, the system will stop bookkeepers from processing only one side of an entry or posting amounts that do not match. This can substantially reduce clerical error. Of course, as with manual systems, having matching debits and credits does not mean that the accounting is necessarily correct.

Under automated accounting packages, financial statements (to a certain level of sophistication) are continuously available. Even if a single small payment for say a subscription to a trade magazine is made (see Section 4.1.2.2), once the debit for that expense is recorded and the credit for the payment, the financial statements can be seen immediately thereafter.

Furthermore, in automated accounting systems, the financial statements themselves provide for interrogation of balances to whatever level the accountant or auditor wants to trace. For example, balances can be selected ('clicked') on screen, revealing the detailed ledger account that explains the balance. These digital financial statements are thus the subject of modern analytical techniques and tools, at the level of financial information. Graphical representations can automatically accompany the financial statements to make it easy to, say, parse sales by segments.

A critical difference between the two types of system is that the automated accounting packages produce financial statements in real time as data is entered. Those financial statements will normally need editing to produce any published financial statements, but again the extent of this varies by company.

Also, different approaches can be used when analysing information to ascertain whether errors may have occurred. Modern automated accounting packages have made the use of trial balances far less critical than under manual bookkeeping. But implicitly, both manual and automated accounting packages are trying to achieve the same end results – relevant and representationally faithful accrual-based financial statements.

As indicated above, different approaches can be used for processing adjusting entries (often depending on the degree to which the system is designed to account for all transactions and events that impact the elements in the financial statements as and when they occur).

Whether a trial balance is used as a key focus or not, it is good practice to ensure that adjusting entries are well documented and preserved. They can point to systematic problems in the system and the need for clearer accounting policies and manuals.

A key development in audit reporting is for the auditor to report upon the key matters considered during the period. It can be that they relate to adjusting journal entries that resolve differences between the auditor and company. The trial balance worksheet below is one example of how a trial balance is distributed to the various statements (Exhibit 4.2).

There are a few steps in preparing the adjusted trial balance based on an unadjusted trial balance:

Step 1: Assuming either the manual or automatic bookkeeping system is operated properly, the unadjusted trial balance will show total debits equal to total credits (i.e., HK$220,000), as shown in Exhibit 4.2.

Step 2: Accruals and prepayments, such as salary expense (HK$6,000) and depreciation (HK$2,000), will then be made in the adjustment columns.

Step 3: By combining the unadjusted trial balance columns and the adjustment columns, one will arrive at the adjusted trial balance columns.

Step 4: Based on the adjusted trial balance columns, the statement of profit or loss and other comprehensive income and the statement of financial position will be prepared, as described in the following sections.

You will see how the information is used to prepare the various financial statements in the next sections.

### 4.3.2 Preparing Financial Statements

The next step is to prepare the financial statements for the use of management and/or for external reporting to external users.

When the trial balance is produced for a well-structured ledger it will show like items together on the listing. The accountant will then add those like items together to get to the level of summation needed in the financial statements and notes thereto.

Once the trial balance has been corrected (to balance), the components of the trial balance can be used to construct the financial statements. For example:

- The various types of sales accounts might be aggregated and shown simply as ‘sales revenue’ in the statement of profit or loss and other comprehensive income.
- Expenses might be classified into functions (e.g. finance, selling or administration expenses) or by nature (e.g. wages, depreciation).

In a formal accounting model, all income (including revenues and gains) and all expense (including losses) accounts would be the basis for the statement of profit or loss and other comprehensive income presented to management or external users.

| Great Stationery Limited<br>Trial Balance Worksheet<br>For year ended 31 March 20X8 | | | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Acct No. | Account | Class | Unadjusted Trial Balance | | Adjustments | | Adjusted Trial Balance | | Statement of Profit or Loss and Other Comprehensive Income | | Statement of Financial Position | |
| | | | Dr | Cr | Dr | Cr | Dr | Cr | Dr | Cr | Dr | Cr |
| 1091 | **Cash at bank** | **CA** | 32,800 | | | | 32,800 | | | | 32,800 | |
| 1070 | **Trade Receivables** | **CA** | 40,000 | | | | 40,000 | | | | 40,000 | |
| 1065 | **Prepaid Rent** | **CA** | 10,000 | | | | 10,000 | | | | 10,000 | |
| 1063 | **Inventory** | **CA** | 40,000 | | | | 40,000 | | | | 40,000 | |
| 1020 | **Equipment** | **NCA** | 15,000 | | | | 15,000 | | | | 15,000 | |
| 1051 | **Accumulated Depreciation – Equipment** | **(NCA)** | | | | 2,000 | | 2,000 | | | | 2,000 |
| 2000 | **Long Term Loans** | **NCL** | | 50,000 | | | | 50,000 | | | | 50,000 |
| 2020 | **Trade Payables** | **CL** | | 50,000 | | | | 50,000 | | | | 50,000 |
| 2010 | **Salaries Payable** | **CL** | | | | 6,300 | | 6,300 | | | | 6,300 |
| 2040 | **Deferred Revenue** | **CL** | | 10,000 | | | | 10,000 | | | | 10,000 |
| 2050 | **Income Tax Payable** | **CL** | | | | 1,500 | | 1,500 | | | | 1,500 |
| 4010 | **Sales** | **R** | | 100,000 | | | | 100,000 | | 100,000 | | |
| 5000 | **Salary Expense** | **AE** | 24,000 | | 6,000 | | 30,000 | | 30,000 | | | |
| 5130 | **Rent Expense** | **AE** | 20,000 | | | | 20,000 | | 20,000 | | | |
| 5002 | **Advertising Expense** | **OE** | 1,000 | | | | 1,000 | | 1,000 | | | |
| 5140 | **Utilities Expense** | **AE** | 1,200 | | 300 | | 1,500 | | 1,500 | | | |
| 5120 | **Distribution Costs** | **DE** | 20,000 | | | | 20,000 | | 20,000 | | | |
| 5020 | **Depreciation Expense – Equipment** | **AE** | | | 2,000 | | 2,000 | | 2,000 | | | |

▶ **EXHIBIT 4.2 Relationship of trial balance to financial statements**

| Great Stationery Limited<br>Trial Balance Worksheet<br>For year ended 31 March 20X8 | | | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Acct No.** | **Account** | **Class** | **Unadjusted Trial Balance** | | **Adjustments** | | **Adjusted Trial Balance** | | **Statement of Profit or Loss and Other Comprehensive Income** | | **Statement of Financial Position** | |
| | | | **Dr** | **Cr** | **Dr** | **Cr** | **Dr** | **Cr** | **Dr** | **Cr** | **Dr** | **Cr** |
| 5060 | **Cost of Sales** | **CoS** | 15,000 | | | | 15,000 | | 15,000 | | | |
| 5070 | **Bad and Doubtful Debt Expense** | **OE** | | | | | | | | | | |
| 6010 | **Interest Expense** | **FE** | 1,000 | | | | 1,000 | | 1,000 | | | |
| 6000 | **Income Tax Expense** | **ITE** | | | 1,500 | | 1,500 | | 1,500 | | | |
| 3000 | **Share Capital** | **E** | | 10,000 | | | | 10,000 | | | | 10,000 |
| 3010 | **Retained Earnings** | **E** | | 0 | | | | | 8,000 | | | 8,000 |
| | **Totals** | | 220,000 | 220,000 | 9,800 | 9,800 | 229,800 | 229,800 | 100,000 | 100,000 | 137,800 | 137,800 |

| **Legend** | |
|---|---|
| CA | Current asset |
| NCA | Non-current asset |
| CL | Current liability |
| NCL | Non-current liability |
| E | Equity |
| AE | Administrative expense |
| DE | Distribution expense |
| OE | Other expense |
| R | Revenue |
| CoS | Cost of sales |
| FE | Finance expense |
| ITE | Income tax expense |

▶ **EXHIBIT 4.2** (***Continued***)

From the trial balance, the accountant would move to prepare the financial statements, including:

1. The statement of profit or loss and other comprehensive income;
2. The statement of financial position;
3. The statement of changes in equity; and
4. The statement of cash flows.

Sometimes this process reveals the need for further corrections and adjustments. The four statements need to articulate and if they do not, it may be the result of an error. In a manual accounting system, the preparation of a set of financial statements involves all the steps described in this chapter to reach the point at which information can be transcribed to the body of the four financial statements: the statement of profit or loss and other comprehensive income, the statement of financial position, the statement of changes in equity and the statement of cash flows.

In an automated accounting package, as described above, a form of financial statements will be continuously available. That form may fall short of the needs of internal or external users because of the need for more details or because notes need to be prepared to accompany financial statements. Many companies will try to edit the form of the financial statements that a package produces to reduce the further work required.

#### 4.3.2.1 Statement of Profit or Loss and Other Comprehensive Income

The statement of profit or loss and other comprehensive income covers a specific period, which is a fiscal year for annual financial statements and a quarter for quarterly financial statements.

This statement provides an overview of income (including revenues), expenses (including losses), profit for the year and, for listed companies, other information such as earnings per share. HKAS 1 requires entities to present comparative information for the preceding period for all amounts reported in financial statements.

Note that HKAS1 provides entities with a choice of classifying expenses on the basis of nature or function:

- A nature basis would result in line items in the statement for such expenses as depreciation and employee benefits expenses.
- A functional basis would see costs such as distribution and administrative costs.

The standard indicates that entities are to choose whichever basis is more relevant for their circumstances. Whichever classification basis is used, accounting standards do specify specific disclosures that must be made (e.g. income tax expense, interest revenue and finance costs). Those disclosures are frequently natural items and would often be provided in the notes to financial statements, especially if the functional basis is used in the body of the statements.

HKAS 1 illustrates the difference between the natural and functional classifications as follows (Exhibit 4.3).

| | | | |
|---|---|---|---|
| **Natural** | | | |
| | Revenue | | x |
| | Other income | | x |
| | Changes in inventories of finished goods and work in progress | x | |
| | Raw materials and consumables used | x | |
| | Employee benefits expense | x | |
| | Depreciation and amortisation expense | x | |
| | Other expenses | x | |
| | Total expenses | | (x) |
| | Profit before tax | | x |
| **Functional** | | | (x) |
| | Revenue | | x |
| | Cost of sales | | (x) |
| | Gross profit | | x |
| | Other income | | x |
| | Distribution costs | | (x) |
| | Administrative costs | | (x) |
| | Other expenses | | (x) |
| | Profit before tax | | x |

▶ EXHIBIT 4.3 **Natural and functional classifications**

By way of example, below is the first statement of profit or loss and other comprehensive income of Great Stationery (Exhibit 4.4).

This is the first year of operations for Great Stationery and there are no preceding period numbers to compare data. The profits tax liability is based on accrual basis accounting, and the company estimates the tax on profit to be paid in the next financial year as an accrued liability.

The HK$8,000 profit is carried into the statement of financial position and shown as **retained earnings**. Those earnings will be reduced by any dividends to shareholders which are regarded as distributions, not as expenses.

#### 4.3.2.2 Statement of Changes in Equity

The statement of changes in equity shows all transactions affecting equity for the period. This includes changes:

(a) Through profit or loss; or

(b) Other comprehensive income; and

(c) Transactions with shareholders (e.g. new equity distributions made).

**Great Stationery Limited**
**Statement of Profit or Loss and Other Comprehensive Income**
**For year ended 31 March 20X8**

| | HK$ | HK$ | Account Number* |
|---|---|---|---|
| Sales | | 100,000 | #4010 |
| Less: Cost of sales | | (15,000) | #5060 |
| Gross profit | | 85,000 | |
| **Less: Expenses** | | | |
| Distribution expense | 20,000 | | #5120 |
| Salary expense | 30,000 | | #5000 |
| Rent expense | 20,000 | | #5130 |
| Utilities expense | 1,500 | | #5140 |
| Depreciation – equipment | 2,000 | | #5020 |
| Advertising expenses | 1,000 | (74,500) | #5002 |
| Operating profit | | 10,500 | |
| Less: Interest expense | | (1,000) | #6010 |
| Profit before tax | | 9,500 | |
| Less: Income tax expense | | (1,500) | #6000 |
| **Profit for the year** | | 8,000 | |
| **Other comprehensive income:** | | | |
| (i) Items that may be reclassified | | 0 | |
| (ii) items that will not be reclassified to profit or loss | | 0 | |
| **Other comprehensive income for the year** | | 0 | |
| **Total comprehensive income for the year** | | 8,000 | |

* These account numbers are not part of financial statement. They are indicated here for reference to the trial balance worksheet from Exhibit 4.2.

▶ **EXHIBIT 4.4 Statement of profit or loss and other comprehensive income (by nature basis)**

Items (a) and (b) are generated from the statement of profit or loss and other comprehensive income. The split between sources of that income is governed for regulated companies under the requirements of specific accounting standards:

- The general principle is that unless specified otherwise by a standard, all income or expense items will be taken to profit or loss.
- Exceptions provided in standards include movements in the foreign currency translation reserve and changes in the asset revaluation reserve. Such exceptions are the subject of later modules.

Item (c) will come from the ledger or trial balance and will normally be easily discerned. They can be automatically accumulated in accounting packages.

For Great Stationery, the statement of changes in equity would simply show the injection of equity at the beginning of operations (HK$10,000) and the total comprehensive income for the period of HK$8,000. There were no dividends or movements in reserves. (See Exhibit 4.5.)

**Great Stationery Limited**
**Statement of Changes in Equity**
**As at 31 March 20X8**

| | Share capital HK$ | Other equity HK$ | Other reserves HK$ | Retained earnings HK$ | Total equity HK$ | Account Number* |
|---|---|---|---|---|---|---|
| **Balance at 1 April 20X7** | **0** | **0** | **0** | **0** | **0** | |
| Contribution of equity during period | 10,000 | | | | | #3000 |
| Profit for period | | | | 8,000 | | #3010 |
| Other comprehensive income | | | | 0 | | |
| Total comprehesive income for period | | | | 8,000 | | |
| Balance at 31 March 20X8 | 10,000 | 0 | 0 | 8,000 | 18,000 | |

* These account numbers are not part of financial statement. They are indicated here for reference to the trial balance worksheet from Exhibit 4.2.

**EXHIBIT 4.5 Statement of changes in equity**

### 4.3.2.3 Statement of Financial Position

The date at the top of the statement of financial position shows when the report was created, often at the end of the fiscal year. The statement of financial position is built based on the basic accounting equation, which is:

$$\boxed{\text{Assets} = \text{Equity} + \text{Liabilities}}$$

or

$$\boxed{\text{Equity} = \text{Assets} - \text{Liabilities}}$$

The logic of the former is that assets are funded either by shareholders or by lenders. The logic of the latter is that the interest of equity is equal to the net assets held.

The statement of financial position includes:

- **Assets:** Including totals for cash, trade receivables, inventory, prepaid expenses and property, plant and equipment.
- **Liabilities:** Including payable balances, such as trade payables, accrued expenses, taxes payable, short-term borrowings and long-term borrowings.
- **Equity:** Including what has been invested by shareholders and retained earnings (the results of operation since inception).

***Standard Statement of Financial Position Classifications***

In Hong Kong, the preparation of financial statements, particularly for publicly-listed companies but also for limited companies and other types of businesses, is generally guided by the Hong Kong Accounting Standard 1 (HKAS 1) that was revised in 2017.

The standard sets out the 'basis for presentation of general purpose financial statements to ensure comparability' both with earlier periods and with the statements of other companies.

The statement of financial position provides a complete snapshot of the financial condition of a company and includes information on a range of items from the cash position to liabilities and the equity owned by the company. Much of this information is expanded upon in further documents, but the statement of financial position should give anybody who reads it a clear picture of where a company stands at a particular period in time. Because the statement of financial position is, in its final form, presented at the end of a reporting period, it is tied to a very specific time frame.

There are two broad types of statements of financial position, classified and non-classified.

A **classified statement of financial position** not only includes all the main categories of a typical statement of financial position, but also separates the assets and liabilities of the company into 'current' and 'non-current' (or long-term). This approach of separating the information allows companies to provide additional details about their net worth and liquidity. An example of a classified statement of financial position is shown in Exhibit 4.6.

For example, Great Stationery is in a good position when the value of its cash and the inventory it has on hand for immediate sale are greater than the value of any short-term loans it may have taken out. Or, to put it another way, the company is in a good liquidity position when the value of easy-to-liquidate assets is greater than the current liabilities of the company.

Exhibit 4.6 shows a classified statement of financial position of Great Stationery after a year of operation.

| Great Stationery Limited<br>Statement of Financial Position<br>As at 31 March 20X8 | | | |
|---|---|---|---|
| | **HK$** | **HK$** | **Account Number*** |
| **ASSETS** | | | |
| **Non-current Assets** | | | |
| Property, plant and equipment | | 13,000 | #1020–#1051 |
| **Current assets** | | | |
| Inventory | 40,000 | | #1063 |
| Trade receivables | 40,000 | | #1070 |
| Prepayments | 10,000 | | #1065 |
| Cash at bank | 32,800 | 122,800 | #1091 |
| **Total assets** | | 135,800 | |
| **EQUITY AND LIABILITIES** | | | |
| **Equity** | | | |
| Share capital | | 10,000 | #3000 |
| Retained earnings | | 8,000 | #3010 |
| **Total equity** | | 18,000 | |
| **Non-current Liabilities** | | | |
| Long term loans | | 50,000 | #2000 |
| **Current Liabilities** | | | |
| Trade payables | 50,000 | | #2020 |
| Salaries payable | 6,300 | | #2010 |
| Deferred revenue | 10,000 | | #2040 |
| Current tax payable | 1,500 | 67,800 | #2050 |
| **Total liabilities** | | 117,800 | |
| **Total equity and liabilities** | | 135,800 | |

* These account numbers are not part of financial statement. They are indicated here for reference to the trial balance worksheet from Exhibit 4.2.

Note: Within each classification, items are shown from least liquid to most liquid. Other orderings are permitted under HKAS.

▶ **EXHIBIT 4.6 Statement of financial position**

**Unclassified statements of financial position** differ in that they do not separate the information into classes. This is a simpler statement to produce ultimately, but may not be as informative for management or any outside parties, such as investors. Most companies use the classified statements of financial position.

### *Current versus Non-Current Classification*

Assets and liabilities are classified as current (usually due to be realised in the next 12 months) and non-current (to be realised over more than 12 months).

Within the current and non-current classifications, assets and liabilities are further analysed either by nature or function. Regardless of whether the statement of financial position is classified or unclassified, accounting standards set down a list of line items to be included and those line items commonly used by entities.

HKAS 1 outlines line items that should be included in the statement of financial position:

**Assets**

a. Property, plant and equipment;
b. Investment property;
c. Intangible assets;
d. Financial assets (excluding amounts shown under [e], [h] and [i]);
e. Investments accounted for using the equity method;
f. Biological assets with the scope of HKAS 41 *Agriculture*;
g. Inventories;
h. Trade and other receivables;
i. Cash and cash equivalents;
j. The total assets classified as held for sale and disposal groups held for sale in accordance with HKFRS 5 *Non-current Assets Held for Sale and Discontinued Operations*;

**Liabilities**

k. Trade and other payables;
l. Provisions;
m. Financial liabilities (excluding amounts shown under [k] and [l]);
n. Liabilities and assets for current tax, as defined in HKAS 12, *Income Taxes*;
o. Deferred tax liabilities and deferred tax assets, as defined in HKAS 12;
p. Liabilities included in disposal groups classified as held for sale in accordance with HKFRS 5;

**Equity**

q. Non-controlling interests presented within equity; and
r. Issued capital and reserves attributable to shareholders of the parent.

As indicated above, there is no set way or order to present all these items, at least not under HKAS 1. Rather, the standard sets out all the information that should be included in a statement of financial position to make it sufficiently informative.

One example is property, plant and equipment (PPE), which might cover several accounts in the ledger that make up the total for PPE (e.g. motor vehicles, tramways, cranes). That PPE might be further analysed by function. For example, PPE might be attributed to manufacturing, administration or distribution. In the notes to the financial statements, a greater level of disaggregation will often take place (e.g. showing the breakdown of PPE).

One option for presentation is to list assets in order of liquidity, while liabilities are listed in the order in which they are to be paid.

### 4.3.2.4 Statement of Cash Flows

The statement of cash flows provides a contrast to the accrual-based statement of profit or loss and other comprehensive income. It provides information on the sources and applications of cash (and near-cash items – cash equivalents). This complements the statement of profit and loss and comprehensive income and the statement of financial position.

Cash flows are attributed to operating activities, investing activities and financing activities. This enables users to see to what degree the company is self-financing, and the relativity of that operating to the expansion or contraction of financing and investing activities.

It is important for companies to have a firm grasp on cash flows. Great Stationery may have enough sales to be considered a success, but if it isn't receiving cash for those sales, the company will be unable to pay its employees and suppliers when their entitlements are due. Errors in timing and in calculating the amounts of cash flow transactions can quickly disrupt and even bankrupt a company.

***Two Methods of Determining Cash Flows***

The **direct method** seeks to systematically track all transactions and events that involve cash movements. This can be achieved by appropriate coding of input data to distinguish cash transactions from accrual entries, or it might be worked out from cash-based accounting before it is amended by adjusting entries.

The **indirect method** is used to deduce what cash flows will have occurred by working from accrual-based balances to what cash flows must have occurred. The prime example of this is to calculate cash flow from operating activities by adjusting profit for the year for non-cash transactions (e.g. depreciation).

The direct method is illustrated for Great Stationery in Exhibit 4.7. The indirect method is then shown in Exhibit 4.8.

**Great Stationery Limited**
**Statement of Cash Flows**
**For the year ended 31 March 20X8**

| | HK$ | HK$ | Reference from / Account number* |
|---|---|---|---|
| **Cash flows from operating activities** | | | |
| Cash receipts from customers | 70,000 | | Assume |
| Cash paid to suppliers | (15,000) | | Assume |
| Cash paid for other operating expenses | (66,200) | | **Refer to details below |
| Cash generated from operations | (11,200) | | |
| Interest paid | (1,000) | | |
| **Net cash used in operating activities** | | (12,200) | |
| **Cash flows from investing activities** | | | |
| Purchase of property, plant and equipment | | (15,000) | |
| **Cash flows from financing activities** | | | |
| Proceeds from issue of shares | 10,000 | | |
| Proceeds from borrowings | 50,000 | | |

▶ **EXHIBIT 4.7 Statement of cash flows – direct method**

**Great Stationery Limited**
**Statement of Cash Flows**
**For the year ended 31 March 20X8**

| | | |
|---|---|---|
| **Net cash from financing activities** | 60,000 | |
| Net increase in cash and cash equivalents | 32,800 | |
| Cash and cash equivalents at beginning of period | 0 | |
| Cash and cash equivalents at end of period | 32,800 | Note [A] |

** Details of cash paid for other operating activities

| | Net cash | Expense | Account number* | Accrual | Account number* |
|---|---|---|---|---|---|
| Salary | (23,700) | (30,000) | #5000 | 6,300 | #2010 |
| Rent | (20,000) | (20,000) | #5130 | | |
| Advertising | (1,000) | (1,000) | #5002 | | |
| Utilities | (1,500) | (1,500) | #5140 | | |
| Distribution costs | (20,000) | (20,000) | #5120 | | |
| Total | (66,200) | (72,500) | | 6,300 | |

Note: Depreciation expense is non-cash item so it will not be shown under statement of cash flows.

* These account numbers are not part of financial statement. They are indicated here for reference to the trial balance worksheet from Exhibit 4.2.

Note [A]: The ending cash balance should tie to the cash at bank items from the statement of financial position.

▶ **EXHIBIT 4.7** ***(Continued)***

**Great Stationery Limited**
**Statement of Cash Flows**
**For the year ended 31 March 20X8**

| | HK$ | HK$ | Reference from / Account Number* |
|---|---|---|---|
| **Cash flows from operating activities** | | | |
| Profit before taxation | | 10,500 | Exhibit 4.4 |
| Adjustments for: | | | |
| Depreciation | 2,000 | | #1051 |
| Increase in trade receivables | (40,000) | | #1070 |
| Increase in inventory | (40,000) | | #1063 |
| Increase in prepaid expenses | (10,000) | | #1065 |
| Increase in trade payables | 50,000 | | #2020 |
| Increase in employee benefits obligations | 6,300 | | #2010 |
| Increase in deferred revenue | 10,000 | (21,700) | #2040 |
| Interest paid | | (1,000) | #6010 |
| Income tax paid | | 0 | |
| **Net cash from operating activities** | | (12,200) | |
| **Cash flows from investing activities** | | | |
| Purchase of property, plant and equipment | | (15,000) | #1020 |

▶ **EXHIBIT 4.8** **Statement of cash flows – indirect method**

| Great Stationery Limited<br>Statement of Cash Flows<br>For the year ended 31 March 20X8 | | | |
|---|---|---|---|
| **Cash flows from financing activities** | | | |
| Proceeds from long term loans | 50,000 | | #2000 |
| Proceeds from issuance of share capital | 10,000 | | #3000 |
| **Net cash from financing activities** | | 60,000 | |
| Net increase in cash and cash equivalents | | 32,800 | |
| Cash and cash equivalents at beginning of period | | 0 | |
| Cash and cash equivalents at end of period | | 32,800 | Note [A] |

* These account numbers are not part of financial statement. They are indicated here for reference to the trial balance worksheet from Exhibit 4.2.

Note [A]: The ending cash balance should tie to the cash at bank items from the statement of financial position.

**EXHIBIT 4.8 (*Continued*)**

In theory these two methods should come to the same cash flows, though the former is capable of achieving the required classifications more accurately and in more detail.

### Key Learning Point

The basic financial statements are the statement of profit or loss and other comprehensive income, the statement of financial position, the statement of changes in equity and the statement of cash flows. These financial statements are generated from the ledger, after posting adjusting entries to achieve a full accrual accounting for all elements of the financial statements.

## Knowledge Check Questions

**Question 8**

Justify why the accrual basis of accounting would recognise revenue when a product is delivered to a client, even if the client does not pay the invoice for 30 days.

**Question 9**

Justify why companies should provide comparative information in financial statements.

**Question 10**

Identify which of the following cannot be assessed by users using the statement of cash flows.

**A** The ability of a company to remain liquid.
**B** The major sources of cash receipts during the period.
**C** The company's profitability.
**D** The reasons why net cash flows from operating activities differ from profit before tax.

# 4.4 CLOSING THE BOOKS

A **closing entry** is made at the end of an accounting period. The purpose of the closing entry is to bring the temporary accounts (income and expense account balances) to zero in the general ledger. In a closing entry, the data is moved from the statement of profit or loss and comprehensive income into the statement of financial position through the equity account.

Permanent accounts, such as asset, liability and equity accounts, are not adjusted to zero when the books are closed. Instead, these account balances are carried over into the next accounting period.

## 4.4.1 Preparing Closing Entries

Closing entries have some important purposes in financial reporting and have to be prepared carefully to ensure their accuracy. Closing entries bring the balance of income or expense accounts to zero and transfer the net balance to retained earnings account.

The **income summary** is an account used in the closing process. When temporary (income and expense) account balances are adjusted to zero, the balances are moved to the income summary. Once all temporary account balances are closed, the income summary balance is moved into retained earnings.

To close the books, it is also important to remember the debit and credit rules explained in Chapter 3. Specifically, income accounts typically carry a credit balance, while expense accounts have a debit balance.

For most companies, four steps are needed to prepare closing entries:

1. The first is to debit (reduce) each income account to zero and credit the income summary for total income.
2. The second is to debit the income summary for total expenses and then credit (reduce) each expense account to zero.
3. The third step is to debit the income summary for total income and credit the retained earnings account for any income earned.
4. Fourth, credit the income summary for total expenses and debit the retained earnings account for expenses incurred.

The net result is that the retained earnings account is debited for all expenses, and credited for all income, and the difference between income and expenses is profit or loss.

The shareholders may retain earnings for use in the company, or pay a share of earnings as a dividend. Cash dividends paid reduce the equity balance.

Below is the illustration of the closing entries for Great Stationery as of 31 March 20X8:

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X8** | | **HK$** | **HK$** |
| 31 March | Sales | 100,000 | |
| | Income summary | | 100,000 |
| | (To close revenue accounts) | | |
| 31 March | Income summary | 92,000 | |
| | Cost of sales | | 15,000 |
| | Depreciation expense | | 2,000 |
| | Rent expense | | 20,000 |
| | Advertising expense | | 1,000 |
| | Utilities expense | | 1,500 |
| | Distribution expense | | 20,000 |
| | Salary expense | | 30,000 |
| | Interest expense | | 1,000 |
| | Income tax expense | | 1,500 |
| | (To close expenses accounts) | | |
| 31 March | Income summary | 8,000 | |
| | Retained earnings | | 8,000 |
| | (To close the books and post profit to equity) | | |

### 4.4.2 Posting Closing Entries

The aim of **closing entries** is to ensure that all temporary account balances have been adjusted to zero. Ideally, once the books are closed, there are no further accounting entries required for the period.

Note that the income summary is not reported on any financial statements, because it is only used during the closing process, and at the end of the closing process the account balance is zero. The income summary effectively collects net profit for the period and distributes the amount into retained earnings.

### 4.4.3 Preparing a Post-Closing Trial Balance

A trial balance verifies that the total dollar amount of debits equals credits, both before and after adjusting journal entries. If the totals do not balance, there is at least one journal entry that does not balance debits and credits, or some other types of error. Fortunately, accounting software prevents users from posting an unbalanced journal entry.

Firms periodically prepare trial balances, usually at the end of each reporting period, and after all temporary accounts in the general ledger are closed.

Exhibit 4.9 provides an example of a post-closing trial balance.

| Great Stationery Limited<br>Post-closing Trial Balance<br>As at 31 March 20X8 | | | |
|---|---|---|---|
| **Account** | **Account No.** | **Debit HK$** | **Credit HK$** |
| Equipment | 1020 | 15,000 | |
| Inventory | 1063 | 40,000 | |
| Trade receivables | 1070 | 40,000 | |
| Prepaid rent | 1065 | 10,000 | |
| Cash at bank | 1091 | 32,800 | |
| Accumulated depreciation – equipment | 1051 | | 2,000 |
| Share capital | 3000 | | 10,000 |
| Retained earnings | 3010 | | 8,000 |
| Long term loans | 2000 | | 50,000 |
| Trade payables | 2020 | | 50,000 |
| Salaries payable | 2010 | | 6,300 |
| Deferred revenue | 2040 | | 10,000 |
| Income tax payable | 2050 | | 1,500 |

▶ **EXHIBIT 4.9 Post-closing trial balance**

The post-closing trial balance lists only the statement of financial position accounts (permanent accounts) with a balance other than zero. The debit and credit amount columns are added, and the totals should be identical.

Current accounting software will likely generate a post-closing trial balance or any other trial balance with the click of a mouse. Trial balances are likely to be in balance as manual calculations have been eliminated.

## Key Learning Point

The aim of closing entries is to ensure that all temporary account balances have been adjusted to zero. Ideally, once the books are closed, there are no further accounting entries required for the period.

The income summary is an account used in the closing process. When temporary (income and expense) account balances are adjusted to zero, the balances are moved to the income summary. Once all temporary account balances are closed, the income summary balance is moved into retained earnings.

The post-closing trial balance lists only the statement of financial position accounts (permanent accounts) with a balance other than zero. The debit and credit amount columns are added, and the totals should be identical.

## ▶ Knowledge Check Questions

**Question 11**

Justify why the income summary is not an account posted to the financial statements.

**Question 12**

Contrast temporary accounts and permanent accounts, based on where these accounts are posted in the financial statements.

## SUMMARY

- Management of a business keeps track of how the business is doing through a series of accounting records and statements that track the performance of the business.
- Cash basis accounting recognises cash that is paid to and paid by an entity. It does not recognise the full economic consequences of a transaction.
- The accrual basis method of accounting recognises the full economic consequences of transactions. For example, revenues are recognised when they are earned by an entity. Expenses are recognised as they are incurred.
- Companies, large and small, prepare financial statements on a periodic basis through a multi-layered process that starts with journal entries when a transaction takes place, and ends when the transaction is recorded in the financial statements at the end of the accounting cycle.
- The accounting cycle covers the entire process of recording and processing a company's accounting events.
- The trial balance is adjusted for one of several reasons, including when a transaction took place, rather than when cash changed hands.
- To ensure accuracy, the trial balance is adjusted through adjusting entries and then closed using closing entries.
- Businesses produce complete financial statements that include a statement of profit or loss and other comprehensive income, a statement of changes in equity, a statement of financial position, a statement of cash flows, and notes with explanatory information.
- The statement of profit or loss and other comprehensive income is formulated with data on income and expenses, the cost of doing business, staff costs, taxes and any other income and expenses that go into the operation of a business.
- The aim of closing entries is to ensure that all transactions have been posted, and that all temporary account balances have been adjusted to zero. Ideally, once the books are closed, there are no further accounting entries required for the period.

## MIND MAP

**PERIOD END PROCEDURES**

**PERIOD END ADJUSTMENTS**

**Accrual versus cash basis accounting**
- Adjusting entries
- Reversing entries
- Cut-off procedures at period end
- Other actual entries at period end

**Revenue and expense recognition**
- Revenue
- Expenses

**THE ROLE OF THE TRIAL BALANCE AND DRAFT FINANCIAL STATEMENTS**

**The role of the trial balance**

**Preparing financial statements**
- The chart of accounts
- Statement of profit or loss and other comprehensive income
- Statement of changes in equity
- Statement of financial position
- Statement of cash flows

**THE BASICS OF ADJUSTING ENTRIES**

**Closing entries**

**Preparation of financial statements**

**Example of adjusting entries**
- Accruals of expenses
- Prepaid expenses
- Deferred revenue
- Accrued revenue

**Locating and correcting errors**
- Suspense accounts
- Finding errors in other accounts
- Bank reconciliations
- Other reconciliations

## ▶ Answers to Knowledge Check Questions

### Question 1

Answer A is incorrect as no cash was paid in March. Cash basis method of accounting posts the expense when cash is paid for the wood in April.

Answer B is correct. Cash basis method of accounting posts the expense when cash is paid for the wood in April.

Answer C is incorrect as no cash was paid in May. Cash basis method of accounting posts the expense when cash is paid for the wood in April.

Answer D is incorrect. Under the cash basis method of accounting, the expense is posted when cash is paid for the wood in April. The cost does not have to be deferred.

### Question 2

The accrual basis of accounting, which should be used by all businesses, requires Great Stationery to match the cost of the inventory item with the revenue earned. Since the revenue is earned when the items are sold in June, the cost of the inventory should also be expensed in June.

### Question 3

Cash basis accounting only deals with incoming and outgoing cash. It does not record the economic effects of a transaction. Accrual accounting practices provide a better picture.

### Question 4

The accrual basis method of accounting recognises revenue when earned and expenses when they are incurred to generate revenue. The cash basis method of accounting, on the other hand, posts revenue when cash is received and posts expenses when cash is paid.

All businesses should use the accrual basis method, because it matches revenue with expenses, regardless of the cash inflows and outflows. They will come to the same answers if the revenue and expense and cash is received and paid in the same month under both systems.

**Question 5**

The answer is D. HK$11,670 = HK$27,900 − HK$17,340 − HK$2,700 − HK$1,440 + HK$3,300 + HK$1,950.

**Question 6**

Answer A is incorrect because adjusting entries are not only restricted to the retained earnings account.

Answer B is incorrect because adjusting entries are usually carried out at the end of an accounting period (i.e. monthly, quarterly, yearly).

Answer C is correct because this basic accounting principle defines the accrual accounting basis.

Answer D is incorrect because adjusting entries involve two or more accounting periods.

**Question 7**

Adjusting entries are posted to categorise income and expense transactions into the proper accounting period, regardless of when the cash inflows and outflows occur. An adjusting entry affects both statement of financial position accounts (asset and liability accounts), and statement of profit or loss accounts (income and expense accounts).

**Question 8**

The accrual basis of accounting recognises revenue when the sale process is complete. When a product is delivered to a client, the sales process is complete and revenue should be posted. The accrual basis disregards when the invoice is paid in cash.

**Question 9**

Comparative information helps a reader of the financial statements obtain additional information about a company. For example, comparative information will inform a reader as to whether a company is more or less profitable than the previous year, whether its revenue is increasing or decreasing, or whether its bank balances have improved or deteriorated.

**Question 10**

Answer A is incorrect because the statement of cash flows can reflect a company's cash liquidity account.

Answer B is incorrect because the statement of cash flows presents the sources of cash flows from various sources, such as operating activities.

Answer C is correct because a company's profitability is reflected in the statement of profit or loss and other comprehensive income.

Answer D is incorrect because the statement of cash flows reconciles the profit before tax with the operating cash flows.

**Question 11**

It is an account used in the closing process. When temporary (income and expense) account balances are adjusted to zero, the balances are moved to the income summary. Once all temporary account balances are closed, the income summary balance is moved into retained earnings.

Since the income summary never has an account balance after the books are closed, it is not included in the financial statements.

**Question 12**

Temporary accounts, including income and expense accounts, are posted to the statement of profit or loss and other comprehensive income. Permanent accounts, including assets, liabilities and equity, are posted to the statement of financial position.

## EXAM PRACTICE

### QUESTION 1

Identify operating activities as defined by the accounting standard on the statement of cash flows.

**A.** Activities that result in changes in the size and composition of equity.
**B.** Activities that are the principal revenue-producing activities of the entity and other activities that are not investing or financing activities.
**C.** Activities that result in the acquisition and disposal of non-current assets and other investments not included in cash equivalents.
**D.** Activities that see shareholders invite other people to contribute equity to the company.

### QUESTION 2

Identify which of these definitions best matches the definition of shareholders in the accounting standard on the presentation of financial statements.

**A.** Shareholders are people who buy goods from the company.
**B.** Shareholders are people to whom the company owes credit.
**C.** Shareholders are holders of instruments that are classified as equity.
**D.** Shareholders do not have an interest in an entity's overall performance.

### QUESTION 3

Determine which of the following financial statements reflects equity items.

**A.** Statement of cash flows.
**B.** Statement of financial position.
**C.** Statement of profit or loss and other comprehensive income.
**D.** Internal management budget documents.

## QUESTION 4

On 5 October 20X7, Great Stationery pays a total of HK$1,000 to workers. The payment represents wages that were earned in the last week of September. Prepare the journal entry on 5 October 20X7.

**A.** Debit cash at bank HK$1,000, credit salaries payable HK$1,000.
**B.** Debit salaries payable HK$1,000, credit cash at bank HK$1,000.
**C.** Debit salary expense HK$1,000, credit salaries payable HK$1,000.
**D.** Debit salaries payable HK$1,000, credit salary expense HK$1,000.

## QUESTION 5

Determine which of the following is a common example of a prepaid expense:

**A.** Salaries
**B.** Utilities
**C.** Taxes
**D.** Insurance

## QUESTION 6

Explain what is meant by the term 'cash flows'.

## QUESTION 7

Analyse the purpose of notes in financial statements.

## QUESTION 8

JKL Company has a 31 March year-end. The major items of the trial balance as at 31 March 20X7 before adjustments are as follows:

| | Debits | Credit |
|---|---|---|
| | HK$ | HK$ |
| Assets | 4,770 | |
| Liabilities | | 2,340 |
| Revenue | | **14,190** |
| Expenses | 13,520 | |
| Equity | | 1,760 |
| Total | 18,290 | 18,290 |

**Required:**

(a) The company recorded a sale for HK$980 shortly before the year-end which hadn't been paid for by the year-end. It was subsequently noted that the sale price should have been HK$890. Prepare the adjusting entries that should be processed to correct this error, and compute what the adjusted revenue and assets in the adjusted trial balance will be.

(b) The company had purchased furniture, which was expected to be used for several years. The cost of the furniture was HK$1,380. This purchase, which was paid for in January 20X8, had not been recorded in the trial balance. Identify the adjusting entry that should be processed to correct this omission. Calculate the correct assets and liabilities in the adjusted trial balance.

(c) List the accounts from the trial balance to be included in the statement of financial position and the statement of profit or loss and other comprehensive income.

(d) Determine the amounts shown in the post-closing trial balance after all closing entries have been processed.

(e) Determine the amounts that will be carried forward to the year ending 31 March 20X8.

## QUESTION 9

Mr. Lee runs a flower shop. The following trial balance is extracted from the accounts on 31 December 20X8:

| | Debit | Credit |
|---|---|---|
| | HK$ | HK$ |
| Trade receivables and trade payables | 126,504 | 64,698 |
| Capital as at 1 January 20X8 | | 142,360 |
| Carriage inwards | 660 | |
| Carriage outwards | 752 | |
| Bank balances | 22,208 | |
| Cash | 3,806 | |
| Discounts allowed | 6,276 | |
| Discounts received | | 8,208 |
| Drawings | 11,586 | |
| Electricity | 1,928 | |
| Furniture and fixtures | 42,412 | |
| Inventory as at 1 January 20X8 | 56,490 | |
| Loan from Bill repayable in 20X0 | | 28,960 |
| Purchase | 189,756 | |
| Rates | 2,894 | |
| Rent expense | 5,310 | |
| Repair and maintenance expense | 1,446 | |
| Purchase returns | | 2,890 |
| Salary expense | 7,240 | |
| Sales | | 232,152 |
| | 479,268 | 479,268 |

Additional Information:

(i) Inventory as at 31 December 20X8, HK$24,000.

(ii) Prepayments: Rent HK$800; Electricity HK$500.

Accruals: Rates HK$240; Repair and maintenance HK$114.

(iii) 20% of the rental fee belongs to Lee's private expenses.

(iv) The loan interest for this year has not yet been paid, and the interest rate is 10%.

**Required:**

Prepare the statement of profit or loss and other comprehensive income for the year ended 31 December 20X8.

## ANSWERS TO EXAM PRACTICE

### QUESTION 1

Answer A is incorrect because activities that result in changes in the size and composition of equity relate to investing.

Answer B is correct because operating activities are not investing or financing activities and are the principal revenue-producing activities of the entity.

Answer C is incorrect because activities that result in the acquisition and disposal of non-current assets and other investments relate to investing and financing.

Answer D is incorrect because activities that see shareholders invite other people to contribute equity relate to investing.

### QUESTION 2

Answer A is incorrect because customers are people who buy goods from the company.

Answer B is incorrect because creditors are people to whom the company owes credit.

Answer C is correct because shareholders are holders of instruments that are classified as equity.

Answer D is incorrect because shareholders have a strong interest in an entity's overall performance.

### QUESTION 3

Answer A is incorrect because the statement of cash flows relates to cash not equity.

Answer B is correct because the statement of financial position illustrates that Assets = Liabilities + Equity.

Answer C is incorrect because the statement of profit or loss and other comprehensive income does not reflect equity items.

Answer D is incorrect because internal management budget documents relate to revenue and expenses, not equity items.

### QUESTION 4

Answer A is incorrect. Salaries payable must be debited, not credited. Cash must be credited, not debited. This answer option reverses the transactions.

Answer B is correct. Great Stationery posts an expense and a payable in September, so that the wage expense is posted when the expense is incurred. On 5 October 20X7, the payable is removed with a debit entry, and cash is reduced with a credit entry.

Answer C is incorrect. The journal entry should debit salaries payable instead of debiting salary expense. The payment of wages is recorded with a credit entry to cash at bank.

Answer D is incorrect. While the journal entry should indicate that salaries payable should be debited, it is incorrect to credit salary expense. The payment of wages is recorded with a credit entry to cash at bank.

### QUESTION 5

Answer A is incorrect. Salaries are typically paid after work has been completed. For example, it is common for a pay cheque to compensate an employee for work completed in a pay period that ends on or just before pay day.

Answer B is incorrect. Utility payments are based on actual usage, so they must be billed and paid for after consumption.

Answer C is incorrect. Taxes are paid according to financial results over a specific period. They cannot be paid in advance because it is not possible to know how much an entity owes before the period ends and final reporting is complete.

Answer D is correct. By design, insurance is paid in advance. Insurance payments guarantee coverage against events that might happen but have not occurred. The payment is made in advance and the insurance company keeps payments whether or not an event occurs.

## QUESTION 6

Cash flows are the inflows and outflows of cash and cash equivalents to and from the company.

## QUESTION 7

Notes in financial statements contain additional information that clarifies figures or narrative disclosures presented in the financial statements. Notes may also contain materials that cannot be presented in the financial statements.

## QUESTION 8

Calculations and answers are as follows:

(a) Sales (which is included in revenue) and accounts receivable (which is included in assets) are both overstated by HK$90 (HK$980 − HK$890). The adjusting entry is as follows:

| | Dr. HK$ | Cr. HK$ |
|---|---|---|
| Revenue | 90 | |
| Accounts receivable | | 90 |
| Correction of credit sales being overstated. | | |

The adjusted amount for assets will be HK$4,680 (HK$4,770 − HK$90), and for revenue it will be HK$14,100 (HK$14,190 − HK$90).

(b) Assets and liabilities are both understated by HK$1,380 for a transaction that should have been recorded in the 31 December 20X7 trial balance. The adjusting entry is as follows:

| | Dr. HK$ | Cr. HK$ |
|---|---|---|
| Property, plant and equipment | 1,380 | |
| Accounts payable | | 1,380 |
| Correction of omission of furniture and accounts payable account. | | |

The adjusted amounts are property, plant and equipment HK$6,060 (HK$4,680 + HK$1,380) for asset item and accounts payable HK$3,720 (HK$2,340 + HK$1,380). As the furniture will be used for a number of years, its cost is regarded as an asset and not an expense.

(c) Assets, liabilities and equity are included in the statement of financial position. The statement of profit or loss includes revenue and expense accounts. For this purpose, equity also includes the differences between revenue and expense for the financial period.

(d) When the closing entries are processed, the revenue and expense amounts are transferred to equity. The equity amount will be HK$2,340 (HK$1,760 + HK$14,100 − HK$13,520), which is the same as the difference between assets and liabilities (HK$6,060 − HK$3,720). The closing entries are as follows:

| | Dr. HK$ | Cr. HK$ |
|---|---|---|
| Revenue | 14,100 | |
| Income summary | | 14,100 |
| (To close revenue accounts) | | |
| Income summary | 13,520 | |
| Expense | | 13,520 |
| (To close expenses accounts) | | |
| Income summary | 580 | |
| Equity | | 580 |
| (To close the books and post profit to equity) | | |

(e) Revenue and expense accounts start the year as zero as they relate to amounts for an annual period. The amounts carried forward in HK$ are as follows:

| | Debits | Credit |
|---|---|---|
| Assets | 6,060 | |
| Liabilities | | 3,720 |
| Equity | | 2,340 |
| Total | 6,060 | 6,060 |

## QUESTION 9

Calculations and answers are as follows:

| Mr. Lee | | | |
|---|---|---|---|
| **Statement of Profit or Loss and Other Comprehensive Income for the Year Ended 31 December 20X8** | | | |
| | **HK$** | **HK$** | **HK$** |
| Sales | | | 232,152 |
| Less: Cost of sales | | | |
| Opening inventory | | 56,490 | |
| Add: Purchase | 189,756 | | |
| Add: Carriage inwards | 660 | | |
| Less: Purchase returns | (2,890) | 187,526 | |
| | | 244,016 | |
| Less: Closing inventory | | (24,000) | (220,016) |
| **Gross Profit** | | | 12,136 |
| Add: Other revenue | | | |
| Discounts received | | | 8,208 |

| Mr. Lee | | |
|---|---|---|
| **Statement of Profit or Loss and Other Comprehensive Income for the Year Ended 31 December 20X8** | | |
| Less: Operating expenses | | 20,344 |
| Carriage outwards | 752 | |
| Discounts allowed | 6,276 | |
| Electricity (HK$1,928 – HK$500) | 1,428 | |
| Rates (HK$2,894 + HK$240) | 3,134 | |
| Rent (HK$5,310 – HK$800) x 80% | 3,608 | |
| Repair and maintenance (HK$1,446 + HK$114) | 1,560 | |
| Salary expense | 7,240 | |
| Interest expense (HK$28,960 x 10%) | 2,896 | (26,894) |
| **Net Loss for the Year** | | (6,550) |

# 5

# Cash and Bank Reconciliation

## CHAPTER TOPIC LIST

# LEARNING OUTCOMES

| PRINCIPAL LO3: PREPARE ACCOUNTING RECORDS, DEMONSTRATE MANAGEMENT AND CONTROL |
|---|
| **LO3.01: Apply the accounting equation to business transactions and prepare a trial balance** |
| **3.01.01** Prepare the following records of original entry from source records:<br>• Cash book<br>• Petty cash journal<br>• Sales and returns journal (#)<br>• Purchase and returns journal (#)<br>• General ledger journal (*) |
| **3.01.05** Prepare a bank reconciliation statement |

For the topics marked with (*), please refer to discussions in Chapter 3.
For the topics marked with (#), please refer to discussions in Chapter 7.

## OPENING CASE

# GREAT STATIONERY LIMITED, PART 5

In this digital age, few of Great Stationery Limited's ('Great Stationery') customers use notes or coins to pay for their purchases. Instead, many of them use electronic payments or credit cards and, in the case of corporate clients, some use cheques.

The Wong brothers appreciate that all these forms of payment are considered cash. Before they had employees, it was easy to keep track of the cash. But soon the Wong brothers found themselves hiring people to run their stationery store or deliver products. These employees handled cash from customers or set prices that led to more cash generation.

As with many businesses, however, Great Stationery learned the importance of careful internal controls the hard way. One of their first employees, someone they trusted, was stealing from the business. The employee was responsible for both managing cash and reconciling the bank statement. Having one person hold both of these roles was an internal control weakness that increased the risk of theft.

As a result, the Wong brothers had to put in place internal controls to prevent mistakes and fraud. Without such controls, Great Stationery's operations and the quality of their reporting could suffer.

To do this, they sought some advice from their accountant. She informed them of the basic principles that effective systems of internal control had to meet, including:

- Establishing systems of responsibility for employees;
- Segregating duties so that different people were responsible for managing cash and record keeping; and
- Setting up documentation procedures to facilitate the tracking of cash.

In the end, the Wong brothers decided to allow only one person at a time to handle cash. That person used a cash register to track the direction in which cash was flowing. Software made it possible to match sales against cash received, ensuring better internal controls.

## OVERVIEW

Most businesses receive and pay cash in its many forms. Cash is the most liquid asset and it can be used quickly to pay debts or make purchases. Cash exists and moves in more forms than notes and coins. It also includes cheques, credit card, electronic transfers, bank deposits and other short-term liquid holdings.

The cash account is an important component of bookkeeping and accounting. For most businesses, the cash account has the greatest number of monthly transactions, and the sheer volume of activity increases the risk of error and theft.

As such, it is important to develop and put in place effective cash controls to ensure reliable financial reporting, efficient operations and compliance with laws and regulations. These controls include: establishing clear responsibilities, segregating duties, strong documentation procedures, controlling the flow of physical cash and use of information technology, carrying out independent checks and putting in place human resource controls. Controls should be put in place over both cash receipts and payments.

Cash is often used to make small payments that are necessary for the everyday running of a business. These payments often come out of a petty cash account. While it is typically small, keeping track and managing this account effectively is also necessary.

Most organisations use bank accounts to manage their cash. Organisations often have multiple bank accounts to better track different aspects of an organisation. Part of the recording and reporting process is keeping track of the bank accounts and reconciling cash balances for each bank statement.

That reconciliation is to agree the cash at bank with the recorded cash in the ledgers, and takes into account that cheques issued to suppliers may not have been banked by them and that deposits made by the company may not be attributed to the company's account for that period.

Cash at bank (or, more precisely, cash and cash equivalents) is also reported in financial statements, specifically in the statement of financial position and the statement of cash flows.

## 5.1 THE CASH ACCOUNT

Most companies collect cash as payment for the goods and services they sell. All this cash is recorded in a company's **cash account**, which shows the amount of cash the company has at any given time to meet current obligations.

Cash is the most liquid asset and is used to pay debts as and when they fall due as well as to make purchases for a company. Other assets such as property will take time to turn into cash.

## 5.1.1 What Is Cash?

From an accounting perspective, **cash** consists of coins, notes (paper money), cheques, money orders, travellers' cheques and funds held in a bank account. Cash transactions can take place in digital forms. For example, electronic payments and credit card payments are considered to be cash transactions.

Cash is a shortened reference to cash and **cash equivalents**. Cash equivalents are defined in HKAS 7 as short-term, highly liquid investments that are readily converted to known amounts of cash and which are subject to an insignificant risk of changes in value. Cash equivalents typically include term deposits and treasury bills that can be converted into cash at the end of a period of maturity.

## 5.1.2 Sources and Uses of Cash

Organisations receive cash from a variety of sources. These include:

- Cash sales;
- Collections on account from customers;
- Receipt of interest, dividends and rents;
- Investments by shareholders;
- Bank and other loans; and
- Proceeds from the sale of property, plant and equipment.

### Illustrative Example 1

Suppose that on 8 May 20X9 Great Stationery receives the following from stationery sales: bank notes HK$100, cheque HK$50 and coins HK$2. Because cash, cheques and coins increase the cash account, Great Stationery posts this journal entry.

Remember that cash is an asset. In this situation you are accounting for the inflow of an asset in exchange for products that have been sold for consideration to customers.

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X9** | | | **HK$** | **HK$** |
| 8 May | Cash at bank | #1091 | 152 | |
| | Sales | #4010 | | 152 |
| (Recording cash sales on stationery) | | | | |

### Illustrative Example 1 *(continued)*

Great Stationery also pays cash for various purchases. These include:

- Inventories for sales;
- Payments for purchases on credit;
- Payments of interest, dividends and rents;
- Cash withdrawn or drawings by owners;
- Repayment of bank and other loans; and
- Purchases of property, plant and equipment.

### Illustrative Example 2

Suppose that on 9 June 20X9, Great Stationery pays the following from stationery purchases: bank notes HK$200, cheque HK$500 and coins HK$20. Because payments of cash, cheques and coins decrease the cash account, Great Stationery posts this journal entry.

In this situation you are accounting for the outflow of an asset in exchange for products purchased that will be sold for consideration to customers.

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X9** | | | **HK$** | **HK$** |
| 9 June | Inventory | #1063 | 720 | |
| | Cash at bank | #1091 | | 720 |
| (Recording cash purchases of stationery) | | | | |

### Key Learning Point

Cash is an asset, and businesses collect cash from customer sales and use cash to pay employees and vendors. The cash account includes notes, coins, cheques and other forms of payment.

### ▶ Knowledge Check Questions

**Question 1**

Identify the item that is not included in the cash balance:

**A** Bank notes

**B** Cheques

**C** Investments in shares

**D** Coins

**Question 2**

Explain why cash is regarded as the most liquid asset.

## 5.2 CASH CONTROLS

Accountants within a company will use a range of control accounts and accounting procedures to ensure that flow of cash into the business from customers, and also the movement of cash within the business is appropriately recorded in company records.

There are separate modules in this course that focus on **internal control** processes and corporate governance. It is important, however, that you understand that the accounting for cash movements will need to be in accordance with various risk management and internal control policies to ensure it is properly and ethically run. Those policies will also address other assets besides cash and other risks.

### 5.2.1 Accounting for Cash

The objective of accounting controls around cash and cash equivalents is to ensure that recording is complete (covers all cash) and accurate. These controls also contribute to the internal controls over cash that are designed to mitigate the risk of error, theft and fraud.

Generally, accounting and other controls for cash receipts are more effective when all cash receipts are deposited intact (that is, without being used to make payments) in the **bank account** without delay (usually daily):

- Co-mingling cash receipts and payments can lead to accounting errors, and make it difficult to trace cash movements back to transactions.
- Delays in banking cause a loss on interest income, and can expose the company to a risk of theft and a voiding of insurance policies covering such theft.

Companies vary considerably in how they apply control principles, but the basic internal controls for cash receipts are the same. A business should ensure that there is completeness of recording and a minimisation of the time that cash is handled by employees.

#### 5.2.1.1 Cash Journal

Since the cash account is used so frequently, the company needs to clearly understand the cash receipts journals and cash disbursements journals. A **cash receipts journal** is a listing of all cash receipts from sales.

Assume, for example, that a customer, Francis Wong, purchases greeting cards HK$50 from Great Stationery and pays cash on 20 May 20X9. Here is the journal entry for the transaction:

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X9** | | **1001** | **HK$** | **HK$** |
| 20 May | Cash at bank | #1091 | 50 | |
| | Sales | #4010 | | 50 |
| | Sales of goods to Francis Wong | | | |

The transaction appears above in a general journal format, but it would appear in a cash receipts journal in a form illustrated below:

| Cash Receipts Journal | | | | | | | |
|---|---|---|---|---|---|---|---|
| **Date** | **Account** | **Reference** | **Cash (Dr)** | **Sales discount (Dr)** | **Accounts Receivable (Cr)** | **Sales (Cr)** | **Other (Cr)** |
| **20X9** | | | **HK$** | **HK$** | **HK$** | **HK$** | **HK$** |
| 20 May | Francis Wong | 1001 | 50 | | | 50 | |

Assume that Francis Wong was entitled to a 10% as a part of his cards purchase. On 23 May, two other customers also make purchases from the company, Fred Tau and Toby Tan. Each bought HK$1,000 worth of cards. Tau paid the cards with cash directly on 23 May, and Tan paid his lot of cards with cash on 25 May.

| Cash Receipts Journal | | | | | | | |
|---|---|---|---|---|---|---|---|
| **Date** | **Account** | **Reference** | **Cash (Dr)** | **Sales discount (Dr)** | **Accounts Receivable (Cr)** | **Sales (Cr)** | **Other (Cr)** |
| **20X9** | | | **HK$** | **HK$** | **HK$** | **HK$** | **HK$** |
| 20 May | Francis Wong | 1001 | 45 | 5 | | 50 | |
| 23 May | Fred Tau | 1002 | 1,000 | | | 1,000 | |
| **25 May** | Toby Tan | 1003 | 1,000 | | 1,000 | | |
| **Total** | | | 2,045 | 5 | 1,000 | 1,050 | |

A **cash disbursements journal** is a listing of cash payments. If the accountant wants to know if a particular bill was paid in cash, he or she can check the cash disbursements journals. For example, assume that Great Stationery purchases shelves HK$1,500 and pays cash on 25 May 20X9. Here is the journal entry for the transaction:

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X9** | | **1004** | **HK$** | **HK$** |
| 25 May | Shelves | #1030 | 1,500 | |
| | Cash at bank | #1091 | | 1,500 |
| | Purchase of shelves by the company from Fred Fong Furniture | | | |

The journal entry above is in a general journal format. It would look different if it is recorded in the cash disbursements journal. A sample cash disbursements journal is illustrated below:

| Cash Disbursements Journal | | | | | | | |
|---|---|---|---|---|---|---|---|
| **Date** | **Cheque** | **Account** | **Ref.** | **Shelves (Dr)** | **Accounts Payable (Dr)** | **Others (Dr)** | **Cash (Cr)** |
| **20X9** | | | | **HK$** | **HK$** | **HK$** | **HK$** |
| 25 May | 200253 | Fred Fong Furniture | 1004 | 1,500 | | | 1,500 |
| 26 May | 200254 | Tony Tan Catering | 1005 | | 800 | | 800 |
| 27 May | 200255 | Electricity expense | | | | 750 | 750 |
| | Total | | | 1,500 | 800 | 750 | 3,050 |

### 5.2.1.2 Cash Controls

Here is an example of internal controls over cash receipts in a retail setting, which is similar to the 'petty cash' float or imprest system used by a business entity (i.e. note Illustrative Example 3 in Section 5.3):

- A **cash float** is an amount of cash put into a cash register at the beginning of the workday, and the cash float is used to make change for cash purchases. A business should document the dollar amount of cash float assigned to each register.
- Each cashier should register acceptance for a cash float at the beginning of each shift, and no other employees should have access to this float.
- At the end of his or her shift, the cashier should count the cash in the register, record the amount, and turn the cash and the recorded amount over to a supervisor.
- The supervisor must verify that there are receipts on hand for credit card sales, and that these match the amounts recorded by the point-of-sale (POS) system:

  Cash float (beginning cash balance) + Cash inflows and outflows in the POS system = Ending balance in the cash register

- The supervisor then transfers the cash to the person making the bank deposit, receiving and acknowledgement of the cash involved. The individual who handles the deposit (physical custody) should not be able to make changes to the sales recorded in the POS system or the accounting records (recordkeeping).
- Deposits should be made daily to reduce the amount of accessible cash on hand. Sales using credit cards are considered cash transactions.
- If the cash in the register is more than the sales there is said to be a cash overage. Likewise, if the cash is less than the sales the cash is said to be shortage.
- Cash overages and shortages are normally recorded in a separate expense account often referred to as the cash over/short account.

The above example demonstrates how duties are segregated, and documentation should allow tracing from sales back to register records.

#### 5.2.1.3 Remittance Advice

**Remittance advice** is a document sent by a customer to the supplier of a product or service informing the supplier of the payment of their invoice or bill. In a common business practice, a remittance advice slip is typically included by the customer along with their payment cheque.

Exhibit 5.1 shows a cash remittance advice issued by The Dragon Corporation to its supplier Great Stationery. Great Stationery supplied The Dragon Corporation with invitations and envelopes for a special event. Great Stationery invoice No. 3189 for HK$480 on 3 May 20X8, which was deducted by a Credit Note No. 118 issued by The Dragon Corporation (i.e. due to purchases return by Champion Sports) on 11 June 20X8.

**Remittance Advice**
The Dragon Corporation
46 Sai Sha Road
Hong Kong

Date: 5 July 20X8
Remittance Advice: 6/151

Great Stationery Limited
221 Bute Street
Hong Kong

Account Number: C 52

| Date | Invoice or Credit Note No. | Invoice | Credit Note | Payment |
|---|---|---|---|---|
| 3 May 20X8 | Invoice no. 3189 | HK$480 | | HK$480 |
| 11 June 20X8 | Credit note no. 118 | | HK$86 | (HK$86) |
| | | **Total Payment** | | **HK$394** |

▶ **EXHIBIT 5.1 Sample remittance advice**

#### 5.2.1.4 Cheques and Electronic Funds Transfer (EFT) Payments

Many companies still receive payment via cheques despite their being less common following the advent of **electronic funds transfers (EFT)**. These types of payments reduce the service charges paid by the business, as compared with credit card sales.

When a cheque is received in the mail, it is usually accompanied by a **remittance advice** showing the details of payment (i.e. refer to Section 5.2.1.3). A remittance advice is a document that is typically sent with an invoice. When the customer submits a payment for the invoice, the remittance advice is sent with the payment and the advice helps identify the invoice that was paid.

It is important that companies ensure they have procedures in place for the handling of cheques when they arrive. Each company will differ in how it handles payments by cheque, and these processes will at times involve separation of duties to ensure a company minimises the risk of error, theft and fraud.

It is important, however, that the company accountants receive the primary source documents as soon as possible, so that they can properly account for the transaction that has taken place and ensure that the cheques are properly banked.

Paper-based payment has largely been replaced by payment using EFT, which is the electronic exchange or transfer of money from one account to another. This can take place either within a single financial institution or across multiple institutions. These include debit and credit card transactions, pre-authorised debits, electronic bill payments using online banking, bank machine withdrawals and prepaid smart cards.

While the use of EFT is regarded as more secure because company employees do not handle cheques or cash, a company must still ensure that it has processes in place to ensure that recording of the transfers is complete and that they are attributed to the correct counterparty. Misallocation and even fraudulent allocation of transfers are risks to be managed by internal controls.

### 5.2.2 Controlling Cash Payments

Cash is disbursed for a variety of reasons, such as to pay expenses and to repay trade creditors and other liabilities, or to purchase assets, or to pay dividends to shareholders.

Generally, internal control over cash payments is better when payments are made by cheque or EFT, rather than in cash. Payments should occur only after specified control procedures have been followed.

There are some processes that assist in controlling cash payment that apply when amounts are above a predetermined threshold:

- When an employee wants to place an order with a vendor, the employee should fill out a **purchase order** (PO), which documents that purpose of the expenditure. The PO should be approved and signed by a supervisor before the order is placed with the vendor.

- Cheques should be signed by an appropriate senior person who is not physically responsible for the goods or services purchased. Larger dollar amounts expose a business to a higher level of risk, so large cheques normally require two signatures.
- The cheque signatories should carefully review the supporting documentation for the payment before signing the cheque, including an approved purchase order and the **packing slip/delivery docket** (if physical goods were received).

Just as a company may use EFT systems to receive cash, it can also use those systems to make payments to suppliers and employees. For example, when a company pays its employee salaries using a direct deposit option, the cash is instantly transferred from the company's bank account to each employee's bank account.

Electronic pre-authorised payments are often made for things paid on a recurring basis like insurance or loans and interest. The use of EFT for cash payments will result in better internal controls, as long as there is proper authorisation and segregation of duties. EFT payments also reduce the extra costs of making payments by cheque, such as postage costs.

Another method of controlling cash is the establishment of a process for **bank reconciliations**, to ensure that what is recorded in the bank accounts is actually reflected in the accounting records of the entity.

### Key Learning Point

Establishing cash controls is vital for a business to detect and prevent theft, and every company should document all cash controls in writing. Employees must be closely supervised to prevent the theft of cash receipts, and cash payments should require proper authorisation.

### ▶ Knowledge Check Questions

**Question 3**

Describe the use of a remittance advice.

**Question 4**

Identify which of these relates to a risk when using electronic funds transfers:

**A** The company has less cash to deal with on the premises.

**B** The company processes fewer cheques.

**C** They can be susceptible to the making of payments to wrong suppliers or to fraudulently established bank accounts.

**D** They can make it harder to trace payments to underlying transactions.

# 5.3 PETTY CASH SYSTEM

While making payments by EFT and cheques results in better internal control than using cash, it can be both impractical and a nuisance to use cheques or EFT to pay small amounts, such as those required for postage, couriers or small supplies.

A common way to handle such payments, while maintaining satisfactory control, is to use a petty cash fund. A **petty cash** fund maintains internal controls over small cash disbursements by ensuring that all amounts are accounted for and all transactions are recorded.

The operation of a petty cash fund, also called an **imprest system**, involves three steps: establishing the fund, making payments from the fund and replenishing the fund.

### Illustrative Example 3

The Wong brothers have been running the business for a while, and their accountant asked whether they had contemplated the need for a petty cash imprest amount instead of constantly writing cheques for small amounts.

'It is important to ensure that we have some money set aside for everyday expenses', the accountant said. 'There is no point asking staff members to go through an onerous purchasing process in order to buy milk, coffee and biscuits for the staff area'.

'I can set up a petty cash imprest system and staff will need to provide me with the various receipts and invoices in order to ensure that all funds are accounted for after purchase, but that is far simpler than people queuing up outside a senior manager's office with a procurement form'. The accountant headed off to finalise the establishment of the petty cash imprest system.

## 5.3.1 Establishing the Imprest Amount

Two essential steps are required to establish a petty cash imprest amount:

- The first is to appoint a petty cash custodian to be responsible for the fund.
- The second is to determine the amount. Ordinarily, the amount is expected to be enough for small payments in a short period (e.g. a four-week period).

To establish the fund, a cheque payable to cash is issued for the determined amount. For example, if Great Stationery decides to establish a HK$100 petty cash fund on 1 April 20X9, a general journal is posted:

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X9** | | | **HK$** | **HK$** |
| 1 April | Petty cash | #1090 | 100 | |
| | Cash at bank | #1091 | | 100 |
| | (To fund the petty cash account) | | | |

There is no net effect on cash flows, because the company's total cash includes both the cash at bank and the petty cash balances.

The custodian cashes the cheque and places the proceeds in a locked petty cash box or drawer.

### 5.3.2 Making Payments from Petty Cash

The petty cash custodian has the authority to make payments from the fund in accordance with management policies. Usually, management limits the size and nature of expenditures that may be made. Management would not allow the fund to be used for certain types of transactions (such as making short-term loans to employees).

Each payment from the fund should be documented on a pre-numbered petty cash receipt, signed by both the custodian and the person who receives the payment. If other supporting documents, such as a freight bill or invoice, are available they should be attached to the petty cash receipt. The receipts are kept in the petty cash box until the fund runs low and the cash needs to be replenished.

Assume, for example, that an employee uses HK$30 from petty cash to pay for office supplies on 10 April 20X9. Both the employee and the petty cash custodian sign receipt #330 for the cash used for office supplies. The employee also gives the purchase receipt to the custodian, which is kept on file.

The sum of the petty cash receipts and money in the fund should equal the established total at all times. Surprise counts should be made by an independent person, such as a supervisor or internal auditor, to determine whether the fund is being properly administered.

An accounting entry is not recorded when a payment is made from petty cash. Instead, it is recorded when the imprest amount is replenished.

### 5.3.3 Replenishing Petty Cash

When the money in petty cash reaches a minimum level, the company replenishes the fund. The request for reimbursement is made by the petty cash custodian. This individual prepares a schedule (or summary) of the payments that have been made, and sends the schedule supported by petty cash receipts and other documentation to the accounting office.

The receipts and supporting documents are examined in the controller's office to verify that they were proper payments from the fund. The request is approved and a cheque is issued to restore the fund to its established amount. At the same time, all supporting documentation is stamped 'Paid' so that it cannot be submitted again for payment.

Occasionally, when replenishing a petty cash fund, the company may need to recognise a cash shortage or overage. This happens when the receipts plus cash in the petty cash box do not equal the established amount of the petty cash fund. Cash overages and shortages are normally recorded in a separate expense account often referred to as the cash over/short account.

## Apply and Analyse 1

Great Stationery established a HK$1,500 petty cash fund with Alan Wong as the petty cashier. When the fund balance reached HK$190, Alan prepared a petty cash report, which follows:

**Petty Cash Payment Report**

| Receipt No. | Account charged | HK$ | Approved by | Received by |
|---|---|---|---|---|
| 12 | Delivery expense | 290 | Alan Wong | John Ho |
| 13 | Merchandise inventory | 180 | Alan Wong | Mary Lam |
| 15 | (Omitted) | 320 | Alan Wong | Tom Chan |
| 16 | Miscellaneous expense | 410 | (Omitted) | Janet Lee |
| | Total | 1,200 | | |

***Apply***

1. Identify four internal control weaknesses from the above petty cash payment report.
2. Prepare general journal entries to record:
    a. Establishment of the petty cash fund.
    b. Reimbursement of the fund. (Assume for this part only that petty receipt No. 15 was issued for miscellaneous expenses.)
3. Determine the petty cash account balance immediately before reimbursement and immediately after reimbursement.

***Analysis***

1. Four internal control weaknesses are:
    a. Petty cash ticket No. 14 is missing. This omission raises questions about the petty cashier's management of the fund.
    b. The HK$190 ending cash balance means that HK$1,310 has been withdrawn (HK$1,500 – HK$190). However, the total amount of petty cash receipts is only

## Apply and Analyse *(continued)*

HK$1,200 (HK$290 + $180 + $320 + $410). The fund is HK$110 short of cash (HK$1,310 – HK$1,200 = HK$110). Management should investigate whether the petty cash receipt No. 14 has been issued for HK$110.

c. The petty cashier (Alan Wong) did not sign petty cash receipt No. 16. This omission could have been an oversight on his part or he might not have authorised the payment. Management should investigate.

d. Petty cash receipt No. 15 does not indicate which account to charge. This omission could have been an oversight on the petty cashier's part. Management could check with Tom Chan and the petty cashier (Alan Wong) about the transaction. If no further information is obtained, the amount should be debited to miscellaneous expenses account.

2. Petty cash general journal entries:

a. Entry to establish the petty cash fund:

| **Particulars** | **Debit** | **Credit** |
|---|---|---|
| | **HK$** | **HK$** |
| Petty Cash | 1,500 | |
| Cash at bank | | 1,500 |
| (Establishment of the petty cash fund) | | |

b. Entry to reimburse the fund:

| **Particulars** | **Debit** | **Credit** |
|---|---|---|
| | **HK$** | **HK$** |
| Delivery expense | 290 | |
| Merchandise inventory | 180 | |
| Miscellaneous expenses (HK$410 + HK$320) | 730 | |
| Cash over or short | 110 | |
| Petty cash | | 1,310 |
| (Expenses paid by using petty cash) | | |

| **Particulars** | **Debit** | **Credit** |
|---|---|---|
| | **HK$** | **HK$** |
| Petty Cash | 1,310 | |
| Cash at bank | | 1,310 |
| (Replenish petty cash fund from cash at bank) | | |

3. The petty cash account balance always equals its fund balance, in this case HK$1,500. The account balance does not change unless the fund is increased or decreased.

## Illustrative Example 4

The petty cash custodian of Great Stationery provides this summary of payments to the accountant on 25 April 20X9 to request petty cash account replenishment:

| Petty Cash Summary of Payments: 25 April 20X9 | | | | |
|---|---|---|---|---|
| **Date** | **Account #** | **Expense** | **Receipt #** | **Dollar amount** |
| 10 April | 5150 | Office supply expense | 330 | HK$30 |
| 15 April | 5160 | Painting expense | 331 | HK$50 |
| 21 April | 5150 | Office supply expense | 332 | HK$20 |
| | | | **Total** | **HK$100** |

Here is the journal entry to record the use of the petty cash balance:

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X9** | | | **HK$** | **HK$** |
| 25 April | Office supply expense | #5150 | 50 | |
| | Painting expense | #5160 | 50 | |
| | Petty cash | #1091 | | 100 |
| | (To record expenses paid using petty cash) | | | |

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X9** | | **HK$** | **HK$** |
| 25 April | Petty Cash | 100 | |
| | Cash at bank | | 100 |
| | (To replenish petty cash fund from cash at bank) | | |

## Key Learning Point

A petty cash system is used for small cash disbursements but still is subject to internal controls. Essentially control is established by limiting the nature of and amount to be available for small disbursements, and the review of such disbursements when the amount for petty cash is replenished.

The operation of a petty cash imprest system, involves three steps: establishing the amount for petty cash, making payments and replenishing the amount.

## ▶ Knowledge Check Questions

**Question 5**

Define petty cash and describe its purpose.

▶ **Knowledge Check Questions *(continued)***

**Question 6**

Identify the person who sets the limit on how much can be debited into a petty cash fund.

**A** The company accountant

**B** Management

**C** A staff project committee

**D** The management accountant

**Question 7**

Define the purpose of reconciling petty cash receipts and the petty cash fund.

## 5.4 BANK ACCOUNTS

The use of a bank account contributes significantly to good internal control over cash:

- A company can safeguard its cash by using a bank as a depository, and reduce the amount of currency that must be kept on hand.
- Using a bank increases internal control, because it creates a mirror recording of all cash transactions – one by the business and the other by the bank.

The cash account, maintained by the company, should have the same balance as the bank's liability account for that company, save for timing differences in the recording of any unpresented cheques or deposits in transit.

A bank reconciliation compares the bank balance with the company balance, and explains any differences at the end of an accounting period (e.g. monthly).

### 5.4.1 Use of a Bank Account

Many companies have more than one bank account. A business may have, for example, a payroll bank account that is separate from an account used for day-to-day operations. A firm may also have accounts with different banks to have more than one source for short-term loans when needed.

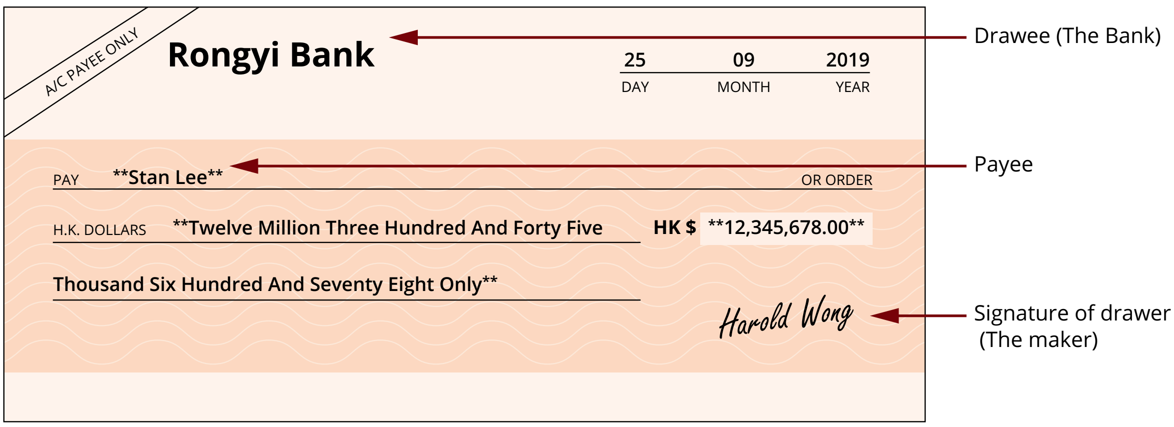
Bank deposits should be made by an authorised employee, such as the chief accountant. Each deposit must be documented by a deposit slip. Both the company and the bank will need a copy of the deposit slip.

While bank deposits increase the bank account balance, cheques issued decrease it. A **cheque** is a written order instructing the bank to pay a specific sum to a designated recipient.

There are three parties to a cheque:

- The maker (the account holder or drawer) who issues and signs the cheque.
- The bank (the drawee) on which the cheque is drawn.
- The payee (the beneficiary) to whom the cheque is payable.

Each cheque should clearly explain its purpose, which can be detailed on the cheque stub (Exhibit 5.2). The purpose of the cheque should also be clear for the payee, either by referencing the invoice directly on the cheque, or by attaching a copy of the remittance advice to the cheque.




▶ **EXHIBIT 5.2 A typical cheque**

The same principle applies to EFT payments on business bank accounts. When two signatures are required, internal control can be maintained. Internal control is to make all payments by cheque, pre-authorised EFT or via a business banking platform where authorised signatories must provide an electronic sign-off before transactions are finalised.

### 5.4.1.1 Understanding the Banking System

Different types of payments such as those made by cheques, credit cards or pre-authorised EFT will result in the bank paying one party upon instructions of another customer. The bank is the intermediary. Such payments may result in one financial institution owing money to another.

For example, if a company (the payer) writes a cheque to a supplier (the payee), the payee deposits the cheque in its own bank account. When the cheque is deposited, record of it is sent to a banking clearance centre for processing, usually the same day. When the record of the cheque arrives at the banking clearance centre, it is 'presented to' (checked with) the payer's financial institution, where it is determined whether the cheque will be honoured or returned (in the case of insufficient funds in the account, or if a stop payment order has been placed on the cheque).

This process is automated and happens very quickly. In most cases, the cheque will clear the payer's bank account before the next day. **Clearing** is what occurs when a cheque is accepted by the payer's bank, and it results in a transfer of funds from the payer's bank to the payee's bank.

### 5.4.1.2 The Bank Statement

The bank makes available to the company a **bank statement** that shows the company's bank transactions and balance (Exhibit 5.3). A typical statement shows cheques paid and other debits that reduce the balance in the bank account, deposits and other credits that increase the balance in the bank account, as well as the account balance after each day's transactions.

Traditionally bank statements were physically sent to a bank client periodically (e.g. monthly). Now bank statements are openly accessible on a continuous online basis.

**Rongyi Bank**
37 West Kowloon Street
Hong Kong

**ACCOUNT STATEMENT**

Great Stationery Limited
221 Bute Street
Hong Kong

| Statement Date/Credit Line Closing Date |
| --- |
| 30 April 20X9 |

| 457923 |
| --- |
| ACCOUNT NUMBER |

| Balance Last Statement | Deposits and Credits | | Cheques and Debits | | Balance This Statement |
| --- | --- | --- | --- | --- | --- |
| | No. | Total Amount | No. | Total Amount | |
| 13,257 | 20 | 34,805 | 26 | 32,155 | 15,907 |

| Amounts Deducted from Account (debits) | | | Amounts Added to Account (credits) | | Daily Balance | |
| --- | --- | --- | --- | --- | --- | --- |
| Date | No. | Amount | Date | Amount | Date | Amount |
| 2 Apr | 435 | 645 | 2 Apr | 4,277 | 2 Apr | 16,889 |
| 3 Apr | EFT | 1,000 | 3 Apr | 2,138 | 3 Apr | 18,250 |
| 5 Apr | 436 | 2,260 | 5 Apr | 1,350 | 4 Apr | 17,064 |
| 4 Apr | 437 | 1,186 | 7 Apr | 982 | 5 Apr | 15,154 |
| 3 Apr | 438 | 777 | 8 Apr | 1,320 | 7 Apr | 14,649 |
| 8 Apr | 439 | 1,782 | 9 Apr EFT | 1,035 | 8 Apr | 11,767 |
| 7 Apr | 440 | 1,488 | 11 Apr | 2,720 | 9 Apr | 12,802 |
| 7 Apr | EFT | 320 | 12 Apr | 757 | 11 Apr | 13,937 |
| 8 Apr | 441 | 2,100 | 13 Apr | 1,219 | 12 Apr | 13,468 |
| 11 Apr | 442 | 1,586 | | | | |
| 12 Apr | 443 | 1,226 | | | | |
| 29 Apr | NSF | 426 | 27 Apr | 1,546 | 27 Apr | 13,005 |
| 29 Apr | 459 | 1,080 | 29 Apr | 2,929 | 29 Apr | 14,429 |
| 30 Apr | DM | 120 | 30 Apr | 2,129 | 30 Apr | 15,907 |
| 30 Apr | DM | 30 | | | | |
| 30 Apr | 461 | 500 | | | | |

Symbols: **CM** Credit Memo, **DM** Debit Memo, **EC** Error Correction, **INT** Interest Earned, **NSF** Not Sufficient Funds, **SC** Service Charge, **EFT** Electronic Funds Transfer

▶ **EXHIBIT 5.3 A sample bank statement**

The *bank's* definitions of 'debit' and 'credit' for a customer's bank account are the opposite of the *customer's* definitions in the accounting records. Consider these examples:

- Debit entries on the bank statement reduce the bank balance. They show that the customer is owed less money by the bank.

- The bank statement posts a credit entry for each deposit, while the cash account in the company's accounting records is increased with a debit entry. The bank has a bigger creditor, and the company has a bigger receivable from the bank.

The bank uses notations or credit memoranda (CM) on bank statements to identify and explain miscellaneous amounts added to the bank account for items such as interest earned on the bank account, and EFT into the depositor's account.

It is important for the accountant to keep these differences in mind when performing the bank reconciliation.

#### 5.4.1.3 The Cash Book and Bank Statement Balances

The cash book is the internal accounting record for cash in the business, while the bank statement balances relate to the money held at bank. It is important to remember that accounting for the cash book is done from the perspective of the company, but the bank statements look at transactions from the viewpoint of the bank even though the transactions relate to the company's deposits with the bank.

### 5.4.2 Reconciling the Bank Account

The balances that a company and the bank have for an account are almost never the same at any specific time. It is necessary to make the company balance and the bank balance agree. This is achieved through a process called *reconciling the bank account*.

The lack of agreement between the two balances is due to:

- Time lags that prevent one of the parties from recording a transaction in the same period as the other, or
- Errors by either party in recording transactions.

Except in electronic banking applications, time lags happen frequently. Here are two common examples:

- When a company uses the bank's night depository to make deposits, there will be a difference of one day (or more if it's the weekend or a holiday) between the day the receipts are recorded by the company and the day they are recorded by the bank. Deposits recorded by the company that have not yet been recorded by the bank are called **deposits in transit**.
- Several days pass between the time a cheque is mailed to a payee and the date the cheque is presented to, and cleared (paid) by, the bank. Cheques recorded by a company that have not yet been cleared by the bank are called **unpresented cheques**.

While bank errors are not common, they can still occur. The frequency of errors by the company in its cash account depends on the effectiveness of its internal controls. For example, either party could unintentionally record a HK$450 cheque as HK$45 or HK$540. Or the bank might mistakenly charge a cheque to the wrong account if the proper coding is missing or if the cheque cannot be scanned.

The bank reconciliation should be prepared by an employee who has no other responsibilities related to cash. If the control activities of segregation of duties and independent checks of performance are not followed when the reconciliation is prepared, cash embezzlements and systematic errors may go unnoticed.

### 5.4.2.1 The Purpose of Bank Reconciliation

The purpose of bank reconciliation, usually on a monthly basis, is to bring together the cash amounts of the company in its accounts and the records of the banks, so that the company understands why the records may not align at any point in time. A couple of differences that may arise, albeit temporarily, are:

- Deposits in transit – cash that the company records but the bank is yet to record in a bank statement.
- Unpresented cheques that are made in legal tender or cheques are not accounted for by the bank.

Another difference is the recording by the bank of charges or service fees to the customer's bank account. The bank statement will be the way in which the company sees these charges and then records them in the ledger.

### 5.4.2.2 Steps to Reconcile the Cash Account

In reconciling the bank account, it is customary to reconcile the balance per books (found in the cash account in the general ledger) and the balance per bank (found on the bank statement provided by the bank) to their adjusted (correct) cash balances.

***Starting with the Bank Statement Balance***

The starting point when preparing the reconciliation is to enter the balance per bank statement and balance per books on the schedule. Adjustments are then made to each section.

On the **bank side** of the reconciliation, the items to include are deposits in transit, outstanding cheques and bank errors (see Exhibit 5.4). The process is done using the following steps:

| Bank Reconciliation Statement<br>As at 31 December 20X2 | | |
|---|---|---|
| | **HK$** | **HK$** |
| Balance as per bank statement | | X |
| Add: Deposits in transit | X | |
| Interest expenses | X | |
| Bank charges | X | |
| Direct debits | X | |
| Standing orders | X | |
| Dishonored cheques | X | X |
| | | X |
| Less: Unpresented cheques | X | |
| Undeposited cash | X | |
| Interest income | X | |
| Direct credit | X | (X) |
| Balance as per cash book | | X |

▶ **EXHIBIT 5.4 Bank reconciliation starting with the bank statement balance**

- **Step 1:** Compare the individual deposits on the bank statement with the **deposits in transit** from the preceding bank reconciliation, and the deposits recorded in the company's books. Deposits in transit have been recorded on the company's books but have not yet been recorded by the bank. Add these deposits to the balance per bank.

  You also look at any dishonoured cheques and standing orders that may form a part of the chain of transactions. **Dishonoured cheques** are cheques that cannot be cashed because they are refused by the bank. One common reason for dishonoured cheques is insufficient funds in the account the cheque is issued against. Other reasons include improper dates on cheques (e.g. expired or post-dated), missing signatures, illegible writing, or inconsistent amounts (e.g. the numeric amount does not match the written amount).

  After a cheque is deposited, it can take days for it to be refused by the bank. Often, this means a payment is recorded before the cheque is identified as dishonoured. When this occurs, the following transactions are recorded:

  - The original outstanding amount.
  - The payment amount intended to be fulfilled by the cheque.
  - Any discounts attached to the original payment terms.
  - The reconciliation to record the dishonoured cheque's refusal. This should address both the amount issued by the cheque and any discounts that can no longer be offered.

  **Standing orders** are payments that are made by a firm's bank as instructed by the firm and may be deducted from the account as needed. They often fulfil regular payments (e.g. mortgage payments, monthly bill payments) or planned instalment payments (e.g. repayments for merchandise).

- **Step 2:** Compare the paid cheques shown on the bank statement or returned with the bank statement, with unpresented cheques from the preceding bank reconciliation and cheques that have been issued by the company during the month.

  Cheques are 'outstanding' or 'unpresented' if they have been recorded on the company's books but have not cleared in the bank account yet. Deduct unpresented cheques from the balance per bank.

  If a cheque that was unpresented in the previous period has been paid by the bank in the current period, the cheque is no longer unpresented and will not be included in the current month's bank reconciliation.

  If the cheque has still not been paid by the bank, it will continue to be outstanding and needs to be included with the unpresented cheques and deducted from the bank balance on the current month's bank reconciliation.

- **Step 3:** Note any **errors** that are discovered in the previous steps. Errors can be made by either the bank or the company and can be in both directions (increases or decreases). Include only errors made by the bank as reconciling items when calculating the adjusted balance per bank.

  For example, if the bank processed a deposit of HK$1,693 as HK$1,639 in error, the difference of HK$54 is added to the balance per bank on the bank reconciliation.

***Starting with the Cash Balance***

Reconciling items on the **book side** include adjustments from any unrecorded credit amounts and debit amounts and company errors. This process is as follows:

- **Step 1:** Compare **credit amounts** and other deposits on the bank statement with the company records. Any amounts not recorded in the company's records should be added to the balance per books. For example, if the bank statement shows EFT from customers paying their accounts online, these amounts will be added to the balance per books on the bank reconciliation, unless they have been previously recorded by the company. This makes the company records agree with the bank records.
- **Step 2:** Any unrecorded **debit amounts** should be deducted from the balance per books. If the bank statement shows a debit amount for bank service charges, this amount is deducted from the balance per books on the bank reconciliation to make the company records agree with the bank records. Frequently, electronic payments have already been recorded by the company. If not, they must also be deducted from the balance per books on the bank reconciliation.
- **Step 3:** *Errors* discovered in the company's records must also be included in the bank reconciliation. Adjusting entries are needed to ensure that the company's records can be reconciled with bank statements.

**Bank Reconciliation Statement**
**As at 31 December 20X2**

| | | HK$ | HK$ |
|---|---|---|---|
| Balance as per cash book | | | X |
| Add: | Unpresented cheques | X | |
| | Interest income | X | |
| | Bank error | X | |
| | Direct credit | X | X |
| | | | X |
| Less: | Deposits in transit | X | |
| | Interest expenses | X | |
| | Bank charges | X | |
| | Direct debits | X | |
| | Bank error | X | |
| | Standing order | X | |
| | Dishonoured cheques | X | (X) |
| Balance as per bank statement | | | X |

▶ **EXHIBIT 5.5 Bank reconciliation starting with the cash book balance**

After preparing the bank reconciliation, the company must prepare adjusting journal entries to record each reconciling item used to determine the adjusted cash balance per books. If these items are not journalised and posted, the cash account will not show the correct balance.

A few points to note:

- When a customer pays their account, the journal entry is the same regardless of whether the customer pays by cash, by cheque, or by EFT. This entry is only required when the company has not already recorded the EFT receipt during the month.

| | |
|---|---|
| Debit | Cash at bank |
| Credit | Trade receivable |

- Assuming the company had not already recorded an accrued interest income, the interest earned is credited to the interest revenue account.

| | |
|---|---|
| Debit | Cash at bank |
| Credit | Bank interest earned |

- Bank service charges are normally debited to bank charges account.

| | |
|---|---|
| Debit | Bank charges |
| Credit | Cash at bank |

- Company errors, which may show if, for example, cheques were issued in error or with mistaken amounts, have to be adjusted in the cash book.

  For example, an issued cheque to a trade creditor of HK$9,600 was drawn as HK$6,900. Since it cleared the bank for less than the amount of the cheque, add the amount of the error.

| **Particulars** | **Debit** | **Credit** |
|---|---|---|
| | **HK$** | **HK$** |
| Cash at bank | 2,700 | |
| Trade payable (HK$9,500 – HK$6,900) | | 2,700 |
| To adjust the error of the account | | |

- NSF (not-sufficient-funds) cheques also have to be addressed.

| | |
|---|---|
| Debit | Trade receivable |
| Credit | Cash at bank |

The adjusted cash balance in the general ledger should agree with the adjusted cash balance per books in the bank reconciliation shown earlier. If any bank errors are discovered in preparing the reconciliation, the bank should be notified. The bank can then make the necessary corrections on its records.

### Illustrative Example 5

Suppose the bank statement for Great Stationery shows a balance per bank of HK$15,907 on 30 April 20X7. On this date, the balance per books is HK$11,244.

The following reconciling items are determined.

Reconciling items per bank:

1. Deposits in transit: After comparing the deposits recorded in the books with the deposits listed in the bank statement, it was determined that the 30 April deposit of HK$2,021 was not recorded by the bank until 1 May.
2. Outstanding cheques: After comparing the cheques recorded in the books with the cheques listed on the bank statement, it was determined that three cheques were outstanding:

   No. 445 HK$3,000
   No. 446 HK$1,401
   No. 448 HK$1,503
3. Bank errors: None.

Reconciling items per books:

1. Credit memoranda and other deposits: Electronic receipt from customer on account HK$1,350. Interest earned HK$40.
2. Debit memoranda and other payments:

   NSF cheque from Fuzhou Kaifa Packaging HK$426.
   Bank service charge for NSF cheque HK$10.
   Bank service charge HK$30.
3. Company errors: Cheque no. 443 was correctly written for HK$1,226 and was correctly paid by the bank. However, it was recorded as HK$1,262, a HK$36 difference.

The bank reconciliation is shown in Exhibit 5.6. The adjusted cash balances are now both equal to HK$12,204, which means the bank account has been reconciled.

## Illustrative Example 5 *(continued)*

| Great Stationery Limited<br>Bank Reconciliation<br>30 April 20X7 | | |
|---|---|---|
| Cash balance per bank statement | | HK$15,907 |
| Add: Deposit in transit | | 2,201 |
| | | 18,108 |
| Less: Outstanding cheques | | |
| No. 445 | HK$3,000 | |
| No. 446 | 1,401 | |
| No. 448 | 1,503 | (5,904) |
| Adjusted cash balance per bank | | HK$12,204 |
| Cash balance per books | | HK$11,244 |
| Add: Electronic receipt from customer on account | HK$1,350 | |
| Interest earned | 40 | |
| Error: cheque No. 443 for Accounts Payable (HK$1,262 – HK$1,226) | 36 | 1,426 |
| | | 12,670 |
| Less: Returned NSF cheque and bank charge (HK$426 + HK$10) | HK$436 | |
| Bank service charge | 30 | (466) |
| Adjusted cash balance per books | | HK$12,204 |

▶ **EXHIBIT 5.6 Great Stationery's bank reconciliation for 30 April 20X7**

Company errors must be corrected by using adjusting entries. While the amount described above may be immaterial, it misrepresents the amount the company has made overall. The adjusting entry will look like this:

**Journal Entry**

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X7** | | | **HK$** | **HK$** |
| 30 April | Cash | | 36 | |
| | Purchases | | | 36 |
| | (Correction of recording error for purchases paid for by cheque) | | | |

Accountants should use this type of standard format for each bank reconciliation and ensure that reconciliations are carried out on a timely basis. Unreconciled amounts should not be allowed to carry forward.

### Key Learning Point

Reconciling the bank account is a critical internal control over the cash accounts. The reconciliation includes differences between the accounting records and the bank statement due to timing issues and errors.

### ▶ Knowledge Check Questions

**Question 8**

Great Stationery records cheque #417 in the amount of HK$570, but the cheque was actually written for HK$750. Account for this error in the bank reconciliation.

**Question 9**

Great Stationery made a HK$300 deposit on the last day of April, but the deposit is not reflected in the 30 April bank statement. Demonstrate how this reconciling item is posted in the bank reconciliation.

## 5.5 REPORTING CASH

Companies report cash in two different statements: the statement of financial position and the statement of cash flows:

- The statement of financial position reports the amount of cash available at a point in time (see HKAS 1 *Presentation of Financial Statements*).
- The statement of cash flows shows the sources and uses of cash during a period of time (see HKAS 7 *Statement of Cash Flows*).

When presented on the statement of financial position, cash on hand, cash at banks and petty cash are normally combined and reported simply as cash. You will see the example of HNA Tech Inv's financial statement of financial position below showing where cash is reported on this particular statement.

### Illustrative Example 6

Take a careful look at the current assets as they appear in the statement of financial position for HNA Tech Inv (Exhibit 5.7). What do you notice about the current assets and the way cash is reported for 2017 and 2016?

## Illustrative Example 6 *(continued)*

**Consolidated Statement of Financial Position**
**At 31 December 2017**
**(Expressed in Hong Kong dollars)**

| | Note | 2017 HK$'000 | 2016 HK$'000 |
|---|---|---|---|
| **Non-current assets** | | | |
| Plant and equipment | 12 | **5,270** | 5,371 |
| Intangible assets | 13 | **47,000** | 45,263 |
| Goodwill | 14 | **–** | 1,172 |
| Interest in a joint venture | 16 | **–** | 209 |
| Prepayment for available-for-sale securities | | **–** | 377 |
| Deferred tax assets | 24(b) | **2,709** | 755 |
| | | **54,979** | 53,147 |
| **Current assets** | | | |
| Inventories | 17 | **37,974** | 29,998 |
| Trade and other receivables | 18 | **57,744** | 56,644 |
| Held-to-maturity financial assets | 19 | **858** | 861 |
| Current tax recoverable | 24(a) | **556** | 593 |
| Cash and cash equivalents | 20(a) | **29,632** | 40,551 |
| | | **126,764** | 128,647 |
| **Current liabilities** | | | |
| Trade and other payables | 21 | **23,948** | 19,496 |
| Bank loans | 22 | **–** | 14,222 |
| Current tax payable | 24(a) | **2,211** | 31 |
| | | **26,159** | 33,749 |
| **Net current assets** | | **100,605** | 94,898 |
| **Total assets less current liabilities** | | **155,584** | 148,045 |
| **Non-current liabilities** | | | |
| Defined benefit obligations | 23 | **1,373** | 864 |
| Deferred tax liabilities | 24(b) | **510** | 152 |
| | | **1,883** | 1,016 |
| **Net Assets** | | **153,701** | 147,029 |
| **Capital and Reserves** | | | |
| Share capital | 25(c) | **31,956** | 31,956 |
| Reserves | | **121,745** | 115,073 |
| **Total Equity Attributable to Equity Shareholders of the Company** | | **153,701** | 147,029 |

*Approved and authorised for issue by the Board of Directors on 8 March 2018.*

▶ **EXHIBIT 5.7 Statement of financial position for HNA Tech Inv** *(Source: HNA Tech Inv, Annual Report, 2017.)*

You will notice that there has been a reduction in cash and cash equivalents between the two reporting periods. Can you see the number 20(a) in the cash and cash equivalents line item? That number refers to a note in the accounts that contains a further disclosure related to the cash the company has reported in its financial statements. The figure that appears in the financial statements is an aggregate amount. Exhibit 5.8 shows Note 20(a) which is extracted from the notes to financial statements section of the annual report for further disclosure:

**20 Cash and Cash Equivalents**

(a) Cash and cash equivalents comprise:

| | 2017 HK$'000 | 2016 HK$'000 |
|---|---|---|
| Cash at bank and on hand | **22,442** | 30,772 |
| Bank deposits maturing within three months when placed | **7,190** | 9,779 |
| Cash and cash equivalents | **29,632** | 40,551 |

*As at 31 December 2017, cash at bank and deposits of $4,936,000 (2016: $4,963,000) were placed with banks in the PRC. Remittance of funds out of the PRC is subject to the exchange restrictions imposed by the PRC government.*

**EXHIBIT 5.8 Note 20(a) from the HNA Tech Inv statement of financial position** *(Source: HNA Tech Inv, Annual Report, 2017.)*

## Knowledge Check Questions

Referring to the Statement of Financial Position of HNA Tech Inv above, please answer the below Knowledge Check Questions 10, 11 and 12.

**Question 10**

Identify the two financial statements in which HNA Tech Inv will report on activities related to cash and cash equivalents.

**Question 11**

Describe the function of a note to the financial statements when it refers to cash and cash equivalents.

**Question 12**

HNA Tech Inv has reported HK$29.6 million in cash and cash equivalents for 2017. If 2017 is referred to as the current reporting period, determine which of the following best describes year 2016:

**A** The year in which the company reported HK$148 million in total assets less liabilities

**B** The comparative period

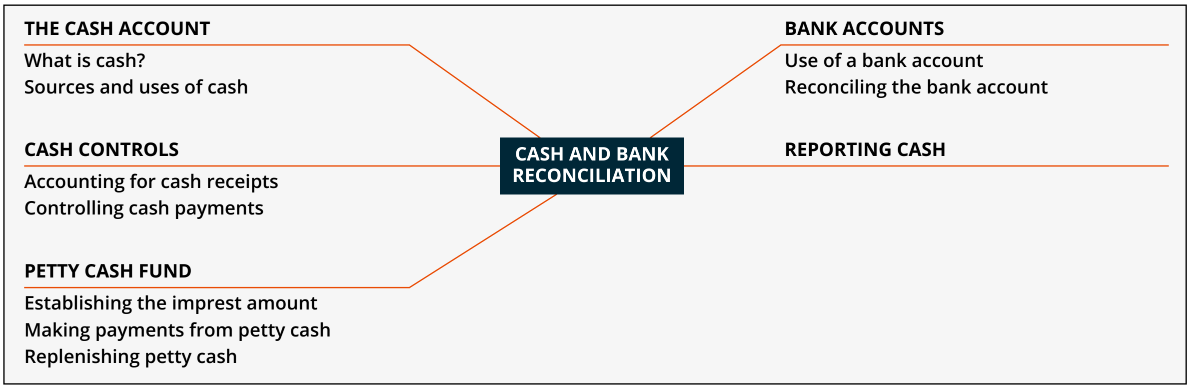
**C** When the company reported HK$40.6 million in its line item for cash and cash equivalents

**D** All of the above

## SUMMARY

- Cash includes bills, coins, cheques, credit card payments, electronic payments, bank deposits and other short-term liquid holdings.
- Cash is an asset in high demand, and many businesses have a large number of cash transactions.
- Most businesses use cash in one form or another for both receipts and payments.
- Cash can be generated by sales, collections on account, interest income, dividends or rent income and other activities, such as owners' or shareholders' investments.
- Cash account is an important component of the bookkeeping and accounting work associated with the running of any organisation.
- Cash controls facilitate reliable financial reporting, efficient operations and compliance with laws and regulations.
- Cash controls include establishing clear responsibilities, segregating duties, strong documentation procedures, controlling the flow of physical cash and information technology, carrying out independent checks and putting in place human resource controls.
- Controls should be put in place over both cash receipts and payments.
- Cash is often used to make small payments that are necessary for the everyday running of a business. These payments often come out of a petty cash account.
- Most organisations use bank accounts to manage their cash, because the internal controls over cash are stronger if bank accounts are used.
- Part of the recording and reporting process is keeping track of the bank accounts and reconciling them against the organisation accounts.
- Cash is reported in the statement of financial position and the statement of cash flows.

# MIND MAP




## Answers to Knowledge Check Questions

### Question 1

Answer A is incorrect. Bank notes are included in the cash balance.

Answer B is incorrect. Cheques are included in the cash balance.

Answer C is correct. Investments in shares belong to non-current assets but are not a cash item in current assets.

Answer D is incorrect. Coins are included in the cash balance.

### Question 2

Cash is an asset that can be used quickly to pay debts or to make purchases.

### Question 3

A remittance advice is a document sent by a customer to the supplier of a product or service informing the supplier of the payment of their invoice or bill.

### Question 4

Answer A is incorrect because the amount of cash is not relevant to considering risks of EFT.

Answer B is incorrect because cheques are not EFTs.

Answer C is correct. Staff members can be susceptible to the making of payments to wrong suppliers or to fraudulently established bank accounts if there are no controls in place.

Answer D is incorrect because transactions can be traced electronically.

### Question 5

Petty cash represents money set aside for low cost purchases that should not require onerous procedures for approval.

### Question 6

Answer A is incorrect because the company accountant does not set limits on petty cash, but he or she does implement the fund transactions.

Answer B is correct because these decisions will be made by management, and then implemented by the accountants in the company.

Answer C is incorrect because the staff project committee does not set limits on petty cash, but this committee can provide recommendations to management.

Answer D is incorrect because the management accountant is concerned with overall financial controls, but does not set limits on petty cash.

**Question 7**

Reconciling the receipts and petty cash fund assists the individual responsible for the petty cash disbursements to account for where the petty cash has been spent.

**Question 8**

The HK$180 error means that Great Stationery's cash balance is overstated by HK$180. Since the bank statement does not include the amount, the HK$180 would be added to the balance per bank to arrive at the balance per book (accounting records).

**Question 9**

The HK$300 deposit is not included in the balance per bank, so the amount is added to the balance per bank in the bank reconciliation to arrive at the balance per books (accounting records).

**Question 10**

Cash and cash equivalents will be reported in the statement of cash flows and the statement of financial position.

**Question 11**

A note to the financial statements explains the cash and cash equivalents aggregate figure in financial statements.

**Question 12**

Answer A is incorrect because 2016 was also the comparative period and the year the company reported HK$40.6 million in line item for cash and cash equivalents.

Answer B is incorrect because 2016 was also the year the company reported HK$148 million in total assets less liabilities and HK$40.6 million in line item for cash and cash equivalents.

Answer C is incorrect because 2016 was also the comparative period and the year the company reported HK$148 million in total assets less liabilities.

Answer D is correct because 2016 must be the year in which the company reported the amounts and also the comparative period.

## EXAM PRACTICE

### QUESTION 1

Identify which of the following are categorised as cash.

**A.** Invoices that are sent to your office
**B.** Land and buildings that could be sold for cash to pay debts
**C.** Cash on hand and demand deposit
**D.** Equipment that is contributed by owners to start the business

## QUESTION 2

A company needs to replenish its HK$500 petty cash fund. Its petty cash box has cash HK$75 and petty cash receipts of HK$420. Identify the correct statement about the journal entry to record the use of petty cash:

**A.** A debit to cash for HK$75.
**B.** A credit to cash for HK$75.
**C.** A credit to petty cash for HK$425.
**D.** A credit to cash over and short for HK$5.

## QUESTION 3

The following information is available for HKQP Company:

- The 30 November 20X8 bank statement shows a HK$18,950 balance.
- The general ledger shows a HK$17,420 balance at 30 November 20X8.
- A deposit of HK$7,950 placed in the bank's night depository on 30 November 20X8 does not appear on the 30 November 20X8 bank statement.
- Outstanding cheques amount to HK$6,380 on 30 November 20X8.
- An overseas customer's HK$3,350 settlement was collected by the bank in November 20X8. A collection fee of HK$150 was deducted by the bank and the difference deposited in HKQP's account.
- A bank service charge of HK$100 is deducted by the bank and appears on the 30 November 20X8 bank statement.

Determine how will the overseas customer's settlement appear on HKQP's 30 November 20X8 bank reconciliation.

**A.** HK$3,200 appears as an addition to the book balance.
**B.** HK$3,200 appears as a deduction from the book balance.
**C.** HK$3,200 appears as an addition to the bank balance.
**D.** HK$3,200 appears as a deduction from the bank balance.

## QUESTION 4

Using the information from Question 3, determine the reconciled balance on HKQP Company's 30 November 20X8 bank reconciliation statement.

**A.** HK$20,520
**B.** HK$18,950
**C.** HK$17,420
**D.** HK$22,010

## QUESTION 5

Define cash equivalents.

## QUESTION 6

HK Panda Company Limited ('HK Panda') has hired you as their company accountant, and you are approaching your first month end with the company. The following information is available for reconciling HK Panda's book balance of cash with its bank statement balance as of 30 September 20X8:

- As at 30 November, the company's bank statement shows a balance of HK$83,250; however, its book balance has a debit balance of HK$104,370.
- Cleared cheques on the bank statement are compared to the accounting records: Cheque No. 9013 for payment of utilities is correctly drawn for HK$2,000, but is erroneously entered in the accounting records as HK$1,880.
- While reviewing the bank statement, an error is discovered: A cheque written by Pandora Limited in the amount of HK$1,600 was erroneously drawn against HK Panda's account.
- The 30 September deposit of HK$71,510 was made on that date, but after banking hours. As such, it has not yet been processed and is not on the monthly statement.
- Two cheques: No. 9012 for HK$8,410 and No. 9014 for HK$7,000 are outstanding.
- The bank enclosed a credit memorandum with HK Panda's statement. It indicates that the bank collected a HK$37,000 note and HK$950 related interest on HK Panda's behalf. HK Panda had not previously recorded this transaction.
- The bank statement identifies a debit memorandum that had not been previously recorded. It lists a HK$1,100 NSF cheque received from HK Panda's customer HKQP.
- HK Panda had not previously recorded any bank service charges for the month. According to the statement, total bank service charges for September were HK$150.

**Required**

(a) Prepare a bank reconciliation for HK Panda Company Limited.

(b) Explain the purpose of a bank reconciliation.

(c) Determine why a transaction paid for by cheque that appears in a set of company accounting records would *not* appear in a bank statement at any one time.

## QUESTION 7

The management of Chong's Coffee has decided to start a petty cash fund. It decided to allocate HK$200 to a petty cash fund and that fund should be established on 1 February 20X9. On 28 February 20X9, Chong's Coffee needs to replenish its HK$200 petty cash fund. Its petty cash box has HK$20 cash and petty cash receipts for packaging of HK$180.

**Required**

Prepare the journal entries for the above petty cash transactions on 28 February 20X9.

# ANSWERS TO EXAM PRACTICE

## QUESTION 1

Answer A is incorrect because invoices are accounting source documents.

Answer B is incorrect because land and buildings are non-current assets.

Answer C is correct because it is cash on hand and demand deposit.

Answer D is incorrect because equipment contributed by owners to start the business is owners' capital.

## QUESTION 2

Answer A is incorrect because HK$75 is the remaining cash in the petty cash box which is part of the total cash available in the company.

Answer B is incorrect because HK$75 is the remaining cash in the petty cash box which is a current asset of the company.

Answer C is correct because of the entry that follows:

| | | |
|---|---|---|
| Debit Expenses (or assets) | HK$420 | |
| Cash Over and Short | HK$5 | |
| Credit Petty cash | | HK$425 |
| | | |
| Debit Petty cash | HK$425 | |
| Credit Cash at bank | | HK$425 |

Answer D is incorrect because HK$5 is the shortage of petty cash which should be a debit entry.

## QUESTION 3

Answer A is correct as shown in the following bank reconciliation statement:

| HKQP Company<br>Bank Reconciliation Statement at 30 November 20X8 | |
|---|---|
| Balance per bank statement | HK$18,950 |
| Add: Deposit in transit | 7,950 |
| Less: Outstanding cheques | (6,380) |
| Adjusted bank balance | HK$20,520 |
| | |
| Balance per cash books | HK$17,420 |
| Add: Overseas customer settlement less fee | 3,200 |
| Less: Service charge | (100) |
| Adjusted book balance | HK$20,520 |

Answer B is incorrect as shown in the above bank reconciliation statement.

Answer C is incorrect as shown in the above bank reconciliation statement.

Answer D is incorrect as shown in the above bank reconciliation statement.

## QUESTION 4

Answer A is correct as shown in the above Question 3 bank reconciliation statement.

Answer B is incorrect as shown in the above Question 3 bank reconciliation statement.

Answer C is incorrect as shown in the above Question 3 bank reconciliation statement.

Answer D is incorrect as shown in the above Question 3 bank reconciliation statement.

## QUESTION 5

Cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash, and which are subject to an insignificant risk of changes in value.

## QUESTION 6

(a)

**HK Panda Company**
**Bank Reconciliation at 30 November 20X8**

| | **HK$** | **HK$** |
|---|---|---|
| Bank statement balance | | 83,250 |
| Add: | | |
| Deposit in transit | 71,510 | |
| Bank error (Pandora) | 1,600 | 73,110 |
| | | **156,360** |
| Deduct: | | |
| Unpresented cheques | | |
| No. 9012 | 8,410 | |
| No. 9014 | 7,000 | (15,410) |
| Adjusted bank balance | | **140,950** |

| | **HK$** | **HK$** |
|---|---|---|
| Book balance | | 104,370 |
| Add: | | |
| Collection of note | 37,000 | |
| Interest earned | 950 | 37,950 |
| | | **142,320** |
| Deduct: | | |
| NSF cheque (HKQP) | 1,100 | |
| Error (cheque no. 9013) | 120 | |
| Service charge | 150 | (1,370) |
| Adjusted book balance | | **140,950** |

(b) The purpose of a bank reconciliation is to ensure that the company accounts for any errors in its systems, and that differences between the records are understood.

(c) A payment by cheque may appear in the company's accounts but it is yet to appear in a bank statement, because the cheque has not been presented to the bank.

## QUESTION 7

The journal entry for the establishment of the petty cash fund.

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X9** | | **HK$** | **HK$** |
| 1 February | Petty cash | 200 | |
| | Cash | | 200 |
| | (To fund the petty cash account) | | |

The journal entry for making payments and replenishment of petty cash fund.

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X9** | | **HK$** | **HK$** |
| 28 February | Packaging expense | 180 | |
| | Petty cash | | 180 |
| | (Expenses paid by using petty cash) | | |

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X9** | | **HK$** | **HK$** |
| 28 February | Petty cash | 180 | |
| | Cash | | 180 |
| | (To replenish petty cash fund from cash account) | | |

# 6

# Accounting for Property, Plant and Equipment

## CHAPTER TOPIC LIST

# LEARNING OUTCOMES

| PRINCIPAL LO3: PREPARE ACCOUNTING RECORDS, DEMONSTRATE MANAGEMENT AND CONTROL |
|---|
| **LO3.02: Account for property, plant and equipment** |
| **3.02.01** Define property, plant and equipment |
| **3.02.02** Describe the recognition and derecognition criteria for property, plant and equipment |
| **3.02.03** Describe the cost elements and the initial measurement of property, plant and equipment |
| **3.02.04** Explain the difference between cost model and revaluation model |
| **3.02.05** Explain depreciation and the factors to be considered in formulating depreciation policy |
| **3.02.06** Calculate depreciation using various methods |
| **3.02.07** Prepare the accounting entries for providing depreciation charges using various methods and for recognising and disposing of property, plant and equipment |
| **3.02.08** Account for the revaluation of property, plant and equipment under revaluation model |
| **LO3.04: Prepare period end adjustments** |
| **3.04.01** Prepare the accounting entries for the following period end adjustments:<br>• Accrued expenses (*)<br>• Prepaid expenses (*)<br>• Inventory (#)<br>• Depreciation<br>• Bad debts (#)<br>• Allowance for impairment loss on trade receivables (#)<br>• Income in arrears/in advance (*) |

For the topics marked with (*), please refer to discussions in Chapter 4.
For the topics marked with (#), please refer to discussions in Chapter 7.

## OPENING CASE

# GREAT STATIONERY LIMITED, PART 6

Great Stationery Limited ('Great Stationery') is now in its second year of operations as from 1 April 20X8. It has expanded its business and set up a factory to produce greeting cards. Although this factory is small, it requires the use of expensive equipment that will last for several years. As the Wong brothers will discover, this equipment is an asset and is classified under **property, plant and equipment (PPE)**.

In the first year of operations of their new factory, Great Stationery accounts for the purchase of this new equipment in one of two ways:

- The more expensive pieces include the machines to produce the greeting cards in quantity, such as the folding equipment and computers for design and printing. These high-cost items are all capitalised, meaning they are accounted for as non-current assets over several years because their use will extend beyond the current period. In turn, the recording of those assets will lead to expenses (depreciation charges) as the service potential of the assets is used up over time.
- Less expensive items, such as stools for factory staff, are simply expensed in the current period because their cost is too small to effectively carry forward.

**Depreciation** is an expense recognised when the service potential of assets is used up to produce revenue. Using depreciation allows a business to account for the full cost of producing its products. That cost is expensed when the related revenue is brought to account or, in the absence of revenue, when the service potential of the asset is lost or impaired.

# OVERVIEW

PPE is a very common class of assets in a company's statement of financial position. Assets in this class have physical substance, are used directly (e.g. plant) or indirectly (e.g. administrative furniture) to produce goods or services and are typically not intended for sale.

Accounting for PPE requires entities to determine the initial carrying amount of each asset. This process includes determining the total cost of the asset, which includes the purchase price and cost of putting the asset to work, such as shipping and installation. As this chapter explains, there are four main classes of PPE: freehold land, leasehold improvement, buildings and equipment.

The accounting for PPE, as will be explained, may be carried out under historical cost or at fair value. This is an option (i.e. revaluation model) provided in the accounting standards.

It is important to understand that historical cost accounting does not seek to account for changes in the value of PPE. It simply aims to account for the cost of the PPE in a manner that attributes that cost to the periods over which the PPE contributes to the business.

On the other hand, the use of the fair value (i.e. revaluation) model seeks to account for changes in the value of the PPE dynamically over time. Typically, but not always, the value of PPE declines as the assets age.

As the service potentials of these assets are consumed over their lives, their net carrying amounts normally need to be adjusted each period to recognise that consumption. Freehold land is the exception as its service potential normally does not have a finite life.

The process of allocating the cost or the fair value of PPE over time is called depreciation. Posting depreciation expense allows a company to track the dollar amount of an asset value that has been used to produce revenue.

Three factors are taken into account when calculating depreciation: the cost or fair value of the asset, its **useful life** and its **residual value**. There are also three different methods of calculating depreciation: the straight-line method, the diminishing-balance method and the units-of-production method.

Eventually, most entities dispose of property, plant and equipment either by retiring (scrapping) or selling it.

The carrying amount of PPE is presented in the statement of financial position, and depreciation is shown in the statement of profit or loss and other comprehensive income. Both Hong Kong Accounting Standards (HKAS) and Hong Kong Financial Reporting Standards (HKFRS) provide some guidance on how this should be done.

# 6.1 PROPERTY, PLANT AND EQUIPMENT

PPE comprises long-term assets that a company owns and uses for a variety of purposes, including the production and sale of goods or services to consumers.

An asset categorised as PPE has three characteristics:

1. It possesses physical substance (it is tangible).
2. It is held for use in the production or supply of goods or services, for rental to others, or for administrative purposes.
3. It is a long-life asset and is used for more than one reporting period (not intended for sale to customers).

Unlike current assets, these assets are expected to provide service potential to a company for a number of years.

It is typical for non-current assets such as PPE to be recorded on a non-current asset register with an asset number, description of the asset and date of purchase. These are details that are needed for security purposes by an entity as well as for the exercise of appropriate accounting.

## 6.1.1 Classes of Property, Plant and Equipment

PPE is often subdivided into four classes:

1. Freehold land.
2. Buildings, such as stores, offices, factories and warehouses.
3. Leasehold improvements, such as interior walls, ceilings, wall papers, painting, electricity wiring and fire safety systems, like water sprinklers.
4. Equipment, such as store checkout counters, cash registers, office furniture, computer equipment, factory equipment and delivery equipment.

### 6.1.1.1 Freehold Land

The cost of land includes:

- The purchase price;
- Closing costs such as surveying and legal fees; and
- The costs of preparing the land for its intended use, such as the removal of old buildings, clearing, draining, filling and grading.

All of these costs (less any proceeds from salvaged materials) are debited to a land account.

Freehold land is not depreciated, because its service potential is not normally used up over time. Bear in mind, however, that accounting for freehold land may be relevant in other jurisdictions, such as in the United States, in which a Hong Kong company has interests. The accountant must understand the various environments of a company to determine which accounting standards apply.

In Hong Kong, land is generally held under a lease with the Hong Kong SAR Government. As a result, the depreciable amount of that leasehold property interest should be allocated on a systematic basis over its useful life, and the lease term would normally provide an indication of the useful life of that property.

It is however noted that property developers are typically the only companies that own land in Hong Kong, so the application of accounting for land will tend to be limited to them and the nature of their asset may not fall under PPE (it may be more like inventory or an investment property).

#### 6.1.1.2 Buildings

All costs that are directly related to the purchase, renovation or construction of a building are debited to the building account:

- When a building is purchased, these costs include the purchase price and closing costs (such as legal fees).
- The costs of making a building ready to be used as intended can include expenditures for remodelling and for replacing or repairing the roof, office fittings, floors, electrical wiring and plumbing.

Accounting for building purchases is more likely to be relevant in Hong Kong because companies rarely construct their own buildings.

#### 6.1.1.3 Leasehold Improvements

Leasehold improvements are improvements to leased premises. These may include new walls inside office accommodation. When classifying costs, it is important to remember that one-time costs required for getting the land ready to use are always charged to the land account, not the leasehold improvements account.

Unlike land, leasehold improvements decline in service potential to the lessee over the term of the leases and require maintenance and replacement.

Because of this, leasehold improvements are recorded separately from the leased property or owned properties and are depreciated over their useful lives.

Whilst this chapter deals with leasehold improvements, the broader topic of accounting for leases is dealt with in other modules.

#### 6.1.1.4 Equipment

The equipment classification is a broad one that can include delivery equipment, office equipment, computers, machinery, vehicles, furniture and fixtures, and other similar assets.

The cost of these assets includes:

- Purchase price;
- Freight charges and insurance during transit paid by the purchaser; and
- Costs of assembling, installing and testing the equipment.

These costs are treated as **capital expenditures** (i.e. they give rise to an asset), because they yield benefit over a number of future periods and are necessary to bring the asset to its required location and make it ready for use. Remember that the recognition criteria are that future economic benefits will flow into the entity and that the cost of the items can be measured reliably.

Annual costs such as motor vehicle licences and insurance on company trucks and cars are treated as **revenue expenditures**, because they are recurring expenditures that do not benefit future periods.

### 6.1.2 Recognition and Subsequent Valuation of Property, Plant and Equipment

The cost of an item of PPE includes:

- The purchase price, plus any non-refundable taxes, less any discounts or rebates.
- The expenditures necessary to bring the asset to the required location and make it ready for its intended use.
- Any obligations to dismantle, remove or restore the asset when it is retired. These costs are known as asset **retirement** costs.

All of these expenditures are **capitalised** (recorded as the PPE) rather than expensed, if the company is likely to receive an economic benefit in the future from the asset. It is important to determine which costs to include in a non-current asset account:

- Costs that benefit future periods (capital expenditures) are included in the carrying amount of PPE.
- Costs that benefit only the current period are expensed (revenue expenditure).

For example, Great Stationery purchases equipment for its factory. The equipment is expected to be used for 10 years. The following costs were incurred:

| Equipment | Amount (HK$) | Expenditure Type |
|---|---:|---|
| Purchase price | 100,000 | Capital expenditure |
| Shipping charges | 8,000 | Capital expenditure |
| Insurance | 1,200 | Capital expenditure |
| Installation | 3,500 | Capital expenditure |
| **Total** | **112,700** | |

Great Stationery would record each of the expenditures as an addition to the equipment account. The total cost of the equipment is HK$112,700, and all of these costs were necessary to get the equipment to its required location and ready for use. However, the annual maintenance cost of this equipment will be treated as a revenue expenditure and charged to the statement of profit or loss and comprehensive income.

Companies sometimes expense, rather than capitalise, low-cost, long-lived assets. For example, Great Stationery might purchase stools for its employees working in the factory. The stools cost HK$50 each and are expected to be in use for five years. Despite being used for future periods, the stools would be included in an expense account rather than an asset account.

This is an application of the concept known as materiality that allows companies to immediately record immaterial expenditures as an expense, because it will not influence users' decision-making whichever way of accounting is chosen. Materiality is an estimate of a dollar amount that would be large enough to influence a financial statement reader. Companies typically set an arbitrary amount below which the costs of PPE are expensed.

Subsequent to acquisition, the same distinction exists between accounting for assets and expenses:

- Major expenditures that increase the life of the asset or its productivity are capitalised.
- But once an asset is in use, having an insurance policy benefits only the current period and is treated as an expense.

#### 6.1.2.1 Revaluation

The other basis you will encounter is fair value. Assets are measured at fair value by applying what is called the revaluation approach. The underlying premise in revaluation is that assets are periodically revalued, so that the financial statements reflect a contemporary picture of financial position. The information presented is argued to be more relevant to a user of financial statements, because there is a better indication of the economic value of assets owned by an entity.

It is important to remember that a revaluation will result in the creation of an account in the equity section of the statement of financial position that is a revaluation reserve (a credit). This reserve represents the net revaluation increments for revalued assets. It shows the net amount by which the asset's original value has increased.

Revaluation is not just about increments of value. You should remember revaluation can be downwards too. An asset can increase as well as decrease in value.

Assume for a moment that XYZ Company Ltd has total equity of HK$150,000 that is the contribution to the business by a single shareholder, and a machine has been purchased for HK$50,000. There is no liability at this stage because the equipment has been bought using cash taken from the original equity put into the company.

At Year 2, the machine has been depreciated by HK$2,000. The machinery is now revalued to HK$70,000.

The journal entry to record the revaluation is shown below:

| | **Debit** | **Credit** |
|---|---|---|
| | **HK$** | **HK$** |
| Machinery HK$[70,000 – (50,000 – 2,000)] | 22,000 | |
| Revaluation reserve | | 22,000 |
| (To record the increase in value for the asset based on valuation.) | | |

The value of the machinery appreciates and therefore the equity account must also be increased by the same amount. Since the increased value benefits the shareholders of the business, the amount of the revaluation is added to the equity account as the revaluation reserve.

Remember the need to ensure the elements of the accounting equation and the accounting records need to balance as discussed in Chapter 2? The revaluation reserve is required to show the amount by which the value of machinery is increased.

Note that reversals of the revaluation increments are taken against the asset revaluation reserve in equity until the reserve is exhausted. After that the debits are taken to the profit or loss. Once an asset is revalued it is subject to depreciation in the same way as for the cost method.

The accounting standards have specific requirements for revaluation of PPE. An entity that chooses to revalue assets will need to do so with sufficient regularity to keep the carrying amount of assets current.

The standard also requires an entity to ensure that a class of assets is valued using the same basis. HKAS 16 *Property, Plant and Equipment* highlights the following classes of assets as examples:

1. Land
2. Land and buildings
3. Machinery
4. Ships
5. Aircraft
6. Motor vehicles
7. Furniture and fixtures
8. Office equipment and
9. Bearer plants

The standards require that all items within a class should be revalued to fair value at the same time, so the values that appear represent values struck at the same time. This is also to avoid selective valuation of certain assets. The principle of consistency of treatment within asset classes is important to remember here.

### 6.1.3 Depreciation

During a depreciable asset's useful life, its revenue-producing ability declines because of physical factors such as wear and tear, and economic factors such as obsolescence. For example:

- A company may replace a truck because it is physically worn out.
- Companies replace computers long before they are physically worn out because improvements in hardware and software have made the old computers obsolete.

**Depreciation** is the systematic allocation of the carrying amount (usually cost) of a non-current asset, such as PPE, over the asset's useful life. This is to recognise that the cost of the asset has been used up during the period, and to report the unused cost of the asset at the end of the period.

### 6.1.3.1 Calculating Depreciation Expense

Depreciation expense under historical cost accounting is calculated by dividing its depreciable amount by its expected useful life. Depreciable amount is the cost of the asset less what is expected to be recovered when the asset is sold (i.e. residual value).

There are three factors that affect the calculation of depreciation:

1. **Cost:** The cost of PPE includes the purchase price plus all costs necessary to get the asset ready for use. Cost includes an initial estimate of the retirement costs, if any.
2. **Useful life:** Either the period of time over which an asset is expected to be available for use or the number of units of production (such as machine hours) or units of output that are expected to be obtained from an asset. Useful life is an estimate, based on such factors as the asset's intended use, its expected need for repair and maintenance, and how vulnerable it is to wearing out or becoming obsolete. The company's past experience with similar assets often helps in estimating the expected useful life.
3. **Residual value:** The estimated amount that a company would obtain from disposing of the asset at the end of its useful life. Residual value is not depreciated, because the amount is expected to be recovered at the end of the asset's useful life to get to the depreciable amount of the asset.

The difference between an asset cost and its residual value is called the depreciable amount, which is the total amount to be depreciated over the useful life. Residual value has to be kept up to date, so that depreciation is properly measured. For some assets this is not an issue because the residual values are not material.

Depreciation is generally calculated using one of the following methods:

- Straight-line
- Diminishing-balance
- Units-of-production

Management must choose the method that best matches the estimated pattern in which the asset's future economic benefits are expected to be consumed, and the application of the depreciation method must be reviewed at least once a year to ensure the three factors above still apply. Straight-line depreciation is the most common method and changes in method are not common.

If the expected pattern of consumption of the future economic benefits has changed, the depreciation calculation must be altered, and the change disclosed in the notes to the financial statements. This would also apply if the method is changed.

### 6.1.3.2 The Straight-Line Method

As indicated above, most publicly traded companies use the straight-line method of depreciation for most assets, and the **straight-line method** of calculating depreciation has two steps:

1. First, residual value is deducted from the asset cost to determine an asset's depreciable amount.
2. Second, the depreciable amount is divided by the asset's useful life to calculate the annual depreciation expense.

Assume, for example, equipment with a cost of HK$6,000 has a residual value of HK$1,000 and a useful life of five years.

First, determine the depreciable amount:

Asset Cost – Residual Value = Depreciable Amount
HK$6,000 – HK$1,000 = HK$5,000

Then calculate the annual depreciation expense by dividing the depreciable amount (from the first step) by the number of years of the asset's useful life:

Depreciable Amount / Years of Useful Life = Annual Depreciation Expense
HK$5,000 / 5 = HK$1,000 (i.e. 20% of the depreciable amount)

The depreciation expense will be the same amount, HK$1,000, for each year of the asset's useful life, if the cost, the useful life, and the residual value do not change.

The depreciation schedule of this equipment will be as follows:

| Year | Carrying Amount HK$ | Depreciation Rate | Annual Depreciation HK$ |
|---|---|---|---|
| 1 | 6,000 | 5,000 × 0.20 | 1,000 |
| 2 | 5,000 | 5,000 × 0.20 | 1,000 |
| 3 | 4,000 | 5,000 × 0.20 | 1,000 |
| 4 | 3,000 | 5,000 × 0.20 | 1,000 |
| 5 | 2,000 | 5,000 × 0.20 | 1,000 |
| 6 | 1,000 | Residual Value | |

Straight-line is the most appropriate method of depreciation when the asset is used quite uniformly throughout its useful life. Examples of assets that deliver their benefit primarily as a function of time include office furniture and fixtures, buildings, warehouses and garages for motor vehicles.

### 6.1.3.3 The Diminishing-Balance Method

The **diminishing-balance method** (also known as reducing balance method or declining method) produces a decreasing annual depreciation expense over the asset's useful life. This method is so named because:

- Periodic depreciation is based on a diminishing carrying amount (cost less accumulated depreciation) of the asset.
- Annual depreciation expense is calculated by multiplying the carrying amount at the beginning of the year by the depreciation rate.

For this example, assume the same equipment from Section 6.1.3.2 with a HK$6,000 cost which is depreciated at a 40% depreciation rate. The depreciation rate remains constant from year to year, but the rate is applied to a carrying amount (i.e. written down value) that declines each year.

Here is the calculation for annual depreciation using the diminishing-balance method:

| Diminishing-Balance Method: Equipment | | | |
|---|---|---|---|
| Year | Carrying Amount HK$ | Depreciation Rate | Annual Depreciation HK$ |
| 1 | 6,000 | 40% | 2,400 |
| 2 | 3,600 | 40% | 1,440 |
| 3 | 2,160 | 40% | 864 |
| 4 | 1,296 | 40% | 296 |
| 5 | 1,000 | Residual Value | |

Note that, in Year 2, the carrying amount is calculated by subtracting the Year 1 annual depreciation from the carrying amount:

$$\text{Total Asset Cost} - \text{Year 1 Annual Depreciation} = \text{Year 2 Carrying Amount}$$
$$\text{HK\$6,000} - \text{HK\$2,400} = \text{HK\$3,600}$$

Unlike the other depreciation methods, the diminishing-balance method does not use a depreciable amount in calculating annual depreciation expense. Residual value is not included in the calculation of either the depreciation rate or the depreciation expense.

Residual value does, however, limit the total depreciation that can be recorded. Depreciation expense entries stop when the asset's carrying amount equals its estimated residual value. Using the equipment example, depreciation expense would stop when the carrying amount of the asset declines to the residual value of HK$1,000.

Another way of applying the diminishing-balance method is to double the straight-line rate and this is referred to as the double diminishing-balance method. In the example above, the depreciable rate is twice the 20% straight-line depreciation rate, or 40%. Whichever method is chosen needs to lead to depreciation which reflects the using up of service potential of the asset.

### 6.1.3.4 The Units-of-Production Method

Useful life can be expressed in ways other than time. In the **units-of-production method**, useful life is the estimated total units of production of the asset, not the number of years that the asset is expected to be used.

The units-of-production method is ideal for equipment such as automobiles, whose activity can be measured in units of output, such as kilometres driven or hours in use. It is a method used in the extractive industries where mine output is finite, and the using up of the assets involved is directly driven by quantities extracted.

The units-of-production method is generally not suitable for buildings or furniture, because depreciation of these assets is more a result of time than of use.

Using this method, the total units of production for the entire useful life are estimated:

- This amount is divided into the depreciable amount (cost – residual value) to determine the depreciable amount per unit.

- To calculate the annual depreciation expense, the depreciable amount per unit is multiplied by the actual units of production during the year.

Assume that Great Stationery uses the units-of-production method for the same equipment as stated in Section 6.1.3.2, and that the company expects to produce 50,000 greeting cards over the useful life of the equipment. In this example, the units of greeting cards are the units of production:

$$\text{Total Depreciation Amount / Total Units of Production} = \text{Depreciation per Unit}$$
$$\text{HK\$5,000 / 50,000} = \text{HK\$0.10}$$

The annual depreciation in Year 1 depends on the number of units produced in the first year. If Great Stationery's actual production in Year 1 is 12,000 units, the annual depreciation expense is calculated by multiplying the number of units by the depreciation per unit (calculated in the first step):

$$\text{Number of Units Produced in Year 1} \times \text{Depreciation per Unit} = \text{Year 1 Depreciation Expense}$$
$$12{,}000 \times 0.10 = \text{HK\$1,200}$$

| Year | Carrying Amount HK$ | Depreciation Rate | Annual Depreciation HK$ |
|---|---|---|---|
| 1 | 6,000 | 12,000 × 0.10 | 1,200 |
| 2 | 4,800 | 12,000 × 0.10 | 1,200 |
| 3 | 3,600 | 12,000 × 0.10 | 1,200 |
| 4 | 2,400 | 12,000 × 0.10 | 1,200 |
| 5 | 1,200 | 2,000 × 0.10 | 200 |
| 6 | 1,000 | Residual Value | |

The units-of-production method is used for assets whose activity can be measured in units of output. But it can only be used if it is possible to make a reasonable estimate of total activity. The units-of-production method results in the best estimate of the consumption of service potential associated with revenues, when the asset productivity varies significantly from one period to another.

### 6.1.3.5 Period of Acquisition

Another factor to consider when calculating depreciation is the timing of the purchase of PPE. If the purchase is part way through an accounting period, ideally the annual depreciation would be pro-rated for the part of the year that the asset was available for use.

Note that depreciation is sometimes rounded to be for the nearest whole month, or for some other convenient period (e.g. a quarter, half-year). Since depreciation is an estimate, calculating it to the nearest day gives a false sense of accuracy.

Assume that there is a piece of machinery that has a useful life of 10 years for which HK$20,000 was paid and that the residual value is expected to be no more than HK$1,000. The machine was purchased half way through a reporting period. The accounting records would need to reflect six months' worth of depreciation in the relevant reporting period.

The calculation would be worked out like this:

HK$20,000 – HK$1,000 = HK$19,000 (Depreciable Amount)

Then calculate the annual depreciation expense by dividing the depreciable amount (from the first step) by the number of years of the asset's useful life:

Depreciable Amount / Years of Useful Life = Annual Depreciation Expense
HK$19,000 / 10 = HK$1,900

In order to work out the partial depreciation the calculation can be done in the following way:

Annual Depreciation × 6 / 12 = Partial Depreciation
HK$1,900 × 6 / 12 = HK$950

Some other common policies that companies use are:

- **Full-first-year policy:** This method records a full year of depreciation expense in the year of acquisition, regardless of what point in the year the asset was purchased and put into use, and none in the final year of the asset life.
- **Half-year policy:** This method records half a year of depreciation expense in the year of acquisition, and half a year of depreciation expense in the final year of the asset life.

Whatever policy is chosen for partial-year depreciation, the impact should not be allowed to lead to material differences in periodic depreciation and the policy should be used consistently.

To demonstrate the depreciation expense in a journal entry, here is an example to record equipment depreciation of HK$1,000 on 31 May 20X8:

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X8** | | **HK$** | **HK$** |
| 31 May | Depreciation expense: equipment | 1,000 | |
| | Accumulated depreciation: equipment | | 1,000 |
| | (To post depreciation expense on equipment) | | |

As illustrated above, depreciation is recorded through a journal entry that debits depreciation expense and credits accumulated depreciation:

- Depreciation expense is an operating expense on the statement of profit or loss and other comprehensive income.
- Accumulated depreciation, however, appears on the statement of financial position as a contra account to the related non-current asset account.

The resulting balance, cost less accumulated depreciation, is the carrying amount (i.e. net book value) of the depreciable asset.

If, for example, the original cost of the equipment was HK$6,000, the net carrying amount after the accumulated depreciation (i.e. net book value) would be (HK$6,000 – HK$1,000), or HK$5,000.

When the historical cost approach to PPE is used, it is important to understand that depreciation is a process of cost allocation, not a process of determining an asset's decline in, say, market price. Under the cost model, an increase in an asset's fair value is not recorded. As a result, the carrying amount of PPE (cost less accumulated depreciation) may be very different from its fair value.

It is also important to understand that posting depreciation does not impact the cash account. The balance in accumulated depreciation only represents the total asset cost that has been allocated to expense so far. Cash is neither increased nor decreased by the adjusting entry to record depreciation. Depreciation is a non-cash item under accrual accounting.

### 6.1.4 Revising Periodic Depreciation

During the useful life of a non-current asset, the annual depreciation expense needs to be revised if there are changes to the factors that affect the calculation of depreciation, such as:

1. Capital expenditures that increase the depreciable amount of the asset;
2. Changes in the estimated useful life of the asset;
3. Changes in the residual value (which will change the depreciable amount); and
4. Changes in the pattern of consumption that cause a change in the selected depreciation method.

During the useful life of a non-current asset, a company may incur costs for ordinary repairs, or for additions or improvements.

**Illustrative Example 1**

Referring to the equipment from Section 6.1.3.2, after the first year of providing depreciation (i.e. HK$1,000) by using straight-line method, the company determines that its depreciable useful life should be extended to 6 years and its residual value will be HK$500. What will be the annual depreciation to be provided in Year 2?

Depreciable Amount in Year 2 = Written-down Value of Asset – Residual Value
= HK$5,000 – HK$500 = HK$4,500

Year 2 Depreciation Expense = Depreciable Amount / Remaining Years of Useful Life
= HK$4,500 / 5 = HK$900

The carrying amount of the equipment in Year 3 will be HK$4,100 (HK$5,000 − HK$900).

### 6.1.4.1 Repairs, Additions and Improvements

**Repairs** are costs to maintain the asset's operating efficiency and expected productive life. Doing motor tune-ups, repainting a building or replacing worn-out gears on equipment are examples of ordinary repairs.

These costs tend to be small but, critically, they have a short-term effect. They may also be larger, infrequent amounts, but if they simply restore an asset to its prior condition, they are considered an ordinary repair. Such repairs are debited to repairs expense as they occur. Ordinary repairs are revenue expenditures.

**Additions and improvements** are costs that are incurred to increase the asset's operating efficiency, productive capacity or expected useful life, and adding a part to the equipment (explained above) is an example of an addition.

These costs are usually large and happen less often. Additions and improvements that add to the future cash flows associated with that asset are not expensed as they occur – they are capitalised as assets. They are generally debited to the appropriate PPE account.

The capital expenditure will be depreciated over the remaining life of the original structure or the useful life of the addition. Additions and improvements can also increase the useful life of the original structure. The depreciation calculations need to be revised when a company makes a material addition or improvement.

To explain this concept, recall the equipment depreciation example in Section 6.1.3.2. At the end of Year 1, the carrying amount of the equipment is:

$$\text{Total Asset Cost} - \text{Accumulated Depreciation} = \text{Carrying Amount at End of Year 1}$$
$$\text{HK\$6,000} - \text{HK\$1,000} = \text{HK\$5,000}$$

Assume that Great Stationery has added a part worth HK$500 to the equipment, and the part is expected to last for the remaining life of the equipment. The carrying amount for depreciation is now HK$5,500 over the remaining useful life. The new annual straight-line depreciation expense is:

$$(\text{Carrying Amount} + \text{Cost of New Part}) / \text{Years of Remaining Life} = \text{Annual Depreciation Expense}$$
$$(\text{HK\$5,000} + \text{HK\$500}) / 4 = \text{HK\$1,375}$$

### 6.1.4.2 Impairment

As explained previously, there are two bases that a company is able to use to account for PPE. The first and most common basis is the cost basis. The cost basis involves assets being recorded at cost less any accumulated depreciation (and impairment).

PPE are considered impaired if the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the greater of:

- The asset's fair value less costs to sell; and
- Its value in use, which is determined by discounting future estimated cash flows.

When an asset is impaired, an impairment loss recorded is the amount by which the asset's carrying amount exceeds its recoverable amount.

Companies are required to determine if there is any indication of impairment and must do so on a regular basis. Some factors that would indicate an impairment of an asset include:

- Obsolescence or physical damage of the asset.
- Equipment used in the manufacture of a product where there is dramatically reduced demand or the market has become highly competitive.
- Bankruptcy of a supplier of replacement parts for equipment.

Further details of the accounting treatment of impairment will be covered in Module 6.

### 6.1.5 Derecognition of Property, Plant and Equipment

Companies dispose of PPE that is no longer economically useful to them. This process is referred to as **derecognition**. Because assets are used to produce revenue, assets are disposed of when they can no longer be used economically to generate revenue. There are three methods of disposal:

1. Retirement
2. Sale
3. Exchange (covered in Module 6)

Whatever the disposal method, a company must perform the following four steps to record the retirement, sale or exchange of the PPE:

1. **Update depreciation.** Depreciation must be recorded over the entire period of time an asset is available for use. Therefore, if the disposal occurs in the middle of an accounting period, depreciation must be updated for the fraction of the year since the last time adjusting entries were recorded up to the date of disposal.
2. **Calculate the carrying amount.** Calculate the carrying amount at the date of disposal after updating the accumulated depreciation for any partial year depreciation calculated in Step 1.
3. **Calculate the gain or loss.** Determine the amount of the gain or loss on disposal, if any, by comparing any proceeds received from the disposal with the carrying amount at the date of disposal. Gains and losses are similar to revenues and expenses, except that gains and losses arise from activities that are outside of a company's normal operating activities:
   - If the proceeds of the sale are more than the carrying amount of the PPE, there is a gain on disposal.
   - If the proceeds of the sale are less than the carrying amount of the asset sold, there is a loss on disposal.
4. **Record the disposal.** The journal entry to record the disposal always involves removing the asset cost and the accumulated depreciation from the accounts. These are the same amounts used to calculate the carrying amount in Step 2.

The journal entry may also include recording the proceeds and the gain or loss on disposal:

- Gains on disposal are recorded as credits because, like revenue, gains increase equity.
- Losses on disposal are recorded as debits because, like expenses, losses decrease equity.

### 6.1.5.1 Asset Retirement

Some assets are simply **retired** at the end of their useful lives. For example, some productive assets used in manufacturing may have highly specialised uses and consequently have no market value when the company no longer needs the asset. In this case, the asset is retired.

When an asset is retired, there are often no proceeds on disposal:

- The accumulated depreciation account is decreased (debited) for the full amount of depreciation recorded over the life of the asset.
- The asset account is reduced (credited) for the asset's original cost.

Accumulated depreciation on a piece of PPE can never be more than the asset cost. If a piece of PPE is retired before it is fully depreciated and no proceeds are received, a loss on disposal occurs. Even if the carrying amount equals zero, a journal entry is still required to remove the asset and its related depreciation account from the books.

If a company continues to use a fully depreciated asset, the asset and its accumulated depreciation continue to be reported on the statement of financial position, without further depreciation, until the asset is retired. Once an asset is fully depreciated, even if it is still being used, no additional depreciation should be taken. Reporting the asset and related depreciation on the statement of financial position informs the reader of the financial statements that the asset is still being used by the company.

### 6.1.5.2 Asset Sale

Using the same example from Section 6.1.3.2, assume that the original cost of a piece of equipment is HK$6,000, and that the carrying amount after one year of depreciation expense is (HK$6,000 − HK$1,000), or HK$5,000.

Here is the journal entry posted when the asset is sold for HK$4,500 in cash immediately after depreciation expense is posted on 31 May 20X8:

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X8** | | **HK$** | **HK$** |
| 1 June | Loss on disposal | 500 | |
| | Accumulated depreciation – equipment | 1,000 | |
| | Cash at bank | 4,500 | |
| | Equipment | | 6,000 |
| | (To post a loss on disposal of equipment) | | |

A debit is posted for loss on disposal. If a credit balance was needed to balance the total dollars in the journal entry, a gain on disposal is recorded.

## Illustrative Example 2

Assume that a piece of equipment is purchased on 1 May 20X7 for HK$10,000 with no residual value, and that the useful life of the asset is 20 years. Straight-line depreciation expense is:

$$\text{Original Cost / Total Years of Useful Life} = \text{Annual Depreciation}$$
$$\text{HK\$10,000 / 20} = \text{HK\$500}$$

Here is a journal entry recording one year of equipment depreciation expense on 31 May 20X8:

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X8** | | **HK$** | **HK$** |
| 31 May | Depreciation expense: equipment | 500 | |
| | Accumulated depreciation: equipment | | 500 |
| | (To post depreciation expense on equipment) | | |

As of 31 May 20X1, the firm has recognised total depreciation expense of (HK$500 × 4 years), or HK$2,000. Here is the journal entry posted when the equipment is sold for HK$19,000 in cash immediately after depreciation expense is posted on 31 May 20X1:

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X1** | | **HK$** | **HK$** |
| 1 June | Cash at bank | 19,000 | |
| | Accumulated depreciation: equipment | 2,000 | |
| | Equipment | | 10,000 |
| | Gain on disposal | | 11,000 |
| | (To post a gain on disposal of equipment) | | |

## Illustrative Example 3

A company purchases equipment on 1 May 20X7 for HK$6,000 with no residual value, and the useful life of the equipment is 10 years. The company uses the diminishing-balance method to compute depreciation expense, and depreciation is based on twice the straight-line rate (i.e. 20%).

On 1 May 20X9, the company sells the asset for HK$2,000. Let's calculate the company's gain or loss on disposal and prepare the journal entries and respective depreciation schedules.

### Illustrative Example 3 *(continued)*

The straight-line rate of depreciation is 10% a year for 10 years, and the diminishing-balance method is twice the straight-line rate, or 20% a year. Here is the annual depreciation expense for the first two years:

| **Diminishing-Balance Method: Equipment, Years 1 and 2** | | | |
|---|---|---|---|
| **Year** | **Carrying Amount HK$** | **Depreciation Rate** | **Annual Depreciation HK$** |
| 1 | 6,000 | 20% | 1,200 |
| 2 | 4,800 | 20% | 960 |
| | | **Total Depreciation** | **2,160** |

Accumulated depreciation when the asset is sold at the end of two years is HK$2,160. Here is the journal entry on 1 May 20X9, when the company sells the asset for HK$2,000:

| **Date** | **Particulars** | **Debit** | **Credit** |
|---|---|---|---|
| **20X9** | | **HK$** | **HK$** |
| 1 May | Cash at bank | 2,000 | |
| | Accumulated depreciation: equipment | 2,160 | |
| | Loss on disposal | 1,840 | |
| | Equipment | | 6,000 |
| | (To post a loss on disposal of equipment) | | |

### Key Learning Point

PPE are long-term assets that a company owns and uses for a variety of purposes, including the production and sale of goods or services to consumers. Expenditures to acquire an asset are capitalised, rather than expensed, if the company is likely to receive an economic benefit from the asset in the future. If an asset is disposed of, retired or exchanged for another asset, a company may incur a gain or a loss.

### ▶ Knowledge Check Questions

**Question 1**

A company purchases equipment for HK$6,000 with no residual value, and the useful life of the equipment is 10 years. Calculate the amount of annual depreciation expense using the straight-line method of depreciation.

### ▶Knowledge Check Questions *(continued)*

**Question 2**

Assume that an asset's useful life is 5 years, and that the company uses the diminishing-balance method to compute the depreciation expense. Calculate the depreciation rate, assuming that the rate of depreciation is based on twice the straight-line rate:

**A** 10%

**B** 20%

**C** 30%

**D** 40%

## 6.2 STATEMENT PRESENTATION AND ANALYSIS

Long-lived assets are normally reported in the statement of financial position under the heading 'Property, Plant and Equipment'. The cost and the accumulated depreciation for each major class of assets are disclosed in either the statement of financial position or notes.

HKAS 16 *Property, Plant and Equipment* notes that companies should make it possible for readers of financial statements to 'discern information about an entity's investment in its property, plant and equipment and the changes in such investment'.

Under HKAS and HKFRS, companies also have to disclose if they are using the cost or the revaluation model for each class of assets, and include a reconciliation of the carrying amount at the beginning and end of the period for each class of long-lived assets in the notes to the financial statements.

This means they must show all of the following for each class of non-current assets:

- Additions
- Disposals
- Depreciation or amortisation
- Impairment losses
- Reversals of impairment losses

In addition, the depreciation methods that are used must be disclosed to the financial statement readers, and the dollar amounts of depreciation expense for the period should also be disclosed. Gains or losses on disposals of non-current assets are included in operating expenses on the statement of profit or loss and other comprehensive income.

Information in the financial statements about non-current assets allows decision makers to analyse a company's use of its total assets.

Hi-Tek Industries publishes (i.e. as extracted below) its accounting policies that state the way in which they have applied the accounting standard on PPE. The accounting policy states that the company states plant and equipment at cost less accumulated depreciation and impairment losses. In other words, the assets reported in the financial statements by Hi-Tek are not revalued.

**2 SIGNIFICANT ACCOUNTING POLICIES *(continued)***

**(h) Plant and equipment *(continued)***

Depreciation is calculated to write off the cost of items of plant and equipment, less their estimated residual value, if any, using the straight line method over their estimated useful lives as follows:

| | |
|---|---|
| • Leasehold improvements | Over the remaining of the leases |
| • Furniture and fixtures | 4 years |
| • Computer and office equipment | 4 years |
| • Mould | 4 years |
| • Motor vehicles | 4 years |

Both the useful life of an asset and its residual value, if any, are reviewed annually.

'Gains or losses arising from the retirement or disposal of an item of plant and equipment are determined as the difference between the net disposal proceeds and the carrying amount of the item and are recognised in profit or loss on the date of retirement or disposal', the note states. It also sets out the useful lives of plant and equipment.

You will notice that:

- The company applies a uniform depreciation rate for furniture and fixtures, computer and office equipment, moulds that are used in the business and also motor vehicles.
- It is significant to note that leasehold improvements are deemed to last across the remaining term of a lease. This means that the depreciation of leasehold improvements may be spread over a period longer than the four years used for plant and equipment.

These policies are reflected in note 12 of the company's financial statements (refer to the Apply and Analyse section below) that set out the accounting for each class of asset as required by the standards.

## Apply and Analyse 1

Hi-Tek Industries publishes a series of figures in note 12 (i.e. as extracted below) of its financial statements in its Annual Report 2017 related to plant and equipment. Look at how the note has been formatted so that it highlights the costs of the various assets, such as leasehold improvement, computers and office equipment and motor vehicles.

## Apply and Analyse 1 *(continued)*

**PLANT AND EQUIPMENT**

| | Leasehold improve-ments *$'000* | Furniture and fixtures *$'000* | Computer and office equipment *$'000* | Mould *$'000* | Motor vehicles *$'000* | Total *$'000* |
|---|---|---|---|---|---|---|
| **Cost:** | | | | | | |
| At 1 January 2016 | 3,246 | 1,661 | 17,508 | 10,822 | 941 | 34,178 |
| Exchange adjustments | (107) | (54) | (297) | – | (15) | (473) |
| Additions | 45 | – | 1,217 | 1,233 | – | 2,495 |
| Disposals | (974) | (327) | (3,271) | – | (478) | (5,050) |
| At 31 December 2016 | 2,210 | 1,280 | 15,157 | 12,055 | 448 | 31,150 |
| **Accumulated depreciation:** | | | | | | |
| At 1 January 2016 | 2,754 | 1,360 | 14,650 | 8,791 | 328 | 27,883 |
| Exchange adjustments | (72) | (47) | (230) | – | (5) | (354) |
| Charge for the year | 333 | 44 | 1,091 | 1,041 | 165 | 2,674 |
| Written back on disposals | (961) | (194) | (2,960) | – | (309) | (4,424) |
| At 31 December 2016 | 2,054 | 1,163 | 12,551 | 9,832 | 179 | 25,779 |
| **Net book value** | | | | | | |
| At 31 December 2016 | 156 | 117 | 2,606 | 2,223 | 269 | 5,371 |
| **Cost:** | | | | | | |
| At 1 January 2017 | 2,210 | 1,280 | 15,157 | 12,055 | 448 | 31,150 |
| Exchange adjustments | 36 | 7 | 90 | – | – | 133 |
| Additions | 719 | 315 | 1,259 | 522 | – | 2,815 |
| Disposals | (874) | (388) | (922) | – | – | (2,184) |
| At 31 December 2017 | 2,091 | 1,214 | 15,584 | 12,577 | 448 | 31,914 |
| **Accumulated depreciation:** | | | | | | |
| At 1 January 2017 | 2,054 | 1,163 | 12,551 | 9,832 | 179 | 25,779 |
| Exchange adjustments | 32 | 6 | 65 | – | – | 103 |
| Charge for the year | 250 | 88 | 1,415 | 1,027 | 152 | 2,932 |
| Written back on disposals | (874) | (387) | (909) | – | – | (2,170) |
| At 31 December 2017 | 1,462 | 870 | 13,122 | 10,859 | 331 | 26,644 |
| **Net book value:** | | | | | | |
| At 31 December 2017 | 629 | 344 | 2,462 | 1,718 | 117 | 5,270 |

*(Source: Adapted from HNA Tech Inv Annual Report, 2017.)*

## Apply and Analyse 1 *(continued)*

As you run your eye down the leasehold improvements, there is a clear trend of gradual depreciation as the assets are depreciated. It begins with the 2016 calendar year, and it shows the effects of accumulated depreciation as well as the changes to be accounted for some asset disposals.

Consider where the ultimate totals reflected in note 12 are published. The company establishes its accounting policies and accounts consistently for its assets and then these figures are reflected in the statement of financial position. You can see this in the table below in the line item for plant and equipment, and also the reference to note 12, which you have seen above.

| | **Note** | **2017** ***$'000*** | **2016** ***$'000*** |
|---|---|---|---|
| **Non-current assets** | | | |
| Plant and equipment | 12 | **5,270** | 5,371 |
| Intangible assets | 13 | **47,000** | 45,263 |
| Goodwill | 14 | **–** | 1,172 |
| Interest in a joint venture | 16 | **–** | 209 |
| Prepayment for available-for-sale securities | | **–** | 377 |
| Deferred tax assets | 24(b) | **2,709** | 755 |
| | | **54,979** | 53,147 |
| **Current assets** | | | |
| Inventories | 17 | **37,974** | 29,998 |
| Trade and other receivables | 18 | **57,744** | 56,644 |
| Held-to-maturity financial assets | 19 | **858** | 861 |
| Current tax recoverable | 24(a) | **556** | 593 |
| Cash and cash equivalents | 20(a) | **29,632** | 40,551 |
| | | **126,764** | 128,647 |

*(Source: Adapted from HNA Tech Inv Annual Report, 2017.)*

## Knowledge Check Questions

**Question 3**

Explain the purpose of note 12 from the financial statements of Hi-Tek.

**Question 4**

Identify where the aggregate figures related to the carrying amount of plant and equipment are found.

**Question 5**

Describe why a company like Hi-Tek would use the period of the lease as the period to depreciate leasehold improvements.

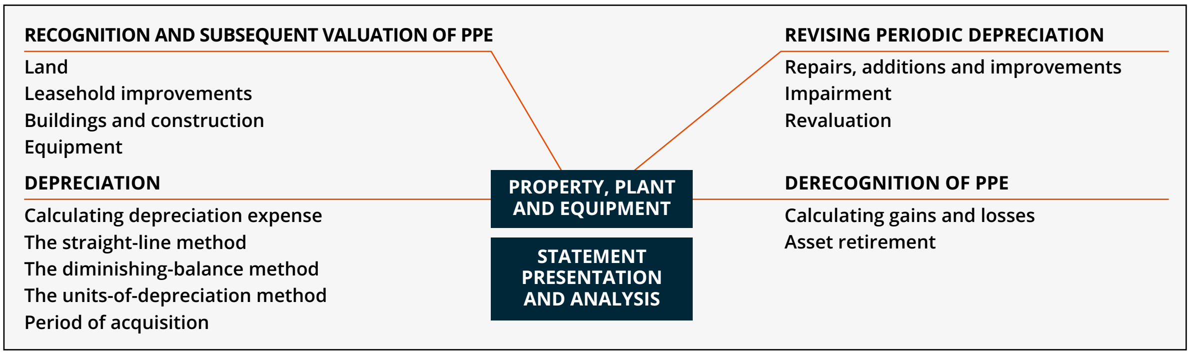
## Key Learning Point

The principal issues that have to be addressed for property, plant and equipment are the recognition of assets, the determination of depreciation charges, carrying amounts, as well as impairment losses.

## SUMMARY

- Property, plant, and equipment are long-term assets that a company owns and uses.
- Property, plant and equipment have physical substance; are held for use in the production or supply of goods or services, for rental to others or for administrative purposes; and are not intended for sale to customers.
- Property, plant and equipment are often subdivided into three classes: buildings, leasehold improvements, and equipment.
- The cost of property, plant and equipment includes purchase price, plus any non-refundable taxes, less any discounts or rebates; plus expenditures necessary to bring the asset to the required location and make it ready for its intended use; and any obligations to dismantle, remove or restore the asset when it is retired.
- Entities typically capitalise property, plant, and equipment, but may choose to expense lower-cost assets.
- Depreciation is the systematic allocation of the cost of a non-current asset, such as property, plant and equipment, over the asset's useful life. Depreciation is a process of cost allocation and not one for determining the value of an asset.
- Three factors affect the calculation of depreciation: cost, useful life and residual value.
- There are three methods to calculate depreciation: straight-line, diminishing-balance and units-of-production.
- Depreciation should be revised periodically, particularly if there are capital expenditures incurred during the life of an asset, impairments, changes in the depreciation method or changes in the fair value of an asset.
- Property, plant and equipment can be disposed of through retirement, sale or exchange.
- Non-current assets are normally reported in the statement of financial position under the heading 'Property, Plant and Equipment'.
- When reporting property, plant and equipment in their financial statements, entities should disclose additions, disposals, depreciation, impairment losses and reversals of impairment losses.

## MIND MAP




### Answers to Knowledge Check Questions

**Question 1**

The annual depreciation expense, using the straight-line method of depreciation = original cost HK$6,000 / 10-year useful life = HK$600.

**Question 2**

Answer D is correct. Straight-line depreciation recognises depreciation evenly over 5 years, or 20% a year. The depreciation rate using the diminishing-balance method is (20% × 2) = 40%.

**Question 3**

Note 12 expands on how the company has implemented the accounting treatments that have been stated in the accounting policy for plant and equipment.

**Question 4**

Users of financial statements will find the carrying amounts for the current and the comparative period in the line item for plant and equipment within the statement of financial position.

**Question 5**

The lease period is the most relevant time over which to depreciate leasehold improvements, because that it is the time within which those assets will definitely be used by the company.

## EXAM PRACTICE

### QUESTION 1

Define the carrying amount of an asset:

**A.** The purchase price of an asset.
**B.** The amount at which an asset is recognised after deducting accumulated depreciation or accumulated impairment losses.
**C.** The cost of an asset reflected on an invoice that is processed by a company accountant.
**D.** An amount that appears on a packing slip that is placed in a box when a product is being delivered by a company to a customer.

### QUESTION 2

Identify which of the following best describes asset revaluation:

**A.** Asset values can go up.
**B.** Asset values can go down.
**C.** Asset values can only move in one direction.
**D.** A and B.

### QUESTION 3

Define the useful life of an asset:

**A.** The period over which an asset is expected to be available for use by an entity.
**B.** The number of production or similar units expected to be obtained from the asset by an entity.
**C.** The service potential of the assets in the first three years of use by an entity.
**D.** Both A and B.

### QUESTION 4

Analyse the cost model basis used in accounting for property, plant and equipment.

### QUESTION 5

A company has five machines. It wants to revalue one of the machines upwards and use the cost model for the other four. Outline a brief note to advise the company on whether its proposed accounting for the machines is possible.

### QUESTION 6

The financial year-end of HKQP Industrial Limited is on 31 December. On 1 April 20X5, HKQP Industrial Limited purchased new machinery at a cost of HK$650,000. The machinery's useful life is estimated at five years, with a residual value of HK$350,000.

**Required:**

Calculate the annual depreciation expense for each year of the machinery's useful life using the following methods.

(a) The straight-line method, rounding the period of acquisition for partial years to the nearest whole month.

(b) The double diminishing-balance method, assuming that HKQP Industrial Limited uses a half-year policy when determining the period of acquisition.

(c) Assume that the equipment is sold at the end of December 20X7 for HK$250,000 cash. Compute the resulting gain or loss under the straight-line method and present the journal entries.

## QUESTION 7

XYZ Company has bought four new computers that cost HK$2,500 each with an estimated useful life of three years. The company estimates that it can get HK$300 for each computer at the end of their useful lives.

**Required**

Prepare a depreciation schedule that reflects depreciation for the four computers together using the straight-line basis of depreciation. Include all of the following:

(a) Calculate the depreciable amount.

(b) Determine the amount to be depreciated for three years.

(c) Prepare the depreciation schedule.

(d) Prepare the journal entry for the depreciation expense in Year 1.

## QUESTION 8

Equipment with a cost of HK$9,000 has a residual value of HK$1,000, and the asset's useful life is 4 years.

**Required:**

(a) Compute the annual depreciation expense for Years 1 and 2 using the straight-line depreciation method and diminishing-balance method (assuming the diminishing-balance method is twice the straight-line depreciation rate).

(b) Prepare the journal entries for the depreciation expense transactions from (a).

## QUESTION 9

XYZ Company has hired you as an accountant and it is time to consider retiring an asset. The following facts are provided to you by the financial controller in a briefing:

(a) The original cost of the equipment is HK$6,000.

(b) The carrying amount after 4 years of depreciation is HK$2,000.

(c) The amount of HK$2,000 represents the loss.

(d) The decision to retire the asset is made by management the day after depreciation expense is posted on 1 May 20X1.

**Required:**

Prepare the compound journal entries to retire the asset.

## QUESTION 10

XYZ Company purchases a unique piece of machinery for HK$100,000 that it would assess for the purposes of revaluation on a regular basis. This is the only machine that the company has and there are no other assets in this particular class.

The valuation of the asset takes place on 29 April 20X1, and it is determined that the asset has increased in value by HK$40,000 since it was purchased and put into service by the company.

**Required:**

Prepare the journal entry for the recognition of the increase in the asset value under revaluation.

### QUESTION 11

Oriental Manufacturing Limited purchased a machine on 1 January 20X6 for HK$100,000 with an estimated useful life of 5 years and no residual value. Oriental was using the straight-line depreciation method for this machinery. On 1 January 20X9, Oriental management decided that the machine would last for 5 more years. Compute the revised depreciation expense for 20X9.

### QUESTION 12

Since the coronavirus disease (Covid-19) broke out in December 20X9, Country A had been in acute demand for surgical masks. In addition to urgently sourcing and purchasing surgical masks all around the world, the Country A government encouraged and subsidised local manufacturing companies to produce surgical masks locally.

Healthy Medical Limited responded to the government's appeal and imported an automated production line at a cost of HK$5,000,000 to manufacture surgical masks as from 1 April 20X0 (i.e. at the beginning of its financial year 20X0/20X1). The expected useful life is 5 years.

Unfortunately, the Covid-19 pandemic in Country A persisted on and off from 20X0 to 20X1, whereas the substantial demand for surgical masks carried on in March and April 20X1. Healthy Medical Limited was advised by its asset valuation consultant that the surgical mask automated production line had a fair value of HK$6,000,000 as at 31 March 20X1.

As the Covid-19 infections were deteriorating in Country A in early 20X2, the demand for surgical masks had been decreased substantially. At the end of March 20X2, Healthy Medical Limited was advised by its asset valuation consultant that the surgical mask automated production line had a fair value of HK$3,600,000 at 31 March 20X2.

**Required:**

(a) Explain five (5) key features of the asset valuation model and

(b) Prepare the journal entries related to Healthy Medical Limited's production line as at 31 March 20X1 and 31 March 20X2.

## ANSWERS TO EXAM PRACTICE

### QUESTION 1

Answer A is incorrect because the purchase price of an asset does not reflect the carrying amount.

Answer B is correct because the amount at which an asset is recognised after deducting accumulated depreciation or accumulated impairment losses reflects the carrying amount of an asset.

Answer C is incorrect because the cost of an asset reflected on an invoice does not reflect the carrying amount.

Answer D is incorrect because the amount that appears on a packing slip does not reflect the carrying amount.

### QUESTION 2

Answer A is incorrect because it is incomplete. Asset values can also go down. Valuation can play a role.

Answer B is incorrect because it is incomplete. Asset values can also go up. Valuation can play a role.

Answer C is incorrect because it is incomplete. Asset values move in both directions.

Answer D is correct because it is complete. Asset values can move either up (A) or down (B).

### QUESTION 3

Answer A is incorrect because it is incomplete. The number of production or similar units expected to be obtained from the asset by an entity is also correct.

Answer B is incorrect because it is incomplete. The period over which an asset is expected to be available for use by an entity is also correct.

Answer C is incorrect because the useful life of an asset is not limited to three years.

Answer D is correct because both (A) and (B) are definitions in the relevant accounting standard.

### QUESTION 4

The cost model requires that items of property, plant and equipment should be carried at cost in accounting records less any accumulated depreciation and impairment losses.

### QUESTION 5

The accounting standard for property, plant and equipment requires any entity that is proposing to revalue a machine to ensure that it revalues not just one machine, but all other machines that it has in its asset register. The standard also requires revaluations to take place at the same time, so that values appearing in the accounts are arrived at the same time. The proposed treatment would not be compliant with the accounting standard.

### QUESTION 6

(a)

| Year | Straight-line (HK$) |
|---|---|
| 20X5 | 45,000 |
| 20X6 | 60,000 |
| 20X7 | 60,000 |
| 20X8 | 60,000 |
| 20X9 | 60,000 |
| 20X0 | 15,000 |
| Total | 300,000 |

Because depreciation can be recorded for April through December of 20X5 (the months the item was in use that year), depreciation extends into 20X0.

**Calculation:**

20X5: (HK$650,000 – HK$350,000) × 1/5 x 9/12 = HK$45,000

20X6–20X9: HK$300,000 × 1/5 = HK$60,000

20X0: HK$300,000 × 1/5 × 3/12 = HK$15,000

(b)

| Year | 200% declining balance (HK$) |
|---|---|
| 20X5 | 60,000 |
| 20X6 | 96,000 |
| 20X7 | 57,600 |
| 20X8 | 34,560 |
| 20X9 | 20,736 |
| 20X0 | 31,104 |
| Total | 300,000 |

**Calculation:**

| Year | Undepreciated cost (HK$) | Rate | Depreciation (HK$) |
|---|---|---|---|
| 20X5 | 300,000 | 40%* × 1/2 | 60,000 |
| 20X6 | 240,000 | 40% | 96,000 |
| 20X7 | 144,000 | 40% | 57,600 |
| 20X8 | 86,400 | 40% | 34,560 |
| 20X9 | 51,840 | 40% | 20,736 |
| 20X0 | 31,104 | $300,000 – $268,896 | 31,104 |

* 200% declining balance = 1/5 × 100% × 200% = 40%.

(c) Entry to record sale of equipment in 20X7:

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X7** | | **HK$** | **HK$** |
| 31 December | Cash | 250,000 | |
| | Accumulated depreciation | 165,000 | |
| | Loss on sales of equipment | 235,000 | |
| | Equipment | | 650,000 |
| | (To record a loss on sale of equipment) | | |

**Calculation:**

| | |
|---|---|
| Accumulated depreciation at the end of 20X7: | HK$ |
| Depreciation, 20X5 | 45,000 |
| Depreciation, 20X6 | 60,000 |
| Depreciation, 20X7 | 60,000 |
| Accumulated depreciation at the end of 20X7 | 165,000 |
| | |
| Original cost of equipment | 650,000 |
| Less: Accumulated depreciation at the end of 20X7 | 165,000 |
| Book value of equipment at time of disposal | 485,000 |
| Cash proceeds from sale | 250,000 |
| Less: Book value of equipment at time of disposal | (485,000) |
| Loss on sale of disposal | 235,000 |

## QUESTION 7

(a) Total cost of the four new computers: HK$2,500 x 4 = HK$10,000

Total residual value of the four new computers: HK$300 x 4 = HK$1,200

| Cost | | Residual Value | | Depreciable Amount |
|---|---|---|---|---|
| HK$10,000 | – | HK$1,200 | = | HK$8,800 |

(b) HK$8,800 / 3 = HK$2,933

(c)

| Year | Carrying Amount HK$ | Depreciation Rate | Annual Depreciation HK$ |
|---|---|---|---|
| 1 | 10,000 | 33.33% | 2,933 |
| 2 | 7,067 | 33.33% | 2,933 |
| 3 | 4,134 | 33.33% | 2,933 |
| 4 | 1,200 | Residual value | |

(d)

| Year | Particulars | Debit | Credit |
|---|---|---|---|
| 1 | | **HK$** | **HK$** |
| | Depreciation expense: computers | 2,933 | |
| | Accumulated depreciation: computers | | 2,933 |
| | (To post depreciation expense on four new computers for Year 1) | | |

## QUESTION 8

(a) The straight-line depreciation rate is evenly depreciated over 4 years, or a rate of 25% per year.

| Straight-Line Method: Equipment, Years 1 and 2 | | | |
|---|---|---|---|
| **Year** | **Carrying Amount HK$** | **Depreciation Rate** | **Annual Depreciation HK$** |
| 1 | 9,000 | 8,000 × 0.25 | 2,000 |
| 2 | 7,000 | 8,000 × 0.25 | 2,000 |
| | | **Total Depreciation** | **4,000** |

The rate of the diminishing-balance method is twice the straight-line rate, which is 50%.

| Diminishing-Balance Method: Equipment, Years 1 and 2 | | | |
|---|---|---|---|
| **Year** | **Carrying Amount HK$** | **Depreciation Rate** | **Annual Depreciation HK$** |
| 1 | 9,000 | 50% | 4,500 |
| 2 | 4,500 | 50% | 2,250 |
| | | **Total Depreciation** | **6,750** |

(b) Straight-line method: same entry each year

| Year | Particulars | Debit | Credit |
|---|---|---|---|
| 1 & 2 | | **HK$** | **HK$** |
| | Depreciation expense: equipment | 2,000 | |
| | Accumulated depreciation: equipment | | 2,000 |
| | (To post depreciation expense on equipment) | | |

Diminishing-balance method: Year 1

| Year | Particulars | Debit | Credit |
|---|---|---|---|
| 1 | | **HK$** | **HK$** |
| | Depreciation expense: equipment | 4,500 | |
| | Accumulated depreciation: equipment | | 4,500 |
| | (To post depreciation expense on equipment) | | |

Diminishing-balance method: Year 2

| Year | Particulars | Debit | Credit |
|---|---|---|---|
| 2 | | **HK$** | **HK$** |
| | Depreciation expense: equipment | 2,250 | |
| | Accumulated depreciation: equipment | | 2,250 |
| | (To post depreciation expense on equipment) | | |

## QUESTION 9

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X1** | | **HK$** | **HK$** |
| 2 May | Loss on disposal | 2,000 | |
| | Accumulated depreciation: equipment | 4,000 | |
| | Equipment | | 6,000 |
| | (To post a loss on retirement of equipment) | | |

## QUESTION 10

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X1** | | **HK$** | **HK$** |
| 29 April | Equipment | 40,000 | |
| | Revaluation reserve | | 40,000 |
| | (Recording the increase in value for the asset based on valuation) | | |

## QUESTION 11

Depreciation is HK$100,000/5 = HK$20,000 per year; 3 years of deprecation = 3 x HK$20,000 = HK$60,000

| | |
|---|---|
| Undepreciated cost at the end of 20X8 (HK$100,000 – HK$60,000) | HK$40,000 |
| Revised estimate of remaining years of useful life | 5 years |
| Revised amount of annual depreciation expense as from 20X9 (HK$40,000/5) | HK$8,000 |

## QUESTION 12

(a)
- Revaluated assets depreciated in the same manner as they were under the cost model.
- The revaluation model requires that revaluations be carried out regularly to ensure that there is no material difference between the carrying amount of an asset and its fair value at the balance sheet date.
- Any time an item is revalued, the entire asset class to which it belongs should be revalued.
- If an asset's value decreases under revaluation, the amount of the decrease should be debited to the statement of profit or loss and other comprehensive income as an expense.
- If an asset's value increases under revaluation, the amount of the increase should be credited to other comprehensive income and accumulated in equity as a revaluation surplus.

(b) Asset journal entries as at 31 March 20X0:

| Date | Account Titles and Explanation | Debit | Credit |
|---|---|---|---|
| | | (HK$) | (HK$) |
| 01/04/20X0 | Plant Asset | 5,000,000 | |
| | Cash/Bank | | 5,000,000 |
| | Purchase of Production line on 1 April 20x0 | | |
| | | | |
| 31/03/20x1 | Depreciation expense – Plant Asset (HK$5,000,000/5) | 1,000,000 | |
| | Accumulated depreciation – Plant Asset | | 1,000,000 |
| | Depreciation expense for the year ended 31 March 20x1 | | |
| 31/03/20X1 | Plant Asset | 1,000,000 | |
| | Accumulated depreciation – Plant Asset | 1,000,000 | |
| | Revaluation reserve HK$[6,000,000 – (5,000,000 – 1,000,000)] | | 2,000,000 |
| | Increase in fair value of plant asset upon revaluation | | |
| | | | |

Asset journal entries as at 31 March 20X2:

| Date | Account Titles and Explanation | Debit | Credit |
|---|---|---|---|
| | | (HK$) | (HK$) |
| 31/03/20X2 | Depreciation expense – Plant Asset (HK$6,000,000/4) | 1,500,000 | |
| | Accumulated depreciation – Plant Asset | | 1,500,000 |
| | Depreciation expense for the year ended 31 March 20x2 | | |
| | | | |
| 31/03/20X2 | Accumulated depreciation – Plant Asset | 1,500,000 | |
| | Revaluation reserve HK$[3,600,000 – (6,000,000 – 1,500,000)] | 900,000 | |
| | Plant Asset | | 2,400,000 |
| | Decrease in fair value of plant asset upon revaluation | | |

# 7

# Accounting for Trade Receivables and Trade Payables

## CHAPTER TOPIC LIST

# LEARNING OUTCOMES

| PRINCIPAL LO3: PREPARE ACCOUNTING RECORDS, DEMONSTRATE MANAGEMENT AND CONTROL |
|---|
| **LO3.01: Apply the accounting equation to business transactions and prepare a trial balance** |
| **3.01.01** Prepare the following records of original entry from source records:<br>• Cash book (#)<br>• Petty cash journal (#)<br>• Sales and returns journal<br>• Purchase and returns journal<br>• General ledger journal (*) |
| **3.01.03** Prepare control accounts for trade receivables and trade payables ledgers |
| **3.01.04** Prepare reconciliations of control accounts and subsidiary ledgers |
| **LO3.03: Account for inventories and trade receivables** |
| **3.03.01** Define inventories and trade receivables |
| **3.03.05** Calculate and account for bad debts and allowance for impairment loss on trade receivables |
| **3.03.06** Prepare the accounting entries for trade receivables transactions |
| **LO3.04: Prepare period end adjustments** |
| **3.04.01** Prepare the accounting entries for the following period end adjustments:<br>• Accrued expenses (**)<br>• Prepaid expenses (**)<br>• Inventory<br>• Depreciation (##)<br>• Bad debts<br>• Allowance for impairment loss on trade receivables<br>• Income in arrears/in advance (**) |

For the topics marked with (*), please refer to discussions in Chapter 3.
For the topics marked with (**), please refer to discussions in Chapter 4.
For the topics marked with (#), please refer to discussions in Chapter 5.
For the topics marked with (##), please refer to discussions in Chapter 6.

OPENING CASE

## GREAT STATIONERY LIMITED, PART 7

Cash flow management is a key accounting issue for the Wong brothers, shareholders of Great Stationery Limited ('Great Stationery'), because without sufficient cash, Great Stationery cannot operate. A majority of cash inflows are generated from sales to customers, and some of those sales are not paid immediately in cash. The trade receivables balance represents the total amount owed by customers, and businesses account for the trade receivables balance at realisable value.

There are situations when a particular trade receivables balance is unlikely to be paid or will not be paid, and Great Stationery must provide an 'allowance for uncollectable accounts' and 'bad debt expenses' for such receivables that will not be paid.

The company also has a trade payables balance, which represents the dollar amount owed to vendors or suppliers, such as amounts owed for inventory purchases, and other purchases such as for services, such as electricity. In this chapter, synonyms for vendors will be suppliers, contractors and other types of service providers such as consultants or accountants.

The Wong brothers must make smart choices about trade receivables and payables, which are material for them, in order to maintain enough available cash to operate but not so much as to under-utilise resources or miss business opportunities.

## OVERVIEW

Companies, such as Great Stationery, buy and sell goods and services of all kinds and account for those purchases and sales in various ledgers and accounts before reporting them on their financial statements.

Financial reporting requirements (HKFRS) define revenue as income from an entity's ordinary activities and sales of goods and services are a common form of that income.

Sales discounts (if offered by sellers) reduce the amounts owed to the sellers of products, when the buyers pay within the stated discount periods.

To illustrate a sales discount, let us assume that on 1 May 20X8, Great Stationery sells HK$900 of products and its credit terms are 1/10, n/30. This means that:

- The customer can satisfy the HK$900 obligation if it pays HK$891 (HK$900 minus HK$9 [HK$900 x 1%] of sales discount) within 10 days.
- The alternative is for the customer to pay HK$900 within 30 days.

The company will need to ensure that the transaction is booked appropriately, so that the sale of the goods is documented in the first instance as well as the fact the sale gives rise to an asset – a receivable – that the company expects to receive.

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X8** | | | **HK$** | **HK$** |
| 1 May | Trade Receivables | #1070 | 900 | |
| | Sales | #4010 | | 900 |
| | (To recognise the payment due from the customer) | | | |

If the customer pays within 10 days (e.g. the customer pays on 5 May 20X8), Great Stationery will record a debit to cash for HK$891, a debit to sales discounts for HK$9, and a credit to trade receivables for HK$900. The discount will only appear in the accounting records if the customer adheres to the conditions in the invoice, and pays what is owed by them to Great Stationery by a specific date.

While the journal entry above reflects the initial sale, the one below reflects what happens when the sales discount is applied. Bear in mind that a customer may need to pay the full cost on the invoice if they fail to pay before the deadline reflected on the invoice.

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X8** | | | **HK$** | **HK$** |
| 5 May | Cash at bank | #1091 | 891 | |
| | Sales Discounts | #4021 | 9 | |
| | Trade Receivables | #1070 | | 900 |
| | (To recognise the payment from the customer with sales discount) | | | |

Sales discounts are also known as cash discounts and early payment discounts. Sales discounts is referred to as a **contra revenue account**. Hence, its debit balance will be one of the deductions from sales (gross sales) in order to report the amount of net sales.

Although sales returns and sales allowances are technically two distinct types of transactions, they are generally recorded in the same account:

- **Sales returns** occur when customers return defective, damaged, or otherwise undesirable products to the seller.
- **Sales allowances** occur when customers agree to keep such merchandise in return for a reduction in the selling price.

Assume that Customer A returns merchandise worth HK$100, Great Stationery prepares a **credit memorandum** to account for the return. This credit memorandum becomes the source document for a journal entry that increases (debits) the sales returns and allowances account and decreases (credits) trade receivables, as shown in the journal entries below:

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X8** | | | **HK$** | **HK$** |
| 1 May | Sales returns and allowance | #4020 | 100 | |
| | Trade Receivables | #1070 | | 100 |
| | (To recognise the return of merchandise from customer A) | | | |

You must also remember that there must be an entry that denotes a return of merchandise of HK$100 on 1 May 20X8 to inventory as well as noting a reduction in cost of sales.

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X8** | | | **HK$** | **HK$** |
| 1 May | Inventory | #1063 | 100 | |
| | Cost of sales | #5060 | | 100 |
| | (To recognise the return of merchandise from customer A) | | | |

In the sales revenue section of a statement of profit or loss and comprehensive income, the sales discount, sales returns and allowances accounts are subtracted from sales because these accounts have the opposite effect on net profit. Therefore, the sales discount, sales returns and allowances accounts are considered as contra revenue accounts, which normally have debit balances.

Using a separate contra revenue account allows an organisation to record sales returns and allowances as a percentage of overall sales. Companies must make an effort to take actions to eliminate high levels of returns.

There are a number of ways to correct undesirable return levels. By maintaining a separate contra revenue account, managers can understand what levels of returns are typical. If levels are considered unacceptable, there are a number of actions a company can take. For example, improved order fulfilment can reduce errors, better packaging can prevent damage during shipment, and better materials can reduce breakage and result in more desirable quality.

**Trade receivables** refer to the realisable value that companies expect to receive in exchange for goods or services they provide. The carrying amount of trade receivables is normally the amount of the sales transactions giving rise to them. But if that amount is not realisable, the carrying amounts need to be written down to the realisable value.

The accounting for and recognition of trade receivables has to take into account a number of other factors, including the need to account for the possibility of uncollectable debts. There are several approaches to predict the cost of these uncollectable trade receivables.

'Allowance for impairment loss on trade receivables' was previously known as 'allowance for doubtful debts'. Do note that most textbooks still use the term 'allowance for doubtful debts' and we shall use the two terms interchangeably.

**Trade payables** are the amounts companies owe to those that provide them with goods and services. They will be the amounts of the purchase transactions entered into by the company.

Companies and their accountants recognise trade payables and trade receivables in a similar fashion, with journal entries that start when a transaction happens and later record when the transaction is confirmed (i.e. legal title is transferred). These entries are affected by various factors, but principally by payment terms (e.g. invoices are to be paid in 30 or 45 days).

As with all other economic activities of a company, trade payables and trade receivables have to be reflected in the financial statements, where the information can be analysed to understand the performance of a company.

## 7.1 TRADE RECEIVABLES

The term 'receivables' refers to amounts due to a company from individuals and other companies. They are claims that are expected to be collected in cash.

**Account receivables** resulting from sales transactions and 'trade and other receivables' are required to be shown in a statement of financial position:

- Under HKAS 1, trade receivables are amounts owed by customers on account. They result from the sale of goods or services on credit. These receivables are generally expected to be collected within a specified period (e.g. 30 days) and are classified as current assets.

  Other receivables can arise in respect of interest and dividends accruing to the company (e.g. debentures) and the amounts of loans that are to be repaid to the company.

### 7.1.1 Recognising Trade Receivables

Companies make sales of services and/or goods.

- For a service company, a trade receivable – which is an asset – is recorded when a service is delivered (e.g. year-end statutory audit), the revenue is recognised for the sale and the customer is given credit terms (e.g. cash discount), along with an invoice.
- Similarly, for a merchandising company, a trade receivable is recorded when a product is sold and delivered to a customer.

The amounts of those sales, for which payments are yet to be received, will be the initial amounts of trade receivables. Such amounts may need to be adjusted; for example, to reduce the sales discounts or returns of goods or for allowances for quality or suitability of the goods or services. We concentrate here not on the accounting for sales, but rather for the trade receivables.

A company's trade receivables account in the general ledger is the control account that provides the balance eventually reported in the statement of financial position.

#### Apply and Analyse 1

***Apply***

Assume that Great Stationery sells merchandise for HK$10,000 on account to Tan Consulting Ltd on 1 July 20X9. On 4 July, Tan Consulting Ltd returns merchandise worth HK$1,000, costing HK$900 to Great Stationery. On 10 July Great Stationery receives payment for HK$9,000 balance due. Prepare each of the required journal entries.

***Analysis***

Great Stationery sells merchandise for HK$10,000 on account to Tan Consulting Ltd on 1 July 20X9.

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X9** | | | **HK$** | **HK$** |
| 1 July | Trade receivables | #1070 | 10,000 | |
| | Sales | #4010 | | 10,000 |
| | (To record HK$10,000 sale to Tan Consulting on account) | | | |

## Apply and Analyse 1 *(continued)*

On 4 July, Tan Consulting Ltd returns merchandise worth HK$1,000, costing HK$900 to Great Stationery.

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X9** | | | **HK$** | **HK$** |
| 4 July | Sales returns and allowances | #4020 | 1,000 | |
| | Trade receivables | #1070 | | 1,000 |
| 4 July | Inventory | #1063 | 900 | |
| | Cost of sales | #5060 | | 900 |
| | (To record merchandise HK$1,000 returned by Tan Consulting) | | | |

Sales returns and allowances entry reduces the sales account to compute net sales.

On 10 July, Great Stationery receives payment for HK$9,000 balance due.

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X9** | | | **HK$** | **HK$** |
| 10 July | Cash at bank | #1091 | 9,000 | |
| | Trade receivables | #1070 | | 9,000 |
| | (To record HK$9,000 payment received from Tan Consulting for sale made on account) | | | |

### 7.1.2 Utilising a Trade Receivables Control Account and Its Subsidiary Ledgers

It should be remembered at this point that trade receivables result from sales having taken place. The sales are recorded in a sales journal. The purpose of the **sales journal** is to ensure that all sales have been properly recorded. The table below illustrates how sales on credit are laid out in the sales journal. Each transaction has its own unique identifier and can be tracked through other entries that are made that relate to the same sales. These are all considered trade receivables or **accounts receivables**. They are amounts owed by others for goods or services that have been sold or provided.

Examine the sales journal below. Look at the titles of the accounts that appear in the top right-hand corner of the sales journal. These are the control accounts associated with this journal.

| **Sales Journal** | | | | **S1** |
|---|---|---|---|---|
| **Date** | **Invoice** | **Customer Account** | **Ref.** | **Dr Trade Receivables Cr Sales** |
| **20X8** | | | | **HK$** |
| 21 March | GSL00002 | T Cheng | AR1 | 1,500 |
| 21 March | GSL00003 | P Wong | AR2 | 1,000 |

| Sales Journal | | | | S1 |
|---|---|---|---|---|
| **Date** | **Invoice** | **Customer Account** | **Ref.** | **Dr Trade Receivables Cr Sales** |
| **20X8** | | | | **HK$** |
| 26 March | GSL00004 | B Ting | AR3 | 750 |
| 29 March | GSL00005 | T Wen | AR4 | 500 |
| Totals | | | | 3,750 |

Companies like Great Stationery can have hundreds of customers. Recording the trade receivables for each customer in just one general ledger account would make it hard to determine the balance owed by a specific customer at a specific point in time, and it would also clutter the general ledger in a manner that would make it difficult for accountants to understand the state of financial affairs.

However, it is critical that a company knows what each customer owes so that it can collect that cash from them. As a result, most companies use subsidiary ledgers to keep track of individual customer accounts. A subsidiary ledger gives supporting details to the general ledger.

The four entries below give rise to the debits for trade receivables in the accounts receivable subsidiary ledger accounts. The four entries below are an exact match for the details in the sales journal.

| | | T Cheng | | AR1 |
|---|---|---|---|---|
| **Date** | **Ref.** | **Debit** | **Credit** | **Balance** |
| **20X8** | | **HK$** | **HK$** | **HK$** |
| 21 March | S1 | 1,500 | | 1,500 |

| | | P Wong | | AR2 |
|---|---|---|---|---|
| **Date** | **Ref.** | **Debit** | **Credit** | **Balance** |
| **20X8** | | **HK$** | **HK$** | **HK$** |
| 21 March | S1 | 1,000 | | 1,000 |

| | | B Ting | | AR3 |
|---|---|---|---|---|
| **Date** | **Ref.** | **Debit** | **Credit** | **Balance** |
| **20X8** | | **HK$** | **HK$** | **HK$** |
| 26 March | S1 | 750 | | 750 |

| | | T Wen | | AR4 |
|---|---|---|---|---|
| **Date** | **Ref.** | **Debit** | **Credit** | **Balance** |
| **20X8** | | **HK$** | **HK$** | **HK$** |
| 29 March | S1 | 500 | | 500 |

At the end of the month, the amount at the bottom of the sales journal will need to be incorporated into the general ledger. There are four transactions recorded in the sales journal.

These are now aggregated or added together, so that a reader understands that the total sales is HK$3,750. A reader does not need to know the names of individual customers. They do, however, need to know the total in trade receivables and also in sales.

Journal entries that need to appear in the general ledger accounts that aggregate the transactions are illustrated below.

| Trade receivables | | | | |
|---|---|---|---|---|
| **Date** | **Ref.** | **Debit** | **Credit** | **Balance** |
| **20X8** | | **HK$** | **HK$** | **HK$** |
| 31 March | S1 | 3,750 | | 3,750 |

| Sales | | | | |
|---|---|---|---|---|
| **Date** | **Ref.** | **Debit** | **Credit** | **Balance** |
| **20X8** | | **HK$** | **HK$** | **HK$** |
| 31 March | S1 | | 3,750 | 3,750 |

You will notice that the trade receivables is a debit and that sales is a credit:

- Receivable reflects the acquisition of an asset that is a claim on cash from someone that has purchased goods.
- Sales reflects goods or services that have been sold to the customer on credit.

Remember the objective is to aggregate transactions, and ensure that the end user of the general ledger has a clear view of different categories of transactions. There is a need to reinforce the fact that accounting is ultimately the art of communicating a large number of transactions in a way that enables people to understand the financial state of an entity.

Today, most businesses use computerised accounting systems that automatically update the subsidiary ledger and general ledger when a journal entry is recorded. Regardless of whether the accounting system is computerised or manual, the accounting records must provide accurate, up-to-date information for each customer account. In addition, the total of the trade receivables subsidiary ledger balances must equal the total in the general ledger control account.

Referring to the above, consider what happens when cash is paid for the HK$1,500 sale by customer T Cheng on 24 March. It would create a journal entry such as the one below.

| Journal Entry | | | |
|---|---|---|---|
| **Date** | **Particulars** | **Debit** | **Credit** |
| **20X8** | | **HK$** | **HK$** |
| 24 March | Cash | 1,500 | |
| | Trade receivables – T Cheng | | 1,500 |
| | Cash payment for sale to T Cheng | | |

In another case, there may be something faulty in the goods that are bought by P Wong. Assume that purchased goods worth HK$500 are returned by P Wong on 24 March, because they had damage for which the company had to accept responsibility.

| Journal Entry | | | |
|---|---|---|---|
| **Date** | **Particulars** | **Debit** | **Credit** |
| **20X8** | | **HK$** | **HK$** |
| 24 March | Sales returns | 500 | |
| | Trade receivables – P Wong | | 500 |
| | Sales return by P Wong | | |

Assuming the cost of goods is $400:

| Date | Ref. | Debit | Credit |
|---|---|---|---|
| **20X8** | | **HK$** | **HK$** |
| 31 March | Inventory | 400 | |
| | Cost of sales | | 400 |

Bear in mind that the sales returns will reduce net sales for the period. You can remember this by thinking of a simple equation that is: sales − sales returns = net sales.

Let us revisit and update the Great Stationery's Trade Receivables (Control) Account, as follows:

| Trade receivables (Control Account) | | | | |
|---|---|---|---|---|
| **Date** | **Ref.** | **Debit** | **Credit** | **Balance** |
| **20X8** | | **HK$** | **HK$** | **HK$** |
| 31 March | S1 | 3,750 | | 3,750 |
| 31 March | Cash payment | | 1,500 | 2,250 |
| 31 March | Sales return | | 500 | 1,750 |

On the same closing date of 31 March 20X8, we can add up the ending balances of all the individual trade receivable in the subsidiary ledger as follows:

| Trade receivables | Ending balance (HK$) |
|---|---|
| T Cheng | – |
| P Wong (HK$1,000 – HK$500) | 500 |
| B Ting | 750 |
| T Wen | 500 |
| | 1,750 |

The ending balance of the trade receivables (control account) of HK$1,750 can be reconciled with the total individual receivable accounts' balances in the subsidiary ledger of HK$1,750 above.

### 7.1.3 Accounting for Impairment Loss on Trade Receivables

A customer may not be able to pay because of an unexpected decrease in revenues, or because it is faced with unexpected bills. Companies sell goods or services on credit because customers like the convenience and flexibility. By offering credit terms such as sales discounts, companies hope to increase total sales and therefore increase profit.

Generally, these companies expect that the increase in revenues and profit from selling on credit will be much greater than any uncollectable accounts or credit losses. Such losses are considered a normal and necessary risk of extending credit to customers.

In order to minimise the risk of uncollectable accounts, companies consider the creditworthiness of potential credit customers. Inevitably, however, some trade receivables still become uncollectable. Those receivables may fail the recognition tests for an asset, in that the receipt of payment becomes improbable (doubtful debt), or because it is concluded they will not be paid (bad debts).

A key issue in valuing trade receivables is to estimate the dollar amount of trade receivables that will not be collected. If the company waits until it knows for sure that a specific account will not be collected, it could end up overstating the trade receivables on the statement of financial position and understating expenses on the statement of profit or loss and comprehensive income.

At the end of a reporting period, receivables are adjusted to **net realisable value (NRV)** to account for expected credit losses. A decrease in an asset that results in a decrease in equity is an expense. The expense for credit losses is called an **impairment loss on trade receivables** or **bad and doubtful debt expense**. (Most textbooks still use the latter term; we will use the two terms interchangeably.)

To avoid overstating assets and profit, companies cannot wait until they know exactly which receivables are uncollectable. Because companies do not know which specific receivable balances will need to be written off, they often use the **allowance method** to estimate uncollectable accounts at the end of each accounting period.

The allowance method has three essential features:

1. Recording estimated uncollectables: The amount of uncollectable accounts receivable is estimated at the end of an accounting period, and an adjusting entry is used to record doubtful debts expense.
2. Writing off uncollectable accounts: In a future accounting period, actual uncollectable accounts are written off when the specific account is determined to be uncollectable (bad debts expense).
3. The collection of a previously written-off account: If an account that was previously written down or off is later collected, the original write-off is reversed to the extent of the collection is recorded.

Companies calculate the dollar amount of uncollectable receivables using one or both of two approaches: percentage of receivables and percentage of sales.

The **percentage of sales approach** estimates the amount of doubtful debts expense as a percentage of net credit sales.

For the year ended 31 July 20X9, assume that a company has credit sales HK$500,000 and based on previous years that there will be a bad and doubtful debts expense of 3%, which means that the journal entries will need to reflect HK$15,000 as allowance for doubtful debt. Then, the journal entries will look something like this:

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X9** | | **HK$** | **HK$** |
| 31 July | Bad and Doubtful debts expense | 15,000 | |
| | Allowance for impairment loss on trade receivables | | 15,000 |
| | (To record the doubtful debts expense using the percentage of sales method) | | |

Under the **percentage of receivables approach**, management uses past experience to estimate the percentage of receivables that will become uncollectable accounts. The easiest way to do this is to multiply the total amount of trade receivables by management's estimate of the percentage of accounts that will become uncollectable.

Assume, for example, that Great Stationery's typical doubtful debts expense is 1.5% of receivables. The expected dollar amount of bad debt expense for the period is the 1.5% multiplied by the trade receivables balance.

The problem with the percentage of receivables approach is that it doesn't take into consideration that the longer a receivable is past due or outstanding, the less likely it is to be collected. Therefore, the more common practice is to use different percentages, depending on how long individual trade receivables have been outstanding. This is called 'ageing' the uncollectable trade receivables.

Both the percentage of receivables and the percentage of sales approaches are generally accepted. But both cannot be allowed to go unchecked against actual experiences and changes in circumstances (e.g. downturns in business conditions). The objective is to estimate the potential expenses, not to create some sort of balance to be used to smooth out profits recognised.

The percentage of sales approach is quick and easy to use. However, the percentage of receivables approach is typically the most appropriate to value trade receivable assets. Companies will often use a mix of the two approaches:

- The percentage of sales approach can be used monthly to estimate uncollectable amounts; and
- The percentage of receivables can then be used as the final period-end adjustment for financial reporting purposes.

The allowance method allows companies to estimate uncollectable accounts, which are then recorded as a credit balance in a **contra asset account** called **allowance for impairment loss on trade receivables**. (Note that the term 'allowance for impairment loss on trade receivables' was previously called 'allowance for doubtful debts'. Most textbooks still use the latter term; we will use the two terms interchangeably). The allowance is deducted from trade receivables on the statement of financial position to report the net realisable value of the receivables.

As an example, assume that Great Stationery estimates that a HK$3,000 balance in trade receivables is doubtful as of 25 July 20X9. Here is the required adjusting journal entry:

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X9** | | | **HK$** | **HK$** |
| 31 July | Bad and doubtful debts expense | #5070 | 3,000 | |
| | Allowance for impairment loss on trade receivables | #1071 | | 3,000 |
| | (To record bad and doubtful debt expenses. The doubtful debts expense has been determined using the allowance method) | | | |

The application of the allowance method to determine doubtful debts ensure that profit is not overstated. They also correct the statement of financial position.

## Apply and Analyse 2

***Apply***

Great Stationery uses an ageing schedule to determine the current balance of uncollectable accounts as of 31 July 20X9:

- Receivables that have been outstanding for 30 days or less (HK$30,000) have a 2% probability not being collected;
- Receivables outstanding from 31 to 60 days (HK$5,000) have a 4% probability; and
- Receivables from 61 to 90 days (HK$1,000) have a 10% probability.

Compute the dollar amount of uncollectable receivables as of 31 July 20X9.

***Analysis***

This table computes the dollar amount of uncollectable receivables as of 31 July 20X9:

| Days Outstanding | Receivable Balances | Non-collection Estimate | Uncollectable Dollar Amount |
|---|---|---|---|
| 1–30 | HK$30,000 | 2% | HK$600 |
| 31–60 | HK$5,000 | 4% | HK$200 |
| 61–90 | HK$1,000 | 10% | HK$100 |
| Total balance | HK$36,000 | | HK$900 |

## Apply and Analyse 2 *(continued)*

The journal entry for the doubtful debts allowance will look like this:

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X9** | | | **HK$** | **HK$** |
| 31 July | Bad and doubtful debts expense | #75070 | 900 | |
| | Allowance for impairment loss on trade receivables | #1071 | | 900 |
| | (To record bad debt expense total arising from the debt ageing table) | | | |

When all the ways of collecting a past-due account have been tried and collection appears impossible, the account should be written off. Normally this would involve debiting the allowance for impairment loss on trade receivables and crediting trade receivables.

A write-off of a bad debt previously provided for affects only accounts related to the statement of financial position. The write-off of the account reduces both trade receivables and allowance for impairment loss on trade receivables. Net realisable value in the statement of financial position remains the same.

Note that the form of the journal entries required to write off specific trade receivables will be the same, whether the company uses the percentage of receivables or percentage of sales approach to estimate uncollectable amounts.

For example, assume that a HK$300 trade receivable balance is determined to be uncollectable on 25 July 20X9. Here is the journal entry to record the write-off:

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X9** | | | **HK$** | **HK$** |
| 25 July | Allowance for impairment loss on trade receivables | #1071 | 300 | |
| | Trade receivables | #1070 | | 300 |
| | (To write off as a bad debt an uncollectable receivable balance previously recorded as doubtful) | | | |

Note that the HK$300 balance was previously included in the allowance balance by debiting doubtful debts expenses and crediting allowance for impairment loss on trade receivables. The above entry reduces both the allowance for doubtful accounts and trade receivables.

Occasionally, companies collect an account after it has been written off. Two entries are required to record the collection of a previously written-off account:

1. The entry previously made when the account was written off is reversed to restore the customer's account, with a credit to allowance for impairment loss on trade receivables; and
2. The collection is recorded in the usual way as cash received and a reduction of the customer account (trade receivable).

## Apply and Analyse 2 *(continued)*

The journal entries required for restoring a previously written-off uncollectable account will be the same when using the percentage of receivables approach or the percentage of sales approach.

Assume, for example, that the HK$300 amount that was previously written off (firstly, as doubtful and then as bad) is received in cash from the customer on 15 August 20X9. Great Stationery will post these two entries:

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X9** | | | **HK$** | **HK$** |
| 15 August | Trade receivables | #1070 | 300 | |
| | Allowance for impairment loss on trade receivables | #1071 | | 300 |
| | (To reverse write-off of an uncollectable receivable balance posted 25 July) | | | |

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X9** | | | **HK$** | **HK$** |
| 15 August | Cash at bank | #1091 | 300 | |
| | Trade receivables | #1070 | | 300 |
| | (To record collection of a receivable balance) | | | |

## Key Learning Point

To avoid overstating assets and profit, companies use the allowance method to estimate uncollectable accounts at the end of each accounting period.

## ▶ Knowledge Check Questions

**Question 1**

Analyse the liquidity of a company's trade receivables.

**Question 2**

Identify which statement best describes the application of Generally Accepted Accounting Principles to the valuation of trade receivables:

**A** Gross value principle: Trade receivables are shown as their gross realisable value in the statement of financial position.

**B** Matching principle: The loss due to an uncollectable account is recognised in the period in which the sale is made, not in the period in which the trade receivables are determined to be worthless.

### ▶ Knowledge Check Questions *(continued)*

**C** Uncollectable cost principle: Trade receivables are shown at the initial cost of the merchandise to customer, less the cost the seller must pay to cover uncollectable accounts.

**D** Principle of conservatism: Accountants favour using the lowest reasonable estimate for the amount of uncollectable accounts.

**Question 3**

On 1 January 20X8, Great Stationery Limited had a HK$3,100 credit balance in the allowance for impairment loss on the trade receivables account. During the year, sales totalled HK$780,000 and HK$6,900 of trade receivables were written off as uncollectable (which had not previously been provided for as doubtful).

At 31 December 20X8 ageing of trade receivables indicated the amount probably uncollectable to be HK$5,300. No recoveries of accounts previously written off were made during the year.

Determine the correct statement below for Great Stationery Limited's financial statement for year 20X8.

**A** Bad and doubtful debts expense of HK$9,100.

**B** Bad and doubtful debts expense of HK$5,300.

**C** Allowance for doubtful debts account – credit balance of HK$1,500.

**D** Allowance for doubtful debts account – credit balance of HK$8,400.

## 7.2 TRADE PAYABLES

Payments that companies have yet to make in exchange for goods and services bought on credit from suppliers are called **trade payables**, and these payables fall within the larger umbrella of liabilities.

Trade payables are one example of current liabilities; others are bank overdrafts for working capital purposes, interest and dividends payable, taxes payable and outstanding wages. Also, current liabilities, as shown in the statement of financial position, are now payable within the next 12 months.

### 7.2.1 Definition of Trade Payables

Companies will seek to use trade credit when it is an economic means of financing. They will try to time cash inflows from sales so that payments to creditors could be covered. Relationships with suppliers are important and companies need to consider how their payment practices are affecting their suppliers. Late payments to suppliers can, for example, make it hard for those suppliers to have sufficient inventories to serve the company's needs.

Businesses of all sizes purchase merchandise and services on credit, an economic activity that results in obligations called trade payables. Whenever an entity buys goods or services from a supplier with the agreement to pay at a later date, it creates a trade payable. Trade payables are often the largest current liability on a company's statement of financial position.

Example: Great Stationery purchases greeting cards in a total of HK$500 in greetings cards on 20 July 20X9 and does not pay the invoice immediately, as shown:

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X9** | | | **HK$** | **HK$** |
| 20 July | Greetings cards | #1061 | 500 | |
| | Trade payables | #2020 | | 500 |
| | (To record greetings cards purchased on account) | | | |

The terms accounts payable and trade payables are often used synonymously but, technically, trade payables generally refer to amounts payable to vendors from which a company buys business supplies and direct materials to manufacture products or services. A merchandiser uses trade payables to record inventory purchases. Accounts payable refer to the other accounts owed to from purchases of goods and services, such as gas, electricity, wages outstanding, etc.

## 7.2.2 Recognising Trade Payables

Companies purchase goods and services all the time. These goods and services may be paid for on a cash basis. On other occasions purchases are made on credit. In these cases, a company would receive the goods immediately but be given time to pay what is owed to the vendor that has sold the goods. Purchases will give rise to an asset for a company, but if goods or services are purchased on credit then it gives rise to a trade payable.

Some sellers or vendors of goods or services will offer a **purchase discount** to customers in order to receive payment early. The objective of the vendor will be to encourage a buyer to pay early, so that they are able to ensure that there is a guarantee of some cash flows. Not every customer will pay early but those with ensuring cash flows into the business earlier than it otherwise might.

These discounts will be listed in the terms of the invoice. Such a condition might be that if payment happens by a deadline then a company may receive a discount.

It should also be remembered that purchases may be returned prior to the settlement of an invoice. The accounting procedure will be similar to that taking place when a company receives goods back from a customer (i.e. sales returns), and has to adjust the amount receivable from an individual or company. Trade payables would be reduced and the inventory reduced.

Assume, for example, that Great Stationery is purchasing greeting cards of HK$1,000 from a supplier. Great Stationery would first record the fact that it has purchased inventory, and also ensure that the corresponding amount is recorded as a liability – an amount payable to a vendor. It would look like this:

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X9** | | | **HK$** | **HK$** |
| 5 July | Greeting cards | #1061 | 1,000 | |
| | Trade payables | #2020 | | 1,000 |
| | (To record greeting cards purchased on account) | | | |

Assume that greetings cards of HK$200 needed to be returned to the supplier, because they did not conform with the order from Great Stationery. The entries would be:

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X9** | | | **HK$** | **HK$** |
| 5 July | Trade payables | #2020 | 200 | |
| | Greeting cards | #1061 | | 200 |
| | (To record a return of greeting cards to the supplier) | | | |

There is a 10% discount that is available to them if they pay within two weeks. Remember that the amount is now HK$800 and not HK$1,000 because of the return of greeting cards. They pay two days after purchase and the entries will be:

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X9** | | | **HK$** | **HK$** |
| 7 July | Trade payables | #2020 | 800 | |
| | Greeting cards | #1061 | | 80 |
| | Cash at bank | | | 720 |
| | (To record greeting cards payment and also discount received) | | | |

The compound journal entry illustrates the reduced liability, and also reflects the reduced amount that was paid before the deadline (HK$800 x 10% or HK$80).

Purchase discounts, **purchase returns and allowances** are temporary contra purchases accounts used in a periodic inventory system, which represent the amounts of merchandise that were returned to suppliers and the amounts allowed as deductions by suppliers for goods not returned. When the credit balance of this account is combined with the other purchases accounts, the result is the amount of net purchases.

An expense may arise when a purchase is made, or on a later date. It depends on whether the purchased item is consumed immediately or later. Here are two examples that explain this important distinction:

- Immediate expense: If Great Stationery pays HK$250 to an electrician to repair lights in the store, the firm will debit (increase) repair expense and credit (increase) trade payables. In this case, the expense is recognised immediately, and the cash payment to remove the trade payables balance may happen weeks later.
- Purchase: The journal entry above shows a purchase of greetings cards into inventory (an asset). An inventory purchase delays recognition of the expense until the cards

are sold. When the sale is made, Great Stationery debits (increases) cost of sales (an expense) and credits (decreases) inventory. Note that the payment of the trade payables balance may occur before or after the inventory is sold, and the payment entry is to debit (reduce) trade payables and credit (reduce) cash.

Because most businesses require payment within a short period (e.g. 30 days), trade payables are normally classified as current liabilities. HKAS 1 requires a balance for trade and other payables to be shown in the statement of financial position.

### 7.2.3 Utilising a Trade Payables Control Account and Its Subsidiary Ledgers

The trade payables account is a similar kind of control account to those you encountered earlier in this chapter. It is an account that is recorded in the general ledger in order to provide the senior managers and others with information about the debts an entity owes to other businesses or to vendors for goods that have been purchased.

It is worth remembering that a purchase made by a business on a credit basis becomes a receivable for another entity. In other words, the transaction that appears in the books of a company such as Great Stationery as a trade payable will be regarded in the books of the vendor as a trade receivable. The accounting is always looked at from the perspective of the entity for which the accounts are being prepared.

A company will purchase goods or services from other entities, and these will appear on the **purchases journals**. You will note that this journal specifically deals with purchases which represent goods or services that the company has bought, and which lead to accounts payable, which is the liability that the company has incurred in purchasing those assets.

You will see from the purchases journal below that several critical details appear. There is a date of purchase, the name of a supplier, the invoice date, terms of the invoice and a reference number for the transactions. Each of these details is necessary to ensure that the right company is paid within the time specified on an invoice.

| | | **Purchases Journal** | | | **P1** |
|---|---|---|---|---|---|
| **Date** | **Supplier Account Credited** | **Invoice Date** | **Terms** | **Ref** | **Dr Purchases Cr Trade Payables** |
| **20X9** | | | | | **HK$** |
| 1 March | Chong's Coffee | 1 March | n/30 | AP1 | 500 |
| 3 March | Boon's Bakery | 1 March | n/14 | AP2 | 1,000 |
| 5 March | Galaxy computing | 2 March | n/30 | AP3 | 1,500 |
| 7 March | Tommy Ting's Plumbing | 3 March | n/30 | AP4 | 800 |
| Totals | | | | | 3,800 |

The journal entries for purchases are similar to those for sales. Each journal entry gives rise to a credit in the trade payables subsidiary ledger. The four entries below are an exact match for the details in the purchase journal.

| | | Chong's Coffee | | AP1 |
|---|---|---|---|---|
| **Date** | **Ref.** | **Debit** | **Credit** | **Balance** |
| **20X9** | | **HK$** | **HK$** | **HK$** |
| 1 March | P1 | | 500 | 500 |

| | | Boon's Bakery | | AP2 |
|---|---|---|---|---|
| **Date** | **Ref.** | **Debit** | **Credit** | **Balance** |
| **20X9** | | **HK$** | **HK$** | **HK$** |
| 3 March | P1 | | 1,000 | 1,000 |

| | | Galaxy Computing | | AP3 |
|---|---|---|---|---|
| **Date** | **Ref.** | **Debit** | **Credit** | **Balance** |
| **20X9** | | **HK$** | **HK$** | **HK$** |
| 5 March | P1 | | 1,500 | 1,500 |

| | | Tommy Tings Plumbing | | AP4 |
|---|---|---|---|---|
| **Date** | **Ref.** | **Debit** | **Credit** | **Balance** |
| **20X9** | | **HK$** | **HK$** | **HK$** |
| 7 March | P1 | | 800 | 800 |

Trade payables control accounts aggregate the transactions which appear above.

| | | Inventory | | |
|---|---|---|---|---|
| **Date** | **Ref.** | **Debit** | **Credit** | **Balance** |
| **20X9** | | **HK$** | **HK$** | **HK$** |
| 31 March | P1 | 3,800 | | 3,800 |

| | | Trade Payable | | |
|---|---|---|---|---|
| **Date** | **Ref.** | **Debit** | **Credit** | **Balance** |
| **20X9** | | **HK$** | **HK$** | **HK$** |
| 31 March | P1 | | 3,800 | 3,800 |

Notice how the same kind of aggregation that occurs in the sales journal has also occurred in the purchases journal. It is worth remembering that the aggregation helps communicate what a company has bought.

Take the purchases of Chong's Coffee as an example, assume the amount is paid in cash on 25 March. Liabilities are reduced by HK$500 and cash at bank is also reduced by the same amount. Look at the journal entry below as an example of how you would account for the payment of the debt.

**Journal entry**

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X9** | | **HK$** | **HK$** |
| 25 March | Trade payables | 500 | |
| | Cash at bank | | 500 |
| | Cash payment for the purchase from Chong's Coffee | | |

Assume that some of the packages of baked goods from Boon's Bakery arrived in poor condition before the account was paid. The journal entries for the purchase return of HK$100 happened on 25 March 20X8 would appear as below.

**Journal entry**

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X9** | | **HK$** | **HK$** |
| 25 March | Trade payables | 100 | |
| | Purchases Returns | | 100 |
| | Purchase returns to Boon's Bakery | | |

These entries will reduce the amount payable to Boon's Bakery and also recognise that there has been a purchase return.

Let us revisit the coffee shop's trade payables (control account) and update it as follows:

| Trade payables (Control Account) | | | | |
|---|---|---|---|---|
| **Date** | **Ref.** | **Debit** | **Credit** | **Balance** |
| **20X9** | | **HK$** | **HK$** | **HK$** |
| 31 March | P1 | | 3,800 | 3,800 |
| 31 March | Cash payment | 500 | | 3,300 |
| 31 March | Purchase return | 100 | | 3,200 |

On the same closing date of 31 March 20X9, we can add up the ending balances of all the individual trade payable in the subsidiary ledger as follows:

| Trade payables | Ending balance (HK$) |
|---|---|
| Chong's Coffee | – |
| Boon's Bakery ($1,000 – $100) | 900 |
| Galaxy Computing | 1,500 |
| Tommy Ting's Plumbing | 800 |
| | 3,200 |

The ending balance of the trade payables (control account) of HK$3,200 can be reconciled with the total individual payable balances in the subsidiary ledger of HK$3,200 above.

**Key Learning Point**

Trade payables include money a company owes its vendors for services and products it has purchased. Trade payables are a current liability, and the closing balance in the general ledger is reported in the statement of financial position.

### ▶ Knowledge Check Questions

**Question 4**

On 3 November 20X9, HK Computer City purchases 100 spreadsheet programs from Kowloon PC Products. The cost of these programs is HK$100 each for a total cost of HK$10,000. However, PC Products offer credit terms of 2/10, n/30. If Computer City pays for this purchase within one week on 8 November 20X9, calculate the amount to be paid and prepare the accounting entries for HK Computer City.

**Question 5**

Analyse the relationship between trade payables and effective cash flow management.

## 7.3 STATEMENT PRESENTATION OF TRADE RECEIVABLES AND TRADE PAYABLES

After trade receivables and trade payables are recorded in the accounts, they have to be reported in the statement of financial position.

At the end of a period and before financial statements are prepared, adjusting entries are required to ensure revenues and expenses are recorded in the proper period and that assets, liabilities and equity are appropriately stated.

Trade receivables and trade payables are elements of the net working capital of a company. Companies must maintain working capital (i.e. **realisable value**) so that they can finance their operations and meet their debts as and when they fall due. The net realisable value is the amount of money a company expects to receive from its trade receivables after deducting the uncollectable amount.

External users and management will analyse the components of working capital to try to discern shifts in the performance of the company. Is inventory building up? Are trade receivables taking longer to come in? Is trade credit drying up? Is new funding for working capital needed or can existing working capital be more efficiently employed?

For these reasons accounting standards like HKAS 1 require separate classification of trade and other receivables and payables.

## Apply and Analyse 3

***Apply***

Have a look at the consolidated statement of financial position for Cathay Pacific. Identify the key numbers related to accounts receivable and accounts payable in these financial statements.

***Analysis***

**Consolidated Statement of Financial Position**

at 31 December 2017

| | | **2017** | 2016 | **2017** | 2016 |
|---|---|---|---|---|---|
| | Note | **HK$ m** | HK$ m | **US$ m** | US$ m |
| **ASSETS AND LIABILITIES** | | | | | |
| **Non-current assets and liabilities** | | | | | |
| Property, plant and equipment | 9 | **111,182** | 106,456 | **14,254** | 13,648 |
| Intangible assets | 10 | **11,221** | 10,934 | **1,438** | 1,402 |
| Investments in associates | 11 | **28,144** | 23,298 | **3,608** | 2,987 |
| Other long-term receivables and investments | 12 | **4,068** | 4,604 | **522** | 590 |
| Deferred tax assets | 16 | **928** | 737 | **119** | 94 |
| | | **155,543** | 146,029 | **19,941** | 18,721 |
| Long-term liabilities | 13 | **(69,506)** | (58,906) | **(8,911)** | (7,552) |
| Other long-term payables | 14 | **(3,502)** | (7,517) | **(449)** | (964) |
| Deferred tax liabilities | 16 | **(12,820)** | (11,380) | **(1,644)** | (1,458) |
| | | **(85,828)** | (77,803) | **(11,004)** | (9,974) |
| **Net non-current assets** | | **69,715** | 68,226 | **8,937** | 8,747 |
| **Current assets and liabilities** | | | | | |
| Stock | | **1,515** | 1,514 | **194** | 194 |
| Trade, other receivables and other assets | 17 | **11,361** | 9,557 | **1,457** | 1,225 |
| Assets held for sale | 18 | **865** | 31 | **111** | 4 |
| Liquid funds | 19 | **19,094** | 20,290 | **2,448** | 2,602 |
| | | **32,835** | 31,392 | **4,210** | 4,025 |
| Current portion of long-term liabilities | 13 | **(8,888)** | (11,263) | **(1,139)** | (1,444) |
| Trade and other payables | 20 | **(17,057)** | (19,104) | **(2,187)** | (2,449) |
| Unearned transportation revenue | | **(13,961)** | (12,926) | **(1,790)** | (1,657) |
| Taxation | | **(1,372)** | (707) | **(176)** | (91) |
| Dividend payable to non-controlling interests | | **–** | (92) | **–** | (12) |
| | | **(41,278)** | (44,092) | **(5,292)** | (5,653) |
| **Net current liabilities** | | **(8,443)** | (12,700) | **(1,082)** | (1,628) |
| **Total assets less current liabilities** | | **147,100** | 133,329 | **18,859** | 17,093 |
| **Net assets** | | **61,272** | 55,526 | **7,855** | 7,119 |

## Apply and Analyse 3 *(continued)*

| | | **2017** | 2016 | **2017** | 2016 |
|---|---|---|---|---|---|
| | Note | **HK$ m** | HK$ m | **US$ m** | US$ m |
| **CAPITAL AND RESERVES** | | | | | |
| Share capital | 21 | **17,106** | 17,106 | **2,193** | 2,193 |
| Other reserves | 22 | **43,995** | 38,259 | **5,640** | 4,905 |
| Funds attributable to the shareholders of Cathay Pacific | | **61,101** | 55,365 | **7,833** | 7,098 |
| Non-controlling interests | | **171** | 161 | **22** | 21 |
| **Total equity** | | **61,272** | 55,526 | **7,855** | 7,119 |

*The financial statements are prepared and presented in HK$, the functional currency. The US$ figures are shown only as supplementary information and are translated at US$1:HK$7.8.*

*(Source: Cathay Pacific Annual Report, 2017.)*

The amounts are located in the section dealing with current assets and current liabilities. It is important to realise that trade, other receivables and other assets are in the same section with trade payables and other payables. These are classified as current assets and current liabilities respectively.

It is also important to note that Cathay Pacific reports net current liabilities rather than assets. You will also notice that the net current liabilities figure for the 2017 year end is lower than that reported for the previous year.

Look at the differences between the two reporting periods. Observe the changes and note what differences exist in the payables and receivables line items that are reported here. The comparatives that are used in the financial statements allow you as a reader or user to understand how the current reporting period compares with the previous year.

It is useful to remember that you may use figures contained in the financial statement for further analysis using ratio formulas. Being able to locate figures on the statement of financial position quickly will help you complete other accounting and analysis tasks more efficiently over time.

## Key Learning Point

The total of trade receivables that can be collected is called **net realisable value**. Reporting trade receivables at net realisable value provides information to investors and creditors on the company's ability to generate cash.

## Knowledge Check Questions

**Question 6**

Define trade receivables.

**Question 7**

Define trade payables.

**Question 8**

Identify which of the following best describes 'other receivables'.

**A** Loans to employees or subsidiary companies

**B** Payments to creditors

**C** Purchases of assets for the company

**D** Loan from a bank to a company

## SUMMARY

- Account receivables that result from normal sale transactions are called trade receivables.
- For a service company, a trade receivable is recorded when a service is provided. For a merchandising company, a trade receivable is recorded on the ledger when a product is delivered.
- Most companies use trade receivables subsidiary ledgers to keep track of individual customer accounts. A subsidiary ledger gives supporting details to the general ledger.
- Companies often do not know which specific trade receivables will need to be written off. They use the allowance method to estimate uncollectable accounts at the end of each accounting period.
- The allowance method has three essential features. It records estimated uncollectables, it takes into account accounts that are written off, and it accounts for any cash collected that is linked to previously written-off accounts.
- Companies often calculate the allowance for impairment loss on trade receivables using one or both of two approaches: percentage of sales and percentage of receivables.
- The percentage of sales approach estimates the amount of bad debt expense as a percentage of net credit sales.
- Under the percentage of receivables approach, management uses past experience to estimate the percentage of receivables that will become uncollectable accounts by multiplying the total amount of trade receivables by management's estimate of the percentage of accounts that will become uncollectable.
- When all the ways of collecting a past-due account have been tried and collection appears impossible, the account should be written off.
- Occasionally, companies collect on an account after it has been written off. This requires two entries. One to record the increase in net assets (and reduction in allowance for impairment loss on trade receivables) and the other to record the collection of cash.
- Payments that companies have to make in exchange for goods and services bought on credit from suppliers are called trade payables.
- Trade receivables refer to the realisable value that a company expects to receive in exchange for goods and services it provides.
- A trade receivable can be reported as an asset only if it represents economic resource controlled by the entity. This means that only collectible receivables can be reported as assets in the financial statements.
- After trade receivables and trade payables are recorded in the accounts, they have to be reported in the statement of financial position.
- Receivables and payables are generally classified and reported as separate items in the current or non-current sections of the statement of financial position depending on their due dates.

## MIND MAP

**ACCOUNTING FOR TRADE RECEIVABLES AND TRADE PAYABLES**

**TRADE RECEIVABLES**
- Recognising trade receivables
- Accounting for bad debts
- Utilising a trade receivables control account and its subsidiary ledgers

**TRADE PAYABLES**
- Definition of trade payables
- Recognising trade payables
- Utilising a trade payables control account and its subsidiary ledgers

**STATEMENT PRESENTATION OF TRADE RECEIVABLES AND TRADE PAYABLES**

## Answers to Knowledge Check Questions

### Question 1

The most liquid financial asset is cash, followed by cash equivalents, marketable securities and receivables. The liquidity of receivables varies depending on their collectability and maturity dates. The allowance for impairment loss on trade receivables should provide for those receivables that may prove to be uncollectable; however, users of financial statements may also want to evaluate credit-risk disclosure and, perhaps, the credit ratings of major debtors.

### Question 2

Answer A is incorrect because accounts receivable are shown as the net realisable value in the statement of financial position. There is no such thing as the gross value principle.

Answer B is correct because the explanation of the matching principle best describes the application of GAAP.

Answer C is incorrect because the bad debt does not include the cost the seller must pay to cover uncollectable accounts.

Answer D is incorrect because uncollectable accounts should be estimated as a percentage of receivables or a percentage of sales.

### Question 3

Answer A is correct because the bad and doubtful debt expenses is HK$6,900 + HK$5,300 − HK$3,100 = HK$9,100.

Answer B is incorrect because HK$5,300 is the probable uncollectable debt determined by ageing method.

Answer C is incorrect because opening credit balance is HK$3,100 as given.

Answer D is incorrect because the closing balance is HK$5,200 as given.

### Question 4

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X9** | | **HK$** | **HK$** |
| 3 November | Inventory | 10,000 | |
| | Trade payables | | 10,000 |
| | (Purchase inventory from Kowloon PC Products on account) | | |

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X9** | | **HK$** | **HK$** |
| 8 November | Trade payables | 10,000 | |
| | Inventory (HK$10,000 × 2%) | | 200 |
| | Cash | | 9,800 |
| | (Payment of the inventory and also discount received) | | |

**Question 5**

A business can conserve available cash by monitoring the trade payables balances, when each invoice must be paid, and the dollar amount of each invoice. Planning the due dates for trade payables can improve cash flow management and reduce the need to borrow funds to meet cash needs.

**Question 6**

Trade receivables are amounts billed by a business to its customers when it delivers goods or services to them in the ordinary course of business. These billings are typically documented by formal invoices.

**Question 7**

Payments that companies have yet to make in exchange for goods and services bought on credit from suppliers are called trade payables, and these payables fall within the larger umbrella of liabilities.

**Question 8**

Answer A is correct because loans to employees or subsidiary companies are correctly classified as other receivables. These are internal transactions for which accounting must take place, but they are not a result of normal business activities that would fall into the category of trade receivables.

Answer B is incorrect because payments to creditors are not defined as receivables.

Answer C is incorrect because purchases of assets for the company impact equity, not receivables.

Answer D is incorrect because a loan from a bank to a company is considered a liability, not a receivable.

## EXAM PRACTICE

### QUESTION 1

Identify what receivables that result from sales transactions are often called.

**A.** Sales receivables
**B.** Non-trade receivables
**C.** Trade receivables
**D.** Merchandise receivables

## QUESTION 2

Identify which of the following is *not* a primary problem associated with trade receivables.

**A.** Depreciating trade receivables
**B.** Recognising trade receivables
**C.** Valuing trade receivables
**D.** Disposing of trade receivables

## QUESTION 3

Identify where trade receivables are valued and reported on the statement of financial position.

**A.** In the investment section.
**B.** At gross amounts less sales returns and allowances.
**C.** At net realisable value.
**D.** Only if they are not past due.

## QUESTION 4

Determine what happens when a company fails to record estimated bad and doubtful debts expense.

**A.** Net realisable value is understated.
**B.** Expenses are understated.
**C.** Revenues are understated.
**D.** Receivables are understated.

## QUESTION 5

Analyse the effect of a percentage of sales approach to estimating expected uncollectables.

**A.** It emphasises the matching of expenses with revenues.
**B.** It emphasises statement of financial position relationships.
**C.** It overemphasises the effect of bad debts on assets.
**D.** It is not generally accepted as a basis for estimating bad debts.

## QUESTION 6

Management can choose between two bases in calculating the estimated uncollectable accounts under the allowance method. One basis emphasises a statement of profit or loss viewpoint, whereas the other emphasises a statement of financial position viewpoint.

**Required:**

(a) Identify the bases of the two approaches.

(b) Compare and contrast how the different points of view affect the amount recognised as bad and doubtful debt expense during the accounting period.

## QUESTION 7

On 1 January 20X9, HKQP Limited decides that Panda Company's trade receivables account of HK$52,000 is uncollectable, upon which the accountant makes the corresponding accounting entries. On 1 March 20X9, Panda Company pays in full of its account of HK$52,000 to HKQP Limited, which was previously written off by HKQP.

**Required:**

(a) Prepare the accounting entries in writing off the uncollectible account of Panda Company on 1 January 20X9; and

(b) Prepare the accounting entries in handling the bad debt recovered from Panda Company on 1 March 20X9; and explain the rationale behind these accounting entries.

## QUESTION 8

The following are transactions of Silver Phoenix Company Limited during the month of June 20X1:

1 June: Accepts a one-year 8 percent note receivable from Panda Company, a client, to settle an existing account receivable of HK$15,000. The note, including interest, is due in full on 31 May 20X2.

8 June: Determines that an account receivable from Dragon Company in the amount of HK$7,000 is uncollectible and to be written off against the allowance for impairment loss on trade receivables.

15 June: Receives an unexpected payment from Dolphin Company in the amount of HK$2,000, the full amount of their account. In January 20X1, the HK$2,000 trade receivable from Dolphin had been written off as uncollectible.

30 June: The month-end bank reconciliation includes the following items:

- Outstanding cheques, HK$123,200.
- Deposit in transit, HK$31,500.
- Cheque from customer Whale Company returned 'NSF', HK$3,580.
- Bank service charges, HK$100.
- Bank collected HK$200,000 in maturing government bond (a cash equivalent) on Silver Phoenix's behalf. (These government bonds had cost HK$196,700, so the amount collected includes HK$3,300 interest revenue.)

Also, note the following regarding adjusting entries:

1. Probable uncollectible accounts total HK$90,000, according to the aging of all trade receivable. Prior to the month-end adjustment, the allowance for impairment loss on trade receivables had a credit balance of HK$52,100.
2. Accrued interest revenue on the notes receivable from Panda Company dated 1 June.

**Required:**

(a) Prepare general journal entries for these June transactions, including the accounting records from the bank reconciliation.

(b) Prepare the month-end adjustments based on the listed adjusting entries.

## QUESTION 9

HKQP Limited ('HKQP') is a wholesale company selling household appliances mainly to hundreds of retailing shops in Hong Kong. HKQP recorded the following sales and related transactions from 1 January 202X to 31 March 202X.

| 202X | Sales Particulars | Amount (HK$) |
|---|---|---|
| 3 Jan. | Sold 20 colour TV sets of HK$3,000 each to Alan Company on account | 60,000 |
| 6 Jan. | Sold 10 washing machines of HK$4,000 each to Benny Company on credit | 40,000 |
| 7 Jan. | Sold 50 food blenders of HK$700 each to Carl Company on credit | 35,000 |
| 10 Jan. | Sold 12 air-conditioners of HK$25,000 each to Danny Company on credit. Danny Company issued 1-month notes payable for the full amount which was accepted by HKQP | 300,000 |
| 17 Jan. | Carl Company settled its account in full and was allowed 10% cash discount | |
| 20 Jan. | Sold 40 electric fans of HK500 each to Eddie Company on credit | 20,000 |
| 24 Jan. | Benny Company settled its account in full and was allowed 5% cash discount | |
| 31 Jan. | Sold 60 rice cookers of HK$850 each to Frank Company on credit | 51,000 |
| 31 Jan. | Total January sales | 506,000 |
| 5 Feb. | Sold 80 electric heaters of HK$250 each to Benny Company on credit | 20,000 |
| 10 Feb. | The notes receivable from Danny Company was honoured | |
| 17 Feb. | Sold 500 electric water boilers of HK$200 each to Grand Hotel on account | 100,000 |
| 21 Feb. | Sold 100 food blenders of HK$800 each to Eddie Company on account | 80,000 |
| 29 Feb. | Total February sales | 200,000 |
| 4 Mar. | Sold 20 washing machines of HK$5,000 each to Frank Company on credit | 100,000 |
| 6 Mar. | Eddie Company returned 10 food blenders sold to it of HK$800 each | |
| 12 Mar. | Sold 30 colour TV sets of HK$4,000 each to Carl Company on account | 120,000 |
| 20 Mar. | Grand Hotel settled its account in full and was allowed 5% cash discount | |
| 27 Mar. | Sold 20 washing machines of HK$4,500 each to Danny Company on credit | 90,000 |
| 31 Mar. | Total March sales | 310,000 |
| 31 Mar. | Alan Company declared bankrupt and unable to settle any of its account owing to HKQP | |
| 31 Mar. | HKQP estimated and provided HK$20,000 of doubtful debts or trade receivable | |

**Required:**

(a) Prepare the journal entries of the above sales and related transactions;

(b) Prepare the individual customer accounts in the trade receivable subsidiary ledger;

(c) Prepare the trade receivable (control) account and reconcile its closing balance with individual receivable accounts in the subsidiary ledger; and

(d) Prepare the abstract of trade receivable item of HKQP Statement of Financial Position at 31 March 202X.

## ANSWERS TO EXAM PRACTICE

### QUESTION 1

Answer A is incorrect because sales receivables is not a standard accounting term.

Answer B is incorrect because non-trade receivables is not a standard accounting term.

Answer C is correct because trade receivables result from sales transactions.

Answer D is incorrect because merchandise receivables is not a standard accounting term.

### QUESTION 2

Answer A is correct because trade receivables are not depreciated. Companies must use generally accepted accounting principles to recognise, value and dispose of trade receivables.

Answer B is incorrect because receivables are recognised on the general ledger according to generally accepted accounting principles.

Answer C is incorrect because the process for valuing trade receivables is clear according to generally accepted accounting principles.

Answer D is incorrect because disposing of trade receivables is performed according to generally accepted accounting principles.

### QUESTION 3

Answer A is incorrect because trade receivables are not categorised as investments.

Answer B is incorrect because trade receivables are valued and reported at net realisable value.

Answer C is correct because trade receivables are reported on the statement of financial position at their net realisable value, which is ultimately at the amount that the company expects to receive from their customers.

Answer D is incorrect because trade receivables are reported at their net realisable value, whether or not they were past due upon receipt.

### QUESTION 4

Answer A is incorrect because net realisable value would be overstated if bad debts are not recorded.

Answer B is correct because expenses would be understated if bad debts are not recorded.

Answer C is incorrect because revenues would remain unchanged if bad debts are not recorded.

Answer D is incorrect because receivables would be overstated if bad debts are not recorded.

## QUESTION 5

Answer A is correct because a percentage of sales approach emphasises matching of expenses with revenues. This is because the bad debt expense is related to the sales recorded in the same period.

Answer B is incorrect because a percentage of sales approach does not reflect the relationships in the statement of financial position.

Answer C is incorrect because a percentage of sales approach matches revenue with expenses; it does not relate bad debt to assets.

Answer D is incorrect because a percentage of sales approach is generally accepted as a basis for estimating bad debts.

## QUESTION 6

(a) The two bases available to calculate the estimated uncollectibles under the accrual based allowance method are percentage of sales basis and percentage of receivables basis.

(b) The percentage of sales basis emphasises the statement of profit and loss, while the percentage of receivables basis emphasises the statement of financial position.

- Under the percentage of sales basis, bad and doubtful debt expense for the period is calculated directly as a percentage of net credit sales, without regard to any balance in the allowance account.
- Under the percentage of receivables basis, the emphasis is on establishing the proper allowance account. Bad and doubtful debt expense is indirectly determined to be the amount necessary to create the proper balance in the allowance account.

## QUESTION 7

(a) Bad debt written off on 1 January 20X9

| | | | |
|---|---|---|---|
| Dr | Allowance for impairment loss on trade receivables | HK$52,000 | |
| Cr | Trade receivables – Panda Company | | HK$52,000 |

(To write off an uncollectible receivable balance previously recorded as doubtful)

(b) Bad debt recovery on 1 March 20X9

| | | | |
|---|---|---|---|
| Dr | Trade receivables – Panda Company | HK$52,000 | |
| Cr | Allowance for impairment loss on trade receivables | | HK$52,000 |

(To reinstate trade receivables previously written off)

| | | | |
|---|---|---|---|
| Dr | Cash | HK$52,000 | |
| Cr | Trade receivables – Panda Company | | HK$52,000 |

(To record collection of the trade receivables)

When a customer fails to pay and the account is written off as uncollectible, his or her credit standing is jeopardised. To help restore credit standing, a customer sometimes volunteers to pay all or part of the amount owed. A company makes two entries when collecting the account previously written off:

- The first is to reverse the write-off and reinstate the customer account.
- The second entry records the collection of the reinstated account.

## QUESTION 8

(a) General Journal entries

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X1** | | **HK$** | **HK$** |
| 1 Jun. | Notes Receivable | 15,000 | |
| | Trade Receivables (Panda Company) | | 15,000 |
| | Accepted a one-year, 8% note in settlement of a HK$15,000 trade receivable | | |
| 8 Jun. | Allowance for impairment loss on trade receivables | 7,000 | |
| | Trade receivables (Dragon Company) | | 7,000 |
| | To write off receivables from Dragon Company as uncollectible | | |
| 15 Jun. | Trade receivables (Dolphin Company) | 2,000 | |
| | Allowance for impairment loss on trade receivables | | 2,000 |
| | To reinstate a trade receivable previously written off as uncollectible | | |
| 15 Jun. | Cash | 2,000 | |
| | Trade receivables (Dolphin Company) | | 2,000 |
| | To record collection of a trade receivable | | |
| 30 Jun. | Cash | 200,000 | |
| | Government Bond Investment | | 196,700 |
| | Interest Revenue | | 3,300 |
| | To record collection of mature government bond by bank | | |
| 30 Jun. | Trade receivables (Whale Company) | 3,580 | |
| | Bank Service Charge | 100 | |
| | Cash | | 3,680 |
| | To record bank service charge and to reclassify NSF cheque from Whale Company as a trade receivable | | |

(b) Month-end adjusting entries

| Date | Adjusting Entries | Debit | Credit |
|---|---|---|---|
| **20X1** | | **HK$** | **HK$** |
| 30 Jun. | Uncollectible Accounts Expense | 37,900 | |
| | Allowance for impairment loss on trade receivables | | 37,900 |
| | To increase allowance for impairment loss on trade receivables to HK$90,000 (HK$90,000 – HK$52,100) | | |
| | | | |
| 30 Jun. | Interest Receivable | 100 | |
| | Interest Revenue | | 100 |
| | Accrued one-month interest revenue on notes receivable: HK$15,000 x 8% x 1/12 = HK$100 | | |

## QUESTION 9

(a) Journal entries

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **202X** | | **HK$** | **HK$** |
| 3 Jan. | Trade receivables (Alan Company) | 60,000 | |
| | Sales | | 60,000 |
| | Sold 20 color TV sets of HK$3,000 each to Alan Company on account | | |
| 6 Jan. | Trade receivables (Benny Company) | 40,000 | |
| | Sales | | 40,000 |
| | Sold 10 washing machines of HK$4,000 each to Benny Company on credit | | |
| 7 Jan. | Trade receivables (Carl Company) | 35,000 | |
| | Sales | | 35,000 |
| | Sold 50 food blenders of HK$700 each to Carl Company on credit | | |
| 10 Jan. | Trade receivables (Danny Company) | 300,000 | |
| | Sales | | 300,000 |
| | Notes receivable | 300,000 | |
| | Trade receivables (Danny Company) | | 300,000 |
| | Sold 12 air-conditioners of HK$25,000 each to Danny Company on credit. Danny Company issued a 1-month notes payable for the full amount which was accepted by HKQP | | |
| 17 Jan. | Cash (HK$35,000 x 90%) | 31,500 | |
| | Discount allowed | 3,500 | |
| | Trade receivables (Carl Company) | | 35,000 |
| | Carl Company settled its account in full and was allowed 10% cash discount | | |
| 20 Jan. | Trade receivables (Eddie Company) | 20,000 | |
| | Sales | | 20,000 |
| | Sold 40 electric fans of HK$500 each to Eddie Company on credit | | |
| 24 Jan. | Cash (HK$40,000 x 95%) | 38,000 | |
| | Discount allowed | 2,000 | |
| | Trade receivables (Benny Company) | | 40,000 |
| | Benny Company settled its account in full and was allowed 5% cash discount | | |
| 31 Jan. | Trade receivables (Frank Company) | 51,000 | |
| | Sales | | 51,000 |
| | Sold 60 rice cookers of HK$850 each to Frank Company on credit | | |
| 31 Jan. | Trade receivables (Control) | 506,000 | |
| | Sales (Control) | | 506,000 |
| | Posting January sales to control accounts | | |
| 5 Feb. | Trade receivables (Benny Company) | 20,000 | |
| | Sales | | 20,000 |

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **202X** | | **HK$** | **HK$** |
| | Sold 80 electric heaters of HK$250 each to Benny Company on credit | | |
| 10 Feb. | Cash | 300,000 | |
| | Notes receivable | | 300,000 |
| | The notes receivable from Danny Company was honored | | |
| 17 Feb. | Trade receivables (Grand Hotel) | 100,000 | |
| | Sales | | 100,000 |
| | Sold 500 electric water boilers of HK$200 each to Grand Hotel on account | | |
| 21 Feb. | Trade receivables (Eddie Company) | 80,000 | |
| | Sales | | 80,000 |
| | Sold 100 food blenders of HK$800 each to Eddie Company on account | | |
| 29 Feb. | Trade receivables Control Account | 200,000 | |
| | Sales Control Account | | 200,000 |
| | Posting February sales to control accounts | | |
| 4 Mar. | Trade receivables (Frank Company) | 100,000 | |
| | Sales | | 100,000 |
| | Sold 20 washing machines of HK$5,000 each to Frank Company on credit | | |
| 6 Mar. | Sales return | 8,000 | |
| | Trade receivables (Eddie Company) | | 8,000 |
| | Eddie Company returned 10 food blenders sold to it of HK$800 each | | |
| 12 Mar. | Trade receivables (Carl Company) | 120,000 | |
| | Sales | | 120,000 |
| | Sold 30 color TV sets of HK$4,000 each to Carl Company on account | | |
| 20 Mar. | Cash (HK$100,000 x 95%) | 95,000 | |
| | Discount allowed | 5,000 | |
| | Trade receivables (Grand Hotel) | | 100,000 |
| | Grant Hotel settled its account in full with a 5% cash discount | | |
| 27 Mar. | Trade receivables (Danny Company) | 90,000 | |
| | Sales | | 90,000 |
| | Sold 20 washing machines of HK$4,500 each to Danny Company on credit | | |
| 31 Mar. | Trade receivables Control Account | 310,000 | |
| | Sales Control Account | | 310,000 |
| | Posting February sales to control accounts | | |
| 31 Mar. | Impairment loss on trade receivables | 60,000 | |
| | Allowance for impairment loss on trade receivables | | 60,000 |
| | Allowance for impairment loss on trade receivables | 60,000 | |
| | Trade receivables (Alan Company) | | 60,000 |

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **202X** | | **HK$** | **HK$** |
| | Alan Company declared bankrupt and unable to settle any of its account owing to HKQP | | |
| 31 Mar. | Impairment loss on trade receivables | 20,000 | |
| | Allowance for impairment loss on trade receivables | | 20,000 |
| | HKQP estimated and provided HK$20,000 of doubtful debts or trade receivables | | |

(b) Individual customer accounts in the trade receivable subsidiary ledger

**Alan Company**

| Date | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|
| **202X** | | **HK$** | **HK$** | **HK$** |
| 3 Jan. | S1 | 60,000 | | 60,000 |
| 31 Mar. | Impairment loss on trade receivables | | 60,000 | 0 |

**Benny Company**

| Date | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|
| **202X** | | **HK$** | **HK$** | **HK$** |
| 6 Jan. | S1 | 40,000 | | 40,000 |
| 24 Jan. | Cash payment | | 38,000 | 2,000 |
| 24 Jan. | Discounts allowed | | 2,000 | 0 |
| 5 Feb. | S2 | 20,000 | | 20,000 |

**Carl Company**

| Date | Ref. | Debit | Credit | Balance |
|---|---|---|---|---|
| **202X** | | **HK$** | **HK$** | **HK$** |
| 7 Jan. | S1 | 35,000 | | 35,000 |
| 17 Jan. | Cash payment | | 31,500 | 3,500 |
| 17 Jan. | Discounts allowed | | 3,500 | 0 |
| 12 Mar. | S2 | 120,000 | | 120,000 |

| Danny Company | | | | |
|---|---|---|---|---|
| **Date** | **Ref.** | **Debit** | **Credit** | **Balance** |
| **202X** | | **HK$** | **HK$** | **HK$** |
| 10 Jan. | S1 | 300,000 | | 300,000 |
| 10 Jan. | Note receivable | | 300,000 | 0 |
| 27 Mar. | S3 | 90,000 | | 90,000 |

| Eddie Company | | | | |
|---|---|---|---|---|
| **Date** | **Ref.** | **Debit** | **Credit** | **Balance** |
| **202X** | | **HK$** | **HK$** | **HK$** |
| 20 Jan. | S1 | 20,000 | | 20,000 |
| 21 Feb. | S2 | 80,000 | | 100,000 |
| 6 Mar. | Sales return | | 8,000 | 92,000 |

| Frank Company | | | | |
|---|---|---|---|---|
| **Date** | **Ref.** | **Debit** | **Credit** | **Balance** |
| **202X** | | **HK$** | **HK$** | **HK$** |
| 31 Jan. | S1 | 51,000 | | 51,000 |
| 4 Mar. | S3 | 100,000 | | 151,000 |

| Grand Hotel | | | | |
|---|---|---|---|---|
| **Date** | **Ref.** | **Debit** | **Credit** | **Balance** |
| **202X** | | **HK$** | **HK$** | **HK$** |
| 17 Feb. | S2 | 100,000 | | 100,000 |
| 20 Mar. | Cash payment | | 95,000 | 5,000 |
| 20 Mar. | Discount allowed | | 5,000 | 0 |

(c) Present the trade receivables (control) account and reconcile its closing balance with individual receivable accounts in the subsidiary ledger

| Trade Receivables Control Account | | | | |
|---|---|---|---|---|
| **Date** | **Ref.** | **Debit** | **Credit** | **Balance** |
| **2020** | | **HK$** | **HK$** | **HK$** |
| 31 Jan. | S1-Jan. Sales | 506,000 | | 506,000 |
| 31 Jan. | Cash payments | | 69,500 | 436,500 |
| 29 Feb. | S2-Feb. Sales | 200,000 | | 636,500 |

| Trade Receivables Control Account | | | | |
|---|---|---|---|---|
| **Date** | **Ref.** | **Debit** | **Credit** | **Balance** |
| **2020** | | **HK$** | **HK$** | **HK$** |
| 29 Feb. | Cash payments | | 300,000 | 336,500 |
| 31 Mar. | S3-Mar. Sales | 310,000 | | 646,500 |
| 31 Mar. | Cash payments | | 95,000 | 551,500 |
| 31 Mar. | Sales returns | | 8,000 | 543,500 |
| 31 Mar. | Discounts allowed | | 10,500 | 533,000 |
| 31 Mar. | Impairment loss on trade receivables | | 60,000 | 473,000 (Note: Tie to balance below) |

Individual receivable accounts in the subsidiary ledger at 31 March 202X:

| | **HK$** |
|---|---|
| Alan Company | 0 |
| Benny Company | 20,000 |
| Carl Company | 120,000 |
| Danny Company | 90,000 |
| Eddie Company | 92,000 |
| Frank Company | 151,000 |
| Grand Hotel | 0 |
| Total | 473,000 (Note: Tie to balance above) |

(d) Abstract of trade receivables item of HKQP Statement of Financial Position at 31 March 202X:

| | **HK$** |
|---|---|
| Trade receivables | 473,000 |
| Less: Allowance for impairment loss on trade receivables | 20,000 |
| Net trade receivables | 453,000 |

## QUESTION 10

(a) Journal entries

| **Date** | **Particulars** | **Debit** | **Credit** |
|---|---|---|---|
| **202X** | | **HK$** | **HK$** |
| 2 Jan. | Purchases | 6,000 | |
| | Trade payables (Amy Company) | | 6,000 |
| | Purchased 400 ball pens of HK$15 each from Amy Company on account | | |

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| 202X | | HK$ | HK$ |
| 6 Jan. | Purchases | 15,000 | |
| | Trade payables (Bonnie Company) | | 15,000 |
| | Trade payable-Bonnie Company | 15,000 | |
| | Notes payable | | 15,000 |
| | Purchased 50 kg card boards of HK$300/kg from Bonnie Company on credit and issued a 1-month notes payable to Bonnie Company which was accepted | | |
| 10 Jan. | Purchases | 12,000 | |
| | Trade payables (Catherine Company) | | 12,000 |
| | Purchased 100 desk-top calculators of HK$120 from Catherine Company on account | | |
| 13 Jan. | Trade payables (Catherine Company) | 2,400 | |
| | Purchases return | | 2,400 |
| | Returned 20 defect desk-top calculators to Catherine Company | | |
| 17 Jan. | Trade payables (Amy Company) | 6,000 | |
| | Discount received | | 300 |
| | Cash (HK$6,000 x 95%) | | 5,700 |
| | Settled Amy Company's account in full with a 5% cash discount | | |
| 22 Jan. | Purchases | 18,000 | |
| | Trade payables (Dora Company) | | 18,000 |
| | Purchased 150 kid's school bags of HK$120 each from Dora Company on account | | |
| 24 Jan. | Purchases | 5,000 | |
| | Trade payables (Elaine Company) | | 5,000 |
| | Purchased 200 popular kid's cartoon books of HK$25 each from Elaine Company | | |
| 28 Jan. | Trade payables (Elaine Company) | 5,000 | |
| | Cash (HK$5,000 x 90%) | | 4,500 |
| | Discount received | | 500 |
| | Settled Elaine Company's account in full with a 10% cash discount | | |
| 31 Jan. | Purchases Control Account | 56,000 | |
| | Trade payables Control Account | | 56,000 |
| | Posting of total purchases in January 2020 | | |
| 3 Feb. | Purchases | 12,000 | |
| | Trade payables (Fanny Company) | | 12,000 |
| | Purchased 100 drawing board of HK$120 each from Fanny Company on account | | |
| 6 Feb. | Notes payable | 15,000 | |
| | Cash | | 15,000 |
| | The 1-month notes payable to Bonnie Company was honored | | |
| 11 Feb. | Trade payables (Catherine Company) (HK$12,000–HK$2,400) | 9,600 | |

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| 202X | | HK$ | HK$ |
| | Cash | | 9,600 |
| | Settled Catherine Company's account in full | | |
| 14 Feb. | Purchases | 24,000 | |
| | Trade payables (Amy Company) | | 24,000 |
| | Purchased 200 color crayon sets of HK$120 each from Amy Company | | |
| 19 Feb. | Trade payables (Dora Company) | 18,000 | |
| | Discount received | | 900 |
| | Cash (HK$18,000 x 95%) | | 17,100 |
| | Settled Dora Company's account in full with a 5% cash discount | | |
| 20 Feb. | Trade payables (Amy Company) | 2,400 | |
| | Purchases return | | 2,400 |
| | Returned 20 color crayon sets of HK$120 each to Amy Company due to some broken pieces found | | |
| 26 Feb. | Trade payables (Fanny Company) | 12,000 | |
| | Discount received | | 1,200 |
| | Cash (HK$12,000 x 90%) | | 10,800 |
| | Settled Fanny Company's account in full with a 10% cash discount | | |
| 29 Feb. | Purchases Control Account | 36,000 | |
| | Trade payables Control Account | | 36,000 |
| | Posting of total purchases in February 2020 | | |

(b) Individual supplier accounts in the trade payables subsidiary ledger

| Amy Company | | | | |
|---|---|---|---|---|
| **Date** | **Ref.** | **Debit** | **Credit** | **Balance** |
| **202X** | | **HK$** | **HK$** | **HK$** |
| 2 Jan. | P1 | | 6,000 | 6,000 |
| 17 Jan. | Cash payment | 5,700 | | 300 |
| | Discount received | 300 | | 0 |
| 14 Feb. | P2 | | 24,000 | 24,000 |
| 20 Feb. | Purchase return | 2,400 | | 21,600 |

| Bonnie Company | | | | |
|---|---|---|---|---|
| **Date** | **Ref.** | **Debit** | **Credit** | **Balance** |
| **202X** | | **HK$** | **HK$** | **HK$** |

| | | | | |
|---|---|---|---|---|
| 6 Jan. | P1 | | 15,000 | 15,000 |
| 24 Jan. | Notes payable | 15,000 | | 0 |

| Catherine Company | | | | |
|---|---|---|---|---|
| **Date** | **Ref.** | **Debit** | **Credit** | **Balance** |
| **202X** | | **HK$** | **HK$** | **HK$** |
| 10 Jan. | P1 | | 12,000 | 12,000 |
| 13 Jan. | Purchase return | 2,400 | | 9,600 |
| 11 Feb. | Cash payment | 9,600 | | 0 |

| Dora Company | | | | |
|---|---|---|---|---|
| **Date** | **Ref.** | **Debit** | **Credit** | **Balance** |
| **202X** | | **HK$** | **HK$** | **HK$** |
| 22 Jan. | P1 | | 18,000 | 18,000 |
| 19 Feb. | Cash payment | 17,100 | | 900 |
| | Discount rec'd | 900 | | 0 |

| Elaine Company | | | | |
|---|---|---|---|---|
| **Date** | **Ref.** | **Debit** | **Credit** | **Balance** |
| **202X** | | **HK$** | **HK$** | **HK$** |
| 24 Jan. | P1 | | 5,000 | 5,000 |
| 28 Jan. | Cash payment | 4,500 | | 500 |
| | Discount rec'd | 500 | | 0 |

| Fanny Company | | | | |
|---|---|---|---|---|
| **Date** | **Ref.** | **Debit** | **Credit** | **Balance** |
| **202X** | | **HK$** | **HK$** | **HK$** |
| 3 Feb. | P2 | | 12,000 | 12,000 |
| 26 Feb. | Cash payment | 10,800 | | 1,200 |
| | Discount rec'd | 1,200 | | 0 |

(c) Prepare the trade payables (control) account and reconcile its closing balance with individual payable accounts in the subsidiary ledger

| Trade payables Control Account | | | | |
|---|---|---|---|---|
| **Date** | **Ref.** | **Debit** | **Credit** | **Balance** |
| **202X** | | **HK$** | **HK$** | **HK$** |
| 31 Jan. | Jan. purchases | | 56,000 | 56,000 |
| 31 Jan. | Cash payments | 10,200 | | 45,800 |
| 29 Feb. | Feb. purchases | | 36,000 | 81,800 |

| | | | |
|---|---|---|---|
| 29 Feb. | Cash payments | 52,500 | 29,300 |
| 29 Feb. | Purchase return | 4,800 | 24,500 |
| 29 Feb. | Discounts received | 2,900 | 21,600<br>(Note: Tie to balance below) |

Individual payable accounts in the subsidiary ledger at 29 February 202X:

| | **HK$** |
|---|---|
| Amy Company | 21,600 |
| Bonnie Company | 0 |
| Catherine Company | 0 |
| Dora Company | 0 |
| Elaine Company | 0 |
| Fanny Company | 0 |
| Total | 21,600<br>(Note: Tie to balance above) |

(d) A trade discount is the amount by which a manufacturer reduces the retail price of a product when it sells to a reseller, rather than to the end customer. The reseller then charges the full retail price to its customers in order to earn a profit on the difference between the amount by which the manufacturer sold the product to it and the price at which it then sells the product to the final customer. The reseller does not necessarily resell at the suggested retail price; selling at a discount is a common practice, if the reseller wishes to gain market share or clear out excess inventory.

For example, ABC International offers its resellers a trade discount. The retail price for a green widget is HK$2. One reseller orders 500 green widgets, for which ABC grants a 30% trade discount. Thus, the total retail price of HK$1,000 is reduced to HK$700, which is the amount that ABC bills to the reseller. The trade discount is therefore HK$300. It is not a common accounting treatment to record any trade discount given or received since the trade discount is not an actual cash gain or loss in a sales or purchase transaction.

A cash discount, also called a purchase discount or sales discount, is a reduction in the purchase price of a good because of early cash payment. In other words, the seller of goods is willing to reduce the price of the goods if the buyer is willing to pay for the goods earlier.

Most businesses, especially manufacturers, sell goods to other businesses on account. This means that a retailer can buy inventory from its supplier on the first of the month and not actually pay for the goods until the end of the month. This inventory is bought on account.

Most businesses have credit terms for purchases on account of 2/10, n/30 or 2/10, net/30. These terms give the buyer an additional two percent discount if they pay for the goods in full in the first ten days after the order was placed. If the buyer doesn't pay for the goods in the first ten days, the entire purchase price must be paid in 30 days.

This 2 percent discount is good for the buyer and the seller. Since the buyer is receiving its inventory for 2 percent less, it can earn a 2 percent higher gross profit. The discount is good for the seller because it receives the cash from the transaction faster. In most businesses, cash flow is a problem. If companies can do something to improve their cash flow, it is usually worth it.

For accounting treatments, the cash discount received or given will be credited or debited to the respective gain or loss account, which will then be added or deducted from the gross profit in the income summary, respectively.

# 8

# Accounting for Inventories

## CHAPTER TOPIC LIST

# LEARNING OUTCOMES

| PRINCIPAL LO3: PREPARE ACCOUNTING RECORDS, DEMONSTRATE MANAGEMENT AND CONTROL |
|---|
| **LO3.03: Account for inventories and trade receivables** |
| **3.03.01** Define inventories and trade receivables |
| **3.03.02** Describe perpetual and periodic inventory systems |
| **3.03.03** Calculate the carrying amount of inventories at the lower of cost or net realisable value using FIFO, LIFO and average cost methods |
| **3.03.04** Prepare the accounting entries for inventory transactions |

## OPENING CASE

# GREAT STATIONERY LIMITED, PART 8

As part of its ongoing merchandising and manufacturing operations, Great Stationery Limited ('Great Stationery') has decided to use a **perpetual inventory system** and to complement that system with counts of its inventory once every six months.

Determining the quantity of goods in the merchandising and manufacturing operations is the first step in setting up the perpetual inventory system. The next step is to determine a carrying amount for those goods. Prices of goods purchased stayed relatively constant throughout the period. The goods on hand have not been damaged and are turning over regularly at good prices.

The accountant for Great Stationery can use this information to account for opening inventory and its carrying amount in the statement of financial position.

He then needs to have the perpetual system implemented to record purchases for the period, both in total and by type of goods. The system also needs to record sales in total and by type of goods.

The closing inventory, in units, would then be physically counted, and reconciled to the system. That reconciliation would need the accountant to check for clerical errors in recording and any misdelivered, lost or pilfered inventory.

# OVERVIEW

This chapter introduces accounting for inventory. Inventory is the stock of goods that a business has to sell to customers. The sale of inventory is a principal business activity for companies that manufacture goods and/or own shops and wholesale outlets.

There is also an inventory cycle that occurs within a business. This cycle involves the purchase, sale and reordering of inventory. In order to maintain the cycle, a business needs information about inventory levels and costing. At least once a year, companies need to count their entire inventory. This count is used to validate the units and balances listed in the inventory system, which can be either perpetual or periodic.

There are four different ways to determine the cost of inventory: **specific identification**, **first-in**, **first-out (FIFO)**, **last-in**, **first-out (LIFO)** and **weighted average cost**. This chapter explores all four methods:

- Specific identification is the ideal way of attributing costs to **inventories**. However, it can be impracticable when similar inventories are stored together.
- FIFO works well when inventories are organised so that the oldest ones are delivered first.
- LIFO takes the opposite approach. It was designed for inventories that use the latest delivery first (e.g. due to bulkiness and accessibility). LIFO is not a valid method under HKAS 2 *Inventories* because it can be easily misused.
- Weighted average cost is appropriate when purchase prices are stable with little variation. This is because it calculates the average unit cost by dividing the total purchase cost for a period by the number of units purchased.

This chapter describes each inventory valuation method, and describes how they impact the financial statements of both merchandising and manufacturing companies. It also explains how inventory information is presented.

The two basic approaches to determining the levels of inventory are periodic counting and perpetual recording of inventory levels and movements:

- Perpetual recording tracks the movements of inventory as it is bought and sold. The perpetual recording approach also includes periodic counting to ensure accuracy. This gives the perpetual system advantages over periodic counting.
- In periodic counting, inventory is physically counted. When opening inventory is known and purchases are known in total, the cost of sales for a period can be determined by reconciliation:

$$\text{Opening Inventory} + \text{Purchases} - \text{Closing Inventory} = \text{Cost of Sales}$$

Once the physical inventory is recorded, carrying amounts must be determined. Inventory carrying amount is either the cost or net realisable value – whichever is lower. Net realisable value is calculated as:

Expected Sale Price – Costs To Be Incurred = Net Realisable Value

Finally, this chapter shows how inventory errors can impact the opening inventory, the cost of goods purchased or closing inventory.

## 8.1 DEFINING INVENTORY

HKAS 2 defines inventories as assets that are:

(a) Held for sale in the ordinary course of business;

(b) In the process of production for such sale; or

(c) In the form of materials or supplies to be consumed in the production process or in the rendering of services.

In a retail setting, inventories are primarily the stock a store intends to sell. However, the definition of inventories for manufacturing is much broader. Inventories include the raw materials that might be used in the manufacture of items and also any items or materials that are used in producing the goods (e.g. consumable stores).

Imagine a company manufactures washing machines. They would have an inventory of screws, nuts and bolts and other materials to build machines. They would also have spare parts that may be sold directly to customers or used to provide repairs. Remember that the definition is much broader than just items a shop sells to customers.

Consider the operating cycle of a shop when thinking about the way in which a shop owner buys goods to sell to customers. A typical operating cycle for a shop is:

1. The shop owner purchases inventory in order to sell it to customers.
2. The shop owner holds inventory, and then sells to customers.
3. The shop owner gets paid for the sale either immediately or on a credit basis.
4. The shop owner checks the quantity of inventory to determine whether a further purchase order is needed (and whether any inventory is damaged, slow moving or unsaleable).
5. The shop owner orders more inventory.

It is important to remember the operating cycle in these instances, so that you can follow the logic of accounting that flows from this sequence of events and how transactions progress from being inventory purchases to sales that contribute to the financial performance of an entity.

### Key Learning Point

Inventory is defined in the accounting standards as being:

1. Held for sale in the ordinary course of business;
2. In the process of production for such sale; or
3. In the form of materials or supplies to be consumed in the production process or in the rendering of services.

### Knowledge Check Questions

**Question 1**

Identify which of the following does *NOT* constitute inventory in the context of a shop that sells stationery:

**A** Reams of photocopying paper
**B** Stationery sets
**C** Hardcover notebooks
**D** Shelves and other fittings that display inventory

**Question 2**

Identify which of the following is an example of materials or supplies to be consumed in the production process or in the rendering of services:

**A** Spare washing machine drums in a storeroom of a white goods manufacturer for the repair of washing machines.
**B** Electric cabling held in a workroom that can be used by car mechanics to fix faulty wiring in a car.
**C** Engine parts for a lawn mower that are used by the manufacturer to fix mowers still under warranty.
**D** All of the above.

## 8.2 METHODS FOR DETERMINING THE CARRYING AMOUNT OF INVENTORIES

There are several methods of associating costs with inventories and inventory movements: specific identification; first-in, first-out (FIFO); last-in, first-out (LIFO); and weighted average cost. These measurement methods are summarised in Exhibit 8.1.

| | |
|---|---|
| Specific identification | There are some items of inventory that are easily identifiable for the purposes of costing inventory. An example of this would be a car yard that has different models of cars that are each priced differently and each has known individual costs. |
| First-in, first-out (FIFO) | A company keeps records of the costs of inventories received, and then assumes that the first goods received are the first to be sold. |
| Last-in, first-out (LIFO) | This method operates like FIFO but the assumption is that the last inventory received is the first inventory to be sold. *(Note: LIFO is prohibited by HKAS 2.)* |
| Weighted average cost | An accountant calculates the average unit cost, by dividing total purchase costs for a period by the number of units purchased to arrive at an average cost to attribute to inventories and their movements. |

▶ **EXHIBIT 8.1 Inventory measurement methods**

The **specific identification** method tracks the physical flow (movement) of goods in a perpetual inventory system. Each item of inventory is marked, tagged or coded with its specific unit cost.

This means that the **cost of sales** and the cost of the closing inventory can be determined at any time. Specific identification requires that companies keep records of the original cost of each individual inventory item.

Historically, specific identification suited a company that sold a limited range of items that could be identified clearly from the time of purchase through the time of sale. For example, a jewellery store that sells 'one-of-a-kind' items or, as indicated above, a car dealership, might use specific identification.

Specific identification should be used for goods that are not ordinarily interchangeable, or for goods that are produced for specific projects. In addition, specific identification would be used for customised products, such as furniture and artistic works. Car manufacturers and dealerships also use specific identification for cars, because each car has its own unique characteristics and vehicle identification number.

Today, bar coding, electronic product codes and radio frequency identification make it theoretically possible to apply specific identification to nearly any type of product, but the practice is still not universal.

It may seem that specific identification is the ideal method for determining cost, because it associates the actual cost of the goods sold with the relevant sales. But it can be time-consuming and expensive to apply.

Because specific identification is sometimes impractical, other cost flow methods are permitted. These differ from specific identification in that they assume flows of costs that may be related to the physical flow of goods. As outlined earlier, there are three assumed cost flow methods (also known as **cost formulas**):

1. **First-in, first-out (FIFO)**: Used when the first item purchased is assigned to the cost of the first item sold.
2. **Last-in, first-out (LIFO)**: Used when the last item purchased is assigned to the cost of the first item sold. HKAS 2 prohibits the use of LIFO.
3. **Weighted average cost formula**: Uses an average of the cost of the items purchased.

FIFO, LIFO and weighted average are known as cost formulas because they assume a flow of costs that only approximates the actual physical flow of goods, unlike the specific identification method. For the preparation of financial accounts:

- Only FIFO and average cost may be used for inventory calculation.
- HKAS 2 prohibits the use of LIFO.

Nevertheless, it is useful to be familiar with all methods of inventory costing.

The general principle is that the choice of simplifying assumption should be representationally faithful to what happens.

### 8.2.1 First-In, First-Out Method (FIFO)

The FIFO cost formula assumes that the earliest goods purchased are the first to be sold. As it is generally good business practice to sell the oldest units first, FIFO can be a valid assumption.

Under the FIFO method, the costs of the earliest goods purchased are the first to be recognised in determining cost of sales. To the extent the assumption is invalid, the cost of sales may, in times of rising costs, lead to understatement of the cost of sales.

Exhibit 8.2 records purchases of pens throughout a financial year. These pens will vary in price. Assume that the company has sold 2,000 units of its inventory, and that it is unreasonable to use specific identification because these items are shipped to the store in boxes which each contain multiple units.

| Date | Items | Units | Unit Costs | Total Cost |
|---|---|---|---|---|
| **20X8** | | | | **HK$** |
| 1 July | Pens | 1,500 | 4.00 | 6,000 |
| 15 August | Pens | 500 | 3.50 | 1,750 |
| 25 September | Pens | 1,000 | 3.95 | 3,950 |
| 1 October | Pens | 1,500 | 4.10 | 6,150 |
| | | **4,500** | | **17,850** |

**EXHIBIT 8.2 Pen company purchase records**

FIFO assumes that the first 2,000 units – the oldest units – have been sold. The first 2,000 pens purchased by the shop owners have a combined cost of HK$7,750 (HK$6,000 + HK$1,750) (Exhibit 8.3).

| Inventory | Number of Units | Cost (HK$) |
|---|---|---|
| Inventory available for sale | 4,500 | **17,850** |
| Cost of Sales under FIFO | (2,000) | (7,750) |
| *Closing inventory* | *2,500* | *10,100* |

**EXHIBIT 8.3 Pen company purchase records: FIFO example**

It is assumed under FIFO that the first 2,000 units purchased by the company are sold. Bear in mind that each of these calculations reduces the asset balances, and each method results in a very different cost of sales and closing inventory costs.

### 8.2.2 Last-In, First-Out Method (LIFO)

The LIFO method assumes that the goods purchased most recently are the first to be sold. Note that the LIFO method is prohibited under HKAS 2. This chapter describes it only to provide background information. LIFO seldom coincides with the actual physical flow of inventory. Exceptions include goods stored in piles, such as coal or hay, where goods are removed from the top of the pile as they are sold. These instances will be rare.

Under the LIFO method, the costs of the goods most recently purchased are the first to be recognised in determining the cost of sales.

Continuing with our pen company example, assume 2,000 units of pens are sold. The most recent stock purchased is what makes up the figure that denotes cost of sales (Exhibit 8.4).

| Inventory | Number of Units | Cost (HK$) |
|---|---|---|
| Inventory available for sale | 4,500 | **17,850** |
| Cost of Sales under LIFO | (2,000) | (8,125) (1,500 × 4.10) + (500 × 3.95) |
| *Closing inventory* | *2,500* | *9,725* |

▶ **EXHIBIT 8.4 Pen company purchase records: LIFO example**

What do you notice in both calculations so far? What would the numbers be like using weighted average cost?

### 8.2.3 Weighted Average Cost Method

The weighted average cost method allocates the cost of goods available for sale on the basis of the weighted average unit cost incurred. The average cost method assumes that goods are similar in nature.

It is important to note here that the correct technique of calculating closing inventory when using the weighted average cost formula is to subtract the calculated cost of sales from the previous total inventory cost, and then update the weighted average unit cost, as shown in Exhibit 8.5:

$$\text{Total Inventory Cost} / \text{Number of Units of Inventory} = \text{Weighted Average Cost}$$
$$\text{HK\$17,850} / 4{,}500 = \text{HK\$3.97}$$
$$\text{Units Sold x Weighted Average Cost} = \text{Cost of Sales}$$
$$2{,}000 \times \text{HK\$3.97} = \text{HK\$7,940}$$

It is possible to verify the cost of sales under this method by multiplying the units sold by the weighted average unit cost.

| Weighted Average Cost Example | | |
|---|---|---|
| **Inventory** | **Number of Units** | **Cost (HK$)** |
| Inventory available for sale | 4,500 | **17,850** |
| Cost of Sales under WAC | 2,000 | (7,940) |
| *Closing inventory* | *2,500* | *9,910* |

▶ **EXHIBIT 8.5 Pen company purchase records: WAC example**

The weighted average cost formula recognises that it is not possible to measure a specific physical flow of inventory when the goods available for sale are homogeneous and non-distinguishable.

It should be noted that in each instance 2,000 units were sold during the period, but each method of valuation of inventory resulted in a different outcome because of the different way in which the three methods assume either order of sale (LIFO and FIFO) or the value of units sold (weighted average cost). Exhibit 8.6 compares the results from all three methods side by side.

| | FIFO (HK$) | LIFO (HK$) | Weighted Average (HK$) |
|---|---|---|---|
| **Total inventory cost** | 17,850 | 17,850 | 17,850 |
| **Cost of sales** | (7,750) | (8,125) | (7,940) |
| **Closing inventory** | 10,100 | 9,725 | 9,910 |

▶ **EXHIBIT 8.6 Comparing inventory measurement methods**

**Key Learning Point**

There are four ways to determine the cost of inventory: specific determination, FIFO, LIFO and weighted average. Each inventory valuation method may generate a different cost of sales and closing inventory balance.

### 8.2.4 Choice of Cost Determination Model

If companies have goods that are not ordinarily interchangeable or goods that have been produced for specific projects, they must use the specific identification method to determine the cost of their inventory. Otherwise, they may use either the FIFO or weighted average method. LIFO is not a method that is permitted under the accounting standards in force in Hong Kong.

Companies should consider the following factors when choosing a cost determination method:

- Choose the method that corresponds as closely as possible to the physical flow of goods.
- Report an inventory cost on the statement of financial position that is close to the recent inventory's costs.

- Use the same method for all inventories having a similar nature and use in the company.

Whatever the method chosen to determine the cost of inventory, it should be used consistently from one period to the next. This is known as the **consistency concept**. Consistency is what makes it possible to compare financial statements from one period to the next. Using FIFO in one year and weighted average in the next year, for example, would make it difficult to compare the profits for the two years.

A company can change from one method to another, but such a change in the method of cost determination can only occur if the physical flow of inventory changes and a different method would result in more relevant information in the financial statements. In addition, the effects of the change on net profit will need to be disclosed in the financial statements, so that financial statement readers are sufficiently informed.

Sales and the operating expenses are the same under the FIFO, LIFO and weighted average methods, but the cost of sales amounts are different. This difference is the result of how the unit costs are allocated under each cost formula. Each dollar of difference in the cost of sales results in a corresponding dollar difference in profit.

#### 8.2.4.1 Impact of Changing Inventory Costs

In periods of changing prices, the choice of inventory cost formula can have a significant impact on profit. For instance:

- In a period of inflation, FIFO produces a higher net profit because lower unit costs of the first units purchased are matched against revenue.
- In a period of inflation, LIFO produces a lower net profit because higher unit costs of the last goods purchased are matched against revenue.
- If prices are falling, the results from the use of FIFO and LIFO are reversed. FIFO will report the lowest net profit and LIFO the highest.
- Regardless of whether prices are rising or falling, average cost produces net profit between FIFO and LIFO.

Higher net profits can have beneficial impacts on management. For instance, they could result in higher bonuses at organisations where compensation is tied to net profit. External parties, including markets, typically consider higher net profit to be a positive characteristic. For these reasons, companies usually are in favour of higher net profit during the period of inflation.

Keep in mind, however, that the total cost of inventory for all units is the same, regardless of the inventory valuation method chosen.

Assume, for example, that Great Stationery have 500 cards remaining in inventory. The total cost of the 500 cards is the same, and the difference between FIFO, LIFO and weighted average methods is in the *timing* of the cost of sales.

#### 8.2.4.2 Advantages and Disadvantages

A major advantage of the FIFO method is that in a period of inflation, the costs allocated to closing inventory will approximate their current cost. One thing to be wary of when using FIFO during periods of inflation is the risk of phantom profit. This means that the cost of sales may be understated and the net profit may be overstated.

Despite FIFO's general advantages, some people believe that LIFO more accurately reflects net profit, especially during periods of inflation. This is because LIFO measures net profit by using current revenues and recent costs. Matching current costs to current revenues can prevent costs from being understated and profits from being overstated.

In specific identification, cost of sales and closing inventory depend on which specific units are sold and which remain in inventory. Thus, it is impossible to make any general comments about how it will compare with FIFO, LIFO and weighted average.

It is also worth remembering that all four cost determination methods will give exactly the same results over the life cycle of the business or its product. That is, the allocation between cost of sales and closing inventory may vary within a period but will produce the same cumulative results over time.

In fact, all four methods of cost determination – specific identification, FIFO, LIFO and weighted average – produce exactly the same cash flow. Sales and purchases are not affected by the methods of cost determination. The only thing that is affected is the allocation between cost of sales and closing inventory, which does not involve cash.

### Key Learning Point

The cost of inventory has an impact on the statement of profit or loss and other comprehensive income and the statement of financial position. Inventory valuation methods generate different cost of sales and closing inventory balances. A change in price, due to inflation or deflation, also has an impact on inventory values.

### ▶ Knowledge Check Questions

**Question 3**

Identify which of the four methods of valuing inventory is prohibited under the accounting standard for inventories:

**A** FIFO

**B** LIFO

**C** Weighted average cost

**D** Specific identification

**Question 4**

Assume a shopkeeper has opened a new outlet with a financial reporting period based on a calendar year. The opening inventory for the store was purchased at various points during the year. Imagine you are the accountant, review the table below that provides data for the purchases of notebooks made by the shopkeeper.

### ▶ Knowledge Check Questions *(continued)*

| Date | Items | Units | Unit Costs | Total Cost |
|---|---|---|---|---|
| **20X8** | | | **HK$** | **HK$** |
| 1 July | Notebooks | 2,000 | 3.50 | 7,000 |
| 15 August | Notebooks | 1,500 | 3.95 | 5,925 |
| 25 September | Notebooks | 450 | 3.90 | 1,755 |
| 1 October | Notebooks | 850 | 4.00 | 3,400 |

**Required:**

(a) Compute total units purchased by the shopkeeper.

(b) Calculate the total cost of inventory.

(c) Solve for the weighted average cost for the inventory of notebooks.

**Question 5**

List the three things that companies must keep in mind when choosing a cost determination method.

**Question 6**

Summarise the circumstances under which all cost determination methods can result in the same cost.

## 8.3 INVENTORY ACCOUNTING BASICS

There are several things to consider when you are accounting for inventory:

1. The amount of inventory, by type, that an entity has at the start of the reporting period.
2. Details of inventory purchased by type during the reporting period.
3. Details of inventory sold by type during the period.
4. Costs of all inventory by type in order to properly account for the reporting period's transactions.

The following example illustrates how a journal entry is completed for inventory. Assume the transaction for buying 1,500 pens that costs the business HK$6,000 was undertaken as a transaction on credit. The shop owner takes the goods but promises to pay later. The journal entry would look like this:

**Journal entry**

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X8** | | **HK$** | **HK$** |
| 25 June | Inventory | 6,000 | |
| | Trade Payables | | 6,000 |
| | (Purchase of pens on credit) | | |

The shop owner has to pay for the pens. They pay for them the next day. Trade payables, which is a liability, is debited, and cash at bank is credited because it represents the settlement of the debt to the supplier.

**Journal entry**

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X8** | | **HK$** | **HK$** |
| 26 June | Trade Payables | 6,000 | |
| | Cash at bank | | 6,000 |
| | (Payment on account to vendor for pens) | | |

There is another possible payment arrangement, instead of the above entry. The vendor may sometimes provide for a discount. Assume that there is a 5% discount for paying before the 30-day payment arrangement applies. The compound journal entry reflecting payment before the due date would look like this:

**Journal entry**

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X8** | | **HK$** | **HK$** |
| 3 July | Trade Payables | 6,000 | |
| | Cash at bank (6,000 × 0.95) | | 5,700 |
| | Inventory (6,000 × 0.05) | | 300 |
| | (Payment on account to vendor for pens with the discount of 5%) | | |

Analyse the journal entry for a moment. Trade payables has already been debited by HK$6,000, but the accountant must reflect the fact that HK$5,700 is paid from cash at bank for the pens. This removes the trade payables from the records and ensures that the discount offered is reflected against the inventory.

The other transactions undertaken to acquire the other inventory lines could have been paid for on a credit basis or immediately by cash. You must adjust the amounts initially reflected in the accounting records for the discount. Failure to make the adjustment renders the accounting misleading.

Assume that the shop owner has the following inventories at the start of the reporting period that begins on 1 July 20X8:

1. 1,500 units of pens at a cost of HK$4 per unit (1,500 × HK$4 = HK$6,000)
2. 1,000 units of notebooks at a cost of HK$5 per unit (1,000 × HK$5 = HK$5,000)
3. 500 units of hard-cover journals at a cost of HK$10 per unit (500 × HK$10 = HK$5,000)

The total cost of the units at the start of the reporting period is HK$16,000. This is the cost of the inventory that is available for sale or for use in the business. This is reflected in Exhibit 8.7.

| Date | Items | Units | Unit Costs | Total Cost |
|---|---|---|---|---|
| **20X8** | | | | **HK$** |
| 1 July | Pens | 1,500 | 4 | 6,000 |
| | Notebooks | 1,000 | 5 | 5,000 |
| | Hard-cover journals | 500 | 10 | 5,000 |
| | | | Opening inventory total | 16,000 |

▶ **EXHIBIT 8.7 Cost of goods available for sale**

When they were acquired, each of the above types of inventory would have been recorded by means of purchase journals.

Assume the following transactions take place during the year that add to inventory:

1. 500 units of desk lamps are purchased at HK$25 per unit (500 × HK$25 = HK$12,500) on 4 August.
2. 1,000 units of stationery sets are purchased at HK$20 per unit (1,000 × HK$20 = HK$20,000) on 5 November.
3. 1,500 units of lanyards are purchased at HK$1 per unit (1,500 × HK$1 = HK$1,500) on 16 December.

Exhibit 8.8 shows the way in which inventory available for sale at the shop can be reflected in a table.

| Date | Items | Units | Unit Costs (HK$) | Total Inventory Cost |
|---|---|---|---|---|
| **20X8** | | | | **HK$** |
| 1 July | Pens | 1,500 | 4 | 6,000 |
| | Notebooks | 1,000 | 5 | 5,000 |
| | Hardcover journals | 500 | 10 | 5,000 |
| | **Total starting units** | **3,000** | **Opening Inventory** | **16,000** |
| 4 August | Desk lamps | 500 | 25 | 12,500 |
| 5 November | Stationery sets | 1,000 | 20 | 20,000 |
| 16 December | Lanyards | 1,500 | 1 | 1,500 |
| | **Total units purchased** | **3,000** | **Total purchases** | **34,000** |
| | Total units in the reporting period | **6,000** | **Cost of inventory available for sale** | **50,000** |

▶ **EXHIBIT 8.8 Cost of goods available for sale**

There are 6,000 items in inventory and the total cost of inventory available for sale is HK$50,000. Keep these numbers in mind because they will be relevant when we consider the way in which the sale of inventory is accounted for by the company.

**Key Learning Point**

An accountant must ensure that all of the relevant information related to the purchase of inventory is available for accounting the inventory appropriately. Relevant information will include opening inventory, inventory purchased during a reporting period, inventory sold during the period and costs of the inventory.

## 8.3.1 Perpetual Inventory Systems

In a **perpetual inventory system**, the company keeps detailed records of each inventory purchase and sale. This system continuously shows the quantity and cost of the inventory that should be on hand for every item.

With the use of barcodes, optical scanners and point-of-sale (POS) software, a company can keep a running record of every item that it buys and sells. Exhibit 8.9 displays the transactions that are used to post inventory purchases and sales. They are as follows:

- When inventory is purchased under a perpetual system, the purchase is recorded by increasing (debiting) the merchandise inventory account.
- When inventory items are sold under a perpetual inventory system, the cost of the goods sold (original purchase cost of the merchandise) is transferred from the merchandise inventory account (an asset) to the cost of sales account (an expense).

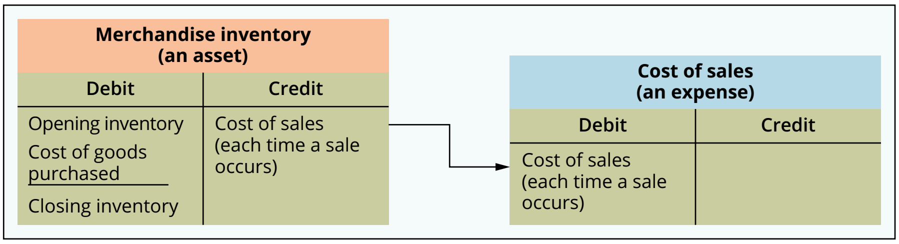



**EXHIBIT 8.9 Perpetual inventory system T-accounts**

Under a perpetual inventory system, the company determines and records the cost of sales and the reduction in inventory each time a sale occurs.

As described in the opening case, Great Stationery uses a perpetual inventory system to account for inventory and cost of sales. On 1 May 20X7, the company has an opening greeting cards inventory of HK$1,000. On 7 May, Great Stationery purchases HK$3,000 of greeting cards and pays cash. Here is the journal entry:

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X7** | | | **HK$** | **HK$** |
| 7 May | Greeting cards | #1061 | 3,000 | |
| | Cash at bank | #1091 | | 3,000 |
| | (To record purchase of greeting cards for cash) | | | |

Opening Balance + Purchases = Cost of Goods Available for Sale
HK$1,000 + HK$3,000 = HK$4,000

On 31 May, the company sells the greeting cards with an invoice price of HK$5,000. The total cost of the greeting cards is HK$1,500 and the company posts the below journal entries:

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X7** | | | **HK$** | **HK$** |
| 31 May | Cash at bank | #1091 | 5,000 | |
| | Sales revenue | #4010 | | 5,000 |
| | (To record the sale of greeting cards) | | | |

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X7** | | | **HK$** | **HK$** |
| 31 May | Cost of sales | #5060 | 1,500 | |
| | Greeting cards | #1061 | | 1,500 |
| | (To record greeting cards sold) | | | |

Closing inventory balance

HK$4,000 – HK$1,500 = HK$2,500

A perpetual inventory system gives better control over inventories. Since the inventory records show the quantities that should be on hand, the goods can be counted at any time to see whether the amount of goods actually on hand agrees with the inventory records. Any shortages that are uncovered can be immediately investigated.

A perpetual inventory system also makes it easier to answer questions from customers about merchandise availability. Management can also maintain optimum inventory levels and avoid running out of stock.

Traditionally, only companies that sold merchandise with high unit values – such as automobiles or major home appliances – used the perpetual inventory system. However, advances in technology, coupled with the reduced cost of computers and electronic scanners, have enabled many more companies to install perpetual inventory systems.

Some businesses find it unnecessary or uneconomical to invest in a computerised perpetual inventory system. Many small businesses, in particular, find that a perpetual inventory system costs more than it is worth. Managers of these businesses can control merchandise and manage day-to-day operations using a periodic inventory system.

### 8.3.2 Periodic Inventory Systems

In a **periodic inventory system**, the merchandise inventory account is not continuously updated for each purchase and sale. As we see in Exhibit 8.10, temporary purchases accounts are used to accumulate the cost of the goods purchased throughout the period, and no entries are made to accumulate the cost of sales.

**Journal entry**

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X8** | | **HK$** | **HK$** |
| 25 June | Purchases | 6,000 | |
| | Trade Payables | | 6,000 |
| | (Purchase of pens on credit using periodic inventory systems) | | |

▶ **EXHIBIT 8.10 Periodic inventory system journal entries**

Thus, the dollar amount of merchandise on hand at the end of the period cannot be known by looking at the general ledger accounts. Neither can the cost of sales for the period. Instead, these amounts will have to be determined at the end of the accounting period in a periodic inventory system. The equation to calculate cost of sales is presented in Exhibit 8.11.

| Opening inventory | + | Cost of goods purchased | = | Cost of goods available for sale | – | Closing inventory | = | Cost of sales |
|---|---|---|---|---|---|---|---|---|

▶ **EXHIBIT 8.11 Calculating cost of sales**

To determine the cost of sales in a periodic inventory system, the following steps are necessary:

1. Determine the opening inventory – cost of goods on hand at the beginning of the accounting period. The same amount as the previous period's closing inventory.
2. Add the cost of goods purchased during the period.
3. Subtract the closing inventory. The cost of goods on hand at the end of the accounting period as determined from the **physical inventory count**.

To understand the cost of sales formula, keep in mind that merchandise inventory is either sold or in closing inventory at the end of a month or year. In other words, the entire cost of inventory is posted either to closing inventory or to cost of sales at the end of each period.

No matter which system is chosen, the flow of costs for a merchandising company is as follows:

- Opening inventory (inventory on hand at the beginning of the period) plus the cost of goods purchased is the cost of goods available for sale.
- As goods are sold, the cost of goods available for sale becomes an expense (cost of sales). The cost of sales is an expense on the statement of profit or loss and other comprehensive income.
- Goods not sold by the end of the accounting period represent closing inventory. The closing inventory is reported as a current asset on the statement of financial position.

A complete physical inventory count is always taken at least once a year under both the perpetual and periodic inventory systems:

- Companies using a periodic inventory system must count their merchandise to determine quantities on hand, and establish the cost of the goods sold and the closing inventory for accounting purposes.
- In a perpetual inventory system, they must count their merchandise to verify that the accounting records are correct at the end of the year.

## Illustrative Example 1

HKQP Kitchenware, a retail store, uses a periodic inventory system. The year-end physical inventory on 31 December 20X8 indicates that 12 units of a particular food processor are on hand. Purchases of these food processors during the year are listed below:

| Date | Items | Number of Units | Unit Cost | Total Cost |
|---|---|---|---|---|
| **20X8** | | | **HK$** | **HK$** |
| 1 January | Opening inventory | 10 | 800 | 8,000 |
| 1 March | First purchase | 5 | 900 | 4,500 |
| 1 July | Second purchase | 5 | 1,000 | 5,000 |
| 1 October | Third purchase | 5 | 1,200 | 6,000 |
| 1 December | Fourth purchase | 5 | 1,300 | 6,500 |
| | Available for sale | 30 | Total cost | 30,000 |
| | Units sold | (18) | | |
| | Remaining units | 12 | | |

**Required:**

Determine the cost of sales and the closing inventory using the periodic first-in, first-out (FIFO) cost flow assumption.

**Answer:**

Under the FIFO cost flow assumption, the oldest units are assumed to be sold first. The closing inventory, therefore, is assumed to consist of the most recently acquired goods.

It is important to deduct any units sold from those goods still available for sale. In this case, this is done by working out the first 18 processors purchased needed to make up the cost of sales:

**FIFO Example**

| Inventory | Number of Units | Cost (HK$) |
|---|---|---|
| Goods available for sale | 30 | **30,000** |
| Cost of sales determined on a FIFO basis | (18) | (15,500) [8,000 + 4,500 + 3 × 1,000] |
| *Closing inventory* | *12* | *14,500* |

## Illustrative Example 1 *(continued)*

You could also check on the cost of sales by working out the cost for those that are left in stock. This will look as follows:

| **FIFO Example** | | |
|---|---|---|
| **Inventory** | **Number of Units** | **Cost (HK$)** |
| Goods available for sale | 30 | **30,000** |
| *Closing inventory* | (12) | (14,500) [6,500 + 6,000 + 2 × 1,000] |
| Cost of sales determined on a FIFO basis | *18* | *15,500* |

Assuming in a periodic system that the sales income of the 18 food processors sold in 20X8 is HK$20,000, then the gross profit for these sales is determined as in the following Income Summary or Trading Account:

| | | |
|---|---|---|
| | | **HK$** |
| Sales | | 20,000 |
| Cost of Sales: | | |
| Opening inventory at 1 January 20X8 | 8,000 | |
| Add: Purchases in 20X8 (HK$4,500 + HK$5,000 + HK$6,000 + HK$6,500) | 22,000 | |
| Subtotal | 30,000 | |
| Less: Closing inventory at 31 December 20X8 | (14,500) | 15,500 |
| Gross Profit | | 4,500 |

The journal entries of the above Cost of Sales account are as follows:

### Journal entry

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X8** | | **HK$** | **HK$** |
| 31 December | Cost of Sales | 8,000 | |
| | Inventory | | 8,000 |
| | (Transfer of the opening inventory to cost of sales) | | |
| 31 December | Cost of Sales | 22,000 | |
| | Purchases | | 22,000 |
| | (Transfer of total purchases to cost of sales) | | |
| 31 December | Inventory | 14,500 | |
| | Cost of Sales | | 14,500 |
| | (Restate the closing inventory in account) | | |

## Illustrative Example 1 *(continued)*

If the perpetual inventory system is in operation in the above food processors illustrative example, the following inventory subsidiary ledger will be updated when each purchase or sales transaction occurs (i.e. assuming all the sales occur on 31 December 20X8).

Food Processor Subledger (First-In, First-Out) in a perpetual system:

| Date | Purchase Qty | Unit Cost (HK$) | Cost (HK$) | Sales Qty | Unit Cost (HK$) | COS (HK$) | Balance Qty | Unit Cost (HK$) | Balance Cost (HK$) |
|---|---|---|---|---|---|---|---|---|---|
| 01/01 | 10 | 800 | 8,000 | | | | 10 | 800 | 8,000 |
| 01/03 | 5 | 900 | 4,500 | | | | 15 | | 12,500 |
| 01/07 | 5 | 1,000 | 5,000 | | | | 20 | | 17,500 |
| 01/10 | 5 | 1,200 | 6,000 | | | | 25 | | 23,500 |
| 01/12 | 5 | 1,300 | 6,500 | | | | 30 | | 30,000 |
| 31/12 | | | | 18 | | 15,500 | 12 | | 14,500 |

Under the perpetual inventory system, the calculation of gross profit is the same as in the periodic inventory system above, although the journal entries are different as follows:

**Journal entry**

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X8** | | **HK$** | **HK$** |
| 31 December | Cost of Sales (HK$8,000 + HK$4,500 + HK$3,000) | 15,500 | |
| | Inventory | | 15,500 |
| | (Transfer of the opening inventory to cost of sales) | | |

As you can see, by adopting the perpetual inventory system, the cost of sales and closing inventory amounts can be identified immediately from the inventory subledger for compiling the income summary or trading account and other financial statements, whether by using a manual or automated accounting system at any time, and even without any physical count or stock take. Of course, irrespective of which periodic or perpetual inventory system is in use, physical inventory is still necessary at least once every year, for the purpose of year-end financial reporting.

### Key Learning Point

In a perpetual inventory system, the company keeps detailed records of each inventory purchase and sale. In a periodic inventory system, companies determine the cost of sales at the end of an accounting period.

### ▶ Knowledge Check Questions

**Question 7**

In a perpetual inventory system, determine the cost of sales using: (a) specific identification; (b) average cost; (c) FIFO; and (d) LIFO. Discuss the advantages and shortcomings of each method.

**Question 8**

HKQP Shirt Company uses a periodic inventory system. During the first year of operation, the company makes four purchases of a particular product. Each purchase is for 500 units and the prices paid are HK$90 per unit in the first purchase, HK$100 per unit in the second purchase, HK$120 per unit in the third purchase and HK$130 per unit in the fourth purchase. At year-end, 650 of these units remained unsold. Compute the cost of sales under the FIFO method and LIFO method, respectively.

**A** HK$137,000 (FIFO) and HK$160,000 (LIFO)
**B** HK$83,000 (FIFO) and HK$60,000 (LIFO)
**C** HK$160,000 (FIFO) and HK$137,000 (LIFO)
**D** HK$60,000 (FIFO) and HK$83,000 (LIFO)

**Question 9**

Explain what a business with a perpetual inventory system does with inventory as it is sold.

**Question 10**

Identify which of the following effects *correctly* relates to the periodic inventory system:

**A** The system continuously shows the quantity and cost of the inventory that should be on hand for every item.
**B** Inventory levels are checked periodically and adjustments made as required to accounting records.
**C** Customers have better information about inventory levels held by a vendor.
**D** A vendor uses periodic inventory because he thinks it is easier.

## 8.4 INVENTORY CONTROL, INVENTORY COUNT AND FINANCIAL STATEMENT EFFECTS

Taking a physical inventory involves actual counting, weighing or measuring each kind of inventory on hand. This can be an enormous task.

An inventory count is generally more accurate when goods are not being sold or received during the counting. This is why companies often count their inventory when the business is closed or when business is slow. If, for example, an accountant is counting inventory stored in a warehouse, no inventory should be moved in or out of the warehouse during the count:

- As the physical inventory is taken, all the information on each inventory tag is compared to detailed inventory reports from the accounting system.

- Another employee or auditor performs a second count. This helps ensure the count is accurate.
- Unit costs are then applied to the quantities in order to determine the total cost of the inventory. These unit costs will be calculated in accordance with the three main methods described above.

When taking physical inventory, it is necessary to consider the ownership of goods. To determine ownership of goods, two questions need to be answered:

1. Do all of the goods included in the count belong to the company?
2. Does the company own any goods that were not included in the count?

An important aspect of determining ownership is the consideration of goods in transit (on board by a carrier such as a railway, airline, truck or ship) at the end of the accounting period. Depending on the shipping terms, goods that are in transit at year-end may be owned by the purchaser or seller.

**Goods in transit** should be included in the inventory of the company that has ownership (legal title) of the goods:

- When the terms are **FOB (free-on-board) shipping point**, ownership (legal title) of the goods passes to the buyer when the public carrier accepts the goods from the seller.
- When the terms are **FOB destination**, ownership (legal title) of the goods remains with the seller until the goods reach the buyer.

If goods in transit at the statement date are ignored, inventory quantities may be significantly miscounted. Inaccurate inventory quantities affect two financial statements:

- First, they affect the cost of goods reported on the statement of profit or loss and other comprehensive income.
- Second, they affect the inventory amount on the statement of financial position.

A misstated inventory balance has an impact on cash flow. If inventory levels are incorrect, a business may purchase more inventory than is needed, which reduces the cash balance more than is necessary to operate.

The closing inventory is included as a current asset on the statement of financial position, and the cost of sales is an expense on the statement of profit or loss and other comprehensive income. The cost of sales will affect profit, which in turn will affect equity on the statement of financial position.

### Apply and Analyse 1

Great Stationery's accountant is performing a physical inventory count at year-end. As the accountant moves through the warehouse, he compares the information on each inventory tag to the data on the detailed inventory listing generated from the accounting system.

The accountant notes inventory tagged as 5 boxes of 100 greeting cards each, with a retail price of HK$4 per card. After investigating, the accountant notes that there are only 4 boxes of 100 cards each. Determine the impact of this investigation on the accounting records.

## Apply and Analyse 1 *(continued)*

***Analysis***

The first thing that must be noted is that this missing box means that the accounting records must be adjusted. The inventory has gone and there is not accompanying revenue from the sale.

The value of inventory in the accounting records is (5 boxes × 100 cards × HK$4 per card), or HK$2,000, but the value of greeting cards physically counted is (4 boxes × 100 cards × HK$4 per card) or HK$1,600.

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X8** | | | **HK$** | **HK$** |
| 31 May | Cost of sales | #5060 | 400 | |
| | Greeting cards | #1061 | | 400 |
| | (To record the adjustment to inventory because of lost stock) | | | |

## Key Learning Point

Two key tasks in inventory control are:

1. How much inventory is in stock; and also
2. To what extent the business itself owns the inventory.

Counting inventory periodically is necessary to ensure that the accounting records align with the physical inventory. Ownership of inventory is determined by considering when goods transfer across to customers.

## ▶ Knowledge Check Questions

**Question 11**

List the steps an accountant must take when discrepancies are found between the physical count of assets and the accounting records.

**Question 12**

Explain why it is important to establish the ownership of inventory items when doing a count of inventory.

# 8.5 INVENTORY ERRORS

Inventory errors are caused by mistakes in counting or assigning costs to inventory, or because of mistakes in recognising the timing of the transfer of legal title for goods in transit. These mistakes can result in errors in determining:

- Cost of goods purchased
- Closing inventory

Any errors in determining these items can also cause an error in cost of sales and closing inventory:

- Errors in cost of sales will affect the statement of profit or loss and other comprehensive income.
- If there is an error in closing inventory, it will affect the statement of financial position, both in closing inventory and in equity.

Note that errors in cost of goods purchased have the same impact on cost of sales:

- If cost of goods purchased is overstated, cost of sales will be overstated.
- Additionally if cost of goods purchased is understated, cost of goods sold is understated.

Errors in the cost of goods purchased may also have an effect on the statement of financial position. For example, if a company records a purchase of inventory on account in 20X7 that should have been recorded in 20X8, trade payables and closing inventory will be overstated at 31 December 20X7.

By contrast, closing inventory has the opposite impact on cost of sales:

- If closing inventory is overstated, this results in an understatement of cost of sales.
- If closing inventory is understated, this results in an overstatement of cost of sales. This is because closing inventory is deducted when determining cost of sales.

When closing inventory is understated, total assets are understated. An error in closing inventory in one period will result in an error in opening inventory in the next period. Errors in opening inventory have no impact on the statement of financial position, if closing inventory is corrected by the end of the period.

The table below illustrates the impact of errors in inventory and the figures that are impacted when closing inventory is either overstated or understated.

| | | **Closing Inventory Overstated by HK$3,500** | **Closing Inventory Understated by HK$3,500** |
|---|---|---|---|
| Sales revenue | | Correct | |
| | Opening inventory | Correct | Correct |
| | Net purchases | Correct | Correct |
| | Cost of goods available | Correct | Correct |

| | | Closing Inventory Overstated by HK$3,500 | Closing Inventory Understated by HK$3,500 |
|---|---|---|---|
| | Closing inventory | ERROR: Overstated by HK$3,500 | ERROR: Understated by HK$3,500 |
| | Cost of sales | Understated HK$3,500 | Overstated HK$3,500 |
| Gross profit | | Overstated HK$3,500 | Understated HK$3,500 |
| Operating expenses | | Correct | Correct |
| Net profit | | Overstated HK$3,500 | Understated by HK$3,500 |

The table illustrates that errors in inventory counting and the determination of inventory carrying amounts can distort the final results in a given reporting period. It is important that everyone involved in the maintenance of the accounting records and also the control of inventory remains mindful of the importance of ensuring the accounting records reflect what is happening.

An error in cost of sales has the opposite impact on gross profit and net profit:

- If cost of sales is overstated, then gross profit and net profit are understated.
- If cost of sales is understated, then gross profit and net profit are overstated. This is because cost of sales is deducted from net sales when calculating gross profit.

Once the impact of an error on cost of sales is determined, then we can determine the effect of this error on the statement of profit or loss and other comprehensive income. If profit is understated, then equity will also be understated, because profit is part of equity.

Inventory errors can occur in either perpetual or periodic inventory systems, and the errors have the same impact on the statement of profit or loss and other comprehensive income and statement of financial position.

But one of the major benefits of a perpetual inventory system is that many inventory mistakes are much more likely to be found and corrected, when the accounting records are compared with the results of the inventory count.

## Apply and Analyse 2

***Apply***

Assume, for example, that Great Stationery has the following data related to greeting card inventory for June 20X7:

$$\text{Opening Inventory} + \text{Purchases} = \text{Cost of Goods Available for Sale} - \text{Closing Inventory}$$
$$= \text{Cost of Sales}$$
$$\text{HK\$10,000} + \text{HK\$20,000} = \text{HK\$30,000} - \text{HK\$18,000} = \text{HK\$12,000}$$

The company performs an inventory count on 30 June and concludes that closing inventory is overstated by HK$2,000. Determine the impact on cost of sales and the effect on the statement of profit and loss and other comprehensive income and the statement of financial position.

## Apply and Analyse 2 *(continued)*

***Analysis***

Using the formula above, closing inventory must be adjusted to a balance of HK$16,000, and cost of sales is increased to HK$14,000:

- Net profit declines by HK$2,000 in the statement of profit and loss and other comprehensive income.
- In the statement of financial position, both closing inventory and equity decline by HK$2,000.

## Key Learning Point

Mistakes can result in errors calculating, cost of goods purchased or closing inventory, and these errors impact the statement of profit or loss and other comprehensive income, and the statement of financial position.

## ▶ Knowledge Check Questions

**Question 13**

Explain the meaning of overstatement of closing inventory.

**Question 14**

Identify which of the following can result from an overstatement or understatement of costs of inventory:

**A** Misleading accounting records and as a consequence misleading financial statements.

**B** Accounting records that are unreliable for the purpose of managing a company.

**C** Difficulties in understanding the information in the financial statements related to inventory held by a company.

**D** All of the above.

# 8.6 PRESENTATION AND ANALYSIS OF INVENTORY

Presenting inventory on financial statements is important, because inventory may typically be the largest expense (cost of sales) on the statement of profit or loss and other comprehensive income and the largest current asset (merchandise inventory) on the statement of financial position.

In addition, these reported numbers are critical to analyse how well a company manages its inventory.

### 8.6.1 Valuing Inventory at the Lower of Cost and Net Realisable Value

Before reporting inventory on financial statements, it is important to ensure it is properly valued. The value of inventory items sometimes changes, due to changes in technology or changes in consumer preferences or the supply of raw materials, to name but a few possibilities.

For example, suppose that Great Stationery retail store sells a limited number of computers, and at the end of the year the value of the computers has dropped by almost 25%. The question for the company accountant is whether the inventory should be stated at cost in accordance with the cost measurement model, or at its lower value?

Dealing with a drop in the value of inventory requires an exception to following the cost basis of accounting. When the net realisable value of inventory is lower than its cost, the inventory is written down to its net realisable value at the end of the period. This is called the **lower of cost and net realisable value (LCNRV) valuation standard**:

**Net Realisable Value** = Selling Price – Any Costs Required to Make the Goods Ready for Sale

The LCNRV rule is applied to the items in inventory at the end of the accounting period. To apply this rule, four steps are followed:

1. Determine the cost of the items in closing inventory using the appropriate cost determination method: specific identification, FIFO, or weighted average.
2. Determine the net realisable value of the items in closing inventory.
3. Compare the values determined in steps 1 and 2.
4. Use the lower value to report inventory on the statement of financial position.

The LCNRV rule is applied to individual inventory items, not total inventory. Imagine that Great Stationery's inventory includes several different types of paper that can be used interchangeably for custom stationery. Great Stationery combines all types of paper used for custom stationery together rather than maintaining separate inventories for each kind.

The cost of sales account is debited directly for the inventory loss, because a decline in the value of inventory is considered to be part of the overall cost of buying and selling inventory. The term write-down means that the change in the inventory value is reflected in the statement of profit or loss and other comprehensive income during that period.

The amount of the loss must be reported separately. Most companies do this in the notes to the financial statements. Some companies may choose to debit a separate expense account to make it easier to keep track of the amount.

When there is clear evidence of an increase in net realisable value because of changed economic circumstances, the amount of the write-down is reversed. The evidence required for this reversal would generally be an increase in selling prices. If the item of inventory that was previously written down to net realisable value is still on hand and the selling price has increased, then a reversal is recorded. The reversing entry will be:

| | |
|---|---|
| Debit | Inventory |
| Credit | Cost of sales |

If there is a recovery in the value of the inventory, the write-up can never be larger than the original write-down. The LCNRV rule will still be applied to the inventory. This ensures that the inventory is never reported at an amount greater than its original cost.

## Illustrative Example 2

A car dealer uses the specific identification method to value a car in inventory at a cost of HK$25,000. Because the car gets older and the technology is deemed to be nearing obsolescence, the car dealer's accountant determines that the net realisable value of the car is HK$22,000.

What needs to happen next? The HK$3,000 decrease in the value of the car that can be specifically identified needs to be written down.

**Journal entry**

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X8** | | **HK$** | **HK$** |
| | Cost of sales | 3,000 | |
| | Car | | 3,000 |
| | (Recording the reduction in value of the car) | | |

Take a moment to think about the impact of the reduction in the carrying amount of the car. It has reduced and there are flow-on effects:

- Net profit in the statement of profit or loss and other comprehensive income declines by HK$3,000; and
- Total assets in the statement of financial position also declines by HK$3,000.

These changes in carrying amount have impacts that flow through to the financial statements and also through to the users of these statements.

## Key Learning Point

Dealing with a drop in the value of inventory requires an exception to following the cost basis of accounting. When the net realisable value of inventory is lower than its cost, the inventory is written down to its net realisable value at the end of the period, a standard known as the lower of cost and net realisable value (LCNRV).

## ▶ Knowledge Check Questions

**Question 15**

Outline the steps for applying the LCNRV rule to the items in the inventory at the end of the period.

**Question 16**

HK Motorcycle Company is a motorsports retailer who has the following inventory record at the year ending 31 December 20X9.

| Items | Units | Cost | NPV | Total Cost | Total NPV | LCNRV |
|---|---|---|---|---|---|---|
| | | HK$ | HK$ | HK$ | HK$ | HK$ |
| Cycles: | | | | | | |
| Road Star | 20 | 8,000 | 7,000 | | | |
| Racer | 10 | 5,000 | 6,000 | | | |
| Off-road: | | | | | | |
| Regular | 8 | 5,000 | 6,500 | | | |
| Premium | 5 | 9,000 | 7,000 | | | |
| Total | | | | | | |

***Required:***

(a) Compute the above inventory cost record.

(b) Determine the ending inventory cost.

(c) Prepare the accounting adjustment on ending inventory.

# 8.7 REPORTING AND ANALYSING INVENTORY

The amount of inventory carried by a company has significant economic consequences.

Inventory management is a double-edged sword that requires constant attention:

- On the one hand, management wants to have enough inventory to satisfy customers, but such a policy may incur high carrying costs in investment, storage, insurance, obsolescence and damage.
- On the other hand, low inventory levels lead to stock-outs and lost sales.

## 8.7.1 Presenting Inventory in the Financial Statements

How a company classifies its inventory depends on the type of company in question, for example, whether the company is a merchandiser or a manufacturer:

- A merchandiser buys its inventory.
- A manufacturer produces its inventory.

For merchandisers, only one inventory classification, merchandise inventory, is needed to describe the many different items that make up the total inventory. These items have two common characteristics:

- They are owned by the company; and
- They are in a form ready for sale to customers.

Inventory is reported on the statement of financial position at the LCNRV:

- Inventory is typically recorded as a current asset, because management expects to sell it within the next year.
- But if part of the inventory will not be sold for more than a year, this inventory should be reported as a non-current asset. For example, if inventory is being stockpiled because of concerns about future prices, then it may be appropriate to classify this inventory as a non-current asset.

A company should disclose the following information in its financial statements or the notes to the statements:

- The total amount of inventory
- The cost determination method (specific identification, FIFO or weighted average)
- The cost of sales
- The amount of any write-down to net realisable value
- The amount of any reversals of previous write-downs, including the reason why the write-down was reversed

The inventory and cost of sales information reported in the financial statements is also used to analyse how effectively the company is managing its inventory.

## Illustrative Example 3

Consider the disclosure contained in the accounting policies note of Hi-Tek Innovations Company in their financial statements in the Annual Report for 2017. The company does not use FIFO or specific identification. The company used weighted average cost to determine the cost of inventories.

**NOTES TO THE FINANCIAL STATEMENTS**

*(Expressed in Hong Kong dollars unless otherwise indicated)*

**2 SIGNIFICANT ACCOUNTING POLICIES** *(continued)*

**(k) Impairment of assets** *(continued)*

***(ii) Impairment of other assets*** *(continued)*

– Reversals of impairment losses

In respect of assets other than goodwill, an impairment loss is reversed if there has been a favourable change in the estimates used to determine the recoverable amount. An impairment loss in respect of goodwill is not reversed.

**Illustrative Example 3 *(continued)***

A reversal of an impairment loss is limited to the asset's carrying amount that would have been determined had no impairment loss been recognised in prior years. Reversals of impairment losses are credited to profit or loss in the year in which the reversals are recognised.

**(l) Inventories**

Inventories are carried at the lower of cost and net realisable value.

Cost is calculated using the weighted average cost formula and comprises all costs of purchase, costs of conversion and other costs incurred in bringing the inventories to their present location and condition.

Net realisable value is the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale.

When inventories are sold, the carrying amount of those inventories is recognised as an expense in the period in which the related revenue is recognised. The amount of any write-down of inventories to net realisable value and all losses of inventories are recognised as an expense in the period the write-down or loss occurs. The amount of any reversal of any write-down of inventories is recognised as a reduction in the amount of inventories recognised as an expense in the period in which the reversal occurs.

**(m) Trade and other receivables**

Trade and other receivables are initially recognised at fair value and thereafter stated at amortised cost using the effective interest method, less allowance for impairment of doubtful debts (see note 2(k)(i)), except where the receivables are interest-free loans made to related parties without any fixed repayment terms or the effect of discounting would be immaterial. In such cases, the receivables are stated at cost less allowance for impairment of doubtful debts.

*(Source: Adapted from HNA Tech INV Annual Report, 2017.)*

Note 17 from the same annual report for Hi-Tek Innovations Company breaks down the inventory into its various components that align with the definition of inventory in accounting standards. You will notice the division between raw materials, work in progress and finished goods. This tracks the process of manufacture in a manufacturing entity. This will be explored in a later section. For now it is sufficient for you to understand that companies that make goods are required to ensure that their inventory is appropriately disclosed.

## Illustrative Example 3 *(continued)*

**NOTES TO THE FINANCIAL STATEMENTS**

*(Expressed in Hong Kong dollars unless otherwise indicated)*

**17 INVENTORIES**

**(a) Inventories in the consolidated statement of financial position comprise:**

| | **2017** | 2016 |
|---|---|---|
| | ***$'000*** | *$'000* |
| Raw materials | **19,675** | 15,253 |
| Work in progress | **1,505** | 709 |
| Finished goods | **16,794** | 14,036 |
| | **37,974** | 29,998 |

**(b) The analysis of the amount of inventories recognised as an expense and included in profit or loss is as follows:**

| | **2017** | 2016 |
|---|---|---|
| | ***$'000*** | *$'000* |
| Carrying amounts of inventories sold | **72,456** | 75,723 |
| Write down of inventories | **4,178** | 1,326 |
| | **76,634** | 77,049 |

*(Source: Adapted from HNA Tech INV Annual Report, 2017.)*

Look carefully at the second portion of the note disclosure. It disaggregates the amount that has been accounted for as expenses related to inventories:

- One portion is the carrying amount of inventories sold
- The other is the write down of inventories

This explains to the readers of the financial statement what component of the amount has been expensed. This relates to a judgment by management that inventory has been carried at an amount that exceeds the recoverable amount.

### Key Learning Point

Inventory should disclose five different pieces of information related to inventory in its financial statements: The total amount of inventory, the cost determination method, the cost of sales, write-downs and reversals of earlier write-downs.

## ▶ Knowledge Check Questions

**Question 17**

Identify what information about inventories is provided by notes in financial statements:

**A** Insight into property, plant and equipment.

**B** Information about liabilities incurred by a company during the conduct of business.

**C** A breakdown of the cost of inventories sold and any element of the carrying amount expensed.

**D** A list of revenue items.

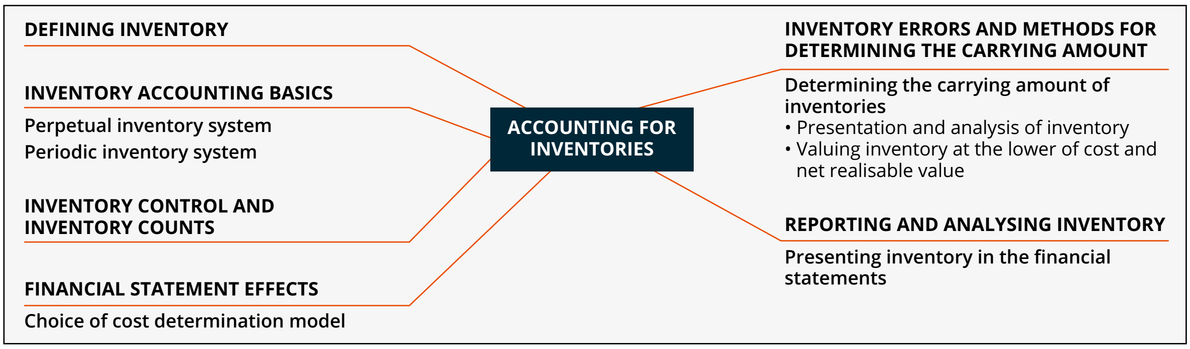
**Question 18**

Explain what types of assets should inventory be classified into.

## SUMMARY

- The common methods used to determine costs in both systems are specific identification, first-in, first-out (FIFO), last-in, last-out (LIFO) and weighted average.
- The specific identification method tracks the physical flow (movement) of goods in a perpetual inventory system.
- There are three assumed cost flow methods known as cost formulas. They are the first-in, first-out (FIFO) method; last-in, first-out (LIFO) method and the weighted average cost formula.
- Whatever the method chosen to determine the cost of inventory, it should be used consistently from one period to the next. This is known as the consistency concept.
- In a perpetual inventory system, the company keeps detailed records of each inventory purchase and sale. This system continuously shows the quantity and cost of the inventory that should be on hand for every item.
- In a periodic inventory system, inventory quantities are not continuously updated. Companies using a periodic inventory system must take a physical inventory to determine the amount on hand at the end of the accounting period.
- When recording physical inventory, it is necessary to consider the ownership of goods. Goods in transit should be included in the inventory of the company that has legal title of the goods. Terms can be free on board (FOB) shipping point or destination.
- A complete physical inventory count is always taken at least once a year under both the perpetual and periodic inventory systems.
- The physical inventory count can be used to check the accuracy of a perpetual system, in which accounting records continuously show the amount of inventory that should be on hand.
- Some inventory errors are caused by mistakes in counting or assigning cost to the inventory. These mistakes can result in errors determining cost of goods purchased and closing inventory.
- Inventory affects both the statement of profit and loss and other comprehensive income and the statement of financial position.
- Before reporting inventory on financial statements, it is important to ensure it is properly valued.
- When the net realisable value of inventory is lower than its cost, the inventory is written down to its net realisable value at the end of the period. This is called the lower of cost and net realisable value (LCNRV) valuation standard.
- Net realisable value is defined as: selling price less any costs required to make the goods ready for sale.
- Inventory is reported on the statement of financial position at the LCNRV.
- A company should disclose the following information in its financial statements or the notes to the statements: the total amount of inventory, the cost determination method, the cost of sales, any write-down to net realisable value and any reversals of previous write-downs.

## MIND MAP




## Answers to Knowledge Check Questions

**Question 1**

Answer A is incorrect. Reams of photocopying paper constitute inventory because they are materials that can be either held for sale or consumed in the rendering of services.

Answer B is incorrect. Stationery sets constitute inventory because they are held for sale in the ordinary course of business.

Answer C is incorrect. Hardcover notebooks constitute inventory because they are held for sale in the ordinary course of business.

Answer D is correct because the shelves and other fittings would constitute property, plant and equipment from the perspective of the stationery store.

**Question 2**

Answer A is incorrect. Spare drums in a storeroom of a white goods manufacturer for the repair of washing machines would be considered supplies consumed in the rendering of services; however, they are not the only correct option.

Answer B is incorrect. Electric cabling held in a workroom that can be used by car mechanics to fix faulty wiring in a car would be considered supplies consumed in the rendering of services; however, they are not the only correct option.

Answer C is incorrect. Engine parts for a lawn mower that are used by the manufacturer to fix mowers still under warranty would be considered supplies consumed in the rendering of services; however, they are not the only correct option.

Answer D is correct because answers A, B and C are all examples of spare parts held by a manufacturer or a repair shop in order to provide a service.

**Question 3**

Answer A is incorrect. FIFO is permitted under HKAS 2.

Answer B is correct. LIFO is prohibited under HKAS 2.

Answer C is incorrect. Weighted average cost is permitted under HKAS 2.

Answer D is incorrect. Specific identification is permitted under HKAS 2.

**Question 4**

(a) 4,800 units (2,000 units + 1,500 units + 450 units + 850 units)

(b) HK$18,080 (HK$7,000 + HK$5,925 + HK$1,755 + HK$3,400)

(c) HK$3.77 (HK$18,080/4,800 units)

**Question 5**

1. Choose the method that corresponds as closely as possible to the physical flow of goods.
2. Report an inventory cost on the statement of financial position that is close to the inventory's recent costs.
3. Use the same method for all inventories having a similar nature and use in the company.

**Question 6**

All cost determination methods will result in the same cost, when the price of the inventory does not change from period to period.

**Question 7**

(a) By using the specific identification method, the actual costs of specific units sold are transferred from inventory to the cost of sales (debit cost of sales and credit inventory). This method achieves the proper matching of sales revenue and cost of sales when the individual units in the inventory are unique. However, the method becomes cumbersome and may produce misleading results if the inventory consists of homogenous items.

(b) By using the average cost method, the average cost of all units in the inventory is computed and used in recording the cost of sales. This is the only method in which all units are assigned the same (average) per unit cost.

(c) First-in, first-out (FIFO) is the assumption that the first units purchased are the first units sold. Thus, inventory is assumed to consist of the most recently purchased units. FIFO assigns current costs to inventory but older (and often lower) costs to the cost of sales.

(d) Last-in, first-out (LIFO) is the assumption that the most recently acquired goods are sold first. This method matches sales revenue with relatively current cost. In a period of inflation, LIFO usually results in lower reported profit and lower income taxes than the other methods. However, the oldest purchase costs are assigned to inventory, which may result in inventory becoming grossly understated in terms of current replacement costs.

**Question 8**

Answer A is correct. The total sales units = 2,000 − 650 = 1,350 units, therefore cost of sales:

$$\text{FIFO} = 500 \times \text{HK\$}90 + 500 \times \text{HK\$}100 + 350 \times \text{HK\$}120 = \text{HK\$}137{,}000$$
$$\text{LIFO} = 500 \times \text{HK\$}130 + 500 \times \text{HK\$}120 + 350 \times \text{HK\$}100 = \text{HK\$}160{,}000$$

**Question 9**

When a business uses the perpetual inventory system, inventory costs are updated as inventory is sold. This ensures the related accounts are always current.

**Question 10**

Answer A is incorrect because the merchandise inventory account is not continuously updated for each purchase and sale under the periodic inventory system. The cost of sales are determined at the end of an accounting period.

Answer B is correct because it relates to the checking of inventory periodically and adjustments are made to accounting records.

Answer C is incorrect because customers do not typically see a vendor's inventory levels.

Answer D is incorrect because vendors may not often think the periodic inventory system is easier.

**Question 11**

- First, the accounting records must be adjusted so they reflect the fact that goods are missing.
- Second, there is an adjustment to the carrying amount of inventory. This makes a downward adjustment to inventory.
- Third, there is an adjustment to the cost of sales. This increases cost of sales.

**Question 12**

A company should only account for inventory that it legally owns. Any inventory that has legally transferred to the customer must be left out of any physical count. The company should not be accounting for inventory it no longer controls.

**Question 13**

Overstatement of closing inventory occurs when the accounting records state that the company has more inventory when a physical check of inventory proves otherwise.

**Question 14**

Answer A is incorrect because it is incomplete. Over- or understatement of inventory costs can cause misleading accounting records, but so can other answer choices.

Answer B is incorrect because it is incomplete. Over- or understatement of inventory costs can lead to unreliable accounting records, but so can other answer choices.

Answer C is incorrect because it is incomplete. Over- or understatement of inventory costs can lead to difficulties in understanding financial statements, but so can other answer choices.

Answer D is correct because all of the above would be a problem in that situation.

**Question 15**

The LCNRV is applied to the items in inventory at the end of the accounting period. To apply this rule, four steps are followed:

1. Determine the cost of the items in closing inventory using the appropriate cost determination method: specific identification, FIFO, or weighted average.
2. Determine the net realisable value of the items in closing inventory.
3. Compare the values determined in steps 1 and 2.
4. Use the lower value to report inventory on the statement of financial position.

**Question 16**

(a) Compute the above inventory cost record.

| Items | Units | Cost | NRV | Total Cost | Total NRV | LCNRV |
|---|---|---|---|---|---|---|
| | | HK$ | HK$ | HK$ | HK$ | HK$ |
| Cycles: | | | | | | |
| Road Star | 20 | 8,000 | 7,000 | 160,000 | 140,000 | 140,000 |
| Racer | 10 | 5,000 | 6,000 | 50,000 | 60,000 | 50,000 |
| Off-Road: | | | | | | |
| Regular | 8 | 5,000 | 6,500 | 40,000 | 52,000 | 40,000 |
| Premium | 5 | 9,000 | 7,000 | 45,000 | 35,000 | 35,000 |
| Total | | | | 295,000 | | **265,000** |

(b) Determine the ending inventory cost

When lower of cost and NRV is applied to individual items of inventory, the number of comparisons equals the number of items. For Road Star, HK$140,000 is the lower of the HK$160,000 cost and the $140,000 NRV. For Racer, HK$50,000 is the lower of the HK$50,000 cost and the HK$60,000 NRV. For Regular, HK$40,000 is the lower of the HK$40,000 cost and the HK$52,000 NRV. For Premium, HK$35,000 is the lower of the HK$45,000 cost and the HK$35,000 NRV. This yields a HK$265,000 reported inventory computed from HK$140,000 for Road Star plus HK$50,000 for Racer plus HK$40,000 for Regular plus HK$35,000 for Premium.

(c) Prepare the accounting adjustment on ending inventory

Inventory must be adjusted downward when NRV is less than cost. If lower of cost and NRV is applied to the individual items of inventory of the above HK Motorcycle Company, the Merchandise Inventory account must be adjusted from the HK$295,000 recorded cost to the HK$265,000 NRV amount as follows:

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X9** | | **HK$** | **HK$** |
| 31 December | Cost of sales | 30,000 | |
| | Merchandise Inventory | | 30,000 |
| | (To adjust inventory cost to NRV) | | |

**Question 17**

Answer A is incorrect because property, plant and equipment are separate from inventories.

Answer B is incorrect because liabilities are not related to inventories.

Answer C is correct because the notes disaggregate the figures related to inventory, and provide further information on how these numbers are broken down.

Answer D is incorrect because, on its own, a list of revenue items does not directly relate to inventories.

**Question 18**

Inventory is typically recorded as a current asset, because management expects to sell it within the next year. But if part of the inventory will not be sold for more than a year, this inventory should be reported as a non-current asset. For example, if inventory is being stockpiled because of concerns about future prices, then it may be appropriate to classify this inventory as a non-current asset.

## EXAM PRACTICE

### QUESTION 1

HKSA HiFi Limited ('HKSA') sells high-performance stereo equipment and employs a perpetual inventory system. HKSA recently introduced the Super QP speaker system. During the current year, HKSA purchased nine speaker systems at the following dates and acquisition costs:

| Date | Units Purchased | Unit Cost (HK$) | Total Cost (HK$) |
|---|---|---|---|
| 1 October 20X8 | 2 | 3,000 | 6,000 |
| 17 November 20X8 | 3 | 3,200 | 9,600 |
| 1 December 20X8 | 4 | 3,250 | 13,000 |
| Available for sale during the year | 9 | | 28,600 |

On 21 November 20X8, HKSA sold four speaker systems to the Hong Kong Symphony. The other five speaker systems remained in inventory on 31 December 20X8.

**Required:**

Compute (1) the cost of sales relating to the sale of the Super QP speaker system and (2) the costs of closing inventory as at 31 December 20X8, using each of the following flow assumptions:

(a) Average cost.

(b) First-in, first-out (FIFO).

Show the number of units and the unit costs of the speaker systems.

### QUESTION 2

Following Question 1, assume that the manufacturer of the Super QP speaker system launched a new enhanced model of QP speaker system on 31 December 20X8, so the Super QP speaker system would now be sold at HK$3,100 per unit. Assuming the FIFO method is adopted for preparing the financial statements, determine how HKSA should value its closing inventory of the Super QP speaker system.

### QUESTION 3

Identify which of the following is NOT the purpose of taking a physical inventory count for companies that use a perpetual inventory system:

**A.** To check the accuracy of the records.
**B.** To determine the amount of wasted raw materials.
**C.** To determine losses due to employee theft.
**D.** To determine ownership of the goods.

### QUESTION 4

As a result of a thorough physical inventory count, Greeley Company determined that it had inventory worth HK$325,000 at 31 December 20X6. This count did not take into consideration the following facts: Walker Consignment currently has goods worth HK$47,000 on its sales floor that belong to Greeley but are being sold on consignment by Walker. The selling price of these goods is HK$75,000. Greeley purchased HK$22,000 of goods that were shipped on 27 December. FOB destination will be received by Greeley on 3 January.

Compute the correct amount of inventory that Greeley should report:

**A.** HK$325,000
**B.** HK$347,000
**C.** HK$372,000
**D.** HK$387,000

### QUESTION 5

Quayle Bookstore had 500 units on hand at 1 January, costing HK$9 each. Purchases and sales during the month of January were as follows:

| Date | Purchases | Sales |
|---|---|---|
| 14 January | | 380 @ HK$15 |
| 17 January | 250 @ HK$10 | |
| 25 January | 250 @ HK$12 | |
| 29 January | | 260 @ HK$17 |

Quayle does not maintain perpetual inventory records. According to a physical count, 360 units were on hand at 31 January.

If Quayle accounts for inventory with the FIFO method, calculate the value of inventory as of 31 January:

**A.** HK$3,240
**B.** HK$3,650
**C.** HK$4,100
**D.** HK$3,820

## QUESTION 6

Explain the effects of inventory valuation errors on the statement of profit or loss and other comprehensive income.

## QUESTION 7

Identify which of the following inventory methods is sometimes impractical to use:

**A.** Specific identification
**B.** LIFO
**C.** FIFO
**D.** Average cost

## QUESTION 8

During July, the following purchases and sales were made by Phast Company. There was no opening inventory. Phast Company uses a perpetual inventory system.

| Date | Purchases | Date | Sales |
|---|---|---|---|
| 3 July | 40 units @ HK$14 | 13 July | 50 units |
| 11 July | 40 units @ HK$15 | 22 July | 20 units |
| 20 July | 20 units @ HK$16 | | |

Under the FIFO method, identify the cost of sales for each sale:

| | 13 July | 22 July |
|---|---|---|
| **A.** | HK$700 | HK$280 |
| **B.** | HK$710 | HK$300 |
| **C.** | HK$750 | HK$300 |
| **D.** | HK$800 | HK$320 |

## QUESTION 9

Identify when goods in transit should be included in the buyer's inventory.

**A.** Public carrier accepts the goods from the seller.
**B.** Goods reach the buyer.
**C.** Terms of sale are FOB destination.
**D.** Terms of sale are FOB shipping point.

## QUESTION 10

Referring to a periodic inventory system:

(a) Determine the ending inventory and the cost of goods sold using (1) specific identification, (2) average cost, (3) FIFO and (4) LIFO.

(b) Compare the major emphasis with the perpetual inventory system.

(c) Justify the reasons for the large organisations using the perpetual inventory system instead of the periodic inventory system.

## QUESTION 11

Wing Ming Furniture Company Limited ("Wing Ming") manufactures home and office furniture in its production plant located in Shenzhen, China, and its sales office is operated in Hong Kong. In March 20X1, Wing Ming accepted a customer order from Oriental Limited for manufacturing 500 quasi-antique chairs. Wing Ming produced the 500 quasi-antique chairs before the end of May 20X1 at a unit cost of HK$1,000; but just before delivery, Oriental Limited declared bankrupt and cancelled the purchase order with Wing Ming.

The 500 quasi-antique chairs have been stored in Wing Ming's Shenzhen warehouse. Alan Chan is Wing Ming's sales manager and during his business trip to Shanghai in December 20X9, a potential customer, Panda Limited, indicated keen interest in buying those 500 quasi-antique chairs with some modifications at a unit price of HK$1,100. Alan Chan then discussed this potential sale with the manufacturing plant in Shenzhen and the accounting department in Hong Kong. Alan Chan and his colleagues ascertained the following information on the potential sales of this batch of old inventory.

| | |
|---|---|
| Modification cost per unit | HK$200 |
| Transportation cost per unit | HK$50 |
| Cost of Alan Chan's customer visit | HK$5,000 |

Although Alan Chan is confident on this potential sale, the purchase order from Panda Limited has not yet been confirmed on 31 December 20X9, the financial year-end date of Wing Ming.

**Required:**

(a) Apply Lower of Cost and Net Realisable Value (LCNRV) and determine the inventory cost of Wing Ming's 500 quasi-antique chairs;

(b) Prepare the journal entries in adjusting the inventory cost of Wing Ming's 500 quasi-antique chairs; and

(c) Define the meaning of Lower of Cost and Net Realisable Value (LCNRV).

## ANSWERS TO EXAM PRACTICE

### QUESTION 1

(a) Average cost method

1. Cost of sales:

| | |
|---|---|
| Average unit cost at 21 November | |
| (2 units@HK$3,000 + 3 units@HK$3,200)/5 units | HK$3,120 |
| Cost of sales (4 units x HK$3,120 per unit) | HK$12,480 |

2. Inventory at 31 December:

| | |
|---|---|
| Units remaining after sale of 21 November (1 unit@HK$3,120) | HK$3,120 |
| Units purchased on 1 December (4 units@HK$3,250) | HK$13,000 |
| Total cost of 5 units in inventory | HK$16,120 |
| Average cost at 31 December (HK$16,120/5) | HK$3,224 |
| Inventory at 31 December (5 units x HK$3,224) | HK$16,120 |

(b) First-in, first-out (FIFO) method

1. Cost of sales:

   (2 units@HK$3,000 + 2 units@HK$3,200) HK$12,400

2. Inventory at 31 December:

   (4 units@HK$3,250 + 1 unit@HK$3,200) HK$16,200

## QUESTION 2

Original cost of the remaining 5 units of speaker systems in closing inventory (i.e. FIFO) is HK$16,200 (i.e. as per Question 1b).

Net Realisable Value of the remaining 5 units of speaker systems in closing inventory (i.e. FIFO) is HK$15,500 (i.e. 5 units@HK$3,100 per unit).

According to the lower of cost and net realisable value (LCNRV) accounting principle, the remaining 5 units of speaker systems in closing inventory (i.e. FIFO) should be valued at HK$15,500. Therefore, the impaired value of HK$700 should be written down, and the journal entries are as follows:

| | | | |
|---|---|---|---|
| Dr | Cost of sales | HK$700 | |
| Cr | Inventory | | HK$700 |

The following is an extract of the inventory account under current assets in the statement of financial position (i.e. assuming the only closing inventory is the remaining 5 units of Super QP speaker systems):

| | |
|---|---|
| Closing Inventory (Cost at FIFO) | HK$16,200 |
| Less: Impairment of inventory value | HK$(700) |
| Closing Inventory (at LCNRV) | HK$15,500 |

## QUESTION 3

Answer A is incorrect because physical inventory count can be used to check the accuracy of the records of a company that uses the perpetual inventory system.

Answer B is incorrect because a physical inventory count can determine the amount of wasted raw materials in a way that the records of a perpetual system cannot.

Answer C is incorrect because a physical inventory count can help determine losses due to employee theft in a way that the records of a perpetual system cannot.

Answer D is correct because a physical inventory count allows companies with a perpetual inventory system to determine whether company records accurately depict inventory, and can also determine losses incurred due to waste or theft. A physical inventory does not help determine who owns the goods.

## QUESTION 4

Answer C is correct.

Calculation:

- Walker is holding consigned goods worth HK$47,000 on its sales floor, which should be included in Greeley's inventory as ownership has not been transferred for consigned goods.

- The HK$22,000 of goods purchased should not be included, because ownership will not change until the goods arrive at their destination after year-end. The total value of inventory is HK$372,000 (HK$325,000 + HK$47,000).

### QUESTION 5

Answer C is correct.

Calculation:

Under FIFO, the first units to be held in inventory are the first units to be sold. Thus, the 360 units are the units most recently added to inventory.

250 of these units are valued at a cost of HK$12 each. The remaining 110 units are valued at HK$10 each, for a total of HK$4,100 (250 × HK$12 + 110 × HK$10).

### QUESTION 6

In the current year, an error in the costs assigned to closing inventory will cause an opposite error in cost of sales, and therefore a repetition of the original error in the amount of gross profit. For example, understating closing inventory results in an overstatement of the cost of sales and an understatement of the gross profit.

The error has exactly the opposite effect on the cost of sales and the gross profit of the following year, because the error is now in the cost assigned to opening inventory.

### QUESTION 7

Answer A is correct. Although modern technology has increased the viability of specific identification as an inventory valuation method, it is sometimes impractical because it can be time-consuming and expensive to apply.

Answer B is incorrect. Although LIFO is prohibited by HKAS 2, certain industries or businesses may find it more practical than alternative inventory methods.

Answer C is incorrect. FIFO is considered practical and is frequently used.

Answer D is incorrect. Average cost is considered practical and is frequently used.

### QUESTION 8

Answer B is correct.

Calculation:

For the 13 July sale, the first 40 units would be priced at HK$14 each, while the last 10 units are HK$15 each from the more recent purchase for a total of HK$710 (40 × HK$14 + 10 × HK$15). For the 22 July sale, the 20 units sold would be valued at HK$15 each, as those are the oldest units on record, for a total of HK$300.

### QUESTION 9

Answer A is incorrect. When a public carrier accepts the goods from the seller, they are not part of the buyer's inventory unless the terms of sale are FOB shipping point.

Answer B is incorrect. Once the buyer is in physical possession of goods, they are no longer in transit and should be included in the buyer's inventory.

Answer C is incorrect. When the terms of sale are FOB destination, they are not included in the buyer's inventory until they are physically received.

Answer D is correct. Ownership of the goods is transferred to the buyer in transit when the terms of sale specify FOB shipping point.

## QUESTION 10

(a) To determine the cost of goods sold, combine the beginning inventory with the purchases made during the period, then subtract the cost of the ending inventory. When following this process, the cost assigned to the ending inventory determines the cost of goods sold.

(1) Specific identification method: Some types of inventoried items (e.g. cars) are easy to identify for the purposes of the costing inventory. The specific costs associated with the units on hand determine the ending inventory.

(2) Weighted average cost method: Find the average unit cost by dividing the total purchase costs for a period by the number of units purchased to arrive at an average cost. Multiply the number of units on hand by the average cost of the units available for sale during the year to determine the ending inventory.

(3) FIFO method: Keep records of the costs of inventories received and then assume that the first goods received are the first to be sold. Price the units in the inventory using the costs of the most recent units.

(4) LIFO method: Assume the goods purchased most recently are the first to be sold. Price the units in the inventory using the costs of the oldest units. (Note that HKAS 2 prohibits the use of LIFO.)

(b) The perpetual inventory system emphasises the costs that are transferred from the inventory to the cost of goods sold as the sales occur. In a periodic inventory system, the emphasis is placed on determining the costs that should be assigned to the inventory at the end of the period.

(c) The perpetual inventory systems are more accurate because the inventory records are kept continuously up-to-date, although more complicated, especially when FIFO and LIFO valuation methods are used. However, with the extensive use of technology and computerized accounting software, most large business organisations use perpetual inventory systems nowadays.

## QUESTION 11

**Solution:**

(a) Lower of Cost and Net Realisable Value (LCNRV)

| | **HK$** | **HK$** |
|---|---|---|
| Expected sales value (HK$1,100 x 500 units) | | 550,000 |
| Less: Modification cost (HK$200 x 500 units) | 100,000 | |
| Transportation cost (HK$50 x 500 units) | 25,000 | |
| Cost of disposal | 5,000 | 130,000 |
| Net realisable value | | 420,000 |
| Original cost of manufacturing (HK$1,000 x 500 units) | | 500,000 |
| Write-down value | | 80,000 |

(b) Journal entries

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X9** | | **HK$** | **HK$** |
| 31 December | Cost of Sales | 80,000 | |
| | Inventory | | 80,000 |
| | (Write-down value of inventory by applying LCNRV) | | |

(c) In the context of inventory this means that the inventory should be reported at the lower of its cost or its net realisable value (NRV). The rule is associated with the conservatism guideline or principle. Net realisable value is defined as the expected selling price in the ordinary course of business minus the cost of completion, disposal and transportation.

# Part C

## Preparing Financial Statements

# 9

# Accounting for Manufacturing Operations

## CHAPTER TOPIC LIST

## LEARNING OUTCOMES

| PRINCIPAL LO4: PREPARE AND PRESENT FINANCIAL STATEMENTS FROM A TRIAL BALANCE OR INCOMPLETE RECORDS |
| --- |
| **LO4.02: Prepare financial statements for various common types of business entity** |
| **4.02.05** Prepare a manufacturing account and a statement of profit or loss and comprehensive income showing prime cost; cost of goods produced; transfer price of finished goods and a statement of financial position for a manufacturing business |

## OPENING CASE

# GREAT STATIONERY LIMITED, PART 9

In their second year of operating Great Stationery Limited ('Great Stationery'), the Wong brothers decided to expand their operations by setting up a small division to manufacture greeting cards.

This was a relatively simple manufacturing operation:

- They purchased the equipment necessary to manufacture greeting cards, including a small printing press, a cutter and a paper folder.
- They sourced the raw materials from mainland China. These materials included paper, ink and envelopes.
- Great Stationery also leased additional space adjacent to their current operations to produce the greeting cards.

As they set up their new mini-factory, the Wong brothers met with their accountant. He explained the accounting requirements of manufacturing operations. These requirements are a little more involved than those of merchandising-only operations (e.g. those of retailers and distributors):

- The accountant pointed out that to cost inventories not only include the direct costs of producing inventories (e.g. labour and materials), but also the cost of those overheads related to the manufacturing process.
- He also pointed out that the Wong brothers would need to account for raw materials, the conversion of those raw materials into finished products and the sale of the finished products.

The Wong brothers quickly understood that costing inventories would be important, and that their pricing needed to be related to their costing.

# OVERVIEW

Manufacturing operations have specific accounting requirements. They have production facilities and they use various components, parts or raw materials to make finished goods that are sold to customers. This process creates accounting challenges associated with determining the cost of sales, costing inventories on hand and accounting for other manufacturing assets.

Manufacturing can take place in any form of entity, and may or may not be subject to the accounting standards of the HKICPA. This chapter is written from the perspective that either those standards are required to be applied, or at least their contents are a strong indicator of good practice for an unregulated manufacturing entity.

Under HKAS 2, the costs of inventory comprise:

(a) The costs of purchases, including the purchase price of materials, import duties, transport, handling and other costs directly associated with acquiring the inputs for the manufacturing process. The costs of these purchases are reduced by trade discounts, rebates and similar items;

(b) The costs of conversion, including the direct production costs (e.g. **direct labour** costs) and an allocation of the fixed and variable overhead costs incurred in the production process; and

(c) Any other costs incurred in bringing inventories to the location and condition (e.g. certain design costs).

At any one time the inventories of a manufacturer can include raw materials not yet committed to production, **work in progress** (partly completed inventories) and finished goods. Each of these forms of inventory needs to be accounted for at the lower of cost and net realisable value.

HKAS 2 *Inventories* establishes the basis both for cost accounting and financial reporting for inventories. It requires that inventories be measured at the lower of cost and net realisable value.

Net realisable value is defined as the estimated selling price of inventory in the ordinary course of business, less the estimated costs of completion and the costs necessary to the making of a sale.

The above specifications of cost and net realisable value apply to the inventories of all types of entity, but you can see that a manufacturing entity will not just be buying and selling finished goods and that the costs of conversion will be very relevant.

To produce inventories, a manufacturer will need various types of assets, including plant and equipment, and property in which to store and produce the inventory. They may need forklifts and other types of vehicles and a range of other production-related resources.

A manufacturer will access sources of **equity** and finance (liabilities) in the same way as other entities. The liabilities will include those for the supply of materials (trade payables).

Information about the performance of the manufacturing operations (i.e. revenues, expenses, gains and losses) and its financial position (Equity = Assets – Liabilities) will need to be reported to management and to any external users of its financial statements. This chapter will look at the statement of profit and loss and comprehensive income and the statement of financial position of a manufacturing entity.

# 9.1 THE NATURE OF MANUFACTURING OPERATIONS

Manufacturing consists of processes, which include activities that convert raw materials and components into finished goods. Contrast this type of operation with merchandising, which sells products in the form in which they are purchased.

Manufacturing costs are classified as **direct materials**, direct labour and **indirect manufacturing costs**. It is important that, as you think about this process, you remember that the key information that you are dealing with here relates to:

1. Raw materials used to make products.
2. Work in progress (WIP) costs that represent the next stage of making products.
3. Finished products ready for sale.

Each of these stages have elements that you need to be aware of and incorporate in your thinking about the appropriate accounting for manufacturing operations.

## 9.1.1 Overview of the Manufacturing Entity

A manufacturing business is one that uses components, parts or raw materials to make finished goods. These goods are then sold to customers. Customers may be individuals or other businesses which use the goods to make other products.

Manufacturing businesses rely on processes to assemble products. These typically occur in a sequence in a process that is sometimes called **fabrication**. Manufacturing entities can be simple, with processes and products that require only a few parts (e.g. toys, instant noodles). Or they can be complicated, with hundreds, thousands or more parts to create the finished product, such as an automobile.

The accounting challenges associated with manufacturing entities are most often associated with **inventory costing** and, when inventories are sold, determining the **cost of sales**. Revisit Chapter 8 if you need to review any aspects of accounting for inventories before moving on.

Inventory costing is the process used to determine the carrying amount of inventories for inclusion in the statement of financial position. Inventories for a manufacturer will usually comprise raw materials, WIP and finished goods at any time. The amounts for each of these items change from period to period.

An accurate inventory costing involves several steps:

1. **Determining the costs of purchase.** These include the purchase price of materials, import duties, transport, handling and other costs directly associated with the acquiring the inputs for the manufacturing process. The costs of these purchases are reduced by trade discounts, rebates and similar items.
2. **Determining a basis for associating costs with physical inventory flows.** This includes assigning costs to inventory using specific identification, the first-in, first-out (FIFO) method or weighted average method. Another method – last-in, first-out (LIFO) – is not permitted under HKAS 2 and should not be used in practice.
3. **Determining the (i) costs of conversion and (ii) other production costs.** These include the direct production costs (e.g. direct labour costs) and an allocation of the fixed and variable overhead costs incurred in the production process.
4. **Recognising the cost of sales.** This is the association of the carrying amounts determined for inventories with those that are sold. The difference between sales revenue and cost of sales is the **gross profit**.
5. **Impairment testing.** A test that is used to determine whether the amounts used to record the cost of closing inventory is higher than net realisable value (NRV). If that is the case, the inventory value must be written down to NRV.

### 9.1.2 Costs Excluded from Inventory

You will note from the definition of costs of purchase and conversion that they all relate to the bringing of inventories into a state that enables their sale. It follows that the following should not be included in the costs of inventories:

(a) Abnormal amounts of wasted materials, labour or other production costs.

(b) Storage expenses unless necessary to the production process.

(c) Administrative overheads that do not relate to the inventories.

(d) Selling expenses.

One way of determining the cost of sales is by using a perpetual inventory system, in which the movements of raw materials, WIP and finished inventory are recorded as they occur. As the finished inventories are sold, the cost of goods sold is directly known.

Another way of determining cost of goods sold (COGS) is by periodic derivation. The carrying amount of closing inventory (counted and specifically costed) is deducted from the sum of opening inventory (determined in the same way) and the period's total costs of purchase and conversion.

Note that physical inventory counts are needed periodically in both systems. The big advantage of perpetual systems is that they allow COGS to be determined, and interim financial statements to be prepared without an inventory count. The purpose of inventory count in a continuous inventory system is to check the validity of the records, not to determine cost of sales per se.

### Illustrative Example 1

Assume you are looking at the inventory accounts of Great Stationery as a manufacturing concern, side by side with the accounting records of a retailer that is selling product made by Great Stationery.

Consider the following scenario in which Great Stationery is the manufacturer and Chong Retailers Limited is a retailer. Both businesses have similar carrying amounts for inventory. Here is a visual representation of the current asset classification of a statement of financial position for both entities.

| **Great Stationery Limited** | | **Chong Retailers Limited** | |
|---|---|---|---|
| **Current assets** | **HK$** | **Current assets** | **HK$** |
| Prepaid expenses | 7,000 | Prepaid expenses | 7,000 |
| **Inventories** | | **Inventories** | 45,000 |
| Direct materials | 10,000 | | |
| Work in progress | 17,500 | | |
| Finished goods | 17,500 | | |
| **Total inventories** | **45,000** | | |
| Trade receivables | 10,000 | Trade receivables | 10,000 |
| Short-term investments | 15,000 | Short-term investments | 15,000 |
| Cash | 40,000 | Cash | 40,000 |
| **Total current assets** | **117,000** | **Total current assets** | **117,000** |

The example above illustrates the different stages at which a manufacturer needs to look at their inventory, and it highlights the different aspects of the financial statements between a manufacturer and a retailer.

### Key Learning Point

The accounting challenges associated with manufacturing entities are most often associated with inventory costing and determining the cost of sales. The cost of a manufactured item includes:

- the costs of purchase;
- the costs of conversion; and
- the other costs of bringing the inventories to their current location and condition.

The cost of inventories should be written down to NRV if less than cost.

▶ **Knowledge Check Questions**

**Question 1**

Categorise the three groups of costs into the three components of inventory for a manufacturing company: (a) paper purchased for card production, (b) partially completed cards, (c) cards stored in a warehouse for retail sale.

**Question 2**

Identify which of the following is included in the inventory.

**A** Expenses related to selling in a new market

**B** Unusually high levels of wasted materials due to a temporary machinery problem

**C** Import duties on materials used as inputs in manufacturing and production

**D** Storage of supplies used exclusively for promotional at trade shows

# 9.2 INTRODUCTION TO PRODUCT COSTS

Retailers purchase inventory, while manufacturers produce inventory. Some aspects of their accounting for inventories are the same:

- Both will want to see a gross margin on their sales that is sufficient to cover their other expenses and deliver a reasonable profit.
- They both need to determine the cost and NRV of their inventories.

However, a manufacturing entity will need to focus on determining and associating the costs of manufacture with the inventories in their various stages of completion. The manufacturer will need to account for the direct materials, direct labour and indirect overhead costs (fixed and variable) incurred in producing the inventory.

## 9.2.1 Materials Costs

To obtain the materials that will be converted into the finished product, the manufacturer purchases raw materials and components. Raw material and purchased component costs that can be directly traced to a product during the manufacturing process are called direct materials.

Examples of direct materials are the flour that goes in the baking of bread, the syrup in the bottling of soft drinks, and steel in the making of cars. Examples of direct materials for the greeting cards that Great Stationery makes in its new mini-factory are paper and packaging materials.

Some raw materials cannot be easily associated with the finished product. These are called **indirect materials**. Indirect materials have one of two characteristics: either they do not become part of the finished product, or it is impractical to trace the materials to the finished product.

If the material's association with the finished product is too remote in terms of cost, such as the glue used in the production of greeting cards, the cost is labelled an indirect material and it is not traced to the product. Manufacturing companies account for indirect materials as indirect manufacturing costs.

### 9.2.2 Labour Costs

The work of factory employees to convert raw materials into finished goods is **direct labour**. Bottlers at soft drink manufacturers, and equipment operators at textile factories are employees whose activities are usually classified as direct labour.

**Indirect labour** refers to the work of employees that has no physical association with the finished product, or for which it is impractical to trace costs to the goods produced. Examples include wages of factory maintenance people, material handlers, factory timekeepers and factory supervisors. Companies classify indirect labour in the same way as indirect materials: as indirect manufacturing costs.

### 9.2.3 Indirect Manufacturing Costs

**Indirect manufacturing costs (overheads)** are indirectly associated with the manufacture of the finished product:

- Some will be incurred irrespective of the level of production (fixed costs).
- Some will vary with that level (variable costs).

Indirect manufacturing costs include indirect materials, indirect labour, depreciation on factory buildings and machines, insurance, taxes and maintenance on factory facilities.

Calculating direct materials and direct labour costs to specific products is fairly straightforward. Good recordkeeping can inform a company how much plastic it used in making each type of gear, or how many hours of factory labour it took to assemble a part. But allocating indirect costs to specific products presents problems.

For example, how much of the purchasing agent's salary is attributable to the hundreds of different products made in the same plant? What about the grease that keeps the machines working, or the computers that make sure payments occur on time? These costs will typically be aggregated as factory overheads, and allocated to production on a standard absorption rate per unit of production.

Any technique used in this way must be reviewed to ensure that the cost attributed is as close to actual as practicable. For example, if production is much higher than planned, the absorption rate for overheads may attribute more cost to inventories to recover actual overheads. The over-recovery would then need to be apportioned between inventory and cost of sales.

The costing of inventories is also relevant to the costing of services. If Great Stationery were to set up photocopying services within its outlets, it would incur the same variety of costs discussed above, but relating to the provision of services and not goods. The difference would only be that, apart from stores of paper and ink, most costs would form part of the cost of services provided or be expenses of the period.

### 9.2.4 Costs of Purchase versus Conversion and Other Costs

As can be seen from the above, manufacturing entities need to manage three classes of costs:

- the costs of purchases;
- the conversion costs; and
- other costs of bringing inventories to a saleable state.

These costs of purchases can be categorised as:

1. **Direct materials:** Raw materials or other tangible components that are needed to create a finished product are counted as direct materials.
2. **Direct labour:** Wages and benefits paid to any employees that work directly on completing finished products. For instance, the compensation paid to machinists or painters would be part of **prime costs**, whereas the wages paid to an internal auditor for the entity would not.
3. **Indirect manufacturing costs:** Indirect manufacturing costs are costs that cannot be directly attributed to production processes, but are necessary for the prime costs to produce product and to operate a factory. The cost of electricity and other utilities are good examples of the latter type.

The total of 1 and 2 is sometimes called prime cost.

**Conversion costs**, on the other hand, are the sum of labour costs and indirect manufacturing costs that are necessary to convert raw materials into finished product.

Other costs include non-production costs that nevertheless can be related to bringing inventories to their current state and condition. HKAS 2 provides an example of the costs of designing products for specific customers.

### 9.2.5 Determining the Cost of Manufactured Goods

All the costs discussed above need to be assembled in a way that enables a company to determine which costs will be included in the financial statements as direct raw materials, WIP and finished goods.

A clear understanding of the nature and amount of costs, and how they vary, is important when pricing manufactured goods for sale. In this section, we will show how the various types of costs are brought together and reported.

Underlying the manufacturer's costing of inventories is the following process:

| Raw Materials | Work in Progress | Finished Goods |
|---|---|---|
| Opening **raw materials inventory**<br>+ Purchases | Opening WIP inventory<br>+ direct materials used<br>+ direct labour<br>+ manufacturing overhead | Opening **finished goods inventory**<br>+ Cost of goods manufactured |
| = Raw materials available for use<br>− Closing raw materials inventory | = Subtotal<br>− Closing WIP inventory | = Cost of goods available for sale<br>− Closing finished goods inventory |
| = Direct materials used | = Cost of goods manufactured | = Cost of sales |

You can now see how the statement of profit or loss and other comprehensive income is articulating with the statement of financial position:

$$\text{sales revenue} - \text{COGS (as shown above)} = \text{gross margin / profit}$$

$$\text{gross margin / profit} - \text{other non-production costs} = \text{net profit or loss for the period}$$

The closing inventories will appear in the statement of financial position.

## Apply and Analyse 1

Here is some data from Great Stationery's manufacturing business. You are asked to:

a. reconstruct the ledger accounts from the data;
b. prepare the journal entries from the data;
c. determine the cost of sales for the period;
d. determine the amount to be shown in the statement of profit or loss and other comprehensive income and statement of financial position.

***Apply***

| | |
|---|---|
| Direct materials | |
| Opening balance | HK$250,000 |
| Purchased during period | HK$20,000 |
| Closing balance | HK$90,000 |
| Direct labour for period | HK$21,000 |
| Variable overhead production costs for period | HK$45,000 |
| Fixed overhead production costs for period | HK$30,000 |
| Work in progress | |
| Opening balance | HK$30,000 |
| Closing balance | HK$76,000 |
| Finished goods | |
| Opening balance | HK$66,000 |
| Closing balance | HK$55,000 |

***Analysis***

(a) Ledger accounts

**Direct Materials**

| | **HK$** | | **HK$** |
|---|---|---|---|
| Opening balance | 250,000 | Transfer to WIP | 180,000 |
| Purchases | 20,000 | Closing balance | 90,000 |
| | 270,000 | | 270,000 |

**Direct Labour**

| | **HK$** | | **HK$** |
|---|---|---|---|
| Costs incurred | 21,000 | Transfer to WIP | 21,000 |

## Apply and Analyse 1 *(Continued)*

**Indirect Production Overheads**

| | HK$ | | HK$ |
|---|---|---|---|
| Variable | 45,000 | Transfer to WIP | 75,000 |
| Fixed | 30,000 | | |
| | 75,000 | | 75,000 |

**Work in Progress (WIP)**

| | HK$ | | HK$ |
|---|---|---|---|
| Opening balance | 30,000 | | |
| Direct materials | 180,000 | Transfer to finished goods | 230,000 |
| Direct labour | 21,000 | | |
| Indirect production overheads | 75,000 | Closing balance | 76,000 |
| | 306,000 | | 306,000 |

**Finished Goods**

| | HK$ | | HK$ |
|---|---|---|---|
| Opening balance | 66,000 | Cost of sales | 241,000 |
| Transfer from WIP | 230,000 | Closing balance | 55,000 |
| | 296,000 | | 296,000 |

**Cost of Sales**

| | HK$ | | |
|---|---|---|---|
| Transfer from finished goods | 241,000 | | |

(b) Journal entries:

1. Direct materials (assuming periodic inventory system is adopted)

| | | | |
|---|---|---|---|
| Dr | Purchases | HK$20,000 | |
| Cr | Trade payables | | HK$20,000 |

(Purchase of direct materials during the period)

| | | | |
|---|---|---|---|
| Dr | WIP | HK$180,000 | |
| Cr | Direct materials | | HK$180,000 |

(Record the use of materials in manufacturing account)

## Apply and Analyse 1 *(Continued)*

2. Direct labour

| | | | |
|---|---|---|---|
| Dr | Wages | HK$21,000 | |
| | Cr Cash | | HK$21,000 |

(Record wages paid)

| | | | |
|---|---|---|---|
| Dr | WIP | HK$21,000 | |
| | Cr Direct labour | | HK$21,000 |

(Record the use of factory labour in manufacturing account)

3. Indirect production overheads

| | | | |
|---|---|---|---|
| Dr | WIP | HK$75,000 | |
| | Cr Indirect production overheads | | HK$75,000 |

(Record the application of overheads in manufacturing account)

4. Work in Progress

| | | | |
|---|---|---|---|
| Dr | Finished goods | HK$230,000 | |
| | Cr WIP | | HK$230,000 |

(Record the cost of goods manufactured)

5. Finished goods

| | | | |
|---|---|---|---|
| Dr | Cost of sales | HK$241,000 | |
| | Cr Finished goods | | HK$241,000 |

(Record the cost of sales)

(c) The cost of sales for the period is HK$241,000.

(d) Statement of profit or loss and other comprehensive income

Cost of sales HK$241,000

Statement of financial position

On the face of the statement, within current assets:

Inventories HK$221,000

In the notes to the statement

Raw materials HK$90,000

Work in progress HK$76,000

Finished goods HK$55,000

### Key Learning Point

Direct labour and direct materials are used directly in the manufacturing process, as opposed to indirect costs, such as utilities or management costs that must be allocated to a product.

Prime costs are associated with the two direct costs that go into products (direct materials and direct labour). Conversion costs are the sum of labour costs and indirect manufacturing costs that are necessary to convert raw materials and purchased components into a finished product.

### ▶ Knowledge Check Questions

**Question 3**

Identify which of the following would form part of the costs of conversion for Great Stationery:

**A** Fixed costs of production management

**B** Marketing expenses for sale of finished goods

**C** Inspection expenses during the production process

**D** All of the above

**Question 4**

A furniture manufacturer has the following costs:

(a) It purchases oak wood to make furniture.

(b) It pays workers to run machinery to cut wood into component parts.

(c) It incurs costs to heat and cool the manufacturing facility.

Categorise these three types of costs as either direct or indirect.

**Question 5**

The following cost information is available for the period ended 31 December 20X8:

| | |
|---|---|
| Materials put into production | HK$82,000 (HK$4,000 indirect materials, HK$78,000 direct materials) |
| Labour costs | HK$40,000 (HK$12,000 indirect labour, HK$28,000 direct labour) |
| Factory depreciation | HK$50,000 |

Selling, general and administration expenses HK$62,000

Compute:

(a) direct costs

(b) indirect overhead costs

# 9.3 FINANCIAL STATEMENTS FOR MANUFACTURING OPERATIONS

Procedurally, a manufacturer needs to ensure that the method chosen to associate the costs of purchase, conversion and other costs of bringing inventories to their location and condition are reflective of actual costs and not the misapplication of a costing device (e.g. usage of standard costs that are out of date), or inclusion of costs that are not related to inventories (e.g. selling expenses).

All entities that sell goods will have a cost of sales. For a manufacturer, determining that amount will require it to cost production in way that incorporates the costs of those three classes of inventory.

The financial statements of a manufacturing company do not involve items not seen in other entities, except that inventories need to be broken down into three classes: raw materials, WIP and finished goods.

All entities need to ensure that inventories are not carried at an amount that exceeds their NRV. Again, for a manufacturer that requirement needs to be applied to the three classes of inventory.

## 9.3.1 Statement of Profit or Loss and Other Comprehensive Income: Focus on Revenue and Expenses

HKAS 1 does not explicitly require the separate disclosure of the cost of sales, but it will be a key component of profit or loss and HKAS 1.99 does require an analysis of expenses recognised in profit or loss. In example HKAS 1.103 the 'cost of sales' is shown. In any case, it is good practice to disclose the cost of sales as it is a key number for assessing manufacturing entities.

HKAS 1.97 explicitly requires disclosure of the write-down of inventories to NRV, together with reversals of such write-downs should they occur.

**Illustrative Example 2**

Telecommunications company PCCW reports cost of sales immediately under the revenue line item. There is nothing else that is tied directly to the sale of manufactured goods in the financial statements of PCCW.

## Illustrative Example 2 *(Continued)*

| Statement of Profit or Loss and Other Comprehensive Income<br>Year ended 31 December 2017 | | | |
|---|---|---|---|
| **In HK$ million (except for earnings per share)** | **Note** | **2016** | **2017** |
| Revenue | 6 & 7 | 38,384 | **37,050** |
| Cost of sales | | (17,743) | **(16,857)** |
| Administrative expenses | | (15,114) | **(14,322)** |
| Other gains, net | 8 | 32 | **1,201** |
| Interest income | | 52 | **134** |
| Finance costs | 10 | (1,429) | **(1,526)** |
| Share of results of associates | | 66 | **83** |
| Share of results of join ventures | | (21) | **(29)** |
| Profit before income tax | 7 & 9 | 4,227 | **5,734** |
| Income tax | 12 | (395) | **(1,134)** |
| Profit for the year | | 3,832 | **4,600** |
| Attributable to: | | | |
| Equity holders of the PCCW | | 2,051 | **2,246** |
| Non-controlling interests | | 1,781 | **2,354** |
| Profit for the year | | 3,832 | **4,600** |
| Earnings per share (EPS) | 14 | | |
| Basic | | 26.79 cents | **29.15 cents** |
| Diluted | | 26.76 cents | **29.12 cents** |

*(Source: Data from PCCW, Annual Report 2017.)*

In analysing the statement of profit or loss it is also useful to observe what portion of the revenue relates directly to goods sold to customers. Note 6 breaks down the revenue totals reported in the financial statement which appears below:

| **Note 6** **Revenue** | | |
|---|---|---|
| **In HK$ million** | **2016** | **2017** |
| Telecommunications and other service revenue | 33,522 | **32,775** |
| Amounts received and receivable in respect of goods sold | 4,802 | **4,203** |
| Amounts received and receivable from rental of investment properties | 60 | **72** |
| | 38,384 | **37,050** |

*(Source: Data from PCCW, Annual Report 2017.)*

### Illustrative Example 3

The following is an example of a typical format of a manufacturing account with sample figures.

**Manufacturing account for the year ended 31 May 20X9**

| | | HK$ | HK$ |
|---|---|---|---|
| | Opening inventory of raw materials | | 8,250 |
| Add | Purchases of raw materials | 65,000 | |
| | Carriage inwards | 1,550 | 66,550 |
| | Cost of raw materials available | | 74,800 |
| Less | Closing inventory of raw materials | | (9,520) |
| | ***Cost of raw materials used*** | | 65,280 |
| Add | Direct wages | | 51,950 |
| | ***Prime cost*** | | 117,230 |
| Add | Factory overhead costs: | | |
| | Factory salaries | 41,200 | |
| | General factory expenses | 2,360 | |
| | Light, heat and power for factory | 3,710 | |
| | Rates and insurance of factory | 18,240 | |
| | Depreciation of plant and machinery | 6,900 | 72,410 |
| | | | 189,640 |
| Add | Opening inventory of work in progress | 9,310 | |
| Less | Closing inventory of work in progress | (6,940) | 2,370 |
| | **Cost of goods manufactured** | | 192,010 |
| Add | Opening inventory of finished goods | | 50,000 |
| | | | 242,010 |
| | Less Closing inventory of finished goods | | (60,000) |
| | Cost of goods sold | | 182,010 |

## 9.3.2 Statement of Financial Position

The statement of financial position for a manufacturing company will typically have a single line item reflecting the carrying amount of inventories. This line item aggregates the total inventories in any company, unless the company has elected to report more line items related to inventories in the statement of financial position.

The disaggregation will take place in the notes to the financial statements in which a company is able to split the inventory into its component parts, so users of the financial statements are able to analyse the details.

It is important to remember that there are three sections that will be relevant to users when they seek information about inventories:

- the statement of financial position itself;
- the accounting policy note that describes how the company accounts for its inventories; and
- a note that disaggregates the various inventories that are reflected in the financial statements.

## Illustrative Example 4

Hong Kong-based telecommunications company PCCW has the following entries in its financial statements for the 2017 calendar year. Users can see that there is one line item dealing with inventories, but the line item points to note 25(d) that will provide a reader with further information.

| In HK$ million | | The group | | (Additional information) The Company | |
|---|---|---|---|---|---|
| | Note* | 2016 | **2017** | 2016 | **2017** |
| **Current assets** | | | | | |
| Amounts due from subsidiaries | | – | **–** | 21,281 | **12,746** |
| Sales proceeds held in stakeholders' accounts | 25(a) | 510 | **508** | – | **–** |
| Restricted cash | 25(b) | 139 | **149** | – | **–** |
| Prepayments, deposits and other current assets | 25(c) | 9,019 | **9,556** | 19 | **16** |
| Inventories | 25(d) | 943 | **911** | – | **–** |
| Amounts due from related companies | 5(c) | 98 | **86** | – | **–** |
| Derivative financial instruments | 28 | – | **1** | – | **1** |
| Other financial assets | 25(i) | – | **79** | – | **–** |
| Trade receivables, net | 25(e) | 3,778 | **3,664** | – | **–** |
| Tax recoverable | | 16 | **19** | – | **–** |
| Short-term deposits | | 453 | **1,629** | – | **160** |
| Cash and cash equivalents | 36(c) | 4,751 | **11,638** | 587 | **4,364** |
| | | 19,707 | **28,240** | 21,887 | **17,287** |
| Assets of disposal group classified as held for sale | 25(h) | 807 | **–** | – | **–** |
| | | 20,514 | **28,240** | 21,887 | **17,287** |

*(Source: Extracted Data from PCCW, Annual Report 2017.)*

### Illustrative Example 4 *(Continued)*

Read the disclosures carefully so that you understand the difference and rationale for the different basis used in determining the carrying amount as described in the accounting policy note.

**2 Basis of Preparation and Principal Accounting Policies** *(Continued)*

**p. Inventories**

Inventories consist of trading inventories, work-in-progress and consumable inventories.

Trading inventories are carried at the lower of cost and net realizable value. Net realizable value is the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale.

Work-in-progress is stated at the lower of cost, which comprises labour, materials and overheads where appropriate, and the net realizable value.

Consumable inventories held for use in the maintenance and expansion of the Group's telecommunications systems are stated at cost less provision for deterioration and obsolescence.

Cost is calculated using the weighted average cost formula and comprises all costs of purchase, costs of conversion and other costs incurred in bringing the inventories to their present location and condition.

*(Source: Data from PCCW, Annual Report 2017.)*

Before a reader sees note 25(d), note 2 provides details related to accounting policies adopted by PCCW. It should be noted that:

- Both trading inventories – inventories that are in a condition to be sold – and work in progress are stated at lower of cost and net realisable value.
- Consumable inventories that are used by the business in maintenance and expansion of the group's telecommunications system are stated at cost less a provision for deterioration and obsolescence.
- It is important to understand that in the case of PCCW, cost is determined using the **weighted average method** which comprises all costs that are attributable to the manufacture of the inventories.

Note 25(d) expands on the details already revealed on the face of the financial statement and in the accounting policy note related to inventories. There are three items listed in the note that relates to inventories: work in progress, finished goods and consumable inventories.

**Illustrative Example 4 *(Continued)***

**d. Inventories**

| In HK$ million | 2016 | **2017** |
|---|---|---|
| Work-in-progress | 491 | **492** |
| Finished goods | 381 | **367** |
| Consumable inventories | 71 | **52** |
| | 943 | **911** |

*(Source: Data from PCCW, Annual Report 2017.)*

It is important to remember that the single number related to inventories in the statement of financial position itself, and that the method of calculating the carrying amounts will be stated in the disclosures in the financial statements.

## Key Learning Point

The financial statements of a manufacturer will be the same as for any other entity, except that:

- In the statement of profit or loss and other comprehensive income, manufacturers should show their cost of sales and any write-downs of inventories (and reversals thereof);
- Inventories shown in the statement of financial position will be broken down into raw materials, WIP and finished goods.

## ▶ Knowledge Check Questions

**Question 6**

A window manufacturer has an opening WIP balance of HK$10,000 on 1 November, and a closing WIP balance of HK$20,000 on 30 November. During November, the manufacturer places into production direct material, direct labour and indirect manufacturing costs totalling HK$60,000.

Compute the cost of goods manufactured for November.

**Question 7**

A window manufacturer has an opening finished goods balance of HK$40,000 on 1 June 20X8, and a closing finished goods balance of HK$15,000 on 30 June 20X8. The cost of goods manufactured during June is HK$80,000.

Calculate the cost of sales for June 20X8.

## SUMMARY


- Measuring inventory requires the assigning of direct costs, indirect (overhead) costs, calculating cost of sales and performing impairment testing (if NRV is less than cost).
- Direct materials are raw materials and purchased components that can be physically and directly associated with the finished product, as opposed to indirect materials that are necessary for the manufacturing process but do not make part of the finished product.
- Direct labour is used directly in the manufacturing process. Indirect labour is necessary to operate successfully but is not directly related to the manufacturing of specific products.
- Indirect manufacturing costs consist of costs that are indirectly associated with the manufacture of the finished product, including indirect materials, indirect labour, depreciation on factory buildings and machines, insurance, taxes and maintenance on factory facilities.
- When determining the carrying amount of inventory, manufacturing entities measure purchase costs, the costs of conversion and those other costs that are required to bring the inventories to their location and condition.
- Raw materials and purchased components are the basic goods used in production. **Raw materials inventory** is made up of goods that are not yet part of the WIP or finished goods inventories.
- **Work in progress (WIP)** covers items that are in the process of being made but are not yet complete.
- Costs associated with goods that are ready for sale but have not yet been sold are classified as **finished goods inventory**.
- The accounting challenges associated with manufacturing entities are most often associated with determining the cost of sales (statement of profit or loss and other comprehensive income), and the cost of inventory (statement of financial position).
- Manufacturers can use different methods to determine the cost of sales, including weighted average and first-in, first-out (FIFO) as well as the specific identification method and last-in, first-out (LIFO). (LIFO is not used per HKAS 2.)

## MIND MAP

**ACCOUNTING FOR MANUFACTURING OPERATIONS**

**FINANCIAL STATEMENTS FOR MANUFACTURING OPERATIONS**
- Statement of profit or loss and other comprehensive income
- Statement of financial position

**THE NATURE OF MANUFACTURING OPERATIONS**
- Overview of the manufacturing entity

**INTRODUCTION TO PRODUCT COSTS**
- Determining the cost of manufactured goods
- Costs of purchase versus conversion and other costs
- Indirect manufacturing costs
- Labour costs
- Material costs

## ▶ Answers to Knowledge Check Questions

### Question 1

(a) Paper purchased for card production is a raw material.

(b) Partially completed cards are work in progress in the inventory.

(c) Cards stored in a warehouse for retail sale are finished goods.

### Question 2

Answer A is incorrect. All selling expenses are excluded from inventory costing.

Answer B is incorrect. Abnormal materials wastage is excluded from inventory costing.

Answer C is correct. Import duties on manufacturing inputs are considered part of the cost of purchase. As such, they are included in the inventory.

Answer D is incorrect. Only storage costs related to the inventory would be included in the costs of the inventory.

### Question 3

Answer A is incorrect. The fixed costs of production management are not part of manufacturing costs. They are considered indirect costs because they are not used directly in manufacturing.

Answer B is incorrect. Marketing expenses for sale of finished goods do not form part of the conversion costs.

Answer C is correct because inspection expenses during the production process form part of the conversion costs.

Answer D is incorrect. Fixed costs of production management and marketing costs for the sale of finished goods are not included in conversion costs.

### Question 4

(a) Direct cost: Oak wood is a raw material used directly in the manufacturing process, so wood is a direct material.

(b) Direct cost: Worker payments are direct labour costs because the work performed is directly related to production.

(c) Indirect cost: Utility costs for the manufacturing facility are indirect costs that must be allocated to the furniture produced.

**Question 5**

(a) Direct costs = Direct materials + Direct labour = HK$78,000 + HK$28,000 = HK$106,000

(b) Indirect overhead costs

| | |
|---|---|
| Indirect materials | HK$4,000 |
| Indirect labour | HK$12,000 |
| Factory depreciation | HK$50,000 |
| Indirect overhead costs | HK$66,000 |

**Question 6**

(opening WIP HK$10,000) + (direct materials, direct labour and overhead HK$60,000) – (closing WIP HK$20,000) = cost of goods manufactured HK$50,000

**Question 7**

(opening finished goods balance HK$40,000) + (cost of goods manufactured HK$80,000) – (closing finished goods balance HK$15,000) = cost of sales HK$105,000

## EXAM PRACTICE

### QUESTION 1

A window manufacturer has an opening WIP balance of HK$30,000 on 1 May, and cost of goods manufactured of HK$50,000 for May. During May, the manufacturer places into production direct material, direct labour and overhead costs totalling HK$60,000. Calculate the closing WIP balance on 31 May using the cost of goods manufactured formula.

**A.** HK$40,000
**B.** HK$45,000
**C.** HK$50,000
**D.** HK$90,000

### QUESTION 2

Identify the main difference(s) between retailers and manufacturers in relation to inventory:

**A.** The way in which they acquire inventory that is then sold.
**B.** One buys inventory from manufacturers.
**C.** One makes inventory from raw materials and then sells it to others.
**D.** All of the above.

### QUESTION 3

Identify what information users of financial statements should be able to find in a manufacturer's financial statements and notes:

**A.** Just information about the cost of manufactured goods sold.
**B.** Costs stated in the financial statements, plus notes of direct materials, work in progress and finished goods.

**C.** Details of work in progress only.
**D.** Only notes that relate to the measurement basis used by the company for inventories in the financial statements.

### QUESTION 4

Identify which order of calculations must be taken in order for a manufacturer to compute the quantity of direct materials used during a reporting period:

**A.** Determine opening direct materials, add purchased direct materials and subtract direct materials left at the end of production.
**B.** Opening direct materials, add costs of goods manufactured and cost of sales.
**C.** Determine the cost of sales, add direct labour and subtract closing inventory at the end of the reporting period.
**D.** Calculate direct materials using weighted average cost.

### QUESTION 5

Identify the correct accounting treatment of the balance of cost left on overhead accounting after absorption by the good product output.

**A.** Charged to the cost of production.
**B.** Charged to the closing inventory.
**C.** Charged to the profit and loss account as a period cost under the cost of goods sold.
**D.** Charged to the profit and loss account as a period cost under administrative expenses.

### QUESTION 6

Identify which of the following are costs of goods manufactured:

**A.** Only direct materials and direct labour because those are the only costs that can be properly attributed.
**B.** Direct and indirect labour costs as well as direct and indirect material costs that are a part of the manufacturing process.
**C.** Only indirect and direct material costs.
**D.** Direct and indirect labour costs as well as direct materials costs.

### QUESTION 7

(a) Explain the purpose of a schedule of costs for manufactured goods.

(b)
- The opening inventory of direct materials for company X is HK$100,000.
- It purchases direct materials HK$200,000 for manufacture during the 20X9 reporting period.
- It uses direct materials HK$175,000 in production.

**Required**

Calculate the closing inventory of direct materials that will appear in the inventories note to the accounts.

### QUESTION 8

HKQP Limited manufactures air conditioners. For the fiscal year 20X8, they produced a total of 40,000 units.

The following accounting information is for the year ended 30 September 20X8.

| | HK$('000) |
|---|---|
| Sales | 207,000 |
| Raw materials on 1 October 20X7 | 46,000 |
| Raw materials on 30 September 20X8 | 3,800 |
| Purchase of materials | 32,800 |
| Direct wages | 86,000 |
| Factory expenses | 20,500 |
| Selling and distribution expenses | 9,200 |
| Work in progress on 1 October 20X7 | 13,000 |
| Work in progress on 30 September 20X8 | 7,000 |
| Finished goods on 1 October 20X7 | 5,000 |
| Finished goods on 30 September 20X8 | 24,000 |

**Required:**

Prepare the HKQP Limited Manufacturing Account and calculate the gross profit for the year ended 30 September 20X8.

### QUESTION 9

Chipie Company Limited imported IC chips from Britain, however the IC chips must be modified to meet Hong Kong specifications with the help of some equipment. The unadjusted trial balance at 31 December 20X8 is as follows:

| | Dr. HK$ ('000) | Cr. HK$ ('000) |
|---|---|---|
| Sales | | 12,000 |
| Purchases of raw materials | 4,500 | |
| Inventory on 1 January 20X8 | 3,000 | |
| Carriage inwards | 200 | |
| Carriage outwards | 300 | |
| Returns inwards | 600 | |
| Returns outwards | | 500 |
| Direct wages | 400 | |
| Motor vans, at cost | 10,000 | |
| Motor vans, accumulated depreciation as at 1 January 20X8 | | 2,000 |
| Equipment, at cost | 2,000 | |
| Equipment, accumulated depreciation as at 1 January 20X8 | | 400 |
| Selling expenses | 500 | |
| Share capital | | 9,000 |

| | Dr. HK$ ('000) | Cr. HK$ ('000) |
|---|---|---|
| Retained earnings | | 2,500 |
| Work in progress on 1 January 20X8 | 700 | |
| Raw materials on 1 January 20X8 | 380 | |
| Trade receivables | 1,200 | |
| Trade payables | | 1,400 |
| Cash at bank | 3,500 | |
| Utilities | 30 | |
| Indirect labour costs | 200 | |
| Salaries | 290 | |
| | 27,800 | 27,800 |

Additional information:

1. It is the company's policy to depreciate fixed assets at 10% per annum and increase the inventory held by 10% each year.
2. As at 31 December 20X8, raw materials is HK$100,000 and work in progress is HK$300,000.
3. Some overhead costs are apportioned as follows:

| | Manufacturing | Administration |
|---|---|---|
| Depreciation on equipment | 80% | 20% |
| Depreciation on motor van | 20% | 80% |
| Utilities | 70% | 30% |

**Required**

(a) Prepare the Manufacturing account and statement of comprehensive income for the year ended 31 December 20X8.

(b) Prepare the statement of financial position as at 31 December 20X8.

## ANSWERS TO EXAM PRACTICE

### QUESTION 1

Answer A is correct. The cost of goods manufactured in May is:

$$\text{(opening WIP HK\$30,000)} + \text{(direct materials, direct labour and overhead HK\$60,000)} \\ - \text{(closing WIP HK\$X)} = \text{cost of goods manufactured HK\$50,000}$$

Closing WIP = HK$40,000

### QUESTION 2

Answer A is incorrect because it is incomplete. It is also true that retailers buy inventory from manufacturers, and that manufacturers make inventory from raw materials and sell it to others.

Answer B is incorrect because it is incomplete. It is also true that manufacturers buy raw materials and make inventory to sell to others, and that manufacturers and retailers acquire inventory differently.

Answer C is incorrect because it is incomplete. It is also true that manufacturers and retailers acquire inventory differently, and that retailers buy inventory from manufacturers.

Answer D is correct. Answers A, B and C are all differences between retailers and manufacturers in relation to inventory.

### QUESTION 3

Answer A is incorrect because it is incomplete. Notes about direct materials, work in progress and finished goods are also shown in the manufacturer's financial statements.

Answer B is correct because costs stated in the financial statements, and notes of direct materials, work in progress and finished goods are reflected in the manufacturer's financial statements.

Answer C is incorrect because it is incomplete. Costs, notes of direct materials and finished goods are also shown in the manufacturer's financial statements.

Answer D is incorrect because it is incomplete. Notes about costs, direct materials, work in progress and finished goods are also shown in the manufacturer's financial statements.

### QUESTION 4

Answer A is correct. The correct order of calculations is: determine opening direct materials, add purchased direct materials and subtract direct materials left at the end of production.

Answer B is incorrect. Costs of goods manufactured and cost of sales are not part of the correct order of calculations for quantity of direct materials used.

Answer C is incorrect. Cost of sales, direct labour and closing inventory at the end of the reporting period do not apply to determine the quantity of direct materials used.

Answer D is incorrect. Weighted average cost is an inventory calculation, not a calculation of direct materials used.

### QUESTION 5

Answer A is incorrect. Cost of production is only charged with production overheads of goods production.

Answer B is incorrect. Closing inventory is only charged with its fair share of production overheads.

Answer C is correct. The debit (i.e. under-absorption) or credit (i.e. over-absorption) balance left in the manufacturing overheads account reflects the production efficiency of the manufacturing processes. A debit indicates and inefficient process, while a credit indicates an efficient one. This can be effectively shown in the profit and loss account or income summary (i.e. cost of goods sold).

Answer D is incorrect. It is not a period cost or administrative expense but should be highlighted as a production efficiency cost in the profit and loss account.

### QUESTION 6

Answer A is incorrect. Indirect materials and indirect labour should also be included.

Answer B is correct. Direct and indirect labour costs as well as direct and indirect material costs that are a part of the manufacturing process are costs of goods manufactured.

Answer C is incorrect. Indirect and direct labour costs should also be included.

Answer D is incorrect. All costs of manufacturing including indirect materials must be included.

### QUESTION 7

(a) The schedule of costs for manufactured goods enables the accountants within an enterprise to be able to calculate the carrying amount of direct materials, work in progress and finished goods ready for sale that must appear in the financial statements.

(b)

Opening inventory + Purchases – Closing inventory = Materials consumed
HK$100,000 + HK$200,000 – Closing inventory = HK$175,000,
Hence Closing inventory = HK$125,000

### QUESTION 8

**HKQP Limited**
**Manufacturing Account for the Year Ended 30 September 20X8**

| | HK$'000 | HK$'000 |
|---|---|---|
| Opening raw materials on 1 October 20X7 | 46,000 | |
| Add: Purchase of materials | 32,800 | |
| Raw materials available for use | 78,800 | |
| Less: Closing raw materials on 30 September 20X8 | (3,800) | |
| Cost of raw materials consumed | | 75,000 |
| Direct wages | | 86,000 |
| Prime cost | | 161,000 |
| Factory expenses | | 20,500 |
| | | 181,500 |
| Opening work in progress on 1 October 20X7 | 13,000 | |
| Less: Closing work in progress on 30 September 20X8 | (7,000) | 6,000 |
| Cost of goods manufactured | | 187,500 |
| | | |
| Sales | | 207,000 |
| Cost of sales: | | |
| Opening finished goods on 1 October 20X7 | 5,000 | |
| Add: Costs of goods manufactured (from above) | 187,500 | |
| Less: Closing finished goods on 30 September 20X8 | (24,000) | (168,500) |
| Gross profit | | 38,500 |

## QUESTION 9

(a)

| Chipie Company Limited<br>Manufacturing Account and Statement of Comprehensive Income<br>For the year ended 31 December 20X8 | | |
|---|---|---|
| | **HK$'000** | **HK$'000** |
| Raw materials | | |
| Opening inventory | | 380 |
| Purchases | | 4,500 |
| Carriage inwards | | 200 |
| Available for use | | 5,080 |
| Less: Closing inventory | | (100) |
| Raw materials consumed | | 4,980 |
| Direct wages | | 400 |
| Prime cost | | 5,380 |
| Factory overhead expenses: | | |
| Indirect labour costs | 200 | |
| Utilities (HK$30,000 x 70%) | 21 | |
| Depreciation on equipment (HK$2,000,000 x 10% x 80%) | 160 | |
| Depreciation on Motor van (HK$10,000,000 x 10% x 20%) | 200 | |
| | | 581 |
| | | 5,961 |
| Add: Work in progress on 1 January 20X8 | 700 | |
| Less: Work in progress on 31 December 20X8 | (300) | 400 |
| Costs of goods manufactured | | 6,361 |
| | | |
| Sales | 12,000 | |
| Less: Return inwards | (600) | |
| Net sales | | 11,400 |
| Less: Cost of sales | | |
| Opening inventory | 3,000 | |
| Costs of goods manufactured (from above) | 6,361 | |
| Less: Returns outwards | (500) | |
| Less: Closing inventory (HK$3,300,000 x 1.1) | (3,300) | (5,561) |
| Gross profit | | 5,839 |
| Less: Operating expenses | | |
| Utilities (HK$30,000 x 30%) | 9 | |
| Depreciation on equipment (HK$2,000,000 x 10% x 20%) | 40 | |
| Depreciation on motor van (HK$10,000,000 x 10% x 80%) | 800 | |

| Chipie Company Limited *(continued)*<br>Manufacturing Account and Statement of Comprehensive Income<br>For the year ended 31 December 20X8 | | |
|---|---|---|
| | **HK$'000** | **HK$'000** |
| Carriage outwards | 300 | |
| Selling expenses | 500 | |
| Salaries | 290 | |
| Total expenses | | (1,939) |
| Net profit | | 3,900 |

(b)

| Chipie Company Limited<br>Statement of Financial Position as at 31 December 20X8 | | |
|---|---|---|
| **Assets** | **HK$'000** | **HK'000** |
| **Non-current assets** | | |
| Equipment, at cost | 2,000 | |
| Less: Accumulated depreciation (HK$400,000 + HK$160,000 + HK$40,000) | (600) | |
| | | 1,400 |
| Motor van, at cost | 10,000 | |
| Less: Accumulated depreciation (HK$2,000,000 + HK$200,000 + HK$800,000) | (3,000) | |
| | | 7,000 |
| Total non-current assets | | 8,400 |
| **Current assets** | | |
| Inventory: | | |
| Raw materials | 100 | |
| Work in progress | 300 | |
| Finished goods | 3,300 | |
| Trade receivables | 1,200 | |
| Cash at bank | 3,500 | |
| Total current assets | | 8,400 |
| **Total assets** | | **16,800** |
| | | |
| **Equity** | | |
| Share capital | 9,000 | |
| Retained earnings (HK$2,500,000 + HK$3,900,000) | 6,400 | |
| Total equity | | 15,400 |
| **Liabilities** | | |
| Trade payables | | 1,400 |
| **Total equity and liabilities** | | **16,800** |

# 10

# Financial Statements of a Sole Trader

## CHAPTER TOPIC LIST

# LEARNING OUTCOMES

| PRINCIPAL LO4: PREPARE AND PRESENT FINANCIAL STATEMENTS FROM A TRIAL BALANCE OR INCOMPLETE RECORDS | |
|---|---|
| **LO4.02: Prepare financial statements for various common types of business entity** | |
| 4.02.01 | Prepare a statement of profit or loss and comprehensive income and a statement of financial position from a trial balance for a sole trader |

OPENING CASE

## GREAT STATIONERY LIMITED, PART 10

Before creating Great Stationery Limited ('Great Stationery'), the older of the two Wong brothers, Liu Wei, operated as a **sole trader** retailing costume jewellery sourced from China. He did not use a company structure or any other legal form. He was the sole proprietor and operator of the business.

Liu Wei's business had a bank loan for which he was the guarantor. The bank required him to produce financial statements when the loan was taken out and for each year thereafter. Liu Wei recognised that financial reports helped him assess how his business was performing. Apart from reporting to the bank, he needed financial information for tax purposes but he was under no other reporting obligations.

While operating as a sole trader, Liu Wei, with the bank's advice and the guidance of his accountant, generated a statement of profit or loss and other comprehensive income and a statement of financial position each year.

Later, the Wong brothers adopted the more formal structure of a limited company for Great Stationery to gain the benefits of limited liability and to facilitate access to finance for developing the business. The relative simplicity of being an unincorporated sole trader might no longer be appropriate, as relationships with external parties grew in importance and complexity.

## OVERVIEW

A sole trader, or sole proprietorship, is a business structure operated by a person. Sole traders are often small retailers or service providers (tradesmen, hairdressers, etc.). Typically, they are self-funded by the owner and have relatively few assets to offer as security for loans.

When they do borrow money, they do not have the protection of the limited liability available to corporations and so have both their personal and business assets at risk. Lenders will seek security in whichever way possible. If needed, they will have recourse to seizing any personal assets available.

A critical concept that sole traders need to comprehend and adhere to is that their business and their personal affairs need to be accounted for separately. For example, taxation authorities will allow deductions for business-related expenses, but will not provide deductions for personal living expenses. Expressed differently, sole traders need to know how their businesses and their private affairs are going – and to manage each separately and accordingly.

Sole traders face very few reporting requirements when compared with limited or listed companies. Even so, they still face the need to maintain records for taxation purposes. Additionally, they may be required by lenders to provide financial information to secure financing.

Lenders and taxation authorities often need and demand information produced in accordance with accounting standards (e.g. revenue for a period, the amounts of depreciable assets):

- To some degree, sole traders will voluntarily adopt the requirements of such standards, so the information produced will be meaningful to their dealings with those parties.
- In some cases, those parties will demand the information they require which may or may not be even more detailed than that required by accounting standards.

Sole traders may also need to have an eye to the future if they can see their businesses needing to transition to other forms such as a partnership, joint arrangement or company. If such a transition is a possibility, it is best to have financial reporting organised so the changed structure can be facilitated.

Sole traders usually do not have an auditor, but if they develop, they may well need an audit. Auditors express their opinion on financial statements in the context of an applicable accounting framework. Sole traders may need to anticipate that context.

This chapter starts out by exploring the nature and characteristics of sole trader businesses operating in Hong Kong, and the typical accounting issues that such businesses face.

The chapter also explores the two main types of statements that sole traders produce:

- The first is the statement of profit or loss and other comprehensive income.
- The second is the statement of financial position.

These are commonly referred to as the income statement and balance sheet. Both statements are supported by a number of accounts that track business activities such as sales, purchases, cost of goods sold, expenses, assets and liabilities.

## 10.1 ACCOUNTING FOR THE OPERATIONS OF A SOLE TRADER

As indicated above, sole proprietorship does not protect the personal assets of its owner from risks incurred through their business affairs. A personal liability can jeopardise the wealth of a business.

Sole traders are not incorporated and are not independent of their owners. Typically they are self-funded from savings or have limited external finance (e.g. from family, lenders and trade creditors). The sole trader typically runs the business on his or her own, keeps all the profits and is responsible for all the losses.

### 10.1.1 Overview of the Nature and Characteristics of a Sole Trader

Compared with other types of business structures, sole traders typically can be started with relatively little money (equity/capital). The owner directly receives any profits, suffers any losses and is personally liable for all debts of the business. This exposure is referred to as **unlimited liability**. There is no legal distinction between the business and the sole trader.

As an economic unit, the business and the owner are the same. However, a person who owns a sole proprietorship is likely to have personal financial dealings that are separate from the business. The accounting records of the business activities should be kept separate from the personal records and activities of the owner. For example:

- If a sole trader purchased a plane ticket to attend a business conference, the transaction would be included in the business financial records.
- By contrast, if the same person bought a plane ticket for a personal vacation, the transaction would not appear in the business financial records.

Sole traders enjoy a number of benefits:

- Sole proprietorships are easy to set up and can make business decisions less complex for an owner. This type of structure is efficient because only one person – the owner – needs to be involved in decision making.
- Another benefit is that owners do not have to share profits with anyone. Sole traders are usually directly involved in nearly every aspect of their business, and there typically is no separation of ownership and management.
- They can have very little external accountability because their relationships are usually quite straightforward and tend to be mainly with suppliers and customers.

There are also disadvantages to the sole proprietorship:

- Sole traders often have a difficult time raising funds to operate the business, especially where they cannot offer security for borrowings.
- Additionally, the workload can be heavy and involve working long hours for relatively uneconomic returns.
- Perhaps the biggest downside to this type of business structure is that the owner faces unlimited personal liability. As the sole source of working capital, owners are directly impacted by business losses or illiquidity.

### 10.1.2 Unique Accounting Treatments of a Sole Trader

The life of a sole proprietorship may be unlimited in business terms, but the consequences of the business may only be limited to the life of the owner. This is because there is no legal distinction between the owner and the business. Therefore, it is not possible for an owner to transfer ownership of the sole trader business using a will.

The main objective of financial reporting is to provide useful information to internal and external stakeholders. Sole traders do not have investors or shareholders, but they can have clients, lenders, suppliers and the tax authority. For example:

- A bank might require access to a sole trader's financial reports when deciding whether to issue a loan and the life of the loan.
- Any prospective lenders need information about the sole trader's ability to earn a profit and generate cash.
- The taxable income of the sole trader's business will be reported in the owner's individual tax return, albeit separately from other income that the sole trader may have from outside the business (e.g. trading income on a personal securities account).

Consequently, financial statements must provide information about the following:

- The sole trader's profitability.
- The sole trader's economic resources. These include the assets that the owner can use for business purposes if needed.

- Debts owed by the sole trader's business.
- Whether the business brings in enough cash to cover debts when they fall due.

Assets, liabilities, equity, income, expenses and cash flows are the elements of all reporting entities, and their recognition and measurement largely follow the same accounting procedures regardless of a business organisation type. However, the business type can lead to certain differences in accounting.

The main distinctions in accounting for sole traders are due to common practice or terminology rather than fundamentally different economic features. They result from the lack of formal regulations that face, say, corporations required by law to comply with accounting standards. The main points to note are:

- Terminology can vary.
- The financial statements required by accounting standards can be varied in title and in content.
- Owners will commonly have transactions with the business via equity injections and **drawings**. The owner may also be a guarantor of the business debts.

In a sole trader it is common for the owner to inject or withdraw funds. It is imperative that the nature of those dealings is identified and documented. The sole trader may inject equity into the business but not receive formal documentation (such as a share).

It is also important to emphasise that keeping good accounting records that distinguish between drawings of capital and other business-related activities is critical for the purposes of the payment of taxes. Accurate records will ensure that the tax authorities have sufficient information.

## Apply and Analyse 1

***Apply***

Liu Wei has set up a meeting with his accountant because he is uncertain how to handle certain business situations:

- First, he often uses his car to drive to trade shows and meetings with wholesalers.
- Second, his business is growing and he would like to purchase some new assets to meet the increased demand. These include display shelving to better show his jewellery to customers, new cash registers and a modern computer that can run the most recent version of his inventory software.

## Apply and Analyse 1 *(continued)*

Liu Wei has not decided if it would be better for him to inject capital into the business:

- First, consider the vehicle use: what are some of the issues that he would need to consider if he uses a private vehicle in his business activities?
- Then, think about how to purchase the new assets: how would he separate those funds from the money he pays himself from the business?

***Analysis***

The key information is whether the vehicle is being used for business activities or as a private asset of Liu Wei. In the latter case, the car is a personal vehicle that Liu Wei mostly uses privately for non-business transportation. However, he also uses it for business purposes. How can he separate the business use – and the costs associated with it – from his personal and leisure use?

The accountant helps him to establish a policy that enables him to invoice the business for the limited use of the vehicle for business purposes. He keeps track of this using a log book to record business trips. The trips are then charged at an established rate per kilometre to the business, and the vehicle itself is treated as a private asset.

This process enables the operations of the business to be reported separately from Liu Wei's private affairs.

The transactions of owners must also be separated accordingly. As indicated above, the sole trader will usually not hold a financial instrument such as a share. What does this mean for the accounting equation?

Remember that:

$$\text{Equity} = \text{Assets} - \text{Liabilities}$$

Suppose Liu Wei decides that he wants to inject capital into his business. Under this arrangement, he will not earn interest and he does not expect to withdraw the money. He plans to invest it in the display shelves, cash registers and a computer that can run new and improved inventory software. Once Liu Wei invests capital, he will have *equity* in the business. That equity will equal the residual interest in the net assets.

Exhibit 10.1 shows you the terminology you will commonly see for sole traders.

| General Accounting Concept | Sole Traders Term |
|---|---|
| The name of the statement is: | statement of owner's equity |
| The equity section is called: | owner's equity |
| Investments added by the owner are added to: | owner's capital |
| Profits are added to: | owner's capital |
| Withdrawals are deducted from: | owner's capital |

**EXHIBIT 10.1 Accounting terminology for sole traders**

## Key Learning Point

For accounting purposes, the records of the sole trader's business activities need to be kept separate from the personal records and activities of the owner, or else the financial position and performance of the business will not be able to be measured meaningfully.

This can have implications for the sole trader when dealing with external lenders and taxation authorities, which will make it difficult for the sole trader to assess his business. It may also make it difficult to transition to more developed structures such as corporate ones.

## Knowledge Check Questions

**Question 1**

Identify which of the following is a distinctive feature of a sole trader:

**A** The sole trader is able to issue shares.
**B** The sole trader is a form of partnership.
**C** The sole trader cannot take drawings.
**D** The sole trader has unlimited liability.

**Question 2**

Identify the term that is sometimes used to describe a sole trader's ownership interest:

**A** Shares
**B** Partnership distributions
**C** Owner's equity
**D** Dividends

**Knowledge Check Questions *(continued)***

**Question 3**

Explain why owner transactions must be accounted for separately from other business activities:

**A** The sole trader needs to pay an accurate amount of tax.

**B** The sole trader needs to know how much is being spent on business activities.

**C** The sole trader needs to understand the total revenue that is coming in to the business.

**D** All of the above.

**Question 4**

Explain why sole traders cannot call their businesses *limited companies*.

## 10.2 STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR A SOLE TRADER

In Hong Kong, sole traders are not required to prepare audited accounts. However, they are required to maintain records of income, expenses and assessable profits. These records are used for tax purposes, and may be used when raising loans from lenders such as a bank.

Sole traders will need to keep several types of records including:

- Sales records such as cash register tapes, receipt books, invoices issued, day-to-day records of money received and credit notes for returned goods.
- Purchase and expense records like cheque stubs, supplier invoices received, petty cash vouchers and records of sums spent.
- Cash received and expended.
- Bank account records.
- Salaries and wages of any staff.
- Records of assets such as sales and purchase contracts, costs of improvements, statements and invoices and receipts for various expenses.
- Statements of inventories held and any debtors and creditors.

The statement of profit or loss and other comprehensive income is one of two main statements that sole traders should prepare if financial performance is to be measured.

As with similar statements for other types of business, the statement should include the company name and document the type of financial statement issued and the accounting period it refers to (usually a financial year).

## Illustrative Example 1

The following is the adjusted trial balance of Si Chan, who runs a small-scale property agency company, as at 31 December 20X8.

| | Debit (HK$) | Credit (HK$) |
|---|---|---|
| Cash | 30,500 | |
| Trade receivables | 4,000 | |
| Prepaid insurance | 8,300 | |
| Supplies | 800 | |
| Equipment | 2,172,000 | |
| Accumulated depreciation – Equipment | | 291,000 |
| Wages payable | | 8,800 |
| Interest payable | | 36,000 |
| Deferred rent | | 4,600 |
| Long-term bank loan | | 1,500,000 |
| Si Chan, Owner's capital | | 403,400 |
| Si Chan, Drawings | 210,000 | |
| Commission revenue | | 575,000 |
| Wages expense | 250,000 | |
| Utilities expense | 19,000 | |
| Insurance expense | 32,000 | |
| Supplies expense | 2,500 | |
| Depreciation expense – Equipment | 59,700 | |
| Interest expense | 30,000 | |
| Totals | 2,818,800 | 2,818,800 |

What appears below is the statement of profit or loss that is derived from the information above.

| **Si Chan**<br>**Statement of Profit or Loss and Other Comprehensive Income**<br>**Year ended 31 December 20X8** | | |
|---|---|---|
| | **HK$** | **HK$** |
| Revenues | | |
| Commission revenue | | 575,000 |
| Expenses | | |
| Wages expense | 250,000 | |
| Utilities expense | 19,000 | |

**Illustrative Example 1 *(continued)***

| | | |
|---|---|---|
| **Si Chan**<br>**Statement of Profit or Loss and Other Comprehensive Income**<br>**Year ended 31 December 20X8 *(continued)*** | | |
| Insurance expense | 32,000 | |
| Supplies expense | 2,500 | |
| Depreciation expense – Equipment | 59,700 | |
| Interest expense | 30,000 | |
| Total expenses | | (393,200) |
| Profit for the year | | 181,800 |

You will notice that there is not much that is different from an accounting perspective when you account for revenue and expenses in the case of a sole trader. There are, however, differences related to owner's equity that will be discussed later in the chapter.

**Key Learning Point**

The statement of profit or loss and other comprehensive income is one of two main statements that sole traders should prepare.

**▶ Knowledge Check Questions**

**Question 5**

Explain why a sole trader's trial balance does not include a line item referring to distributions to shareholders.

**Question 6**

Describe how irregular profit or loss items, such as discontinued operation, are presented in the statement of profit or loss and other comprehensive incomes.

# 10.3 STATEMENT OF FINANCIAL POSITION FOR A SOLE TRADER

There are also changes to equity that occur in the case of sole traders that are reported somewhat differently than they are in other cases. The statement below records the changes in equity that include the drawings by owner from the business.

Bear in mind that some sole traders may also draw assets from the business for personal purposes. These drawings of assets also need to be accounted for by the sole trader in a similar fashion.

You will notice that the illustration refers to drawings from equity, which could equally be made up of a withdrawal of funds as well as assets from the business.

| **Si Chan<br>Statement of Owner's Equity<br>Year ended 31 December 20X8** | | |
|---|---|---|
| | **HK$** | **HK$** |
| Si Chan, Capital, 1 January 20X8 | | 303,400 |
| Add: Owner's investments | 100,000 | |
| Profit for the year | 181,800 | 281,800 |
| | | 585,200 |
| Less: Drawings by owner | | (210,000) |
| Si Chan, Capital, 31 December 20X8 | | 375,200 |

The statement of financial position for a sole trader is prepared using asset and liability information, as well as data on **owner's equity**. The heading of the statement of financial position must identify the company, statement and date. To indicate that the statement of financial position is at a specific point in time, the date only mentions the point in time as opposed to a time period.

Total assets must equal total liabilities and owner's equity. In other words, the statement of financial position must balance and follow the basic accounting equation:

Assets = Liabilities + Owner's Equity

In a sole trader business, equity is summarised and reported as one line item on the statement of financial position called 'capital' and prefaced by the owner's name.

### Illustrative Example 2

The statement of financial position that follows is similar to one you might see in other instances but there is an important difference. As Si Chan is a sole trader, the equity section represents the ownership of one individual rather than a partnership, a limited company or a club or society.

## Illustrative Example 2 *(continued)*

**Si Chan**
**Statement of Financial Position**
**As at 31 December 20X8**

| | HK$ | HK$ |
|---|---|---|
| **Non-current assets** | | |
| Equipment | 2,172,000 | |
| Less: Accumulated depreciation – Equipment | (291,000) | 1,881,000 |
| | | |
| **Current assets** | | |
| Trade receivables | | 4,000 |
| Prepaid insurance | | 8,300 |
| Supplies | | 800 |
| Cash | | 30,500 |
| Total assets | | 1,924,600 |
| | | |
| **Equity** | | |
| Si Chan, Capital | | 375,200 |
| | | |
| **Non-current liabilities** | | |
| Long-term bank loan | | 1,500,000 |
| | | |
| **Current liabilities** | | |
| Wages payable | | 8,800 |
| Interest payable | | 36,000 |
| Deferred rent | | 4,600 |
| Total liabilities | | 1,549,400 |
| Total liabilities and equity | | 1,924,600 |

### Key Learning Point

The statement of financial position for a sole trader is prepared from assets and liabilities information as well as data on owner's equity.

## ▶ Knowledge Check Questions

**Question 7**

Identify which of the following is equal to a sole trader's equity at any particular date:

**A** The sum of his non-current assets plus his current assets at that date.

**B** The total of his non-current assets at that date.

**C** The total of his net assets at that date plus the total amount of capital he has introduced.

**D** The total of his net assets at that date.

**Question 8**

Suppose a sole trader's capital at the beginning of a year was HK$100,000, and his net profit for the year was HK$20,000. Compute his capital at the end of the year:

**A** Cannot be determined from the information given

**B** HK$80,000

**C** HK$100,000

**D** HK$120,000

## SUMMARY

- A sole trader or sole proprietorship is a type of business structure held and operated by an individual.
- Only a relatively small amount of money (initial equity [capital]) may be needed to start business as a sole trader.
- A sole proprietorship does not protect the personal assets of its owner from the claims of external parties.
- The sole trader typically runs the business on his or her own and keeps all the profits, but is also responsible for all the losses.
- Sole traders have fewer reporting requirements than those of a partnership or a limited company.
- Sole traders need to keep adequate books and records, such as sales records, purchase and expense records, bank account records, cash received and expended, records of assets and inventories.
- The accounting records for sole traders must be prepared in a manner that ensures that transactions related to equity and other business activities are clear. This separation must be maintained so that the sole trader fully understands his initial investment in the entity.
- The statement of profit or loss and other comprehensive income is one of two main statements that sole traders should prepare.
- The owner may withdraw cash or other assets for personal use. In a sole trader structure, these withdrawals could be recorded in the owner's capital account.
- Owner's equity in a sole proprietorship operates in a manner that is similar to other types of business. Owner's equity = owner's investments – drawings + revenues from business operations – expenses.
- The statement of financial position for a sole trader is prepared from assets and liabilities information (month- or year-end data) as well as data on owner's equity.
- Assets are present economic resources controlled by the sole trader as a result of past events.
- Liabilities are present obligations of a business to transfer an economic resource as a result of past events. Like other types of businesses, sole traders have both non-current and current liabilities.

## MIND MAP

**FINANCIAL STATEMENTS OF SOLE TRADER**

**OVERVIEW OF THE NATURE AND CHARACTERISTICS OF A SOLE TRADER**

Unlimited liability
Simple to establish
Difficult fundraising
Unique accounting treatments of a sole trader
- Separate business and non-business activities for purposes of taxation
- Drawings
- Audited accounts not required

**STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR A SOLE TRADER**

Measures financial performance
Typically prepared each financial year

**STATEMENT OF FINANCIAL POSITION FOR A SOLE TRADER**

Changes in equity include drawings
Owner's salary accounted as an expense

### Answers to Knowledge Check Questions

**Question 1**

Answer A is incorrect because only incorporated entities can issue shares.

Answer B is incorrect. Partnerships must have more than one owner.

Answer C is incorrect because sole traders can take drawings from the business.

Answer D is correct because the sole trader has unlimited liability. This means there is no legal distinction between the business and the sole trader. As such, the sole trader is personally responsible for all business losses.

**Question 2**

Answer A is incorrect because shares represent the owner's interests in a corporation.

Answer B is incorrect because partnership distributions do not apply to sole traders.

Answer C is correct. A sole trader's ownership interest is referred to as owner's equity.

Answer D is incorrect because dividends represent a distribution of profits, not of ownership interest.

**Question 3**

Answer A is incorrect because it is incomplete. Payment of taxes for the business and the individual is only one reason why owner transactions must be handled separately in accounting.

Answer B is incorrect because it is incomplete. Separating owner transactions from other business activities makes it possible to measure a return on investment.

Answer C is incorrect because it is incomplete. Separating owner's transactions makes it possible to determine revenue as a separate element.

Answer D is correct because all of the above are reasons why owner's transactions must be accounted for separately from other business activities.

**Question 4**

- Under accounting procedures, a limited company is an artificial person and must be registered under relevant laws. A limited company has a distinct legal status and limited liability.
- A sole trader is not separate from the owner, so it is not possible to create an additional entity to describe this business organisation.

**Question 5**

- A sole trader can draw funds from the business. A sole trader business is often indistinguishable from the sole trader as an individual.
- Additionally, there are no shareholders (other than the sole trader) in this type of business entity.

For these reasons, there is no separate line item referring to distributions. Owner's drawings are listed instead.

**Question 6**

Irregular profit or loss items are each shown in a separate section of the statement of profit or loss and other comprehensive incomes, which appear after the profit or loss from ordinary and continuing operations. These are considered to be special items and are presented net of any related income tax effects.

**Question 7**

Answer A is incorrect because liabilities are an important part of determining equity.

Answer B is incorrect because it does not account for current assets and liabilities, both of which impact owner's equity.

Answer C is incorrect because it is incorrect to add net assets to capital.

Answer D is correct. For a sole trader, owner's equity equals the total net assets.

**Question 8**

Answer A is correct. There is insufficient information supplied to make a judgement about year-end capital. There could have been other changes in equity in addition to the profit for the year. This could include drawings and other less common transactions.

Answer B is incorrect. It would not be correct to subtract net profits from capital. A net profit would often increase the capital. It is possible that additional equity-related transactions could result in this, but such information is not provided.

Answer C is incorrect. It's possible that a net profit would reflect an increase in capital, but other equity-related transactions could change this. Such information is not provided.

Answer D is incorrect. It's possible that a net profit would increase capital, but other equity-related transactions could change this. Such information is not provided.

## EXAM PRACTICE

### QUESTION 1

Consider the facts presented below in relation to a sole trader:

| | HK$ |
|---|---|
| Total assets on 1 June | 2,300 |
| Total liabilities on 1 June | 2,500 |
| Net profit earned during June | 1,000 |
| Drawings during June | 700 |
| Capital introduced during June | 5,000 |

Calculate the sole trader's capital at the end of June:

**A.** HK$5,100
**B.** HK$5,300
**C.** HK$5,500
**D.** HK$5,600

### QUESTION 2

Wing Lee is a sole trader who makes and repairs custom shoes. He closes his accounts once per calendar year (i.e. 31 December) and adjusts them at the end of every month. He tracks his shoe-repair revenue in the Repair Revenue account. The ending balances in the Repair Revenue and Cash accounts in February and March 20X0 appear below:

| Account | 29 February 20X0 | 31 March 20X0 |
|---|---|---|
| Cash | HK$15,500 | HK$32,280 |
| Repair Revenue | HK$11,225 | HK$19,600 |

Wing Lee prepares separate financial statements every month to show the monthly operating results. Identify what the statement of profit or loss and other comprehensive income and statement of financial position should record for Repair Revenue and Cash for the month ended 31 March 20X0.

**A.** Repair Revenue of HK$19,600; Cash, HK$32,280.
**B.** Repair Revenue of HK$19,600; Cash, HK$16,780.
**C.** Repair Revenue of HK$8,375; Cash, HK$32,280.
**D.** Repair Revenue of HK$8,375; Cash, HK$16,780.

### QUESTION 3

Suppose that in the accounts of a sole trader, HK$2,500 was debited to the purchases account instead of being debited to the drawings account. Explain how that error would impact the financial statements:

**A.** Gross profit would be overstated.
**B.** Expenses would be understated.
**C.** Net profit would be understated.
**D.** Capital would be understated.

## QUESTION 4

Mindy Lee, runs a cake shop and produced the following accounting records as at 31 December 20X9:

- Cash sales during the year HK$1,711,200.
- Credit sales during the year HK$460,800.
- Salary paid to a shop clerk HK$180,000.
- Total purchases during the year are HK$1,512,000, of which HK$345,600 are still outstanding.
- She rented a shop for HK$30,000 per month. Two months' rent had not yet been paid by Mindy Lee.
- She rented out a part of her retail space for HK$10,000 per month.
- Delivery expenses for transporting cakes between the shop and the customers are HK$39,000 per year.
- Due to its perishable nature, Lee purchases baking materials (i.e. eggs, butter, milk) based on demand and therefore has no opening or closing inventory.
- Other shop expenses stand at HK$122,200.

**Required**

Using the above information, prepare the statement of profit or loss and other comprehensive income for the year ended 31 December 20X9.

## QUESTION 5

Edward Chou's Landscape Design provides the following accounting information as at 30 June 20X9.

| Accounting items | HK$ |
|---|---|
| Equipment | 1,990,060 |
| Accumulated depreciation on equipment | 868,000 |
| Studio furniture and fittings | 1,008,000 |
| Accumulated depreciation on furniture and fittings | 402,060 |
| Computers | 330,200 |
| Accumulated depreciation on computers | 155,200 |
| Bank loan | 360,000 |
| Capital as at 1 July 20X8 | 2,440,000 |
| Drawings during the year | 140,000 |
| Inventory | 996,000 |
| Bank overdraft | 18,000 |
| Trade receivables | 96,000 |
| Cash at bank | 25,320 |
| Other payables | 14,000 |

| Accounting items | HK$ |
|---|---|
| Profit for the year | 170,200 |
| Tax payable | 28,200 |
| Trade payables | 130,800 |
| Studio rent outstanding | 18,160 |
| Prepaid insurance | 5,100 |
| Investment with finance company | 13,940 |

**Required**

Prepare a Statement of Financial Position for Edward Chou's Landscape Design as at 30 June 20X9.

## ANSWERS TO EXAM PRACTICE

### QUESTION 1

Answer A is correct. HK$5,100.

**Calculation**

Total Assets – Total Liabilities + June Net Profit – June Drawings + June Capital = Total Capital on 30 June

HK$2,300 – HK$2,500 + HK$1,000 – HK$700 + HK$5,000 = HK$5,100

### QUESTION 2

Answer A is incorrect. It mistakenly uses the total repair revenue instead of separating the revenue attributed to the month of March: HK$19,600 – HK$11,225 = HK$8,375. This is the figure that would appear on the monthly statement of profit or loss and other comprehensive income. The cash amount is correct.

Answer B is incorrect. It mistakenly uses the total repair revenue instead of separating the revenue attributed to the month of March: HK$19,600 – HK$11,225 = HK$8,375. It also mistakenly subtracts the February cash balance from the March cash balance. The statement of financial position would show the full cash balance at the end of the month of March.

Answer C is correct. The Repair Revenue Account increased by HK$8,375 (i.e. HK$19,600 – HK$11,225) in the month of March; this is shown in the statement of profit or loss and other comprehensive income. The cash balance is HK$32,280; this is shown in the statement of financial position.

Answer D is incorrect. It is correct that the Repair Revenue Account increased by HK$8,375. However, it also mistakenly subtracts the February cash balance from the March cash balance. The statement of financial position should show the full cash balance at the end of the month of March.

## QUESTION 3

Answer A is incorrect because gross profit would be understated.

Answer B is incorrect because the total expenses would be overstated.

Answer C is correct. Net profit would be understated because the higher purchases number would reduce profit.

Answer D is incorrect because capital would remain unchanged.

## QUESTION 4

**Mindy Lee Cake Shop**
**Statement of Profit or Loss and Other Comprehensive Income**
**For the year ended 31 December 20X9**

| | HK$ | HK$ |
|---|---|---|
| Sales: | | |
| Cash sales | 1,711,200 | |
| Credit sales | 460,800 | |
| Total sales | | 2,172,000 |
| Less: Cost of sales | | (1,512,000) |
| Gross profit | | 660,000 |
| Add: Other income – rent (HK$10,000 × 12) | | 120,000 |
| | | 780,000 |
| Less: Expenses | | |
| Salary | 180,000 | |
| Rental of shop (HK$30,000 × 12) | 360,000 | |
| Travelling | 39,000 | |
| Other shop expenses | 122,200 | |
| Total expenses | | (701,200) |
| Profit for the year | | 78,800 |

## QUESTION 5

**Edward Chou's Landscape Design**
**Statement of Financial Position**
**As at 30 June 20X9**

| | HK$ | HK$ |
|---|---|---|
| **Non-current assets** | | |
| Equipment (HK$1,990,060 – HK$868,000) | 1,122,060 | |
| Studio furniture and fittings (HK$1,008,000 – HK$402,060) | 605,940 | |
| Computers (HK$330,200 – HK$155,200) | 175,000 | 1,903,000 |
| Investment with finance company | | 13,940 |

| Edward Chou's Landscape Design<br>Statement of Financial Position<br>As at 30 June 20X9 *(continued)* | | |
|---|---|---|
| | **HK$** | **HK$** |
| **Current assets** | | |
| Inventories | 996,000 | |
| Trade receivables | 96,000 | |
| Prepaid insurance | 5,100 | |
| Cash | 25, 320 | 1,122,420 |
| **Total assets** | | 3,039,360 |
| | | |
| **Equity** | | |
| Edward Chou, Capital as at 1 July 20X8 | | 2,440,000 |
| Add: Profit for the year | | 170,200 |
| Less: Drawings | | (140,000) |
| **Edward Chou, Capital as at 30 June 20X9** | | 2,470,200 |
| | | |
| **Non-current liabilities** | | |
| Bank loan | | 360,000 |
| | | |
| **Current liabilities** | | |
| Bank overdraft | 18,000 | |
| Trade payables | 130,800 | |
| Other payables | 14,000 | |
| Tax payable | 28,200 | |
| Outstanding shop rent | 18,160 | 209,160 |
| **Total liabilities** | | 569,160 |
| **Total equity and liabilities** | | 3,039,360 |

# 11

# Financial Statements of a Partnership

## CHAPTER TOPIC LIST

# LEARNING OUTCOMES

| PRINCIPAL LO4: PREPARE AND PRESENT FINANCIAL STATEMENTS FROM A TRIAL BALANCE OR INCOMPLETE RECORDS |
| --- |
| **LO4.02: Prepare financial statements for various common types of business entity** |
| **4.02.03** Prepare a statement of profit or loss and comprehensive income, an appropriation account and a statement of financial position for a partnership |

## OPENING CASE

# THE CNRL PARTNERSHIP

Clement, Nicholas and Rose have for some time been thinking about how to establish a particular medical products business together, and they each have some assets and expertise to devote to the business. Their respective strengths cover the administration, finance and manufacturing areas necessary for the business. However, they lack high-level scientific expertise related to the design of the medical products that they are keen to produce.

After some searching, Clement, Nicholas and Rose are introduced to Li Jing. She has exactly the expertise needed, and she is keen to work with them on the ideas they have. But she has no funds to inject as capital into the new venture.

Nevertheless, Clement, Nicholas, Rose and Li Jing decide to form a general partnership (CNRL) to establish their business.

## OVERVIEW

**Partnership** is a common form of business organisation. This structure is most commonly used by professionals such as doctors, lawyers and accountants. Partnerships can also be observed in small retail, service and manufacturing businesses.

Whilst partners will have accountability to each other, to lenders and taxation authorities, generally they will not be as regulated as limited companies and will not necessarily fall under accounting standards. Nevertheless, this chapter is written against the background of HKICPA accounting standards and best practices for partnership accounting.

Though the terminology used in relation to partnerships differs from other types of entities, you will find that the basic accounting equation introduced in earlier chapters continues to apply:

$$\text{Equity (E)} = \text{Assets (A)} - \text{Liabilities (L)}$$

$$\text{Profit or loss} = \text{Income (revenue and gains)} - \text{Expenses (including losses)}$$

Broadly, the issues that arise in accounting for partnerships are like those that arise from sole proprietorships, except for the fact that there are multiple 'owners' (partners) and that these partners share profits or losses.

It should be noted that throughout the chapter, for simplicity of explanation, it will be assumed in examples that the partners have elected to be taxed personally rather than have the partnership pay tax:

- A partnership is assessed for tax in Hong Kong with a single tax assessment issued to the partnership.
- If the partners elect to have their tax assessed at a personal level, then the allocation of profits or losses will have to be made, so that the partners' shares of the profits or losses will be transferred to their personal assessments.

## 11.1 ACCOUNTING FRAMEWORK FOR A PARTNERSHIP

The day-to-day accounting by a partnership for transactions and events is often the same as for other entities:

- Capital and debt finance will be used to fund the acquisition of assets.

- Those assets will be used in the operations of the partnership, and debts will be repaid along with interest thereon.
- Revenues will be generated and expenses incurred. Gains and losses may arise.
- And periodically, the partnership will determine the amount of any profit or loss and its financial position.

None of this differs from the transactions and events accounted for by other entities. There are, however, two aspects of partnership accounting that are distinguishing:

- Firstly, some of the terminology traditionally used in partnerships will appear to be different from that of other entities.
- Secondly, as partnerships will involve multiple owners with potentially different levels of involvement with the partnership, accounting for 'transactions with owners' will usually take on more prominence than for, say, limited companies.

**(i) Terminology**

In this chapter, we will use the following terms:

- 'Capital (or Partners' Capital)' means the residual interest of the partners in the net assets of the entity. This term is used instead of equity.
- '**Drawings**' are cash withdrawals by the partners from the partnership, which may be interim advances of their anticipated share of profits of the partnership.
- 'Loans from Partners' means a liability of the partnership to partners.
- 'Current account' means the account in which the partners' shares of profits or losses are maintained until settled.

The account used to allocate profits or losses to partners is called the **appropriation account**. When combined with other movements in partnership capital, it serves a similar purpose to the statement of change in shareholders' equity in a company.

The making of profits by the partnership increases partners' capital (accumulated profits). The distribution of those profits then reduces that capital.

**(ii) Transactions with Partners**

This chapter follows a framework that covers:

(a) transactions with partners **as owners**, at formation and subsequently; and

(b) transactions with partners in their **other capacities** (e.g. as employees, lenders, debtors).

## 11.1.1 Overview of the Nature and Characteristics of a Partnership

The law relating to partnerships in Hong Kong is set down in the Partnerships Ordinance (Cap 38) and in the Limited Partnerships Ordinance (Cap 37). This chapter does not attempt to cover the law of partnerships, but does draw out the features of the law that impact the accounting for partnerships.

A partnership is defined in the Cap 38 Partnerships Ordinance as the relation between persons carrying on business in common with a view to profit. Cap 38 sets down requirements which apply to:

- all partnerships, such as the collective exposure of partners for the debts of the partnership;
- in the absence of variation in the **partnership agreement**. An example is that the Ordinance provides for equal sharing of profits and losses, unless the partnership agreement provides otherwise.

Typically, a partnership agreement sets forth such terms as initial investment, duties of each partner, division of profits or losses, and arrangements upon death or withdrawal of a partner. If it does not, the Partnerships Ordinance will apply. Partnership agreements, advisedly, should be in writing, but, like contracts, can also be oral in part or in whole.

A partnership also involves the concept of **mutual agency**. The Partnerships Ordinance states that:

- 'Every partner is an agent of the firm and (the) other partners for the purpose of the business of the partnership.
- The acts of every partner who does any act for carrying on in the usual way business of the kind carried on by the firm of which he (she) is a member, bind the firm and his (her) partners, unless the partner so acting has in fact no authority to act for the firm in the particular matter, and the person with whom he (she) is dealing either knows that he (she) has no authority or does not know or believe him (her) to be a partner'.

The distinction between general and limited partners is important for partners:

- In a general partnership, all partners are **general partners** and are jointly and severally liable for the debts of the partnership.
- In a limited partnership, there will be **both general and limited partners**. The general partners have the same position as partners in a general partnership, but the limited partners are liable only for the capital they have contributed to the business. Limited partners do not manage the business. If they do, they can be deemed to be general partners and lose the limitation on their liability.

If the partnership wishes to have **limited partners**, it needs to register with the Registrar of Companies. The relationship can then be described as a limited partnership under the Limited Partnerships Ordinance (Cap 37). Otherwise it is a general partnership.

#### 11.1.1.1 Contributing to Partners' Capital

Traditionally, partners would contribute cash or other assets to the formation of a partnership or upon entry into an existing partnership, in a way that reflected their share of the partnership. Often this would mean contributing an equal share of the partnerships assets.

In the case of a new partner in an existing partnership, the new partner may need to purchase a percentage of the ownership interest of an existing partner or partners. However, in modern large partnerships one can see new partners admitted without an explicit contribution of capital, or with the contribution of an amount that is relatively nominal compared to the value of the partnership. New partners may not take their full share of profits for a time, or they can be 'salaried' partners who will receive a 'fixed' (usually lower) amount out of profits until they become full partners.

Partners' individual shares in profits can range from an equal or a specified percentage to highly structured shares that embed various performance metrics as well as, effectively, a return on capital. A partnership ownership interest, by whatever name, is a residual interest in the capital of the partnership and not a liability of the partnership.

There is a great variety to the arrangements that can be put in place. This variety often reflects the commitment of partners to a continuing partnership entity beyond their time as partners.

Partners must come to an agreement about how to allocate income or loss. Without any formal agreement in place, Section 26 of the Partnership Ordinance (Chapter 38) states:

- Partners must share the partnership's profit or loss equally.
- No interest on capital is allowed.
- No interest shall be charged on drawings.
- Any investment in the partnership in excess of the agreed capital amount entitles the investing partner to a return of 8 percent annually.

If there only exists an agreement on how to share income but does not include a method for sharing losses, partners will follow the method for sharing income when allocating losses.

Illustrative Example 1 describes the establishment of a business partnership and its related accounting treatments.

### Illustrative Example 1

Alan Tam and Bob Chan organize a business partnership on 1 January 20X9 called HKQP Golfers Partnership ('HKQP Golfers'), a driving range. Alan Tam's initial net investment in HKQP Golfers is HK$30,000,000, made up of cash (HK$7,000,000), golfing facilities (HK$33,000,000) and a note payable reflecting a bank loan for the new business (HK$10,000,000). Bob Chan's initial investment is cash of HK$10,000,000. Both Alan and Bob formally agree to these investment amounts, which are recorded in the following accounting entries:

Alan Tam's Investment

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X9** | | **HK'000** | **HK'000** |
| 1 Jan. | Cash | 7,000 | |
| | Golfing facilities | 33,000 | |
| | Notes payable | | 10,000 |
| | Capital – Alan Tam | | 30,000 |
| | Record of the investment of Alan Tam | | |

### Illustrative Example 1 *(continued)*

Bob Chan's Investment

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X9** | | **HK'000** | **HK'000** |
| 1 Jan. | Cash | 10,000 | |
| | Capital – Bob Chan | | 10,000 |
| | Record of the investment of Bob Chan | | |

When accounting for a partnership, each partner maintains a separate capital account and current account. The current accounts are closed to the capital accounts. As in all partnerships, at HKQP Golfers, each partner's share of net profit is credited to his capital account when accounts are closed at the end of the period. (Any net loss is debited from each partner's capital account.)

#### 11.1.1.2 Taxation of Partnerships

As referred to above, the tax rules in Hong Kong do apply to partnerships and a partnership may be taxed on its profits.

However, partners can elect to be taxed as individuals and this means that their allocation of any taxable income of the partnership will be taxed at the personal level. In such a case, a partnership is sometimes described as 'a flow through entity' for taxation purposes.

### Key Learning Point

A partnership is a relation between two or more persons carrying on business in common with a view to profit:

- The partners in a partnership can have varying involvements in the partnership, not all of which are as owners.
- Partners are jointly and severally liable for all the debts of the partnership, except where they are limited partners in a limited partnership.

Limited partnerships must be registered under the Limited Partnerships Ordinance.

## 11.1.2 Accounting for a Partnership

#### 11.1.2.1 Partners' Capital

Consider what happens when two or more individuals enter into a partnership together. They are combining agreed resources and funds to a joint enterprise.

### Illustrative Example 2

Let us return to the CNRL partnership in the Opening Case. Assume that Clement, Nicholas and Rose formed the partnership before Li Jing joined.

Each of the three has assets to contribute to the partnership. These assets can be cash, vehicles, office equipment or any other assets that may be required for the commencement of the partnership. Let us assume that the partners agree to contribute equal amounts of capital and to share profits or losses and interests in net assets equally:

- Clement contributes cash of HK$15,000 and two cars with a combined fair value of HK$20,000.
- Nicholas provides cash of HK$20,000 and a van with a fair value of HK$15,000.
- Rose contributes office equipment with a fair value of HK$17,000 and cash of HK$18,000.

The capital contributions on the part of the partners may be depicted in this manner, assuming the transaction happens in one day:

| Journal Entry | | | |
|---|---|---|---|
| **Year** | **Particulars** | **Debit** | **Credit** |
| **20X8** | | **HK$** | **HK$** |
| | Cash at bank HK$(15,000 + 20,000 + 18,000) | 53,000 | |
| | Vehicles HK$(20,000 + 15,000) | 35,000 | |
| | Office equipment | 17,000 | |
| | Capital – Clement | | 35,000 |
| | Capital – Nicholas | | 35,000 |
| | Capital – Rose | | 35,000 |
| | Recognising capital contributions for commencement of Partnership CNR | | |

This can also be presented in the form of a statement of financial position for the partnership that is reported in reverse liquidity format.

| CNR Partnership<br>Statement of Financial Position | |
|---|---|
| **Non-Current Assets** | **HK$** |
| Vehicles | 35,000 |
| Office equipment | 17,000 |
| **Total Non-Current Assets** | 52,000 |
| | |
| **Current Assets** | |
| Cash at bank | 53,000 |
| **Total Assets** | 105,000 |

### Illustrative Example 2 *(continued)*

| CNR Partnership<br>Statement of Financial Position | |
|---|---|
| **Capital** | |
| Clement | 35,000 |
| Nicholas | 35,000 |
| Rose | 35,000 |
| **Total Capital** | 105,000 |

The partners have contributed capital worth HK$105,000 to the partnership at its commencement. They have contributed that capital in various forms. In this example, all have contributed the same value of assets. That need not be so. Partnerships can have partners with unequal sharing of profit or loss and net assets.

#### 11.1.2.2 Transactions with Partners in their Other Capacities

To this point we have been dealing with transactions between the partnership and the partners in their capacities as owners. But one of the flexibilities of partnerships is that a partnership can deal with partners in other capacities (e.g. as employees or suppliers or customers).

Partners are not employees of the partnership; they are its owners. In a partnership, each partner receives a share of the profits when the partnership is profitable and the business's net profits are divided according to the partnership agreement.

Apart from their involvement in contributions of capital and the allocation of profits and losses, partners can enter into various normal transactions that are not entered into in their capacity as owners:

- Partners may receive a salary; for example, where one or more partners work for the partnership in an employee capacity.
- They may make loans to the partnership. These loans would usually involve the paying of interest and principal by the partnership.
- Likewise, partners may receive loans from the partnership in the form of drawings. Those loans may generate interest income before being acquitted or otherwise repaid.

Some partnerships provide salary allowances for partners that reflect the services and time they contribute to the business. Partners can also allocate interest allowances based on the amount each partner invests. Neither partner's salary allowances nor interest allowances are reported as expenses on the statement of profit or loss and other comprehensive income. They should be treated as allocations of profit or loss.

Sometimes some partners will put disproportionate time into the administration of the partnership without commensurate reward. Whilst this may be voluntary and understood by all, it means that the results of the partnership need to be seen as having been subsidised and not to be comparable to businesses run on more commercial bases.

Accounting for transactions with owners that are not in their capacity as owners is no different to the accounting for external parties. Sales, purchases, salaries, interest income and expenses are examples of these transactions that will affect the determination of profit or loss for a period. To the extent that partners are owed amounts or owe amounts, accounts payable and accounts receivable will be credited to liabilities or debited to assets and reflected in the statement of financial position.

But note that transactions with related parties are recorded at whatever price is agreed between the partnership and the partners concerned. The prices could be the same as for other external parties or they may, for example, be at discounted amounts.

In accounting for transactions with partners, care needs to be exercised in characterising the transactions according to their substance. For example, 'salaries' paid to spouses who do not work for the partnership are in fact profit sharing, not expenses.

### 11.1.2.3 Drawings

It is possible for partners to be paid amounts during a period and before the partnership profit or loss for a period is determined. For example, suppose that Clement, Nicholas, Rose and Li Jing cannot wait until the profit or loss is determined for the period (say a year). They need cash from the partnership, for example, to meet private bills, repay personal liabilities or to acquire personal assets.

Based on past results, at the beginning of 20X8 they expect to make a profit of at least HK$1.2 million. Accordingly, they agree that each of the four partners should draw HK$20,000 per month (HK$240,000 each per annum).

Each month in 20X8, CNRL would have processed the following entry.

| | Debit HK$ | Credit HK$ |
|---|---|---|
| Current account – Clement | 20,000 | |
| Current account – Nicholas | 20,000 | |
| Current account – Rose | 20,000 | |
| Current account – Li Jing | 20,000 | |
| Cash at bank | | 80,000 |
| Partners' drawings for May | | |

Drawings by partners should be debited to the individual partner's current account. So, by the end of the year drawings would have accumulated to HK$960,000.

### 11.1.2.4 Other Specific Loans from Partners

A partner may provide a specific loan to the partnership on which he or she is likely to receive interest. Some loans will be for a specified term and will accrue interest, while others might be short term loans that may not have interest attached to them. Accounting will need to reflect the substance of these arrangements as and when they occur.

Assume Clement provides a loan of HK$10,000 to the CNRL partnership with an interest rate of 4%. The loan will be recorded in this manner in the accounting records.

| | Debit HK$ | Credit HK$ |
|---|---|---|
| Cash at bank | 10,000 | |
| Loan – Clement | | 10,000 |
| Loan from Clement to partnership | | |

### 11.1.2.5 Interest on Partner's Loans

For the interest payable to Clement from the partnership, the interest would be recorded in this form:

| | Debit HK$ | Credit HK$ |
|---|---|---|
| Interest on loan (HK$10,000 x 4%) | 400 | |
| Current account – Clement | | 400 |
| Interest accrued on loan from Clement | | |

Note here that the interest accrued is being taken to current account. When the interest is paid to Clement, cash at bank would be credited and the current account debited.

### 11.1.2.6 Appropriation Account

The partners will be entitled, for any reporting period, to a share of the profit or loss. The recording of the profit or loss for the period in a partnership will be allocated to partners at the end of the reporting period. Allocations of profits are recorded in an **appropriation account**.

The appropriation account is used to show the various shares of profit for the period allocated to the partners. Those allocations are reflected in the current accounts of the partners until paid out.

Referring to the example from Sections 11.1.2.3 to 11.1.2.5, assume the net profit for the year 20X8 is HK$1,200,000 before results arising from transactions with partners, and that the partners equally share the profits. As a matter of internally agreed policy, partners pay interest on drawings to achieve an equitable situation for all partners. Assume that the interest works out to be 2% on the total amount of drawings for the period. The salary for each partner is HK$50,000.

Below is an appropriation account for the CNRL partnership. We will return in section 11.2 below to address in more details the statement of profit or loss and other comprehensive income for a partnership, as well as its connection with the appropriation account and a statement of changes in partners' capital.

| CNRL Partnership<br>Appropriation Account for the Year Ended<br>31 December 20X8 | | |
|---|---|---|
| | **HK$** | **HK$** |
| Net profit for the period | | 1,200,000 |
| Add: Interest on drawings | | |
| Clement (HK$240,000 x 2%) | 4,800 | |
| Nicholas (HK$240,000 x 2%) | 4,800 | |
| Rose (HK$240,000 x 2%) | 4,800 | |
| Li Jing (HK$240,000 x 2%) | 4,800 | 19,200 |
| | | 1,219,200 |
| Less: Interest on loan – Clement (HK$10,000 x 4%) | | (400) |
| Less: Salaries for partners | | |
| Clement | 50,000 | |
| Nicholas | 50,000 | |
| Rose | 50,000 | |
| Li Jing | 50,000 | (200,000) |
| | | 1,018,800 |
| Remaining profit of HK$1,018,800 equally allocated to: | | |
| Clement | 254,700 | |
| Nicholas | 254,700 | |
| Rose | 254,700 | |
| Li Jing | 254,700 | 1,018,800 |
| | | 1,018,800 |

### (I) Allocation on Predetermined Ratio

One of the most commonly used methods of allocating partnership net profit or loss is the **predetermined ratio method** (also called the income-and-loss sharing ratio, the profit-and-loss ratio or the P/L ratio) of which each partner shares a fraction of the total net profit or loss. The fractions of sharing are predetermined individually by all the partners in the partnership agreement.

To illustrate, assume the HKQP Golfers partnership agreement of Alan Tam and Bob Chan determines Alan receives two-thirds and Bob one-third of partnership net profit and loss. If their partnership net profit is HK$60,000,000 at the year-end 20X9, it is allocated to the partners when the Income Summary (i.e. Profit or Loss) account is closed as follows.

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X9** | | **HK'000** | **HK'000** |
| 31 Dec. | Income Summary | 60,000 | |
| | Current – Alan Tam (2/3) | | 40,000 |
| | Current – Bob Chan (1/3) | | 20,000 |
| | Allocation of net profit and close Income Summary | | |

**(II) Allocation on Capital Balances**

Another commonly employed net profit or loss sharing method is the **capital balances method**, whereas the allocation of the partnership net profit or loss to individual partners is based on assignment of an amount based on each partner's relative capital balance (i.e. opening balance). If Alan Tam and Bob Chan agree to share profit and loss based on the ratio of beginning capital balances (i.e. Alan's HK$30,000,000 and Bob's HK$10,000,000), Alan would receive three-fourths of any profit or loss (HK$30,000,000/HK$40,000,000) and Bob would receive one-fourth (HK$10,000,000/HK$40,000,000). The journal entries are as follows:

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X9** | | **HK$'000** | **HK$'000** |
| 31 Dec. | Income Summary | 60,000 | |
| | Current – Alan Tam (3/4) | | 45,000 |
| | Current – Bob Chan (1/4) | | 15,000 |
| | Allocation of profit and close Income Summary | | |

**(III) Allocation on Services, Capital and Predetermined Ratios**

Since the capital contributions, time and level of services dedicated by individual partners in a business partnership are different, the partnership agreement can employ a combination of salary, interest and predetermined net profit and loss ratios in order to recognise each partner's various contributions to the partnership.

Let us assume that HKQP Golfers' partnership agreement reflects the following differences in service and capital contributions:

(1) Annual salary allowance of HK$36,000,000 to Alan Tam and annual salary allowance of HK$24,000,000 to Bob Chan

(2) Annual interest allowances of 10% of a partner's beginning-year capital balance

(3) Equal share of remaining balance of profit and loss

Alan and Bob's salary and interest allowances are not reported as expenses on the statement of profit or loss and other comprehensive income. Instead, they represent how partnership profit or loss are divided between the HKQP Golfers partners. The three illustrative examples that follow demonstrate the three points related to allowance in the partnership agreement.

### Illustrative Example 3 – Net Profit Exceeds Allowances

Assume that for the year ended 31 December 20X9, HKQP Golfers has a net profit of HK$70,000,000. Under the three points in the partnership agreement between Alan Tam and Bob Chan, profit is allocated as shown. Of the HK$70,000 in net profit Alan Tam receives HK$42,000,000 and Bob Chan receives HK$28,000,000. The following shows the calculation and the appropriation account of the HKQP Golfers:

**HKQP Golfers Partnership**

**Appropriation Account for the year ended 31 December 20X9**

| | HK$'000 | HK$'000 |
|---|---|---|
| Net profit for the period | | 70,000 |
| Less: Salary allowances | | |
| Alan Tam | 36,000 | |
| Bob Chan | 24,000 | (60,000) |
| Less: Interest allowances | | |
| Alan Tam (HK$30,000,000 x 10%) | 3,000 | |
| Bob Chan (HK$10,000,000 x 10%) | 1,000 | (4,000) |
| | | 6,000 |
| Remaining profit of HK$6,000 equally allocated to: | | |
| Alan Tam | | 3,000 |
| Bob Chan | | 3,000 |
| | | 6,000 |

The total income of each partner:

Alan Tam : HK$36,000,000 Salary + HK$3,000,000 Interest
+ HK$3,000,000 Share of profit = HK$42,000,000

Bob Chan : HK$24,000,000 Salary + HK$1,000,000 Interest
+ HK$3,000,000 Share of profit = HK$28,000,000

### Illustrative Example 4 – Allowances Exceed Net Profit

Even if net profit is less than the total of the allowances, the HKQP Golfers partnership agreement between Alan Tam and Bob Chan applies. For example, assume that the net profit for the year ended 31 December 20X9 for HKQP Golfers is HK$50,000,000; it is allocated to the partners according to the partnership agreement. Salary and interest allowances are calculated in the same manner as in Illustrative Example 3. However, when the total allowances are applied against profit, the balance of profit is negative. This HK$(14,000,000) balance is allocated equally to the partners per their agreement.

### Illustrative Example 4 – Allowances Exceed Net Profit *(continued)*

To do this, a negative amount of HK$(7,000,000) is allocated to each partner. In this case, Alan ends up with HK$32,000,000 and Bob with HK$18,000,000. The computation and the appropriation account are illustrated as follows:

| **HKQP Golfers Partnership<br>Appropriation Account for the year ended 31 December 20X9** | | |
|---|---|---|
| | **HK$'000** | **HK$'000** |
| Net profit for the period | | 50,000 |
| Less: Salary allowances | | |
| Alan Tam | 36,000 | |
| Bob Chan | 24,000 | (60,000) |
| Less: Interest allowances | | |
| Alan Tam (HK$30,000,000 x 10%) | 3,000 | |
| Bob Chan (HK$10,000,000 x 10%) | 1,000 | (4,000) |
| | | (14,000) |
| Remaining loss of HK$14,000 equally allocated to: | | |
| Alan Tam | | (7,000) |
| Bob Chan | | (7,000) |
| | | (14,000) |

The total income of each partner:

$$\text{Alan Tam}: \text{HK\$36,000,000 Salary} + \text{HK\$3,000,000 Interest} - \text{HK\$7,000,000 Share of loss} = \text{HK\$32,000,000}$$

$$\text{Bob Chan}: \text{HK\$24,000,000 Salary} + \text{HK\$1,000,000 Interest} - \text{HK\$7,000,000 Share of loss} = \text{HK\$18,000,000}$$

If HKQP Golfers had experienced a net loss, the partners would share it following the same method used for the HK$50,000,000 profit. First, the partners would have been allocated their salary and interest allowances. These allowances would cause the net loss's negative balance to drop even further below zero. This negative balance after salary and interest allowances would have been allocated equally to the partners. To determine each partner's share of the loss, apply the allocations against any allowances that are positive.

### Illustrative Example 5 – Net Loss Incurred Before Salaries and Interest Allowances

Assume HKQP Golfers had experienced a net loss of HK$20,000 for the year ended 31 December 20X9 for HKQP Golfers before salaries and interest allowances. Alan and Bob would share it in the same manner as the HK$50,000,000 net profit in Illustrative Example 4. However, they would have begun with a negative amount because of the net loss (i.e. negative HK$84,000), as illustrated below. The partners would still have been allocated their salary and interest allowances, pushing the net loss's negative balance to drop even further below zero. The total negative balance remaining would be allocated equally between the partners. To determine each partner's share of the loss, apply the allocations against any allowances that are positive. The appropriation account is illustrated as follows:

**HKQP Golfers Partnership**

**Appropriation Account for the year ended 31 December 20X9**

| | **HK$'000** | **HK$'000** |
|---|---|---|
| Net loss | | (20,000) |
| Less: Salary allowances | | |
| Alan Tam | 36,000 | |
| Bob Chan | 24,000 | (60,000) |
| Less: Interest allowances | | |
| Alan Tam (HK$30,000,000 x 10%) | 3,000 | |
| Bob Chan (HK$10,000,000 x 10%) | 1,000 | (4,000) |
| | | (84,000) |
| Remaining loss of HK$84,000 equally allocated to: | | |
| Alan Tam | | (42,000) |
| Bob Chan | | (42,000) |
| | | (84,000) |

The total loss of each partner:

$$\text{Alan Tam: HK\$36,000,000 Salary} + \text{HK\$3,000,000 Interest} - \text{HK\$42,000,000 Share of loss} = (\text{HK\$3,000,000})$$

$$\text{Bob Chan: HK\$24,000,000 Salary} + \text{HK\$1,000,000 Interest} - \text{HK\$42,000,000 Share of loss} = (\text{HK\$17,000,000})$$

### 11.1.2.7 Current Accounts for Partners

**Current accounts** for partners are used to track partners' entitlements to profits and losses. They will show both allocations of profits and losses and the payment of profits.

So each partner can see their involvement with the partnership in terms of their:

- **Capital account** (amounts subscribed less any withdrawals of capital)
- Current account (shares of profits or losses)
- Loans to the partnership

With reference to the appropriation account for the CNRL partnership in previous section, below are the current accounts for the four partners:

| Current account – Clement | | | |
|---|---|---|---|
| **20X8** | **HK$** | **20X8** | **HK$** |
| Drawings | 240,000 | Salary | 50,000 |
| Interest on drawings | 4,800 | Profit sharing | 254,700 |
| Closing balance | 60,300 | Interest on loan | 400 |
| | 305,100 | | 305,100 |

| Current account – Nicholas | | | |
|---|---|---|---|
| **20X8** | **HK$** | **20X8** | **HK$** |
| Drawings | 240,000 | Salary | 50,000 |
| Interest on drawings | 4,800 | Profit sharing | 254,700 |
| Closing balance | 59,900 | | |
| | 304,700 | | 304,700 |

| Current account – Rose | | | |
|---|---|---|---|
| **20X8** | **HK$** | **20X8** | **HK$** |
| Drawings | 240,000 | Salary | 50,000 |
| Interest on drawings | 4,800 | Profit sharing | 254,700 |
| Closing balance | 59,900 | | |
| | 304,700 | | 304,700 |

| Current account – Li Jing | | | |
|---|---|---|---|
| **20X8** | **HK$** | **20X8** | **HK$** |
| Drawings | 240,000 | Salary | 50,000 |
| Interest on drawings | 4,800 | Profit sharing | 254,700 |
| Closing balance | 59,900 | | |
| | 304,700 | | 304,700 |

Referring to the previous section (Illustration Example 3), where HKQP Golfers uses the sharing agreement of the positive net profit scenario of HK$70,000,000, with Alan Tam's withdrawal of HK$20,000,000 and Bob Chan's withdrawal of HK$12,000,000 at year-end, below are the current accounts for the two partners.

| Current account – Alan Tam | | | |
|---|---|---|---|
| **Year 1** | **HK$** | **Year 1** | **HK$** |
| Drawings | 20,000 | Opening balance | 30,000 |
| | | Salary | 36,000 |
| | | Interest allowance | 3,000 |
| Closing balance | 52,000 | Profit sharing | 3,000 |
| | 72,000 | | 72,000 |

| Current account – Bob Chan | | | |
|---|---|---|---|
| **Year 1** | **HK$** | **Year 1** | **HK$** |
| Drawings | 12,000 | Opening balance | 10,000 |
| | | Salary | 24,000 |
| | | Interest allowance | 1,000 |
| Closing balance | 26,000 | Profit sharing | 3,000 |
| | 38,000 | | 38,000 |

### Illustrative Example 6

Amit and Burton are in a partnership sharing profits in the ratio 3:2. The partnership's profit for the year was HK$65,460. The partnership agreement provides for:

- Partners' salaries: Amit HK$9,000; Burton HK$5,000.
- Interest to be paid on the partners' opening capital balances at a rate of 5% per annum.
- Interest on drawings at a rate of 8% per annum on all drawings during the year.

At the beginning of the year, the partners' capital and current account balances were:

| | Capital account (HK$) | Current account (HK$) |
|---|---|---|
| Amit | 120,000 Cr. | 15,655 Cr. |
| Burton | 80,000 Cr. | 4,137 Dr. |

During the year, Amit's drawings were HK$18,000 and Burton's drawings were HK$31,000.

## Illustrative Example 6 *(continued)*

**Solution**

**Appropriation Account**

| | | | A | B |
|---|---|---|---|---|
| | | | HK$ | HK$ |
| Salaries | | | 9,000 | 5,000 |
| Interest on capital (W1) | | | 6,000 | 4,000 |
| Interest on drawings (W2) | | | (1,440) | (2,480) |
| | | | 12,560 | 6,520 |
| Residual profit (W3) | | | 27,228 | 18,152 |
| Profit for year | | | 40,788 | 24,672 |
| W1 | A | HK$120,000 × 5% | = | 6,000 |
| | B | HK$80,000 × 5% | = | 4,000 |
| W2 | A | HK$18,000 × 8% | = | 1,440 |
| | B | HK$31,000 × 8% | = | 2,480 |
| W3 | Profit for year | | | 65,460 |
| | Less: Salaries for partners | | 14,000 | |
| | Interest on capital | | 10,000 | (24,000) |
| | | | | 41,460 |
| | Add: Interest on drawings | | | 3,920 |
| | Residual profit | | | 45,380 |
| | Shared | | A × 3/5 | 27,228 |
| | | | B × 2/5 | 18,152 |

The closing balances are thus:

**Current account – Amit**

| | HK$ | | HK$ |
|---|---|---|---|
| Drawings | 18,000 | Opening balance | 15,655 |
| Interest on drawings | 1,440 | Salary | 9,000 |
| Closing balance | 38,443 | Interest on capital | 6,000 |
| | | Profit sharing | 27,228 |
| | 57,883 | | 57,883 |

### Illustrative Example 6 *(continued)*

| Current account – Burton | | | |
|---|---|---|---|
| | HK$ | | HK$ |
| Opening balance | 4,137 | Salary | 5,000 |
| Drawings | 31,000 | Interest on capital | 4,000 |
| Interest on drawings | 2,480 | Profit sharing | 18,152 |
| | | Closing balance | 10,465 |
| | 37,617 | | 37,617 |

Amit – HK$38,443 Cr

Burton – HK$10,465 Dr

### 11.1.2.8 Subsidiary Records of a Partnership

In the examples used so far in this chapter, we have shown on the face of the financial statements the balances of the individual partners' capital accounts, their current accounts and any loans to the partnership.

- The partners' capital accounts cover contributions of capital and are reduced by withdrawals of capital.
- The current accounts include allocations of partnership profits and losses and drawings.
- Loan from partners include the financing by partners of the partnership that are not in the nature of capital.

In practice, partnerships can have large numbers of partners with a variety of dealings with the partnership and this will make it impracticable to deal with everything on the face of the financial statements. This will especially be so for taxation requirements facing partners whose profits will often need to be computed by the partnership and advised to the partners for their personal returns.

This means that subsidiary records are sometimes needed by partnerships to maintain the detail of individual partners' capital accounts, current accounts and loan accounts, where needed, to summarise control accounts that will be reflected in the financial statements. The control accounts will be very similar to those used for trade payables and trade receivables subsidiary ledgers.

## Knowledge Check Questions

**Question 1**

Identify which of the following is *always* true of a partnership.

**A** An incorporated body with limited liability and shareholders

**B** An entity registered under the Partnership Ordinance

**C** An unincorporated entity with only one owner

**D** An agreement between two or more individuals to carry on a business in common with a view to profit.

**Question 2**

Identify which of the following can cause a partnership to be formed.

**A** A verbal agreement

**B** A written agreement

**C** The actions and practices of persons carrying on business in common with a view to profit

**D** All of the above

**Question 3**

Identify which of the following is true under the concept of mutual agency.

**A** The liability of a general partner is joint and several

**B** Any partner can be bound by the actions of another partner

**C** Every general partner is an agent of the firm with an authority that could bind other partners to contracts

**D** All of the above

**Question 4**

Partners Mai and Alex are negotiating what each will put into their business. Identify which of the following they are permitted to contribute.

**A** Cash

**B** Property, plant and equipment

**C** Unequal contributions

**D** All of the above

**Question 5**

Andy Chan and Branson Lee established a business partnership on 1 January 20X0 by contributing HK$80,000,000 and HK$40,000,000, respectively. They agree to an interest allowance equal to 10% of each partner's capital balance at the beginning of the year, with the remaining net profit shared equally.

### Knowledge Check Questions *(continued)*

**Required:**

(a) Calculate the first-year 20X0 net profit of HK$60,000,000 to each partner and prepare the appropriation account for the partnership.

(b) Calculate the total income for each partner for the first year 20X0.

**Question 6**

(a) Define the term *unlimited liability* when applied to a general partnership.

(b) Define the term *limited partnership*.

## 11.2 STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR A PARTNERSHIP

Previously, for the CNRL partnership, we showed how the statement of profit or loss and other comprehensive income (albeit provided in an abbreviated proforma) related to the appropriation account. Let us now look more fully at the statement itself.

Again we return to the accounting equation:

Profit or Loss = Income (Revenue and Gains) – Expenses (Including Losses)

As we have seen in the CNRL partnership case study, the capital of the partnership (its equity) is affected by transactions with the partners (owners) in various ways, and they can impact the partners' capital accounts, their current accounts and any loans they provide to the partnership.

None of those ways impact the amount of the profit or loss for a period. Profits or losses result from using the net assets of the entity or their being impacted by external events. The amount of the profit or loss affects (adds to/reduces) the partnership capital, but changes in partnership capital do not affect the profit or loss.

If the partners deal with the partnership other than as owners, there can be items of revenue and expense that result from those dealings. The partnership might sell goods or services to a partner in the partner's capacity as a customer.

These dealings are accounted for in the same way as dealings with third parties irrespective of pricing, provided the substance of the transactions is as purported. There is no re-pricing of transactions with related parties such as the partners. Thus, for example, a sale to a partner that provides a favourable discount to the partner is still a sale and is measured at the actual amount of the transaction.

However, as noted previously, if excessive amounts are used for these types of transactions, and the ability of the partnership to meet its debts or comply with any regulations is impacted, there could be personal consequences.

Given the above, and if accounting standards or good practices are followed, it should not be surprising that the statement of profit or loss and other comprehensive income for a partnership contains no unique items that will not be seen in such statements for other entities.

### Illustrative Example 7

Returning to the CNRL partnership, below is the trial balance for the partnership at 31 December 20X0, together with some additional information.

**CNRL Partnership**
**Trial Balance at 31 December 20X0**

| | | HK$ Dr | HK$ Cr |
|---|---|---|---|
| Sales | | | 2,321,200 |
| Depreciation – vehicles | | 20,000 | |
| Depreciation – office equipment | | 5,000 | |
| Operating expenses and other salaries | | 65,000 | |
| Cost of goods sold | | 850,000 | |
| Vehicles | | 107,000 | |
| Accumulated depreciation – vehicles | | | 20,000 |
| Office equipment | | 25,000 | |
| Accumulated depreciation – office equipment | | | 5,000 |
| Inventory | | 180,000 | |
| Trade receivables | | 90,000 | |
| Cash at bank | | 2,453,000 | |
| Loan from bank | | | 150,000 |
| Trade payables | | | 40,000 |
| Drawings | | | |
| | Clement | 240,000 | |
| | Nicholas | 240,000 | |
| | Rose | 240,000 | |
| | Li Jing | 240,000 | |

## Illustrative Example 7 *(continued)*

| **CNRL Partnership**<br>**Trial Balance at 31 December 20X0** ***(continued)*** | | | |
|---|---|---|---|
| | | **HK$**<br>**Dr** | **HK$**<br>**Cr** |
| Current accounts | | | |
| | Clement | | 528,150 |
| | Nicholas | | 528,550 |
| | Rose | | 528,550 |
| | Li Jing | | 528,550 |
| Capital accounts | | | |
| | Clement | | 26,250 |
| | Nicholas | | 26,250 |
| | Rose | | 26,250 |
| | Li Jing | | 26,250 |
| Total | | 4,755,000 | 4,755,000 |

Additional information below had not been taken into account for the year ended 31 December 20X0:

- Partners were charged 2% interest on their maximum drawings (i.e. 2% of HK$240,000 each).
- During the period, Clement had made a loan to the partnership of HK$10,000. That loan has been repaid by the end of the period, but incurred interest of HK$400 (4% of HK$10,000).
- Each partner was paid HK$50,000 as a salary for their work in the partnership.
- The profit for the period was shared equally by the four partners.
- There were no changes in the capital contributed by the partners over the period.

**Required**

(a) Prepare the statement of profit or loss and other comprehensive income of CNRL partnership for the period ended 31 December 20X0.

(b) Prepare the appropriation account for CNRL partnership.

(c) Prepare the current account for each partner in T-account format for the year ended 31 December 20X0.

## Illustrative Example 7 *(continued)*

***Answer***

**(a)**

| **CNRL Partnership**<br>**Statement of Profit or Loss and Other Comprehensive Income**<br>**For the year ended 31 December 20X0** | |
|---|---|
| | **HK$** |
| Sales | 2,321,200 |
| Less: Cost of goods sold | (850,000) |
| | 1,471,200 |
| Gross profit | |
| Less: Expenses | |
| Operating expenses and other salaries | (65,000) |
| Depreciation | (25,000) |
| Profit for the period | **1,381,200** |

**(b)**

| **CNRL Partnership**<br>**Appropriation Account**<br>**For the year ended 31 December 20X0** | | |
|---|---|---|
| | **HK$** | **HK$** |
| Profit for the period | | 1,381,200 |
| Add: Interest on drawings | | |
| Clement | 4,800 | |
| Nicholas | 4,800 | |
| Rose | 4,800 | |
| Li Jing | 4,800 | 19,200 |
| | | 1,400,400 |
| Less: Interest on loan – Clement | | (400) |
| Less: Salaries for Partners | | |
| Clement | 50,000 | |
| Nicholas | 50,000 | |

## Illustrative Example 7 *(continued)*

**CNRL Partnership**
**Appropriation Account**
**For the year ended 31 December 20X0 *(continued)***

| | HK$ | HK$ |
|---|---|---|
| Rose | 50,000 | |
| Li Jing | 50,000 | (200,000) |
| Remaining profit | | 1,200,000 |
| | | |
| Remaining Profit of HK$1,200,000 allocated to: | | |
| Clement | | 300,000 |
| Nicholas | | 300,000 |
| Rose | | 300,000 |
| Li Jing | | 300,000 |
| | | 1,200,000 |

(c)

**Current account – Clement**

| 20X0 | HK$ | 20X0 | HK$ |
|---|---|---|---|
| Drawings | 240,000 | Opening balance | 528,150 |
| Interest on drawings | 4,800 | Salary | 50,000 |
| | | Interest on loan | 400 |
| Closing balance | 633,750 | Profit sharing | 300,000 |
| | 878,550 | | 878,550 |

**Current account – Nicholas**

| 20X0 | HK$ | 20X0 | HK$ |
|---|---|---|---|
| Drawings | 240,000 | Opening balance | 528,550 |
| Interest on drawings | 4,800 | Salary | 50,000 |
| Closing balance | 633,750 | Profit sharing | 300,000 |
| | 878,550 | | 878,550 |

**Current account – Rose**

| 20X0 | HK$ | 20X0 | HK$ |
|---|---|---|---|
| Drawings | 240,000 | Opening balance | 528,550 |
| Interest on drawings | 4,800 | Salary | 50,000 |
| Closing balance | 633,750 | Profit sharing | 300,000 |
| | 878,550 | | 878,550 |

**Illustrative Example 7 *(continued)***

| Current account – Li Jing | | | |
|---|---|---|---|
| **20X0** | **HK$** | **20X0** | **HK$** |
| Drawings | 240,000 | Opening balance | 528,550 |
| Interest on drawings | 4,800 | Salary | 50,000 |
| Closing balance | 633,750 | Profit sharing | 300,000 |
| | 878,550 | | 878,550 |

**Key Learning Point**

The statement of profit or loss and other comprehensive income will show the way in which operating activities have impacted partners' capital through the generation of profit and other comprehensive income.

**Knowledge Check Questions**

**Question 7**

Explain any key differences between the statement of profit or loss and other comprehensive income for a partnership and that statement for other forms of business.

**Question 8**

Explain how to close the statement of profit or loss and other comprehensive income for a business partnership.

## 11.3 STATEMENT OF FINANCIAL POSITION FOR A PARTNERSHIP

The statement of financial position of a partnership shows the relationship between partners' capital and the assets and liabilities of the partnership. As indicated previously, the main differences in the statement of financial position of a partnership when compared with other entities will be seen in the components of partners' capital (capital and current accounts) and any loans from partners which will appear among liabilities in the same way as if involving an external party.

## Illustrative Example 8

### Required

Using the trial balance for CNRL shown from Section 11.2 (Illustrative Example 7), and the supporting facts therewith, prepare the statement of financial position for CNRL at 31 December 20X0.

***Answer***

| **CNRL Partnership<br>Statement of Financial Position as at 31 December 20X0** | | | |
|---|---|---|---|
| | | **HK$** | **HK$** |
| **Non Current Assets** | | | |
| Vehicles HK$(107,000–20,000) | | | 87,000 |
| Office equipment HK$(25,000–5,000) | | | 20,000 |
| | | | 107,000 |
| **Current Assets** | | | |
| Inventory | | 180,000 | |
| Trade receivables | | 90,000 | |
| Cash at bank | | 2,453,000 | 2,723,000 |
| **Total Assets** | | | **2,830,000** |
| **Capital** | | | |
| **Capital accounts** | | | |
| | Clement | 26,250 | |
| | Nicholas | 26,250 | |
| | Rose | 26,250 | |
| | Li Jing | 26,250 | |
| | | | 105,000 |
| **Current accounts** | | | |
| | Clement | 633,750 | |
| | Nicholas | 633,750 | |
| | Rose | 633,750 | |
| | Li Jing | 633,750 | |
| | | | 2,535,000 |
| **Total Capital** | | | 2,640,000 |
| **Non-current Liabilities** | | | |
| Loan from bank | | | 150,000 |
| **Current Liabilities** | | | |
| Trade payables | | | 40,000 |
| **Total Liabilities** | | | 190,000 |
| **Total Capital and liabilities** | | | **2,830,000** |

Note: there are no remaining loans from partners as they were repaid during the year.

**Key Learning Point**

The statement of financial position for a partnership will show the balance of partners' capital contributions and accumulated earnings.

**Knowledge Check Questions**

**Question 9**

Explain the difference between capital and current accounts as shown in the statement of the financial position for a business partnership.

**Question 10**

Identify which of the following is included under current assets on the statement of financial position for a partnership.

**A** Partners' current accounts

**B** Trade receivables

**C** Manufacturing equipment

**D** A company bank loan

## 11.4 ADMISSION OF A PARTNER

A business partnership is based on the existing partners who have entered into a partnership agreement. When a new partner is admitted, the existing business partnership is ended although the business operations can still be carried on. Nevertheless, a new partnership agreement must be entered into in accordance with the new composition of partners. The following sections illustrate how to account for admission and withdrawal of partners.

To admit a new partner, he or she can either (1) purchase an interest from one or more current partners or (2) invest cash or other assets in the new partnership.

### 11.4.1 Purchase of Partnership Interest

A new partner can personally purchase a partnership interest from an existing partner or partners. When selling any partnership interest, existing partners must follow the terms of the new partnership agreement. Then the existing partners' capital needs to be reallocated in the accounts according to the new partner's purchase of a partnership interest.

## Illustrative Example 9

At the end of HKQP Golfers Limited's first year, Bob Chan sells one-half of his partnership interest to Calvin Lee for HK$18,000,000. This means that Bob Chan gives up a HK$13,000,000 recorded interest (HK$26,000,000 x ½) in the partnership (i.e. see the HKQP Golfers Limited Statement of Partners' Equity for Year Ended 31 December 20X9 above). The partnership records 4 January 20X0 transaction as follow.

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X0** | | **HK$'000** | **HK$'000** |
| 4 Jan. | Capital – Bob Chan | 13,000 | |
| | Capital – Calvin Lee | | 13,000 |
| | Record of admission of Calvin Lee by purchase | | |

After the above entry is posted, HKQP Golfers Limited's equity shows the following capital balances:

| Partners | Capital balances as at 1 January 20X0 (HK$'000) |
|---|---|
| Alan Tam | 52,000 |
| Bob Chan | 13,000 |
| Calvin Lee | 13,000 |
| Total | 78,000 |

There are two important aspects of the transaction. First, the partnership does not record the HK$18,000,000 Calvin Lee paid Bob Chan. This transaction is exclusive to the partners; it does not impact the partnership's assets, liabilities, and total equity. Second, Alan Tam and Bob Chan must agree that Calvin Lee will become a partner. If they both agree, they form a new partnership, complete with a new partnership agreement that determines how profit and loss will be allocated. If either Alan Tam or Bob Chan refuses to accept Calvin Lee as a partner, then Calvin gets Bob's sold share of partnership income and loss. If the partnership is liquidated, Calvin gets Bob's sold share of partnership assets. In any of these cases, Calvin becomes a silent partner in the partnership. As a silent partner, he cannot have any power over how the partnership is managed.

### 11.4.2 Investing in a Partnership

When a new partner invests assets in a partnership, they may be accepted by the existing partners. Through this transaction, the invested assets become the property of the partnership and no longer belong to the individual partner who invested them. Illustrative Example 11.5 demonstrates this.

### Illustrative Example 10

Alan Tam (with a HK$52,000,000 interest) and Bob Chan (with a HK$26,000,000 interest) agree to accept Calvin Lee as a partner to HKQP Golfers Limited after an investment of HK$22,000,000 in cash. This is recorded as follows.

| 2020 | Descriptions | Debit (HK$'000) | Credit (HK$'000) |
|---|---|---|---|
| 4 Jan. | Cash | 22,000 | |
| | Capital – Calvin Lee | | 22,000 |
| | Record of admission of Calvin Lee by investment | | |

After this entry is posted, both asset (cash) and equity (Capital – Calvin Lee) are increased by HK$22,000,000. HKQP Golfers Limited's equity shows the following capital balances:

| Partners | Capital balances as at 1 January 2020 (HK$'000) |
|---|---|
| Alan Tam | 52,000 (52%) |
| Bob Chan | 26,000 (28%) |
| Calvin Lee | 22,000 (22%) |
| Total | 100,000 (100%) |

Calvin Lee now has a 22% equity in the assets of the business, compiled as HK$22,000,000 divided by the entire partnership equity (HK$52,000,000 + HK$26,000,000 + HK$22,000,000). Calvin Lee does not necessarily have a right to 22% of income (i.e. unless the profit or loss is shared by the opening capital balance).

Partners must agree on how to divide profit and loss separately from the investment transaction.

### 11.4.3 Goodwill to Existing Partners

It is possible for a partnership to be worth more than the recorded amounts of equity where the excess is called 'goodwill'. In this case, existing partners typically require a new partner to pay goodwill in order to join. This amount is similar to the concept of goodwill in taking over of a limited company. To illustrate, assume that Alan Tam and Bob Chan agree to accept Calvin Lee as a partner with a 25% interest in HKQP Golfers Limited if Calvin Lee invests HK$42,000,000. Recall that the partnership's accounting records show that Alan Tam's recorded equity in the business is HK$52,000,000 and Bob Chan's recorded equity is HK$26,000,000. Calvin Lee's equity is determined as follows.

| | HK$'000 |
|---|---|
| Equity of existing partners (HK$52,000 + HK$26,000) | 78,000 |
| Investment of new partner | 42,000 |
| Total partnership equity | 120,000 |
| Equity of Calvin Lee (25% x HK$120,000) | 30,000 |

Although Calvin Lee invests HK$42,000,000, the equity attributed to Calvin in the new partnership is only HK$30,000,000. The HK$12,000,000 difference is called goodwill and is allocated to existing partners (Alan Tam and Bob Chan) according to their profit-and-loss-sharing agreement (i.e. 50:50). Goodwill is shared in this way because it is viewed as reflecting a higher value of the partnership that is not yet reflected in income. The entry to record this transaction is as follows.

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| 20X0 | | HK$'000 | HK$'000 |
| 4 Jan. | Cash | 42,000 | |
| | Capital – Calvin Lee | | 30,000 |
| | Capital – Alan Tam (HK$12,000 x1/2) | | 6,000 |
| | Capital – Bob Chan (HK$12,000 x 1/2) | | 6,000 |
| | Record of admission of Calvin Lee and goodwill | | |

### 11.4.4 Discount to a New Partner

In some cases, a new partner can receive goodwill from the existing partners. This is most common when the partnership needs additional cash or the new partner has exceptional talents. In such cases, the new partner receives a share of equity greater than the amount he or she invests. For example, suppose Alan Tam and Bob Chan accept Calvin Lee as a partner with a 25% interest in the partnership. In order to give Calvin a discount, they could accept an investment of only HK$18,000,000. The following transaction records Calvin Lee's equity.

| | HK$'000 |
|---|---|
| Equity of existing partners (HK$52,000 + HK$26,000) | 78,000 |
| Investment of new partner | 18,000 |
| Total partnership equity | 96,000 |
| Equity of Calvin Lee (25% x HK$96,000) | 24,000 |

Existing partners Alan and Bob contribute HK$6,000,000 as a discount (computed as HK$24,000,000 – HK$18,000,000) to Calvin Lee in accordance with their profit-and-loss-sharing ratio to reflect Calvin's 25% equity stake. However, a separate agreement must be made to determine Calvin's share of future profit or loss. Calvin Lee's admission is recorded in the following journal entry:

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| 20X0 | | HK$'000 | HK$'000 |
| 4 Jan. | Cash | 18,000 | |
| | Capital – Alan Tam (HK$6,000 x 1/2) | 3,000 | |
| | Capital – Bob Chan (HK$6,000 x 1/2) | 3,000 | |
| | Capital – Calvin Lee | | 24,000 |
| | Record of admission of Calvin Lee and discount | | |

## ▶ Knowledge Check Questions

**Question 11**

Identify which of the following will happen when there is a new partner.

**A** When a new partner is admitted to the partnership, the new partners effectively buy the assets of the old partnership from the old partners.

**B** The admission of a new partner will also mean that the profit/loss sharing ratio will change.

**C** The incoming partner may contribute his/her capital higher or lower than his/her fair share of the new partnership's net assets.

**D** All of the above.

**Question 12**

DEF Certified Public Accountants is an accounting firm with the following capital account balances of the three partners as at 31 December 20X0.

| Partners | Capital balances as at 1 January 20X0 (HK$'000) |
|---|---|
| Daniel Mok | 5,000 |
| Edward Chiu | 3,000 |
| Frank Lee | 2,000 |
| Total | 10,000 |

The three partners share profit or loss according to their opening capital balances. On 1 January 2021, Daniel, Edward and Frank admit a new partner, Gary Chan, who contributes his capital in cash of HK$2,500,000 into the new partnership DEFG and entitles him to 10% of the profit and loss of the firm as from 20X1.

**Required:**

(a) Determine the goodwill that Gary Chan contributes to the new partnership.

(b) Prepare the journal entries in sharing the goodwill by the old partners.

(c) Prepare the capital balances of the four partners as at 1 January 20X1.

# 11.5 RETIREMENT/DEATH OF A PARTNER

Usually, a partner of a business is free to withdraw from the partnership (e.g. retirement) although he or she may be subject to some terms and conditions as specified in the original partnership agreement. There are two common ways a partner might withdraw from a partnership.

First, the withdrawing partners may sell his or her interest to another partner. The buying partner may pay the withdrawing partner with cash or other assets. This transaction is accounted by debiting the withdrawing partner's capital account and crediting the buying partner's capital account with an equal amount.

The second common way a partner can withdraw is through the settlement of his or her interest with partnership cash or other assets.

In the following examples, suppose that Bob Chan withdraws from the partnership of HKQP Golfers Limited on 31 October 20X0. The partnership shows the following capital balances at the date of Bob Chan's withdrawal: Alan Tam, HK$84,000,000; Bob Chan, HK$38,000,000 and Calvin Lee, HK$38,000,000. The partners (Alan, Bob and Calvin) share income and loss equally. Accounting for Bob Chan's withdrawal depends on whether goodwill is accounted for.

### Illustrative Example 11: No Goodwill

If Bob Chan withdraws and takes cash equal to his capital balance, the entry is:

| 2020 | Descriptions | Debit (HK$'000) | Credit (HK$'000) |
|---|---|---|---|
| 31 Oct. | Bob Chan, Capital | 38,000 | |
| | Cash | | 38,000 |
| | Record of withdrawal of Bob Chan from partnership with no goodwill | | |

In addition to cash, Bob Chan can take away other assets (i.e. fixed or current assets) or a combination of those, to fully settle his outstanding capital account. After Bob Chan's withdrawal, the remaining partners (i.e. Alan Tam and Calvin Lee) will create a new partnership under a new partnership agreement.

### Illustrative Example 12: Goodwill to Remaining Partners

If the recorded value of the withdrawing partner's outstanding equity is overstated, he or she may agree to take less than its recorded value. The effect is goodwill to the remaining partners in the amount of the equity shortfall. The remaining partners' profit-or-loss-sharing agreement determines how this goodwill will be shared by the remaining partners.

In this example, if Bob Chan withdraws and agrees to take HK$34,000,000 cash in settlement of his capital balance, the entry is:

| 2020 | Descriptions | Debit (HK$'000) | Credit (HK$'000) |
|---|---|---|---|
| 31 Oct. | Bob Chan, Capital | 38,000 | |
| | Cash | | 34,000 |
| | Alan Tam, Capital (1/2) | | 2,000 |
| | Calvin Lee, Capital (1/2) | | 2,000 |
| | Record of withdrawal of Bob Chan and goodwill to remaining partners | | |

### Illustrative Example 12 – Goodwill to Remaining Partners *(continued)*

Bob Chan withdrew HK$4,000,000 less than his recorded capital of HK$38,000,000. This HK$4,000,000 is divided between Alan Tam and Calvin Lee according to their profit-and-loss-sharing ratio (i.e. 50:50).

### Illustrative Example 13 – Goodwill to Withdrawing Partner

There are two reasons why a withdrawing partner may receive goodwill, an amount exceeding the value of his or her recorded equity:

1. If the withdrawing partner's recorded equity is understated
2. If the remaining partners agree to remove the withdrawing partner by giving him or her more than the amount of his or her recorded equity

In either of these cases, the withdrawing partner receives goodwill. This requires the remaining partners to reduce their equity by the amount of this goodwill. The profit-and-loss-sharing agreement determines how much each remaining partner's equity would be reduced by. For example, if Bob Chan withdraws and receives HK$40,000,000 cash in settlement of Bob Chan's capital balance, the entry is:

| 2020 | Descriptions | Debit (HK$'000) | Credit (HK$'000) |
|---|---|---|---|
| 31 Oct. | Bob Chan, Capital | 38,000 | |
| | Alan Tam, Capital (1/2) | 1,000 | |
| | Calvin Lee, Capital (1/2) | 1,000 | |
| | Cash | | 40,000 |
| | To record Bob Chan's withdrawal from the partnership with goodwill to Bob | | |

### ▶ Knowledge Check Questions

**Question 13**

Identify which of the following is a common way a business partner may withdraw from a partnership.

**A** The withdrawing partner may sell his or her interest to another partner.

**B** The withdrawing partner may invite another person to replace his or her partnership.

**C** The withdrawing partner may pass on this partnership to his/her estate beneficiary upon his death.

**D** The withdrawing partner may file an application to the Company Registry to withdraw his/her partnership.

### Knowledge Check Questions *(continued)*

**Question 14**

MNP Notaries is a legal firm with the following capital account balances of the three partners as at 31 December 20X0.

| Partners | Capital balances as at 31 December 20X0 (HK$'000) |
|---|---|
| Michael Chan | 15,000 |
| Norman Lee | 13,000 |
| Peter Fong | 12,000 |
| Total | 40,000 |

The three partners share profit or loss according to their opening capital balances. On 1 January 20X1, Peter Fong withdrew from the partnership; Michael and Norman agreed to pay Peter HK$15,000,000 in cash for his withdrawal.

**Required:**

(a) Present the journal entries in settling the above withdrawal.

(b) Present the capital balances of the remaining partners as at 1 January 20X1.

***Death of a Partner***

Unfortunately, it may happen that an existing partner passes away, leaving his or her estate trustee or final beneficiaries entitled to receive the deceased partner's outstanding capital account or equity. The partnership agreement should delineate how inherited equity is handled. Typically, the death of a partner requires that the partnership close its books to determine the income or loss incurred since the end of the previous period. Then, the current market value for the partnership's assets and liabilities should be recorded. Finally, the surviving partners and the deceased partner's estate must formally agree on how to settle the deceased partner's equity.

Under the agreement, the remaining partners may buy the deceased partner's equity or the partnership can withdraw assets to pay the estate for it. The estate can also sell the equity to someone else, someone who is not already part of the partnership.

The accounting treatments are similar to those used in the withdrawal of a partner, as presented above.

# 11.6 DISSOLUTION OF A PARTNERSHIP

Not every day is a sunny day and there are always ups and downs that happen in a partnership business. The continuous downturn of a business partnership may trigger off closing down of the business. The liquidation process of a business partnership involves following four accounting steps:

1. Record the sale of non-cash assets for cash and any resulting gain or loss.
2. Allocate any gain or loss from the asset dissolution to the partners in accordance with the profit-loss-sharing ratio.
3. Pay or settle any partnership liabilities.
4. Distribute any remaining cash to partners based on their capital balances.

A debit or credit balance in the capital account may occur in a partnership dissolution, as described in the following sections.

## 11.6.1 No Capital Deficiency

After completing the above four accounting steps on a partnership dissolution, and no capital deficiency has occurred, then all partners' capital accounts will have a zero or credit balance before the final distribution of cash.

To illustrate, assume that Alan Tam, Bob Chan, and Calvin Lee operate their business partnership in HKQP Golfers partnership "HKQP Golfers" for several years, sharing profit and loss equally. The partners then decide to dissolve the partnership on 31 December 20X0. On that date, the current period profit and loss is transferred to the partners' capital accounts, following the terms of the partnership agreement. Just before dissolution, the partners' statement of financial position is as follows:

| **HKQP Golfers Partnership<br>Statement of Financial Position as at 31 December 20X0** | | |
|---|---|---|
| | **HK$'000** | **HK$'000** |
| Current Assets | | |
| Land | | 40,000 |
| Cash | | 178,000 |
| Total Assets | | 218,000 |
| | | |
| Capital | | |
| Capital accounts | | |
| Alan Tam | 70,000 | |

| HKQP Golfers Partnership<br>Statement of Financial Position as at 31 December 20X0 | | |
|---|---|---|
| | HK$'000 | HK$'000 |
| Bob Chan | 66,000 | |
| Calvin Lee | 62,000 | |
| Total capital | | 198,000 |
| | | |
| Current Liabilities | | |
| Trade payables | | 20,000 |
| Total capital and liabilities | | 218,000 |

**Step 1:** First, the partnership dissolves its non-cash assets. Non-cash assets are the most common source of gains or losses in a dissolution. The partners share any resulting gains or losses in accordance with their profit-and-loss-sharing agreement. In this case, all three partners share profit and loss equally, so that will be followed in this step of dissolution.

For example, suppose HKQP Golfers Partnership sells HK$40,000,000 in land for HK$46,000,000, yielding a net gain of HK$6,000,000. (Note that land is a non-cash asset.) The entry to sell the partnerships non-cash assets for HK$46,000,000 is as follows:

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| 20X0 | | HK'000 | HK$'000 |
| 31 Dec. | Cash | 46,000 | |
| | Land | | 40,000 |
| | Gain from dissolution | | 6,000 |
| | Record the gain from disposal of the non-cash asset | | |

Allocation from the above gain from dissolution (i.e. HK$6,000,000) per the partners' profit-and-loss-sharing agreements is as follows.

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| 20X0 | | HK$'000 | HK$'000 |
| 31 Dec. | Gain from dissolution | 6,000 | |
| | Capital – Alan Tam | | 2,000 |
| | Capital – Bob Chan | | 2,000 |
| | Capital – Calvin Lee | | 2,000 |
| | Allocation of gain to partners | | |

**Step 2:** The partnership pays its liabilities. Afterwards, the partners share any resulting gains or losses in accordance with their agreement. In this case, HKQP Golfers' only liability is HK$20,000,000 in trade payables, and no gain or loss occurred. The entry is as follows:

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| 20X0 | | HK$'000 | HK$'000 |
| 31 Dec. | Trade Payables | 20,000 | |
| | Cash | | 20,000 |
| | Payment of creditors' claims | | |

After step 2, the capital balances and cash balance are as follows:

| Capital – Alan Tam | | | |
|---|---|---|---|
| 20X0 | HK$'000 | 20X0 | HK$'000 |
| | | Opening balance | 70,000 |
| Closing balance | 72,000 | Gain from dissolution | 2,000 |
| | 72,000 | | 72,000 |

| Capital – Bob Chan | | | |
|---|---|---|---|
| 20X0 | HK$'000 | 20X0 | HK$'000 |
| | | Opening balance | 66,000 |
| Closing balance | 68,000 | Gain from dissolution | 2,000 |
| | 68,000 | | 68,000 |

| Capital – Calvin Lee | | | |
|---|---|---|---|
| 20X0 | HK$'000 | 20X0 | HK$'000 |
| | | Opening balance | 62,000 |
| Closing balance | 64,000 | Gain from dissolution | 2,000 |
| | 64,000 | | 64,000 |

| Cash | | | |
|---|---|---|---|
| 20X0 | HK$'000 | 20X0 | HK$'000 |
| Opening balance | 178,000 | Trade payables | 20,000 |
| Land | 46,000 | Closing balance | 204,000 |
| | 224,000 | | 224,000 |

**Step 3:** If any cash remains, it is divided among the partners based on their capital account balances. Note that this is different from how gains or losses from dissolution were allocated. Unlike gains or losses from dissolution, remaining cash is distributed to partners according to their capital account balances. The final distribution of cash to partners is recorded as follows:

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X0** | | **HK$'000** | **HK$'000** |
| 31 Dec. | Capital – Alan Tam | 72,000 | |
| | Capital – Bob Chan | 68,000 | |
| | Capital – Calvin Lee | 64,000 | |
| | Cash | | 204,000 |
| | Allocation of remaining cash to partners | | |

The statement of dissolution outlines this process as follows:

| | Cash + | Non-cash = Assets | Liabilities + | Alan Tam, Capital + | Bob Chan, Capital + | Calvin Lee, Capital + |
|---|---|---|---|---|---|---|
| | **HK$'000** | **HK$'000** | **HK$'000** | **HK$'000** | **HK$'000** | **HK$'000** |
| Beginning | 178,000 | 40,000 | 20,000 | 70,000 | 66,000 | 62,000 |
| Step 1 | 46,000 | (40,000) | | 2,000 | 2,000 | 2,000 |
| Step 2 | (20,000) | | (20,000) | 0 | 0 | 0 |
| Balances | 204,000 | 0 | 0 | 72,000 | 68,000 | 64,000 |
| Step 3 | (204,000) | | | (72,000) | (68,000) | (64,000) |
| Ending | 0 | 0 | 0 | 0 | 0 | 0 |

## 11.6.2 Capital Deficiency

After completing the steps in a business partnership, a partner's capital account may stand at a debit balance (i.e. capital deficiency). This can arise due to one of the following:

1. There are substantial losses from dissolution.
2. Withdrawals before dissolution were excessive.
3. Prior periods saw recurring losses.

If such a case happens, the partner with a capital deficiency must, if possible, cover the deficit by paying cash into the partnership.

Returning to the case of HKQP Golfers Partnership, assume that Alan Tam, Bob Chan and Calvin Lee operate their business partnership for several years, sharing profit and losses equally. Then the partners decide to dissolve their partnership on 31 December20X0.

Immediately before the final distribution of cash, the partners' recorded capital balances are: Alan Tam, HK$19,000,000; Bob Chan, HK$8,000,000; and Calvin Lee, HK$(3,000,000). Calvin Lee's capital deficiency means that Calvin owes the partnership HK$3,000,000. Both Alan Tam and Bob Chan have a legal claim against Calvin Lee's personal assets (i.e. the consequence of unlimited liability in a partnership). The final distribution of cash depends on what Calvin does with his capital deficiency, which he is legally obligated to pay. He can either pay it or not pay it.

### Illustrative Example 14 – Partner Pays Deficiency

Suppose Calvin Lee is willing and able to pay his capital deficiency. The following record would be created:

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X0** | | **HK'000** | **HK'000** |
| 31 Dec. | Cash | 3,000,000 | |
| | Capital – Calvin Lee | | 3,000,000 |
| | Payment of deficiency by Calvin Lee | | |

After this HK$3,000,000 payment, the partners' capital balances are Alan Tam, HK$19,000,000; Bob Chan, HK$8,000,000; and Calvin Lee, HK$0. The entry to record the final cash distribution to partners is:

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X0** | | **HK$'000** | |
| 15 Jan. | Capital – Alan Tam | 19,000 | |
| | Capital – Alan Tam | 8,000 | |
| | Cash | | 27,000 |
| | Distribution of remaining cash to partners | | |

### Illustrative Example 15 – Partner Cannot Pay Deficiency

If Calvin is unable to pay his capital deficiency, the remaining partners with credit balances are forced to absorb it according to their profit-loss-sharing ratio. In this case, Alan Tam and Bob Chan will absorb Calvin's HK$3,000,000 deficiency. Recall that under their agreement, Alan Tam and Bob Chan share profit and loss equally. As such, they each absorb half of Calvin's capital deficiency and pay HK$1,500,000. This is recorded in the following entry:

### Illustrative Example 15 – Partner Cannot Pay Deficiency *(continued)*

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X0** | | **HK'000** | **HK'000** |
| 31 Dec. | Capital – Alan Tam | 1,500 | |
| | Capital – Bob Chan | 1,500 | |
| | Capital – Calvin Lee | | 3,000 |
| | Transfer of Calvin Lee's deficit to Alan Tam and Bob Chan | | |

After Alan and Bob absorb Calvin's deficiency, the partners' capital accounts are as follows: Alan Tam, HK$17,500,000; Bob Chan, HK$6,500,000; and Calvin Lee, HK$0. The following entry records the final cash distribution to the partners:

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X0** | | **HK$'000** | **HK$'000** |
| 31 Dec. | Capital – Alan Tam | 17,500 | |
| | Capital – Bob Chan | 6,500 | |
| | Cash | | 24,000 |
| | Distribution of remaining cash to partners | | |

Calvin Lee's liability or capital deficiency absorbed by Alan Tam and Bob Chan does not relieve Calvin Lee of the liability. If Calvin Lee becomes able to pay at a future date, Alan Tam and Bob Chan can each collect HK$1,500,000 from Calvin Lee. Of course, how to enforce such a recovery of debt is a legal issue between Alan, Bob and Calvin.

### ▶ Knowledge Check Questions

**Question 15**

Anthony Chan, Bosco Lee and Carlson Tong have operated a partnership in electronic appliances business for a decade. Their partnership produced the following Statement of Financial Position as at 31 December 20X9:

| ABC Electronic Appliances Partnership<br>Statement of Financial Position as at 31 December 20X9 | | |
|---|---|---|
| | **HK$'000** | **HK$'000** |
| Current assets | | |
| Inventory | | 268,600 |
| Cash | | 90,400 |
| Total Assets | | 359,000 |

## ▶ Knowledge Check Questions *(continued)*

| ABC Electronic Appliances Partnership<br>Statement of Financial Position as at 31 December 20X9 | | |
|---|---|---|
| | **HK$'000** | **HK$'000** |
| Capital | | |
| Capital accounts | | |
| Anthony Chan | 46,500 | |
| Bosco Lee | 106,250 | |
| Carlson Tong | 83,500 | |
| Total capital | | 236,250 |
| | | |
| Current liabilities | | |
| Trade payables | | 122,750 |
| Total capital and liabilities | | 359,000 |

Dickson Wong has been approached by the existing three partners of ABC Electronic Appliances Partnership to invest in their partnership and to be admitted as a new partner.

**Required:**

Acting as a financial consultant, you are requested by Dickon Wong whether he should invest in the partnership. Account for the advice for Dickson.

**Question 16**

During the dissolution process of a business partnership, determine the way to record the sale of non-cash assets for cash and the resulting gain or loss.

**A** Charge the gain or loss from the asset dissolution to the statement of profit or loss and other comprehensive income.

**B** Allocate any gain or loss from the asset dissolution to the partners' capital accounts in accordance with the profit-loss-sharing ratio of the partners.

**C** Charge the gain or loss from the asset dissolution to the dissolution expense account.

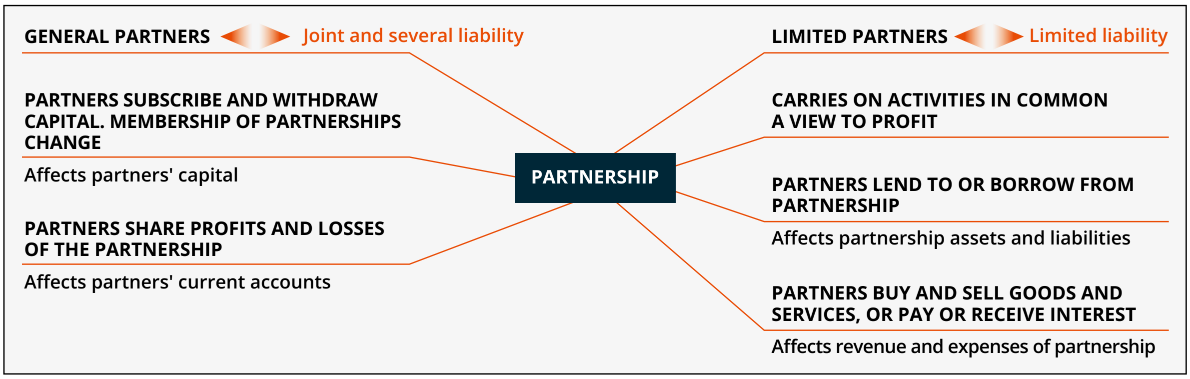
**D** None of the above.

## SUMMARY

- A partnership is a relation between two or more parties in which a business is carried on in common with a view to profit.
- The operations of a partnership are governed by the partnership agreement and by the Partnership Ordinance (Cap 38) and, where applicable, the Limited Partnership Ordinance (Cap 37).
- Each general partner is jointly and severally liable for all partnership debts.
- Any limited partner's liability is limited to their contributed capital.
- The financial statements of a partnership are like those of most other entities. The notable difference is the frequency and importance of both transactions with partners in their capacity as owners, and possibly in their other capacities (e.g. as employees).
- The financial statements of partnerships are only impacted when a transaction or event impacts an element of the accounting equation E = A – L.
- To admit a new partner, he or she can either (1) purchase an interest from one or more current partners or (2) invest cash or other assets in the new partnership. Depending on the value of the partnership, the existing partners may require a new partner to pay goodwill in order to join or the new partner may receive goodwill from existing partners as a discount.
- To withdraw from a partnership, a partner can settle his or her interest with partnership cash or other assets. Depending on the value of the partnership, the withdrawing partner may pay or receive goodwill to the existing partners.
- In the event of a partner's death, outstanding capital or equity can be left to his or her estate trustee or financial beneficiaries. After closing the partnership's books and recording the current market value of the partnership's assets and liabilities, the surviving partners and the deceased partner's estate must formally agree upon a settlement.

Dissolution of a partnership involves four steps: (1) record the sale of non-cash assets for cash and any resulting gain or loss, (2) allocate any gain or loss from the asset distribution to the partners in accordance with the profit-loss-sharing ratio, (3) pay or settle any partnership liabilities and (4) distribute any remaining cash to partners based on their capital balances.

## MIND MAP




### ▶ Answers to Knowledge Check Questions

**Question 1**

Answer A is incorrect. A partnership is an unincorporated entity with unlimited liabilities to the partners.

Answer B is incorrect. A limited partnership need not be registered under the Partnerships Ordinance.

Answer C is incorrect. A partnership is an unincorporated entity with at least two owners.

Answer D is correct. This is the definition of a partnership.

**Question 2**

Answer A is incorrect because it is not a complete answer. Each of the other answers is also correct.

Answer B is incorrect because it is not a complete answer. Each of the other answers is also correct.

Answer C is incorrect because it is not a complete answer. Each of the other answers is also correct.

Answer D is correct. All of the above can indicate that the definition of a partnership has been met. It is the meeting of definition of a partnership that is critical. Good practice is to have a comprehensive written agreement.

**Question 3**

Answer A is incorrect because it is not a complete answer. Each of the other answers is also correct. This statement highlights the unlimited liabilities of a partner in a general partnership.

Answer B is incorrect because it is not a complete answer. Each of the other answers is also correct.

Answer C is incorrect because it is not a complete answer. Each of the other answers is also correct.

Answer D is correct. Each of the other answers is correct under the principles of mutual agency in general partnership.

**Question 4**

Answer A is incorrect because it is not a complete answer. Each of the other answers is also correct. Cash is the most common asset contributed to a partnership.

Answer B is incorrect because it is not a complete answer. Each of the other answers is also correct. Non-current assets are common contributions offered by partners in a partnership.

Answer C is incorrect because it is not a complete answer. Partners can provide unequal contributions of recognisable assets and may not share profits equally.

Answer D is correct. All of the above are permitted if the partnership agreement allows.

**Question 5**

(a)

**Andy Chan and Branson Lee**
**Appropriation Account for Year Ended 31 December 20X0**

| | **HK$'000** | **HK$'000** |
|---|---|---|
| Profit for the year | | 60,000 |
| Less: Interest allowances (10%) | | |
| Andy Chan | 8,000 | |
| Branson Lee | 4,000 | (12,000) |
| | | 48,000 |
| Remaining profit allocated to: | | |
| Andy Chan (HK$48,000,000 / 2) | | 24,000 |
| Branson Lee (HK$48,000,000 / 2) | | 24,000 |
| | | 48,000 |

(b) Total income for Andy Chan

$$HK\$24{,}000{,}000 + HK\$8{,}000{,}000 = HK\$32{,}000{,}000$$

Total income for Branson Lee

$$HK\$24{,}000{,}000 + HK\$4{,}000{,}000 = HK\$28{,}000{,}000$$

**Question 6**

(a) Unlimited liability means that the creditors of a partnership require each partner to be personally responsible for all partnership debts.

(b) A limited partnership is a partnership made up of two or more partners. General partners oversee and run the business, and have unlimited liability for company debt. Limited partners play no role in the business's day-to-day management and their liability is limited to the amount of their investment.

**Question 7**

There is no necessary difference between the statement of profit or loss and other comprehensive income for a partnership when compared to other entities. However, the accounting for partnerships is often not regulated and it is open to the partners as to what format they want:

- For example they may require a detailed statement of all revenues and expenses rather than one which only shows required amounts under accounting standards.
- Another example might be a preference for say recurring and non-recurring items to be distinguished on the face of the statement. That distinction is not required by accounting standards.

**Question 8**

When a business partnership closes its statement of profit or loss and other comprehensive income for an accounting period, the period's net profit or loss is first summarised in the appropriation account. This profit or loss is then allocated to each partner's capital account according to their proportional ownership of the business. For example, if the appropriation account contains a profit, then each partner's share of the profit is debited from the appropriation account and credited to his or her respective capital account. Conversely, if the appropriation account shows a loss, then each partner's capital account is debited proportionally and the same amount is credited to the appropriation account.

**Question 9**

A partner's total capital is the sum of the balances on their capital account and their current account in the statement of financial position for a business partnership. Recall that the capital account represents the amount the partner has invested in the company, while the current account shows the amount the partner has earned through the partnership's business activities. In practice, it is practical to separate what the partner has invested (i.e. the amount in the capital account) and what the partner has earned from the partnership's business activities (i.e. the current account). To achieve this, the capital account is usually fixed, while the current account reflects the current total of appropriations (e.g. interest on capital, loan interest, interest on drawings, salaries, etc.) and the share of any residual profit/loss less drawings. A partner's drawings will be a debit entry in the partner's current account.

**Question 10**

Answer A is incorrect. The partners' current accounts appear under the capital heading on the statement of financial position. Current and capital accounts are not considered current assets.

Answer B is correct. Trade receivables, inventory, and cash in the bank are all current assets, so they are listed under the current assets section of the statement of financial position.

Answer C is incorrect. Manufacturing equipment, like company vehicles, office equipment, and other depreciable assets, are considered to be non-current assets. As such, they appear above current assets on the statement of financial position.

Answer D is incorrect. A company bank loan is considered a non-current liability. Liabilities appear toward the bottom of the statement of financial position.

**Question 11**

Answer A is incorrect. Either the new partner is purchasing his/her share from the partnership or is contributing assets into the new partnership. However, Answer A is not the only correct answer for this question. Option D should be the best answer.

Answer B is incorrect. This is because the change of membership means creation of a new partnership. However, Answer B is not the only correct answer for this question. Option D should be the best answer.

Answer C is incorrect. The difference is equal to the goodwill (greater amount) or discount (lower amount) paid or received by the incoming partner. However, Answer C is not the only correct answer for this question. Option D should be the best answer.

Answer D is correct. Answers A, B and C are all correct but this is the best answer.

**Question 12**

| | **HK$'000** |
|---|---|
| Equity of existing partners | 10,000 |
| Investment of new partner, Gary Chan | 2,500 |
| Total partnership equity | 12,500 |
| Equity of Gary Chan (10% x HK$12,500) | 1,250 |

(a) The goodwill that Gary Chan contributes to the new partnership = HK$(2,500,000 – 1,250,000) = HK$1,250,000

(b) Prepare the journal entries in sharing the goodwill by the old partners

| **Date** | **Particulars** | **Debit** | **Credit** |
|---|---|---|---|
| **20X1** | | **HK$** | **HK$** |
| 4 Jan. | Cash | 2,500,000 | |
| | Capital – Gary Chan | | 1,250,000 |
| | Capital – Daniel Mok (HK$1,250,000 x 5/10) | | 625,000 |
| | Capital – Edward Chiu (HK$1,250,000 x 3/10) | | 375,000 |
| | Capital – Frank Lee (HK$1,250,000 x 2/10) | | 250,000 |
| | Record of admission of Gary Chan and goodwill | | |

(c) The capital balances of the four partners as at 1 January 20X1.

| Partners | Capital balances as at 1 January 20X1 (HK$'000) |
|---|---|
| Daniel Mok | 5,625 (5,000 + 625) |
| Edward Chiu | 3,375 (3,000 + 375) |
| Frank Lee | 2,250 (2,000 +250) |
| Gary Chan | 1,250 |
| Total | 12,500 |

**Question 13**

Answer A is correct. This is the most common way to do a withdrawal.

Answer B is incorrect. Any such invitation must be agreed by all the existing partners.

Answer C is incorrect. The death of a partner would cease the existing partnership immediately.

Answer D is incorrect. Approval from the Company Registry is not required at all.

**Question 14**

(a) Present the journal entries in settling the above withdrawal.

| 2021 | Descriptions | Debit (HK$) | Credit (HK$) |
|---|---|---|---|
| 4 Jan. | Peter Fong, Capital | 12,000,000 | |
| | Michael Chan, Capital (HK$3,000,000 x15/28) | 1,607,143 | |
| | Norman Lee, Capital (HK$3,000,000 x 13/28) | 1,392,857 | |
| | Cash | | 15,000,000 |
| | Record of withdrawal of Peter Fong | | |

(b) Present the capital balances of the remaining partners as at 1 January 20X1.

| Partners | Capital balances as at 1 January 2021 (HK$) |
|---|---|
| Michael Chan | 13,392,857 (15,000,000 – 1,607,143) |
| Norman Lee | 11,607,143 (13,000,000 – 1,392,857) |
| Total | 25,000,000 |

**Question 15**

Dickson should be advised not to invest in the ABC Electronic Appliances Partnership due to the following considerations:

- If the partnership is dissolved now, its available cash of HK$90,400,000 cannot settle the total trade payables of HK$122,750,000. The partnership has to sell its inventory for at least HK$32,350,000 (i.e. HK$122,750,000 – HK$90,400,000) in order to fully pay all the trade payables.

- In the case of dissolving the partnership at this point in time, all the existing three partners would not receive any cash or other current assets, since the trade payables have the first priority of repayment.
- It seems that the existing partners are not willing to invest further current assets into their partnership, which may indicate that they have a pessimistic outlook of their business.

**Question 16**

Answer A is incorrect. This is because the gain or loss is of a capital nature.

Answer B is correct. This is because the capital gain or loss should be charged to the partner's capital accounts.

Answer C is incorrect. The gain or loss is not of a revenue nature.

Answer D is incorrect. Answer B is the correct answer, not Answer D.

## EXAM PRACTICE

### QUESTION 1

(a) Prepare the journal entries required to record the formation of XYZ partnership, in which there are three partners contributing as follows:

a. Cash HK$5 million as capital each;

b. Inventory of HK$1 million each; and

c. Partner X provides equipment with a fair value of HK$4 million.

(b) The partners in XYZ agree to share the profit or loss of the partnership proportionate to the value of capital subscribed. Profits are allocated to partners' current accounts using an appropriation account. The profit for 20X1 is HK$15 million. Calculate the entitlements of each of the partners.

(c) List the advantages and disadvantages of forming a partnership rather than a limited company.

### QUESTION 2

The following trial balance relates to Cosmos partnership at 31 March 20X9:

**Cosmos Partnership**
**Trial Balance at 31 March 20X9**

| | HK$ Dr | HK$ Cr |
|---|---|---|
| Sales | | 5,803,000 |
| Depreciation – vehicles | 50,000 | |
| Depreciation – office equipment | 12,500 | |
| Operating expense and other salaries | 162,500 | |

| Cosmos Partnership<br>Trial Balance at 31 March 20X9 | | | |
|---|---|---|---|
| | | **HK$**<br>**Dr** | **HK$**<br>**Cr** |
| Cost of goods sold | | 2,125,000 | |
| Vehicles | | 267,500 | |
| Accumulated depreciation – vehicles | | | 50,000 |
| Office equipment | | 62,500 | |
| Accumulated depreciation – office equipment | | | 12,500 |
| Inventory | | 450,000 | |
| Trade receivables | | 225,000 | |
| Cash at bank | | 6,132,500 | |
| Loan from bank | | | 375,000 |
| Trade payables | | | 100,000 |
| Drawings | | | |
| | Simon | 800,000 | |
| | Cynthia | 750,000 | |
| | Ruby | 450,000 | |
| | Peter | 400,000 | |
| Current accounts | | | |
| | Simon | | 1,651,250 |
| | Cynthia | | 1,616,250 |
| | Ruby | | 1,021,500 |
| | Peter | | 995,500 |
| Capital accounts | | | |
| | Simon | | 78,750 |
| | Cynthia | | 78,750 |
| | Ruby | | 52,500 |
| | Peter | | 52,500 |
| Total | | 11,887,500 | 11,887,500 |

Additional information below had not been taken into account for the year ended 31 March 20X9:

- During the period, the partners had drawings and each partner was charged 2% interest on their maximum drawings.
- Also during the period, Simon had made a loan to the partnership of HK$25,000. That loan has been fully repaid by the end of the period, but incurred interest of HK$1,000 (4% of HK$25,000).

- Each partner was paid the below salary for their work in the partnership:

| | |
|---|---|
| Simon | HK$165,000 |
| Cynthia | HK$150,000 |
| Ruby | HK$105,000 |
| Peter | HK$80,000 |

- The profit for the period was shared based on the below percentage per the partnership agreement:

  Simon 30%

  Cynthia 30%

  Ruby 20%

  Peter 20%

- There were no changes in the capital contributed by the partners over the period.

**Required**

(a) Prepare the statement of profit or loss and other comprehensive income of Cosmos partnership for the year ended 31 March 20X9.

(b) Prepare the appropriation account for Cosmos partnership.

(c) Prepare the current account for each partner in T-account format for the year ended 31 March 20X9.

(d) Prepare the statement of financial position for Cosmos partnership as at 31 March 20X9.

## QUESTION 3

Identify which of the following might be affected directly by the recording of a partner's salary entitlement.

**A.** Partner's capital account
**B.** Partner's current account
**C.** Accounts payable
**D.** Statement of profit or loss and other comprehensive income

## QUESTION 4

Determine how a loss is accounted for at the end of an accounting period.

**A.** As a credit to the partner's capital accounts
**B.** As a debit to the partner's current accounts
**C.** As a distribution of drawings
**D.** As a debit to the partner's capital accounts

## QUESTION 5

(1) Sam Sun and Ron Rain decided to form a partnership:

- Sam contributes cash HK$100,000 to the partnership.
- Ron contributes cash HK$25,000 and an automobile with a market value of HK$30,000.

(2) Sam Sun wants to go on a beach vacation and decides to take HK$8,000 out of the business. Ron Rain wants to go to Scotland and will take HK$15,000 out of the business.

(3) The partnership profit for the year ended 31 December 20X0 is HK$50,000. Per the partnership agreement, Sam Sun and Ron Rain equally share the profits. The interest on capital is at a rate of 2% per annum and drawings is at a rate of 5% per annum. Ron takes more responsibilities and is in charge of the operations of the partnership so he receives a salary of HK$20,000 for the year. Sam does not involve much in the daily operations of the partnership.

**Required**

(a) Prepare the journal entries of the partnership accounting transactions of (1) and (2).

(b) Prepare the appropriation account for the transactions in (3).

(c) Prepare the current accounts with opening balances brought down to next period for Sam Sun and Ron Rain.

## QUESTION 6

Aron Chan, Brandon Lee and Cameron Wong have operated their partnership, ABC Partnership, for 20 years, but their business has significantly declined in recent years. On 31 December 20X8, ABC Partnership produced the following Statement of Financial Position.

**ABC Partnership**

**Statement of Financial Position as at 31 December 20X8**

| | **HK$'000** | **HK$'000** |
|---|---|---|
| Current Assets | | |
| Other assets | | 32,000 |
| Cash | | 5,000 |
| Total Assets | | 37,000 |
| | | |
| Capital | | |
| Capital accounts | | |
| Aron Chan | 10,000 | |
| Brandon Lee | 10,000 | |
| Cameron Wong | 10,000 | |
| Total capital | | 30,000 |
| | | |
| Current liabilities | | |
| Trade payables | | 7,000 |
| Total capital and liabilities | | 37,000 |

**Further information:**

(1) Profits and losses are shared in a ratio of 5:3:2 (Aron: 50%; Brandon: 30%; Cameron: 20%).

(2) The partnership is dissolved on 1 January 20X9.

(3) The trade payables are paid in cash.

(4) The other assets are sold for cash HK$42,000,000 on 1 January 20X9.

**Required:**

(a) Determine the gain on disposal of other assets.

(b) Determine the share of gain on disposal of other assets by the partners.

(c) Determine the settlement of trade payables.

(d) Prepare the final distribution of cash to the partners.

## ANSWERS TO EXAM PRACTICE

### QUESTION 1

(a)

| | | Debit HK$ m | Credit HK$ m |
|---|---|---|---|
| GJ 1 | Cash at bank | 15 | |
| | Capital – Partner X | | 5 |
| | Capital – Partner Y | | 5 |
| | Capital – Partner Z | | 5 |
| | Contribution of HK$5 m per partner | | |
| | | | |
| GJ 2 | Inventory | 3 | |
| | Capital – Partner X | | 1 |
| | Capital – Partner Y | | 1 |
| | Capital – Partner Z | | 1 |
| | Contribution of inventory by each partner to partnership | | |
| | | | |
| GJ 3 | Equipment | 4 | |
| | Capital – Partner X | | 4 |
| | Contribution of equipment by Partner X | | |

(b) Partners' relative interests and profit shares.

| | Capital contribution (HK$ m) | Percentage | Profit allocated to current accounts (HK$ m) |
|---|---|---|---|
| Partner X | 10 | 45.5% | 6.80 |
| Partner Y | 6 | 27.3% | 4.10 |
| Partner Z | 6 | 27.2% | 4.10 |
| Total | 22 | 100 | 15 |

(c)

- Partnerships expose the general partners to joint and several liability, whereas a company's shareholders have limited liability (like that of limited partners).
- General partners can be involved in the direction of the company more easily in partnerships and smaller companies. Limited partners cannot be involved in direction of a partnership without losing their limited liability. Companies often have a greater separation of ownership and management.
- The reporting requirements of partnerships are less than for a limited company, and tend to be driven only by the accountability of partners to each other, the needs of the tax authorities and the requirements imposed by financiers.
- Limited companies can sometimes be better placed to raise finance, given the general protections of the law for creditors and existence of capital markets.

## QUESTION 2

(a)

**Cosmos Partnership**
**Statement of Profit or Loss and Other Comprehensive Income**
**For the year ended 31 March 20X9**

| | | HK$ |
|---|---|---|
| Sales | | 5,803,000 |
| Less: Cost of goods sold | | (2,125,000) |
| Gross profit | | 3,678,000 |
| Less: Expenses | | |
| | Operating expenses and other salaries | (162,500) |
| | Depreciation | (62,500) |
| Profit for the period | | 3,453,000 |

(b)

| Cosmos Partnership<br>Appropriation Account for the Year Ended 31 March 20X9 | | |
|---|---|---|
| | **HK$** | **HK$** |
| Profit for the period | | 3,453,000 |
| Add: Interest on drawings | | |
| Simon (HK$800,000 x 2%) | 16,000 | |
| Cynthia (HK$750,000 x 2%) | 15,000 | |
| Ruby (HK$450,000 x 2%) | 9,000 | |
| Peter (HK$400,000 x 2%) | 8,000 | 48,000 |
| | | 3,501,000 |
| Less: Interest on loan – Simon | | (1,000) |
| Less: Salaries for partners | | |
| Simon | 165,000 | |
| Cynthia | 150,000 | |
| Ruby | 105,000 | |
| Peter | 80,000 | (500,000) |
| Remaining profit | | 3,000,000 |
| Remaining profit of HK$3,000,000 allocated to: | | |
| Simon (HK$3,000,000 x 30%) | | 900,000 |
| Cynthia (HK$3,000,000 x 30%) | | 900,000 |
| Ruby (HK$3,000,000 x 20%) | | 600,000 |
| Peter (HK$3,000,000 x 20%) | | 600,000 |
| | | 3,000,000 |

(c)

| Current account – Simon | | | |
|---|---|---|---|
| **20X9** | **HK$** | **20X9** | **HK$** |
| Drawings | 800,000 | Opening balance | 1,651,250 |
| Interest on drawings | 16,000 | Salary | 165,000 |
| | | Interest on loan | 1,000 |
| Closing balance | 1,901,250 | Profit sharing | 900,000 |
| | 2,717,250 | | 2,717,250 |

| Current account – Cynthia | | | |
|---|---|---|---|
| **20X9** | **HK$** | **20X9** | **HK$** |
| Drawings | 750,000 | Opening balance | 1,616,250 |
| Interest on drawings | 15,000 | Salary | 150,000 |
| Closing balance | 1,901,250 | Profit sharing | 900,000 |
| | 2,666,250 | | 2,666,250 |

| Current account – Ruby | | | |
|---|---|---|---|
| **20X9** | **HK$** | **20X9** | **HK$** |
| Drawings | 450,000 | Opening balance | 1,021,500 |
| Interest on drawings | 9,000 | Salary | 105,000 |
| Closing balance | 1,267,500 | Profit sharing | 600,000 |
| | 1,726,500 | | 1,726,500 |

| Current account – Peter | | | |
|---|---|---|---|
| **20X9** | **HK$** | **20X9** | **HK$** |
| Drawings | 400,000 | Opening balance | 995,500 |
| Interest on drawings | 8,000 | Salary | 80,000 |
| Closing balance | 1,267,500 | Profit sharing | 600,000 |
| | 1,675,500 | | 1,675,500 |

(d)

| Cosmos Partnership<br>Statement of Financial Position as at 31 March 20X9 | | |
|---|---|---|
| | **HK$** | **HK$** |
| **Non Current Assets** | | |
| Vehicles HK$(267,500 – 50,000) | | 217,500 |
| Office equipment HK$(62,500 – 12,500) | | 50,000 |
| | | 267,500 |
| **Current Assets** | | |
| Inventory | 450,000 | |
| Trade receivables | 225,000 | |
| Cash at bank | 6,132,500 | 6,807,500 |
| **Total Assets** | | **7,075,000** |

| Cosmos Partnership<br>Statement of Financial Position as at 31 March 20X9 *(continued)* | | | |
|---|---|---|---|
| | | HK$ | HK$ |
| **Capital** | | | |
| **Capital accounts** | | | |
| | Simon | 78,750 | |
| | Cynthia | 78,750 | |
| | Ruby | 52,500 | |
| | Peter | 52,500 | |
| | | | 262,500 |
| **Current accounts** | | | |
| | Simon | 1,901,250 | |
| | Cynthia | 1,901,250 | |
| | Ruby | 1,267,500 | |
| | Peter | 1,267,500 | |
| | | | 6,337,500 |
| **Total Capital** | | | 6,600,000 |
| **Non-current liabilities** | | | |
| Loan from bank | | | 375,000 |
| **Current liabilities** | | | |
| Trade payables | | | 100,000 |
| **Total liabilities** | | | 475,000 |
| **Total capital and liabilities** | | | **7,075,000** |

Note: there are no remaining loans to or from partners as they were repaid during the year.

## QUESTION 3

Answer A is incorrect because the partner's capital account records investments made by the partners into the company and withdrawals thereof.

Answer B is correct because the partner's current account records partners' share of profits or losses. It also records salaries to partners.

Answer C is incorrect because salaries to partners would be recorded in the current account.

Answer D is incorrect in the sense that only the other expenses would affect the statement of profit or loss and other comprehensive income.

## QUESTION 4

Answer A is incorrect because a loss would be identified as a debit to the partner's current account.

Answer B is correct because a debit is allocated to each partner's current account.

Answer C is incorrect because a loss would not result in a distribution of drawings.

Answer D is incorrect because a business loss would not be recorded as a debit to partners' capital accounts unless there was an agreement to reduce capital by that amount.

## QUESTION 5

(a) The journal entries for transaction (1) would be:

| Account | Debit (HK$) | Credit (HK$) |
|---|---|---|
| Cash | 100,000 | |
| Capital – Sam Sun | | 100,000 |
| To record cash contribution by partner Sam Sun | | |
| | | |
| Cash | 25,000 | |
| Automobile | 30,000 | |
| Capital – Ron Rain | | 55,000 |
| To record cash and assets contributed by partner Ron Rain | | |

The journal entries for transaction (2) would be:

| Account | Debit (HK$) | Credit (HK$) |
|---|---|---|
| Current account – Sam Sun | 8,000 | |
| Cash | | 8,000 |
| To record cash withdrawn by the partner Sam Sun | | |
| | | |
| Current account – Ron Rain | 15,000 | |
| Cash | | 15,000 |
| To record cash withdrawn by the partner Ron Rain | | |

(b) The appropriation account:

**Sam Sun & Ron Rain**
**Appropriation Account for the Year Ended 31 December 20X0**

| | HK$ | HK$ |
|---|---|---|
| Profit for the year | | 50,000 |
| Add: Interest on drawings | | |
| Sam Sun (HK$8,000 x 5%) | 400 | |
| Ron Rain (HK$15,000 x 5%) | 750 | 1,150 |
| | | 51,150 |
| Less: Interest on capital | | |
| Sam Sun (HK$100,000 x 2%) | 2,000 | |
| Ron Rain (HK$55,000 x 2%) | 1,100 | (3,100) |
| | | 48,050 |
| Less: Salary | | |
| Ron Rain | | (20,000) |
| | | 28,050 |

| **Sam Sun & Ron Rain<br>Appropriation Account for the Year Ended 31 December 20X0 *(continued)*** | | |
|---|---|---|
| | **HK$** | **HK$** |
| Remaining profit allocated to: | | |
| Sam Sun (HK$28,050 / 2) | | 14,025 |
| Ron Rain (HK$28,050 / 2) | | 14,025 |
| | | 28,050 |

(c)

**Current account – Sam Sun**

| **20X0** | | **HK$** | **20X0** | | **HK$** |
|---|---|---|---|---|---|
| 1 January | Drawings | 8,000 | 31 December | Interest on capital | 2,000 |
| 31 December | Interest on drawings | 400 | | Profit sharing | 14,025 |
| | Closing balance | 7,625 | | | |
| | | 16,025 | | | 16,025 |
| | | | **20X1** | | |
| | | | 1 January | Opening balance | 7,625 |

**Current account – Ron Rain**

| **20X0** | | **HK$** | **20X0** | | **HK$** |
|---|---|---|---|---|---|
| 1 January | Drawings | 15,000 | 31 December | Interest on capital | 1,100 |
| 31 December | Interest on drawings | 750 | | Salary | 20,000 |
| | Closing balance | 19,375 | | Profit sharing | 14,025 |
| | | 35,125 | | | 35,125 |
| | | | **20X1** | | |
| | | | 1 January | Opening balance | 19,375 |

## QUESTION 6

(a) Determine the gain on disposal of other assets.

| **Date** | **Particulars** | **Debit** | **Credit** |
|---|---|---|---|
| **20X9** | | **HK$'000** | **HK$'000** |
| 1 Jan. | Cash | 42,000 | |
| | Other Assets | | 32,000 |
| | Gain from dissolution | | 10,000 |
| | Sold other assets at a gain | | |

(b) Determine the share of gain on disposal of other assets by the partners.

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X9** | | **HK$'000** | **HK$'000** |
| 1 Jan. | Gain from Liquidation | 10,000 | |
| | Capital – Aron Chan | | 5,000 |
| | Capital – Brandon Lee | | 3,000 |
| | Capital – Cameron Wong | | 2,000 |
| | To allocate gain from dissolution to partners | | |

(c) Determine the settlement of trade payables.

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X9** | | **HK$'000** | **HK$'000** |
| 1 Jan. | Trade Payables | 7,000 | |
| | Cash | | 7,000 |
| | Payment to settle the trade payables | | |

(d) Prepare the final distribution of cash to the partners.

| Date | Descriptions | Debit | Credit |
|---|---|---|---|
| **20X9** | | **HK$'000** | **HK$'000** |
| 1 Jan. | Capital – Aaron Chan | 15,000 | |
| | Capital – Brandon Lee | 13,000 | |
| | Capital – Cameron Wong | 12,000 | |
| | Cash HK$(5,000 + 42,000 - 7,000) | | 40,000 |
| | To allocate remaining cash to partners | | |

# 12
# Financial Statements of a Limited Company

## CHAPTER TOPIC LIST

# LEARNING OUTCOMES

| PRINCIPAL LO4: PREPARE AND PRESENT FINANCIAL STATEMENTS FROM A TRIAL BALANCE OR INCOMPLETE RECORDS |
|---|
| **LO4.02: Prepare financial statements for various common types of business entity** |
| **4.02.04** Prepare a statement of profit or loss and comprehensive income and a statement of financial position for a limited company |

## OPENING CASE

# GREAT STATIONERY LIMITED, PART 11

When the Wong brothers decided to form Great Stationery Limited ('Great Stationery'), they considered several business structures, including a **limited company**. The brothers were interested in limiting their personal exposure to liability, and they found they could do this by using a limited company structure for their business. It also appealed to them that this type of business entity enabled them to add other shareholders in the future.

A limited company is also a vehicle that can operate with a separation of ownership and management. As the business grows, they plan hiring managers to prepare for this future possibility. The Wong brothers can imagine that one day they might want to depend on professional managers to run the company. This would let the brothers withdraw from day-to-day involvement and became shareholders only.

# OVERVIEW

Limited companies have a number of important characteristics, including limited liability, transferable ownership, the ability to raise equity (capital) and debt, a continuous life and potentially separate ownership and management.

Along with these characteristics come responsibilities to be accountable to external parties. Public limited companies will have a series of regulatory obligations that must be met, in order for them to fulfil their obligations under the law. These obligations in relation to preparation, audit and the filing of financial statements will be discussed in further detail below.

Limited companies have more stringent accounting and reporting requirements than those faced by sole traders or partnerships. This chapter outlines the accounting and reporting requirements that are associated with limited companies in Hong Kong.

This chapter deals with two of those statements: the statement of profit or loss and other comprehensive income and the statement of financial position. The third of the three key financial statements, the statement of cash flows, was discussed in Chapter 5.

The statement of profit or loss and other comprehensive income includes information about the activities of the company throughout an accounting period, including details on sales, the cost of sales and expenses.

The statement of financial position, in contrast, includes information related to a specific point in time, as well as details of the assets that a company holds, its liabilities and its equity. Note that equity is a general term used in the conceptual framework for financial reporting. Sometimes people use the terms shareholders' funds, capital or other similar terms.

## 12.1 OVERVIEW OF THE NATURE AND CHARACTERISTICS OF, AND ACCOUNTING FOR, LIMITED COMPANIES

Companies are legal entities that can be funded by share capital and debt, and can hold a variety of assets to enable them to function. They can enter into contracts and can sue and be sued. They pay tax on their taxable income.

Importantly, their owners are not personally liable for the debts of the company. When suing, creditors know that security for their provision of credit is restricted to the assets of the company and their standing among other creditors. Creditors stand before shareholders in the event of liquidation.

Both creditors and shareholders can lose the funds they have invested in the company if the assets of company are insufficient to fully pay out everything. However, if the assets are insufficient, creditors cannot seek recompense from the shareholders. The shareholders are in jeopardy only for the funds invested – hence the notion of limited liability.

A limited company may be closely or widely held. The law provides for private limited companies and public companies:

- Private limited companies tend to be closely held. This means they have relatively few shareholders and are restricted in how they can raise funds from the public. Often they are family owned or are owned by the entrepreneurs who formed the company.
- Public limited companies tend to be more widely held; they can have thousands of shareholders. Shares of the company can be traded on a securities exchange such as the Hong Kong Stock Exchange (HKEX).

**Privately held companies** do not have the same access to funding as do public companies but they are also less regulated. Their reduced funding abilities can limit their development. This leads some to eventually have an initial public offering (IPO), in which potential investors must be provided with detailed information about the company and its prospects.

For non-publicly accountable entities, the HKICPA permits the use of HKFRS for Private Entities. This is based on IFRS for small and medium-sized enterprises (SMEs), the international equivalent.

For financial reporting, all public companies in Hong Kong are considered publicly accountable entities. This means that they are required to comply with the relevant standards of the HKICPA, which adopts International Financial Reporting Standards (IFRS).

In principle, the accounting for limited companies is no different than for other entities. It follows the accounting equation to recognise and measure the various elements (assets, liabilities, income, expenses and equity) of the financial statements.

In Hong Kong there is no accounting for premiums or discounts on the issuance of shares. An area that follows this approach is considered a *no-par* environment. Share issuances are recorded at their fair value to increase equity, reflecting the amount that was raised.

### 12.1.1 Distinguishing Limited Companies from Partnerships and Sole Traders

A number of characteristics distinguish limited companies from partnerships and sole traders.

A sole trader that is unincorporated has none of the benefits of a company or even a partnership:

- The owner can be exposed to unlimited liability, which can mean that all business and personal assets are in jeopardy if the business fails.
- The funding of the business will be limited to the funds of the owner and any borrowings the owner can raise as an individual.
- Along with these risks, the sole trader will enjoy the benefits of the entity while not facing extensive reporting requirements. Sole traders must file taxes, and bankers may require financial statements before making decisions about lending.

In a partnership:

- The acts of the owners (partners) bind the partnership.
- Partners are jointly and severally liable for the debts of the partnership.
- The transfer of an ownership interest in a partnership requires the consent of each partner.
- The withdrawal of partners from a partnership can mean the end of one partnership and the commencement of another, unless the partnership deed is structured to cope with this.

In a limited company:

- The acts of the owners (shareholders) do not bind the entity unless such owners are agents of the company.
- Shareholders of a limited company also have **limited liability**, thus the name. Since a limited company is a separate legal entity, creditors have recourse only to corporate assets to satisfy their claims. Even in the event of bankruptcy, shareholders' losses are generally limited to their capital investment in the company.
- Limited companies also have **transferable ownership** rights. Shares give ownership in a limited company. These shares are transferable units. The transfer of shares in a limited company is entirely at the discretion of the shareholder. It does not require the approval of either the company or other shareholders.

The transfer of ownership rights between shareholders normally has no effect on the daily operating activities of the company. Nor does it affect the company's assets, liabilities and equity. The transfer of these ownership rights is a 'transaction between owners'.

The company does not participate in the transfer of these ownership rights after the original issue of the share. It may however have to account for a return of equity and distributions to shareholders (i.e. 'transactions with owners').

### 12.1.2 Other Features of Limited Companies

A limited company has the **ability to acquire new capital**. It is relatively easy for a corporation to obtain capital through the issue of shares:

- Buying shares in a corporation is often attractive to an investor, because a shareholder has limited liability and shares are readily transferable.
- Also, numerous individuals can become shareholders by investing relatively small amounts of money.

A limited company may have a **continuing life**. The life may be perpetual or it may be limited to a specific number of years or specific circumstances (e.g. the life of an asset like a mine). Since a limited company is a separate legal entity, its continuance as a going concern is not affected by the withdrawal, death or incapacity of a shareholder, employee or officer. As a result, a successful company can have a continuing and perpetual life. Financial statements of companies (and other entities) are prepared on the assumption that they are a going concern, unless that assumption is found not to be appropriate.

Limited companies in Hong Kong must have at least one director or shareholder, and such a company can have one share. It should be remembered that this is a sole director company.

Larger limited companies will typically have more shareholders, and the accounting for shares and distributions to shareholders will be necessary to track how much of the company's resources are handed back to shareholders, and how much is kept within the company.

A limited company also has **management** that may be separate from the ownership. Shareholders legally own the company but they manage it indirectly through a board of directors. The board, in turn, formulates the operating policies and has governance responsibilities for the company. The board also selects officers to execute policy and to perform daily management functions:

- The chief executive officer (CEO) may have overall responsibility for managing the business, and may delegate responsibility to other officers.
- The chief accounting officer may be the controller, whose responsibilities may include maintaining the accounting records; ensuring an adequate system of internal control; and preparing financial statements, tax returns and internal reports.
- A treasurer may be appointed to manage all the funding and operational flows of the entity.

The separation of ownership and management can reduce a shareholder's ability to actively manage the company:

- In a private company, one or more shareholders may effectively hold the controlling votes and so be able to be intimately involved in the company.
- In a public company, a shareholder would either have to own a very significant slice of a company or act in concert with other shareholders to be able to directly influence the decisions of the board of a company. This may involve obtaining nomination and election to the board.

A company is subject to numerous **laws and regulations**. For example:

- Laws usually prescribe the requirements for issuing shares, the distributions of earnings permitted to shareholders and the acceptable methods for buying back and retiring shares.
- Also, **publicly held companies** are required to make extensive disclosure of their financial affairs through regular reports.
- In addition, when a company lists its shares on organised securities exchanges, it must comply with the listing and reporting requirements of these exchanges.

#### 12.1.2.1 Types of Limited Companies and Regulatory Requirements

There are three different types of limited companies that exist. Each of these has different characteristics that are outlined in Exhibit 12.1.

| | |
|---|---|
| Private companies | These companies can only have 50 members. There are legal restrictions on the transfers of shares in these companies. These companies are unable to offer shares and debentures to members of the public as part of a capital raising initiative.<br>Private companies are required to prepare annual financial statements in accordance with the 'relevant accounting standards' under full HKFRS (equivalent to full IFRS), HKFRS for Private Entities (equivalent to the IFRS for SMEs) or a locally developed 'Small and Medium Sized Entity Financial Reporting Framework and Financial Reporting Standard', depending on the company's facts and circumstances.<br>These companies must present these financial statements to the company's shareholders on an annual basis, but are not required to file financial statements with the Companies Registrar. |
| Public companies | These companies are able to invite members of the public to invest in their shares, which are traded on a stock exchange. They do not have restrictions such as those that exist for private companies. They can also issue debentures to members of the public.<br>Public companies and companies limited by guarantee are required to file their annual financial statements with the Companies Registrar. The Companies Registrar requires that:<br>• A public company files within 42 days after the date, which is six months after the end of the company's accounting reference period.<br>• For a company limited by guarantee, files within 42 days after the date, which is nine months after the end of the company's accounting reference period. |
| Listed companies | Public limited companies have the option to raise capital by listing on a stock exchange. Any company that wishes to do this must comply with listing criteria, the listing rules and other elements of market regulation before they make an offering to the public. |

**EXHIBIT 12.1 A comparison of types of limited companies**

## 12.1.3 Share Capital

Share capital consists of all funds raised by a company in exchange for shares of either ordinary or preference shares. The amount of share capital or equity financing a company has can change over time. A company that wishes to raise more equity can obtain authorisation to issue and sell additional shares, thereby increasing its share capital.

### 12.1.3.1 Types of Shares

There are two broad classifications of shares that are common in limited companies: ordinary shares and preference shares. They come with different rights for those who hold them. These rights are described in general terms below.

***Ordinary Shares***

These shares allow for one vote per share at company meetings and an equal participation in any distribution of **dividends** with other ordinary shareholders. It should be noted that no company is compelled to pay dividends to shareholders if the entity is underperforming or there are other projects for which reserves are required. Holders of ordinary shares can only get access to their residual interest in the assets on liquidation of the entity once all of the company's debts have been paid and preference shareholders have received their entitlement out of any residue. There may be little, if anything, left of the assets of a company in such circumstances.

***Preference Shares***

These shares may not have an associated voting right, but they do have a right to a fixed dividend to be paid at various points in time. This dividend may be expressed as a percentage of the share price. A one-dollar preference share that has a fixed dividend of 3% will attract a dividend of three cents per share.

A preference share may be:

- Non-cumulative, which means that any portion of the fixed dividend that is unpaid does not accumulate for payment in future years. This can occur when the dividend entitlement is tied to the earning of a profit in a period. In this case, in any period in which a loss is made, or insufficient profits earned to cover the dividend, the dividend will not be paid or will be limited.
- Conversely, a cumulative preference share will see entitlements not covered by profits deferred until sufficient profits have been earned, possibly over several periods.

Those holding preference shares are treated preferentially over those holding ordinary shares in the case of liquidation, but will rank behind debt holders.

The way in which an entity may account for an amount attributable to shares that have been issued, is similar to the manner in which accounting takes place for equity in the form of cash and assets contributed by a sole trader.

Key points related to the differences between the types of shares can be summarised in the table below:

| Differences between Ordinary and Preference Shares | | |
|---|---|---|
| | **Ordinary Shares** | **Preference Shares** |
| Voting rights | Voting rights exist. | Voting rights usually do not exist. |
| Dividends | Amount of any dividend paid will vary depending on the decision of the directors. | Fixed dividends are paid when sufficient profits are made. Entitlements are either cumulative or non-cumulative. |
| Liquidation of an entity | Holders of ordinary shares rank after debt and other equity holders for any residual value of assets. | Preference shareholders have priority over ordinary shareholders. They will rank behind debt holders. |

The two kinds of shares discussed above are the most common. There are other types of equity instruments that involve more complex arrangements dealt with in later modules.

### 12.1.3.2 Share Transactions

Assume that a company issues 100,000 shares at HK$10 each and that all those shares are bought by investors on 5 April 20X9. This represents an amount of HK$1,000,000 that would need to be recorded in this fashion:

| Date | Particulars | Ref. | Debit | Credit |
|---|---|---|---|---|
| **20X9** | | | **HK$** | **HK$** |
| 5 April | Cash | | 1,000,000 | |
| | Share Capital | | | 1,000,000 |
| | (Proceeds from capital raising) | | | |

The above entry would be replicated for preference shares with a separate equity account used.

### 12.1.4 Dividends

When a limited company needs to raise funds, it can issue shares. In exchange for purchasing shares, shareholders receive a return on company profits. Conversely, they also risk losing part of their investment if the company sees a loss.

A **dividend** is the portion of after-tax profits that a company returns to its shareholders:

- Not all companies pay a dividend when they make a profit.
- Some companies reinvest the full after-tax profit back into the company.

If a dividend is to be paid, a company is required to declare the dividend first. Companies that pay dividends typically do so on a regular basis:

- Some companies may also declare and pay an interim dividend in addition to a final dividend. Interim dividends are typically declared halfway through the year.
- It is common for companies to declare a dividend at the end of the year, once the after-tax profit has been determined. This is called a final dividend.
- In such cases, the final and interim dividends are added to determine the total dividend for the year. This approach is particularly common among listed companies.

When dividends are declared before the statement of financial position is issued, the dividend amount is accounted for in a separate account. It looks like this:

| | | |
|---|---|---|
| Debit | Retained earnings | |
| | Credit | Dividends Payable |

Dividends payable represents the amount that has not yet been paid. This is considered a current liability.

Once the dividends are paid, the separate accounts looks like this:

| | | |
|---|---|---|
| Debit | Dividends Payable | |
| | Credit | Bank |

### Illustrative Example 1

On 21 January 20X9, HKQP Limited's board of directors declared a 2% cash dividend on outstanding preference shares of HK$500,000 and ordinary shares of HK$1,000,000 to shareholders of record on 5 February 20X9. The dividend will be paid on 1 March 20X9. Please note that the order of the distribution of the dividends is that the dividends are distributed to the preference shareholders before distributing to the ordinary shareholders. An entry is not needed on the date of record; however, the entries at the declaration and payment dates are as follows:

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X9** | | **HK$** | **HK$** |
| 21 January | Retained earnings<br>(HK$500,000 × 2%) + (HK$1,000,000 × 2%) | 30,000 | |
| | Dividends payable | | 30,000 |
| | (Declared cash dividends payable on 1 March to shareholders of record on 5 February) | | |
| 1 March | Dividends payable | 30,000 | |
| | Cash | | 30,000 |
| | (Paid the dividends declared on 21 January) | | |

## 12.1.5 Debentures

While companies may issue shares to raise funds, that is not always desirable. Another way to raise funds is to borrow money via a loan. This debt capital is called a **debenture**.

There are two types of debentures, secured and unsecured:

- In the case of secured debentures, company assets are pledged as collateral. If secured debentures are unpaid, the lender can sell the assets that were used to secure the loan.
- Unsecured debentures have no such collateral.

If a company enters liquidation or bankruptcy, debenture holders are to be paid before shareholders.

Unlike shareholders, lenders do not have voting rights. They also do not collect dividends based on a company's financial performance. Instead, lenders collect interest based on the amount that is borrowed. A company must pay interest to the lender, regardless of whether the company makes a profit or suffers a loss.

Debentures are accounted for in a separate account. They appear on financial statements as non-current liabilities. Loan interest is not credited to the debenture account. Rather, it is reflected on a separate interest payables account until it is paid.

An interest account looks like this:

| | | |
|---|---|---|
| Debit | Debenture Interest (an expense charged against profits) | |
| | Credit | Interest Payable (a current liability until paid) |

### Illustrative Example 2

On 1 February 20X8, HKQP Limited issued 300,000 12% debentures of HK$100 each at 10% discount. Interest is payable annually on 31 January every year. Prepare the relevant journal entries for the transactions in fiscal year of 20X9.

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X8** | | **HK$** | **HK$** |
| 1 February | | | |
| | Bank | 27,000,000 | |
| | Discount on debenture (HK$30,000,000 × 10%) | 3,000,000 | |
| | 12% Debenture | | 30,000,000 |
| | (To issue debentures at 10% discount) | | |
| 31 December | | | |
| | Interest on debenture (HK$30,000,000 x 12% × 11/12) | 3,300,000 | |
| | Interest payable | | 3,300,000 |
| | (To accrue interest expense) | | |
| **20X9** | | | |
| 31 January | | | |
| | Interest payable (HK$30,000,000 × 12% × 11/12) | 3,300,000 | |
| | Interest on debenture (HK$30,000,000 × 12% × 1/12) | 300,000 | |
| | Bank | | 3,600,000 |
| | (To pay interest on debentures) | | |

### Key Learning Point

Limited companies have the ability to acquire new capital through the issue of shares. This can be done by selling shares directly to investors.

### Knowledge Check Questions

**Question 1**

Identify which of the following is a common feature of a limited company, irrespective of whether it is private, public or listed:

**A** The equity of a company is represented by owner's equity.

**B** A company must be a sole trader or partnership before it can become a limited company.

**C** A limited company is a separate legal entity that can enter into contracts while having limited liability.

**D** A limited company can flexibly raise funds from the public.

### Knowledge Check Questions *(continued)*

**Question 2**

Contrast the features of ordinary shares with those of preference shares.

**Question 3**

Identify which of the following is a limited company.

**A** Manufacturing company
**B** Listed company
**C** Sole trader
**D** A CPA firm with two partners.

## 12.2 STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR A LIMITED COMPANY

One of four financial statements that limited companies are expected to prepare is the statement of profit or loss and other comprehensive income. According to HKAS and HKFRS, this statement should include sections to cover the following:

- Profit or loss.
- Other comprehensive income.
- Total comprehensive income for the period = profit or loss + other comprehensive income.

Beyond the requirements for profit or loss and other comprehensive income, companies are expected to provide information related to attribution for profits or losses, non-controlling interests, owners of any parent entities, information for any comprehensive income attributable to non-controlling interests or owners of any parent entities.

The specific disclosure requirements for the statement are set out in HKAS 1. Exhibit 12.2 shows how one company has complied with those requirements.

| Consolidated Statement of Profit or Loss<br>For the year ended 31 December 2017<br>(Expressed in Hong Kong dollars) | | | |
|---|---|---|---|
| | **Note** | **2017**<br>**HK$'000** | **2016**<br>**HK$'000** |
| **Revenue** | 4 | **182,272** | 152,284 |
| Cost of sales and services | | **(78,498)** | (78,095) |
| **Gross profit** | | **103,774** | 74,189 |
| Other income | 5 | **1,420** | 1,123 |
| Selling and distribution costs | | **(17,911)** | (16,705) |
| Research and development expenses | | **(26,921)** | (36,509) |
| Administrative expenses | | **(53,535)** | (39,926) |
| **Profit/(loss) from operations** | | **6,827** | (17,828) |
| Finance costs | 6(a) | **(165)** | (1,056) |
| Share of results of a joint venture | | **(209)** | (1,639) |
| **Profit/(loss) before taxation** | 6 | **6,453** | (20,523) |
| Income tax | 7(a) | **(764)** | 2,020 |
| **Profit/(loss) for the year attributable to the equity shareholders of the Company** | | **5,689** | (18,503) |
| **Earnings/(loss) per share** | 11 | | |
| Basic | | **1.780 cents** | (6.268 cents) |
| Diluted | | **1.780 cents** | (6.268 cents) |
| | | | |
| **Profit/(loss) for the year** | | **5,689** | (18,503) |
| **Other comprehensive income for the year (after tax)** | 10 | | |
| *Items that will not be reclassified to profit or loss:* | | | |
| Remeasurement of defined benefit obligations | | **(172)** | (32) |
| *Item that may be reclassified subsequently to profit or loss:* | | | |
| Exchange differences on translation of financial statements of foreign operations | | **1,155** | (1,423) |
| **Total comprehensive income for the year attributable to equity shareholders of the company** | | **6,672** | (19,958) |

▶ **EXHIBIT 12.2 Sample statement of profit or loss and other comprehensive income** *(Source: HNA Tech Inv, Annual Report, 2017.)*

Great Stationery is planning to issue more shares in the coming years. 'There is so much to include in the financial reports. I'm not sure how we will fit everything in the statement of profit or loss and other comprehensive income', says one brother.

'I have brought a sample to show you', their accountant replies. He takes a sheet of paper out of his briefcase (Exhibit 12.3).

**Notes to the Financial Statements**

**(Expressed in Hong Kong dollars unless otherwise indicated)**

**10 Other Comprehensive Income**

Tax effects relating to each component of other comprehensive income:

| | 2017 | | | 2016 | | |
|---|---|---|---|---|---|---|
| | **Before-tax amount HK$'000** | **Tax expense HK$'000** | **Net-of-tax amount HK$'000** | **Before-tax amount HK$'000** | **Tax expense HK$'000** | **Net-of-tax amount HK$'000** |
| Exchange differences on translation of financial statements of foreign operations | **1,155** | **–** | **1,155** | (1,423) | – | (1,423) |
| Remeasurement of defined benefit obligations | **(246)** | **74** | **(172)** | (47) | 15 | (32) |
| | **909** | **74** | **983** | (1,470) | 15 | (1,455) |

**11 Earnings/(Loss) per Share**

**(a) Basic earnings/(loss) per share**

The calculation of basic earnings/(loss) per share is based on the profit attributable to ordinary equity shareholders of the Company of $5,689,000 (2016: loss attributable to ordinary equity shareholders of the Company of $18,503,000) and the weighted average of 319,565,000 ordinary shares (2016: 295,202,000 ordinary shares) in issue during the year, calculated as follows:

Weighted average number of ordinary shares

| | **2017 HK$'000** | **2016 HK$'000** |
|---|---|---|
| Issued ordinary shares at 1 January | **319,565** | 284,058 |
| Effect of rights issue | **–** | 11,144 |
| Weighted average number of ordinary shares at 31 December | **319,565** | 295,202 |

**(b) Diluted earnings/(loss) per share**

Diluted earnings/(loss) per share for the year ended 31 December 2017 and 2016 are the same as the basic earnings/(loss) per share as there are no dilutive potential ordinary shares.

**EXHIBIT 12.3 A sample notes page for a statement of profit or loss and other comprehensive income** *(Source: HNA Tech Inv, Annual Report, 2017.)*

## 12.2.1 Preparation of Statement of Profit or Loss and Other Comprehensive Income

### Illustrative Example 3

Below is HKQP Limited's trial balance as at 31 December 20X8.

| | Dr<br>HK$'000 | Cr<br>HK$'000 |
|---|---|---|
| Motor van | 12,500 | |
| Accumulated depreciation:<br>Motor van as at 1 January 20X8 | | 10,400 |
| Office equipment | 12,500 | |
| Accumulated depreciation:<br>Office equipment as at 1 January 20X8 | | 2,000 |
| Trade receivables | 15,000 | |
| Trade payables | | 10,900 |
| Inventory as at 1 January 20X8 | 7,700 | |
| Premises | 50,000 | |
| Rental income | | 14,000 |
| Purchases | 19,500 | |
| Carriage inwards | 3,300 | |
| Salaries and wages | 13,910 | |
| Electricity | 1,300 | |
| Cash | 37,900 | |
| Sales | | 90,000 |
| Sales returns | 2,500 | |
| Discount allowed | 1,500 | |
| Carriage outwards | 1,000 | |
| Ordinary share capital | | 52,000 |
| Ordinary dividends | 1,500 | |
| Purchase returns | | 400 |
| Discount received | | 410 |
| | 180,110 | 180,110 |

Additional Information (HK$'000):

| | |
|---|---|
| (i) Inventory as at 31 December 20X8 | HK$4,500 |
| (ii) Prepaid carriage inwards | HK$250 |
| (iii) Rental income receivable | HK$200 |
| (iv) Electricity payable | HK$350 |

## Illustrative Example 3 *(continued)*

**Required:**

Prepare HKQP's statement of profit or loss and other comprehensive income for the year ended 31 December 20X8.

**Answers**

**HKQP Limited**
**Statement of Profit or Loss and Other Comprehensive Income**
**For the year ended 31 December 20X8**

| | | HK$'000 | HK$'000 | HK$'000 |
|---|---|---|---|---|
| Sales | | | 90,000 | |
| Less: Sales returns | | | (2,500) | |
| Net sales | | | | 87,500 |
| Less: Cost of sales: | | | | |
| Opening inventory | | | 7,700 | |
| Add: Purchase | | 19,500 | | |
| Carriage inwards | (3,300 - 250) | 3,050 | | |
| | | 22,550 | | |
| Less: Purchase returns | | (400) | 22,150 | |
| | | | 29,850 | |
| Less: Closing inventory | | | (4,500) | (25,350) |
| **Gross Profit** | | | | 62,150 |
| Add: Other income | | | | |
| Discounts received | | | 410 | |
| Rental income | (14,000 + 200) | | 14,200 | 14,610 |
| | | | | 76,760 |
| Less: Expenses | | | | |
| Discount allowed | | | 1,500 | |
| Carriage outwards | | | 1,000 | |
| Salaries and wages | | | 13,910 | |
| Electricity | (1,300 + 350) | | 1,650 | (18,060) |
| **Net Profit for the Year** | | | | 58,700 |

## ▶ Knowledge Check Questions

**Question 4**

Explain the statement of profit or loss and other comprehensive income as defined by HKAS 1, *Presentation of Financial Statements*.

**Question 5**

A limited company's income can be presented in two statements: (1) an income statement that presents revenues and expenses recognised in the calculation of profit or loss and (2) a statement of profit or loss and other comprehensive income that begins with the profit or loss from the income statement and then lists other items of income and expense (e.g. revaluation gains) to show total comprehensive income. List any five of these other items of income and expenses that are recognised in the statement of profit or loss and other comprehensive income.

# 12.3 STATEMENT OF FINANCIAL POSITION FOR A LIMITED COMPANY

Limited companies will prepare a statement of financial position that will feature some elements that will not appear in the financial statements of other kinds of entities. As indicated earlier, the greatest differences will be observed in the equity section of the statement of financial position because of the different ownership structure that exists.

Limited companies are required to prepare a statement of financial position. This information provides a snapshot of the financial position of the company at a specific point in time.

According to HKAS 1, the statement of financial position should include information on the following:

- Property, plant and equipment
- Investment property
- Intangible assets
- Financial assets
- Investments
- Biological assets

- Inventories
- Trade and other receivables
- Cash and cash equivalents
- Assets held for sale
- Trade and other payables
- Provisions
- Financial liabilities
- Liabilities and assets for current tax
- Deferred tax liabilities and deferred tax assets
- Liabilities included in disposal groups held for sale
- Non-controlling interests presented within equity
- Issued capital and reserves attributable to owners of any parent company
- Dividends
- Debentures

Limited companies in Hong Kong are also expected to include other information that is relevant to understanding the financial position of the company in the same way as other entities. Bear in mind that the list published in the standard does not prescribe how items should be presented. That is merely a list of items to be included. Presentation is up to an entity.

Examine the financial statements in Exhibit 12.4 carefully. HNA Tech Inv has prepared the financial statements in reverse liquidity format:

- Plant and equipment are the least liquid, meaning they are the most difficult to convert to cash. As such, these assets are listed first.
- Cash and cash equivalents are the most liquid assets, so these items are listed last.

**Consolidated Statement of Financial Position**
**At 31 December 2017**
**(Expressed in Hong Kong dollars)**

| | **Note** | **2017** | **2016** |
|---|---|---|---|
| | | **HK$'000** | **HK$'000** |
| **Non-current assets** | | | |
| Plant and equipment | 12 | **5,270** | 5,371 |
| Intangible assets | 13 | **47,000** | 45,263 |
| Goodwill | 14 | **–** | 1,172 |
| Interest in a joint venture | 16 | **–** | 209 |
| Prepayment for available-for-sale securities | | **–** | 377 |
| Deferred tax assets | 24(b) | **2,709** | 755 |
| | | **54,979** | 53,147 |

▶ **EXHIBIT 12.4 Consolidated statement of financial position** *(Source: HNA Tech Inv, Annual Report, 2017.)*

| Consolidated Statement of Financial Position<br>At 31 December 2017 *(continued)* | | | |
|---|---|---|---|
| **Current assets** | | | |
| Inventories | 17 | **37,974** | 29,998 |
| Trade and other receivables | 18 | **57,744** | 56,644 |
| Held-to-maturity financial assets | 19 | **858** | 861 |
| Current tax recoverable | 24(a) | **556** | 593 |
| Cash and cash equivalents | 20(a) | **29,632** | 40,551 |
| | | **126,764** | 128,647 |
| **Current liabilities** | | | |
| Trade and other payables | 21 | **23,948** | 19,496 |
| Bank loans | 22 | **–** | 14,222 |
| Current tax payable | 24(a) | **2,211** | 31 |
| | | **26,159** | 33,749 |
| **Net current assets** | | **100,605** | 94,898 |
| **Total assets less current liabilities** | | **155,584** | 148,045 |
| **Non-current liabilities** | | | |
| Defined benefit obligations | 23 | **1,373** | 864 |
| Deferred tax liabilities | 24(b) | **510** | 152 |
| | | **1,883** | 1,016 |
| **Net Assets** | | **153,701** | 147,029 |
| **Capital and Reserves** | | | |
| Share capital | 25(c) | **31,956** | 31,956 |
| Reserves | | **121,745** | 115,073 |
| **Total Equity Attributable to Equity Shareholders of the Company** | | **153,701** | 147,029 |
| *Approved and authorised for issue by the Board of Directors on 8 March 2018.* | | | |

▶ **EXHIBIT 12.4 (*Continued*)**

Review the equity section of the financial statements. You will see that in the equity section there is reference made to share capital. This is another example of the business structure being reflected in the financial statements.

Have another look at the statement of financial position in Exhibit 12.4. You will see a reference to Note 25c. The note, shown in Exhibit 12.5, provides details to readers of financial statements that relate to the numbers of shares that are in issue and the dollar amount that relates to those shareholdings. You will see that this note disaggregates the information contained in the capital section of the statement of financial position. It is important that you understand that these are disclosures that explain the capital structure of the entity.

**Notes to The Financial Statements**

**(Expressed in Hong Kong dollars unless otherwise indicated)**

**25 Capital, Reserves and Dividends *(continued)***

**(c) Share capital**

***Authorised and issued share capital***

| | **2017** | | 2016 | |
|---|---|---|---|---|
| | **Number of shares** | **Amount** | Number of shares | Amount |
| | **'000** | **HK$'000** | '000 | HK$'000 |
| Authorised: | | | | |
| Ordinary shares of HK$0.1 each | **1,000,000** | **100,000** | 1,000,000 | 100,000 |
| *Ordinary shares, issued and fully paid:* | | | | |
| At 1 January | **319,565** | **31,956** | 284,058 | 28,406 |
| Issue of shares under rights issue | **–** | **–** | 35,507 | 3,550 |
| At 31 December | **319,565** | **31,956** | 319,565 | 31,956 |

*The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company. All ordinary shares rank equally with regard to the Company's residual assets.*

*On 14 November 2016, the Company issued and allotted 35,507,000 ordinary shares of $0.01 each to qualifying shareholders pursuant to the rights issue on the basis of one rights share for every eight existing shares held by the qualifying shareholders on 20 October 2016 at the subscription price of $1.14 per rights share for a total gross cash consideration of $40,478,000. Among the related issue expenses of $1,900,000, $1,500,000 that were directly attributable to the issue of new shares were deducted against share premium and the remaining $400,000 were included under 'administrative expenses' in the consolidated statement of profit or loss.*

▶ **EXHIBIT 12.5 Notes to the financial statement** *(Source: HNA Tech Inv, Annual Report, 2017.)*

## 12.3.1 Preparation of Statement of Financial Position

### Illustrative Example 4

HKSA Consultancy Limited produced the following trial balance as at 31 December 20X9:

| Account Title | Debit (HK$'000) | Credit (HK$'000) |
|---|---|---|
| Cash | 7,000 | |
| Trade receivables | 3,000 | |
| Office supplies | 3,000 | |
| Office equipment | 5,000 | |
| Bank loan | | 5,000 |
| Trade payables | | 1,000 |
| Ordinary share capital | | 10,000 |
| Consulting revenue | | 7,000 |
| Rent expense | 600 | |
| Salaries expense | 2,500 | |
| Supplies used | 1,200 | |
| Utilities expense | 700 | |
| Total | 23,000 | 23,000 |

**Required**

Prepare HKSA Consultancy Limited's statement of financial position as at 31 December 20X9.

**Answers:**

| HKSA Consultancy Limited<br>Statement of Financial Position as at 31 December 20X9 | | |
|---|---|---|
| | HK$ ('000) | HK$ ('000) |
| **Assets** | | |
| **Non-current assets** | | |
| Office equipment | | 5,000 |
| | | |
| **Current assets** | | |
| Trade receivables | 3,000 | |
| Office supplies | 3,000 | |
| Cash | 7,000 | 13,000 |
| **Total assets** | | 18,000 |

### Illustrative Example 4 *(continued)*

**HKSA Consultancy Limited**
**Statement of Financial Position as at 31 December 20X9 *(continued)***

| | HK$ ('000) | HK$ ('000) |
|---|---|---|
| **Equity and liabilities** | | |
| **Equity** | | |
| Ordinary share capital | | 10,000 |
| Retained earnings HK$ (7,000 – 600 – 2,500 – 1,200 – 700) | | 2,000 |
| **Total equity** | | 12,000 |
| **Non-current liabilities** | | |
| Bank Loan | | 5,000 |
| **Current liabilities** | | |
| Trade payables | | 1,000 |
| **Total liabilities** | | 6,000 |
| **Total equity and liabilities** | | 18,000 |

### Key Learning Point

Limited companies are required to prepare a statement of financial position. Share capital appears in the equity section of the statement of financial position. The numbers of shares on issue and the dollar amounts that relate to those shareholdings may be included in the notes.

### ▶ Knowledge Check Questions

**Question 6**

Identify which of the following is a specific disclosure required by the accounting standards related to capital:

**A** Par value per share, or that the shares have no par value.

**B** A reconciliation of the number of shares outstanding at the beginning and at the end of the period.

**C** The rights, preferences and restrictions attaching to that class, including restrictions on the distribution of dividends and the repayment of capital.

**D** All of the above disclosures are mentioned in the standards.

## ▶ Knowledge Check Questions *(continued)*

**Question 7**

Identify which of the following is NOT a method used to present asset balances in the statement of financial position:

**A** The nature or function of assets

**B** The relative liquidity of assets

**C** The expected sales value of assets

**D** The amounts, nature and timing of liabilities

## SUMMARY

- A limited company is a legal entity with most of the rights and privileges of a legal person.
- Limited companies have a **separate legal existence**. As an entity separate and distinct from its owners, the corporation acts under its own name rather than in the name of its shareholders.
- Shareholders of a limited company have limited liability.
- A limited company has the ability to acquire new capital.
- Limited companies have transferable ownership rights.
- A limited company has management that may be separate from the ownership.
- A company is subject to numerous laws and regulations.
- Limited companies in Hong Kong are also required to have their accounts audited, but not all companies are required to lodge financial statements with the Companies Registrar.
- Dividends are the return of the part of the after-tax profits made by a company to its shareholders.
- Debentures are a form of loan capital classified as non-current liabilities.
- The statement of profit or loss and other comprehensive income has to include amounts for revenue, finance costs, profits and tax expenses.
- Limited companies can determine how to present their assets in the statement of financial position, in particular whether to present items separately based on the nature and liquidity of assets; their function within the entity.
- Limited companies are also expected to include information about their liabilities, both current and non-current, in the statement of financial position.

## MIND MAP

**FINANCIAL STATEMENTS OF A LIMITED COMPANY**

**OVERVIEW OF THE NATURE AND CHARACTERISTICS OF, AND ACCOUNTING FOR, LIMITED COMPANIES**

**Shareholders have limited liability**
**They are not responsible for a company's debt**

**Limited companies can acquire new capital by issuing shares**
- Ordinary shares allow one vote per share
- Preference shares may not have associated voting rights. They may have a right to a fixed dividend

**Private companies are more closely held**
- Few shareholders
- Restrictions on how funds can be raised

**Public Companies are more widely held**
- Can have thousands of shareholders
- Shares can be traded on a securities exchange (e.g. HKEX)

**Limited companies have transferable ownership rights**

**Limited companies have continuing life**

**STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR A LIMITED COMPANY**

**STATEMENT OF FINANCIAL POSITION FOR A LIMITED COMPANY**

Share capital appears in the equity section

## Answers to Knowledge Check Questions

### Question 1

Answer A is incorrect because a company's equity is more complex than owners' equity. Equity can include issued shares and reserves.

Answer B is incorrect because an organisation can establish itself as a limited company without ever being a sole trader or partnership.

Answer C is correct. A limited company is a separate legal entity that can enter into contracts while having limited liability.

Answer D is incorrect because not all limited companies can flexibly raise funds from the public. Private limited companies in particular face restrictions.

### Question 2

Ordinary shares represent the residual ownership of a corporation. These shares have voting rights and cannot be called. Also, the ordinary dividend is not fixed in dollar amount – thus it may increase or decrease based on the company performance.

Preference shares have preference over ordinary shares with respect to dividend and to distribution in the event of liquidation. This preference means that preference shareholders must be paid in full before any payments are made to holders of ordinary shares. The dividends of preference shares usually are fixed in amount.

In addition, the shares often have no voting rights. Preference shares sometimes have special features, such as being convertible into ordinary shares.

**Question 3**

Answer A is incorrect because a manufacturing company may be an unlimited sole trader.

Answer B is correct because private companies, listed companies and public companies are all types of limited company structure.

Answer C is incorrect because sole traders have a business structure that is different from that of limited companies.

Answer D is incorrect because a CPA firm with two partners is set up in a form of partnership which is a business structure that is different from that of limited companies.

**Question 4**

The performance of a company is reported in the statement of profit or loss and other comprehensive income. HKAS 1, *Presentation of Financial Statements*, defines:

- Profit or loss as 'the total of income less expenses, excluding the components of other comprehensive income'.
- Other comprehensive income is defined as comprising 'items of income and expense (including reclassification adjustments) that are not recognised in profit or loss as required or permitted by other HKFRSs'.
- Total comprehensive income is defined as 'the change in equity during a period resulting from transactions and other events, other than those changes resulting from transactions with owners in their capacity as owners'.

**Question 5**

List five of the following other income and expense items that are acceptable:

- Changes in revaluation reserve or surplus of property, plant and equipment and intangible assets.
- Actuarial gains and losses on defined benefit plans.
- Gains and losses arising from translating the financial statements.
- Gains and losses from investment in equity instruments measured at fair value through other comprehensive income.
- The effective portion of gains and losses on hedging instruments in a cash flow hedge.
- Any other valid income and expense items.

**Question 6**

Answer A is incorrect because it is incomplete. It is true that par value per share is a required disclosure.

Answer B is incorrect because it is incomplete. It is true that a reconciliation of the number of shares outstanding is a required disclosure.

Answer C is incorrect because it is incomplete. It is true that the rights, preferences and restrictions attaching to a class are a required disclosure.

Answer D is correct because it is complete. All of the above disclosures are mentioned in the standards.

**Question 7**

Answer A is incorrect because the nature (i.e. fixed versus current) and function (i.e. capital versus revenue) will be considered.

Answer B is incorrect because the least liquid will be listed first.

Answer C is incorrect because expected sales value of assets is a method used to present asset balances in the statement of financial position.

Answer D is correct because the amounts, nature and timing of liabilities are not related to assets and are not methods used to present asset balances in the statement of financial position.

## EXAM PRACTICE

### QUESTION 1

When a business is organised as a corporation or limited company, identify which of the following statements is true.

**A.** Shareholders are liable for the debts of the business in proportion to their percentage of ownership of share capital.
**B.** Shareholders have to pay salaries tax on dividends received, even though the corporation is subject to profits tax on earnings.
**C.** Fluctuations in the market value of outstanding shares capital do not affect the amount of shareholders' equity shown in the statement of financial position.
**D.** Each shareholder has the right to bind the corporation to contracts and to make other managerial decisions.

### QUESTION 2

Identify the term used to refer to the retained profits since the company commenced:

**A.** Total profits
**B.** Retained profits for the year
**C.** Retained earnings
**D.** Net profits

### QUESTION 3

Shareholders are defined by the accounting standards as being:

**A.** People who are paid a salary by a limited company.
**B.** Holders of shares classified as equity.
**C.** Only those involved in not for profit entities.
**D.** People who are involved in management.

### QUESTION 4

The accounting standard on the presentation of financial statements specifies certain criteria for the classification of assets as current. Identify which of these is the most accurate representation of what the standard states:

**A.** It expects to realise the asset, or intends to sell or consume it, in its normal operating cycle.

**B.** It holds the asset primarily for the purpose of trading.
**C.** It expects to realise the asset within 12 months after the reporting period.
**D.** All of the above.

## QUESTION 5

HKQP Limited is a trading company newly established on 1 January 20X0. After its first year of operation, HKQP drew up its unadjusted trial balance as at 31 December 20X0 as follows:

**HKQP Company Limited**
**Trial Balance as at 31 December 20X0 (Unadjusted)**

| **Accounts** | **Debit HK$'000** | **Credit HK$'000** |
|---|---|---|
| Bank and Cash | 15,500 | |
| Trade receivables | 4,500 | |
| Office equipment | 45,000 | |
| Trade payables | | 4,000 |
| Unearned revenue | | 3,000 |
| Notes payable (6% interest per year as from 1 January 20X0) | | 20,000 |
| Share capital | | 30,000 |
| Revenue | | 31,000 |
| Salaries expense | 15,000 | |
| Advertising expense | 5,000 | |
| Fuel expense | 2,000 | |
| Dividends | 1,000 | |
| | 88,000 | 88,000 |

HKQP Limited's chief accountants also identified the following additional accounting information:

1. The office equipment was purchased on 1 January 20X0 with an expected useful life of 8 years and a residual value of HK$5,000,000. The depreciation policy is 10% per annum on straight-line basis.
2. A total of employee's salaries of HK$2,000,000 should be payable on 31 December 20X0.
3. The outstanding notes payable interest has not yet been paid on 31 December 20X0.
4. The unearned revenue of HK$3,000,000 is a deposit paid by a customer whose purchase order was 60% delivered on 31 December 20X0.

**Required:**

(a) Prepare the journal entries for the above year-end accounting adjustments of HKQP Company Limited.

(b) Prepare the adjusted trial balance of HKQP Company Limited as at 31 December 20X0 after the accounting adjustments as per (a) above.

(c) Prepare the statement of profit or loss and other comprehensive income for HKQP Company Limited for the year-ended 31 December 20X0.

(d) Prepare the statement of financial position for HKQP Company Limited as at 31 December 20X0.

## QUESTION 6

The following is an example of the statement of financial position of HKQP Company Limited as at 31 December 20X9:

| | 20X9<br>HK$ | 20X8<br>HK$ |
|---|---|---|
| **Assets** | | |
| **Current assets:** | | |
| Cash and cash equivalent | 550,000 | 200,000 |
| Trade receivables | 1,270,000 | 920,000 |
| Interest receivable | 20,000 | 30,000 |
| Marketable securities | 850,000 | 640,000 |
| Inventory | 1,000,000 | 900,000 |
| Prepaid expenses | 40,000 | 10,000 |
| Total current assets | 3,730,000 | 2,700,000 |
| **Non-current assets** | | |
| Property, plant and equipment (net of accumulated depreciation) | 6,160,000 | 5,000,000 |
| **Total assets** | 9,890,000 | 7,770,000 |
| **Liabilities and Shareholders' Equity** | | |
| **Current liabilities:** | | |
| Trade payables | 1,210,000 | 1,160,000 |
| Interest payable | 220,000 | 150,000 |
| Income taxes payable | 80,000 | 100,000 |
| Other expenses payable | 30,000 | 90,000 |
| Total current liabilities | 1,540,000 | 1,500,000 |
| **Non-current liabilities:** | | |
| Long term Loans | 4,400,000 | 3,000,000 |
| Total liabilities | 5,940,000 | 4,500,000 |
| **Shareholders' equity:** | | |
| Share capital | 2,000,000 | 1,500,000 |
| Retained earnings | 1,950,000 | 1,700,000 |
| Total shareholders' equity | 3,950,000 | 3,200,000 |
| **Total liabilities and shareholders' equity** | 9,890,000 | 7,770,000 |

You are presented with the statement of financial position in liquidity order, but the board has requested you to reverse that order because they believe it is a better presentation.

**Required**

(a) List the revised order of the asset line items to properly reflect the board wishes.

(b) Explain why the accounting standard permits a flexible approach to the presentation of the statement of financial position.

## QUESTION 7

HKSA Travel Agency Limited Company has compiled the following adjusted trial balance as at 31 March 20X9:

| Account Titles | Debit (HK$'000) | Credit (HK$'000) |
|---|---|---|
| Cash | 15,500 | |
| Trade receivables | 4,500 | |
| Equipment | 45,000 | |
| Accumulated depreciation | | 5,000 |
| Trade payables | | 4,000 |
| Deferred revenue | | 1,200 |
| Salaries payable | | 2,000 |
| Interest payable | | 1,200 |
| Other payables | | 20,000 |
| Share capital | | 30,000 |
| Revenue | | 32,800 |
| Salaries expense | 17,000 | |
| Advertising expense | 5,000 | |
| Electricity expense | 2,000 | |
| Depreciation expense | 5,000 | |
| Interest expense | 1,200 | |
| Dividends | 1,000 | |
| Total | 96,200 | 96,200 |

**Required**

(a) Prepare the statement of profit or loss and other comprehensive income for the year ending 31 March 20X9; and

(b) Prepare the statement of financial position as at 31 March 20X9.

## ANSWERS TO EXAM PRACTICE

### QUESTION 1

Answer A is incorrect because shareholders' liabilities are limited to the values that they have contributed to the company.

Answer B is incorrect because shareholders do not have to pay salaries tax on the dividends distributed to them by the corporation.

Answer C is correct because the share capital of a corporation is present at original issue value in the statement of financial position, but not the current market value.

Answer D is incorrect because shareholders are not involved in the operation and management of the corporation.

### QUESTION 2

Answer A is incorrect because total profits is a broad term and does not state which specific period of time it is referring to.

Answer B is incorrect because retained profits for the year apply only to a particular year of business, not to the company's lifetime.

Answer C is correct because these are known as accumulated profits for the purposes of the statement of financial position.

Answer D is incorrect because net profits do not measure a company's lifetime profits.

### QUESTION 3

Answer A is incorrect because people who are paid a salary may be employees with no ownership stake.

Answer B is correct because shareholders hold instruments classified as equity.

Answer C is incorrect because shareholding does not apply to not-for-profit entities.

Answer D is incorrect because people who are involved in management may or may not be shareholders of limited companies.

### QUESTION 4

Answer A is incorrect because it is incomplete. The company expects to realise the asset, or intends to sell or consume it, in its normal operating cycle.

Answer B is incorrect because it is incomplete. The company holds the asset primarily for the purpose of trading.

Answer C is incorrect because it is incomplete. The company expects to realise the asset within twelve months after the reporting period.

Answer D is correct because the three preceding answers are all a part of the criteria for recognition.

## QUESTION 5

(a) Journal entries for the year-end accounting adjustments:

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X0** | | **HK$'000** | **HK$'000** |
| 31 December | Depreciation expense – Office equipment | 5,000 | |
| | Accumulated depreciation – Office equipment | | 5,000 |
| | To record annual office equipment expense (HK$45,000,000 – HK$5,000,000)/8 years) | | |

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X0** | | **HK$'000** | **HK$'000** |
| 31 December | Salaries expense | 2,000 | |
| | Salaries payable | | 2,000 |
| | To record accrued salaries due to employees | | |

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X0** | | **HK$'000** | **HK$'000** |
| 31 December | Interest expense | 1,200 | |
| | Interest payable | | 1,200 |
| | To record accrued interest on notes payable (HK$20,000,000 x 6%) | | |

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X0** | | **HK$'000** | **HK$'000** |
| 31 December | Unearned revenue | 1,800 | |
| | Revenue | | 1,800 |
| | To record earned portion of sales deposit (HK$3,000,000 x 60%) | | |

(b)

| HKQP Company Limited<br>Adjusted Trial Balance as at 31 December 20X0 | | |
|---|---|---|
| **Accounts** | **Debit HK$'000** | **Credit HK$'000** |
| Bank and Cash | 15,500 | |
| Trade receivables | 4,500 | |
| Office equipment | 45,000 | |
| Accumulated depreciation – office equipment | | 5,000 |
| Trade payables | | 4,000 |
| Unearned revenue (HK$3,000,000 – HK$1,800,000) | | 1,200 |
| Salaries payable | | 2,000 |
| Interest payable | | 1,200 |
| Notes payable (6% interest per year as from 1 January 20X0) | | 20,000 |
| Share capital | | 30,000 |
| Revenue (HK$31,000,000 + HK$1,800,000) | | 32,800 |
| Salaries expense (HK$15,000,000 + HK$2,000,000) | 17,000 | |
| Advertising expense | 5,000 | |
| Fuel expense | 2,000 | |
| Depreciation expense | 5,000 | |
| Interest expense | 1,200 | |
| Dividends | 1,000 | |
| | 96,200 | 96,200 |

(c)

| HKQP Company Limited<br>Statement of Profit or Loss and other comprehensive income<br>For the year-ended 31 December 20X0 | | | |
|---|---|---|---|
| | | **HK$'000** | **HK$'000** |
| Sales | | | 32,800 |
| Less: | Expenses | | |
| | Salaries | 17,000 | |
| | Advertising | 5,000 | |
| | Fuel | 2,000 | |
| | Depreciation | 5,000 | |
| | Interest | 1,200 | (30,200) |
| Net profit | | | 2,600 |

(d)

| HKQP Company Limited<br>Statement of Financial Position as at 31 December 20X0 | | |
|---|---|---|
| | **HK$'000** | **HK$'000** |
| **Assets** | | |
| **Non-current assets** | | |
| Office equipment (45,000 – 5,000) | | 40,000 |
| **Current assets** | | |
| Trade receivables | 4,500 | |
| Cash and Bank | 15,500 | 20,000 |
| **Total assets** | | 60,000 |
| **Equity and Liabilities** | | |
| **Equity** | | |
| Share capital | | 30,000 |
| Retained earnings (2,600 – 1,000) | | 1,600 |
| **Total equity** | | 31,600 |
| **Non-current liabilities** | | |
| Notes payable | | 20,000 |
| **Current liabilities** | | |
| Trade payables | 4,000 | |
| Salaries payable | 2,000 | |
| Interest payable | 1,200 | |
| Unearned revenue | 1,200 | 8,400 |
| **Total liabilities** | | 28,400 |
| **Total equity and liabilities** | | 60,000 |

## QUESTION 6

(a)

| | **20X9<br>HK$** | **20X8<br>HK$** |
|---|---|---|
| **Non-current assets** | | |
| Property, plant and equipment<br>(net of accumulated depreciation) | 6,160,000 | 5,000,000 |
| **Current assets** | | |
| Inventory | 1,000,000 | 900,000 |
| Prepaid expenses | 40,000 | 10,000 |
| Marketable securities | 850,000 | 640,000 |
| Trade receivables | 1,270,000 | 920,000 |

| | 20X9 HK$ | 20X8 HK$ |
|---|---|---|
| Interest receivables | 20,000 | 30,000 |
| Cash and cash equivalent | 550,000 | 200,000 |
| **Total current assets** | 3,730,000 | 2,700,000 |
| **Total assets** | 9,890,000 | 7,770,000 |

(b) While the accounting standard specifies required line items, it does not mandate a specific format. It permits the preparers of financial statements to choose the presentation that suits its requirements bearing individual users in mind.

## QUESTION 7

(a)

| **HKSA Travel Agency Limited Company**<br>**Statement of Profit or Loss and Other Comprehensive Income**<br>**For the year ending 31 March 20X9** | | |
|---|---|---|
| | **HK$'000** | **HK$'000** |
| **Revenues** | | |
| Tour services | | 32,800 |
| **Expenses** | | |
| Salaries | 17,000 | |
| Advertising | 5,000 | |
| Electricity | 2,000 | |
| Depreciation | 5,000 | |
| Interest | 1,200 | (30,200) |
| **Profit for the year** | | 2,600 |

(b)

| **HKSA Travel Agency Limited Company**<br>**Statement of Financial Position as at 31 March 20X9** | | |
|---|---|---|
| | **HK$'000** | **HK$'000** |
| **Assets** | | |
| **Non-current assets** | | |
| Equipment | 45,000 | |
| Accumulated depreciation | (5,000) | 40,000 |
| **Current assets** | | |
| Trade receivables | | 4,500 |
| Cash | | 15,500 |
| **Total Assets** | | 60,000 |
| **Equity and liabilities** | | |

| | | |
|---|---|---|
| **Equity** | | |
| Share capital | | 30,000 |
| Retained earnings | | 1,600* |
| Total equity | | 31,600 |
| **Current liabilities** | | |
| Deferred revenue | 1,200 | |
| Trade payables | 4,000 | |
| Salaries payable | 2,000 | |
| Interest payable | 1,200 | |
| Other payables | 20,000 | |
| **Total liabilities** | | 28,400 |
| **Total equity and liabilities** | | 60,000 |

** Calculation for retained earnings:*
*Opening retained earnings + Profit for the year - Dividends*
*= HK$'000 (0 + 2,600 - 1,000) = HK$1,600*

# 13

# Financial Statements of a Club or Society

## CHAPTER TOPIC LIST

# LEARNING OUTCOMES

| PRINCIPAL LO4: PREPARE AND PRESENT FINANCIAL STATEMENTS FROM A TRIAL BALANCE OR INCOMPLETE RECORDS | |
|---|---|
| **LO4.02: Prepare financial statements for various common types of business entity** | |
| 4.02.02 | Prepare a receipts and payments account, an income and expenditure account, and a statement of financial position for a club or society |

# OPENING CASE

## HONG KONG BAKERS' ASSOCIATION

A society is an organisation registered as a society and not as a company. In Hong Kong, **clubs** and **societies** are registered under the Societies Ordinance and governed by the Hong Kong Police Department. They are not-for-profit organisations, unless exempted from registration by the Societies Officer appointed by the Hong Kong Police Department.

Li Li Fan is a skilled baker and a founding member of the Hong Kong Bakers' Association (HKBA). The group is registered under the Societies Ordinance and operates as a not-for-profit organisation. Its purpose is to support bakers in Hong Kong, provide professional development and promote the profession:

- HKBA offers membership subscriptions, which can be paid either monthly or annually.
- They also accept donations from member and non-member entities.
- Finally certain member services are available for an additional fee.

As a business person, Li Li works as a sole trader. The HKBA accounts are very different from what she is used to seeing in her own business. Societies generate financial statements, but the format of the reports may be different in certain respects. Li Li hires an accountant to help her review the association's books and prepare its financial statements.

Li Li has just been elected as the treasurer of the HKBA. To best fulfil her duty, she would like to better understand the accounting rules that apply to registered not-for-profit societies.

## OVERVIEW

Clubs or societies have substance economically, and need to report to their stakeholders about their financial performance and financial position.

A reader needs to be conscious of what is driving the financial statements of a club or society. Much will depend on the charter of the club or society, and sometimes the knowledge of their members.

Clubs and societies prepare accounts that differ in certain respects from those of for-profit companies. They have members rather than shareholders, and the nature of their operations determines what assets they hold and what liabilities they can incur.

The terminology used in financial statements may vary. For example, they might produce:

- a statement of receipts and payments simply following the cash basis;
- a statement of income and expenditure clearly following full accrual accounting for income and expenses in accordance with a known accounting framework.

Note that, under the ordinance, registered societies need to be able to provide the Societies Officer with details of income and expenditure. The information required for that purpose could be obtained from a full accrual accounting system.

A simple club or society cash receipts and income may be the same amount or closely approximate one another. For example, member fees may all be paid in during a period, and other forms of income may come only from cash-based donations, events or functions.

Payments and expenses will differ if the former includes expenditure on the acquisition of assets, outlays purely on the basis of when they occur, and fails to include non-cash expenses (e.g. depreciation and period-end adjustments).

Period-end adjustments for wages and leave entitlements, suppliers' bills and depreciation will commonly be required to determine expenses.

This chapter explores the differentiating characteristics of clubs or societies and their more important accounting requirements.

## 13.1 ACCOUNTING FOR OPERATIONS OF A CLUB OR SOCIETY

In Hong Kong, the Hong Kong Societies Ordinance (Cap 151) states that any organisation may be registered as a society, as long as they are not registered as another type of entity such as a limited company. Organisations may seek exemption from registration.

As discussed in previous chapters, financial statements are prepared to show the financial performance, financial position and cash flows of entities. Those attributes of an entity do not depend on whether the entity is 'for-profit' or 'not-for-profit' (also referred to as 'non-profit').

## 13.1.1 Overview of the Nature and Characteristics of a Club or Society

In order to register as a society in Hong Kong, an organisation fills out an application. The application must be signed by three office-bearers and filed with the Societies Office of the Police Licensing Office.

Clubs and societies are not set up to trade and earn profit, but rather to promote or cater to the various interests of their members. These interests may be cultural, religious or related to a hobby or cause. Financial statements are prepared by clubs and societies, so that their members can understand how their body has performed, its financial position and its cash flows.

Many societies keep simple records, often without the benefit of formal accounting. Frequently, a club member with some accountancy experience may be called upon to act as treasurer and prepare the club accounts. As a result, the quality of their bookkeeping may well be much lower than that of for-profit companies.

There are some key differences between for-profit and not-for-profit entities, as shown in Exhibit 13.1.

| | For-Profit organisations | Not-for-Profit organisations |
|---|---|---|
| **Purpose** | Established to earn profit as a motive. | Established to promote cultural, recreational or other interests among members without profit as a motive. |
| **Accounting equation** | Assets = Liabilities + Equity. | Assets = Liabilities + Equity. But the only form of equity is **accumulated fund**. |
| **Source of owner/ member funding** | Owners invest most of the capital to run the business. | Members pay a monthly or annual subscription to finance operations. |
| **Fund terminology** | Funds available are called *capital* or *equity*. | Funds available are termed *accumulated fund*. |
| **Recording cash and cheques** | Cash/cheques received and paid are recorded in the cash book, which is integrated in an accrual accounting system. | Cash and cheques received and paid are recorded in the cash book or a 'receipts and payments' account. Any additional accounting is often by adjustment at period end. |
| **Quantifying goods and services** | Sell goods and services at more than cost. | No quantifiable value placed on all the services provided. |
| **Financial statements** | The statement of profit or loss and other comprehensive income shows the profit or loss for the period. | If a statement of income and expenditure is prepared, it shows what is often termed a surplus or deficit for the period. |

▶ **EXHIBIT 13.1** **Profit versus not-for-profit organisations**

Clubs and societies do not typically manufacture goods but they do generate revenue (in the form of membership fees, subscriptions, seminar fees and donations), and incur expenses in the form of wages, the cost of consumable supplies used in functions and events, utility costs, rent, depreciation, registration fees, subscriptions and many other expenses similar to those incurred by most entities.

Clubs and societies are not usually in a position to borrow funds and tend to be reliant on members' subscriptions, fund-raising activities, donations and grants. But on occasions they may well have liabilities similar to those of other entities (for example, mortgage loans on premises).

## Illustrative Example 1

When Li Li first meets with the accountant about HKBA, she does not know where to begin. The accountant shows her a sample statement of financial position, as shown in Exhibit 13.2. They start by working their way down the list of assets:

- The association owns a small parcel of land and the building on it. When the association was founded, the land and building were donated by a founding member, the host of a successful televised cooking show.
- The HKBA-owned building houses a café, where members can socialise. It is also the site of a baking classroom where members can take lessons and attend seminars.
- Additionally, the building offers a large kitchen that members can use if they do not have access to commercial-grade equipment or if they need additional space for baking.
- Finally, the HKBA rents a small office space that is used as an administrative headquarters.

**Hong Kong Bakers' Association**
**Statement of Financial Position as at 31 December 20X8**

| **Assets** | **20X8 HK$** | **20X7 HK$** |
|---|---|---|
| **Non-current assets** | | |
| Land & buildings | 3,650,000 | 3,650,000 |
| Sundry equipment | 587,000 | 621,050 |
| Café equipment | 1,360,000 | 1,380,000 |
| Kitchen equipment | 2,740,000 | 2,800,000 |
| | 8,337,000 | 8,451,050 |

▶ **EXHIBIT 13.2** **Statement of financial position for the Hong Kong Bakers' Association**

### Illustrative Example 1 *(continued)*

| Hong Kong Bakers' Association<br>Statement of Financial Position as at 31 December 20X8 *(continued)* | | |
|---|---|---|
| **Assets** | **20X8<br>HK$** | **20X7<br>HK$** |
| **Current assets** | | |
| Café inventory | 500 | 350 |
| Bank accounts | 1,287,000 | 1,190,000 |
| Cash on hand | 8,200 | 7,800 |
| | 1,295,700 | 1,198,150 |
| **Total assets** | **9,632,700** | **9,649,200** |
| **Liabilities** | | |
| **Current liabilities** | | |
| Accrued expenses | 18,200 | 30,800 |
| Subscriptions in advance | 1,000 | 2,000 |
| Trade payables | 94,500 | 95,000 |
| **Total liabilities** | **113,700** | **127,800** |
| **Net assets** | **9,519,000** | **9,521,400** |
| **Accumulated fund as of 31 December** | **9,519,000** | **9,521,400** |

EXHIBIT 13.2 (*Continued*)

The accumulated fund relates to the funds left as at the end of the reporting period. This is the equity of the entity (sometimes called 'entity equity').

However, usually members have no residual interest in this equity. Often the equity is committed to the purposes of the society. Should the organisation come to an end, the funds must be passed on to a like entity.

This is different from how owner's equity appears on statements of financial position for profit-making companies.

### Key Learning Point

The financial statements of for-profit and not-for-profit entities comprise the same elements: assets, liabilities, equity, income (including revenue) and expenses (including losses). Circumstances can see clubs and societies producing variations of the financial statements prepared for profit-making companies. It is important to be able to understand what those variations are and what they mean.

### ▶ Knowledge Check Questions

**Question 1**

Explain the major differences between the purposes and motives of trading (businesses) and non-trading (clubs and societies) entities.

**Question 2**

Identify how accumulated fund differs from owner's equity:

**A** Society members cannot take drawings from accumulated fund, while owners can take drawings from equity.

**B** Accumulated fund is a type of liability, while equity is an asset.

**C** Owner's equity must be passed on to a not-for-profit entity when a business ends, but accumulated funds must be distributed to members when a non-trading entity ends.

**D** Accumulated fund is categorised as an asset on the statement of financial position, while owner's equity is categorised separately.

## 13.2 RECEIPTS AND PAYMENTS ACCOUNT FOR A CLUB OR SOCIETY

A club or society may maintain a cash book like any other entity, or it may produce a simple **receipts and payments account**:

- In a full accrual accounting system, the cash book is integrated with accounting for other transactions and events. It also provides some of the information needed for the financial statements.
- Clubs and societies may maintain only a receipts and payments account as their primary record. This account should include separate lists or schedules and also records of the other information needed for financial statements. The account is then adjusted at year end to produce a statement of income and expenditure.

This receipts and payments account records all receipts and payments made during a financial year, usually without regard to whether they are related to that year. For example, if prepared strictly on a cash basis, the account would include a payment for a building at the end of the year; however it would not include a receipt for members' fees received after year end.

In essence, the receipts and payments account is a summarised cash book organised under some appropriate headings.

This account is typically not prepared using a double-entry system. This makes accounting for clubs and societies unlike that used for most business accounts.

In practice, you will see that even to those unfamiliar with accrual accounting, steps are taken sometimes to include receipts and payments in the period to which they relate:

- So the books might be 'kept open' to include all members' fees received in relation to the current period, even those paid after period end.
- Similarly, wages for the year might include payments shortly after period end.

Exhibit 13.3 shows the differences in receipts and related transactions that for-profit and not-for-profit entities typically record. It is important that an accountant – irrespective of whether they prepare or audit the financial statements of clubs and societies – understands the most frequent transactions. Such an analysis is relevant in an audit context because it gives an auditor a better understanding of the client.

| Profit-Making Firm (e.g. Apple Inc.) | Not-for-Profit Organisation (e.g. HKICPA) |
|---|---|
| Income from sales of goods | Annual subscriptions from members |
| Receipts from services provided | Membership admission/application fees |
| Royalties/Commissions received | Profits from sale of souvenirs |
| Customers' training fees received | Proceeds from conferences/seminars/activities/events |
| Investment dividend/interest received | Bank deposit interest received |
| Discounts/allowances received | Donations and legacies from members |
| Profits on disposal of non-current assets | Grants from government |

▶ **EXHIBIT 13.3 Receipt sources in for-profit and not-for-profit organisations**

The account starts with the closing cash-at-hand balance from the previous reporting period. A typical receipts and payments account has typically two sections: The left side is for receipts and the right side for payments. Both sides include columns for the date of the transaction, reference information and the amount.

The receipts and payments account shows the amount of money available to the club or society. This amount shows up as a current asset in the statement of financial position.

A club or society may also have a bank overdraft or deficit, which would be shown as a current liability.

For a club or society, there are some key advantages to maintaining a receipts and payments account, including:

- All receipts and payments are visible at a glance.
- It is easy to determine the amount of cash on hand at the end of a period.
- It allows for some checks against any other records that the club or society may keep.

### Illustrative Example 2

The Hong Kong Bakers' Association membership has grown in the year since Li Li first became treasurer and met with the accountant. Li Li has been keeping the HKBA records, and is ready to prepare the first year-end receipts and payments account. In order to simplify things, she has not been keeping track of debits and credits that correspond to receipts and payments.

## Illustrative Example 2 *(continued)*

In the HKBA cash book:

- The receipts side of the account contains all the details that would also be shown on the debit side of a typical business cash book.
- Similarly, the payments side contains all the details shown on the credit side of such a cash book for the period specified.

When Li Li meets with her accountant, she says 'I'm not quite sure how the receipts and payments account should be organised'.

'I will show you two different ways to format the HKBA's receipts and payments account', the accountant responds. 'The information you include is the most important thing, of course.'

The accountant first shows Li Li a vertical format to present the information. Exhibit 13.4 illustrates this way of preparing the HKBA's receipts and payments account.

| Hong Kong Bakers' Association<br>Receipts and Payments Account for the Year Ended 31 December 20X9 | | | |
|---|---|---|---|
| **Receipts** | | **HK$** | **HK$** |
| | Subscriptions | | 10,306 |
| | Donations | | 4,574 |
| | Bank interest | | 2,201 |
| | Café profits | | 1,700 |
| | **Total** | | **18,781** |
| **Payments** | | | |
| | Salaries | 7,417 | |
| | Telephone | 700 | |
| | Rent and rates | 2,400 | |
| | Sundry expenses | 650 | |
| | **Total expenses** | | **(11,167)** |
| **Net receipts** | | | **7,614** |
| Add Bank | 1 January 20X9 | 1,287,000 | |
| Cash | 1 January 20X9 | 8,200 | |
| | | | 1,295,200 |
| | | | 1,302,814 |
| Comprising Bank | 31 December 20X9 | 1,293,474 | |
| Cash | 31 December 20X9 | 9,340 | |
| | | | 1,302,814 |

**EXHIBIT 13.4 Receipts and payments account for the Hong Kong Bakers' Association for the year ended 31 December 20X9 – vertical presentation**

### Illustrative Example 2 *(continued)*

'I like this,' says Li Li. 'We can clearly see how much has been spent and what we are spending it on. It's also easy to see where receipts are coming from.'

'There is another way to organise the information,' says the accountant. 'This second format presents receipts and payments side by side. This presentation includes cash transactions under the respective receipt and payment columns.' (See Exhibit 13.5.)

**Hong Kong Bakers' Association**
**Receipts and Payments Account for the Year Ended 31 December 20X9**

| **Receipts** | | | **Payments** | | |
|---|---|---|---|---|---|
| **20X9** | | **HK$** | **20X9** | | **HK$** |
| 1 January | Cash | 8,200 | | Salaries | 7,417 |
| | Bank | 1,287,000 | | Telephone | 700 |
| | Subscriptions | 10,306 | | Rent and rates | 2,400 |
| | Donations | 4,574 | | Sundry expenses | 650 |
| | Café profit | 1,700 | | | |
| | Bank interest | 2,201 | | | |
| | | | 31 December | Cash | 9,340 |
| | | | | Bank | 1,293,474 |
| | | 1,313,981 | | | 1,313,981 |

**EXHIBIT 13.5 Hong Kong Bakers' Association's receipts and payments account for the year ended 31 December 20X9 – side-by-side format**

'The first one shows a bit more detail,' says Li Li. 'But this one makes it easy to compare receipts and payments.'

### Key Learning Point

The receipts and payments account is usually prepared using cash basis accounting and includes all receipts and payments occurring in a financial year, regardless of whether they are related to that year.

### Knowledge Check Questions

**Question 3**

Describe a receipts and payments account:

**A** A summary of receipts from services provided for a period
**B** A summarised cash book for a period
**C** A summary of sales and purchases for a period
**D** None of the above

**Knowledge Check Questions *(continued)***

**Question 4**

Identify the most common and frequent type of transaction for clubs and societies:

**A** Membership subscriptions

**B** Raw materials for inventory

**C** Utility expenses

**D** Rental expenses

## 13.3 INCOME AND EXPENDITURE ACCOUNT FOR A CLUB OR SOCIETY

Rather than preparing a statement of profit or loss and other comprehensive income, a club or society may prepare an **income and expenditure account**. This is a summary of all the income earned and all expenditures incurred during a particular period.

The income and expenditure account uses financial information from ledger accounts that the club or society maintains. This account is similar to a statement of profit or loss and other comprehensive income.

As indicated previously, the income of a club or society may approximate the income or revenue of a company.

Where 'income' contains accruals (e.g. subscriptions invoiced but not yet received at period end), it will approximate income in a statement of profit or loss and other comprehensive income.

The approach to converting the receipts and payments account into an income and expenditure account is straightforward. It basically involves the same steps as are applied by entities that convert from cash to accrual at the end of each period, by processing adjustments as discussed in an earlier chapter.

The receipts and payments account is prepared based on information from any cash book or ledgers entries. Then, the following steps are required:

(a) adjust receipts to income by accruing any income for the period not yet received (e.g. subscriptions due), whilst excluding receipts this period previously accrued as income for the preceding period;

(b) likewise adjust cash payments to arrive at related expenses for the period (e.g. by accruing wages for the period yet to be paid), and again excluding payments during the period that were accrued at the end of the last period;

(c) include any non-cash expenses not covered by (b) (e.g. depreciation);

(d) exclude cash payments for the acquisition of assets and reduction of liabilities; and

(e) include gains for the period (e.g. on selling assets) as well as losses (e.g. on disposing investments).

In the end, the income and expenditure account should show a surplus or a deficit. An excess of income leads to a surplus, while the opposite leads to a deficit. The difference is then included in the statement of financial position as an accumulated surplus or deficit.

### Illustrative Example 3

'I have just one question,' says Lily. 'How do I calculate the profit from our club café? We had one event in December 20X9. I see the HK$1,700 profit is listed, but I do not know how to calculate that.'

The accountant explains that a members-only café like the one at the HKBA building is considered a *trading bar*. Some clubs and societies have a club room where they offer refreshments for sale to members. The HKBA runs its café for the benefit of members during association functions.

In December 20X9 the café generated HK$5,000 but café purchases were HK$2,900. Inventories and trade payables for café purchases are outlined here:

| | |
|---|---|
| Inventory as at 1 December | HK$500 |
| Inventory as at 31 December | HK$700 |
| Trade payables as at 1 December | HK$200 |
| Trade payables as at 31 December | HK$300 |
| The café manager's wage for the month was HK$600 | |

As shown in Exhibit 13.6, sales must be placed at the top of the table. From there, you should deduct the cost of sales (i.e. inventory sold during the relevant period), so that you can calculate gross profit before calculating salaries for employees such as bar staff.

**HKBA Café**
**Café Trading Account for December 20X9**

| | | HK$ | HK$ |
|---|---|---|---|
| Sales | | | 5,000 |
| Less: | Cost of sales | | |
| | Opening inventory | 500 | |
| | Purchases | 2,900 | |
| | Less: Closing inventory | (700) | |
| | | | (2,700) |
| Gross profit | | | 2,300 |
| Wages for the café staff | | | (600) |
| Profit to appear as income in an income and expenditure account | | | 1,700 |

▶ **EXHIBIT 13.6 HKBA Café trading account for December 20X9**

### Illustrative Example 3 *(continued)*

A statement of income and expenditure would include the profit of HK$1,700, which is determined after all the other factors have been accounted for by the club.

Li Li Fan and her accountant are now ready to prepare the year-end income and expenditure account.

The accountant explains, 'The purpose of the income and expenditure account is to clearly present two things. First, it should show the association's sources of income and how much comes from each source. Second, it should show how much is spent on each type of expenditure.'

| Hong Kong Bakers' Association<br>Income and Expenditure Account for the Year Ended 31 December 20X9 | | | |
|---|---|---|---|
| **Income** | | **HK$** | **HK$** |
| | Subscriptions | | 10,306 |
| | Donations | | 4,574 |
| | Bank interest | | 2,201 |
| | Café profit | | 1,700 |
| | **Total income** | | **18,781** |
| **Expenditure** | | | |
| | Salaries | 7,417 | |
| | Telephone | 700 | |
| | Rent and sales | 2,400 | |
| | Sundry expenses | 650 | |
| | Depreciation expense Note 1 | 5,685 | |
| | **Total expenditure** | | **(16,852)** |
| **Surplus of income over expenditure (transferred to accumulated fund)** | | | **1,929** |

Note 1: Assume the total depreciation expense for all the equipments during the year is HK$5,685.

▶ EXHIBIT 13.7 **Hong Kong Bakers' Association income and expenditure account for the year ending 31 December 20X9**

### Key Learning Point

The income and expenditure account is a summary of all the income earned and all expenditures incurred during the period.

### ▶ Knowledge Check Questions

**Question 5**

Identify which of the following would indicate that a club has a surplus:

**A** Its accumulated fund has a negative balance.

**B** It distributes a dividend to its members.

**C** Total income exceeds total expenditures.

**D** Total expenditures exceed total income.

**Question 6**

Explain the purpose of accounting associated with a bar trading account for a club or society.

## 13.4 STATEMENT OF FINANCIAL POSITION FOR A CLUB OR SOCIETY

The statement of financial position is a summary of the financial position of a club or society at a particular point in time. It serves the same function as it would for a profit-making company.

The statement of financial position shows what a club or society controls (its assets) and what it owes (its liabilities). It arranges the assets and liabilities in appropriate classes, and shows the basis of measuring each of them (typically historical cost). The difference between these two represents the accumulated fund of the club or society (its equity in substance). So again,

$$\boxed{\text{Assets} = \text{Liabilities} - \text{Equity}}$$

The statement of financial position is prepared in the same way as for a profit-making company, the only difference being that any equity in the form of share capital is replaced by accumulated fund.

There are four sections in the statement of financial position of a club or society:

- Non-current assets including land, buildings, vehicles, etc.
- Current assets such as cash or prepaid expenses or subscriptions in arrears.
- Non-current liabilities (if any) such as mortgage loans or members' loans.
- Current liabilities including any prepaid subscriptions, bank overdrafts or expenses due.
- Accumulated fund, equalling net assets.

### 13.4.1 Presentation of Assets

Assets will be presented in a similar fashion to the way they are shown in other sets of financial statements. The club or society will own certain assets that will typically be used to fulfil the mission of the organisation. In the case of HKBA, assets include land, building and equipment that the association owns.

### 13.4.2 Presentation of Liabilities

Clubs or societies should also include information about their liabilities in the statement of financial position. This includes non-current and current liabilities. As discussed in Chapter 1:

- Non-current liabilities are likely to be settled over multiple future accounting periods.
- Current liabilities are those that companies expect to settle within the next accounting period.

### 13.4.3 Presentation of Equity

Though it is not usual, members of clubs and societies could conceivably contribute money for an ownership interest in a club or society. If they did, it would be equity (capital), similar to the ownership interest of shareholders in a company.

Any profit or loss in a club or society normally must be kept within the organisation and used for the purposes of the organisation. It will be accounted for in the equity section of the statement of financial position in the same manner as for companies. Clubs or societies do not pay out dividends or distribute earnings.

As discussed earlier, it is normal that equity of a club or society is in the form of accumulated fund (equal to net assets). Whilst clubs and societies do not usually have owners or shareholders, accumulated fund is still a form of equity. This is because there is no obligation to distribute the fund (i.e. no liability), and yet members do not hold a residual interest.

**Illustrative Example 4**

In a not-for-profit organisation, the statement of financial position is prepared in the same way as in a profit-making organisation. The statement of financial position presents a record of the organisation's assets, liabilities and equity. Li Li Fan has prepared the following equity section in its statement of financial position for HKBA as at 31 December 20X9.

**Hong Kong Bakers' Association**
**Statement of Financial Position (Equity Section)* as of 31 December 20X9**

| | **HK$** |
|---|---|
| Financed by: | |
| Accumulated fund on 1 January 20X9 | 9,519,000 |
| *(Refer to Exhibit 13.2 – Accumulated fund as of 31 December 20X8)* | |
| Surplus of income over expenditure for the year | |
| *(Carryover from the surplus of income over expenditure from Exhibit 13.7)* | 1,929 |
| **Accumulated fund as of 31 December 20X9** | **9,520,929** |

*A non-profit making organisation would have an accumulated fund, which is the same as the capital for a profit-making organisation. Any surplus for the period is added to the accumulated fund, while any deficit is deducted from it.

### Illustrative Example 4 *(continued)*

Accumulated fund, being the same as the capital, is therefore the difference between assets and liabilities (i.e. Assets = Liabilities + Accumulated Fund).

### Key Learning Point

The statement of financial position is a summary of the financial position of a club or society at a particular point in time, serving the same function as it would for a company.

### ▶ Knowledge Check Questions

**Question 7**

The following is an extract from the Pearl River Dragon Boat Club's annual report for year ended 31 August 20X6:

**Achievements and Performance**

In this financial year, the club achieved a stable position. We continued our programmes to introduce children to dragon boat racing. The club continues to sponsor children activities at the annual dragon boat festival, and registration increased to 78 children this year. The club has also increased membership in its junior division, with the biggest increase coming from the 6–11-years-old age group.

The senior team has once again qualified for the Pacific Regional Tournament. After a top performance at the Oceania Regatta, the club's student team was invited to race in the West Coast Regatta, held in California, United States. The club fully funded the team's entry and travel costs.

The club has been able to purchase an indoor training tank and hopes to launch a recreational canoe programme. The club hopes to offer its members as many competitive and leisure opportunities as possible.

**Financial Review**

The statement of financial position shows the total accumulated funds stand at HK$347,000.

**Required**

(a) Describe the role of narrative disclosure in the context of a club or society.

(b) Identify the elements of achievements and performance that include details relating to expenses of the period:

**A** Sponsorships and travel costs
**B** Travel costs only
**C** Purchase of an indoor tank
**D** Future entries into competitive events

## Knowledge Check Questions *(continued)*

**Question 8**

The HKSA Club is a non-profit making organisation offering various recreational, social and charitable activities to its members who are largely business accountants. The following accounting information was collected by the treasurer of the Club as at the year ended 31 December 20X0:

| | |
|---|---|
| **As at 31 December 20X0** | |
| 20X0 subscription not yet received (in arrears) | HK$18,000 |
| 20X1 subscription received in advance | HK$2,400 |
| Cash subscription received in 2020 | HK$560,000 |
| **As at 31 December 20X9** | |
| 20X0 subscription not yet received (in arrears) | HK$12,000 |
| 20X0 subscription received in advance | HK$3,600 |

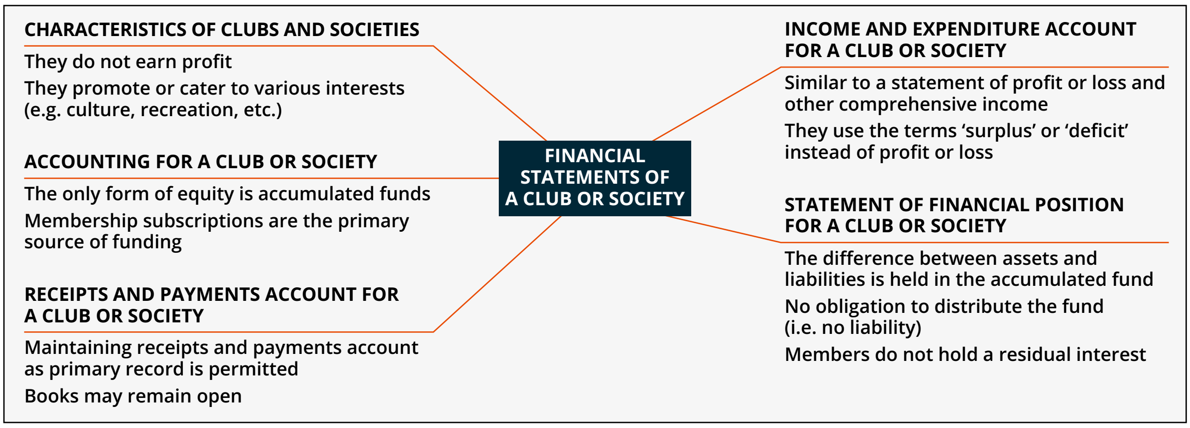
**Required:**

Prepare the 20X9 Subscription Account and ascertain the total subscription recognised in 20X0.

## SUMMARY

- Clubs and societies are typically set up not to trade and earn profit, but to promote or cater to the various interests of their members.
- The legal status of a society can vary from one to the other, and any reporting requirements tend to depend on the rules of the society or club rather than the law.
- Clubs or societies often prepare their accounts on a cash basis.
- Rather than producing a cash book as part of an integrated accrual accounting system, as a company would, a club or society may maintain and produce only a receipts and payments account and some relatively informal records of other financial matters.
- The receipts and payments account is prepared to include all the receipts and payments occurring during the year but not necessarily related to the year, and shows only the change in cash held for a period.
- A club or society may prepare an income and expenditure account, which is a summary of all the income earned during a particular period and all expenditures incurred.
- The statement of financial position is a summary of the financial position of a club or society at a particular point in time, serving the same function as it would for a company. It includes all assets, liabilities and the accumulated fund of the club or society.
- The equity (capital) of the club, or the net assets it holds, is the balance of the accumulated fund.

## MIND MAP




## Answers to Knowledge Check Questions

### Question 1

All organisations need money for their operations, but not all organisations are meant to be businesses. Clubs and societies do not have the purposes of trade and earning profit. Instead, their purpose is to promote and cater to the interests of their members. These interests can be cultural, recreational, religious, professional, sporting or of virtually any other type.

### Question 2

Answer A is correct. Accumulated fund is typically dedicated to the purpose of the society, while owners can take drawings from equity.

Answer B is incorrect because accumulated fund and owner's equity are neither an asset nor a liability.

Answer C is incorrect because owner's equity may be returned to an owner when a business ends, but a society's accumulated fund must be passed on to a like entity.

Answer D is incorrect because both accumulated fund and owner's equity are categorised separately from assets and liabilities on the statement of financial position.

### Question 3

Answer A is incorrect because a receipts and payments account is a summary of all revenues and expenses. Not-for-profit entities often do not sell services and will not have receipts from service provided.

Answer B is correct. A receipts and payments account is a summarised cash book of a club or society for a particular period.

Answer C is incorrect because a receipts and payments account is a summary of all revenues and expenses. Not-for-profit entities often do not make sales.

Answer D is incorrect because a receipts and payments account is a summary of revenues and expenses for a period.

**Question 4**

Answer A is correct. Membership subscriptions are the most common and typical transactions for clubs and societies.

Answer B is incorrect because it would be uncommon for clubs and societies to buy raw materials for inventory. Most not-for-profits do not need raw materials because they do not manufacture things.

Answer C is incorrect. Although clubs and societies probably have utility expenses, membership subscriptions are far more frequent and common.

Answer D is incorrect. Although clubs and societies probably have rental expenses, membership subscriptions are far more frequent and common.

**Question 5**

Answer A is incorrect because the accumulated fund would have a positive balance if a club had a surplus.

Answer B is incorrect because clubs do not pay dividends.

Answer C is correct because a surplus means that total income exceeds total expenditures.

Answer D is incorrect because when total expenditures exceed total income, there is a deficit.

**Question 6**

Often, a club or society may have a specific area where refreshments and snacks are sold for the convenience of its members. This is not the main activity of the club, but it is a small trading activity that generates funds for the club.

Therefore, it is important to prepare a bar/refreshment trading account to calculate the profit or loss arising from such an activity. This account should include cost of sales, purchases and inventory. Any profit is included with income in the income and expenditure account, whereas any loss is included among expenditures.

**Question 7**

(a) Narrative disclosures enable members and other stakeholders of clubs and societies to better understand whether the objectives of an organisation are being met.

(b) The text on achievements and performance adds further detail in relation to which of the following recurring expenses:

Answer A is correct. Sponsorships and travel costs are both mentioned in the text excerpt.

Answer B is incorrect. The text mentions sponsorships in addition to travel costs.

Answer C is incorrect. The purchase of an indoor tank is not considered a recurring expense.

Answer D is incorrect. Future entries into competitive events are not considered recurring expenses.

**Question 8**

| HKSA Club<br>20X0 Subscription Account | | | |
|---|---|---|---|
| | **HK$** | | **HK$** |
| 1 Jan. Balance b/d (20X9 in arrears) | 12,000 | 1 Jan. Balance b/d (20X9 in advance) | 3,600 |
| 31 Dec. Income and Expenditure | 567,200* | Cash | 560,000 |
| 31 Dec. Balance c/d (20X1 in advance) | 2,400 | 31 Dec. Balance c/d (20X0 in arrears) | 18,000 |
| | 581,600 | | 581,600 |

* Total subscription recognised in 20X0 is HK$567,200.

## EXAM PRACTICE

### QUESTION 1

Contrast the differences between a statement of profit or loss and other comprehensive income and an income and expenditure statement:

**A.** An income and expenditure account is the way in which boards of not-for-profit organisation know what they have spent during a reporting period.
**B.** A statement of profit or loss and other comprehensive income is prepared for a business, while an income and expenditure statement is prepared for a not-for-profit organisation.
**C.** A statement of profit or loss and other comprehensive income is prepared on a cash basis.
**D.** A statement of profit or loss and other comprehensive income is prepared for a manufacturing business, while an income and expenditure statement is prepared for a non-manufacturing business.

### QUESTION 2

State the situation when a not-for-profit organisation makes a surplus:

**A.** It will be credited to capital.
**B.** It will be credited to the accumulated fund.
**C.** It will be distributed back to the members.
**D.** It will be added to the bank account.

### QUESTION 3

Contrast the basis of accounting used for a company's statement of profit or loss and other comprehensive income with the basis used for a club's income and expenditure account.

### QUESTION 4

On 31 December 20X7, Hong Kong Bakers' Association had subscriptions in arrears of HK$200 and in advance of HK$50. During the year ended 31 December 20X8, subscriptions of HK$2,600 were received. Of this, HK$130 related to 20X9. On 31 December 20X8 there were still four members owing subscriptions of HK$20 each.

**Required**

(a) Define what is meant by subscriptions in arrears.

(b) Prepare the subscriptions account for the year ended 31 December 20X8.

(c) Identify what distinguishes a club or society from an entity with a profit-based focus.

## QUESTION 5

The Hong Kong Hiking Association operates a bar for the benefit of members attending the association functions. In March 20X9, the bar generated income of HK$34,800, but bar purchases were HK$25,200. Inventories and trade payables for bar purchases are outlined below:

| | |
|---|---|
| Inventory as at 1 March | HK$4,800 |
| Inventory as at 31 March | HK$7,200 |
| Trade payables as at 1 March | HK$2,400 |
| Trade payables as at 31 March | HK$3,000 |
| The bar manager's wage for the month was HK$12,000. | |

**Required**

Prepare the trading account for March 20X9.

## QUESTION 6

The HKSA Club has recorded the following receipts and payments account for the year ended 30 June 20X9.

| **HKSA Club<br>Receipts and Payments Account for the Year Ended 30 June 20X9** | | | |
|---|---|---|---|
| **Receipts** | **HK$** | **Payments** | **HK$** |
| Balance b/f | 50,000 | Sports equipment | 70,000 |
| Subscriptions: | | Salaries and wages | 30,000 |
| Year 20X8 | 20,000 | Office expenses | 4,000 |
| Year 20X9 | 100,000 | Electric charges | 6,000 |
| Donation | 10,000 | Telephone charges | 6,000 |
| Entrance fees (to be capitalised) | 20,000 | Balance c/f | 84,000 |
| | 200,000 | | 200,000 |

Further information for 20X9:

1. 20X9 subscription for HK$10,000 was received In 20X8.
2. Outstanding subscription HK$15,000.
3. Outstanding salaries and wages HK$10,000.
4. Depreciation to be charged at 20% on sports equipment.

**Required**

Prepare the income and expenditure account for the HKSA Club as at 30 June 20X9.

## QUESTION 7

You are the treasurer of the HKQP Elderly Citizens Club. You keep an updated cash book and present the following vertical summary of receipts and payments as at 31 December 20X0:

| **Opening Bank Balances (1 January 20X0)** | **HK$'000** |
|---|---|
| Deposit account | 2,409 |
| Current account | 1,680 |
| | 4,089 |
| Receipts for the year: | |
| Event entry fees | 5,200 |
| Raffle tickets | 2,460 |
| Bank interest | 25 |
| Membership fees | 500 |
| | 12,244 |
| Payments for the year: | |
| Wages | 2,260 |
| Game and craft supplies | 75 |
| Electricity | 410 |
| Rent | 3,100 |
| New books for club library | 35 |
| Stationery | 15 |
| Florist fees | 90 |
| Activity prizes | 50 |
| Advertisements | 20 |
| Cleaning | 55 |
| Van hire | 75 |
| New audio-video equipment | 420 |
| | 6,605 |
| Ending Bank Balance (31 December 20X0) | |
| Deposit account | 4,139 |
| Current account | 1,500 |
| | 5,639 |

You are supplied with the following additional information:

(1) On 1 January 20X0, you had closing balances of the following accounts:

| | **Debit** | **Credit** |
|---|---|---|
| | **HK$'000** | **HK$'000** |
| Bank | 4,089 | |
| Subscriptions | 75 | |
| Equipment | 5,100 | |
| Accumulated fund | | 9,264 |

(2) At the start of the year, the Club owned equipment worth HK$5,100,000 and acquired new equipment during the year valued at HK$420,000. The Club depreciates such assets at 10% on their net book value.

(3) At the start of the year, the Club was owed HK$75,000 late subscriptions and HK$55,000 w-as outstanding for the current year at 31 December 20X0.

(4) The Club owed HK$45,000 at the end of the year for van hire.

(5) It also owed electricity of HK$190,000 and rent of HK$260,000 on 31 December 20X0.

**Required:**

(a) Prepare the following ledger accounts:

1. Subscriptions;
2. Electricity and Rent; and
3. Van hire.

(b) Prepare the Fixed Asset Schedule.

(c) Prepare the Income and Expenditure Account for the year.

(d) Prepare the Statement of Financial Position (Balance Sheet) as at 31 December 20X0.

## ANSWERS TO EXAM PRACTICE

### QUESTION 1

Answer A is incorrect because the boards of not-for-profit organisation also want to know their sources of income.

Answer B is correct because it focuses on the different objectives of the two kinds of entities.

Answer C is incorrect because the statement of profit or loss and other comprehensive income is prepared on the accrual accounting basis.

Answer D is incorrect because the statement of profit or loss and other comprehensive income is prepared for both manufacturing and non-manufacturing businesses.

### QUESTION 2

Answer A is incorrect because not-for-profit organisations do not maintain capital accounts.

Answer B is correct because the accumulated fund account represents the equity of not-for-profit organisations.

Answer C is incorrect because the not-for-profit organisation's surplus will not be distributed to its members.

Answer D is incorrect because the not-for-profit organisation's surplus may not increase its bank balance which will be operated as usual.

### QUESTION 3

A statement of profit or loss and other comprehensive income uses the accrual basis of accounting.

A club is more likely to prepare an income and expenditure account, which is a summary of all the income earned during a particular period and all expenditures incurred. Like the statement of profit or loss and other comprehensive income, this account is also prepared on an accrual basis, as opposed to a cash basis.

## QUESTION 4

(a) The term 'arrears' means that there are payments still due from members to the club or society.

(b)

**Hong Kong Bakers' Association**
**Subscriptions Account**

| **20X8** | | **HK$** | **20X8** | | **HK$** |
|---|---|---|---|---|---|
| 1 January | Subscriptions in arrears | 200 | 1 January | Subscriptions in advance | 50 |
| | Subscriptions income | 2,400 | | Cash | 2,600 |
| 31 December | Subscriptions in advance | 130 | 31 December | Subscriptions in arrears (4 × 20) | 80 |
| | | 2,730 | | | 2,730 |

(c) Clubs and societies will typically have an objective that they are set up to advance, such as assisting the growth in numbers of skilled bakers in Hong Kong. Any funds they obtain will generally be invested in growing the association and activities, such as providing training courses, for example.

## QUESTION 5

**Hong Kong Hiking Association**
**Bar Trading Account for March 20X9**

| | | **HK$** | **HK$** |
|---|---|---|---|
| Sales | | | 34,800 |
| Less: | Cost of sales | | |
| | Opening inventory | 4,800 | |
| | Purchases | 25,200 | |
| | Less: Closing inventory | (7,200) | |
| | | | (22,800) |
| Gross profit | | | 12,000 |
| Wages for the bar staff | | | (11,000) |
| Profit to appear as income in income and expenditure account | | | 1,000 |

## QUESTION 6

**HKSA Club**
**Income and Expenditure Account for the Year Ended 30 June 20X9**

| | HK$ | HK$ |
|---|---|---|
| **Income** | | |
| Subscriptions (100,000 + 10,000 + 15,000) | 125,000 | |
| Donations | 10,000 | 135,000 |
| **Expenditure** | | |
| Salaries and wages (30,000 + 10,000) | 40,000 | |
| Office expenses | 4,000 | |
| Electric charges | 6,000 | |
| Telephone charges | 6,000 | |
| Depreciation expenses (70,000 x 20%) | 14,000 | (70,000) |
| Surplus for the year | | 65,000 |

## QUESTION 7

(a)

**(a1)**

**Subscriptions**

| 20X0 | | HK$'000 | 20X0 | | HK$'000 |
|---|---|---|---|---|---|
| 1 January | Opening balance | 75 | 1 January | Bank | 500 |
| 31 December | I&E | 480 | 31 December | Closing Balance | 55 |
| | | 555 | | | 555 |

**(a2)**

**Electricity and Rent**

| 20X0 | | HK$'000 | 20X0 | | HK$'000 |
|---|---|---|---|---|---|
| 1 January | Bank (Electricity) | 410 | 31 December | Electricity | 630 |
| | Bank (Rent) | 3,100 | | Rent | 3,360 |
| | Balance (Electricity) | 220 | | | |
| | Balance (Rent) | 260 | | | |
| | | 3,990 | | | 3,990 |

**(a3)**

**Van Hire**

| 20X0 | | HK$'000 | 20X0 | | HK$'000 |
|---|---|---|---|---|---|
| 1 January | Bank | 75 | 31 December | Bank | 120 |
| 31 December | Balance | 45 | | | |
| | | 120 | | | 120 |

(b) Fixed Asset Schedule

| Fixed Assets | Equipment |
|---|---|
| | HK$'000 |
| Balance at 1 January 20X0 | 5,100 |
| Additions in year | 420 |
| | 5,520 |
| Less: Depreciation for year (10% on NBV) | (552) |
| Net Book Value at 31 December 20X0 | 4,968 |

(c)

| HKQP Elderly Citizens Club | | |
|---|---|---|
| **Income and Expenditure Account for the year 20X0** | | |
| **Income:** | **HK$'000** | **HK$'000** |
| Membership fees | 480 | |
| Event entry fees received | 5,200 | |
| Raffle ticket fees received | 2,460 | |
| Bank interest | 25 | 8,165 |
| **Expenses:** | | |
| Wages | 2,260 | |
| Game and craft supplies | 75 | |
| Electricity | 630 | |
| Rent | 3,360 | |
| New books for club library | 35 | |
| Stationery | 15 | |
| Florist fees | 90 | |
| Activity prizes | 50 | |
| Advertisements | 20 | |
| Cleaning | 55 | |
| Van hire | 120 | |
| Depreciation – Audio-visual equipment | 552 | (7,262) |
| Surplus for year | | 903 |

(d)

| HKQP Elderly Citizens Club | | |
|---|---|---|
| **Statement of Financial Position as at 31 December 20X0** | | |
| | **HK$'000** | **HK$'000** |
| Fixed Assets (NBV): | | |
| Equipment | | 4,968 |
| Current Assets: | | |
| Bank Current Account | 1,500 | |
| Bank Deposit Account | 4,139 | |
| Subscription Due, unpaid | 55 | 5,694 |
| Total Assets | | 10,662 |
| Liabilities | | |
| Less: Current Liabilities | | |
| Trade and other payables (190 + 260 + 45) | | 495 |
| Net Assets | | 10,167 |
| | | |
| Represented by: | | |
| Accumulated Fund | | |
| 1 January 2020 | | 9,264 |
| Add: Surplus for year | | 903 |
| | | 10,167 |

# 14

# Incomplete Records

## CHAPTER TOPIC LIST

## LEARNING OUTCOMES

| PRINCIPAL LO4: PREPARE AND PRESENT FINANCIAL STATEMENTS FROM A TRIAL BALANCE OR INCOMPLETE RECORDS |
| --- |
| **LO4.01: Prepare financial statements from incomplete records** |
| 4.01.01 Account for the incomplete information for preparation of financial statements |

## OPENING CASE

# GREAT STATIONERY LIMITED, PART 12

Due to its rapid growth, Great Stationery's recordkeeping system has proved to be inadequate. Despite the best advice of their accountant, the Wong brothers found that the company's system of recordkeeping was not able to cope with the preparation of financial statements when they were needed. Further, due to an unfortunate incident, some records were lost during the period.

# OVERVIEW

Accountants may confront a lack of information about transactions and events that affect an entity. This may be due to accounting that is inadequate or not up to date, a loss of records (e.g. through fire, flood, theft or electronic failure), a loss of key staff, fraud and changes in the status of an entity (e.g. incorporation, acquisition, being spun off as a standalone unit) that lead to more demanding requirements than catered for previously.

**Incomplete records** have been defined as those that lack some, or all, of the prime information necessary to write up the books of a business and to prepare the financial statements. This is a wide definition that would encompass imprecision, omission and incorrect inclusion of relevant information.

This chapter illustrates how to create financial statements when accounting records are incomplete. The keys to being able to do so are:

(a) an understanding of the relationships between the elements of financial statements (assets, liabilities, equity, income [including revenue] and expenses [including losses]);

(b) an appreciation of the role and contents of underlying records, and sources of the problems of incomplete information; and

(c) knowledge of the business.

The basic approaches are:

(a) to identify the relevant missing information;

(b) to derive, or estimate, information based on known relationships; and

(c) to narrow the extent of the missing information when (b) has limitations.

This chapter will illustrate how to work from a partly populated trial balance or statement of financial position and a statement of profit or loss and other comprehensive income to come to complete, or at least more complete financial statements.

## 14.1 INTRODUCTION OF INCOMPLETE RECORDS

The process of recording, journalising and reporting accounting information depends on the quality of the records that entities keep and the systems they employ. Complete and carefully maintained information, held in a well-controlled system, enables the entire process of preparing financial statements to be run efficiently.

However, in practice, accountants and auditors will see entities whose records are incomplete. The reference to '**incomplete records**' sometimes is confined to situations in which double entry bookkeeping has not been fully achieved. This chapter takes a wider view to include situations in which data deficiencies limit or preclude financial statements, of the desired quality, being prepared. Thus, we look at some forensic techniques that include, and also go beyond, using known debits and credits to derive missing amounts.

Accounting firms are accustomed to clients needing financial statements to be prepared from a collection of materials that are sometimes incomplete, presented in the proverbial 'shoe box'. The clients simply put all things vaguely financial in a container and look to the accountant to make sense from them. In this situation, the accountant will often have to cope with incomplete records. But even in sophisticated systems there can be instances in which information is missing. In such cases, the tools in this chapter become relevant.

Whilst financial statements can be developed in what might be termed 'proforma layouts' (that is, informal layouts), it might well be difficult, if not impossible, to use incomplete records to develop financial statements that are presented in a manner that satisfies regulatory and auditing requirements. The consequences of this can be severe for entities. In other words, working with incomplete records may reduce the extent of a problem, but ultimately, not leave an entity in the same position as if it had complete records and good controls.

So, beyond the learning objective of how best to cope with incomplete records, is another objective, to appreciate the limitations of financial statements produced in some of the ways illustrated below.

Finally, it must be appreciated that not all situations of incomplete records are the same:

- At one end of the spectrum, management may be asking for a rough approximation of results or financial position before the system is able to generate such information. They might be fully aware of the limitations of the data, and willing to accept the use of shortcuts and estimations, for the limited purposes they have in mind.
- At the other end of the spectrum, a listed company may be trying to produce financial statements that comply with accounting standards and which will receive an unqualified audit report.

The former situation might be dealt with successfully. The latter may not be capable of full solution, if material aspects of the financial statements can only be estimated and sufficient audit evidence is not available.

### Key Learning Point

Incomplete records are characterised as those producing insufficient information about income, expenses, assets, liabilities or equity when trying to produce financial statements of a needed quality.

### ▶ Knowledge Check Questions

**Question 1**

Identify which situation applies to incomplete accounting records. The entity is:

**A** not using double-entry bookkeeping. Instead, it is using a more informal accounting system that maintains a reduced amount of information about its financial transactions and results.

**B** using a manual bookkeeping system instead of a computerised accounting system.

**C** subcontracting its bookkeeping system to an accounting service company.

**D** not recording the accounting transactions on a frequent basis (e.g. daily or weekly).

**Question 2**

Outline three reasons why the accounting records may be incomplete, even though the financial statements and trial balance are balanced and seem to contain all the expected classes of transactions and balances.

## 14.2 APPROACHES TO OVERCOMING INCOMPLETE INFORMATION AND IDENTIFYING THE CAUSES OF INCOMPLETE RECORDS

Throughout this module, you have learned about the structure of the elements that go into making up the financial statements of an entity. This started with the accounting equation (Equity = Assets – Liabilities) and continued through accounting for revenue and expenses. As such, you are familiar with the following:

- the composition of accounts such as trade receivable and trade payable; and
- the composition of the cash at bank account and what causes changes in cash flows over a period;
- the format of the statement of profit or loss and other comprehensive income, and within that statement the relationship between sales, cost of sales and gross profit/ margin; and
- the make-up of equity and what causes changes in it.

Your knowledge of these concepts and how they are related can help reduce or eliminate incomplete information.

## 14.2.1 Incomplete Records Evident from Draft Financial Statements/ Trial Balance

Let us now turn to situations in which some numbers in the financial statements are known but others are not.

Accounts can be incomplete in different ways, but, generally, it may be possible to start rebuilding information from the opening balances of assets, liabilities and equity.

It was mentioned above that an important aspect of dealing with incomplete records is understanding the relationships between the elements in the financial statements. Early in this chapter you were re-introduced to the accounting equation:

$$\text{Equity (E)} = \text{Assets (A)} - \text{Liabilities (L)}$$

### 14.2.1.1 Incomplete Statement of Financial Position

Consider Exhibit 14.1, a draft statement of financial position for Great Stationery as at 31 March 20X9. It has many gaps for that must be filled in.

**Great Stationery Limited**
**Draft Statement of Financial Position**
**31 March 20X9**

| | 20X8 HK$ | | | 20X9 HK$ |
|---|---|---|---|---|
| | | **Non-Current Assets** | | |
| | 500,000 | Land | | ??? |
| 500,000 | | Motor vehicles | 500,000 | |
| (100,000) | | Less: Accumulated depreciation | (???) | |
| | 400,000 | | | ??? |
| 1,250,000 | | Equipment | 1,550,000 | |
| (350,000) | | Less: Accumulated depreciation | (???) | |
| | 900,000 | | | ??? |
| | 1,800,000 | Total non-current assets | | ??? |
| | | | | |
| | | **Current Assets** | | |
| | 1,350,000 | Trade receivables | | 1,050,000 |
| | 800,000 | Inventories | | 900,000 |
| | 100,000 | Short term bank deposits | | 100,000 |
| | 200,000 | Cash at bank | | ??? |
| | **4,250,000** | **Total assets** | | **???** |

▶ **EXHIBIT 14.1 Draft statement of financial position**

| | | | | |
|---|---|---|---|---|
| | | **Great Stationery Limited**<br>**Draft Statement of Financial Position**<br>**31 March 20X9 *(continued)*** | | |
| | | **Equity** | | |
| | 1,000,000 | Ordinary share capital | | 1,000,000 |
| | | Retained earnings | | |
| 200,000 | | Opening balance | 290,180 | |
| 110,180 | | Profit for year | ??? | |
| (20,000) | | Less: Dividends | (???) | |
| | 290,180 | Total retained earnings | | ??? |
| | | | | |
| | | **Non-current Liabilities** | | |
| | 1,650,000 | Bank loan | | 1,650,000 |
| | | | | |
| | | **Current Liabilities** | | |
| | 1,309,820 | Trade and other payables | | 970,000 |
| | | | | |
| | **4,250,000** | **Total equity and liabilities** | | **???** |

▶ **EXHIBIT 14.1** **(*continued*)**

In addition to the gaps identified, be aware that the entity lost three months of paid vouchers and the related recording thereof, in a fire. Great Stationery has not been able yet to reconstruct the lost information, except for identifying capital expenditure from separate records.

Let us start working our way through individual balances, step by step, trying to fill out the statement and to generate a statement of profit or loss.

### 14.2.1.2 Asset Acquisitions

From the cash payments for the period and the director's minutes, you have noted that a further HK$250,000 has been paid for land whereas HK$500,000 was recorded last period. The capital expenditure records were maintained separately from the records for operational payments (which suffered in the fire). The total cost of land acquired is HK$750,000.

### 14.2.1.3 Motor Vehicle Depreciation and Accumulated Depreciation

For the depreciable assets (A = Assets), we need to calculate the depreciation (Ex = Expenses). This may be as simple as finding the expense from last year's depreciation schedule if the assets being depreciated unchanged, and the depreciation method, useful lives and residual values still apply.

On reviewing the depreciation schedule for motor vehicles, no changes to last year's depreciation are needed.

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X9** | | **HK$** | **HK$** |
| 31 March | Depreciation expense | 100,000 | |
| | Accumulated depreciation – Vehicle | | 100,000 |
| | Record depreciation for motor vehicles | | |

### 14.2.1.4 Equipment Depreciation and Accumulated Depreciation

It can be seen from the statement of financial position that equipment worth HK$300,000 was acquired half way through the period. By multiplying the full year's depreciation by months held divided by 12, the depreciation for the current period is determined to be HK$30,000.

The calculations for depreciation are shown in the following:

| Calculation of Depreciation | | |
|---|---|---|
| **Existing equipment** | **HK$** | |
| Cost | 1,250,000 | 5 years ago |
| Residual value | (550,000) | |
| Depreciable amount | 700,000 | |
| Expected useful life | | 10 years |
| Depreciation per annum | HK$70,000 | |
| **New equipment** | | |
| Cost | 300,000 | |
| Residual value | (60,000) | |
| Depreciable amount | 240,000 | |
| Expected useful life | | 4 years |
| Depreciation per annum | HK$60,000 | |
| First year | HK$30,000 | 6 months |

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X9** | | **HK$** | **HK$** |
| 1 October | Equipment | 300,000 | |
| | Cash at bank | | 300,000 |
| | Purchase of a new equipment | | |
| | | | |
| 31 March | Depreciation expense HK$(70,000 + 30,000) | 100,000 | |
| | Accumulated depreciation – Equipment | | 100,000 |
| | Record depreciation of equipment | | |

| Equipment | | | |
|---|---|---|---|
| | HK$ | | HK$ |
| Opening balance | 1,250,000 | Closing balance | 1,550,000 |
| Purchases | 300,000 | | |
| | 1,550,000 | | 1,550,000 |

| Accumulated Depreciation – Equipment | | | |
|---|---|---|---|
| | HK$ | | HK$ |
| Closing balance | 450,000 | Opening balance | 350,000 |
| | | Depreciation | 100,000 |
| | 450,000 | | 450,000 |

As you can see again, the above determinations are filling gaps in both the statements of financial position and profit or loss. Total depreciation is HK$100,000 and accumulated depreciation moves from HK$350,000 to HK$450,000.

### 14.2.1.5 Cash at Bank

Let us assume that the amount for cash at bank shown in the ledger is HK$629,488, and that bank fees and all direct credits have already been included in the determination of that number.

The number arrived at for cash at bank can be placed into the above draft statement of financial position. But we do not know yet what are all the corresponding debits and credits that explain the movement in cash. We are striving to explain that movement by proving up what all the other assets, liabilities and equity amounts should be.

### 14.2.1.6 Dividends

The directors' minutes for Great Stationery were reviewed to determine what dividends were declared and when they were to be paid (E = Equity). In this case we see a distribution of HK$40,000 was declared and paid within the period. If unpaid at period end date, an accrual would have been needed resulting in a current liability (L = Liability). The journal entry of payment of the dividend is as follows:

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| 20X9 | | HK$ | HK$ |
| 31 March | Dividends | 40,000 | |
| | Cash at Bank | | 40,000 |
| | Payment of dividends to shareholders | | |

## 14.2.2 Structure of Equity

In a straightforward entity and assuming no reserves, the structure of the equity section of the statement of financial position includes the following five components:

1. Opening balance
2. + New equity subscribed
3. + Profit or loss for the period
4. – Dividends declared
5. = Closing balance

We also know that the *closing balance of equity* equals *net assets*. If the net assets are known, the closing balance will also be known.

In cases where some of this key information is missing, we can attempt to piece it together based on what we know. For example:

- Item 1 (the opening balance) could be found using last year's accounts.
- Similarly, item 2 (new equity subscribed) would most likely show up in records of cash received. In a small business like Great Stationery, it is also likely that the shareholders would remember any new equity subscribed.
- Item 3 (profit or loss for the period) can be more complicated to determine when records are incomplete. See the illustrative example that follows to understand how this could be determined.

### Illustrative Example 1

Referring to Exhibit 14.1 and the information we have determined from previous sections, determine the net profit for the period.

Total equity = Total Assets − Total Liabilities

$$= \text{HK\$4,829,488} - \text{HK\$970,000 Trade payables} - \text{HK\$1,650,000 Bank loans}$$

$$= \$2,209,488$$

$$\text{Total Retained Earnings} = \text{HK\$2,209,488} - \text{HK\$1,000,000 Ordinary share capital}$$

$$= 1,209,488$$

$$\text{Net profit} = \text{HK\$1,209,488} + \text{HK\$40,000 Dividends} - \text{HK\$290,180 Opening retained earnings}$$

$$= \text{HK\$959,308}$$

Exhibit 14.2 shows a draft statement of financial position that includes the information we have determined this far.

## Illustrative Example 1 *(continued)*

| | | | | |
|---|---|---|---|---|
| | | **Great Stationery Limited**<br>**Draft Statement of Financial Position**<br>**31 March 20X9** | | |
| | **20X8**<br>**HK$** | | | **20X9**<br>**HK$** |
| | | **Non-Current Assets** | | |
| | 500,000 | Land | | **750,000** |
| 500,000 | | Motor vehicles | 500,000 | |
| (100,000) | | Less: Accumulated depreciation | **(200,000)** | |
| | 400,000 | | | **300,000** |
| 1,250,000 | | Equipment | 1,550,000 | |
| (350,000) | | Less: Accumulated Depreciation | **(450,000)** | |
| | 900,000 | | | 1,100,000 |
| | 1,800,000 | Total non-current assets | | **2,150,000** |
| | | | | |
| | | **Current Assets** | | |
| | 1,350,000 | Trade receivables | | 1,050,000 |
| | 800,000 | Inventories | | 900,000 |
| | | | | |
| | 100,000 | Short-term bank deposits | | 100,000 |
| | 200,000 | Cash at bank | | 629,488 |
| | | | | |
| | 2,450,000 | Total current assets | | 2,679,488 |
| | **4,250,000** | **Total assets** | | **4,829,488** |
| | | **Equity** | | |
| | 1,000,000 | Ordinary share capital | | 1,000,000 |
| | | Retained earnings | | |
| 200,000 | | Opening balance | 290,180 | |
| 110,180 | | Net profit | 959,308 | |
| (20,000) | | Less: Dividends | **(40,000)** | |
| | 290,180 | Total retained earnings | | 1,209,488 |
| | | | | |
| | | **Non-current Liabilities** | | |
| | 1,650,000 | Bank Loan | | 1,650,000 |

▶ **EXHIBIT 14.2 Draft statement of financial position, updated**

**Illustrative Example 1 *(continued)***

| | Great Stationery Limited<br>Draft Statement of Financial Position<br>31 March 20X9 *(continued)* | |
|---|---|---|
| | **Current Liabilities** | |
| 1,309,820 | Trade and other payables | 970,000 |
| | | |
| **4,250,000** | **Total equity and liabilities** | **4,829,488** |

EXHIBIT 14.2 (*Continued*)

## 14.2.3 Sales and Expenses

Let us look at the basic structure of the statement of profit or loss and comprehensive income, and see how we can derive key amounts.

Sales

– Cost of Sales

= Gross Profit

– Expenses

= Net Profit

### 14.2.3.1 Sales

What sources can we pursue to determine sales?

Some sales will be in cash and there may be some listings of receipts (e.g. cash register data). Deposits of cash in the bank may also give some clues about cash sales, especially after we eliminate specific other sources of cash (e.g. dividends, interest, equity injections or refunds of outlays on assets.)

Critically, credit sales will be part of the composition of trade receivable balance:

Opening balance

+ Credit sales

– Payments by debtors

= Closing balance

A T-account would display this information as follows:

| Trade Receivables | | | |
|---|---|---|---|
| | **HK$** | | **HK$** |
| Opening balance | | Closing balance | |
| Credit sales | | Payments by debtors | |

- Correspondence with debtors is one source of evidence. If the entity sends out statements to debtors and they are paid regularly without dispute, some confidence can be gained in the recording of trade receivables at the beginning and end of a period, and of the payments made by debtors. This would allow an accountant to determine credit sales for the period, the missing variable.
- Closing balances can be confirmed with debtors each period. Auditors use confirmation letters to ensure that debtors are appropriately stated, but management can also use them.

If sales are well recorded, but the missing information relates to payments, the approach above can be used to solve for the payments made.

The reconciliation of trade receivable discussed resulted in the following ledger positions.

Sales = HK$2,500,000.

| **Trade Receivables** | | | |
|---|---|---|---|
| | **HK$** | | **HK$** |
| Opening balance | 1,350,000 | Bad debts | 25,000 |
| Sales | 2,500,000 | Payments | 2,775,000 |
| | | Closing balance | 1,050,000 |
| | 3,850,000 | | 3,850,000 |

| **Sales** | | | |
|---|---|---|---|
| | **HK$** | | **HK$** |
| | | Trade receivables | 2,500,000 |

### 14.2.3.2 Limitations

Can you see any limitations in this approach?

- If cash received is diverted to pay other expenses directly and is not banked, cash and credit sales could become hard to derive.
- If debtors do not respond to confirmation requests and there is poor control of trade receivable (e.g. with many disputes with debtors), you may face the problem of solving for multiple variables.
- Another source of problems could come from poorly controlled returns of goods by customers. This is a problem if these returns are not properly reflected in statements sent to debtors, and which become the source of unreconciled claims between the entity and its debtors.

## 14.2.4 Closing Inventory

A common missing piece of information is the amount of closing inventory. This is typically either because the entity did not perform an inventory count, or because the accounts are needed between scheduled counts.

Let us return to the simplified structure of the statement of profit or loss and other comprehensive income:

Sales

– Cost of Sales

= Gross Profit

– Expenses

= Net Profit

What can we do to determine the cost of sales if we do not know the amount of closing inventory?

#### 14.2.4.1 Gross Profit and Gross Margin Information

As indicated above, gross profit is the difference between sales and the cost of sales.

The relationship between those two amounts is the gross margin, which may be expressed as a percentage:

Gross Profit ÷ Sales = Gross Margin %

The related relationship is that between gross profit and the costs of sales – the mark-up which too can be expressed as percentage:

Gross Profit ÷ Cost of Sales = Mark-up %

### Illustrative Example 2

If we know that sales were HK$350,000 and if the business priced sales to achieve a gross profit percentage of 40%, we could solve for the gross profit as follows:

$$\text{Gross profit} \div \text{HK\$350,000} = 40\%$$

So, the gross profit would be HK$140,000.

From this we can see that the cost of sales was HK$210,000. The mark-up percentage would then have been:

$$\text{HK\$140,000} \div \text{HK\$210,000} = 66.67\%$$

$$\text{Sales HK\$350,000} - \text{Cost of sales HK\$210,000} = \text{Gross profit HK\$140,000}$$

If we knew that the amount of opening inventories (from the last inventory count) was HK$100,000 and purchases for the period were HK$200,000, we can derive the closing inventories as being HK$90,000.

Cost of sales HK$210,000 = Opening inventories HK$100,000 + Purchases HK$200,000 – Closing inventories HK$90,000.

Again you can see the value of known relationships in solving for unknown numbers.

### 14.2.4.2 Cost of Sales

Referring to the Great Stationery's case, inventories (A = Assets) will need to be counted and a measurement ascribed. Great Stationery uses the perpetual approach to determine the cost of sales. This is complemented by monthly inventory counts and costing. The cost of sales (COS) is determined as follows:

$$\text{COS} = \text{Opening inventory HK\$800,000 (from comparative figures of draft financial statements)} + \text{Purchases} - \text{Closing inventory}$$

The purchases for the period from the ledger are HK$1,014,820.

The inventory countsheets, extended for actual purchase prices, shows that Great Stationery's closing inventory for 20X9 was HK$900,000. There is no obsolete or damaged inventory on hand.

Once we know opening and closing inventory and have proved up purchases (through our work on the trade payable reconciliation), we can determine the cost of sales – a major expense (Ex = Expense) in the statement of profit or loss:

$$\text{COS} = \text{Opening inventory HK\$800,000} + \text{Purchases HK\$1,014,820} - \text{Closing inventory HK\$900,000} = \text{HK\$914,820}$$

In ledger terms the above is reflected by the following T-accounts:

| Inventory | | | |
|---|---|---|---|
| | HK$ | | HK$ |
| Opening balance | 800,000 | Transfer to COS | 914,820 |
| Purchases | 1,014,820 | Closing balance | 900,000 |
| | 1,814,820 | | 1,814,820 |

### 14.2.4.3 Limitations

But again, what limitations can you see in the above calculations?

- Firstly, the business may not be able to achieve standard margins and may need therefore to change prices often within a period.
- Secondly, in a business with a number of products whose prices provide varying margins, you would either need to work with simple averages that might be crude or work out some forms of weighted average. The latter could become quite a complex measure when volumes and types of inventory purchased and sold shift around.
- Thirdly, if returned goods were significant and varied across the products, good information on those returns would be needed if the above calculations were to be reasonably accurate.

### 14.2.5 Trade Payable and Purchases

As can be seen above, the amount for purchases is another critical number. We know that the basic form of trade payable is as follows:

Opening balance

+ Purchases

– Payments

= Closing balance

| Trade Payable | | | |
|---|---|---|---|
| | HK$ | | HK$ |
| Payments | | Opening balance | |
| Closing balance | | Purchases | |

As with trade payable, we may know the opening amount and we may be able to gain knowledge of payments from payments records (cheque stubs, bank statements) and closing balances from creditor statements. If so, we can derive the figure for purchases, assuming our returns of goods to suppliers are known or insignificant.

Suppliers will tend to be readier than debtors to respond to the confirmations of amounts outstanding. Their statements should also be on file and preferably not provide evidence of material disputes between the entity and the supplier (that may call into question information being used to derive other information).

### 14.2.6 Expenses

For recurring expenses, we can look at supplier statements, noting the opening balances and closing balances, and prove up payments by comparing what those statements show and records of payments.

The suppliers' statements will show:

Opening balance

+ New invoices for period

– Payments received by the supplier during the period

= Closing balance

The entity will be trying to work out the expense for the period. The payments made by the entity will in part pay for supplies in the previous period (and reflected in the opening balances in the statement). These should have been accrued in the profit or loss in the previous period.

And of course, the payments will not reflect the supplies that need to be accrued for this period, which are not yet reflected in the payments shown on the creditor's statement.

So, we are looking for:

Payments to creditors

– Accrual relating to the previous period

+ Accrual relating to the current period

= Expense for period

### Illustrative Example 3

The entity pays for telecommunications supplied by Telco Limited. The statements from Telco Limited show that there was an opening balance unpaid at the beginning of the period of HK$13,000.

The statements also show monthly payments totalling HK$33,000. The last statement for the period shows HK$15,000 owing at the end of the period.

The expense for the period can be calculated as:

| | |
|---|---|
| Gross payments | HK$33,000 |
| – Previous period accrual | HK$13,000 |
| + Current period accrual | HK$15,000 |
| = Expense for period | HK$35,000 |

| Trade Payable | | | |
|---|---|---|---|
| | **HK$** | | **HK$** |
| Gross payments | 33,000 | Opening balance | 13,000 |
| Closing balance | 15,000 | Expense for period (balancing figure) | 35,000 |
| | 48,000 | | 48,000 |

### 14.2.6.1 Interest Income and Expense

Referring to the Great Stationery's case, we would expect that the interest received or receivable on the short-term deposit would be determinable. Can we see that interest being credited in the bank statements? Assume we can see HK$3,000 credited to the company, but we recalculate the interest for the period and it works out to be HK$5,000 (income for the period).

No interest was outstanding at the beginning of the period. This means we need to accrue a further HK$2,000 as interest receivable (A = Asset). So now we know the profit or loss should include HK$5,000 in interest income (I = Income), and the statement of financial position above should show another current asset for the interest receivable.

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X9** | | **HK$** | **HK$** |
| 31 March | Interest receivable | 2,000 | |
| | Interest income | | 2,000 |
| | To accrue interest income | | |

Then we need to accrue interest that was unpaid at the end of the year (say HK$2,000) (L = Liability) and add that to the interest expense for the year. The amount of interest unpaid is a current liability.

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X9** | | **HK$** | **HK$** |
| 31 March | Interest expense | 2,000 | |
| | Interest payable | | 2,000 |
| | To accrue interest that was unpaid | | |

The effect of the treatment of interest payments adjusted for the above, means that total interest expense is HK$12,000 (payments HK$10,000 plus accrued interest HK$2,000).

But why is the balance of the loan from the bank (HK$1,650,000) (L = Liability) the same for this and last period? Again, you review the loan agreement looking for repayment terms, and find that the loan is a variable interest rate loan on an interest only basis.

This means the interest calculated for accounting and under the loan agreement are, in this case, the same. You conclude that the amounts for interest above and for the loan are appropriate. So, you have been looking for a known relationship and found it to hold. No entry is required in relation to the loan from the bank. It is unchanged.

### 14.2.6.2 Wages

The Wong brothers were willing to build Great Stationery up, and took only wages of HK$64,000 (correctly recorded in the wages records).

The journal entry of the payment is as follows:

| Date | Particulars | Debit | Credit |
|---|---|---|---|
| **20X9** | | **HK$** | **HK$** |
| 31 March | Wages | 64,000 | |
| | Cash at Bank | | 64,000 |
| | Payment of wages | | |

### 14.2.6.3 Limitations

What are the limitations of the above calculations for trade payable and expenses?

To begin with, the calculations depend on the accuracy of the creditor statements. If the creditor omits payments, or bills the entity for wrong amounts, or omits returns or fails to credit the entity for sales discount or any other entitlements, the answer will not be accurate.

As with other payables, the reconciliations of creditor statements should be reviewed to identify whether there are significant problems evident.

The accountant would also review expenses over time and against pricing data, to ensure that they seem reasonable.

Exhibit 14.3 shows a statement of profit or loss and other comprehensive income for Great Stationery. It includes all information we have calculated to this point. The expenses shown have either been calculated as above or were drawn directly from the ledger.

| **Great Stationery Limited<br>Draft Statement of Profit or Loss and Other Comprehensive Income<br>31 March 20X9** | | | |
|---|---|---|---|
| | | **HK$** | **HK$** |
| Sales | | | 2,500,000 |
| Cost of sales | | | |
| Opening inventory | | 800,000 | |
| Purchases | | 1,014,820 | |
| Less: Closing inventory | | (900,000) | |
| | | | (914,820) |
| Gross profit | | | 1,585,180 |
| Plus: Other income | | | 5,000 |
| | | | 1,590,180 |
| Less: Expenses | | | |
| | Depreciation | 200,000 | |
| | Interest expense | 12,000 | |
| | Wages | 64,000 | |
| | Impairment loss on trade receivables | 25,000 | |
| | Inventory loss | 5,000 | |
| | Unidentified expenses | 324,872 | |
| | | | (630,872) |
| Net profit before tax | | | **959,308** |

**EXHIBIT 14.3 Statement of profit or loss and other comprehensive income**

## 14.2.7 Revisiting the Accounting Equation

After inclusion of the provision for tax HK$79,128, Great Stationery's net assets are HK$2,130,360 (HK$4,829,488 Total assets – HK$970,000 Trade payables – HK$1,650,000 Bank loan – HK$79,128 Tax provision). The net profit after tax is thus HK$959,308 – HK$79,128 = HK$880,180.

The provision for tax was obtained from Greater Stationery's tax consultant.

Note that the net assets and equity equal each other, or:

$$\boxed{E = A - L}$$

We now can see all the elements in equity:

| | |
|---|---|
| Opening balance | HK$1,290,180 |
| + Profit for period | 880,180 |
| | 2,170,360 |
| – Dividends | (40,000) |
| Closing equity | HK$2,130,360 |

### 14.2.7.1 Residual Expenses

Can you spot the one number in the draft statement of profit or loss and comprehensive income that did not come from our previous answers or the ledger?

Remember that we were told that Great Stationery had lost three months of paid vouchers, and the related recording thereof, in a fire. Great Stationery has not been able yet to reconstruct the lost information, except for identifying capital expenditure from separate records.

We have reconciled trade receivable and trade payable, as well as cash at bank. We have also taken steps to separately determine asset acquisitions and transactions with shareholders, and we have determined net profit after tax by proving up the assets and liabilities of Great Stationery. Our efforts above have identified several discrete expenses that are shown in the above draft. But we are still left with HK$324,872 in what may be termed **unexplained residual expenses** or other unidentified expenses.

This has led us to believe that the HK$324,872 relates only to operating expenses, and we have no reason to believe any would not be tax deductible. Nevertheless, the records are incomplete until Great Stationery works through bank statements and other records to try to further allocate that amount to individual expense accounts.

The purpose in leaving the above unresolved is to bring home the fact that how far we take completion of records will depend on the use to be made of the statements at the time.

If Great Stationery were using its financial records to produce external financial statements or say tax returns, it would need to go further. That would involve analysing all the types of expenses that the entity would normally have and looking for evidence relevant to the current period. They could for example follow up with utility companies and seek copies of invoices for the period for telephones, energy and maintenance, etc. This analysis would need to be taken to the point that any remaining residual expense number was immaterial.

## Key Learning Point

Your knowledge of the accounting equation (Equity = Assets – Liabilities) and relationships implicit therein can help reduce or eliminate incomplete information. But be wary of the limitations of any method that attempts to overcome the lack of double-entry accounting and good controls.

A lack of completeness in accounting records can be the result of various factors. The degree to which that lack of completeness can be overcome will vary, as will the need for quality in the financial statements being constructed.

The accountant needs to understand the interrelationships between the elements of financial statements and between those elements and underlying records. If the records that support the accounting entries are incomplete, it will be difficult to construct financial statements that are relevant and representationally faithful. But there are ways to use incomplete records to approximate such statements.

## ▶ Knowledge Check Questions

**Question 3**

Identify which of the following are reasons why financial records might be incomplete.

**A** Clerical errors

**B** Fraud

**C** Change of entity status

**D** All of the above

**Question 4**

Identify which of the following statements is/are correct.

**A** Incomplete records must be rectified.

**B** The statement of profit or loss and other comprehensive income must be completed before the profit or loss for the period can be determined.

**C** Underlying systems can reveal incomplete records.

**D** All of the above.

# 14.3 RECONSTRUCTION AND ANALYTICS

We have examined how poor processes and information gaps can cause incomplete records. There are additional ways to rectify incomplete records, including reconstruction and analytics.

## 14.3.1 Reconstruction from Supporting Records

Much of what is needed is likely to be determinable from some forms of record (and even employee memories). By bringing collective knowledge to the fore, examining supporting records and looking for relationships between data, you may learn more about:

1. usual and unusual transactions;
2. inventory movements;
3. disputes with suppliers and customers;
4. negotiations with banks; and
5. many other possible transactions and events that can remain hidden when the statement of profit or loss and other comprehensive income and statement of financial position are determined in any sort of residual manner.

As indicated above, this type of work is about determination of the required information rather than estimation.

## 14.3.2 Reconstruction Using External Sources of Information

Evidence has more credibility when it can be corroborated with external information. This is basic to auditing, but it is also relevant for accountants. If external reports (i.e. newspaper, government statistics) show electricity or rental costs increasing by a certain percentage:

- Why did the company's expenses for these not do so?
- What do supplier's statements say?
- What appears in the bank statements?

In all these cases, you are reviewing an externally generated piece of information from which you may be able to move to a direct determination of amounts of transactions. The determinations then come with the added assurance of external evidence.

## 14.3.3 Estimation

Beyond direct determination, we may need to estimate amounts to complete records.

Some such amounts may need to be deduced from known relationships. For example, if you have the sales figure for a period (e.g. a month), in the absence of opening and closing inventories for that short period, to estimate the figure for the cost of sales (what it costs you to produce or buy a product), you might use the mark-up or gross profit margin method to work it out.

For this, you will need to know what the mark-up or profit margin percentage is. For example, if you have the sales figure of say HK$450,000 and the margin is consistently 30%, you know that the cost of sales will be 70% (i.e. HK$450,000 x 70% = HK$315,000).

In some retail businesses with large numbers of many small value items (e.g. variety retailers), it is possible for 'cost and sell' exercises to be undertaken in relation to a representative sample of items on hand, with a view to working out a reliable average mark-up. That mark-up can then be applied to all sales to which the sample relates to determine the cost of sales.

From time to time a complete inventory count and costing will be conducted, and this will yield another and more accurate mark-up to be used going forward.

There are limitations on businesses counting inventory for all circumstances. Using the gross margin can obviate these limitations for internal reporting purposes. It will normally not be sufficient for final statements to be used externally and audited.

### 14.3.4 Analytics

Ratio analysis, trend analysis and other forms of correlative assessment are usually not used for rectifying gaps in financial statement information. They have more power in the process of discovering gaps in information when they reveal unexpected relationships, as an auditing technique:

- One of the two most commonly used forms of comparison is to compare this period to previous periods for the entity itself. This might be carried out at trial balance or draft statement stages, when the accountant will be looking to detect anything unusual that needs review.
- The other most commonly used form of comparison is that of comparing actual either to budget (what you are planning to achieve) or to a forecast (what you think you will achieve). Entities should be analysing why actual and budgeted or forecast numbers differ. Not pursuing those differences can lead to incorrect business decisions and can corrupt the intent of having a budget.

  It is beyond the scope of this chapter, but suffice to say that ratios such as:

- gross profit margin (gross margin/sales),
- working capital ratio (current assets/current liabilities),
- quick asset ratio (working capital ratio adjusted for items that realise slowly such as inventory and trade receivable), and
- some forms of leverage ratio (e.g. debt/(equity plus debt)),

  can contribute to time series data which will help identify unusual items for further consideration by an entity.

  If a business has access to, or computed, time series data that are stable and dependable, it is feasible that a trend in a time series might be used to fill gaps directly in financial statements. For example, utility costs might be shown to have steadily increased by 2.5% over a representative period and this may be reflective of public policy pricing rules. In the absence of better information, we could apply that percentage to last period's known expense and estimate the amount for this period.

Beyond the entity itself, comparisons can take place with competitor and industry information. Mostly these will be useful for operational reasons, but sometimes they can throw up unexplained differences between the entity and the comparator. Pursuit of those differences can, on occasions, reveal accounting deficiencies. For example, the entity might have been too generous or too conservative in its assessment of doubtful debts when compared to the industry.

Another example is the use of indexes in the revaluation of assets or liabilities. Suffice to say here that in estimating fair value, an index of movements in prices might be used in the valuation exercise that determines the amounts to be recognised.

Another form of comparison is that between financial information and non-financial information. For example:

- Is the trend in sales supported by the trend in physical inventories purchases used. If not, is the level of inventories moving commensurately?
- Is the lease rental expense reconcilable to increases in the area leased?
- Are motor vehicles still being used despite their carrying amounts having reached nil (suggesting problems with useful life determination)?

## 14.3.5 The Overall Process

The above is a process of working from incomplete records to a full set of financial statements. It depends on how much reliable data is available as to how successful the **reconstruction** can be. The accountant and the auditor will need to review the financial statements using reasonable benchmarks and any external source that is relevant.

The existence of incomplete records points to inadequate internal controls. That inadequacy will limit the assurance the accountant and auditor can take from the process of piecing the statements together. Clerical errors (transposition of numbers, duplication, omission, wrong characterisation of transactions and many other types of errors) are still possible, as they are in a system that produces a complete set of double-entry-based financial statements.

### 14.3.5.1 Tidying Up the Ledger and Rectifying Systemic Problems

Once all the above findings have been made, and the debits and credits identified posted, it is essential to ensure that the draft statements and the general and subsidiary ledgers agree.

Then to avoid encountering incomplete records in future years, it is essential to identify, and fix as soon as practicable, the deficiencies that have caused the problems. This is often a step that does not receive the attention it should, leading to unnecessary future costs as the processes are repeated.

In our example, the lack of back-up records for cash payments and the failure to reconcile trade payable and trade receivable are clear matters to remedy. A perpetual inventory system would probably also be of benefit if draft statements are needed through the period.

### ▶ Knowledge Check Questions

**Question 5**

State which of the following should not be allowed to limit exercises in completing accounting records in relation to material transactions or balances when high quality financial statements (e.g. statements complying with HKIFRS) are required.

**A** Insufficient time available to allow completion

**B** The cost of completion

**C** Lack of resources for the accounting function

**D** All of the above

**Question 6**

Explain under what circumstances it could be inappropriate to use the gross margin method to estimate the cost of sales.

## 14.4 LIMITATIONS OF EXERCISES TO COMPLETE RECORDS

When records are incomplete, the first question is to ask why. It will often be found that one source of concern leads to another – because of the interrelationships in a double-entry accounting system.

As mentioned above, a serious risk in putting the above information together to arrive at approximations of the appropriate numbers, is that the auditor could find it difficult to obtain sufficient audit evidence to support the assertion that the approximations are reasonable. The auditor may also be quite concerned by the lack of controls over the purchasing and sales systems. This could lead to further work and cost, and possibly a qualified audit report.

As has been indicated above, the amount of effort put into rectifying incomplete records depends on the purpose for which the financial statements are to be used. If incompleteness is a function of insufficient time being available to allow the normal processes of recording to be completed, short-cuts and estimates may well be needed.

For example, the absence of an inventory count and costing in an entity without a perpetual inventory system will mean that the cost of sales can only be estimated. The gross margin approach referred to above can be used as an interim way of finding that cost. If the composition of inventory varies over time and the mark-up varies between different types of inventory held, using a single estimate of gross margin might prove quite unreliable. Without some ideas of the mix of inventories on hand, it is hard to rectify that limitation by computing several more granular gross margins.

This also applies to the use of ratios and other benchmarks, where the underlying business is not behaving as it has in the past or as has happened for other comparator entities.

You will have seen that we have used accounting equation in the example to derive the profit or loss for the period. That is a powerful tool, but it depends heavily on being able to determine the assets and liabilities of the entity. It is the relationship between net assets and equity that allows profit after tax to be derived. Errors in measuring net assets will flow into that number. Finally, arriving at an estimate of a number by derivation or estimate, may not allow the accountant or auditor to achieve the level of assurance needed to attest to the financial statements. The auditor will be looking for sufficient audit evidence on which to form an opinion.

If records are incomplete, prima facie the auditor will have questions both about the control environment and the numbers that the system produces. If the auditor is unable to form an opinion or arrives at materially different estimates than the entity, the entity will not receive a clean audit opinion. That can seriously limit the company when dealing with users of its financial statements.

## Key Learning Point

It is possible to rectify incomplete financial records through additional methods:

- Reconstruction can be done using supporting records and external sources of information.
- Estimation can also be used to determine appropriate data. This can be helpful when direct calculation is not possible.
- Analytics can provide information that can help accountants complete records.

Regardless of the method, double-entry bookkeeping should be the cornerstone.

## ▶ Knowledge Check Questions

**Question 7**

Identify which of the following is NOT a key issue in accounting record reconstruction.

**A** Identifying critical source documents needed for analysis.

**B** Isolating possible reasons for record omissions.

**C** Utilising computer technology to assemble meaningful data for the user.

**D** Preparing tax return to the Inland Revenue Department.

**Question 8**

Identify a major risk of incomplete records:

**A** They can lead to a qualified audit report.

**B** They can increase the costs of production.

**C** They can mischaracterise a sole trader as a limited company.

**D** They can lead to fraud.

## ▶ Knowledge Check Questions *(continued)*

**Question 9**

Identify the most common source of incomplete records:

**A** Lost sales receipts

**B** A poor system of internal controls

**C** A misunderstanding of requirements for financial statements

**D** Overreliance on the accounting equation

## SUMMARY

- This chapter has explained that incomplete records exist when data is not available to prepare financial statements to the quality required in the circumstances of the entity.
- Incomplete records present the state of a business's affairs that existing prime accounting information is missing.
- To fill in the missing accounting data, we need to:
  - (a) understand the relationships between the elements of financial statements (assets, liabilities, equity, income [including revenue] and expenses [including losses]);
  - (b) appreciate the roles and content in underlying records;
  - (c) use our knowledge of the business to identify completeness issues.
- The basic approaches used to fill the gaps have been:
  - (a) to try to create or recreate the missing information so that the records are in fact complete;
  - (b) to derive or estimate information based on known relationships when (a) is not practicable (e.g. using the gross margin approach); and
  - (c) to narrow the extent of the missing information when (a) and (b) have limitations (e.g. the 'residual expenses').
- Using the basic accounting equation (Equity = Assets – Liabilities) can help determine missing data.
- Closing equity = Opening equity + Income (I) – Expenses (Ex) + Capital invested – Distributions
- Missing information may be reconstructed or recreated.
- When working with incomplete records, take caution. Estimates and shortcuts present limitations.
- The existence of incomplete records points to inadequate internal controls. That inadequacy will limit the assurance the accountant and auditor can take from the process of piecing the statements together. Clerical errors (transposition of numbers, duplication, omission, wrong characterisation of transactions and many other types of errors) are still possible, as they are in a system that produces a complete set of double-entry-based financial statements.

## MIND MAP

**WORKING WITH INCOMPLETE RECORDS**

**IDENTIFYING THE PROBLEMS**

Understanding the business

**REVIEWING RESULTS**

Understanding limitations of estimates and shortcuts

Fixing underlying problems causing incomplete records

**UNDERSTANDING THE ROLES AND CONTENT OF SUPPORTING RECORDS**

Creating or reconstructing missing information using supporting records and roles

Using supporting records to estimate and derive missing information

**UNDERSTANDING THE INTERRELATIONSHIPS IN THE ACCOUNTING EQUATION E = A – L**

Creating or reconstructing missing information using the interrelationships of the basic accounting program

Using the accounting equation to estimate and derive missing information

## Answers to Knowledge Check Questions

### Question 1

Answer A is correct because this is a common cause of incomplete accounting records.

Answer B is incorrect because a manual bookkeeping system can also generate full and accurate accounting records and financial statements.

Answer C is incorrect because properly controlled subcontracting of bookkeeping function should also enable full and accurate accounting records to be maintained, and the required financial statements to be properly prepared.

Answer D is incorrect because the accounting transactions can be recorded completely despite differences in frequency of recording. However, if management calls for interim information during a period, information could be incomplete at that time for that purpose before a periodic update.

### Question 2

1. Fraudulent behaviour. Employees may deliberately cover up or never record certain transactions, so that they can hide theft of company assets or record excessive levels of profitability.
2. Inadequate systems. There may be an inadequate system of procedures and supporting controls in place, so that various business transactions are never recorded in the accounting system or are duplicated.
3. Inadequate evidence. For example, a company may not adequately protect its old records when moving to a new accounting system, and irretrievably lose some or all of the old records needed to support recorded transactions or balances. Complete information should be underpinned by complete supporting records.

### Question 3

Answer A is incorrect because the answer is not complete. Clerical error is just one cause of incomplete information.

Answer B is incorrect because the answer is not complete. Fraud is just one cause of incomplete information.

Answer C is incorrect because the answer is not complete. Change in entity status is just one cause of incomplete information.

Answer D is correct because answers A, B and C are all causes of incomplete accounting records.

**Question 4**

Answer A is incorrect because the answer is not complete. Whether incompleteness in records needs to be corrected depends on the circumstances. For example, if the financial statements have limited purposes (e.g. interim statements for management), some degree of incomplete information may be acceptable. But generally, incompleteness deriving from inadequate accounting or systems should be rectified or else it can lead to unnecessary and recurring costs in future periods.

Answer B is incorrect because profit or loss for the period may be derived from an analysis of the movements in equity, when a reliable list of net assets is available to support opening and closing equity, and the other movements in equity not explained by profit or loss are known.

Answer C is correct because underlying systems may contain information that can enable the construction of complete records. This will be especially so, where errors affect subsidiary ledger allocations but not aggregate amounts in control accounts.

Answer D is incorrect because of the limitations under answer A and answer B.

**Question 5**

Answer A is incorrect because this answer is not complete. The preparation of high quality financial statements should not be compromised by limitations on time to complete them.

Answer B is incorrect because this answer is not complete. The preparation of high-quality financial statements should not be compromised by the costs of completing them. The requirements in play (e.g. accounting standards) have been determined with regard to cost, and it is not for entities to use their own judgement about what needs to be achieved.

Answer C is incorrect because this answer is not complete. The preparation of high-quality financial statements should not be compromised by limitations on resources devoted to completing them.

Answer D is correct because answers A, B, and C all should not be allowed to limit exercises to complete accounting records. The requirement to achieve a benchmark quality in financial statements should not be compromised by entity specific costs, convenience and resources.

**Question 6**

If the composition of inventory varies over time and the mark-up varies between different types of inventory held, using a single estimate of gross margin might prove quite unreliable. Without some ideas of the mix of inventories on hand, and how that mix changes over time, it is hard to rectify the situation by computing several more granular gross margins by or using some weighted average.

In a manufacturing concern, the cost structure, including fixed, variable, semi-fixed and semi-variable costs, could be continually changing and subject to inflation, exchange rate movements and many other economic factors. These could affect the relationship between the gross profit and revenue, and reduce the usefulness of the gross margin method.

**Question 7**

Answer A is incorrect because identifying critical source documents is an essential step in accounting record reconstruction.

Answer B is incorrect because isolating possible reasons for record omission is an essential step in accounting record reconstruction.

Answer C is incorrect because utilising computer technology to assemble meaningful data for users could be an essential part of accounting reconstruction.

Answer D is correct because the preparation of tax returns is not part of accounting record reconstruction for financial statement preparation purposes.

**Question 8**

Answer A is correct. When encountering incomplete records, auditors are likely to form a qualified audit opinion. This can lead users of the company's financial statements to doubt their accuracy and veracity.

Answer B is incorrect. The costs of production would not be impacted by incomplete records; however, errors in production costs can cause incomplete records.

Answer C is incorrect. Incomplete records cannot lead to a mischaracterisation of an entity's form; however, all forms of business must keep records in accordance with the specific regulations that apply to them.

Answer D is incorrect. While incomplete records may, in rare instances, reveal fraud, it is not a major concern that they would cause fraudulent activity.

**Question 9**

Answer A is incorrect. Lost documents can certainly contribute to incomplete records, but this response is too specific to be the most common source. A general lack of internal control is the most common reason for incomplete records.

Answer B is correct. Incomplete records often stem from a problem with internal control systems and processes.

Answer C is incorrect. While misunderstanding the requirements of financial statements can lead to errors, this is not a common reason for incomplete records. Poor internal controls are the most common reason for incomplete records.

Answer D is incorrect. The accounting equation is a powerful tool for creating financial records, however, it is only as effective as the inputs that are used. If the assets and liabilities used in the accounting equation cannot be determined, errors are likely to arise.

## EXAM PRACTICE

### QUESTION 1

Flowers Blue Limited has incomplete financial records and is using the gross margin method to estimate cost of sales for the year. The company has consistently achieved a gross margin of 30%. If sales for the year are HK$1,200,000, calculate the estimated cost of sales.

**A.** HK$360,000
**B.** HK$720,000
**C.** HK$840,000
**D.** HK$960,000

## QUESTION 2

Wing Enterprises Limited is attempting to reconstruct incomplete records by completing the draft statement of financial position:

- Opening net assets were HK$850,000 and closing net assets are HK$980,000.
- No tax was payable in this or the previous period.
- Shareholders took out a dividend of HK$200,000 during this period.

Determine the profit or loss for Wing Enterprises Limited in the current period.

**A.** HK$330,000
**B.** HK$300,000
**C.** HK$70,000
**D.** HK$130,000

## QUESTION 3

Define incomplete accounting records in accordance with the HKICPA Accounting Guideline (i.e. AG1).

## QUESTION 4

Calculate the required information using the information in the following table.

| Incomplete Information Available | | |
|---|---|---|
| **Mrs. Lee's Bakeries Limited** | **HK$** | **HK$** |
| | **Trade payables** | **Inventory** |
| 1 February 20X0 | 130,400 | 243,000 |
| 31 January 20X1 | 171,250 | 261,700 |
| Payments to suppliers | 888,400 | |
| Refund received from suppliers | 2,400 | |
| Discounts received on purchases | 11,200 | |

- All purchases are by cheque or by electronic transfer, and have supporting documentation in the forms of purchase orders and goods received dockets.
- Details are recorded of all returns and short deliveries.
- Mrs. Lee applies a mark-up of 33.33%.

| Assume that net assets at period end date are: | | How known |
|---|---|---|
| **Assets** | **HK$** | |
| Plant and equipment (net) | 700,000 | from depreciation schedule |
| Inventory | 261,700 | physical count and costing |
| Cash at bank | 210,000 | reconciled to bank statement |
| Total assets | 1,171,700 | |

| | | |
|---|---|---|
| Liabilities | | |
| Mortgage loans | 816,450 | loan documentation |
| Trade payables | 171,250 | Suppliers' statements |
| Total liabilities | 987,700 | |
| Known statement of financial position Information | | |
| Opening equity | 128,000 | per last period accounts |
| Plus: New equity subscribed | 50,000 | per cash book |
| | 178,000 | |
| Less: Dividend | (48,000) | per cash book |
| Closing equity before profit | 130,000 | |

**Required**

(a) Calculate purchases for the period.

(b) Calculate cost of sales for the period.

(c) Calculate sales for the period.

(d) Calculate net profit for the period.

## QUESTION 5

You are provided an incomplete trial balance from Willy Limited Company.

| Willy Limited Company<br>Trial Balance as at 31 May 20X8 | | |
|---|---|---|
| | **Dr.** | **Cr.** |
| | **HK$** | **HK$** |
| Cash at bank | 35,000 | |
| Trade receivables | Unknown | |
| Inventory | 140,000 | |
| Trade payables | | 215,000 |
| Share capital | | 44,000 |
| Sales | | 950,000 |
| Cost of sales | Unknown | |
| Salary expense | 150,000 | |
| Office supply expenses | 4,000 | |
| Dividend | 15,000 | |
| | 344,000 | 994,000 |

You are also provided the following information:

(a) Great Stationery is in its first year and sells a particular item to retail shops.

(b) All sales are credit sales but are not known.

(c) Cash receipts from customers are HK$750,000.

(d) It prices sales so as to make a gross margin of 30%.

(e) It purchases that item from a manufacturer in Hong Kong.

(f) Cash payments to the supplier are not known.

(g) No returns of goods inwards or outwards. All expenses have been paid in cash. Assume no profits tax applies.

**Required**

(a) Determine the unknown numbers in the partially completed trial balance.

(b) Prepare the statement of profit or loss and other comprehensive income for the year ended 31 May 20X8.

(c) Prepare the statement of financial position as at 31 May 20X8.

(d) Account for the movements in the cash account for the relevant transactions.

## ANSWERS TO EXAM PRACTICE

### QUESTION 1

Answer C is correct.

**Calculation**

A 30% gross margin on sales of HK$1,200,000 is HK$360,000.

Sales HK$1,200,000 – Cost of sales = Gross profit HK$360,000, thus Cost of sales is HK$840,000.

### QUESTION 2

Answer A is correct.

**Calculation**

Equity before profit for the period – Dividend = HK$850,000 – HK$200,000 = HK$650,000.

Net assets are HK$980,000. So, equity must have increased as follows:

HK$980,000 – HK$650,000 = HK$330,000.

### QUESTION 3

Incomplete records occur when some or all of the prime accounting information is lacking compared to the normal way the books of a business are written up and final accounts prepared. It is not, for instance, applicable where an adequate system exists for supplying the accountant with information in a suitable form for writing up his client's books, or otherwise collating the essential information and subsequently preparing final accounts (HKICPA AG1).

## QUESTION 4

(a)

| | HK$ |
|---|---|
| Payments to suppliers | 888,400 |
| Less: Payments relating to previous period purchases | (130,400) |
| | 758,000 |
| Add: Unpaid purchases at end of period | 171,250 |
| Purchases for period | 929,250 |

The refunds received from suppliers and discounts would not affect purchases, as the payments to suppliers were net of the receipts received for them. If not so, both would need to be added to purchases to arrive at purchases made.

(b)

| | HK$ |
|---|---|
| Inventory at 1 February 20X0 | 243,000 |
| Add: Purchases for period | 929,250 |
| | 1,172,250 |
| Less: Inventory at 31 January 20X1 | (261,700) |
| Cost of sales | 910,550 |

(c)

| | HK$ |
|---|---|
| Cost of sales | 910,550 |
| (One third mark-up) (HK$910,550 x 33.33%) | 303,486 |
| Sales | 1,214,036 |

(d)

| | HK$ |
|---|---|
| Total assets at period end | 1,171,700 |
| Total liabilities at period end | (987,700) |
| Net assets = net equity | 184,000 |
| Equity balance before net profit | (130,000) |
| Net Profit for period | 54,000 |

## QUESTION 5

(a)

| **Trade receivables** | HK$ | |
|---|---|---|
| Opening balance | 0 | |
| Sales | 950,000 | Students should solve for this first. |
| Receipts | (750,000) | |
| Closing balance | 200,000 | |

| **Cost of sales** | **HK$** | |
|---|---|---|
| Opening inventory | 0 | |
| Purchases | 805,000 | Students should solve for this third. |
| Closing inventory | (140,000) | |
| Cost of sales (70% of sales) (HK$950,000 x 70%) | 665,000 | Students should solve for this second. |

| **Trade payables** | **HK$** | |
|---|---|---|
| Opening balance | 0 | |
| Purchases | 805,000 | From above. |
| Payments | (590,000) | Students should solve for this fourth. Payments is calculated by subtracting purchases from the closing balance: HK$215,000 – HK$805,000 = HK$590,000 |
| Closing balance | 215,000 | |

(b)

**Willy Limited Company**
**Statement of Profit or Loss and Other Comprehensive Income**
**For period ending 31 May 20X8**

| | **HK$** | **HK$** |
|---|---|---|
| Sales | | 950,000 |
| Less: Cost of sales | | (665,000) |
| Gross profit | | 285,000 |
| | | |
| Less: Expenses | | |
| Salary | 150,000 | |
| Office supplies | 4,000 | |
| Total expenses | | (154,000) |
| | | |
| Net profit | | 131,000 |

(c)

**Willy Limited Company**
**Statement of Financial Position**
**As at 31 May 20X8**

| **Assets** | **HK$** |
|---|---|
| **Current Assets** | |
| Inventory | 140,000 |
| Trade receivables | 200,000 |
| Cash at bank | 35,000 |
| Total assets | 375,000 |

(c)

| Willy Limited Company<br>Statement of Financial Position<br>As at 31 May 20X8 | | |
|---|---|---|
| **Equity** | | |
| Share capital | | 44,000 |
| Retained earnings | HK$(131,000 – 15,000) | 116,000 |
| **Total equity** | | 160,000 |
| **Liabilities** | | |
| **Current liabilities** | | |
| Trade payables | | 215,000 |
| **Total equity and liabilities** | | 375,000 |

(d)

| Cash at Bank Movements | | |
|---|---|---|
| | **HK$** | |
| Opening balance | 0 | |
| Subscribed capital | 44,000 | |
| Sales receipts | 750,000 | Determined from receipts on the statement of profit or loss and other comprehensive income |
| | 794,000 | |
| Less: Payment to trade suppliers | (590,000) | Determined from part (a) Trade Payables |
| Salaries paid | (150,000) | |
| Office supplies | (4,000) | |
| Dividend | (15,000) | |
| | (759,000) | |
| Closing balance | 35,000 | Balance tied to the statement of financial position |

# GLOSSARY OF TERMS

**Ability to acquire new capital** The issuance of shares allows a limited company to raise capital.

**Accounting** The action or process of keeping financial accounts; it is based on five key activities: identifying economic events, recording those events, preparing reports that feature those transactions, enabling parties to analyse and interpret reports, and communicating that information to various stakeholders.

**Accounting model** The process used to transform data about transactions and events into information in the financial statements. Underpinning the accounting model is the basic accounting equation, which explains the relationship between the economic elements (assets, liabilities, equity, income and expenses) reported in financial statements.

**Accounting standard** A guideline for financial accounting that includes information about how entities prepare and present information such as income, expenses, assets, liabilities and equity.

**Accounts receivable** Amounts owed by customers and others of a company on account.

**Accrual basis accounting** An accounting method under which revenues and expenses are recognised in the statement of profit or loss and other comprehensive income when they occur as opposed to when cash is received or paid.

**Accrual** An accrual is an entry posted to record either revenue or an expense before a cash transaction occurs.

**Accumulated fund** It relates to the funds left at the end of the reporting period of a club or a society. This is the equity of the entity (sometimes called 'entity equity').

**Adjusted trial balance** While the trial balance reports the account balances at a specific point in time, the adjusted trial balance includes adjustments necessary to better reflect the specific period when transactions took place, rather than when they were paid for.

**Adjusting entries** Adjusting entries are posted to categorise income and expense transactions into the proper accounting period, regardless of when the cash inflows and outflows occur.

**Aggregation** The process of combining balances or transactions of similar classifications into a single line item that appears in a set of financial statements.

**Allowance for impairment loss on trade receivables** Represents debts unlikely to be corrected. Also called **allowance for doubtful debts**.

**Allowance method** A method of accounting for bad debts that involves estimating uncollectable accounts at the end of each period.

**Annual (periodic) report** Public corporations issue their financial statements (including supplementary materials) in an annual report. The annual report is a document that also includes useful non-financial information about the company, as well as financial information.

**Appropriation account** An account used to allocate profit (losses) between partners, with credits (debits) to partners' current accounts.

**Assets** A present economic resource controlled by the entity as a result of past events.

**Auditor** An auditor is a person who conducts an audit, an official, systematic examination of an organisation's financial accounts.

**Balance sheet** Generally presented as a table, the balance sheet includes information on what a company owns (assets), what it owes (liabilities) and the equity of the business. In Hong Kong, this is known as a statement of financial position.

**Bank account** Any type of account offered by a financial institution. It represents the funds that a customer has entrusted to the financial institution.

**Bank reconciliation** A process that analyses differences between the closing cash balance in the accounting records and the closing cash balance per the bank statement. The reconciliation reports on all differences.

**Bank statement** A statement that shows a company's bank transactions and balances for a particular time period, usually a month.

**Basic accounting equation** The equation that is the foundation for posting accounting transactions. The basic accounting equation displays assets and claims on assets from creditors (liabilities) and shareholders (equity). The accounting equation is Assets = Liabilities + Equity.

**Bookkeeping** The activity of keeping records of the financial transactions and events of an entity.

**Book side** Where the journal entries, as opposed to banked cash, are used to account for reconciling items.

**Capital** Equity in the form of cash or assets on which the shareholders of a business have a claim.

**Capital account** An account that records each partner's capital contributions and additions or withdrawals thereof.

**Capital expenditures** Costs that benefit future accounting periods.

**Capitalisation** An accounting method used to delay the recognition of expenses by recording the expense as a non-current asset.

**Cash** Bank notes (paper money), coins, money orders, cheques and funds held in a back account. Cash is used to acquire goods and services or to eliminate obligations.

**Cash account** An account in which payments and receipts are recorded during an accounting period in which they actually occur.

**Cash basis accounting** A method of accounting that recognises events when cash changes hands, rather than when assets, liabilities, revenues or expenses arise. It is used mostly by small businesses and for personal finance purposes.

**Cash disbursements journal** A special journal that records the transactions that involve cash payments made to other individuals or entities for goods and services.

**Cash equivalents** Short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

**Cash float** An amount of cash put into a cash register at the beginning of the working day. The cash float is used to provide change for cash purchases.

**Cash receipts journal** A special journal that records transactions that involve cash payments received from other individuals and entities for goods and services.

**Cash sales** A sale involving immediate payment of a full amount in exchange for goods or services. Payment can take place using coins or notes, debit cards, credit cards or other methods of payment.

**Chart of accounts** This chart is a list of each account name used by the company, and the account number.

**Cheques** A printed form used instead of actual money to make payments from a bank account. A cheque is a written order instructing the bank to pay a specific sum to a designated recipient.

**Classified statement of financial position** A statement that not only includes all the main categories of a typical statement of financial position, but also separates the assets and liabilities of the company into 'current' and 'non-current.'

**Clearing** When a cheque is accepted by the payer's bank the cheque is described as cleared. Clearing results in a transfer of funds from the payer's bank to the payee's bank.

**Closing entries** These are entries that transfer revenue, expense and dividend balances from their accounts to the retained earnings account.

**Club** Also known as a society, it is an organisation registered as a society and not as a company. In Hong Kong, clubs or societies are registered under the Societies Ordinance.

**Comparability** One of the enhancing qualitative characteristics of accounting information. It refers to the need for accounting information to be comparable across entities and time periods.

**Compound journal entry** A compound journal entry involves more than one debit or credit.

**Consistency** It refers to the need for information to be presented in a consistent fashion from one period to the next.

**Consistency concept** A concept that suggests that a consistent methodology should be used from one accounting period to the next in, for example, determining the cost of inventory.

**Contra asset account** An asset account that is increased with a credit, rather than a debit.

**Contra revenue account** An account that reflects sales returns entries that offset gross revenue.

**Control accounts** Control accounts summarise activity in a subsidiary ledger. Instead of listing every transaction in detail, the general ledger posts the dollar amount from the special journal totals.

**Conversion costs** The sum of labour costs and indirect manufacturing (overhead) costs that are necessary to convert raw materials and purchased components into finished products.

**Cost formula** One of the three assumed cost flow methods (i.e. FIFO, LIFO, and WAC).

**Cost of sales** The purchase cost of trading goods sold and the production cost for manufacturing goods sold. In retail, cost of sales can include the purchase cost of products that have been sold. In manufacturing, it can include the cost of the materials required to produce the goods that are sold. (*Cost of sales* is often called *cost of goods sold*, or *COGS*.)

**Credit amounts** In double-entry bookkeeping these are used to indicate cash that is spent in a business transaction.

**Credit memorandum** A document issued by a seller to a buyer to record a transaction. It is reflected as a reduction in sales in the sales return journal.

**Credit sales** Credit sales occur when a good or service is provided to a customer but payment for the good or service is deferred.

**Current account** An account that records the profits or losses appropriated to each partner in the appropriation account, less any drawings plus other distributions of profits.

**Debentures** A form of loan capital that is classified as non-current liabilities.

**Debit amounts** In double-entry bookkeeping these are used to indicate cash that is gained in a business transaction.

**Deferred revenue** A liability account used when a payment is received from a customer before the product or service is delivered.

**Deposits in transit/Deposits not yet credited** Deposits made by a depositor that have not yet been posted to the bank statement. Deposits in transit are reconciling items in the bank statement.

**Depreciation** The systematic allocation of the cost of a long-lived asset, such as property, plant and equipment, over the asset's useful life.

**Derecognition** The process for a company to dispose property, plant and equipment that is no longer economically useful to them.

**Diminishing-balance method** A method of calculating depreciation based on a diminishing carrying amount.

**Direct labour** The work of factory employees that can be physically and directly associated with converting raw materials and purchased components into finished goods.

**Direct materials** Raw materials and purchased components that can be physically and directly associated with the finished product during the manufacturing process.

**Disclosures** Additional information included in an entity's financial statements, usually to explain activities that have significant influence on financial results.

**Dishonoured cheque** A cheque that cannot be cashed or deposited because it is refused by the bank. Common reasons for this include insufficient funds, improper dates, missing signatures, illegible writing, or inconsistent amounts.

**Distributions** The payment of dividends, or returns of equity, to shareholders.

**Dividends** The return of part of the after-tax profits made by a company to its shareholders.

**Double-entry accounting** This accounting method requires that each journal entry must have at least one debit and one credit entry.

**Double-entry bookkeeping system** Each transaction must have a dual effect on the accounting equation, so that the two sides of the accounting equation remain equal.

**Drawings** Money withdrawn from a business by its owner.

**Electronic funds transfer (EFT)** An electronic transfer of money from one bank account to another.

**Equity** Typically refers to an ownership interest in a business.

**Expanded accounting equation** An expanded version of the basic accounting equation that explains movements in equity by breaking it down into its components: revenue minus expenses (profit or loss) and transactions with shareholders (new equity minus distributions).

**Expenses** The costs of assets that are consumed and services that are used in the business activities of a company.

**External users** External users are existing or potential individuals and organisations from outside a company that need or want financial information about that company for decision-making purposes.

**Fabrication** The process of manufacturing.

**Faithful representation** One of the fundamental qualitative characteristics of accounting information. A quality of information that faithfully presents what it purports to present. It is complete, neutral and free from error.

**FIFO** First-in, first-out. Refers to one of the methods to determine inventory costs in which the first items received are assumed to be the first to be sold.

**Financial accounting** A specialised branch of accounting that keeps track of an entity's financial transactions and events. Financial accounting uses accounting standards and guidelines to record transactions and events, summarises them and presents them in financial statements.

**Financial statements** A formal record of the financial position, performance and cash flows of a business, person or other entity.

**Finished goods inventory** Accounts for completed products in manufacturing.

**FOB destination** Terms of shipping in which the legal title of goods remains with the seller until the goods reach the buyer.

**FOB shipping point** Terms of shipping in which ownership of goods passes to the buyer when the public carrier accepts them.

**Gain** An increase in the value of an asset.

**General journal** The general journal is used to record unusual transactions in the accounting records.

**General ledger** The general ledger lists every journal entry posted, and the activity is grouped by account.

**General partner** A partner who is jointly and severally liable for all the debts of a partnership.

**Goods in transit** Goods that are being moved from a seller to a buyer.

**Gross profit** The difference between the value of sales and cost of sales.

**Impairment loss on trade receivables** Represents outstanding receivables that will likely be written off after 360 days. Also called **bad and doubtful expense**.

**Imprest system** A system used for petty cash, which involves three steps: establishing the amount of petty cash available, making payments from that amount and replenishing periodically the amount for the payments made.

**Income** The aggregate of revenue and other income (including gains).

**Income and expenditure account** A summary of all the income earned and all expenditures incurred during a particular period for a club or society.

**Income summary** An account used in the closing process. When temporary (income and expense) account balances are adjusted to zero, the balances are moved to the income summary. Once all temporary account balances are closed, the income summary balance is moved into equity.

**Incomplete records** These occur when there is a lack of some, or all, of the prime information necessary to write up the books of a business and to prepare the financial statements.

**Indirect labour** The work of employees that cannot be directly linked to the manufacturing process. Examples include security guards, supervisors and other administrative workers.

**Indirect manufacturing costs** Costs that are indirectly associated with the manufacture of the finished product.

**Indirect materials** Materials that are used in the production process, but not directly traceable to the production process. Examples include lubricating oil used to maintain machinery, and cleaning products used to polish completed items for sale.

**Indirect method of cash flows from operations** A method used to calculate cash flow from operating activities by adjusting profit for the year with transactions that affect the financial statements, even when no actual cash is received or paid.

**Internal controls** A process for assuring the achievement of an organisation's objectives, such as ensuring the proper reporting of activity in the cash account. Internal controls can be used to, for example, prevent fraud and reduce the risk of error.

**Internal users** When related to accounting, internal users are managers and other stakeholders within a business who require accounting information for decision making.

**Inventories** Assets that are held for sale in the ordinary course of business, in the process of production for such sale, or in the form of materials or supplies to be consumed in the production process or in the rendering of services.

**Inventory costing** Methods for determining the cost of product units on hand and product units to be sold. These include first in, first out (FIFO); last in, first out (LIFO); and weighted-average costing (WAC).

**Investments** An asset or item purchased to generate investment income (dividends or interest) and/or in the expectation of future appreciation in value.

**Journal** A journal is a record of a company's financial transactions in order by date.

**Journal entry** Accounting transactions are posted using a journal entry, and the entry includes the date, accounts and the dollar amount, along with debits and credits. Each journal entry is numbered, so that the entry can be located easily.

**Laws and regulations** Government rules that dictate the fundamental operations of an organisation. For a limited company, this includes compliance with company law, stock exchange listing rules, financial reporting standards, tax regulations and a code of corporate governance.

**LCNRV valuation standard** Lower of cost and net realisable value valuation standard refers to the valuation under which the net realisable value of inventory is lower than its cost.

**Ledger account** The ledger account is the main accounting record of a company and provides a complete record of financial transactions through the life of a company.

**Liabilities** A present obligation of the entity to transfer an economic resource as a result of past events.

**LIFO** Last-in, first out. Refers to one of the methods to determine inventory costs in which the last items in are assumed to be the first to be sold. LIFO is not permitted under accounting standards that are in effect in Hong Kong.

**Limited company** A business organised as a legal entity separate and distinct from its owners.

**Limited partner** A partner whose liability for the debts of a partnership is limited to his or her contributed capital.

**Loss** In accounting, when expenses are greater than revenue, a loss is posted to the statement of profit or loss and other comprehensive income.

**Management** Senior managers are appointed by the board of directors and are involved in the day-to-day operations of the company. In large organisations there can be several layers of management.

**Management accounting** The process of identifying, measuring, analysing, interpreting and communicating information to meet the needs of management.

**Matching principle** The matching principle states that revenue should be recorded when it is earned, and expenses are posted when they are incurred to produce revenue.

**Materiality** One of the fundamental qualitative characteristics of accounting information. The threshold above which missing or incorrect information in financial statements is considered to have an impact on the decision making of financial statement users.

**Net realisable value (NRV)** The selling price less all costs to completion (i.e. costs required to make the goods ready for sale) and deducting any selling and distribution costs.

**Non-profit organisation** An entity that has registered with supervisory governmental offices and that has a social or charitable objective rather than the making of a profit.

**Normal account balance** A normal account balance is an expected balance, based on the type of account (asset, liability, etc.).

**Notes** Notes (sometimes called footnotes) are used in financial statements to provide additional information regarding a company's performance and financial position. The notes are an integral part of financial statements.

**Offsetting** The attempt to simplify financial reports by cancelling certain entries with equal but opposite entries. This practice can omit important data and make accounting information less comparable and understandable. It is not typically permitted by HKAS and HKFRS.

**Owner's equity** The equity in a sole trader business held by its owner.

**Packing slip/delivery docket** A document that lists the quantity and description of items sent by a vendor. When goods are received from a vendor, a business should compare the items received to the packing slip.

**Partnership** The relation between persons carrying on business in common with a view to profit.

**Partnership agreement** A written contract expressing the terms of agreement between two or more individuals in a partnership. A partnership agreement sets forth such terms as initial investment of capital, duties of each partner, division of profit or losses, and arrangements upon death or withdrawal of a partner. If it does not, the Partnerships Ordinance will apply.

**Percentage of receivables approach** A method used to estimate the percentage of outstanding receivables that will be uncollectable. It provides an accurate valuation of receivables on the statement of financial position.

**Percentage of sales approach** A method used to estimate the amount of doubtful debt expense based on a percentage of net credit sales.

**Periodic inventory system** A system of tracking inventory that relies on periodic counts of the inventory.

**Perpetual inventory system** A system of tracking inventory that keeps an ongoing count of inventory held by an entity.

**Petty cash** A small amount of cash kept on hand and maintained by a custodian for purchases or reimbursements too small to be worth submitting to more rigorous procedures.

**Physical inventory count** An actual count of the goods held by a manufacturing or merchandising company.

**Prepaid expense** A prepaid expense is posted when a company pays for a product or service in advance.

**Prime costs** Costs associated with direct materials and direct labour in manufacturing.

**Privately held company** A corporation that has only a few shareholders, and whose shares are not available for sale to the general public.

**Profit** In accounting, when revenue is greater than expenses, a profit is posted to the statement of profit or loss and other comprehensive income.

**Property, plant and equipment** Non-current assets that a company owns and uses for a variety of purposes, including the production and sale of goods or services to consumers.

**Publicly held company** A corporation that may have thousands of shareholders, and whose shares are regularly traded on a stock exchange.

**Purchase discount** A supplier's offer to reduce a purchaser's payment amount if a payment is made in a set period of time.

**Purchase journal** A special journal that tracks business purchases made on credit. These purchases require the company to post the amount due to accounts payable.

**Purchase order** When an employee wants to place an order with a vendor, the employee should fill out a purchase order (PO), which documents the purpose of the expenditure. The PO should be approved and signed by a supervisor before the order is placed with the vendor.

**Purchase returns and allowances** An adjustment account that records goods that are returned to the supplier.

**Purchase transactions** Transactions that are payments by the business in exchange for goods and services.

**Raw materials inventory** Inventory of raw materials and purchased components not yet started in the manufacturing process.

**Receipts and payments account** A summarised cash book of a club or society for a particular period.

**Reconstruction** A process by which the accountant and the auditor attempt to rectify incomplete records. They review the existing financial statements and data looking for reasonable and relevant information from external sources. It also involves analysing data and isolating potential reasons for data omission. Finally, computers may be used to assemble meaningful data for users.

**Relevance** One of the fundamental qualitative characteristics of accounting information. It refers to the need for information to be useful in decision making.

**Remittance advice** A document that is typically sent with an invoice. When the customer submits a payment for the invoice, the remittance advice is sent with the payment, and the advice helps identify the invoice that was paid.

**Residual value** The estimated amount that a company would obtain from disposing of the asset at the end of its useful life.

**Retained earnings** The sum of all profits earned by the firm since inception, less all dividends paid to shareholders since the company started.

**Retirement** A method of disposing of non-current assets is simply no longer used.

**Revenue** The gross income received by an entity from its contracts with customers before any expenses have been deducted. Revenue is shown in the statement of profit or loss and other comprehensive income.

**Revenue expenditures** Costs that benefit only the current period are expensed.

**Sales allowances** An adjustment that occurs when buyers agree to keep merchandise in exchange for a discounted price.

**Sales invoice** A document that records the details of a transaction including the name of the seller and the purchaser. Sales invoices may also record any amounts owing to the seller as a result of a credit sale.

**Sales journal** A special journal that tracks customer sales that are not paid in cash. The seller posts these types of sales to accounts receivable.

**Sales returns** An adjustment account that records reverses in revenue when merchandise sold on credit is returned.

**Sales transactions** Transactions that result in revenue coming into a business in exchange for goods or services.

**Separate legal existence** A separate legal status held by companies formed under the Companies Ordinance that allows a limited company to enter into contracts, sue or be sued, own property and borrow money in its registered name. Assets and liabilities belong to the company, not the owners.

**Society** An organisation registered in Hong Kong through the Societies Ordinance.

**Sole proprietorship** A business structure involving one owner who holds personal liability for the activities of the business.

**Sole trader** A type of business structure held and operated by one person.

**Source document** A source document includes the necessary detail to support an accounting transaction.

**Special journal** Journals that categorise detail to make it easier to understand a company's accounting activity. Special journals which are commonly used include cash receipts journals, cash disbursement journals, purchase journals and sales journals.

**Specific identification** A method of determining the cost of inventory that tracks the physical flow (movement) of goods in a perpetual inventory system. Each item of inventory is marked, tagged or coded with its specific unit cost.

**Stakeholders** Entities that have a vested interest in the success of a business and the accuracy of the company's financial statements. Stakeholders include investors, creditors and regulatory organisations.

**Standing order** Payments that are made by a firm's bank as instructed by the firm and on an as-needed basis. They often fulfil regular payments.

**Statement of cash flows** One of four basic financial statements, the statement of cash flows reports the sources and uses of cash (and cash equivalents) in operating activities, investing activities and financing activities. It also provides additional related information for the reporting period.

**Statement of changes in equity** One of four basic financial statements, the statement of changes in equity shows the changes in equity held by shareholders over an accounting period.

**Statement of financial position** One of four basic financial statements, the statement of financial position reports the assets, liabilities and equity of an entity on a given date.

**Statement of profit or loss and other comprehensive income** One of four basic financial statements, the statement of profit or loss and other comprehensive income shows the financial performance in terms of revenue and expenses incurred, and the profit or loss for the period.

**Straight-line method** The method of calculating depreciation used by the majority of publicly traded companies. The method requires that the residual value be deducted from the cost of an asset and then divided by its useful life.

**Subsidiary ledger** Control accounts summarise activity in a subsidiary ledger. Instead of listing every transaction in detail, the general ledger posts the dollar amount from the subsidiary ledger detail.

**T-accounts** T-accounts are used to post journal entries graphically.

**Timeliness** One of the enhancing qualitative characteristics of accounting information. The state of being current and having occurred as close to the end of the reporting as possible to ensure relevance.

**Trade payables** A debt that a company owes in exchange for goods and services bought on credit.

**Trade receivables** Amounts resulting from sales transactions. These are owed to a company by its customers.

**Transaction analysis** Transaction analysis is the process of identifying and examining a transaction or event to decide how it affects the elements in the accounting equation.

**Transferable ownership** Shareholders of a limited company may sell, transfer or trade their shares as they wish, without affecting the continuing life of the company.

**Trial balance** A trial balance is a listing of each account and the current account balance.

**Unclassified statement of financial position** A statement that does not separate the information into classes.

**Understandability** One of the enhancing qualitative characteristics of accounting information. The quality of being clear and coherent to users with 'a reasonable degree of financial knowledge and a willingness to study the information with reasonable diligence,' per the HKAS and HKFRS Conceptual Framework for Financial Reporting.

**Unexplained residual expenses** Undefined expenses that are detected through accounting processes, but are not identified in individual expense accounts. These often appear in incomplete records.

**Units-of-production method** A method used to calculate depreciation that uses total units of production or total expected use of an asset to calculate the useful life of an asset.

**Unlimited liability** When the owner of a business, typically a sole proprietorship or sole trader, is personally responsible for all the debts of the business.

**Unpresented cheques** Cheques that a bank account owner has written, but that have not posted to the bank statement. Unpresented cheques are reconciling items in a bank reconciliation.

**Useful life** Either the period of time over which an asset is expected to be available for use, or the number of units of production (such as machine hours) or units of output that are expected to be obtained from an asset.

**Verifiability** One of the enhancing qualitative characteristics of accounting information. The quality of being able to be supported through bookkeeping records and source documents (e.g. invoices, purchase orders and cancelled cheques).

**Weighted average cost (WAC)** Refers to a method of assigning costs that averages out the cost of goods.

**Weighted average cost method** A method to determine the cost of goods in a manufacturing operation that divides the cost of goods available for sale by the number of units available for sale.

**Work in progress (WIP) inventory** The inventory balance of partially completed products in manufacturing.

# INDEX

**NOTE:** **Key Terms** and their page references are given in **bold**

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## S

QUALIFICATION PROGRAMME

# HKICPA Qualification: A Pathway to Success

The Qualification Programme (QP) of the Hong Kong Institute of CPAs (HKICPA) provides a pathway for the development of world-class practicing accountants. The HKICPA is the statutory body established by the Professional Accountants Ordinance responsible for the professional training, development and regulation of certified public accountants in Hong Kong. Members of the Institute are entitled to the description "certified public accountant" and to the designation CPA.

Since 1973, the HKICPA (previously known as the Hong Kong Society of Accountants) has worked to further the public interest by promoting efficient accounting practices in Hong Kong. Through its efforts in promulgating financial reporting, auditing and ethical standards, the Institute has helped safeguard Hong Kong's leadership as an international financial centre.

Our QP assures the quality of entry into the profession by providing accountants with the knowledge base they need to meet future market needs. Successful participants develop skills by completing training courses, passing examinations and acquiring practical experience.

The QP consists of three levels. At the Associate Level, participants develop a solid technical foundation. The aim of the Professional Level is to deepen technical capabilities. The Capstone integrates knowledge, skills and experiences and applies them to business problems.

The QP provides accountants with relevant and portable skills that enhance their employability and opens the door to opportunities in Hong Kong and around the world.

# CPA: The Success Ingredient

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